

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[85 NE3d 57, 62 NYS3d 838]

SARA MYERS et al., Plaintiffs, and ERIC A. SEIFF et al., Appellants, v ERIC SCHNEIDERMAN, in His Official Capacity as Attorney General of the State of New York, Respondent, et al., Defendants.

Argued May 30, 2017; decided September 7, 2017

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 3, 2016. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Joan M. Kenney, J.; op 2015 NY Slip Op 31931[U] [2015]), which had granted defendant Attorney General's pre-answer motion to dismiss the complaint. The modification consisted of declaring that (1) Penal Law §§ 120.30 and 125.15 provide a valid statutory basis to prosecute licensed physicians who provide aid-in-dying, and that (2) to the extent that Penal Law §§ 120.30 and 125.15 prohibit a licensed physician from providing aid-in-dying, the application of that statute to such conduct does not violate the New York State Constitution. The Appellate Division affirmed the order as modified.

Myers v Schneiderman, 140 AD3d 51, affirmed.

HEADNOTES

Statutes — Construction — Prohibition on Assisted Suicide — Physician Aid-in-Dying

1. New York's prohibition on assisted suicide applies to a physician who provides aid-in-dying by intentionally prescribing a lethal dosage of a drug

because such act constitutes “promoting a suicide attempt” (Penal Law § 120.30) or “aid[ing] another person to commit suicide” (Penal Law § 125.15 [3]). “Suicide” has long been understood as the act or an instance of taking one’s own life voluntarily and intentionally, and “assisted suicide” is defined as the intentional act of providing a person with the medical means or the medical knowledge to commit suicide. Aid-in-dying falls squarely within the ordinary meaning of the statutory prohibition of assisting a suicide. The assisted suicide statutes apply to anyone who assists an attempted or completed suicide. There are no exceptions, and the statutes are unqualified in scope, creating an irrefutable inference that what is omitted or not included was intended to be omitted or excluded.

Constitutional Law — State Constitutional Law — Equal Protection — Aid-in-Dying

2. New York’s prohibition on physician assisted suicide (aid-in-dying) (*see* Penal Law §§ 120.30, 125.15 [3]) does not violate the Equal Protection Clause of the New York Constitution. New York’s laws banning assisted suicide do not unconstitutionally distinguish between individuals because everyone, regardless of physical condition, is entitled, if competent, to refuse unwanted lifesaving medical treatment, whereas no one is permitted to assist a suicide.

Constitutional Law — State Constitutional Law — Due Process — Aid-in-Dying

3. New York’s prohibition on physician assisted suicide (aid-in-dying) (*see* Penal Law §§ 120.30, 125.15 [3]) does not violate the Due Process Clause of the New York Constitution. The asserted right to assistance in committing suicide—the right of a mentally competent and terminally ill person to obtain a prescription for a lethal dosage of drugs from a physician—is not a fundamental liberty interest protected by the Federal Due Process Clause, and the State Due Process Clause does not provide any broader protection. Accordingly, the assisted suicide statutes need only be rationally related to a legitimate government interest. Rational basis involves a strong presumption that the challenged legislation is valid, and a party contending otherwise bears the heavy burden of showing that a statute is so unrelated to the achievement of any combination of legitimate purposes as to be irrational. Defendant State of New York may rationally seek to prevent the distribution of prescriptions for lethal dosages of drugs that could, upon fulfillment, be deliberately or accidentally misused. Defendant also has a significant interest in preserving life and preventing suicide, a serious public health problem. At present, the state legislature has permissibly concluded that an absolute ban on assisted suicide is the most reliable, effective and administrable means of protecting against its dangers.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Death §§ 423, 463; AM JUR 2d Homicide § 110.
 MCKINNEY’S, Penal Law §§ 120.30, 125.15 (3).
 NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 449, 541.

ANNOTATION REFERENCE

See ALR Index under Homicide; Physicians and Surgeons.

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POINTS OF COUNSEL

Debevoise & Plimpton LLP, New York City (*Edwin G. Schallert*, *Jared I. Kagan* and *Olena Ripnick-O'Farrell* of counsel), and *Kathryn L. Tucker*, *End of Life Liberty Project*, of the Washington bar, admitted pro hac vice, of counsel, for appellants. I. The Appellate Division erred in holding, as a matter of law, that the assisted suicide statute prohibits aid-in-dying. (*People v Ryan*, 274 NY 149; *Leon v Martinez*, 84 NY2d 83; *Surace v Danna*, 248 NY 18; *People v Duffy*, 79 NY2d 611; *Cabell v Markham*, 148 F2d 737; *Matter of Jacob*, 86 NY2d 651; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Eichner [Fox]*, 73 AD2d 431; *Compassion in Dying v State of Wash.*, 79 F3d 790; *Schloendorff v Society of N.Y. Hosp.*, 211 NY 125.) II. The Appellate Division erred in dismissing plaintiffs' claims under the Due Process Clause of New York's Constitution. (*Hernandez v Robles*, 7 NY3d 338; *Rivers v Katz*, 67 NY2d 485; *Matter of Delio v Westchester County Med. Ctr.*, 129 AD2d 1; *Matter of Eichner [Fox]*, 73 AD2d 431; *Matter of Bezio v Dorsey*, 21 NY3d 93; *Washington v Glucksberg*, 521 US 702; *People v Barber*, 289 NY 378; *People v LaValle*, 3 NY3d 88; *People v Scott*, 79 NY2d 474; *Cooper v Morin*, 49 NY2d 69.) III. The Appellate Division erred in dismissing plaintiffs' claims under the Equal Protection Clause of the New York Constitution. (*Matter of Burns v Miller Constr.*, 55 NY2d 501; *Vacco v Quill*, 521 US 793; *PMJ Capital Corp. v PAF Capital, LLC*, 98 AD3d 429; *Washington v Glucksberg*, 521 US 702.)

Eric T. Schneiderman, *Attorney General*, New York City (*Anisha S. Dasgupta*, *Barbara D. Underwood* and *Valerie Figueredo* of counsel), for respondent. I. Plaintiffs' complaint fails to state a valid cause of action. (*Rushaid v Pictet & Cie*, 28 NY3d 316.) II. Plaintiffs' proposed conduct is encompassed by the Penal Law's prohibitions on assisting a suicide. (*Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *People v Minor*, 111 AD3d 198; *Washington v Glucksberg*, 521 US 702; *Matter of Manhattan Pizza Hut v New York State Human Rights Appeal Bd.*, 51 NY2d 506; *People v King*, 61 NY2d 550;

People v Boothe, 16 NY3d 195; *Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Bumbury v City of New York*, 62 AD3d 621.) III. Plaintiffs have not stated a valid claim under the Due Process Clause. (*People v Knox*, 12 NY3d 60; *Washington v Glucksberg*, 521 US 702; *Matter of Bezio v Dorsey*, 21 NY3d 93; *Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Rivers v Katz*, 67 NY2d 485; *Matter of Storar*, 52 NY2d 363; *Cruzan v Director, Mo. Dept. of Health*, 497 US 261; *Matter of Von Holden v Chapman*, 87 AD2d 66; *Hope v Perales*, 83 NY2d 563; *Matter of Koch v Sheehan*, 21 NY3d 697.) IV. Plaintiffs have not stated a valid claim under the Equal Protection Clause. (*People v Walker*, 81 NY2d 661; *Washington v Glucksberg*, 521 US 702; *Matter of Bezio v Dorsey*, 21 NY3d 93; *Dorsey v Stuyvesant Town Corp.*, 299 NY 512; *Matter of Esler v Walters*, 56 NY2d 306; *Bumbury v City of New York*, 62 AD3d 621; *Maurer v United States*, 668 F2d 98; *Derdarian v Felix Contr. Corp.*, 51 NY2d 308.)

Kelley Drye & Warren LLP, New York City (*Robert E. Crotty* of counsel), for Michael R. Aiello, M.D. and others, amici curiae. I. Aid in dying is assisted suicide. II. Physician-assisted suicide is not accepted in the medical profession. III. Physician-assisted suicide is contrary to the physician's professional relationship with the patient. IV. Palliative care can effectively treat terminally ill patients without intentionally hastening their death. V. Physicians cannot accurately diagnose and prognosticate disease. VI. Reversal would provide no safeguards against abuse and would effectively allow physicians to make life and death decisions without any standards for doing so.

Edward T. Mechmann, New York State Catholic Conference, New York City, amicus curiae. I. The Appellate Division correctly held that so-called "aid in dying" is assisted suicide. (*We're Assoc. Co. v Cohen*, *Stracher & Bloom*, 65 NY2d 148; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *Washington v Glucksberg*, 521 US 702; *Vacco v Quill*, 521 US 793.) II. Overturning New York State's ban on assisted suicide would violate a clear and strong state interest to prevent suicides. III. Legalizing assisted suicide would violate the State's interest and duty to protect vulnerable persons. (*Matter of Aliessa v Novello*, 96 NY2d 418; *Tucker v Toia*, 43 NY2d 1.)

Adam Prizio, Albany, for Not Dead Yet and others, amici curiae. I. Assisted suicide discriminates against people with disabilities. (*Washington v Glucksberg*, 521 US 702.) II. Assisted suicide poses serious, unavoidable threats to people with dis-

abilities that New York has a significant state interest in preventing. (*Vacco v Quill*, 521 US 793; *Washington v Glucksberg*, 521 US 702.) III. The creation of a constitutional right to assisted suicide for a class of New Yorkers based on their health and disability status is a lethal form of discrimination.

New York Civil Liberties Union Foundation, New York City (*Beth Haroules* and *Arthur Eisenberg* of counsel), for New York Civil Liberties Union, amicus curiae. I. The Due Process Clause of the New York State Constitution protects the personal choice of a mentally competent, terminally ill individual to aid in dying. (*Hope v Perales*, 83 NY2d 563; *Cooper v Morin*, 49 NY2d 69; *Matter of Marie B.*, 62 NY2d 352; *Roe v Wade*, 410 US 113; *Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Rivers v Katz*, 67 NY2d 485; *Matter of Storar*, 52 NY2d 363; *Matter of Eichner [Fox]*, 73 AD2d 431; *Matter of Westchester County Med. Ctr. [O'Connor]*, 72 NY2d 517; *Matter of Delio v Westchester County Med. Ctr.*, 129 AD2d 1.) II. The courts of New York State have an obligation to enforce constitutional rights and cannot ignore that obligation by simply deferring to the legislature. (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Benson Realty Corp. v Beame*, 50 NY2d 994; *People v LaValle*, 3 NY3d 88.)

Alan A. Pfeffer, Glenmont, for Alan A. Pfeffer and another, amici curiae. I. The decision must be reversed and a full record developed. (*Washington v Glucksberg*, 521 US 702; *Crawford v Merrill Lynch, Pierce, Fenner & Smith*, 35 NY2d 291; *Chanko v American Broadcasting Cos. Inc.*, 27 NY3d 46.) II. A liberty-privacy-choice interest under the New York Constitution for aid in dying exists. (*People v LaValle*, 3 NY3d 88; *Gonzales v Oregon*, 546 US 243; *People v Wilkins*, 65 NY2d 172; *Prink v Rockefeller Ctr.*, 48 NY2d 309; *People v Lochner*, 177 NY 145; *Everson v Board of Ed. of Ewing*, 330 US 1.)

Mordechai Biser, Passaic, New Jersey and *Avrohom Weinstock*, *Agudath Israel of America*, New York City, for *Agudath Israel of America*, amicus curiae. I. The assisted suicide statute prohibits aid-in-dying and physician assisted suicide. (*People v Finnegan*, 85 NY2d 53; *People v Minor*, 111 AD3d 198; *Mauch v Supreme Tribe of Ben Hur*, 100 App Div 49; *People v Duffy*, 79 NY2d 611; *Washington v Glucksberg*, 521 US 702.) II. The Court should not create a new “right” to end one’s life that lacks any basis in the text of the US or New York State Constitutions or the history and tradition of our nation. (*Bow-*

ers v Hardwick, 478 US 186; *San Antonio Independent School Dist. v Rodriguez*, 411 US 1; *Washington v Glucksberg*, 521 US 702; *Palko v Connecticut*, 302 US 319; *Moore v East Cleveland*, 431 US 494; *Sharrock v Dell Buick-Cadillac*, 45 NY2d 152; *People v Ramos*, 85 NY2d 678; *Matter of Bezio v Dorsey*, 21 NY3d 93.) III. Prohibiting aid-in-dying does not violate the Equal Protection Clause of the New York State Constitution. (*Hernandez v Robles*, 7 NY3d 338; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Heller v Doe*, 509 US 312.)

Drinker Biddle & Reath LLP, New York City (Clay J. Pierce, Wilson M. Brown, III and Nicholas J. Stevens of counsel), for New York Chapter of the National Academy of Elder Law Attorneys, amicus curiae. I. A proper construction of the assisted suicide statute should be informed by facts. (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *People v New York City Tr. Auth.*, 59 NY2d 343; *Held v Kaufman*, 91 NY2d 425; *Edmond v International Bus. Machs. Corp.*, 91 NY2d 949; *Leon v Martinez*, 84 NY2d 83; *Hurrell-Harring v State of New York*, 15 NY3d 8; *Armstrong v Simon & Schuster*, 85 NY2d 373; *Farnham v Kittinger*, 83 NY2d 520; *Iannotti v Consolidated Rail Corp.*, 74 NY2d 39; *Rust v Reyer*, 91 NY2d 355.) II. Facts are central to a proper determination of appellants' constitutional claims. (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Edmond v International Bus. Machs. Corp.*, 91 NY2d 949; *Hurrell-Harring v State of New York*, 15 NY3d 8; *People v LaValle*, 3 NY3d 88; *Sharrock v Dell Buick-Cadillac*, 45 NY2d 152; *Cooper v Morin*, 49 NY2d 69.)

Covington & Burling LLP, Washington, D.C. (Christina G. Kuhn of counsel), for American Medical Student Association and others, amici curiae. I. The Appellate Division erred in holding that the assisted suicide statute prohibits aid in dying. (*People v Ryan*, 274 NY 149; *Washington v Glucksberg*, 521 US 702.) II. The Appellate Division erred in dismissing plaintiffs-appellants' claims under the Due Process Clause and Equal Protection Clause of the New York Constitution. (*Hope v Perales*, 83 NY2d 563; *Rivers v Katz*, 67 NY2d 485; *Gonzales v Oregon*, 546 US 243; *Hillsborough County v Automated Medical Laboratories, Inc.*, 471 US 707.)

Holland & Knight LLP, New York City (Michael B. Eisenberg of counsel), for Richard N. Gottfried and others, amici curiae. I. In order to promote justice and effect the objects of the law, the assisted-suicide statute should not be read to reach a

physician's acts related to aid-in-dying. (*People v Benc*, 288 NY 318; *People v Eulo*, 63 NY2d 341; *People v Vetri*, 309 NY 401; *People v Taylor*, 192 NY 398; *People v Werner*, 174 NY 132; *People v Duffy*, 79 NY2d 611; *Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Matter of Storar*, 52 NY2d 363; *Vacco v Quill*, 521 US 793; *Matter of Eichner [Fox]*, 73 AD2d 431.) II. Applying the assisted-suicide statute to the conduct at issue here should require legislative action. III. The opponents of medical aid-in-dying rely on slippery slope and parade of horrors arguments to support the status quo. (*Matter of Zornow*, 31 Misc 3d 450; *People v Minor*, 28 Misc 3d 278.)

Winston & Strawn LLP, New York City (*Stephen L. Sheinfeld* and *Carla Kerr Stearns* of counsel), for Betty Rollin and others, amici curiae. I. The law applicable to aid in dying cannot be decided without a full evidentiary record. (*Rivers v Katz*, 67 NY2d 485; *Matter of Storar*, 52 NY2d 363; *Matter of Delio v Westchester County Med. Ctr.*, 129 AD2d 1; *Matter of Eichner [Fox]*, 73 AD2d 431; *Washington v Glucksberg*, 521 US 702; *Sharrock v Dell Buick-Cadillac*, 45 NY2d 152; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *United States v Salerno*, 481 US 739; *Amazon.com, LLC v New York State Dept. of Taxation & Fin.*, 81 AD3d 183, 20 NY3d 590; *Lawrence v Texas*, 539 US 558.) II. Precedents point to obvious distinctions between behavior criminalized in the assisted suicide statute and medical aid in dying at the end of life. (*People v Duffy*, 79 NY2d 611; *Matter of Storar*, 52 NY2d 363; *Matter of Delio v Westchester County Med. Ctr.*, 129 AD2d 1; *Matter of Eichner [Fox]*, 73 AD2d 431.) III. New York's privacy and liberty rights protect New Yorkers who suffer at the end of life and seek aid in dying. (*Matter of Storar*, 52 NY2d 363; *Rivers v Katz*, 67 NY2d 485; *Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833.) IV. Given the more expansive rights afforded under New York's Equal Protection Clause, this Court is free to follow the reasoning of the Second Circuit in *Quill v Vacco* (80 F3d 716 [1996]). (*Matter of Storar*, 52 NY2d 363; *Matter of Delio v Westchester County Med. Ctr.*, 129 AD2d 1; *Roe v Wade*, 410 US 113.)

Chaffetz Lindsey LLP, New York City (*Steven C. Schwartz* and *Jungmin Cho* of counsel), and *Law Offices of Joshua L. Dratel, P.C.*, New York City (*Joshua L. Dratel* of counsel), for National Association of Criminal Defense Lawyers, amicus curiae. I. The lower courts erred by considering only the dictionary definition of the word "suicide" and ignoring other

important rules of statutory construction. (*New York State Bankers Assn. v Albright*, 38 NY2d 430; *Matter of Sutka v Conners*, 73 NY2d 395; *Matter of Meyer*, 209 NY 386; *People v Coe*, 71 NY2d 852; *People v Golb*, 23 NY3d 455; *People v Thompson*, 26 NY3d 678.) II. In the alternative, the Appellate Division's interpretation should be rejected because the assisted suicide statute, as applied to physician appellants, would be unconstitutionally vague. (*People v New York Trap Rock Corp.*, 57 NY2d 371; *People v Stuart*, 100 NY2d 412; *Matter of Eichner [Fox]*, 73 AD2d 431; *Vacco v Quill*, 521 US 793, *Matter of Storar*, 52 NY2d 363; *Compassion in Dying v State of Wash.*, 79 F3d 790; *People v Bright*, 71 NY2d 376; *People v Berck*, 32 NY2d 567.)

Patterson Belknap Webb & Tyler LLP, New York City (Stephen P. Younger and Anthony C. DeCinque of counsel), for Vincent Bonventre and others, amici curiae. I. Our federal system relies on the states to exercise independent judgment in developing their own constitutional law. (*People v P.J. Video*, 68 NY2d 296; *New State Ice Co. v Liebmann*, 285 US 262; *McCann v People*, 16 NY 58; *West Coast Hotel Co. v Parrish*, 300 US 379; *Arizona v Gant*, 556 US 332; *People v Blasich*, 73 NY2d 673; *Murdock v Memphis*, 87 US 590; *Minnesota v National Tea Co.*, 309 US 551; *Michigan v Long*, 463 US 1032; *Massachusetts v Upton*, 466 US 727.) II. The Appellate Division erred by relying too heavily on federal constitutional law, and the government makes a similar mistake here. (*Washington v Glucksberg*, 521 US 702; *Bowers v Hardwick*, 478 US 186; *People v Knox*, 12 NY3d 60; *Hernandez v Robles*, 7 NY3d 338; *Cooper v Morin*, 49 NY2d 69; *Wilkinson v Skinner*, 34 NY2d 53.) III. This Court should recognize under New York constitutional law the right of a mentally competent, terminally ill person to control the manner of their death. (*Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Matter of Storar*, 52 NY2d 363; *Rivers v Katz*, 67 NY2d 485; *Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Grace Plaza of Great Neck v Elbaum*, 82 NY2d 10; *Matter of Viemeister*, 179 NY 235; *Matter of Bezio v Dorsey*, 21 NY3d 93; *Matter of Westchester County Med. Ctr. [O'Connor]*, 72 NY2d 517; *People v Eulo*, 63 NY2d 341; *Fiorentino v Wenger*, 19 NY2d 407.) IV. This Court may also rely on its power to shape the common law. (*People v Eulo*, 63 NY2d 341; *People v Duffy*, 79 NY2d 611; *Morgan v State of New York*, 90 NY2d 471.)

Hennessey & Bienstock LLP, New York City (*Patricia Hennessey* of counsel), and *Verrill Dana LLP*, Boston, Massachusetts (*Thomas O. Bean* of counsel), for Unitarian Universalist Association and others, amici curiae. I. This Court should construe the assisted suicide statute as not prohibiting aid-in-dying to avoid having to decide the constitutionality of that statute. (*People v Correa*, 15 NY3d 213; *People v Dietze*, 75 NY2d 47; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144.) II. Upholding the Appellate Division’s decision would mean, contrary to the view of the United States Supreme Court, that there is no set of facts under which the assisted suicide statute would violate a patient’s right to equal protection and due process. (*Washington v Glucksberg*, 521 US 702; *Vacco v Quill*, 521 US 793.) III. If the assisted suicide statute does cover aid-in-dying, it violates the Establishment Clause by preferring one religious tradition over another. (*Everson v Board of Ed. of Ewing*, 330 US 1; *Lemon v Kurtzman*, 403 US 602; *Edwards v Aguillard*, 482 US 578; *McCreary County v American Civil Liberties Union of Ky.*, 545 US 844; *Matter of Griffin v Coughlin*, 88 NY2d 674; *Cruzan v Director, Mo. Dept. of Health*, 497 US 261; *Compassion in Dying v State of Wash.*, 79 F3d 790; *Quill v Vacco*, 80 F3d 716.)

Wilmer Cutler Pickering Hale and Dorr, New York City (*David B. Bassett* of counsel), and *Kevin Díaz*, *Compassion & Choices*, Portland, Oregon, for *Compassion & Choices*, amicus curiae. I. Penal Law §§ 120.30 and 125.15 violate the free speech provisions of the New York Constitution. (*Matter of Town of Islip v Caviglia*, 73 NY2d 544; *People v Marquan M.*, 24 NY3d 1; *Brown v Entertainment Merchants Assn.*, 564 US 786; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *People v Minor*, 111 AD3d 198; *Quill v Vacco*, 80 F3d 716; *People v Dietze*, 75 NY2d 47; *United States v Stevens*, 559 US 460; *People v Schrader*, 162 Misc 2d 789.) II. The Court need not and should not wait for the legislature to address this issue. (*People v Ohrenstein*, 153 AD2d 342, 77 NY2d 38; *Doe v Axelrod*, 73 NY2d 748; *Destiny USA Holdings, LLC v Citigroup Global Mkts. Realty Corp.*, 69 AD3d 212; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321; *Marone v Nassau County*, 39 Misc 3d 1034; *Vacco v Quill*, 521 US 793.)

OPINION OF THE COURT

Per Curiam.

Plaintiffs ask us to declare a constitutional right to “aid-in-dying,” which they define (and we refer to herein) as the right of a mentally competent and terminally ill person to obtain a prescription for a lethal dosage of drugs from a physician, to be taken at some point to cause death. Although New York has long recognized a competent adult’s right to forgo life-saving medical care, we reject plaintiffs’ argument that an individual has a fundamental constitutional right to aid-in-dying as they define it. We also reject plaintiffs’ assertion that the State’s prohibition on assisted suicide is not rationally related to legitimate state interests.

I. Factual and Procedural History

Plaintiffs filed the instant action against New York State’s Attorney General and several district attorneys,¹ requesting declaratory and injunctive relief to permit “aid-in-dying,” whereby a mentally competent, terminally ill patient may obtain a prescription from a physician to cause death. Plaintiffs request a declaratory judgment that physicians who provide aid-in-dying in this manner are not criminally liable under the State’s assisted suicide statutes—Penal Law §§ 120.30 and 125.15 (3).² They further request an injunction prohibiting the prosecution of physicians who issue such prescriptions to terminally ill, mentally competent patients.

When the complaint was filed, plaintiffs included three mentally competent patients, two of whom were terminally ill, and one of whom was being treated for cancer. The terminally ill plaintiffs have died, and the patient undergoing treatment is in remission. Plaintiffs also include individual medical providers who assert that fear of prosecution has prevented them from exercising their best professional judgment when counseling and treating their patients. They are joined by organizational plaintiff End of Life Choices, which sued on its own behalf and on behalf of its clients, for whom it provides

1. Plaintiffs discontinued the action against the district attorneys after entering into a stipulation that all parties would be bound by any result reached in the litigation between plaintiffs and the Attorney General.

2. Penal Law § 120.30 provides that “[a] person is guilty of promoting a suicide attempt when [such individual] intentionally causes or aids another person to attempt suicide.” Penal Law § 125.15 (3) provides that “[a] person is guilty of manslaughter in the second degree when . . . [such person] intentionally causes or aids another person to commit suicide.”

“information and counseling on informed choices in end-of-life decision-making.”

The Attorney General moved to dismiss the complaint on the grounds that plaintiffs failed to state a cause of action and did not present a justiciable controversy (*see* CPLR 3211 [a] [7], [2]). Supreme Court granted the motion (2015 NY Slip Op 31931[U] [2015]), and plaintiffs appealed. The Appellate Division modified on the law, declaring that the assisted suicide statutes provide a valid statutory basis to prosecute physicians who provide aid-in-dying and that the statutes do not violate the State Constitution, and as so modified, affirmed (140 AD3d 51, 65 [1st Dept 2016]). Plaintiffs appealed to this Court as of right, pursuant to CPLR 5601 (b) (1).

On appeal, plaintiffs argue that the State’s assisted suicide statutes do not prohibit aid-in-dying as a matter of law, and that the Appellate Division’s “literal” interpretation of the statutes is flawed. Alternatively, plaintiffs contend that application of the assisted suicide statutes to aid-in-dying violates their equal protection and due process rights under the State Constitution.

II. Reviewability

“On a motion to dismiss pursuant to CPLR 3211, the pleading is to be afforded a liberal construction” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994], citing CPLR 3026). “We accept the facts as alleged in the complaint as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*id.*). “[H]owever, ‘allegations consisting of bare legal conclusions as well as factual claims flatly contradicted by documentary evidence are not entitled to any such consideration’” (*Simkin v Blank*, 19 NY3d 46, 52 [2012], quoting *Maas v Cornell Univ.*, 94 NY2d 87, 91 [1999]; *see Connaughton v Chipotle Mexican Grill, Inc.*, 29 NY3d 137, 141-142 [2017]).

We reject plaintiffs’ argument that the lower courts improperly resolved numerous factual issues. This case involves questions of law, including: whether aid-in-dying constitutes assisted suicide within the meaning of the Penal Law; whether a competent terminally ill person has a fundamental right to physician-assisted suicide; and whether denying a competent, terminally ill patient aid-in-dying violates that patient’s right to equal treatment under the law. As there are no countervailing reasonable interpretations, these questions can be decided without any factual development.

III. Plaintiffs' Statutory Claim

Plaintiffs initially assert that we should interpret the assisted suicide statutes to exclude physicians who provide aid-in-dying. Such a reading would run counter to our fundamental tenets of statutory construction, and would require that we read into the statutes words and meaning wholly absent from their text (see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]).

“The governing rule of statutory construction is that courts are obliged to interpret a statute to effectuate the intent of the Legislature, and when the statutory language is clear and unambiguous, it should be construed so as to give effect to the plain meaning of the words used” (*People v Finnegan*, 85 NY2d 53, 58 [1995] [internal quotation marks and brackets omitted]). “[C]ourts may not reject a literal construction [of a statute] unless it is evident that a literal construction does not correctly reflect the legislative intent” (*Matter of Schinasi*, 277 NY 252, 259 [1938]).

[1] “Suicide” is not defined in the Penal Law, and therefore “we must give the term its ordinary and commonly understood meaning” (*People v Ocasio*, 28 NY3d 178, 181 [2016] [internal quotation marks omitted]). Suicide has long been understood as “the act or an instance of taking one’s own life voluntarily and intentionally” (Webster’s Collegiate Dictionary 1249 [11th ed 2003]; see 2 Webster, *An American Dictionary of the English Language* [1828]). Black’s Law Dictionary (10th ed 2014) defines “suicide” as “[t]he act of taking one’s own life,” and “assisted suicide” as “[t]he intentional act of providing a person with the medical means or the medical knowledge to commit suicide.” Aid-in-dying falls squarely within the ordinary meaning of the statutory prohibition on assisting a suicide.

The assisted suicide statutes apply to anyone who assists an attempted or completed suicide. There are no exceptions, and the statutes are unqualified in scope, creating an “irrefutable inference . . . that what is omitted or not included was intended to be omitted or excluded” (*People v Jackson*, 87 NY2d 782, 788 [1996] [internal quotation marks omitted]). Furthermore, this Court previously resolved any doubt as to the scope of the ban on assisted suicide. In *People v Duffy*, we explained that “section 125.15 (3)’s proscription against intentionally causing or aiding a suicide applies even where the defendant is motivated by ‘sympathetic’ concerns, such as the desire to

relieve a terminally ill person from the agony of a painful disease” (79 NY2d 611, 615 [1992], citing Staff Notes of Comm’n on Revision of Penal Law and Crim Code, Proposed NY Penal Law, McKinney’s Cons Laws of NY, Spec Pamph at 339 [1964]).

As written, the assisted suicide statutes apply to a physician who intentionally prescribes a lethal dosage of a drug because such act constitutes “promoting a suicide attempt” (Penal Law § 120.30) or “aid[ing] another person to commit suicide” (Penal Law § 125.15 [3]). We therefore reject plaintiffs’ statutory construction claim.

IV. Plaintiffs’ Constitutional Claims

Alternatively, plaintiffs claim that the assisted suicide statutes, if applied to aid-in-dying, would violate their rights under the Equal Protection and Due Process Clauses of our State Constitution. We reject those claims.

A. Equal Protection

Plaintiffs allege that the assisted suicide statutes violate the State Equal Protection Clause because some, but not all, patients may hasten death by directing the withdrawal or withholding of life-sustaining medical assistance. Plaintiffs therefore contend that the criminalization of aid-in-dying discriminates unlawfully between those terminally ill patients who can choose to die by declining life-sustaining medical assistance, and those who cannot.

[2] Our State’s equal protection guarantees are coextensive with the rights protected under the Federal Equal Protection Clause (see *People v Aviles*, 28 NY3d 497, 502 [2016]; *Matter of Esler v Walters*, 56 NY2d 306, 313-314 [1982]). In *Vacco v Quill*, the United States Supreme Court held that New York State’s laws banning assisted suicide do not unconstitutionally distinguish between individuals (521 US 793, 797 [1997]). As the Court explained, “[e]veryone, regardless of physical condition, is entitled, if competent, to refuse unwanted lifesaving medical treatment; *no one* is permitted to assist a suicide. Generally speaking, laws that apply evenhandedly to all unquestionably comply with the Equal Protection Clause” (*id.* at 800 [internal quotation marks omitted]). The Supreme Court has not retreated from that conclusion, and we see no reason to hold otherwise.

B. Due Process

In support of their due process argument, plaintiffs assert that their fundamental right to self-determination and to

control the course of their medical treatment encompasses the right to choose aid-in-dying. They further assert that the assisted suicide statutes unconstitutionally burden that fundamental right.

In *Washington v Glucksberg*, the United States Supreme Court “examin[ed] our Nation’s history, legal traditions, and practices,” and concluded that “the asserted ‘right’ to assistance in committing suicide is not a fundamental liberty interest protected by the Due Process Clause” of the Federal Constitution (521 US 702, 710, 728 [1997]). We have, at times, held that our State Due Process Clause provides greater protections than its federal counterpart (see *Aviles*, 28 NY3d at 505), and therefore Supreme Court precedent rejecting plaintiffs’ claim as a matter of federal constitutional due process is not dispositive. Accordingly, we turn to whether the right claimed here falls within the ambit of that broader state protection.

Contrary to plaintiffs’ claim, we have never defined one’s right to choose among medical treatments, or to refuse life-saving medical treatments, to include any broader “right to die” or still broader right to obtain assistance from another to end one’s life. In *Schloendorff v Society of N.Y. Hosp.*, we held that a surgeon who performed an operation without the patient’s consent committed an assault and, in that context, we noted that “[e]very human being of adult years and sound mind has a right to determine what shall be done with [such person’s] own body” (211 NY 125, 129-130 [1914]). *Matter of Storar* likewise concerned the right to refuse life-sustaining medical treatment when the patients were not mentally competent (52 NY2d 363, 377 [1981]). In *Rivers v Katz*, holding that involuntarily committed mental patients have a fundamental right to refuse antipsychotic medication, we concluded that a patient’s right “to refuse medical treatment must be honored, even though the recommended treatment may be beneficial or even necessary to preserve the patient’s life” (67 NY2d 485, 492-493 [1986]).

We have consistently adopted the well-established distinction between refusing life-sustaining treatment and assisted suicide (see *Matter of Bezio v Dorsey*, 21 NY3d 93, 103 [2013]; *Matter of Fosmire v Nicoleau*, 75 NY2d 218, 227 [1990]; *Storar*, 52 NY2d at 377 n 6). The right to refuse medical intervention is at least partially rooted in notions of bodily integrity, as the right to refuse treatment is a consequence of a person’s right to resist unwanted bodily invasions (see *Cruzan v Director, Mo.*

Dept. of Health, 497 US 261, 269-270 [1990]; *Schloendorff*, 211 NY at 129-130). In the case of the terminally ill, refusing treatment involves declining life-sustaining techniques that intervene to delay death. Aid-in-dying, by contrast, involves a physician actively prescribing lethal drugs for the purpose of directly causing the patient's death. As the Court stated in *Matter of Fosmire v Nicoleau*, "[i]n many if not most instances the State stays its hand and permits fully competent adults to engage in conduct or make personal decisions which pose risks to their lives or health"; however, "[t]he State will intervene to prevent suicide" (75 NY2d at 227).

"[M]erely declining medical care, even essential treatment, is not considered a suicidal act" (*id.*). Although we do not reach the issue addressed by Judge Rivera's concurrence on this appeal, the Supreme Court has noted that "the distinction between assisting suicide and withdrawing life-sustaining treatment, a distinction widely recognized and endorsed in the medical profession and in our legal traditions, is both important and logical; it is certainly rational," and it turns on "fundamental legal principles of causation and intent" (*Vacco*, 521 US at 800-801). As a general matter, the law has "long used actors' intent or purpose to distinguish between two acts that may have the same result" (*id.* at 802; see also *Bezio*, 21 NY3d at 103, quoting *Matter of Von Holden v Chapman*, 87 AD2d 66, 70 [4th Dept 1982]).

[3] The right asserted by plaintiffs is not fundamental, and therefore the assisted suicide statutes need only be rationally related to a legitimate government interest (see *People v Knox*, 12 NY3d 60, 67 [2009]). "The rational basis test is not a demanding one" (*id.* at 69); rather, it is "the most relaxed and tolerant form of judicial scrutiny" (*Dallas v Stanglin*, 490 US 19, 26 [1989]). Rational basis involves a "strong presumption" that the challenged legislation is valid, and "a party contending otherwise bears the heavy burden of showing that a statute is so unrelated to the achievement of any combination of legitimate purposes as to be irrational" (*Knox* at 69 [internal quotation marks omitted]). A challenged statute will survive rational basis review so long as it is "rationally related to any conceivable legitimate State purpose" (*People v Walker*, 81 NY2d 661, 668 [1993] [citation omitted]). "Indeed, courts may even hypothesize the Legislature's motivation or possible legitimate purpose" (*Affronti v Crosson*, 95 NY2d 713, 719 [2001] [citation omitted]). At bottom, "[t]he rational basis standard of

review is a paradigm of judicial restraint” (*id.* [citation omitted]).

As to the right asserted here, the State pursues a legitimate purpose in guarding against the risks of mistake and abuse. The State may rationally seek to prevent the distribution of prescriptions for lethal dosages of drugs that could, upon fulfillment, be deliberately or accidentally misused. The State also has a significant interest in preserving life and preventing suicide, a serious public health problem (*see Bezio*, 21 NY3d at 104; *Storar*, 52 NY2d at 377; *see also Glucksberg*, 521 US at 729). As summarized by the Supreme Court, the State’s interests in prohibiting assisted suicide include: “prohibiting intentional killing and preserving life; preventing suicide; maintaining physicians’ role as their patients’ healers; protecting vulnerable people from indifference, prejudice, and psychological and financial pressure to end their lives; and avoiding a possible slide towards euthanasia” (*Vacco*, 521 US at 808-809). These legitimate and important state interests further “satisfy the constitutional requirement that a legislative classification bear a rational relation to some legitimate end” (*id.* at 809).

These interests are long-standing. As the Supreme Court observed, “[t]he earliest American statute explicitly to outlaw assisting suicide was enacted in New York in 1828” (*Glucksberg*, 521 US at 715 [citation omitted]). New York’s Task Force on Life and the Law, which was first convened in 1984, carefully studied issues surrounding physician-assisted suicide and “unanimously concluded that [l]egalizing assisted suicide and euthanasia would pose profound risks to many individuals who are ill and vulnerable” and that the “potential dangers of this dramatic change in public policy would outweigh any benefit that might be achieved” (*id.* at 719 [citation and internal quotation marks omitted]). The legislature has periodically examined that ban—including in recent years—and has repeatedly rejected attempts to legalize physician-assisted suicide in New York.

The legislature may conclude that those dangers can be effectively regulated and specify the conditions under which it will permit aid-in-dying. Indeed, the jurisdictions that have permitted the practice have done so only through considered legislative action (*see Or Rev Stat Ann* §§ 127.800-127.897 [enacted in 1997]; *Wash Rev Code* §§ 70.245.010-70.245.904 [enacted in 2008]; *Vt Stat Ann*, tit 18, ch 113 [enacted in 2013];

California End of Life Option Act, Cal Health & Safety Code part 1.85 [enacted in 2015]; Colo Rev Stat §§ 25-48-101—25-48-123 [enacted in 2016]; DC Act 21-577 [enacted in 2016]), and those courts to have considered this issue with respect to their own state constitutions have rejected similar constitutional arguments (see *Morris v Brandenburg*, 2016-NMSC-027, ¶ 16, 376 P3d 836, 843 [2016]; *Sampson v State*, 31 P3d 88 [Alaska 2001]; *Krischer v McIver*, 697 So 2d 97, 104 [Fla 1997]; *People v Kevorkian*, 447 Mich 436, 446, 527 NW2d 714, 717 [1994]; see also *Donaldson v Lungren*, 2 Cal App 4th 1614, 1622, 4 Cal Rptr 2d 59, 63 [1992]).³ At present, the legislature of this State has permissibly concluded that an absolute ban on assisted suicide is the most reliable, effective, and administrable means of protecting against its dangers (see *Glucksberg*, 521 US at 731-733).

V. Conclusion

Our legislature has a rational basis for criminalizing assisted suicide, and plaintiffs have no constitutional right to the relief they seek herein. Accordingly, the order of the Appellate Division should be affirmed, without costs.

RIVERA, J. (concurring). Our State and Federal Constitutions guarantee heightened due process protections against unjustified government interference with the liberty of all persons to make certain deeply personal choices (NY Const, art I, § 6; US Const 14th Amend; see also *Rivers v Katz*, 67 NY2d 485, 492-493 [1986]; *Obergefell v Hodges*, 576 US —, —, 135 S Ct 2584, 2597 [2015]). This conception of liberty is grounded in notions of individual freedom, personal autonomy, dignity, and self-determination (see *Rivers*, 67 NY2d at 493; *Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833, 857 [1992]; *Lawrence v Texas*, 539 US 558, 562 [2003] [“Liberty presumes an autonomy of self that includes freedom of thought, belief, expression, and certain intimate conduct”]; John P. Safranek, M.D. & Stephen J. Safranek, *Can the Right to Autonomy Be Resuscitated After Glucksberg?*, 69 U Colo L Rev 731, 733-742

3. The Supreme Court of Montana has held that a statutory consent defense protects physicians from prosecution for physician-assisted suicide, but it did not reach the constitutional question (see *Baxter v State*, 354 Mont 234, 251, 224 P3d 1211, 1222, 2009 MT 449, ¶ 50 [2009]).

[1998]).¹ “At the heart of liberty is the right to define one’s own concept of existence, of meaning, of the universe, and of the mystery of human life” (*Casey*, 505 US at 851).

On this appeal, the plaintiffs essentially seek a declaration that mentally-competent, terminally-ill patients have an unrestricted state constitutional right to physician-prescribed medications that hasten death. I concur with the Court that this broad right as defined by plaintiffs is not guaranteed under the New York State Constitution, and that the State has compelling and legitimate interests in prohibiting unlimited and unconditional access to physician-assisted suicide.² These interests, however, are not absolute or unconditional. In particular, the State’s interests in protecting and promoting life diminish when a mentally-competent, terminally-ill person approaches the final stage of the dying process that is agonizingly painful and debilitating. In such a situation, the State cannot prevent the inevitable, and its interests do not outweigh either the individual’s right to self-determination or the freedom to choose a death that comports with the individual’s values and sense of dignity. Given that the State already permits a physician to take affirmative steps to comply with a patient’s request to hasten death, and that the State concedes that the legislature could permit the practice sought by plaintiffs, the State’s interests lack constitutional force for this specific subgroup of patients. Considering the State’s sanctioning of terminal sedation in particular, the statute does not survive rational basis review. Therefore, in my view, the State may not unduly burden a terminally-ill patient’s access to physician-prescribed medication that allows the patient in the last painful stage of life to achieve a peaceful death as the end draws near.³

1. There is a rich debate taking place over centuries discussing the meaning of the term “dignity,” and the significance of the concept remains controversial today (see generally Richard E. Ashcroft, *Making Sense of Dignity*, 31 J Med Ethics 679 [2005]). As used here, the term is intended to evoke an individual’s freedom to pursue autonomously chosen goals as well as an individual’s need to be free from debasement and humiliation, broadly conceived (*id.* at 681).

2. I agree with the Court’s analysis that what plaintiffs call “aid-in-dying” is assisted-suicide within the meaning of our criminal law (per curiam op at 12-13), and that the plaintiffs’ equal protection claim is without merit (*id.* at 13). I address only the rights of the terminally ill under the State Due Process Clause.

3. Lest my intention be misconstrued, I do not write to expound on plaintiffs’ state due process rights as limited by their complaint, but rather to

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I.

“Death will be different for each of us. For many, the last days will be spent in physical pain and perhaps the despair that accompanies physical deterioration and a loss of control of basic bodily and mental functions. Some will seek medication to alleviate that pain and other symptoms” (*Washington v Glucksberg*, 521 US 702, 736 [1997, O’Connor, J., concurring]). Justice O’Connor’s poignant description of the end of life is familiar to plaintiffs, who included, at the time the complaint was filed, three mentally-competent adults, two of whom were terminally ill, and one of whom was being treated for cancer. These patient plaintiffs expressed a desire for more than pain management; they sought to maintain a sense of dignity, autonomy, and personal integrity in the face of death, which they claimed had been compromised by both their respective illnesses and by the State’s prohibition on assisted suicide. They requested judicial recognition of a right to decide how and when to die by accessing medication that would permit each of them to put an immediate end to their respective suffering.

Two of these patient plaintiffs have since passed. When the complaint was filed, one plaintiff was 60 years old and suffered from Lou Gehrig’s disease, a neurodegenerative condition without a cure. As the disease took hold, she was in constant pain and “fe[lt] trapped in a torture chamber of her own deteriorating body,” fully aware of all that was transpiring to her physically and, worse yet, that the agonizing pain would persist for the rest of her days. She sought relief in the form of prescription medications that she could ingest “to achieve a peaceful death.”

The other deceased patient plaintiff was 55 years old and terminally ill with acquired immune deficiency syndrome (AIDS). A regimen of several medications kept him alive. He suffered from a variety of ailments and, as a consequence, had part of his foot amputated. He developed laryngeal carcinoma, which necessitated a tracheotomy that made it difficult for him to speak. He took more than 24 medications either through his feeding tube or by injection, and required morphine for pain management. He slept 19 hours a day and spent most of his five waking hours cleaning and maintaining his feeding and

address the State’s position that its interests outweigh the rights of all terminally-ill patients regardless of their condition.

oxygen tubes, and taking his daily medications and injections. According to the complaint, he “wishe[d] to have the comfort of knowing that, if and when his suffering [became] unbearable, he [could] ingest medications prescribed by his doctor to achieve a peaceful death.”

The surviving patient plaintiff is in his eighties. He developed cancer and, after surgery to remove his bladder, suffered a recurrence but is now in remission. The complaint states that he wants “to be sure that if the cancer progresses to a terminal stage, and he finds himself in a dying process he determines to be unbearable, he has available to him the option of aid-in-dying.”

These patient plaintiffs, joined by a group of physicians practicing end-of-life care and the nonprofit End of Life Choices New York, challenge the application of New York’s Penal Law to physicians who are willing to provide mentally-competent, terminally-ill patients, like the named patient plaintiffs, with a prescription for medication that they could ingest to end their lives before they succumb to the ravages of their illnesses. These providers maintain that aid-in-dying is a medically and ethically appropriate treatment that should be legally available to patients. They are supported by several amici, including professional organizations such as the American Medical Student Association, American Medical Women’s Association, American College of Legal Medicine, New York Chapter of the National Academy of Elder Law Attorneys, and amici representing several surviving family members who have witnessed the death of a loved one, and who describe the emotional impact and stress endured by the family caregivers.

The stories retold by patient plaintiffs and amici family survivors describe the painful and harrowing experiences many terminally-ill patients endure in the final stage of life. The dying process, candidly recounted, illustrates the struggle of the terminally ill to live and die on their own terms, and is a vivid reminder of the fragility of human existence. It also provides necessary context for the legal analysis.

II.

Constitutional limits on governmental interference with individual liberty have long included protection of the fundamental right to bodily integrity (*Rivers*, 67 NY2d at 492; *Matter of Bezio v Dorsey*, 21 NY3d 93, 119 [2013]; *Glucksberg*, 521 US at 720; *Vacco v Quill*, 521 US 793, 807 [1997]). Courts have

recognized that decisions about what may or may not be done to one's body are "central to personal dignity and autonomy" and so are subject to heightened scrutiny (*Casey*, 505 US at 851; *Cruzan v Director, Mo. Dept. of Health*, 497 US 261, 278 [1990]). While we have not defined its outer limit, "[t]his Court has repeatedly construed the State Constitution's Due Process Clause to provide greater protection than its federal counterpart as construed by the Supreme Court" (*People v LaValle*, 3 NY3d 88, 127 [2004]; see also *People v Scott*, 79 NY2d 474, 496 [1992]).

Patients in New York State unquestionably have certain fundamental rights regarding medical treatment. In *Rivers v Katz*, this Court stated that "[i]t is a firmly established principle of the common law of New York that every individual of adult years and sound mind has a right to determine what shall be done with [such individual's] own body" (67 NY2d at 492 [internal quotation marks omitted]). The Court continued,

"[i]n our system of a free government, where notions of individual autonomy and free choice are cherished, it is the individual who must have the final say in respect to decisions regarding [the individual's] medical treatment in order to insure that the greatest possible protection is accorded [the individual's] autonomy and freedom from unwanted interference with the furtherance of [the person's] own desires" (*id.* at 493).

A few years later, this Court noted that "the State rarely acts to protect individuals from themselves, indicating that the State's interest is less substantial when there is little or no risk of direct injury to the public. This is consistent with the primary function of the State to preserve and promote liberty and the personal autonomy of the individual" (*Matter of Fosmire v Nicoleau*, 75 NY2d 218, 227 [1990]). As such, the "fundamental common-law right [of refusing medical treatment] is coextensive with the patient's liberty interest protected by the due process clause of our State Constitution" (*Rivers*, 67 NY2d at 493).

While this language may seem to countenance aid-in-dying, there are important caveats. First, the right to refuse medical treatment, while fundamental, "is not absolute and in some circumstances may have to yield to superior interests of the State" (*Fosmire*, 75 NY2d at 226). If a challenged statute infringes on a fundamental right, "it must withstand strict

scrutiny and is void unless necessary to promote a compelling State interest and narrowly tailored to achieve that purpose” (*Golden v Clark*, 76 NY2d 618, 623 [1990]). It is for the courts “to weigh the interests of the individual against the interests asserted on behalf of the State to strike an appropriate balance” (*Fosmire*, 75 NY2d at 226-227). Second, the Court has, as the per curiam makes clear, consistently distinguished between refusing life-sustaining or life-saving medical treatment and assisting suicide (see *Bezio*, 21 NY3d at 103; *Fosmire*, 75 NY2d at 227; *Matter of Storar*, 52 NY2d 363, 377 n 6 [1981]; per curiam op at 14-15). Across these cases the Court has held that an individual has a fundamental right to refuse medical treatment but, implicitly, not to physician-assisted suicide.

Even though this Court’s precedent establishes that the right to control medical treatment generally does not extend to assisted suicide, because the criminal statutes challenged on this appeal effect a curtailment of patients’ liberty, the State’s prohibition must still be rationally related to a legitimate government interest (*People v Knox*, 12 NY3d 60, 67 [2009]). The Court here highlights how the State’s legitimate interest in protecting life has led it to make a rational distinction between permitting a patient to refuse life-sustaining medical treatment and a ban on assisted suicide (per curiam op at 16; see e.g. *Bezio*, 21 NY3d at 103). This interest extends to protecting the lives of the terminally ill, as does the rational link between this interest and prohibiting assisted suicide. There are several bases on which the State may justify prohibiting physician-assisted suicide for the terminally ill in most cases: a terminal diagnosis may be incorrect, or at least underestimate the time a patient has left; palliative care can often reduce a patient’s will to die, whether caused by physical pain or depression, and thus prolong life; vulnerable, terminally-ill patients could face external influences encouraging them to hasten their deaths, such as familial or financial pressure; the fear of opening the door to voluntary and involuntary euthanasia; and, finally, the possible negative impact on the integrity and ethics of the medical profession.

I agree, on constraint of this prior case law, that the right of a patient to determine the course of medical treatment does not, in general, encompass an unrestricted right to assisted suicide, and the State’s prohibition of this practice in the vast majority of situations is rationally related to its legitimate interests. Nevertheless, this conclusion does not support the

State's position that its interests are always superior to and outweigh the rights of the terminally ill. In particular, when these patients are facing an impending painful death, their own interest may predominate. For the reasons I discuss, in those limited circumstances in which a patient seeks access to medical treatment options that end pain and hasten death, with the consent of a treating physician acting on best professional judgment, the State's interest is diminished and outweighed by the patient's liberty interest in personal autonomy.

III.

The liberty interest protected by our State Constitution is broader than the right to decline medical treatment. At its core, liberty is the right to define oneself through deeply personal choices that form a lifetime of human experience (*Casey*, 505 US at 851; *Rivers*, 67 NY2d at 493). As we have stated “to preserve and promote liberty and the personal autonomy of the individual” is “the primary function of the State” (*Fosmire*, 75 NY2d at 227).

An individual's interests in autonomy and freedom are not less substantial when facing the choice of how to bear the suffering and physical pain of a terminal illness at the end of life. Self-determination includes the freedom to make decisions about how to die just as surely as it includes decision-making about life's most private matters—e.g. sexuality, marriage, procreation, and child-rearing—all choices that reflect personal beliefs and desires (see e.g. *Lawrence*, 539 US at 567; *Matter of Brooke S.B. v Elizabeth A.C.C.*, 28 NY3d 1, 26 [2016]). As the United States Supreme Court has recognized, “[t]he choice between life and death is a deeply personal decision of obvious and overwhelming finality” (*Cruzan*, 497 US at 281).

For the terminally-ill patient who is experiencing intractable pain and suffering that cannot be adequately alleviated by palliative care, plaintiffs and amici affirm that the ability to control the end stage of the dying process and achieve a peaceful death may lead to a renewed sense of autonomy and freedom.⁴ So while the State's interest in protecting life is paramount, the law requires that we balance that interest

4. It is worth noting that in her *Glucksberg* concurrence, Justice O'Connor was operating on the assumption that *all* dying patients in Washington and New York could obtain palliative care that would relieve their suffering. As a result, she did not reach the narrower question of “whether a mentally

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against those of an individual facing an imminent and unbearably painful death. Contrary to the State's argument, the government's interest in protecting life diminishes as death draws near, as that interest "does not have the same force for a terminally ill patient faced not with the choice of whether to live, only of how to die" (*Glucksberg*, 521 US at 746 [Stevens, J., concurring]; see also *Wilkinson v Skinner*, 34 NY2d 53, 58 [1974] ["The requirements of due process are not static; they vary with the elements of the ambience in which they arise"]). In such cases, patients have "a constitutionally cognizable interest in obtaining relief from the suffering that they may experience in the last days of their lives" that outweighs the State's interest in essentially prolonging the agony (*Glucksberg*, 521 US at 737).

Certainly, the State may "stay[] its hand" by doing nothing to assist a terminally-ill patient, thus letting the dying process take its natural course (*Fosmire*, 75 NY2d at 227). However, this is not the approach chosen by the State of New York. The reality is that the State already permits a patient to choose medical measures that hasten death in ways that require active, deliberate assistance of a physician. These measures are not passive. For example, the State permits the turning off of ventilators, the removal of breathing tubes, and the removal of intravenous life-sustaining nourishment and medications, even when the physician and patient know this will lead rapidly to certain death. As such, the State currently allows a physician, with a patient or a guardian's informed consent, and in the exercise of the physician's professional judgment, to affirmatively assist in bringing about a terminally-ill patient's death (see Public Health Law §§ 2994-e [1]; 2994-f [1]).

These processes are widely considered appropriate and humane end-of-life treatments that recognize the dignity of the individual patient. The justifications for allowing a physician to take active steps to precipitate a patient's death were powerfully noted in 2010, in the context of changes to the Public Health Law that now allows guardians of mentally-incompetent patients to withdraw or withhold life-sustaining treatments. Supporters of the bill wrote that,

competent person who is experiencing great suffering has a constitutionally cognizable interest in controlling the circumstances of his or her imminent death" (*Glucksberg*, 521 US at 736-738 [O'Connor, J., concurring]). As plaintiffs and amici allege, and as medical science indicates, palliative care is not always an option for a terminally-ill patient in severe pain approaching death.

“[l]ost in the gaps of existing law, many families have witnessed what they knew to be the ardent desires of their incapacitated loved ones go unfulfilled for weeks and months, while every participant—from the patient, to family members, to the professionals providing care—has anguished. At the same time, families have been frozen by the lack of legal means to honor the deeply personal wishes of their loved ones” (Letter from Healthcare Association of NY St, Mar. 8, 2010, Bill Jacket, L 2010, ch 8 at 35).

The Assembly Memorandum in Support described the legislation as necessary because mentally-incompetent patients “may linger, through unnecessary medical intervention, in a state of irrevocable anguish,” and “are, as a class, uniquely disqualified from health care rights essential to the humane and dignified treatment to which every other citizen is entitled” (Mem in Support of 2001 NY Assembly Bill A8466D).

Plaintiffs and amici Surviving Family Members similarly describe how terminally-ill patients, deprived of a legal path to bring about a death in line with their wishes, suffer excruciatingly through the final moments of their lives as their loved ones and caregivers watch helplessly. The complaint, plaintiffs’ affidavits, and amici briefs are filled with accounts of patients who would have chosen aid-in-dying if the option were available. One account describes an elderly man whose bones were so riddled with cancer they would spontaneously break, even when he was lying in bed without bearing weight. Despite receiving opioids and other medications around the clock, he found his pain and suffering unbearable. He wanted to know his options for a peaceful death and the only option the physician was able to offer was for him to voluntarily stop eating and drinking. Another describes a man suffering from a degenerative motor neuron disease who, eight years after diagnosis, was wheelchair bound, had lost control of his bladder and bowels, as well as the ability to cough up food caught in his lungs, experienced his limbs atrophy, and “[e]verything which he had previously identified as degrading about dying.” Ultimately he too chose to stop eating and drinking. He remained conscious during the 12 days that followed until his death, at one point developing terminal agitation that caused “sudden uncontrollable fits of yelling and violent thrashing” that led to him being strapped to his bed.

The State argues a dichotomy between active and passive physician conduct differentiates aid-in-dying from other sanctioned end-of-life treatments. This binary is unpersuasive in this context. First, it does not conform with the experience of all physicians (Timothy E. Quill et al., *Palliative Options of Last Resort: A Comparison of Voluntary Stop Eating and Drinking, Terminal Sedation Physician-Assisted Suicide, and Voluntary Active Euthanasia*, 278 [23] JAMA 2099, 2102 [Dec. 17, 1997] [(T)here is nothing psychologically or physically passive about taking someone off a mechanical ventilator who is incapable of breathing on his or her own]). Second, the withdrawal of nourishment is anything but passive, as patients without an underlying disease die if they are prevented from eating and drinking. Third, and in contrast, the physician's role in aid-in-dying is "passive" in a practical sense, for it is the patient who administers the lethal medication, often spatially and temporally distant from the moment the physician provided the prescription (*id.*). In some cases, the patient never ingests the dosage.⁵

Apart from the fact that the State permits these non-passive actions to hasten death for the terminally ill, the State's interest in prohibiting aid-in-dying for this particular subgroup of patients is further weakened by its sanctioning of terminal sedation. This end-of-life treatment consists of the intravenous administration of sedatives and pain medication, often coupled with the withholding of nutrition and hydration, to a terminally-ill patient (Johannes J.M. van Delden, *Terminal Sedation: Source of a Restless Ethical Debate*, 33 [4] J Med Ethics 187, 187 [2007]). In 2003, the American Medical As-

5. Not all physicians who prescribe a patient a lethal dosage necessarily know for certain that the patient will die from taking the prescription, as many patients prescribed these drugs do not ultimately take them. Many patients simply want to regain a modicum of control over the dying process (see *Glucksberg*, 521 US at 751 n 15 [Stevens, J., concurring]). The ranges vary from state to state. In California, under the End of Life Option Act, 173 physicians prescribed 191 individuals lethal medication between June 9, 2016, and December 31, 2016. Of the 191 prescribed patients, 111 (58.1%) were reported by their physician to have died following ingestion of lethal medication and 21 (11.0%) died without ingestion of the prescribed drugs. The outcome of the remaining 59 (30.9%) individuals was undetermined at the time of the report (California Department of Public Health, *California End of Life Option Act 2016 Data Report* [2016] at 3, available at <https://www.cdph.ca.gov/Programs/CHSI/CDPH%20Document%20Library/CDPH%20End%20of%20Life%20Option%20Act%20Report.pdf>, cached at <http://www.nycourts.gov/reporter/webdocs/CDPH%20End%20of%20Life%20Option%20Act%20Report.pdf> [accessed Aug. 29, 2017]).

sociation issued a policy statement supporting the practice, which it calls “palliative sedation to unconsciousness,” as “an intervention of last resort to reduce severe, refractory pain or other distressing clinical symptoms that do not respond to aggressive symptom-specific palliation” (see *The AMA Code of Medical Ethics’ Opinions on Sedation at the End of Life*, 15 [5] Virtual Mentor 428, 428 [May 2013]).⁶

For this subgroup of terminally-ill patients, the State recognizes this as a lawful means to end life.⁷ As in *Glucksberg*, the “parties and *amici* agree that . . . a patient who is suffering from a terminal illness and who is experiencing great pain has no legal barriers to obtaining medication, from qualified physicians, to alleviate that suffering, even to the point of causing unconsciousness and hastening death” (*Glucksberg*, 521 US at 736-737 [O’Connor, J., concurring]). The difference between injecting a drug that sedates a patient while simultaneously quickening death and prescribing lethal medication is not meaningful in the constitutional sense. Regardless of the method, the purpose of the physician’s act and the patient’s goal in both situations is to expedite the dying process and avoid the severe pain, suffering, and indignity associated with the last stage of a terminal illness. In these cases, a patient’s “interest in refusing medical care [is] incidental to [the patient’s] more basic interest in controlling the manner and timing of her death” (*Glucksberg*, 521 US at 742 [Stevens, J., concurring]). Moreover, by sanctioning a patient’s right to refuse medical treatment, which leads to certain death, this Court has, like the United States Supreme Court, “in essence, authorized affirmative conduct that would hasten [a patient’s] death” (*id.* at 743).

The State and my colleagues rely on an analysis of physician intent to differentiate aid-in-dying from terminal sedation and

6. The statement recommends ethical guidelines for physicians using the practice, such as only using it for patients in the final stage of a terminal illness when their symptoms have been unresponsive to aggressive treatment, and stresses that it is not appropriate when the patient’s suffering is primarily existential (*The AMA Code of Medical Ethics’ Opinions on Sedation at the End of Life* at 429). These guidelines are not dissimilar from those codified in aid-in-dying statutes across the country (see Or Rev Stat Ann §§ 127.800-127.897 [enacted in 1997]), and in the bill currently before the legislature (Proposed Medical Aid in Dying Act, NY Assembly Bill A2383 [Jan. 19, 2017]).

7. Determining whether terminal sedation is appropriate is a decision for physicians and patients (see *The AMA Code of Medical Ethics’ Opinions on Sedation at the End of Life* at 428).

the withholding or withdrawal of life-saving treatment (per curiam op at 15; Fahey, J., concurring op at 36-37; Garcia, J., concurring op at 51). The argument presumes that physicians who adopt aid-in-dying intend to cause the patient's death, while physicians who perform these other treatments intend solely to alleviate the patient's pain, and death is merely a potential unintended consequence. My colleagues quote *Vacco v Quill* for the proposition that the law "has long used actors' intent or purpose to distinguish between two acts that may have the same result" (521 US 793, 802 [1997]; per curiam op at 15; Fahey, J., concurring op at 36-37; Garcia, J., concurring op at 51 n 2). This is irrelevant, because in every case involving individual liberty, the constitutional question turns on the nature and expanse of the patient's right to autonomy and bodily integrity as weighed against the State's interest, not the intent of a third party who assists the patient in receiving the proper medical treatment (*Rivers*, 67 NY2d at 498).⁸ Besides, we do not defer to federal analysis when we construe our broader state constitutional due process clause (*LaValle*, 3 NY3d at 127).

Moreover, this intent-based analysis fails even on its own terms. Simply put, it is impossible, as a practical matter, to distinguish between these various end-of-life practices based on a third party's state of mind. When a physician removes a patient from a life-sustaining apparatus, or declines to administer life-saving procedures, the physician's intent, in accord with the wishes of the patient, is to precipitate the death of the patient. A physician who complies with a patient's constitutionally protected choice to forgo life-sustaining treatment knows that when a ventilator is withdrawn, for example, the patient will soon die.⁹ To argue otherwise is to ignore the

8. Due to the conceptual murkiness of determining whether a physician's act is active or passive, and whether death is intended or merely foreseen by a physician, some experts on palliative care advise that considerations of "the patient's wishes and competent consent are more ethically important [than these concerns about the physicians' mindset]" (Quill, *Palliative Options of Last Resort* at 2102).

9. Arguably, at least as long as the patient remains conscious, it may be possible for a patient who has asked for a ventilator or nourishment to be withdrawn to change course and decide to resume life-sustaining treatment. Terminal sedation, however, initiates a process whereby the patient cannot object once sedated and inevitably ends in the patient's death.

reality of the physician's actions and the patient's wishes.

Even the primary distinction cited by the State and my colleagues does not hold in all cases because, as the State concedes, the drugs involved in terminal sedation are known to cause a patient's death in certain cases. A physician providing this medical option knows very well about the potential immediate consequence and must forewarn the patient (*see The AMA Code of Medical Ethics' Opinions on Sedation at the End of Life* at 428). Furthermore, while sedation may be necessary to alleviate a patient's pain, the withdrawal of nourishment, which forms part of the treatment, can only serve to bring about death (*see* David Orentlicher, *The Supreme Court and Terminal Sedation: Rejecting Assisted Suicide, Embracing Euthanasia*, 24 *Hastings Const LQ* 947, 957 [Summer 1997]). Resolution of the constitutional question requires consideration of the patient's rights; not a speculative exploration of the physician's intent.

Terminal sedation is intended to initiate what must be described for what it is: a slow-acting lethal process. While it may fall under the umbrella of palliative care (*see Glucksberg*, 521 US at 737-738 [O'Connor, J., concurring]), terminal sedation is not solely a method of pain management but is instead a procedure that hastens the inevitable death of the patient. It places the patient in a condition where choosing to struggle against death is no longer possible. It facilitates the patient's choice to end life.

If terminally-ill patients may exercise their liberty interest by choosing to be terminally sedated, the State has no compelling rationale, or even a rational interest, in refusing a mentally-competent, terminally-ill patient who is in the final stage of life the choice of a less intrusive option—access to aid-in-dying—which may better comport with the patient's autonomy and dignity. It is also an option which lessens the time patients and their families are forced to wait for the inevitable—often by no more than days and possibly much less.

IV.

Concerns about allowing aid-in-dying for the subgroup I have identified are misplaced. Consider, first, the State's interest in preserving life. Admittedly, the State has compelling interests that justify prohibiting assisted suicide as a general matter,

but those interests are diminished and do not outweigh the individual's liberty interest in the case of a competent terminally-ill patient in the final stage of life, with no cure or recourse other than inadequate pain management, facing a death the patient feels is bereft of dignity. As the State's own policies regarding terminal sedation attest, it has accepted that its interest in preserving life should cede to the rights of a patient in this condition. Acknowledgment of the individual's right to decide when and how to end life in the limited situations I have discussed does not undermine the sacredness of life or devalue the patient any more than terminal sedation does. Instead, by honoring a patient's wishes, the State recognizes the individual's right to full autonomy and to make a choice that reflects deeply held beliefs about life and death.

Nor does the State's general interest in preventing suicide and avoiding misdiagnosis outweigh the liberty interests in aid-in-dying for mentally-competent, terminally-ill patients facing imminent, agonizing death. The State's interests for this group of patients are not comparable to cases involving persons without terminal illnesses who are able to manage their illness and its debilitating effects, or those who for any number of personal reasons do not want to hasten death with a lethal prescription. There is no possibility of an erroneous terminal diagnosis for these patients as aid-in-dying would only be available in the last stage of life, when the end is imminent and certain. The fear that allowing aid-in-dying will result in patient coercion or be the first step to government-sanctioned euthanasia is as misplaced as the notion that terminal sedation inevitably leads to government-sanctioned euthanasia.¹⁰ Permitting these patients to choose whether to experience the short time that remains under conditions some may find unbearable is a recognition of the importance of individual

10. The prediction that sanctioning aid-in-dying would put New York State on a slippery slope toward legalizing non-voluntary euthanasia is far from certain. Studies of two decades of euthanasia in the Netherlands "show no evidence of a slippery slope [leading to non-voluntary euthanasia]. . . . Also, there is no evidence for a higher frequency of euthanasia among the elderly, people with low educational status, the poor, the physically disabled or chronically ill, minors, people with psychiatric illnesses including depression, or racial or ethnic minorities, compared with background populations" (Judith A.C. Rietjens et al., *Two Decades of Research on Euthanasia from the*

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autonomy and the limits of the State's ability to interfere with a patient's most intimate personal decisions (*Rivers*, 67 NY2d at 492-493; *Obergefell*, 576 US at —, 135 S Ct at 2597).

The State's argument that aid-in-dying would make it more difficult to ensure adequate medical treatment for those with untreated pain and depression is a valid interest in support of the State's prohibition on physician-assisted suicide as a general matter. However, it does not outweigh the interests of the terminally ill for whom pain treatment is inadequate and whose choice is not motivated by depression and helplessness, but by the desire to exercise autonomy to achieve a peaceful death, one that honors individuality and dignity (see *Glucksberg*, 521 US at 746-747 [Stevens, J., concurring]). Nor can it be said to be rational when the State already permits terminal sedation.

The State's other argument, that aid-in-dying undermines the integrity and ethics of the medical profession as it is incompatible with the physician's role as a healer,¹¹ is not uniformly accepted and is contradicted by the experiences of some medical professionals.¹² The plaintiff physicians who treat the terminally ill and amici representing the American Medical

Netherlands. What Have We Learnt and What Questions Remain?, 6 [3] J Bioethical Inquiry 271 [2009], available at <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC2733179/> [accessed Aug. 29, 2017]; see also Margaret P. Battin et al., *Legal Physician-Assisted Dying in Oregon and the Netherlands: Evidence Concerning the Impact on Patients in "Vulnerable" Groups*, 33 [10] J Med Ethics 591 [2007]). This finding is mirrored in the data from Oregon, which shows no evidence of heightened risk in any of the above categories (*id.*).

11. The State does not adopt Judge Garcia's argument that the opinion of some medical professionals alone is enough for this statute to survive rational basis scrutiny as applied to this subgroup (Garcia, J., concurring op at 57). And with good reason: such a low threshold risks rendering our rational basis test meaningless.

12. For example, the New York State Academy of Family Physicians, representing over six thousand physicians and medical students, recently decided to support aid-in-dying (Jamie Fandl, *Physician's Group Endorses Medical Aid-in-Dying Legislation*, Legislative Gazette, July 25, 2017, available at <http://legislativegazette.com/physicians-group-endorses-medical-aid-in-dying/> [accessed Aug. 29, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/physicians-group-endorses-medical.pdf>). Also, this year the Medical Society of the State of New York decided to conduct a survey of physicians in the state to determine their attitudes towards aid-in-dying, citing public support and changes in the law elsewhere (see Karen Shakerdge, *New York's Medical Society Will Survey Doctors on Attitudes Towards Physi-*

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Student Association, American Medical Women's Association, and American College of Legal Medicine, describe how inhibiting a physician's exercise of best professional judgment when counseling a patient about end-of-life choices undermines the doctor-patient relationship. Indeed, aid-in-dying is openly practiced in various parts of the country without having compromised the profession.¹³ Several amici point out that in those states where aid-in-dying is lawful—Oregon, Washington, Vermont and California¹⁴—the physician standard of care is governed by statutes and professional guidelines that have ensured the quality and careful application of this end-of-life treatment.¹⁵ By all measures, the State fails to address that

cian Assisted Dying, WXXI News, Apr. 24, 2017, available at <http://wxxi.com/post/new-york-s-medical-society-will-survey-doctors-attitudes-toward-physician-assisted-dying> [accessed Aug. 29, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/new-york-s-medical-society-will-survey.pdf>). This included a survey commissioned by Compassion & Choices, a nonprofit organization focusing on end-of-life care, which indicates that 77% of New Yorkers support access to aid-in-dying (Compassion & Choices, New York 2015-16 Research Report, available at <https://www.compassionandchoices.org/wp-content/uploads/2017/02/2NY-POLL-INFO.pdf> [accessed Aug. 29, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/2NY-POLL-INFO.pdf>).

13. Notably, a 2003 survey of doctors and nurses published by the Journal of the American Medical Association indicated that aid-in-dying was being practiced clandestinely throughout the country (*see* Diane E. Meier et al., *Characteristics of Patients Requesting and Receiving Physician-Assisted Death*, 163 [13] Archives of Internal Med 1537 [2003], available at <https://jamanetwork.com/journals/jamainternalmedicine/fullarticle/215798> [accessed Aug. 29, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/Meierarticle.pdf>).

14. Colorado has recently adopted a ballot measure permitting aid-in-dying (Colorado End-of-Life Options Act, Prop 106 [2016] [codified at Colo Rev Stat Ann §§ 25-48-101—25-48-123]).

15. The decisions from other states cited by the Court to demonstrate that assisted suicide has nowhere yet been deemed a fundamental right by a high court in the United States do not affect the analysis, as plaintiffs rely on the guarantees afforded by the New York State Constitution and our Court's broad interpretation of the State Due Process Clause. To the extent some of the cases cited by the per curiam analyze their own state constitutions in a manner similar to that employed by the per curiam here (per curiam op at 16-17), I note that not all are based on their respective state's due process clause (*see People v Kevorkian*, 447 Mich 436, 538, 527 NW2d 714, 758 [1994]). Further, the analysis is not uniform across these cases. For example, in *Morris v Brandenburg* (2016-NMSC-027, ¶ 12, 376 P3d 836, 841 [2016]), the most recent case cited by the per curiam, the Supreme Court of New Mexico reversed the trial court, which had found a statute that prohibited aid-in-dying violated the New Mexico State Constitution's guarantee to protect life, liberty, and happiness. However, in that case, the

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the “time-honored line between healing and harming” does not provide much guidance for practices like terminal sedation or aid-in-dying (*Glucksberg*, 521 US at 731 [citations omitted]). For this subgroup of patients, healing, as understood as a restoration of bodily health, is no longer a possibility.

In addition to the interests asserted by the State, my colleagues “hypothesize” an additional concern in avoiding misuse of a patient’s dosage (per curiam op at 15, 16). Yet, the risk of the drugs involved in aid-in-dying being “deliberately or accidentally misused” is no more than with any other drug with the potential to cause severe injury or death that a physician may legally prescribe (see Office of New York State Comptroller, *Prescription Opioid Abuse and Heroin Addiction in New York State* [June 2016], available at https://www.osc.state.ny.us/press/releases/june16/heroin_and_opioids.pdf [accessed Aug. 29, 2017], cached at http://www.nycourts.gov/reporter/webdocs/heroin_and_opioids.pdf). At most, this simply shows that the State may regulate this area, as other states have done.¹⁶

V.

“[I]t is the province of the Judicial branch to define, and safeguard, rights provided by the New York State Constitution, and order redress for violation of them” (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893, 925 [2003]). Although a liberty interest is at stake here, the Court implies

State conceded that it did not “have an interest in preserving a painful and debilitating life that will end imminently.” The court found that the State had, instead, a legitimate interest in providing protections to ensure that decisions regarding aid-in-dying are informed, independent, and procedurally safe (2016-NMSC-027, ¶ 52, 376 P3d at 855). The court ultimately determined that the right to aid-in-dying is best defined by the legislature, which is better equipped to develop appropriate safeguards than the judiciary (points also made by the courts in the Florida and Alaska cases [*Krischer v McIver*, 697 So 2d 97, 104 (Fla 1997); *Sampson v State*, 31 P3d 88, 98 (Alaska 2001)]). A dissenting judge in the Michigan case also argued that the State’s interest in the preservation of life dwindles as a terminally-ill patient suffering great pain seeks to hasten death through physician-prescribed medications (*Kevorkian*, 447 Mich at 538, 527 NW2d at 758 [Mallett, J., concurring in part and dissenting in part]). Thus, to the extent these cases may be instructive, they reveal that the constitutional analysis of aid-in-dying is specific to each state’s constitutional jurisprudence and interests.

16. Although the State’s authority to regulate the exercise of a terminally-ill patient’s access to aid-in-dying medications is not directly presented in this appeal, some regulation of this medical treatment option would fall within the State’s power over public health matters (see *Matter of Viemeister*, 179 NY 235, 238 [1904]).

and Judge Garcia argues that this question is best addressed by the legislature (per curiam op at 16; Garcia, J., concurring op at 58). “The Court, however, plays a crucial and necessary function in our system of checks and balances. It is the responsibility of the judiciary to safeguard the rights afforded under our State Constitution” (*People v LaValle*, 3 NY3d 88, 128 [2004]). We may not abdicate that role to any other branch of government (*Campaign for Fiscal Equity*, 100 NY2d at 925).

Mentally-competent, terminally-ill patients, with no cure or recourse other than inadequate pain management or palliative sedation to unconsciousness, and who face certain, imminent, excruciating death, are situated quantitatively and qualitatively differently from other individuals, even others living with terminal illnesses. State interests that animate the prohibition on physician aid-in-dying for these patients are diminished as death draws near and ultimately are outweighed by these patients’ liberty interest and extant rights to self-determination and bodily integrity. The compelling state interests that bar physician-assisted suicide in general are not, for this group, dispositive. When the State already permits physicians to instigate other processes that precipitate death, there is no compelling basis for depriving such patients of an option that can better comport with their sense of dignity, control, and independence. Our State Constitution protects the rights of these terminally-ill patients to make the deeply personal choice of how they define and experience their final moments.

FAHEY, J. (concurring). Experience teaches us that arguably benign policies can lead to unanticipated results. I write separately to expand on certain risks that would be associated with legalizing physician-assisted suicide in New York and that justify its prohibition.

I.

Several significant rationales exist for criminalizing physician-assisted suicide, each of which would constitute a legitimate legislative purpose for the statute challenged here. The per curiam opinion, which I join, outlines many of these legitimate government interests (*see per curiam op at 16; see also Washington v Glucksberg*, 521 US 702, 728-735 [1997] [holding that Washington State’s then-ban on assisted suicide did not violate substantive due process under the Fourteenth Amendment of the Federal Constitution]).

I focus on two, closely related rationales. First, the legislature may reasonably criminalize assisted suicide because to permit the practice would open the door to voluntary and non-voluntary euthanasia. To use the familiar metaphor, it would place New York on a slippery slope toward legalizing non-voluntary euthanasia. Second, the legislature may reasonably criminalize physician-assisted suicide because a right to assisted suicide by the terminally ill in circumscribed last-resort situations would inevitably expand to include persons who are not terminally ill.

I begin by discussing matters of terminology in regard to physician-assisted dying and the legal landscape in the United States. Physician-assisted suicide, the topic of this appeal, differs conceptually from euthanasia. In euthanasia, a *physician* brings about the death of a patient, whereas, in physician-assisted suicide, it is the *patient* who kills himself or herself, with the assistance of a physician. The common thread, more significant than the conceptual difference, is the use of a lethal dosage of medication intended to end the patient's life.

In the United States, physician-assisted suicide has been legalized and is regulated in Oregon (*see* Or Rev Stat Ann §§ 127.800-127.897 [enacted in 1997]); Washington (*see* Wash Rev Code §§ 70.245.010-70.245.904 [enacted in 2008]); Vermont (*see* Vt Stat Ann tit 18, ch 113 [enacted in 2013]); California (*see* End of Life Option Act, Cal Health & Safety Code part 1.85 [enacted in 2015]); Colorado (*see* Colo Rev Stat §§ 25-48-101—25-48-123 [enacted in 2016]); and the District of Columbia (*see* DC Act 21-577 [enacted in 2016]). Each of these jurisdictions expressly permits physician-assisted suicide by *statute*,¹ and in each one physician-assisted suicide is limited to mentally competent patients, 18 years of age or older, who have been diagnosed with a terminal illness that will lead to death within six months.

By contrast, euthanasia is legal in *no* jurisdiction in the United States. Here, “euthanasia” refers to active euthanasia, i.e., the *intentional killing* of a patient, motivated by the physician's concern for the patient's suffering or “indignity.” This concept of euthanasia does *not* include practices—sometimes referred to as passive euthanasia but more often

1. In Montana, a terminally ill patient's consent to physician-assisted suicide constitutes a defense to a charge of homicide under a state criminal statute, as interpreted by the Montana Supreme Court (*see Baxter v State*, 354 Mont 234, 250-251, 224 P3d 1211, 1222 [2009]).

not described as euthanasia at all—in which a physician *lets a patient die* (see generally James Rachels, *Active and Passive Euthanasia*, 292 New Eng J of Med 78 [1975]; Thomas D. Sullivan, *Active and Passive Euthanasia: An Impertinent Distinction?*, 3 Hum Life Rev 40 [1977], both reprinted in Bonnie Steinbock & Alastair Norcross, *Killing and Letting Die* 112-119, 131-138 [2d ed 1994]; Daniel Callahan, *Killing and Allowing to Die*, 19 Hastings Ctr Rep, Special Supp 5 [1989], reprinted in Michael Boylan, *Medical Ethics* 199-202 [2000]; L.W. Sumner, *Assisted Death: A Study in Ethics and Law* 19 & n 46 [2011]). Such essentially passive physician practices, now generally considered unobjectionable in proper circumstances, include, for example, removing a patient from a machine that would prolong the patient's life or withdrawing nutrition and hydration from a patient undergoing palliative sedation.

I respectfully disagree with Judge Rivera's view that the difference between palliative sedation and physician-assisted suicide "is not meaningful in the constitutional sense" (Rivera, J., concurring op at 27). Instead, I would follow the Supreme Court's analysis in *Vacco v Quill* (521 US 793 [1997]).

"[A] physician who withdraws, or honors a patient's refusal to begin, life-sustaining medical treatment purposefully intends, or may so intend, only to respect his patient's wishes and to cease doing useless and futile or degrading things to the patient when the patient no longer stands to benefit from them. The same is true when a doctor provides aggressive palliative care; in some cases, painkilling drugs may hasten a patient's death, but the physician's purpose and intent is, or may be, only to ease his patient's pain. A doctor who assists a suicide, however, must, necessarily and indubitably, intend primarily that the patient be made dead. Similarly, a patient who commits suicide with a doctor's aid necessarily has the specific intent to end his or her own life, while a patient who refuses or discontinues treatment might not.

"The law has long used actors' intent or purpose to distinguish between two acts that may have the same result. Put differently, the law distinguishes actions taken 'because of' a given end from actions taken 'in spite of' their unintended but foreseen

consequences” (*id.* at 801-803 [internal quotation marks, brackets and citations omitted]; *see also id.* at 807-808 n 11).²

Finally, there is an important distinction between voluntary and non-voluntary euthanasia. Voluntary euthanasia is euthanasia in accordance with the request of a mentally competent patient. Non-voluntary euthanasia is euthanasia performed on someone who, because of a factor such as infancy, mental incompetence, coma, etc., is not able to choose euthanasia and has never recorded a directive expressing his or her will in regard to euthanasia. Involuntary euthanasia, not implicated here, would be euthanasia performed on a person who is able to give consent, but has not done so, either because the person was not asked or because he or she withheld consent (*see generally* L.W. Sumner, *Assisted Death: A Study in Ethics and Law* at 17).

II.

The practice of physician-assisted suicide and euthanasia in the Netherlands provides us with a disturbing preview of what it would be rational to expect upon legalization. In what follows, I concentrate on that country, which has the longest history of socially accepted euthanasia, while adding comments on other jurisdictions that have legalized euthanasia or physician-assisted suicide. It will be clear from the foregoing section that the practices to be discussed below are euthanasia and physician-assisted suicide, not palliative sedation or removal of a patient from life support or other treatment.

In the Netherlands in 2002, the Termination of Life on Request and Assisted Suicide (Review Procedures) Act was enacted to legalize and regulate long-standing preexisting practices of physician-assisted suicide and voluntary euthanasia. Under that statute, a physician may end the life of a patient who is experiencing unbearable suffering without hope of relief, at the patient’s explicit request, either by administering a lethal dosage of medication (euthanasia) or by prescribing a

2. *See generally* Sullivan, *Active and Passive Euthanasia: An Impertinent Distinction?*, in Steinbock & Norcross at 136; Raymond G. Frey, *Intention, Foresight, and Killing*, in Tom L. Beauchamp, *Intending Death: The Ethics of Suicide and Euthanasia* 69-70 (1996); Greg Beabout, *Morphine Use for Terminal Cancer Patients: An Application of the Principle of Double Effect*, 19 *Philosophy in Context* 49 (1989), reprinted in P.A. Woodward, *The Doctrine of Double Effect* 298-311 (2001).

pharmaceutical means of suicide (physician-assisted suicide) (*see generally* Government of the Netherlands, *Is Euthanasia Allowed?*, <https://www.government.nl/topics/euthanasia/is-euthanasia-allowed> [accessed Aug. 21, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/is-euthanasia-allowed.pdf>).

In 2015, euthanasia and physician-assisted suicide accounted for 5,516 reported deaths in the Netherlands, almost four percent of all deaths in the country, estimated at around 140,000 per annum (*see* Regional Euthanasia Review Committees, Annual Report 2015 at 16, <https://english.euthanasiecommissie.nl/documents/publications/annual-reports/2002/annual-reports/annual-reports> [accessed Aug. 21, 2017]). The proportion of deaths attributed to euthanasia and physician-assisted suicide had more than *doubled* over 10 years (*see* Regional Euthanasia Review Committees, Annual Report 2005 at 2, <https://english.euthanasiecommissie.nl/documents/publications/annual-reports/2002/annual-reports/annual-reports> [accessed Aug. 21, 2017] [1,933 cases of euthanasia and assisted suicide were reported in 2005]).

The most immediately striking aspect of end-of-life decision-making in the Netherlands is that no legal or ethical distinction is drawn between physician-assisted suicide and euthanasia. Similarly, physician-assisted suicide and euthanasia were made legal at the same time as one another in both Belgium (2002) and Luxembourg (2009). In Canada, a 2015 Supreme Court of Canada decision striking down a prohibition on assisted suicide led to a June 2016 law legalizing both “the prescribing or providing by a medical practitioner or nurse practitioner of a substance to a person, at their request, so that they may self-administer the substance and in doing so cause their own death” (physician-assisted suicide) *and* “the administering by a medical practitioner or nurse practitioner of a substance to a person, at their request, that causes their death” (euthanasia) (Statutes of Canada 2016, Bill C-14, An Act to amend the Criminal Code and to make related amendments to other Acts [medical assistance in dying], available at http://www.parl.ca/Content/Bills/421/Government/C-14/C-14_4/C-14_4.PDF [accessed Aug. 21, 2017], cached at http://www.nycourts.gov/reporter/webdocs/C-14_4.pdf; *see also* <https://openparliament.ca/bills/42-1/C-14> [accessed Aug. 21, 2017]). The movement from allowing physician-assisted suicide to permitting euthanasia is facile; indeed, it apparently has not

even been perceived as a transition in some societies outside the United States that have legalized the former practice.

It is true, as I have already noted, that in the United States active euthanasia is nowhere legal, whereas physician-assisted suicide is permitted in six states and the District of Columbia. I am not convinced, however, that this state of affairs will last. The evidence from the Netherlands, Belgium, Luxembourg, and Canada suggests it will not. Moreover, the line between physician-assisted suicide and euthanasia is difficult to defend. If a person has the statutory or other right to physician-assisted suicide, does she lose the right to die if she suddenly becomes too physically weak to self-administer lethal prescribed drugs? “[T]his would arguably amount to discrimination based upon physical disability” (*Sampson v State*, 31 P3d 88, 97 [Alaska 2001] [upholding as constitutional a criminal statute prohibiting intentionally aiding another person to commit suicide]; see also e.g. Dan W. Brock, *Voluntary Active Euthanasia*, 22 Hastings Ctr Rep 10, 10 [1992]). In practice, it appears that in Oregon a feeding tube is sometimes used to enable a patient who wishes to commit suicide using prescription medication, but has lost mobility, to ingest the lethal prescription (see Disability Rights Education & Defense Fund, *Some Oregon and Washington State Assisted Suicide Abuses and Complications*, Self-Administration, <https://dredf.org/public-policy/assisted-suicide/some-oregon-assisted-suicide-abuses-and-complications/> [accessed Aug. 21, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/some-oregon-and-washington.pdf>).

Indeed, this concern about the transition from physician-assisted suicide to euthanasia was recognized by the United States Supreme Court, which observed that “in some instances, the patient may be unable to self-administer the drugs and . . . administration by the physician . . . may be the only way the patient may be able to receive them,” and that “not only physicians, but also family members and loved ones, will inevitably participate in assisting suicide. Thus, it turns out that what is couched as a limited right to ‘physician-assisted suicide’ is likely, in effect, a much broader license, which could prove extremely difficult to police and contain” (*Glucksberg*, 521 US at 733 [internal quotation marks and citations omitted]). Justice Souter expanded on the point, noting that

“[p]hysicians, and their hospitals, have their own financial incentives, too, in this new age of managed care. Whether acting from compassion or under some other influence, a physician who would provide a drug for a patient to administer might well go the further step of administering the drug himself; so, the barrier between assisted suicide and euthanasia could become porous” (*Glucksberg*, 521 US at 784-785 [Souter, J., concurring]).

Based on the current experience in the Netherlands, an expansion from physician-assisted suicide, by a patient taking a prescription of fatal drugs, to euthanasia, by a nurse or physician administering a prescription of fatal drugs, seems all but inevitable. Certainly the fear of that expansion, if physician-assisted suicide were legalized in New York, is reasonable.

III.

The Netherlands has displayed another very disturbing trend: the countenancing of both voluntary euthanasia and *non*-voluntary euthanasia. A study conducted in 2005 revealed that 2,410 people in the Netherlands, 1.8% of all deaths in the Netherlands that year, died as a result of voluntary euthanasia or physician-assisted suicide,³ while 0.4% of all deaths, or some 560 people, died as “the result of the use of lethal drugs *not at the explicit request of the patient*” (Agnes van der Heide et al., *End-of-Life Practices in the Netherlands under the Euthanasia Act*, 356 New Eng J Med 1957, 1960-1961 [2007] [Table 1] [emphasis added], available at <http://www.nejm.org/doi/full/10.1056/NEJMsa071143#t=articleTop> [accessed Aug. 21, 2017]; see also J. Pereira, *Legalizing Euthanasia or Assisted Suicide: The Illusion of Safeguards and Controls*, 18 Current Oncology e38 [2011], available at <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC3070710> [accessed Aug. 21, 2017]). In other words, for every five people who died in the Netherlands as a result of euthanasia or physician-assisted suicide in the immediate wake of the legalization and regulation of the practices, one died without explicitly requesting death and thus in violation of the

3. This figure includes 1,933 reported cases and 477 unreported cases. The study classified actions as euthanasia or physician-assisted suicide if the physician administered, supplied, or prescribed drugs with the explicit intention of hastening death, and at the explicit request of the patient, resulting in the patient's death. Not classified as instances of euthanasia or physician-assisted suicide were situations in which medical treatment was withheld or withdrawn, or measures to alleviate pain or other symptoms (such as palliative sedation) were intensified.

law. Such cases involved, for example, patients who were “unconscious . . . or incompetent owing to young age” (Agnes van der Heide et al., *End-of-Life Practices in the Netherlands under the Euthanasia Act* at 1960), and it was more common for the euthanasia to be justified by discussion with the patient’s relatives than by past discussion with the patient (*see id.*).

A similar study of euthanasia and physician-assisted suicide in Belgium revealed a large proportion of patients who received euthanasia without an explicit request, some 32% of those who received euthanasia (*see* Kenneth Chambaere et al., *Physician-Assisted Deaths under the Euthanasia Law in Belgium: A Population-Based Survey*, 182 Canadian Med Ass’n J 895, 896, 897 [2010] [Table 1], available at <http://www.cmaj.ca/content/182/9/895> [accessed Aug. 21, 2017]). Typically, in Belgian cases of non-voluntary euthanasia, the patient is in a coma or suffering from dementia, and relatives or other caregivers are consulted in advance regarding the euthanasia (*see id.* at 898-899).

In studying the modern experience in the Benelux nations, we are, of course, not facing government-sanctioned forced euthanasia. The decision-makers in non-voluntary euthanasia may be well-meaning. Such consultation, however, does not render the euthanasia voluntary, and indeed brings to mind the necessity of ensuring that decision-making about ending the lives of vulnerable, terminally ill people is *not* entrusted entirely to those who have the financial and emotional burden of caring for them.

I am not suggesting that the legalization of voluntary euthanasia, in a society such as the Netherlands in which it was already widely practiced, necessarily increases the rate of non-voluntary euthanasia. It may not invariably do so (*see* Agnes van der Heide et al., *End-of-Life Practices in the Netherlands under the Euthanasia Act*). My point is simply that physician-assisted suicide and euthanasia are inevitably accompanied by instances of non-voluntary euthanasia, so that it is rational to predict that endorsement of physician-assisted suicide will lead to occurrences of non-voluntary euthanasia.

There is also a reasonable concern that a descent from voluntary euthanasia and physician-assisted suicide to non-voluntary euthanasia would be an especial risk in vulnerable and disadvantaged parts of society. In 1994, the New York State Task Force on Life and the Law “unanimously recommend[ed]

that New York laws prohibiting assisted suicide and euthanasia should not be changed” (New York State Task Force on Life and the Law, *When Death Is Sought: Assisted Suicide and Euthanasia in the Medical Context* [May 1994], Executive Summary, available at https://www.health.ny.gov/regulations/task_force/reports_publications/when_death_is_sought [accessed Aug. 21, 2017]).⁴ The Task Force reasoned that

“[l]egalizing assisted suicide and euthanasia would pose profound risks to many individuals who are ill and vulnerable. . . .

“The risk of harm is greatest for the many individuals in our society whose autonomy and well-being are already compromised by poverty, lack of access to good medical care, advanced age, or membership in a stigmatized social group” (New York State Task Force on Life and the Law, *When Death Is Sought: Assisted Suicide and Euthanasia in the Medical Context* at 120, available at https://www.health.ny.gov/regulations/task_force/reports_publications/when_death_is_sought/chap6.htm [accessed Aug. 21, 2017]).

As the Task Force observed,

“[n]o matter how carefully any guidelines are framed, assisted suicide and euthanasia will be practiced through the prism of social inequality and bias that characterizes the delivery of services in all segments of our society, including health care. The practices will pose the greatest risks to those who are poor, elderly, members of a minority group, or without access to good medical care” (New York State Task Force on Life and the Law, *When Death Is Sought: Assisted Suicide and Euthanasia in the Medical Context*, Executive Summary, available at https://www.health.ny.gov/regulations/task_force/reports_publications/when_death_is_sought/preface.htm [accessed Aug. 21, 2017]).

4. In 1984, the New York State Task Force on Life and the Law was established by Governor Mario Cuomo, commissioned with “a broad mandate to recommend public policy on issues raised by medical advances” (New York State Task Force on Life and the Law, *When Death Is Sought: Assisted Suicide and Euthanasia in the Medical Context*, Preface, available at https://www.health.ny.gov/regulations/task_force/reports_publications/when_death_is_sought/preface.htm [accessed Aug. 21, 2017]).

Given an acceptance of physician-assisted suicide and voluntary euthanasia, such practices could come over time to be regarded as cheaper alternatives to medical treatment for the terminally ill, leading to a particular risk of non-voluntary euthanasia when a patient's socioeconomic disadvantages, uninsured status, and/or dementia or mental incompetence make it impossible for the patient to advocate vigorously for his or her health care. "[F]rail and debilitated elderly people, often demented or otherwise incompetent and thereby unable to defend and assert their own interests, may be especially vulnerable to unwanted euthanasia" (Brock, *Voluntary Active Euthanasia*, 22 Hastings Ctr Rep at 21).

It is true that research from Oregon suggests that such fears of non-voluntary euthanasia of the vulnerable have not yet come to pass. "[R]ates of assisted dying in Oregon . . . showed no evidence of heightened risk for the elderly, women, the uninsured . . . , people with low educational status, the poor, the physically disabled or chronically ill, minors, people with psychiatric illnesses including depression, or racial or ethnic minorities, compared with background populations" (Margaret P. Battin et al., *Legal Physician-Assisted Dying in Oregon and the Netherlands: Evidence Concerning the Impact on Patients in "Vulnerable" Groups*, 33 J Med Ethics 591, 591 [2007], available at <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC2652799> [accessed Aug. 21, 2017]). Yet the experiment with physician-assisted suicide on the West Coast is still young, and the Dutch experience supports the rationality of such fears.

Another part of society that could be at significant long-term risk is the community of people who are disabled. The Disability Rights Amici argue that while the plaintiffs

"use the term 'dignified death' to justify assisted suicide . . . the 'indignities' nondisabled (and some newly disabled) people invariably describe are the need for assistance in daily activities like bathing, dressing, and other realities of having a disability. Legalizing assisted suicide enshrines in law the prejudice that death is preferable to receiving the assistance that many disabled people rely on" (brief for Disability Rights Amici: Not Dead Yet et al. at 4).

For the many members of the disabled community who are not terminally ill, the "indignities" that plaintiffs wish to avoid are

suffered on a daily basis. Legalizing physician-assisted suicide would convey a societal value judgment that such “indignities” as physical vulnerability and dependence mean that life no longer has any intrinsic value.

A disability does not deprive life of integrity or value. There is no lack of nobility or true dignity in being dependent on others. The natural developments of old age and final illness are dependence and waning consciousness. Many disabilities come with similar challenges. It would be a profound mistake to equate limits imposed on a person’s life with the conclusion that such a life has no value.

IV.

Last year, the American Psychiatric Association (APA) stated its official policy on physician-assisted suicide or euthanasia of psychiatric patients: “a psychiatrist should not prescribe or administer any intervention to a non-terminally ill person for the purpose of causing death” (APA, Position Statement on Medical Euthanasia [Dec. 2016], available at <https://www.psychiatry.org/home/policy-finder> [accessed Aug. 21, 2017]). At the time, a member of the APA’s ethics committee stated that he feared that Canada and the jurisdictions in the United States that have legalized physician-assisted suicide are headed in the same direction as the Netherlands and Belgium. “So far, no other country that has implemented physician-assisted suicide has been able to constrain its application solely to the terminally ill, eventually including non-terminal patients as legally eligible as well . . . This is when psychiatric patients start to be included” (Michael Cook, *American Psychiatric Association Takes Historic Stand on Assisted Suicide and Euthanasia*, BioEdge: bioethics news from around the world, Dec. 16, 2016, available at <https://www.bioedge.org/bioethics/american-psychiatric-association-takes-historic-stand-on-assisted-suicide-a/12137> [accessed Aug. 21, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/bioedge.pdf>).

The experience of euthanasia in the Netherlands amply justifies this assertion. Euthanasia and physician-assisted suicide in the Netherlands have not been limited to those whose pain is physical. As long as “the patient’s suffering is unbearable and without prospect of improvement” (Government of the Netherlands, *Is Euthanasia Allowed?*), a person whose illness is psychiatric may request and receive euthanasia or commit

physician-assisted suicide. For example, in 2013, a woman in her thirties suffering from obsessive-compulsive disorder and an eating disorder, who engaged in “prolonged and extensive eating and vomiting rituals,” was considered a suitable candidate for euthanasia because she “had tried every conceivable psychotherapy and drug treatment” without success and “experienced her suffering as unbearable” (see Regional Euthanasia Review Committees, Annual Report 2013 at 24, available at <https://english.euthanasiecommissie.nl/documents/publications/annual-reports/2002/annual-reports/annual-reports> [accessed Aug. 21, 2017]). In 2013, there were 42 reported cases of euthanasia and physician-assisted suicide of people with psychiatric, rather than physical, conditions, as compared with 14 in 2012 and 13 in 2011 (*id.* at 9). By 2015, the number of persons with psychiatric suffering who received euthanasia in the Netherlands was 56 (see Regional Euthanasia Review Committees, Annual Report 2015 at 6, available at <https://english.euthanasiecommissie.nl/documents/publications/annual-reports/2002/annual-reports/annual-reports> [accessed Aug. 21, 2017]).

A 2016 survey of the euthanasia and physician-assisted suicide of 66 patients with psychiatric suffering in the Netherlands from 2011 to 2014 found that in most cases the patient’s primary psychiatric condition was a depressive disorder (Scott Y.H. Kim et al., *Euthanasia and Assisted Suicide of Patients with Psychiatric Disorders in the Netherlands 2011 to 2014*, 73 JAMA Psychiatry 362, 364 [2016], available at <http://jamanetwork.com/journals/jamapsychiatry/fullarticle/2491354> [accessed Aug. 21, 2017]), ranging from “patients with chronic, severe, difficult-to-treat depressions” to a woman who had lost her husband and found life as a widow “meaningless” but “did not feel depressed at all” and “ate, drank, and slept well . . . followed the news and undertook activities” (*id.*).

The same survey noted that most of the patients felt “social isolation or loneliness,” including one who believed “that she had had a life without love and therefore had no right to exist” and “an utterly lonely man whose life had been a failure” (*id.* at 365). The authors of the survey concluded that the patients receiving euthanasia or physician-assisted suicide “are mostly women . . . with various chronic psychiatric conditions, accompanied by personality disorders, significant physical problems, and social isolation or loneliness” (*id.* at 367). It is

evident that the practice of physician-assisted suicide and euthanasia in the Netherlands has already descended to the level of condoning the suicide or killing of people whose primary suffering is not physical pain, but chronic depression.

Recently, the Netherlands has shown signs of taking a new path down the slope that began with physician-assisted suicide and euthanasia of the terminally ill. In 2016, the Health Minister defended a proposed law allowing healthy older people to seek euthanasia if they feel that they “do not have the possibility to continue life in a meaningful way, . . . are struggling with the loss of independence and reduced mobility, . . . have a sense of loneliness, partly because of the loss of loved ones, and . . . are burdened by general fatigue, deterioration and loss of personal dignity” (Dan Bilefsky & Christopher F. Schuetze, *Dutch Law Would Allow Assisted Suicide for Healthy Older People*, NY Times, Oct. 14, 2016 at A5, available at https://www.nytimes.com/2016/10/14/world/europe/dutch-law-would-allow-euthanasia-for-healthy-elderly-people.html?_r=0 [accessed Aug. 21, 2017]). The proposed law essentially would allow people who are tired of life to end their lives.

Notably, the authors of the 2016 survey observe that the requirement that there be no “prospect of improvement” has proved controversial when the people seeking euthanasia are psychiatric patients. The survey authors found that almost one third of the patients had initially been refused euthanasia or physician-assisted suicide and that almost one quarter of the cases “engendered *disagreements among the physicians involved*” (Scott Y.H. Kim et al., *Euthanasia and Assisted Suicide of Patients with Psychiatric Disorders in the Netherlands 2011 to 2014*, 73 JAMA Psychiatry at 367 [emphasis added]). They noted “the . . . complicated determinations of medical futility that must incorporate patients’ treatment refusals in the context of less-than-certain prognosis even among persons with treatment-resistant depression” (*id.*). Such disagreements are telling.

Of course, in the United States jurisdictions that permit physician-assisted suicide, the practice is currently limited to patients who have six months to live. The descent down the slippery slope in the Netherlands, however, verifies the fear that jurisdictions in this country will find it difficult to limit the application of physician-assisted dying to the terminally ill.

V.

Perhaps most disturbingly, the Dutch practice of legalized euthanasia and physician-assisted suicide has quickly been extended to young children. In the Netherlands, children

“may themselves request euthanasia from the age of 12, although the consent of the parents or guardian is mandatory until they reach the age of 16. Sixteen[-] and seventeen-year-olds do not need parental consent in principle, but their parents must be involved in the decision-making process. From the age of 18, young people have the right to request euthanasia without parental involvement” (Government of the Netherlands, *Euthanasia, Assisted Suicide and Non-Resuscitation on Request*, available at <https://www.government.nl/topics/euthanasia/contents/euthanasia-assisted-suicide-and-non-resuscitation-on-request> [accessed Aug. 21, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/euthanasia-assisted.pdf>).

Recently, the Dutch Pediatric Association has called for the age limit of 12 years old to be eliminated, so that “each child’s ability to ask to die [w]ould be evaluated on a case-by-case basis” (*Dutch Paediatricians: Give Terminally Ill Children under 12 the Right to Die*, The Guardian, June 19, 2015, available at <https://www.theguardian.com/society/2015/jun/19/terminally-ill-children-right-to-die-euthanasia-netherlands> [accessed Aug. 21, 2017], cached at http://www.nycourts.gov/reporter/webdocs/dutch_paediatricians.pdf).

This would put the Netherlands in line with Belgium. In 2014, a dozen years after the 2002 Belgian Act on Euthanasia legalized euthanasia and physician-assisted suicide for adults suffering from constant, unbearable suffering (whether physical or psychiatric) that cannot be alleviated, Belgium legalized euthanasia by lethal injection for similarly situated children, of any age, provided they possess “the capacity of discernment” and there is parental consent (*Belgium Passes Law Extending Euthanasia to Children of All Ages*, The Guardian, Feb. 13, 2014, available at <https://www.theguardian.com/world/2014/feb/13/belgium-law-extends-euthanasia-children-all-ages> [accessed Aug. 21, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/belgium-law-extend.pdf>).

The expansion of euthanasia to children needs little commentary. Our society recognizes that minors “are in the earlier

stages of their emotional growth, that their intellectual development is incomplete, that they have had only limited practical experience, and that their value systems have not yet been clearly identified or firmly adopted” (*People ex rel. Wayburn v Schupf*, 39 NY2d 682, 687-688 [1976]). The immaturity of children makes them especially vulnerable. The Dutch extension of euthanasia to minors is further proof that it is reasonable to fear the consequences of legalizing physician-assisted suicide.⁵

VI.

The evidence from other countries is that legitimating physician-assisted suicide can lead to the acceptance of non-voluntary euthanasia and to the extension of physician-assisted suicide to patients, such as those suffering from depression, who are not terminally ill. Such developments, valuing the avoidance of suffering above all virtues of endurance and hope for the future, should be intensely disturbing to all of us. The risk of facilitating such a bleak prospect is a rational justification for New York’s prohibition of assisted suicide.

GARCIA, J. (concurring). I agree with and join in the Court’s holdings that Penal Law §§ 120.30 and 125.15 (3) encompass aid-in-dying (per curiam op at section III), and that the statutes do not violate plaintiffs’ right to equal protection under the New York State Constitution (per curiam op at section IV [A]). To the extent plaintiffs’ allegations overlap with those asserted in *Washington v Glucksberg* (521 US 702 [1997]), I also agree with the Court’s conclusion that, here, our State Due Process Clause is no broader than its federal counterpart and, therefore, plaintiffs’ claims must fail. I write separately because I believe the Court should go further; to the extent plaintiffs’ assert a “more particularized” challenge to the assisted suicide statutes (*id.* at 750 [Stevens, J., concurring]), I would expressly reach—and reject—those claims.

I.

In support of their due process claim, plaintiffs argue that the assisted suicide statutes burden a fundamental right and

5. There is also evidence of an extension of the practice of physician-assisted suicide to non-physicians in the Netherlands. A Dutch “suicide counsellor” was acquitted of helping a 54-year-old woman kill herself, despite advising her on the quantity of drugs to be taken to be certain of death (Tony Sheldon, *Dutch Court Acquits Suicide Counsellor of Breaking the Law*, 334 BMJ 228 [2007], available at <https://www.ncbi.nlm.nih.gov/pmc/articles/PMC1790785> [accessed Aug. 21, 2017]).

that, even if they do not, the statutes cannot survive rational basis review. These precise arguments were asserted under the Federal Constitution in *Washington v Glucksberg* (521 US 702 [1997]), and were rejected by the United States Supreme Court. Accordingly, unless our State Due Process Clause supplies broader protection, plaintiffs' claim here must similarly fail.

A.

In *Washington v Glucksberg*, the Supreme Court rejected the plaintiffs' due process challenge to Washington's prohibition against "caus[ing]" or "aid[ing]" a suicide (521 US 702, 705-706 [1997]). There, the Court determined that the "right" to assistance in committing suicide asserted by the plaintiffs was "not a fundamental liberty interest protected by the Due Process Clause" of the Federal Constitution (*id.* at 728). Because Washington's ban on assisted suicide was "at least reasonably related" to a number of "important and legitimate" state interests, the Court concluded that it survived rational basis review and that it did not violate the Due Process Clause of the Fourteenth Amendment (*id.* at 735).

Addressing the scope of its ruling, the Court carefully framed the issue presented: "It is . . . the [lower] court's holding that Washington's physician-assisted suicide statute is unconstitutional as applied to the class of terminally ill, mentally competent patients that is before us today" (*id.* at 709 n 6 [citation and internal quotation marks omitted]).¹ Accordingly, the Supreme Court's holding affirmed the validity of the Washington statute both "on its face" and "as applied to competent, terminally ill adults who wish to hasten their deaths by obtaining medication prescribed by their doctors" (*id.* at 735 [citation and internal quotation marks omitted]).

The same conclusion is warranted under our State Due Process Clause.

B.

In general, our Court "use[s] the same analytical framework as the Supreme Court in considering due process cases"

1. Although the lower court's holding "was not limited to a particular set of plaintiffs before it" (*id.* at 709 n 6, quoting *id.* at 739 [Stevens, J., concurring]), the Court determined that it had nonetheless ruled on the statute's constitutionality "as applied to members of a group"—an approach that is "not uncommon" (*id.* at 709 n 6, citing *Compassion in Dying v State of Wash.*, 79 F3d 790, 798 n 9 [9th Cir 1996 en banc]).

(*Hernandez v Robles*, 7 NY3d 338, 362 [2006]). While, “[w]e have, at times, held that our State Due Process Clause provides greater protections than its federal counterpart” (per curiam op at 14, citing *People v Aviles*, 28 NY3d 497, 505 [2016]; see also *People v P.J. Video*, 68 NY2d 296, 302-303 [1986]), I agree with the Court’s conclusion that this is not one of those times.

In *Glucksberg*, the Supreme Court began by considering our Nation’s “history, legal traditions, and practices” with respect to aid-in-dying, emphasizing New York’s pivotal role at the forefront of legislative efforts to punish assisted suicide (*Glucksberg*, 521 US at 710-719). Like most states, New York has “consistently condemned, and continue[s] to prohibit, assisting suicide” (*id.* at 719). The earliest American statute explicitly outlawing assisted suicide was enacted in New York nearly two centuries ago, with many states and territories later following New York’s example (see *id.* at 715). In 1857, a New York commission led by Dudley Field drafted a criminal code that prohibited “aiding” a suicide (*id.*). The Field Code was adopted in New York in 1881, and “its language served as a model for several other western States’ statutes” (*id.*). The language of the prohibition remained largely unchanged until 1965, when Penal Law §§ 120.30 and 125.15 (3) were enacted as part of a “new Penal Law” that “reorganize[d] and modernize[d] penal provisions proscribing conduct which has traditionally been considered criminal” (Governor’s Approval Mem, Bill Jacket, L 1965, ch 1030 at 34-35, 1965 NY Legis Ann at 530).

Since then, the statutes have been repeatedly reexamined, including by New York’s Task Force on Life and the Law, which studied physician-assisted suicide and unanimously concluded that the “potential dangers” of such a “dramatic change in public policy would outweigh any benefit that might be achieved” (*Glucksberg* at 719 [citation omitted]). Despite repeated attempts to legalize aid-in-dying in New York, the legislature has not retreated from its prohibition.

To be sure, “the common law of New York” recognizes a patient’s right “to determine what shall be done with his own body and to control the course of his medical treatment” (*Rivers v Katz*, 67 NY2d 485, 492 [1986] [citation and internal quotation marks omitted]; see also *Schloendorff v Society of N.Y. Hosp.*, 211 NY 125, 129-130 [1914]). In *Matter of Storar*, we explicitly recognized a competent patient’s right to refuse medical treatment, even where the treatment may be necessary to preserve the patient’s life (52 NY2d 363, 376 [1981]).

We again recognized the right of “a competent adult to refuse treatment” in *Matter of Fosmire v Nicoleau*, where we held that the patient—“an adult Jehovah’s Witness [who] refused to consent to blood transfusions”—had a “right to decline the transfusions” even though they were “necessary to save her life” (75 NY2d 218, 221, 225-226 [1990]). And today, we reaffirm a patient’s fundamental right to refuse life-saving medical care or treatment (per curiam op at 10, 14-15).

But we have never defined this fundamental right to encompass the broad “right to die” that plaintiffs seek; rather, we have consistently reaffirmed the widely-recognized distinction between refusing life-sustaining treatment and assisted suicide (per curiam op at 14, citing *Matter of Bezio v Dorsey*, 21 NY3d 93, 103 [2013]; *Matter of Fosmire*, 75 NY2d at 227; *Storar*, 52 NY2d at 377 n 6). This distinction “comports with fundamental legal principles of causation and intent” (*Vacco v Quill*, 521 US 793, 801 [1997]). When a patient refuses life-sustaining treatment and succumbs to illness, the cause of death is the underlying disease. By contrast, when a lethal medication is ingested, the cause of death is not the preexisting illness, but rather, the prescribed medication. In addition, a physician who withdraws treatment or administers terminal sedation does not intend to kill the patient, though that may be the eventual result. Rather, the physician intends only to respect the patient’s right to die naturally and free from intrusion, and to alleviate any pain or discomfort that may accompany that decision. A physician who provides aid-in-dying, however, indisputably intends for his or her actions to directly cause the patient’s death; that is the very purpose of the lethal prescription.²

New York’s “consistent and almost universal tradition” has “long rejected the asserted right, and continues to explicitly reject it today” (*Glucksberg*, 521 US at 723). The assisted sui-

2. Judge Rivera’s assertion that “the intent of a third party who assists the patient” is “irrelevant” to the legal analysis (Rivera, J., concurring op at 28) ignores the factual foundation of plaintiffs’ claim: plaintiffs seek a constitutional right not only to hasten death, but to the affirmative assistance of another in doing so. As the Supreme Court explained, “[t]he law has long used actors’ intent or purpose to distinguish between two acts that may have the same result,” and on this basis, “many courts, including New York courts, have carefully distinguished refusing life-sustaining treatment from suicide” (*Vacco*, 521 US at 802-803). Comporting with this fundamental legal principle, the State may rationally distinguish between various end-of-life practices.

cide statutes reflect the legislature's long-standing and considered policy choice, and we decline to "place the matter outside the arena of public debate" by extending heightened constitutional protection (*id.* at 720). Accordingly, in light of New York's persistent and unambiguous legal practice, plaintiffs' asserted right to aid-in-dying is not a fundamental right under our State Due Process Clause.

Because the assisted suicide statutes do not implicate a fundamental right, they need only be "rationally related to any conceivable legitimate State purpose" (*People v Walker*, 81 NY2d 661, 668 [1993] [citation omitted]). As the rational basis test is "the most relaxed and tolerant form of judicial scrutiny," plaintiffs bear the "heavy burden" of defeating the "strong presumption" that the statutes are valid (*Dallas v Stanglin*, 490 US 19, 26 [1989]). Even if the State could "better promote and protect" its interests "through regulation, rather than prohibition, of physician-assisted suicide," our inquiry is "limited to the question whether the State's prohibition is rationally related to legitimate state interests" (*Glucksberg*, 521 US at 728 n 21). So long as this basic requirement is satisfied, we "need not weigh exactly the relative strengths" of the various competing interests (*id.* at 735).³

A number of legitimate state interests support the assisted suicide statutes. First, the State has a significant interest in preserving life and preventing suicide (per curiam op at 16; see also *Storar*, 52 NY2d at 377; *Bezio*, 21 NY3d at 104; *Glucksberg*, 521 US at 729). Suicide presents a "serious public-health problem," often plaguing those who "suffer from depression or other mental disorders"—conditions that may be difficult to diagnose (*Glucksberg*, 521 US at 730 [citation omitted]). The availability of assisted suicide would therefore undermine the State's interest in preventing suicide in cases involving, for instance, untreated depression, coercion, or improperly managed pain.

3. The analysis in Judge Rivera's concurring opinion—which concludes that the State's interests "do not outweigh" a patient's right as death draws near (Rivera, J., concurring op at 18; see also *id.* at 23, 24, 29-30, 31, 34)—bears little resemblance to our well-established rational basis review. Rational basis is not a balancing test. Rather, under this relaxed standard, plaintiffs' claims must fail so long as any conceivable legitimate state interest supports the challenged legislation (*Affronti v Crosson*, 95 NY2d 713, 719 [2001]). As discussed below, the assisted suicide statutes "easily satisfy" this requirement (*Vacco*, 521 US at 809).

Additionally, the State has a substantial interest in guarding against the risks of mistake and abuse. Physicians are often unable to accurately ascertain how much time a terminally-ill patient has remaining, or may misdiagnose an illness as terminal, thereby creating a risk that patients will elect assisted suicide based on inaccurate or misleading information (brief for the 39 Physicians as amicus curiae at 17-19). Moreover, assisted suicide presents substantial “risks . . . for those who are elderly, poor, socially disadvantaged, or without access to good medical care” (New York State Task Force on Life and the Law, *When Death Is Sought: Assisted Suicide and Euthanasia in the Medical Context* [May 1994], Executive Summary, available at https://www.health.ny.gov/regulations/task_force/reports_publications/when_death_is_sought [accessed Aug. 21, 2017]). The State has a valid interest in protecting these vulnerable groups from the societal, familial, and financial pressures that might influence a patient’s decision to pursue aid-in-dying (*Glucksberg*, 521 US at 731; brief for Disability Rights Amici at 10, 15-16; brief for the 39 Physicians at 11).

The State has also asserted a valid interest in preserving the integrity of the medical profession. A number of medical professionals—including the American Medical Association, the Medical Society of the State of New York, the New York State Hospice and Palliative Care Association, and the New York State Task Force on Life and the Law—expressly reject physician-assisted suicide as an accepted medical practice (*e.g.* brief for the 39 Physicians at 4-13). Many believe that “physician-assisted suicide is fundamentally incompatible with the physician’s role as healer,” and could “undermine the trust that is essential to the doctor-patient relationship by blurring the time-honored line between healing and harming” (*Glucksberg*, 521 US at 731 [citations, brackets and internal quotation marks omitted]).

The Supreme Court has recognized that these, and other, “valid and important public interests” support New York’s assisted suicide statutes (*Vacco*, 521 US at 809). Each of these state interests, by itself, “easily satisf[ies] the constitutional requirement that a legislative classification bear a rational relation to some legitimate end” (*id.*); collectively, they overwhelmingly substantiate the legislature’s prohibition of aid-in-dying. Accordingly, as in *Glucksberg*, the assisted suicide statutes do not violate our State Due Process Clause either on their face or “as applied to competent, terminally ill adults who

wish to hasten their deaths by obtaining medication prescribed by their doctors” (*Glucksberg*, 521 US at 735 [citation and internal quotation marks omitted]).

II.

Despite the breadth of *Glucksberg*’s holding, plaintiffs—and others—suggest that the Supreme Court left open the possibility that some other plaintiff, under some other set of circumstances, might successfully assert an as-applied challenge to an assisted suicide ban (see *Glucksberg*, 521 US at 738-752 [Stevens, J., concurring]; see also per curiam op at 15; *Morris v Brandenburg*, 2016-NMSC-027, ¶ 30, 376 P3d 836, 847 [2016]; James Bopp, Jr. & Richard E. Coleson, *Three Strikes: Is An Assisted Suicide Right Out?*, 15 Issues L & Med 3, 35-36 [1999]; Adam J. Cohen, *The Open Door: Will the Right to Die Survive Washington v. Glucksberg and Vacco v. Quill?*, 16 In Pub Int 79, 98-107 [1997]; *Physician-Assisted Suicide*, 111 Harv L Rev 237, 243-245 [1997]). Although plaintiffs here assert a more particularized challenge to the assisted suicide statutes, their as-applied challenge nonetheless fails.

A.

In *Glucksberg*, Justice Stevens, concurring in the judgment, asserted that the Court had conceived of the plaintiffs’ claim “as a facial challenge—addressing not the application of the statute to a particular set of plaintiffs before it, but the constitutionality of the statute’s categorical prohibition” against assisting a suicide (*Glucksberg*, 521 US at 740 [Stevens, J., concurring]). Specifically, Justice Stevens noted that all three of the terminally ill patient plaintiffs had died during the pendency of the litigation, and the Court therefore “did not have before it any individual plaintiff seeking to hasten her death or any doctor who was threatened with prosecution for assisting in the suicide of a particular patient” (*id.* at 739 [Stevens, J., concurring]). Accordingly, Justice Stevens contended that the Court’s holding left open “the possibility that some applications of the statute might well be invalid” (*id.* [Stevens, J., concurring]).

Writing for the majority, Chief Justice Rehnquist conceded that the Court’s opinion did not “absolutely foreclose” the possibility that “an individual plaintiff seeking to hasten her death, or a doctor whose assistance was sought, could prevail in a more particularized challenge” (*id.* at 735 n 24, citing *id.*

at 750 [Stevens, J., concurring]). But to the extent the Court left open the prospect of a successful future due process challenge, its concession was a narrow one. The Court made clear: “[G]iven our holding that the Due Process Clause of the Fourteenth Amendment does not provide heightened protection to the asserted liberty interest in ending one’s life with a physician’s assistance, such a claim would have to be *quite different* from the ones advanced by [the] respondents here” (*id.* at 735 n 24 [emphasis added]; *see also* *Vacco*, 521 US at 809 n 13). In the 20 years since *Glucksberg* was decided, not a single plaintiff has asserted a successful constitutional challenge to an assisted suicide ban.

B.

Plaintiffs here explicitly seek to present the “more particularized” as-applied challenge purportedly “not foreclose[d]” by *Glucksberg* (*Glucksberg*, 521 US at 739, 750 [Stevens, J., concurring]). As detailed in the complaint, plaintiffs’ allegations encompass a number of diverse parties whose experiences span the myriad stages of terminal illness.⁴

At the time the complaint was filed, plaintiffs included competent, terminally ill patients who sought “to declare unconstitutional the application of New York penal law” to their respective circumstances. These patient plaintiffs requested, among other things, the option to “ingest medications prescribed by [their] doctor[s] to achieve a peaceful death.”

Plaintiffs also include a number of medical providers, including physicians whose patients “have requested” assistance to “help them die peacefully and with dignity.” As alleged in the complaint, each physician plaintiff, in the course of his current medical practice, “regularly encounters mentally-competent, terminally-ill patients who have no chance of recovery and for whom medicine cannot offer any hope other than some degree of symptomatic relief.” In some of those cases, “even symptomatic relief is impossible to achieve without the use of terminal sedation.” An “[u]ncertainty about the application” of the assisted suicide statutes deters these medical professionals from “exercising [their] best professional judgment [to provide] aid-in-dying.”

4. Given the breadth and nature of plaintiffs’ allegations, outlined briefly below, I agree with Judge Rivera’s implicit determination that plaintiffs’ claims encompass the “subgroup of patients” who have entered the “final stage of the dying process” (Rivera, J., concurring op at 18). Our disagreement concerns the merits—rather than the scope—of these claims.

Plaintiffs allege, among other things, that the assisted suicide statutes “violate[] the patient [p]laintiffs’ rights (and the rights of the physician [p]laintiffs’ mentally-competent, terminally-ill patients . . . and [End of Life Choices New York’s] mentally-competent-terminally-ill clients) . . . in violation of the Due Process Clause of the New York Constitution.” They seek a declaration that “the application” of the assisted suicide statutes to plaintiffs’ conduct violates the New York Constitution, as well as an order enjoining defendants “from prosecuting [p]laintiffs for seeking or providing aid-in-dying.”

C.

Plaintiffs’ challenge, though more particularized, is not meaningfully “different” from the claims rejected in *Glucksberg* (521 US at 735 n 24). Given our holding that the Due Process Clause of the New York State Constitution does not provide heightened protection to the asserted liberty interest, plaintiffs must show, with respect to their as-applied challenge, that the assisted suicide statutes no longer survive rational basis review. Plaintiffs cannot make the requisite showing because, despite the uniquely compelling interests of the terminally ill “facing an impending painful death” (Rivera, J., concurring op at 23), the State’s asserted interests subsist even where a patient is “in the final stage of life” (Rivera, J., concurring op at 29).

The legitimate interests advanced by the State support the assisted suicide statutes irrespective of a patient’s proximity to death or eligibility for terminal sedation. For instance, the State may permissibly conclude that its interest in preserving life does not “diminish” merely because a patient’s death may be “certain” or “imminent” (Rivera, J., concurring op at 18, 34). Rather, research demonstrates that “suicidal feelings in terminally ill people” are often “remediable through other means, including pain management, hospice services and counseling,” notwithstanding the patient’s impending or imminent death (brief for Disability Rights Amici at 21). In the State’s view, this data may undermine any assurance that, in the “last stage of life,” a patient’s “choice is not motivated by depression and helplessness, but by the desire to exercise autonomy to achieve a peaceful death” (Rivera, J., concurring op at 30, 31).

The risk of misuse similarly persists regardless of a patient’s “stage of the dying process” (Rivera, J., concurring op at 18).

Indeed, “many patients prescribed [lethal] drugs do not ultimately take them” (Rivera, J., concurring op at 26 n 5), creating a substantial danger that the dosage will be deliberately or accidentally misused. While that risk may be “no more” than with other dangerous drugs (Rivera, J., concurring op at 33), the State’s legitimate interest does not fail merely because the assisted suicide statutes do not “cover every evil that might conceivably have been attacked” (*McDonald v Board of Election Comm’rs of Chicago*, 394 US 802, 809 [1969]). Moreover, given the lethal repercussions of misuse—the dosage is deliberately designed to cause death—the legislature’s targeted effort to address this uniquely acute risk is certainly rational (*Williamson v Lee Optical of Okla., Inc.*, 348 US 483, 489 [1955] [noting that the State may act “one step at a time, addressing itself to the phase of the problem which seems most acute”]).

Nor does the State’s interest in promoting sound medical ethics dissipate as death draws near (Rivera, J., concurring op at 31-33). To the contrary, the State has asserted that the assisted suicide statutes encourage the unconditional treatment of the terminally ill and preserve the critical element of trust in a doctor-patient relationship at a time often marked by intense fear, uncertainty, and vulnerability. Even assuming this asserted rationale is “not uniformly accepted” (Rivera, J., concurring op at 31), skepticism of aid-in-dying unquestionably remains among well-regarded medical professionals, including a number of the State’s amici in this case. The State is entitled to adopt this legitimate medical perspective, which, by itself, adequately substantiates the assisted suicide statutes.

In any event, the State may permissibly conclude that an absolute ban on assisted suicide is the most reliable, effective, and administrable means of protecting against its inherent dangers (per curiam op at 17; *see also Glucksberg*, 521 US at 731-733). Indeed, the State’s legitimate interest in promoting a bright-line rule is particularly evident when considering the challenges posed by regulation. For instance, Judge Rivera’s proposed rule, which would permit aid-in-dying in the “last painful stage of life,” would purportedly apply only where a patient qualifies as “mentally-competent” and “terminally-ill”; where the patient is “experiencing intractable pain and suffering”; where “pain treatment is inadequate”; where death is “certain” and “imminent”; and where the patient’s choice “is not motivated by depression and helplessness” (Rivera, J., concurring op at 18, 23, 24, 31, 34). But the concurrence fails to

offer any concrete guidance regarding how these amorphous threshold eligibility determinations should be made. Faced with these complex and delicate calculations, the legislature may rationally conclude that the clarity and certainty of an absolute ban best protects against the inherent risks of physician-assisted suicide.

III.

The Due Process Clause of our State Constitution does not encompass a fundamental right to physician-assisted suicide, and the State's prohibition is rationally related to a number of legitimate government interests—interests that support the assisted suicide statutes irrespective of a patient's "stage of the dying process" (Rivera, J., concurring op at 18, 23). To the extent a hypothetical future plaintiff—presenting a "quite different" set of circumstances—might come forward, the prospect of a successful constitutional challenge is never "absolutely foreclose[d]" (*Glucksberg*, 521 US at 735 n 24). But in light of the Court's holding today—and our unanimous conclusion that heightened scrutiny is unwarranted—it is difficult to conceive of such a case. Plaintiffs' claims are better addressed to the legislature.

Judges RIVERA, STEIN, FAHEY, GARCIA and WILSON concur, Judge RIVERA in a concurring opinion, Judge FAHEY in a separate concurring opinion, and Judge GARCIA in a separate concurring opinion in which Judge STEIN concurs; Chief Judge DiFIORE and Judge FEINMAN taking no part.

Order affirmed, without costs.

[85 NE3d 1011, 63 NYS3d 737]

In the Matter of J. MARSHALL AYRES, a Justice of the Conklin Town Court, Broome County. J. MARSHALL AYRES, Petitioner; NEW YORK STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued September 6, 2017; decided October 17, 2017

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated May 4, 2017. The Commission determined that petitioner should be removed from the office of Justice of the Conklin Town Court, Broome County.

HEADNOTE

Judges — Removal from Office

The determination of respondent State Commission on Judicial Conduct that petitioner Justice should be removed from office was accepted. It was improper and a violation of petitioner's ethical duty for him to use his judicial position to interfere in the disposition of his daughter's traffic ticket, and it was further improper for petitioner to tell the prosecutor that in his opinion and that of his colleagues the matter should be dismissed. His imperious and discourteous manner towards the prosecutor on the case undermined the integrity of the judiciary. In addition, petitioner's actions in connection with appeals from petitioner's restitution orders in a criminal prosecution, including his several ex parte communications to County Court advocating for dismissal of the matter and extolling the correctness of his decisionmaking, were also highly improper. The letters disparaged County Court, defendant, and defense counsel, which was also unacceptable, and he persisted in that serious misconduct even after County Court informed petitioner that his comments were "troubling" and further instructed him as to the appellate process and petitioner's proper role. Petitioner's misconduct was compounded by his failure to recognize those breaches of judicial ethical standards and the public trust.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Judges §§ 16, 19.

CARMODY-WAIT 2d Officers of Court §§ 3:138, 3:139, 3:145.

NY JUR 2d Courts and Judges §§ 338, 439, 447, 448.

ANNOTATION REFERENCE

See ALR Index under Judges; Justices of the Peace.

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Query: justice /5 town /s remov! & "traffic ticket" & "ex parte"

POINTS OF COUNSEL

J. Marshall Ayres, petitioner pro se. I. None of the actions noted in charges I and II fall within the concept of "truly egregious circumstances" and the Commission's determination of removal from office should be overturned. (*Matter of Cunningham*, 57 NY2d 270.) II. While mistakes were made, all in a good faith effort, removal for "poor judgment" is not allowed, and as the basis for charge II is the overall tone of petitioner's letters, removal from office is excessive. (*Matter of Cunningham*, 57 NY2d 270.) III. The Court of Appeals should exercise its discretion to forgive defects. IV. Petitioner does not present a threat to the proper administration of justice. (*Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658.)

Robert H. Tembeckjian, *New York State Commission on Judicial Conduct*, Albany (*Edward Lindner*, *Cathleen S. Cenci*, *Eteena J. Tadjigoue* and *Mary C. Farrington* of counsel), for respondent. I. Petitioner committed judicial misconduct when he repeatedly intervened in another court and with the prosecutor in an effort to have his daughter's traffic ticket dismissed. (*Matter of LaBombard [State Commn. on Jud. Conduct]*, 11 NY3d 294; *Matter of Lonschein*, 50 NY2d 569; *Matter of Shilling*, 51 NY2d 397; *Matter of George [State Commn. on Jud. Conduct]*, 22 NY3d 323.) II. In *People v Finch*, petitioner abandoned his role as a neutral arbiter and acted as an advocate in appeals from his own orders, initiated ex parte communications, and twice failed to timely submit his court's return. (*People v A.N.*, 44 Misc 3d 269; *Matter of Blackburne [State Commn. on Jud. Conduct]*, 7 NY3d 213; *Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286; *Matter of George [State Commn. on Jud. Conduct]*, 22 NY3d 323; *Matter of Young [State Commn. on Jud. Conduct]*, 19 NY3d 621; *Matter of LaBombard [State Commn. on Jud. Conduct]*, 11 NY3d 294; *Matter of Marshall*, 8 NY3d 741; *Matter of VonderHeide [State Commn. on Jud. Conduct]*, 72 NY2d 658.) III. Petitioner's procedural and constitutional defenses are without merit. (*Matter of Nicholson v State Commn. on Jud. Conduct*, 50 NY2d 597; *Matter of New York State Commn. on Jud. Conduct v Rubenstein*, 23 NY3d 570; *Matter of Bauer*, 3 NY3d

158; *Matter of Reedy*, 64 NY2d 299; *El-Dehdan v El-Dehdan*, 26 NY3d 19.) IV. Petitioner should be removed from judicial office. (*Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213; *Matter of George* [State Commn. on Jud. Conduct], 22 NY3d 323; *Matter of Edwards*, 67 NY2d 153; *Matter of Simon* [State Commn. on Jud. Conduct], 28 NY3d 35; *Matter of LaBombard* [State Commn. on Jud. Conduct], 11 NY3d 294; *Matter of Lonschein*, 50 NY2d 569; *Matter of Shilling*, 51 NY2d 397; *Matter of Robert*, 89 NY2d 745; *Matter of Heburn*, 84 NY2d 168; *Matter of Tyler*, 75 NY2d 525.)

OPINION OF THE COURT

Per Curiam.

Petitioner J. Marshall Ayres, a nonlawyer Justice of the Conklin Town Court, Broome County, since 2009, commenced this proceeding, pursuant to article VI, § 22 of the New York State Constitution and section 44 of the Judiciary Law, to review a determination of the New York State Commission on Judicial Conduct (Commission) sustaining charges of misconduct and removing him from office. Upon our plenary review of the record we sustain the Commission's findings and conclude that removal is warranted.

The Commission issued a formal written complaint containing two charges. The first alleged that petitioner lent the prestige of his judicial office to advance the private interests of his daughter by attempting to influence the disposition of a traffic ticket issued to her and, in the process, was discourteous to the prosecutor on the case. According to the evidence before the Commission, petitioner relied on his status as a judge to personally request from a court clerk and another Town Justice that his daughter's case be transferred from the assigned judge. The clerk did not comply with the request, and the Town Justice refused, and further rebuffed petitioner's attempts to discuss the merits of his daughter's case. Subsequently, petitioner attended his daughter's pretrial conference with the prosecutor and made inappropriate reference to his judicial office, telling the prosecutor that "if this ticket was in my courtroom, I'd dismiss it," and that other judges he spoke with shared his view "that this should be dismissed." The prosecutor testified that she felt "extreme pressure" to dismiss the ticket. After the conference, the prosecution moved to

dismiss the ticket and the court eventually granted the motion.¹

The second charge alleged that, in connection with appeals from petitioner's restitution orders in *People v Finch* (Conklin Town Ct, case No. 10020071), petitioner mailed to Broome County Court eight letters, including five ex parte, that contained argumentative and biased statements. In these letters, petitioner asserted that the appeal was meritless and that defense counsel's arguments were "ludicrous" and "totally beyond any rational thought process." Petitioner also made biased, discourteous, and undignified statements about the defendant and defense counsel, including suggesting that defense counsel was attempting to "pad [his] bill" at taxpayer expense. Petitioner himself concedes that at least one letter addressed County Court with "snarky" language.

County Court took the unusual step of responding to petitioner with a letter in which it explained why his arguments were misplaced, his conduct inappropriate, and his words and actions ill-suited to his judicial post. Even after receiving this correspondence, petitioner continued to send letters to County Court opining on the merits of the case and failed to timely comply with deadlines for filing returns in the *Finch* appeals.

The Commission unanimously concluded that petitioner's actions violated sections 100.1, 100.2 (A), (B), (C); 100.3 (B) (4) and (6) of the Rules Governing Judicial Conduct (22 NYCRR). As aggravating factors supporting removal the Commission noted petitioner's insistence that his actions were permissible as well as his persistent misconduct in the *Finch* appeals.²

The Commission properly identified the applicable judicial standards of ethics.³ As we stated in *Matter of Esworthy* (77 NY2d 280, 282 [1991]), a judge has a duty to act "in such a

1. In fact, the Judge on the case initially refused to accept the prosecutor's motion to dismiss, since, as he testified at the Commission hearing, he was worried that petitioner had exerted inappropriate influence during the pre-trial conference.

2. While two commissioners wrote separately, both agreed that petitioner committed misconduct and that removal from judicial office was warranted.

3. We reject as without merit petitioner's varied objections to the Commission's process. Contrary to his claims, the Commission did not employ improper investigative techniques or demand documents outside the scope of its authority, but instead acted well within its broad powers to request and review records (see *Matter of New York State Commn. on Jud. Conduct v Rubenstein*, 23 NY3d 570 [2014]). We similarly find nothing inappropriate in

(n. cont'd)

manner as to inspire public confidence in the integrity, fair-mindedness and impartiality of the judiciary.” The Rules Governing Judicial Conduct expressly provide that a judge must “act at all times in a manner that promotes public confidence in the integrity and impartiality of the judiciary” and “avoid . . . [even] the appearance of impropriety” (22 NYCRR 100.2, 100.2 [A]). In particular, a judge shall not “lend the prestige of judicial office to advance the private interests of . . . others” (22 NYCRR 100.2 [C]). As the Court has emphasized, “[f]ew principles are more fundamental to the integrity, fair-mindedness and impartiality of the judiciary than the requirement that judges not preside over or otherwise intervene in judicial matters involving relatives. . . . The same is true of intervention by a judge in proceedings involving family members pending in another court” (*Matter of LaBombard* [State Commn. on Jud. Conduct], 11 NY3d 294, 297 [2008]).

Similarly, it is a violation of a judge’s solemn oath to abandon the role of neutral decisionmaker or engage in ex parte communications on the merits of a case. As we have explained, both actions are fundamentally incompatible with the responsibilities of judicial office (*see Matter of Blackburne* [State Commn. on Jud. Conduct], 7 NY3d 213, 221 [2006] [observing that, when “petitioner abandoned her role as neutral arbiter,” she acted in a way “completely incompatible with the proper role of an impartial judge”]; *Matter of George* [State Commn. on Jud. Conduct], 22 NY3d 323, 330 [2013] [observing that engaging in ex parte communications about the merits of a case is “conduct . . . antithetical to the role of a judge”]). For this reason, the Rules Governing Judicial Conduct state unequivocally that “[a] judge shall not initiate . . . ex parte communications”

the Commission Deputy Administrator participating at petitioner’s hearing, or the Commission referee advising petitioner of the possible negative inference to be drawn from petitioner’s failure to testify. Petitioner’s argument that he cannot be subject to the Commission’s scrutiny because he relied on the Office of Court Administration and the Town and Village Courts Resource Center is unpersuasive because the Resource Center made clear that a judge may not use a judicial position to obtain special favors or outcomes, even if attending a court appearance as a parent. In any case, as the record establishes, petitioner did not seek help from the Resource Center with respect to the charges at issue here, even after he had been put on notice that he was acting inappropriately. Lastly, the Commission’s formal written complaint provided petitioner with adequate notice about the disconcerting tone of his letters which the complaint described as containing “biased, discourteous and undignified statements about the defendant and his counsel.”

(22 NYCRR 100.3 [B] [6]), and we have repeatedly stressed that any conduct that creates or suggests the appearance of partiality is a “misuse of [the] judicial office” (*Matter of Young [State Commn. on Jud. Conduct]*, 19 NY3d 621, 626 [2012]). “[A] judge performing judicial duties must both act and appear to act as an impartial arbiter serving the public interest A judge who does not know this, and is not capable of learning it, should not be on the bench” (*Matter of Cerbone*, 2 NY3d 479, 485 [2004]).

As to the proper disposition for judicial misconduct, “[r]emoval is an extreme sanction and should be imposed only in the event of truly egregious circumstances” (*Matter of Cunningham*, 57 NY2d 270, 275 [1982]), and “should not be ordered for conduct that amounts simply to poor judgment, or even extremely poor judgment” (*id.*; see also *Matter of Kiley*, 74 NY2d 364, 369, 370 [1989]). Whether a judge’s behavior crosses the line of what constitutes “truly egregious” conduct is a fact-specific inquiry because “[j]udicial misconduct cases are, by their very nature, sui generis” (*Matter of Blackburne*, 7 NY3d at 219-220). A guiding principle in our assessment is that “the ‘truly egregious’ standard is measured with due regard to the higher standard of conduct to which judges are held” (*Matter of Restaino [State Commn. on Jud. Conduct]*, 10 NY3d 577, 590 [2008] [internal quotation marks and citations omitted]). When a judge intervenes in another judge’s courtroom, it compromises the court system as a whole. Thus, “as a general rule, intervention in a proceeding in another court should result in removal” (*Matter of Edwards*, 67 NY2d 153, 155 [1986]). The inability to recognize the seriousness of one’s misconduct and the failure to heed a prior warning are significant aggravating factors, and can be grounds for removal as well (see *Matter of George [State Commn. on Jud. Conduct]*, 22 NY3d 323, 331 [2013] [failure to heed a prior warning as a ground for removal]; *Matter of Hart [State Commn. on Jud. Conduct]*, 7 NY3d 1, 7-8 [2006] [failure to recognize the seriousness of misconduct as a ground for removal]; *Matter of Robert*, 89 NY2d 745, 747 [1997] [same]).

Here, it was improper and a violation of petitioner’s ethical duty for him to use his judicial position to interfere in the disposition of his daughter’s traffic ticket. It was further improper for petitioner to tell the prosecutor that in his opinion and that of his colleagues the matter should be dismissed. By these actions petitioner did more than act as would any concerned parent, as he now maintains. Instead, he used his status to gain

access to court personnel under circumstances not available to the general public, and, in his effort to persuade the prosecutor to drop the matter, gave his unsolicited judicial opinion. Furthermore, petitioner's imperious and discourteous manner towards the prosecutor on the case undermined "the integrity . . . of the judiciary." Even during the course of the Commission's proceedings petitioner exhibited no insight into the impropriety of his conduct. For example, he used paternalistic and infantilizing terms, referring to the prosecutor as "girl" and "kid," colloquialisms that were disrespectful and inappropriate.

Petitioner's actions during the *Finch* appeals, including his several ex parte communications to County Court advocating for dismissal of the matter and extolling the correctness of his decisionmaking, were also highly improper (*see e.g. In re Murchison*, 349 US 133, 137 [1955] [noting that a judge should not have "the zeal of a prosecutor"]; *Matter of Gumo*, 2015 New York State Commission on Judicial Conduct Annual Report at 98; Advisory Comm on Jud Ethics Op 98-77 [1998] ["(A) judge should not adopt the role of an advocate"]; 22 NYCRR 100.3 [B] [6] [prohibiting ex parte communications]). Additionally, the letters disparaged County Court, defendant, and defense counsel, which was also unacceptable (*see* 22 NYCRR 100.3 [B] [4] ["A judge shall perform judicial duties without bias or prejudice against or in favor of any person"]). He persisted in this serious misconduct even after County Court informed petitioner that his comments were "troubling" and further instructed him as to the appellate process and petitioner's proper role.

Petitioner's misconduct is compounded by his failure to recognize these breaches of our ethical standards and the public trust. Before the Commission's referee, the Commission itself, and this Court he continued to minimize the import of his actions. Rather than acknowledge his obligations and the implications of his conduct, petitioner asserts that he should not be removed because he acted as a father in his daughter's case, not as a judge, and because his communications in the *Finch* appeals were in good faith and substantially correct. He focuses on what he perceives as a misunderstanding, stating that "[t]his experience has taught [him] how easily words and actions can be misinterpreted and to avoid any occasion or situation that could be misconstrued." Petitioner fails to accept that this is not a question of a misunderstanding. As a judge he had but one choice: to refrain from "lend[ing] the prestige of judicial

office to advance the private interests of . . . others” (22 NYCRR 100.2 [C]), which included any communication on behalf of his daughter which could be “perceived as one backed by the power and prestige of judicial office” (*Matter of Lonschein*, 50 NY2d 569, 572 [1980]), such as his opinion that the ticket should be dismissed. Judges are held to “standards of conduct more stringent than those acceptable for others” (*Matter of Kuehnel v State Commn. on Jud. Conduct*, 49 NY2d 465, 469 [1980]), and “‘paternal instincts’ do not justify a departure from the standards expected of the judiciary” (*Matter of Edwards*, 67 NY2d at 155, citing *Matter of Lonschein*, 50 NY2d at 572).

Petitioner similarly fails to appreciate that he acted inappropriately during the course of the *Finch* appeals. He continues to minimize the import of his actions, claiming that the Commission took his comments out of context and that judges must be allowed “to express their own individuality.” Petitioner misses the essential point: that, as a judge, his conduct had to both be and appear to be impartial. This is a particularly high standard (see *Matter of Restaino*, 10 NY3d at 590; *Matter of Kuehnel*, 49 NY2d at 469). The conduct with which he is charged—and which he does not deny—fails to meet it.

His response to the charges and the Commission’s findings, his continued assertion that he acted lawfully, and his failure to appreciate his ethical breaches “strongly suggest[] that, if [petitioner] is allowed to continue on the bench, we may expect more of the same” (*Matter of Bauer*, 3 NY3d 158, 165 [2004]). Accordingly, the determined sanction of removal should be accepted, without costs, and J. Marshall Ayres removed from the office of Justice of the Conklin Town Court, Broome County.

Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Determined sanction accepted, without costs, and J. Marshall Ayres is removed from the office of Justice of the Conklin Town Court, Broome County.

[86 NE3d 527, 64 NYS3d 635]

In the Matter of PAMELA A. MADEIROS, Appellant, v NEW YORK
STATE EDUCATION DEPARTMENT et al., Respondents.

Argued September 5, 2017; decided October 17, 2017

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 5, 2015. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Francis T. Collins, J.), entered in a proceeding pursuant to CPLR article 78 to review a determination of respondent State Education Department denying petitioner's Freedom of Information Law request, which had granted the petition "to the limited extent of requiring the respondent to disclose pages 27 and 28 of Exhibit A" and otherwise dismissed the petition.

Matter of Madeiros v New York State Educ. Dept., 133 AD3d 962, modified.

HEADNOTES

Records — Freedom of Information Law — Judicial Review — Reliance on Disclosure Exemption Not Specified in Denial of Request

1. In a proceeding challenging respondent Department of Education's denial of petitioner's Freedom of Information Law (FOIL) request seeking disclosure of "audit standards" governing fiscal oversight of preschool special education programs, respondent was barred from claiming that the requested materials constituted non-routine "criminal investigative techniques" exempt from disclosure under Public Officers Law § 87 (2) (e) (iv), as respondent failed to invoke that exemption in its denial of petitioner's FOIL request. Judicial review of an administrative determination is limited to the grounds invoked by the agency. Moreover, the agency relying on the applicability of a FOIL exemption has the burden of establishing that the documents qualify for the exemption. To meet that burden, the agency must articulate particularized and specific justification for denying disclosure. Respondent's administrative denial cited to Public Officers Law § 87 (2) (e), without referencing a specific subparagraph. However, the justification offered, that disclosure would "interfere with investigations of compliance," plainly tracked the language of subparagraph (i), not subparagraph (iv), and respondent did not make any contemporaneous claim that the requested materials constituted non-routine "criminal investigative techniques" (Public Officers Law § 87 [2] [e] [iv]).

Records — Freedom of Information Law — Law Enforcement Purpose Exemption — Standards for Auditing Preschool Special Education Programs

2. Respondent Department of Education properly redacted portions of documents responsive to petitioner's Freedom of Information Law request

seeking disclosure of “audit standards” developed pursuant to Education Law § 4410 for the purpose of increasing fiscal oversight of preschool special education programs, as the redacted portions were exempt from disclosure under Public Officers Law § 87 (2) (e) (i) because they were “compiled for law enforcement purposes” and disclosure “would [have] interfere[d] with law enforcement investigations or judicial proceedings.” The exemption does not apply solely to records compiled for law enforcement purposes in connection with criminal investigations and punishment of violations of the criminal law. The statutory scheme of Education Law § 4410, as amended, and respondent’s applicable regulations indicate that the audits are specifically targeted at ferreting out the improper and potentially illegal or fraudulent reporting of costs by preschool special education providers. Thus, the obvious inference arising from the statutory requirement that respondent issue guidelines for municipalities conducting the audits is that the legislature sought to increase the efficacy of audit procedures in an effort to strengthen enforcement measures. Moreover, disclosure of the redacted procedures would have given rise to a substantial likelihood that violators could evade detection by deliberately tailoring their conduct in anticipation of avenues of inquiry to be pursued by agency personnel.

Records — Freedom of Information Law — Attorneys’ Fees

3. In petitioner’s proceeding challenging respondent Department of Education’s denial of her Freedom of Information Law (FOIL) request seeking disclosure of “audit standards” pertaining to preschool special education programs, the Appellate Division erred in determining that petitioner failed to meet the statutory prerequisites for an award of attorneys’ fees, where petitioner “substantially prevailed” in the litigation within the meaning of Public Officers Law § 89 (4) (c). The Public Officers Law authorizes an award of attorneys’ fees where the petitioner “has substantially prevailed” in the FOIL proceeding and the agency either lacked a reasonable basis for denying access to the requested records or “failed to respond to a request or appeal within the statutory time” (Public Officers Law § 89 [4] [c] [i], [ii]). The Appellate Division concluded that the statutory requirement that petitioner “substantially prevail” was not met because the majority of respondent’s challenged redactions were appropriate. However, respondent made no disclosures, redacted or otherwise, prior to petitioner’s commencement of the CPLR article 78 proceeding. Although respondent’s redactions in the eventually-released records were upheld, petitioner’s legal action ultimately succeeded in obtaining substantial unredacted post-commencement disclosure responsive to her FOIL request, including both disclosure that was volunteered by the agency and disclosure that was compelled by Supreme Court’s order.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Freedom of Information Acts §§ 71, 72, 265, 489, 565.

CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:643, 145:652, 145:659–145:661.

McKINNEY’S, Education Law § 4410; Public Officers Law §§ 87 (2) (e) (i), (iv); 89 (4) (c).

NY JUR 2d Records and Recording §§ 21, 26, 44, 45, 52, 65, 68, 73, 74.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Freedom of Information Acts; Schools and Education.

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Query: FOIL & fail! /s exempt! /s deni! & "law enforcement"

POINTS OF COUNSEL

Greenberg Traurig, LLP, Albany (*Cynthia E. Neidl* of counsel), for appellant. I. Public Officers Law § 87 (2) (e) does not permit the withholding of routine audit materials. (*Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Brown v Goord*, 45 AD3d 930; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Newsday, Inc. v Sise*, 71 NY2d 146; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75; *Matter of Leshner v Hynes*, 19 NY3d 57; *National Day Laborer Org. Network v United States Immigration & Customs Enforcement Agency*, 811 F Supp 2d 713.) II. The Appellate Division erred in permitting the New York State Education Department to raise a Freedom of Information Law exemption for the first time on appeal. (*Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753; *Matter of Belgrave v Ward*, 72 AD2d 898; *Matter of Loudon House LLC v Town of Colonie*, 123 AD3d 1409; *Matter of Miller v New York State Div. of Human Rights*, 122 AD3d 431.) III. The Appellate Division erred in finding that Pamela A. Madeiros did not substantially prevail where the New York State Education Department unjustifiably withheld public records until after suit was brought. (*Matter of New York Civ. Liberties Union v City of Saratoga Springs*, 87 AD3d 336; *Matter of Acme Bus Corp. v County of Suffolk*, 136 AD3d 896; *Matter of Kohler-Hausmann v New York City Police Dept.*, 133 AD3d 437; *Matter of Bottom v Fischer*, 129 AD3d 1604; *Matter of New York State Defenders Assn. v New York State Police*, 87 AD3d 193; *Matter of Powhida v City of Albany*, 147 AD2d 236; *Matter of Legal Aid Socy. v New York State Dept. of Corr. & Community Supervision*, 105 AD3d 1120; *Matter of*

Hearst Corp. v City of Albany, 88 AD3d 1130; *Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42.)

Eric T. Schneiderman, Attorney General, Albany (Jeffrey W. Lang, Barbara D. Underwood and Andrew D. Bing of counsel), for respondents. I. The New York State Education Department properly exempted from Freedom of Information Law disclosure records compiled for law enforcement purposes which contain audit techniques whose release would interfere with fiscal audits. (*Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of Pride Intl. Realty LLC v Daniels*, 4 Misc 3d 1005[A], 2004 NY Slip Op 50665[U]; *City of New York v BusTop Shelters*, 104 Misc 2d 702; *Matter of Leshner v Hynes*, 19 NY3d 57; *Small v Internal Revenue Serv.*, 820 F Supp 163; *Families for Freedom v United States Customs & Border Protection*, 837 F Supp 2d 287; *Buckner v Internal Revenue Serv.*, 25 F Supp 2d 893; *Mayer Brown LLP v Internal Revenue Serv.*, 562 F3d 1190; *John Doe Agency v John Doe Corp.*, 493 US 146.) II. Alternatively, the audit techniques are exempt as non-routine criminal investigative techniques. (*Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Aurigemma v New York State Dept. of Taxation & Fin.*, 128 AD3d 1235.) III. Petitioner did not substantially prevail in this proceeding. (*Matter of Acme Bus Corp. v County of Suffolk*, 136 AD3d 896; *Matter of Kohler-Hausmann v New York City Police Dept.*, 133 AD3d 437; *Matter of Bottom v Fischer*, 129 AD3d 1604; *Matter of New York State Defenders Assn. v New York State Police*, 87 AD3d 193; *Matter of New York Civ. Liberties Union v City of Saratoga Springs*, 87 AD3d 336; *Matter of Powhida v City of Albany*, 147 AD2d 236; *Matter of Hearst Corp. v City of Albany*, 88 AD3d 1130; *Matter of Cook v Nassau County Police Dept.*, 140 AD3d 1059; *Matter of Grabell v New York City Police Dept.*, 139 AD3d 477; *Matter of Friedland v Maloney*, 148 AD2d 814.)

OPINION OF THE COURT

STEIN, J.

The question before us is whether the Freedom of Information Law exempts from disclosure certain records compiled by respondent New York State Education Department relating to municipalities' plans for auditing special education preschool provider costs. We hold that the materials at issue, as redacted, are exempt from disclosure under Public Officers Law § 87 (2) (e) (i).

I.

The board of every school district is responsible for providing special education services and programs to preschool-age children with disabilities (*see* Education Law § 4410 [2]; *see generally* Education Law § 4401). Such programs are often furnished by private providers approved by respondent New York State Education Department (hereinafter, the Department) (*see* Education Law §§ 4401 [2]; 4410 [9]; 8 NYCRR 200.20). Each county and New York City (for the counties contained therein) is charged with the costs of sending resident children to these special education preschool programs (*see* Education Law § 4410 [1] [g]; [11] [a]). The tuition rates charged by such programs are set by the Department—based on financial statements submitted by the provider, as well as state and municipal audits, which establish, among other things, the costs of administering such programs—and municipalities are reimbursed by the State for a statutory percentage of the costs paid out to providers (*see id.* § 4410 [10], [11] [b] [i]; 8 NYCRR 200.9).

The Office of the State Comptroller conducted a series of audits of approved preschool special education programs. These audits revealed widespread fraud and abuse in the reporting of allowed costs, and ultimately prompted several criminal prosecutions and professional disciplinary investigations. As a result, in 2013, the legislature amended Education Law § 4410 in an attempt to increase fiscal oversight and, specifically, to incentivize municipal audits of such programs. Although municipalities were already authorized to perform audits of programs for which they bore fiscal responsibility, the 2013 amendments further permitted municipalities to recover overpayments and retain all disallowed costs discovered (L 2013, ch 57, § 1, part A, § 24; *see* Education Law § 4410 [11] [c] [i], [ii]; 8 NYCRR 200.18). The amendments to section 4410 also required the Department to “provide guidelines on standards and procedures to municipalities and boards, for fiscal audits of [preschool] services or programs” (L 2013, ch 57, § 1, part A, § 24; *see* Education Law § 4410 [11] [c] [i]). In addition to complying with that statutory mandate, the Department amended its regulations to require municipalities to submit, for approval by the Department, new “detailed audit plan[s] and audit program[s]” consistent with the Department’s guidelines prior to undertaking any audits after a specific date (8 NYCRR 200.18 [b] [2], [3]). Once approved, a municipality’s audit plan is valid for five years (*see id.*).

Shortly after the enactment of the statutory and regulatory amendments relating to Education Law § 4410, petitioner Pamela Madeiros submitted a request to the Department pursuant to the Freedom of Information Law (*see generally* Public Officers Law art 6 [FOIL]), seeking disclosure, as relevant here, of “any and all [Education Law § 4410 (11) (c) and 8 NYCRR 200.18] audit standards in [the Department’s] possession, including any audit program and audit plan submitted by a municipality or school district . . . , whether approved, not approved, disapproved, pending or such other status.” The Department denied petitioner’s request in its entirety, asserting that the records were exempt from disclosure pursuant to Public Officers Law § 87 (2) (e) because disclosure “would interfere with investigations of compliance with the provisions of the reimbursable cost manual and the preschool special education rate setting system.” Petitioner administratively appealed, and the Department failed to respond within the statutory time frame, thereby constructively denying her appeal (*see* Public Officers Law § 89 [4] [a]).

Petitioner subsequently commenced the instant CPLR article 78 proceeding, seeking a judgment vacating the denial of her FOIL request and directing the Department to provide her with the records sought. Petitioner also requested attorneys’ fees pursuant to Public Officers Law § 89 (4) (c).

Before answering the petition, the Department released to petitioner 55 pages of documents responsive to her FOIL inquiry. The documents consisted of the New York City and Onondaga County audit plans, the contents of which were partially redacted, certain unredacted Department records relating to the regulatory amendments, and the guidelines promulgated by the Department for fiscal audits of preschool providers undertaken by municipalities. After disclosing these documents, the Department answered the petition and sought dismissal of the proceeding, arguing that: petitioner’s claim was moot in light of its disclosures; the redactions were permitted under both section 87 (2) (e) and (g) of the Public Officers Law; and petitioner had failed to demonstrate her entitlement to attorneys’ fees. The Department submitted unredacted copies of the documents to the trial court for *in camera* review.

Supreme Court granted the petition only to the limited extent of requiring the Department to disclose two previously redacted pages due to the Department’s failure to invoke Public Officers Law § 87 (2) (g) as a basis for its administrative

denial, upheld the remainder of the redactions, and otherwise dismissed the proceeding. Supreme Court reasoned that the majority of the Department's redactions were appropriate under Public Officers Law § 87 (2) (e) because the audit plans contained non-routine audit techniques and procedures compiled for law enforcement purposes, and disclosure would interfere with law enforcement investigations (*see* Public Officers Law § 87 [2] [e] [i], [iv]). Supreme Court did not award petitioner attorneys' fees. On petitioner's appeal, the Appellate Division affirmed (133 AD3d 962 [3d Dept 2015]),* and we granted petitioner leave to appeal (27 NY3d 903 [2016]).

II.

FOIL generally “requires government agencies to ‘make available for public inspection and copying all records’ subject to a number of exemptions” (*Matter of Harbatkin v New York City Dept. of Records & Info. Servs.*, 19 NY3d 373, 379 [2012]; quoting Public Officers Law § 87 [2]). FOIL is based on a presumption of access in accordance with the underlying “premise that the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government” (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]; *see Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007]). The exemptions set forth in the statute are interpreted narrowly in order to effect the purpose of the statutory scheme (*see Matter of Data Tree*, 9 NY3d at 462).

This appeal centers on the meaning and interpretation of the exemption embodied in Public Officers Law § 87 (2) (e). Pursuant to this provision, an agency may deny public access to records or portions thereof that, as relevant here, “are compiled for law enforcement purposes and which, if disclosed, would” either “interfere with law enforcement investigations or judicial proceedings” (subparagraph [i]) or “reveal criminal investigative techniques or procedures, except routine techniques and procedures” (subparagraph [iv]). Petitioner argues that the courts below erred in concluding that the Department's redactions of the documents responsive to her FOIL request are exempt pursuant to either of these provisions. More specifi-

* During the pendency of petitioner's appeal, New York City released to petitioner an unredacted copy of its audit plan and program. Thus, insofar as petitioner sought disclosure of that plan, her request for that specific relief with regard to those particular documents is rendered academic (*see Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738, 749 [2001]).

cally, petitioner asserts that any records relating to municipal audit plans were not compiled for law enforcement purposes, do not relate to and would not interfere with a law enforcement investigation or judicial proceeding, and are not criminal investigative techniques. Petitioner further contends that she is entitled to attorneys' fees because she has substantially prevailed in this proceeding given the Department's belated disclosures following its commencement. In response, the Department urges us to affirm the Appellate Division order under either subparagraph (i) or (iv) of section 87 (2) (e), and disputes petitioner's claim that she is entitled to attorneys' fees.

III.

[1] Initially, we reject the Department's reliance on Public Officers Law § 87 (2) (e) (iv)—pertaining to non-routine criminal investigative techniques—because the Department failed to invoke that particular exemption in its denial of petitioner's FOIL request. “[J]udicial review of an administrative determination is limited to the grounds invoked by the agency” and “the court is powerless to affirm the administrative action by substituting what it considers to be a more adequate or proper basis” (*Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753, 758 [1991] [internal quotation marks and citations omitted]; see *Matter of National Fuel Gas Distrib. Corp. v Public Serv. Commn. of the State of N.Y.*, 16 NY3d 360, 368 [2011]; *Matter of Scanlan v Buffalo Pub. School Sys.*, 90 NY2d 662, 678 [1997]). It is also settled that the “agency relying on the applicability of [a FOIL] exemption[] . . . ha[s] the burden of establishing that the . . . documents qualif[y]” for the exemption and, to meet that burden, the agency must “‘articulate particularized and specific justification’” for denying disclosure (*Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 13 NY3d 882, 885 [2009], quoting *Matter of Fink*, 47 NY2d at 571; see Public Officers Law § 89 [4] [b]).

Here, the Department's administrative denial cited to Public Officers Law § 87 (2) (e), without referencing a specific subparagraph. However, the justification offered—namely, that disclosure would “interfere with investigations of compliance”—plainly tracks the language of subparagraph (i), not subparagraph (iv). The Department did not make any contemporaneous claim that the requested materials constituted non-routine

“criminal investigative techniques” (Public Officers Law § 87 [2] [e] [iv]). Because the Department did not rely on subparagraph (iv) in its administrative denial, to allow it to do so now would be contrary to our precedent, as well as to the spirit and purpose of FOIL.

IV.

The propriety of the Department’s redactions of the disclosed records, therefore, turns on whether the redacted portions qualify for exemption under Public Officers Law § 87 (2) (e) (i). This requires us to address both prongs of the exemption: (1) whether the records were compiled for law enforcement purposes; and (2) whether disclosure of the records would interfere with law enforcement investigations or judicial proceedings. We conclude that, under the circumstances presented here, both of these prongs are satisfied and the records were properly redacted.

As to the first prong, we are persuaded that the records at issue were compiled for law enforcement purposes. The phrase “law enforcement purposes” is not defined in the FOIL statutes (*see* Public Officers Law § 86 [definitions]). “In the absence of a statutory definition, ‘we construe words of ordinary import with their usual and commonly understood meaning, and in that connection have regarded dictionary definitions as useful guideposts in determining the meaning of a word or phrase’” (*Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016], quoting *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001]). To that end, “law enforcement” is generally defined by Black’s Law Dictionary as “[t]he detection and punishment of violations of the law” (Black’s Law Dictionary [10th ed 2014], law enforcement). It is undisputed that the Department lacks jurisdiction to punish criminal violations of the law. However, as the dictionary further provides, the term “law enforcement” is “not limited to the enforcement of criminal laws” (Black’s Law Dictionary [10th ed 2014], law enforcement).

[2] Consistent with this definition, we conclude that the exemption set forth in Public Officers Law § 87 (2) (e) does not apply solely to records compiled for law enforcement purposes in connection with criminal investigations and punishment of violations of the criminal law. Notably, the exemptions provided in two of the subparagraphs under section 87 (2) (e) expressly apply only to “criminal” matters, a limitation that would be

superfluous if the term “law enforcement” was confined to criminal matters at the outset (Public Officers Law § 87 [2] [e] [iii], [iv]).

In addition, we have recognized that “[f]ederal case law and legislative history . . . are instructive” when interpreting Public Officers Law § 87 (2) (e) because the FOIL law enforcement exemption is modeled on the federal counterpart found in the Freedom of Information Act (*Matter of Leshner v Hynes*, 19 NY3d 57, 64 [2012], quoting *Matter of Fink*, 47 NY2d at 572 n; see generally 5 USC § 552 [FOIA]). Significantly in that regard, the federal analogue exempting certain materials compiled for law enforcement purposes has been held to encompass both civil and criminal law enforcement matters (see e.g. *Sack v United States Dept. of Defense*, 823 F3d 687, 694 [DC Cir 2016]; *Cooper Cameron Corp. v United States Dept. of Labor, Occupational Safety & Health Admin.*, 280 F3d 539, 545 [5th Cir 2002]; *Tax Analysts v Internal Revenue Serv.*, 294 F3d 71, 77 [DC Cir 2002]; *Rugiero v United States Dept. of Justice*, 257 F3d 534, 550 [6th Cir 2001]; see also *Milner v Department of Navy*, 562 US 562, 582 [2011, Alito, J., concurring] [“The ordinary understanding of law enforcement includes not just the investigation and prosecution of offenses that have already been committed, but also proactive steps designed to prevent criminal activity”]). The Committee on Open Government—which issues advisory opinions relating to FOIL obligations—has also recognized that “entities other than criminal law enforcement agencies may in certain circumstances cite [Public Officers Law] § 87(2)(e) as a basis for denial,” providing, as an example, an agency audit that uncovers possible illegality (Comm on Open Govt FOIL-AO-7332 [1992]).

Our decision should not be read to hold that every audit necessarily serves “law enforcement purposes” (Public Officers Law § 87 [2] [e]). The audits at issue here, however, are not simply routine fiscal audits. The statutory scheme of Education Law § 4410, as amended in 2013, and the Department’s regulations pertaining to municipal audit plans and audit programs, indicate that these audits are specifically targeted at ferreting out the improper and potentially illegal or fraudulent reporting of costs by preschool special education providers. The goal of the statutory and regulatory scheme and, in particular the 2013 amendments, is not only to ensure the establishment of an accurate tuition rate, but also to encourage compliance with the applicable reporting rules and curb existing fraud and

abuse (*see generally* Senate Introductor's Mem in Support, Bill Jacket, L 2013, ch 545 at 9, 2013 McKinney's Session Laws at 2087). Thus, the obvious inference arising from the statutory requirement that the Department issue guidelines for municipalities in conducting these audits is that the legislature sought to increase the efficacy of audit procedures in an effort to strengthen enforcement measures. Under these circumstances, we conclude that the records sought by petitioner were compiled for law enforcement purposes.

Turning to the second inquiry, we agree with the courts below that the redactions made by the Department were necessary to prevent interference with a law enforcement investigation (*see* Public Officers Law § 87 [2] [e] [i]). We have cautioned that “the purpose of [FOIL] is not to enable persons to use agency records to frustrate pending or threatened investigations nor to use that information to construct a defense to impede a prosecution” (*Matter of Fink*, 47 NY2d at 572). Here, the Executive Coordinator for Special Education explained that the Department's redactions were imperative because releasing specific methods and procedures used by auditors in particular counties would supply providers subject to audit with “a roadmap to avoid disclosure of inappropriate costs” and would enable such providers to more effectively conceal fraudulent and criminal activities, thereby undermining the audit process. In other words, “disclosure of th[e redacted] procedures would give rise to a substantial likelihood that violators could evade detection by deliberately tailoring their conduct in anticipation of avenues of inquiry to be pursued by agency personnel” (*Matter of Fink*, 47 NY2d at 572).

To the extent petitioner claims that Public Officers Law § 87 (2) (e) (i) is inapplicable because there were no ongoing audits at the time that she submitted her FOIL request, her argument is unpersuasive. While an agency may not rely on section 87 (2) (e) (i) to refuse disclosure of records upon a wholly speculative claim of potential interference with an unspecified future investigation to which the documents may or may not be relevant (*see Church of Scientology of N.Y. v State of New York*, 61 AD2d 942, 943 [1st Dept 1978], *affd on other grounds* 46 NY2d 906, 907 [1979]), that is not the case here. Rather, the municipal audits of special education preschool providers were expressly encouraged by statute and were plainly contemplated in the near future.

A municipality must submit an audit plan for approval as the necessary first step to conducting an audit (*see* 8 NYCRR

200.18). That is, the very purpose of a municipality's submission of an audit plan to the Department for approval is to obtain authorization to conduct such investigations. We have previously recognized that section 87 (2) (e) (i) applies to prospective investigations (*see Matter of Leshner*, 19 NY3d at 68 [observing that disclosure may be required where there was "no longer any pending or *potential* law enforcement investigation" (emphasis added)]; *see also Sussman v United States Marshals Serv.*, 494 F3d 1106, 1114 [DC Cir 2007] [under FOIA, the interference need not be with an ongoing investigation, as disclosure may be refused if it would interfere with a reasonably anticipated proceeding]; *Lynch v Department of Treasury*, 210 F3d 384 [9th Cir 2000] [table; text at 2000 WL 123236, *3, 2000 US App LEXIS 1392, *11 (2000)] [FOIA exemption applied where legal action was "'contemplated' or 'in prospect'"], *cert denied* 530 US 1215 [2000]; *Manna v United States Dept. of Justice*, 51 F3d 1158, 1164 [3d Cir 1995] [under FOIA, the agency must show that an enforcement proceeding is "pending or prospective"], *cert denied* 516 US 975 [1995]; *Miller v United States Dept. of Agric.*, 13 F3d 260, 263 [8th Cir 1993] [same]).

Here, considering the municipalities' submissions of audit plans in the context of the statutory and regulatory amendments aiming to uncover and curtail fraudulent and criminal reporting, the existence of reasonably anticipated investigations at the time of petitioner's FOIL request is clear. The municipalities in question, by virtue of having submitted plans pursuant to which audits could be conducted, were plainly contemplating impending audits of preschool program providers for which they bore financial responsibility. Thus, the redactions at issue fit squarely within the exemption permitting an agency to deny access to records compiled for law enforcement purposes where their disclosure would interfere with an investigation.

V.

As a final matter, we agree with petitioner that, even accepting the Department's redactions as proper, she "substantially prevailed" in this litigation (Public Officers Law § 89 [4] [c]). The Public Officers Law authorizes an award of attorneys' fees where the petitioner "has substantially prevailed" in the FOIL proceeding and the agency either lacked a reasonable basis for denying access to the requested records or "failed to respond to a request or appeal within the statutory time" (Public Officers

Law § 89 [4] [c] [i], [ii]). “Where . . . a court determines that one of the requirements has not been met, we review whether the court erred as a matter of law in reaching that conclusion” (*Matter of Beechwood Restorative Care Ctr. v Signor*, 5 NY3d 435, 441 [2005]; see *Matter of Niagara Envtl. Action v City of Niagara Falls*, 63 NY2d 651, 652 [1984]). If the statutory requirements have been satisfied, the determination of whether to award fees rests within the court’s discretion, subject to review only for an abuse of that discretion (see *Matter of Capital Newspapers Div. of the Hearst Corp. v City of Albany*, 15 NY3d 759, 761 [2010]; *Matter of Beechwood Restorative Care Ctr.*, 5 NY3d at 441; Governor’s Approval Mem, Bill Jacket, L 1982, ch 73 at 8, 1982 McKinney’s Session Laws of NY at 2592-2593).

[3] Here, the Appellate Division concluded that the statutory requirement that petitioner “substantially prevail” was not met because the “majority of the [Department’s] challenged redactions were appropriate” (133 AD3d at 965). However, this analysis fails to take into account that the Department made *no* disclosures, redacted or otherwise, prior to petitioner’s commencement of this CPLR article 78 proceeding. Although the Department’s redactions in the eventually-released records have been upheld, petitioner’s legal action ultimately succeeded in obtaining substantial unredacted post-commencement disclosure responsive to her FOIL request—including both disclosure that was volunteered by the agency and disclosure that was compelled by Supreme Court’s order.

Under these circumstances, petitioner substantially prevailed within the meaning of Public Officers Law § 89 (4) (c) and the Appellate Division erred in determining that petitioner failed to meet the statutory prerequisites for an award of attorneys’ fees. Indeed, to conclude otherwise would be to permit agencies to circumvent section 89 (4) (c) because “only a petitioner who fully litigated a matter to a successful conclusion could ever expect an award of counsel fees and a respondent whose position was meritless need never be concerned about the possible imposition of such an award so long as they ultimately settled a matter—however dilatorily” (*Matter of New York Civ. Liberties Union v City of Saratoga Springs*, 87 AD3d 336, 339-340 [3d Dept 2011]; see *Matter of Kohler-Hausmann v New York City Police Dept.*, 133 AD3d 437, 438 [1st Dept 2015]; *Matter of Jaronczyk v Mangano*, 121 AD3d 995, 997 [2d Dept 2014]; *Matter of Purcell v Jefferson County Dist. Attorney*, 77 AD3d 1328,

1329 [4th Dept 2010]; *Matter of Powhida v City of Albany*, 147 AD2d 236, 239 [3d Dept 1989]). We, therefore, must remit for Supreme Court to exercise its discretion in relation to petitioner's fee request.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting the matter to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge DiFIORE and Judges RIVERA, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order modified, without costs, by remitting to Supreme Court, Albany County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[86 NE3d 514, 64 NYS3d 622]

KATHLEEN MAKINEN et al., Respondents, v CITY OF NEW YORK
et al., Appellants.

Argued September 5, 2017; decided October 17, 2017

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Do sections 8-102(16)(c) and 8-107(1)(a) of the New York City Administrative Code preclude a plaintiff from bringing a disability discrimination claim based solely on a perception of untreated alcoholism?”

HEADNOTE

Civil Rights — New York City Human Rights Law — Employment Discrimination Based on Disability — Perceived Untreated Alcoholism

Administrative Code of the City of New York §§ 8-102 (16) (c) and 8-107 (1) (a) preclude a disability discrimination claim based solely on a perception of untreated alcoholism. Administrative Code § 8-107 (1) (a) (3) prohibits discrimination in employment “because of the actual or perceived . . . disability . . . of any person.” Pursuant to Administrative Code § 8-102 (16) (c), the term “disability,” in the context of “alcoholism, drug addiction or other substance abuse,” only applies “to a person who (1) is recovering or has recovered and (2) currently is free of such abuse.” Therefore, the Administrative Code does not consider a mistaken perception of alcoholism to be a disability covered by the New York City Human Rights Law (Administrative Code § 8-101 *et seq.* [NYCHRL]). By its plain language, the NYCHRL does not regulate employer actions motivated by concern with respect to the abuse of alcohol. Rather, the NYCHRL covers circumstances in which employers unfairly typecast alcoholics who have sought treatment and who are not presently abusing alcohol, so as to ensure that such persons are afforded a fair opportunity at recovery. Although the Local Civil Rights Restoration Act of 2005 mandates that the NYCHRL be read broadly and refers to the New York State Human Rights Law (NYSHRL) and the Americans with Disabilities Act (ADA), which cover alcoholics presently abusing alcohol as well as recovering and recovered alcoholics, as floors below which the NYCHRL should not fall, the City Council has, through its express language, mandated narrower coverage than the NYSHRL or the ADA. The Restoration Act’s requirement that the statute be construed broadly cannot apply when the NYCHRL expressly requires otherwise.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Job Discrimination § 167.

NY JUR 2d Civil Rights §§ 110, 111, 127.

ANNOTATION REFERENCE

See ALR Index under Alcoholics and Alcoholism; Civil Rights and Discrimination; Disabled Persons.

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POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (*Kathy Chang Park, Richard Dearing* and *Devin Slack* of counsel), for appellants. The New York City Human Rights Law (Administrative Code of City of NY § 8-101 *et seq.*) does not allow discrimination claims based on a mistaken perception of active alcohol abuse. (*Matter of Levitt v Board of Collective Bargaining of City of N.Y., Off. of Collective Bargaining*, 79 NY2d 120; *Velazco v Columbus Citizens Found.*, 778 F3d 409; *Matter of McEniry v Landi*, 84 NY2d 554; *Regional Economic Community Action Program, Inc. v City of Middletown*, 294 F3d 35; *Zakrzewska v New School*, 14 NY3d 469; *Albunio v City of New York*, 16 NY3d 472; *Bennett v Health Mgt. Sys., Inc.*, 92 AD3d 29; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653.)

Gleason, Dunn, Walsh & O'Shea, Albany (*Lisa F. Joslin* and *Daniel A. Jacobs* of counsel), for respondents. The New York City Human Rights Law (Administrative Code of City of NY § 8-101 *et seq.*) prohibits discrimination based on a perception of untreated alcoholism. (*Matter of Greenberg [Ryder Truck Rental]*, 70 NY2d 573; *Price v Price*, 69 NY2d 8; *Matter of McEniry v Landi*, 84 NY2d 554; *Regional Economic Community Action Program, Inc. v City of Middletown*, 294 F3d 35; *Jacobsen v New York City Health & Hosps. Corp.*, 22 NY3d 824; *Romanello v Intesa Sanpaolo, S.p.A.*, 22 NY3d 881; *Matter of State Div. of Human Rights [Granelle]*, 70 NY2d 100; *Matter of Miller v Ravitch*, 60 NY2d 527; *Doe v Roe, Inc.*, 160 AD2d 255; *Ashker v International Bus. Machs. Corp.*, 168 AD2d 724.)

OPINION OF THE COURT

FAHEY, J.

The United States Court of Appeals for the Second Circuit has certified—and we have accepted for review (29 NY3d 1019 [2017])—the question whether “sections 8-102(16)(c) and 8-107(1)(a) of the New York City Administrative Code preclude a plaintiff from bringing a disability discrimination claim based solely on a perception of untreated alcoholism?” (*Makinen v City of New York*, 857 F3d 491, 493 [2d Cir 2017]). We conclude that those sections of the Administrative Code plainly preclude a disability discrimination claim based solely on a perception of untreated alcoholism, and we therefore answer the certified question in the affirmative.

I.

The facts and the procedural history of this matter are set forth in the underlying orders of the United States District Court for the Southern District of New York (53 F Supp 3d 676 [SD NY 2014]; 167 F Supp 3d 472 [SD NY 2016]) and the opinion of the Second Circuit (857 F3d 491 [2d Cir 2017]). As relevant here, this action arises from the separate referrals of plaintiffs, each of whom was an officer with the New York City Police Department (NYPD) at all times relevant to this matter, “to the . . . internal Counseling Services Unit (‘CSU’)” of that police force (*Makinen*, 167 F Supp 3d at 480; *see Makinen*, 857 F3d at 493). “The CSU is a certified New York State Office of Alcoholism and Substance Abuse Services outpatient treatment center, with a stated objective of assisting police officers who are experiencing difficulty with substance abuse in their rehabilitation and returning them to productive service” (*Makinen*, 167 F Supp 3d at 480). Following those referrals, each plaintiff “denied that [she] had issues with alcohol abuse,” yet the CSU determined that each plaintiff suffered from some form of alcoholism (*id.*). Plaintiffs did not commence a proceeding pursuant to CPLR article 78 to challenge the CSU’s determinations. The parties now agree that plaintiffs “were not actually alcoholics” (*Makinen*, 857 F3d at 493).

To that end, plaintiffs subsequently commenced this action alleging, among other things, that defendants “discriminated against [plaintiffs] by subjecting them to adverse employment actions based on the illegitimately perceived disability of alcohol dependence and/or abuse” (*Makinen*, 53 F Supp 3d at 690) in violation of the Americans with Disabilities Act (42 USC § 12101 *et seq.* [ADA]), the New York State Human Rights

Law (Executive Law art 15 [NYSHRL]), and the New York City Human Rights Law (Administrative Code of City of NY § 8-101 *et seq.* [NYCHRL]). In short, plaintiffs challenged “the legitimacy of [d]efendants’ perception of them as disabled” (*id.*).

The matter proceeded to a trial in the District Court, after which, in pertinent part, the jury returned a verdict in favor of plaintiffs on their claims pursuant to the NYCHRL (*see Makinen*, 857 F3d at 494). The verdict was rendered over defendants’ objection to the trial court’s final jury charge, which, among other things, instructed that plaintiffs could recover under the NYCHRL without establishing that they were actually or were perceived to be recovering alcoholics free from abuse. That is, according to defendants, the trial court’s final instructions contradicted the Administrative Code, which, as relevant here, applies the protections of the NYCHRL only to those with an actual or perceived disability (*see* Administrative Code § 8-107 [1] [a] [3]), and provides that, “[i]n the case of alcoholism, . . . the term ‘disability’ . . . only appl[ies] to a person who (1) is recovering or has recovered and (2) currently is free of such abuse” (§ 8-102 [16] [c]).

Consequently, defendants moved for a new trial and for judgment as a matter of law, contending “that the NYCHRL does not extend to untreated alcoholism” (*Makinen*, 857 F3d at 494). The District Court, however, denied that relief (*Makinen*, 167 F Supp 3d 472), and defendants pursued an appeal from that District Court order to the Second Circuit.

On appeal, defendants contended, among other things, that “the NYCHRL does not protect an employee who is perceived to be an untreated alcoholic” (*Makinen*, 857 F3d at 494; *see* Administrative Code §§ 8-102 [16]; 8-107 [1] [a]). Inasmuch as no state court has addressed whether the relevant parts of that law “permit a plaintiff to bring a disability discrimination claim based solely on a perception that the plaintiff suffered from untreated alcoholism” (*Makinen*, 857 F3d at 496), that court retained the appeal for determination following the disposition of this question that it certified for this Court’s review: “Do sections 8-102(16)(c) and 8-107(1)(a) of the New York City Administrative Code preclude a plaintiff from bringing a disability discrimination claim based solely on a perception of untreated alcoholism?” (*Makinen*, 857 F3d at 497; *see* 29 NY3d 1019 [accepting that certified question]).

II.

The parties agree that before us is a question of statutory interpretation. To that end, “our primary consideration is to discern and give effect to the . . . intention” of the enactor of the statute or statutes at issue (*Matter of Avella v City of New York*, 29 NY3d 425, 434 [2017] [internal quotation marks omitted]; see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Inasmuch as “[t]he text of a statute is the clearest indicator of such legislative intent,” where the disputed language is “unambiguous,” we are bound “to give effect to its plain meaning” (*Avella*, 29 NY3d at 434 [internal quotation marks omitted]). Moreover, “[w]here[, as here,] the legislative language is clear, [we have] no occasion [to] examin[e] . . . extrinsic evidence to discover legislative intent” (McKinney’s Cons Laws of NY, Book 1, Statutes § 120, Comment at 242).

This case turns on the issue whether defendants violated the part of the Administrative Code containing the NYCHRL, and our review of the certified question turns on the language of the relevant parts of that law. Specifically at issue is Administrative Code § 8-107, which is entitled “[u]nlawful discriminatory practices.” Subdivision (1) (a) (3) of that section provides that, in the context of “[e]mployment,” “[i]t shall be an unlawful discriminatory practice . . . [f]or an employer or an employee or agent thereof, because of the actual or perceived . . . disability . . . of any person . . . [t]o discriminate against such person in compensation or in terms, conditions or privileges of employment” (§ 8-107 [1] [a] [3]).

Also at issue is Administrative Code § 8-102, which defines certain terms used in the NYCHRL. Subdivision (16) (a) of that section states that “[t]he term ‘disability’ means any physical, medical, mental or psychological impairment, or a history or record of such impairment” (§ 8-102 [16] [a]). Subdivision (16) (c) of the same section, in turn, adds that,

“[i]n the case of alcoholism, drug addiction or other substance abuse, the term ‘disability’ shall only apply to a person who (1) is recovering or has recovered and (2) currently is free of such abuse, and shall not include an individual who is currently engaging in the illegal use of drugs, when the covered entity acts on the basis of such use” (§ 8-102 [16] [c]).

Applying the aforementioned rules of statutory interpretation to this case, we conclude that the certified question should be answered in the affirmative because the Administrative Code does not consider a mistaken perception of alcoholism to be a disability covered by the NYCHRL. As the Second Circuit noted, there is no ambiguity about the plain language of the NYCHRL, which is only open to one reasonable interpretation: the disability of alcoholism “shall only apply to a person who (1) is recovering or has recovered and (2) currently is free of such abuse” (*Makinen*, 857 F3d at 494). Indeed, by its plain language, the NYCHRL does not regulate employer actions motivated by concern with respect to the abuse of alcohol. Rather, the NYCHRL covers circumstances in which employers unfairly typecast alcoholics who have sought treatment and who are not presently abusing alcohol, so as to ensure that such persons are afforded a fair opportunity at recovery. Said differently, the NYCHRL provides that, with respect to alcoholism, a person is considered to be disabled (so as to trigger the protections of that law) only when he or she “is recovering or has recovered” and “currently is free of such abuse” (§ 8-102 [16] [c]; see § 8-107 [1] [a] [3]).

III.

In so concluding, we respectfully disagree with our dissenting colleague as to the import of Administrative Code § 8-130 and our decision in *Albunio v City of New York* (16 NY3d 472 [2011]) to this matter.

By way of background, based on its concern that the NYCHRL was being construed too narrowly by the courts, the City Council amended that law with the Local Civil Rights Restoration Act of 2005, through which Administrative Code § 8-130 came about. Section 1 of the Restoration Act states its purpose as “to clarify the scope of [the NYCHRL]” (Local Law No. 85 [2005] of City of NY § 1). This was deemed necessary because

“[i]t [was] the sense of the Council that [the NYCHRL] ha[d] been construed too narrowly to ensure protection of the civil rights of all persons covered by the law. In particular, through passage of this local law, the Council [sought] to underscore that the provisions of [the NYCHRL] are to be construed independently from similar or identical

provisions of New York state or federal statutes”
(*id.*).

Two new rules of construction can be gleaned from the Restoration Act (*see Velazco v Columbus Citizens Found.*, 778 F3d 409, 410 [2d Cir 2015]). First, the NYCHRL “shall be construed liberally for the accomplishment of the uniquely broad and remedial purposes thereof, regardless of whether federal or New York State civil and human rights laws, including those laws with provisions comparably-worded to provisions of this title, have been so construed” (Local Law No. 85 [2005] of City of NY § 7 [emphasis omitted]). Second, “[i]nterpretations of New York state or federal statutes with similar wording may be used to aid in interpretation of the [NYCHRL], viewing similarly worded provisions of federal and state civil rights laws as a floor below which the [NYCHRL] cannot fall,¹ rather than a ceiling above which the local law cannot rise” (*id.* § 1).

The parties agree that the NYCHRL differs from its state and federal counterparts inasmuch as the NYSHRL and the ADA both offer protections for alcoholics, whether recovering, recovered, or those presently abusing alcohol, and allow them to establish a *prima facie* case for discrimination (*see Makinen*, 857 F3d at 495 n 3; *see also Matter of McEniry v Landi*, 84 NY2d 554, 558-559 [1994], citing Executive Law § 292 [21] [a] [“Manifestly, alcohol dependency qualifies as a disability within the meaning of the (NYSHRL)”]; *Regional Economic Community Action Program, Inc. v City of Middletown*, 294 F3d 35, 46 [2d Cir 2002] [ADA protects alcoholics still abusing alcohol as long as work performance meets same standards of employment as entity’s other employees]).² To that end, as the Second Circuit observed, the plain meaning of the relevant parts of the Administrative Code “seems in tension with the New York City Council’s stated intention of affording plaintiffs who sue under

1. The dissent states that the NYSHRL and the ADA provide a “floor below which the [NYCHRL] cannot fall” (dissenting op at 94). To the extent this suggests that courts can never interpret the NYCHRL to provide less protection than the state and federal statutes, the dissent mischaracterizes the Restoration Act. The exact instruction is that “*similarly worded provisions* of federal and state civil rights laws” should be viewed “as a floor below which the [NYCHRL] cannot fall” (Local Law No. 85 [2005] of City of NY § 1 [emphasis added]).

2. By contrast, and as noted, the NYCHRL provides that, with respect to alcoholism, a person is considered to be disabled (so as to trigger the protections of that law) only when he or she “is recovering or has recovered” and “currently is free of such abuse” (Administrative Law § 8-102 [16] [c]; *see* § 8-107 [1] [a] [3]).

the NYCHRL all of the protection guaranteed by comparable provisions of State and federal law” (*Makinen*, 857 F3d at 494). The question then is how the tension between the plain language of Administrative Code §§ 8-102 and 8-107 should be read when the City Council has stated that the NYSHRL and ADA should be treated as a floor when interpreting the NYCHRL broadly, and the NYSHRL and ADA both do not differentiate between recovering and recovered alcoholics and those presently abusing alcohol.

The first guidance offered by the Restoration Act, that the NYCHRL should be construed liberally to accomplish its remedial purpose, codifies what should have been clear already (“Remedial statutes, of course, should be construed broadly so as to effectuate their purpose” [*Matter of Scanlan v Buffalo Pub. School Sys.*, 90 NY2d 662, 676 (1997)]). The consequence of this is that we must construe the NYCHRL “broadly in favor of discrimination plaintiffs, to the extent that such a construction is reasonably possible” (*Albunio*, 16 NY3d 472, 477-478 [2011]). In line with the second interpretive guidance, “we have always strived to resolve federal and state employment discrimination claims consistently” (*Zakrzewska v New School*, 14 NY3d 469, 479 [2010] [internal quotation marks omitted]).³ We also, however, “construe unambiguous language to give effect to its plain meaning” (*id.*). Even if the NYCHRL “was intended to be more protective than the state and federal counterparts” (*Farrugia v North Shore Univ. Hosp.*, 13 Misc 3d 740, 747 [Sup Ct, NY County 2006]), and even if its “legislative history contemplates that the Law be independently construed with the aim of making it the most progressive in the nation” (*Bumpus v New York City Tr. Auth.*, 18 Misc 3d 1131[A], 2008 NY Slip Op 50254[U], *4 [Sup Ct, Kings County 2008]), the NYCHRL still must be interpreted based on its plain meaning.

It is clear that the NYCHRL only treats recovering or recovered alcoholics as having a disability under the statute, while the NYSHRL and the ADA cover alcoholics presently abusing alcohol, as well as recovering and recovered alcoholics. While the plain mandate of the Restoration Act is for it to be

3. In *Zakrzewska*, we concluded that our previous holding that “the human rights provisions of the [NYCHRL] mirror the provisions of the [NYSHRL] and should therefore be analyzed according to the same standards” (*Forrest v Jewish Guild for the Blind*, 3 NY3d 295, 305 n 3 [2004]) did not conflict with its holding that the NYCHRL prevented a defense available under state and federal law (*Zakrzewska*, 14 NY3d at 481).

read broadly, and it does refer to the state and federal human rights law as floors below which the NYCHRL should not fall, this is a rare case where through its express language, the City Council has mandated narrower coverage than the NYSHRL or the ADA. The Restoration Act's requirement that the statute be construed broadly cannot apply when the NYCHRL expressly requires otherwise—we would be rewriting the NYCHRL, not merely giving it a broad reading to effectuate its remedial anti-discrimination purpose (see *Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170, 173 [2005] [(W)e may not rewrite the statute to achieve more 'fairness' than the Legislature chose to enact"]). The City Council may always amend the language of these provisions, but until it does we are bound by its express terms.

IV.

In sum, we conclude that the Administrative Code does not consider a mistaken perception of alcoholism to be a disability covered by the NYCHRL. The only reasonable construction of the subject NYCHRL provisions makes it unlawful for an employer to discriminate against an individual based on the individual's status, whether actual or perceived, as one recovering or recovered from alcoholism and currently free from alcohol abuse. Given this express choice by the City Council to extend the protections of the NYCHRL only to recovered or recovering alcoholics, there is no basis for us to use Administrative Code § 8-130 in search of a different reading of the NYCHRL's plain text.

Accordingly, the certified question should be answered in the affirmative.

GARCIA, J. (dissenting). Plaintiffs, two female police officers, were wrongfully diagnosed as alcoholics based on allegations made by their respective former partners from past relationships. As a result, plaintiffs' employer—the New York City Police Department (NYPD)—compelled them to undergo unwarranted treatment. Plaintiffs brought suit, contending, among other things, that defendants' discriminatory conduct violated City, State, and federal civil rights laws. The jury entered verdicts in favor of plaintiffs under the New York City Human Rights Law (Administrative Code of City of NY § 8-101 *et seq.* [the Human Rights Law]). Defendants appealed, contending that the relevant provisions of the Human Rights Law

“preclude a plaintiff from bringing a disability discrimination claim based solely on a perception of untreated alcoholism” (*Makinen v City of New York*, 857 F3d 491, 497 [2d Cir 2017]). The Second Circuit determined that certification on this issue was warranted, and we accepted the certified question.

Defendants advance a plausible reading of the Human Rights Law that would prohibit plaintiffs from recovering. Specifically, defendants contend that, according to the clear statutory language, the Human Rights Law applies only to “recovering” or “recovered” alcoholics, and therefore does not extend protection to an employee who is—or, like plaintiffs, is perceived to be—an *untreated* alcoholic, even if that employee is not, in fact, an alcoholic at all. The majority adopts this admittedly “narrow[]” reading of the Human Rights Law, concluding that the plain text of the statute “does not consider a mistaken perception of alcoholism to be a disability” (majority op at 86, 89).

But we are required to construe the Human Rights Law “broadly in favor of discrimination plaintiffs” wherever such a construction is “reasonably possible” (*Albunio v City of New York*, 16 NY3d 472, 477-478 [2011]). Here, plaintiffs have advanced a logical interpretation of the statute that aligns with its text, that better serves its express remedial purpose, and that is consistent with its legislative history. Accordingly, I believe plaintiffs have asserted a valid discrimination claim under the Human Rights Law, and I dissent.

I.

Plaintiffs Kathleen Makinen and Jamie Nardini served as NYPD officers for several years and, during that time, plaintiffs were falsely accused of abusing alcohol by their respective former partners. Plaintiff Nardini’s former partner—also the father of her daughter—accused Nardini of abusing alcohol in the midst of a tumultuous breakup and an ongoing custody battle. Nardini was referred to NYPD’s Counseling Services Unit (CSU), and she was diagnosed as suffering from alcohol abuse. She accepted treatment only under threat of suspension.

Plaintiff Makinen was similarly referred to CSU while embroiled in a custody dispute with her former husband. On multiple occasions, Makinen’s former husband and his family members alleged, among other things, that Makinen drank excessively, drove drunk, and abused her children. These

complaints resulted in repeated referrals to CSU and, eventually, a diagnosis of alcohol dependence. Most recently, in 2010, Makinen reluctantly agreed to attend a four-week inpatient rehabilitative treatment program in order to avoid disciplinary action.

It is undisputed that plaintiffs are not, in fact, alcoholics (majority op at 83).

Plaintiffs brought suit, alleging that defendants discriminated against them based on the erroneous belief that they were alcoholics. Following an eight-day trial, the jury entered verdicts in favor of both plaintiffs on their claims under the Human Rights Law. The jury awarded plaintiff Nardini \$105,000 in damages, and awarded plaintiff Makinen \$46,100 in damages. Defendants moved for a new trial and for judgment as a matter of law, contending that the Human Rights Law does not cover untreated alcoholism.

The District Court for the Southern District of New York denied defendants' motion (*Makinen v City of New York*, 167 F Supp 3d 472 [SD NY 2016]). The court determined that "[p]laintiffs did not need to meet the Section 102(16) definition of alcoholism," reasoning that, "if the Section 102(16) definition applied here, the [Human Rights Law]'s protective reach would be narrower than that of its state and federal counterparts, which would be contrary to the express purpose of the New York City Council" (*id.* at 481-482 [citation and internal quotation marks omitted]). Defendants appealed.

Believing that defendants' proffered construction of the statute was "in tension with the New York City Council's stated intention of affording plaintiffs who sue under the [Human Rights Law] all of the protection guaranteed by comparable provisions of State and federal law" (*Makinen v City of New York*, 857 F3d 491, 494 [2d Cir 2017]), the Second Circuit certified, and we accepted, the following question: "Do sections 8-102(16)(c) and 8-107(1)(a) of the New York City Administrative Code preclude a plaintiff from bringing a disability discrimination claim based solely on a perception of untreated alcoholism?" (*Makinen*, 857 F3d at 497; *see* 29 NY3d 1019 [2017] [accepting the certified question]). I would answer that question in the negative.

II.

Section 8-107 (1) (a) of the Human Rights Law prohibits discrimination based on, among other things, an "actual or

perceived . . . disability” (Administrative Code of City of NY § 8-107 [1] [a]). Under the statute, the term “disability” means “any physical, medical, mental or psychological impairment, or a history or record of such impairment” (*id.* § 8-102 [16] [a]). However, “[i]n the case of alcoholism, drug addiction or other substance abuse, the term ‘disability’ shall only apply to a person who (1) is recovering or has recovered and (2) currently is free of such abuse” (*id.* § 8-102 [16] [c]).

A.

When interpreting a statute, “our primary consideration is to discern and give effect to the [Legislature’s] intention” (*see* majority op at 85, citing *Matter of Avella v City of New York*, 29 NY3d 425, 434 [2017] [internal quotation marks and citation omitted]). In ascertaining this intention, “inquiry should be made into the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history” (*Nostrom v A.W. Chesterton Co.*, 15 NY3d 502, 507 [2010] [internal quotation marks and citation omitted]). “[L]egislative intent is the great and controlling principle,” and accordingly, “the proper judicial function is to discern and apply the will of the [enactors]” (*id.*, citing *Matter of ATM One v Landaverde*, 2 NY3d 472, 477 [2004]).

Here, by expressly stating its intention, the City Council has substantially simplified our task. By its own terms, the Human Rights Law is designed to serve “uniquely broad and remedial purposes” and, to that end, its provisions must be “construed liberally” in favor of discrimination plaintiffs (Administrative Code § 8-130 [a]). The City Council has repeatedly reiterated this “liberal construction requirement” (Administrative Code § 8-130 [c]), believing that the Human Rights Law has been “construed too narrowly” to ensure adequate protection of civil rights (Local Law No. 85 [2005] of City of NY § 1; *see also* Local Law No. 35 [2016] of City of NY § 1). Through its legislative efforts, the City Council has “expressed a very specific vision: a Human Rights Law designed as a law enforcement tool with no tolerance for discrimination in public life” (Rep of Governmental Affairs Div of Comm on Civil Rights at 8 [Mar. 8, 2016]). Time and time again, the City Council has made its message clear: the Human Rights Law is designed to be “maximally protective of civil rights *in all circumstances*” (Lo-

cal Law No. 35 [2016] of City of NY § 1 [emphasis added]).¹ Accordingly, we are required to construe the Human Rights Law “broadly in favor of discrimination plaintiffs” wherever such a construction is “reasonably possible” (*Albunio v City of New York*, 16 NY3d 472, 477-478 [2011]).

Plaintiffs’ proffered construction of the statute is, at the very least, “reasonably possible” (*Albunio*, 16 NY3d at 478). In particular, plaintiffs contend that section 8-102 (16) (c) of the Administrative Code does not modify the definition of “disability,” but rather operates to exempt—in narrow, specified circumstances—the application of the broad statutory protections afforded by section 8-107. In other words, section 8-102 (16) (a) broadly defines the protected group—individuals with a “disability”—and subdivision (16) (c) serves only to claw back a narrow portion of that protection “in the case of alcoholism” (Administrative Code § 8-102 [16] [c]). Because plaintiffs here do not actually suffer from alcoholism, there is no “case of alcoholism” within the meaning of section 8-102 (16) (c).²

Plaintiffs’ straightforward reading of these provisions advances the statute’s protective and remedial goals and gives effect to the stated intention of the City Council: sections 8-107 (1) (a) and 8-102 (16) (a), which extend protection, must be “construed liberally for the accomplishment of the [statute’s] uniquely broad and remedial purposes” (Administrative Code § 8-130 [a]); section 8-102 (16) (a)—an “exemption[]” provision—must be “construed narrowly in order to maximize deterrence of discriminatory conduct” (*id.* § 8-130 [b]). Because plaintiffs faced discrimination based on a perceived disability, and because the exemption contained in section 8-102 (16) (c) is inapplicable, I believe plaintiffs have stated a valid discrimination claim.

1. From this categorical and unequivocal mandate, the majority somehow extrapolates a rule that, in certain cases, the City Council’s liberal construction requirement “cannot apply” (majority op at 89). The City Council could not have been clearer: the Human Rights Law must be construed liberally, to provide maximum protection, in “*all circumstances*” (Local Law No. 35 [2016] of City of NY § 1 [emphasis added]). Contrary to the majority’s claim, the liberal construction requirement of Administrative Code § 8-130 applies globally to all provisions of the Human Rights Law. The majority’s selective application of this requirement ignores the City Council’s express directive, and implements a new threshold determination—whether or not section 8-130 applies—in all future cases interpreting the Human Rights Law.

2. The majority’s construction of these provisions is evidently not the “only reasonable” one (majority op at 89).

The majority's interpretation, by contrast, contravenes the principles of construction mandated by the statute and needlessly deprives these plaintiffs, and others, of protection against their employers' discriminatory practices. Indeed, the State Human Rights Law (Executive Law art 15) and the Americans with Disabilities Act (42 USC § 12101 *et seq.*)—which generally provide the “floor below which the City's Human Rights law cannot fall” (Local Law No. 85 [2005] of City of NY § 1; *see also Loeffler v Staten Is. Univ. Hosp.*, 582 F3d 268, 278 [2d Cir 2009])—allow for these types of discrimination claims based on a mistaken perception of untreated alcoholism. Today, for the first time, the majority interprets the Human Rights Law to provide less protection than its State and federal counterparts—a result expressly rebuked by the City Council.

B.

The legislative history of the Human Rights Law further supports plaintiffs' proffered construction. In 1977, the City Council first extended legislative protection against discrimination to alcoholics, but limited the protected class to “recovered” alcoholics. Tellingly, at that time, discrimination claims based on a “perceived” disability were not yet available under the Human Rights Law. As such, when the “recovered” language was first written, it was applicable only in the case of *actual* alcoholism. Indeed, inasmuch as an individual cannot “recover” from a disease that he or she has not had, the carve-out contained in section 8-102 (16) (c) was plainly drafted to apply only to *actual* alcoholism.

When the City Council amended the Human Rights Law in 1981, it repealed that conduct-specific provision—which covered only the limited class of “recovered” alcoholics—and instead broadened the class of individuals protected by the statute by including “mental impairment[s]” in the definition of “handicapped” (Local Law No. 49 [1981] of City of NY § 2). Thus, under the 1981 amendments, an individual who suffered from a “mental impairment”—which included “alcoholism, substance abuse, and drug addiction”—was protected (as “handicapped”) from unlawful discriminatory practices, so long as the individual was an “otherwise qualified person” (*id.* §§ 1, 2). To be “otherwise qualified” for statutory protection in the case of alcoholism, the “handicapped person” had to be “recovering and currently free of abuse” (*id.* § 2). In this way, the 1981 amendments broadly defined the protected class of individuals

(those who were “handicapped”), and subsequently withdrew that protection in specified, conduct-based instances.

In 1991, the Human Rights Law was again amended to permit discrimination claims based on “perceived” protected classification—i.e., discrimination based on a “perceived . . . disability” (Local Law No. 39 [1991] of City of NY § 1). The City Council also removed the requirement that an individual suffering from a disability must be an “otherwise qualified person,” but retained the “[i]n the case of” language—which eliminated protection for untreated alcoholics—and inserted it into the newly-amended section 8-102 (16) (c) (*id.*). In doing so, the City Council preserved the exception for untreated alcoholics by providing that, “[i]n the case of alcoholism,” the statutory protection afforded to an individual with a disability “shall only apply” where the individual is “recovering” or “recovered” (Administrative Code § 8-102 [16] [c]). There is no indication, however, that the City Council intended to revert back to the pre-1981 model that conditioned an employee’s membership in the protected class of “disabled” individuals on their recovery status. To the contrary, the 1991 amendments were intended to “strengthen” the statute and “put the city’s law at the forefront of human rights laws” (Rep of Comm on Gen Welfare, Local Law No. 39 [1991] of City of New York, 1991 NY City Legis Ann at 185).

C.

The implications of the majority’s reading of the Human Rights Law extend well beyond the instant case. Indeed, the Human Rights Law applies not only to these police officer plaintiffs, but to a broad array of potential victims in varied public and private professions. In the case of a perception of untreated alcoholism, the majority’s interpretation deprives each and every would-be plaintiff of recourse under the Human Rights Law.

Similarly, the majority’s interpretation of the Human Rights Law is not limited to those sympathetic cases in which an employer seeks to explore a suspected case of alcoholism for safety or treatment purposes. Rather, under the majority’s reading, an employer may lawfully punish an employee—by denying benefits, refusing a promotion, or terminating them—based solely on a misguided assumption about that employee’s conduct. An employer could, for instance, fire an employee with bloodshot eyes based on an incorrect assumption that the em-

ployee was abusing drugs when, in fact, the employee suffered from allergies. Such a construction is inconsistent with the purpose of the Human Rights Law and the City Council's stated goal of providing maximum protection for all civil rights plaintiffs.

Even where an employer's actions are genuinely "motivated by concern" (majority op at 86), an employer's good faith motivation does not outweigh the importance of accuracy in these consequential determinations.³ Plaintiffs' cases are illustrative of the life-altering and lasting repercussions that accompany an alcoholism diagnosis—particularly an inaccurate one. Makinen, for instance, resorted to early retirement, believing that she "couldn't work under th[e] circumstances" and fearing that CSU would "keep listening" to her former husband and "keep sending [her] away." As a result of her experience with CSU, Makinen suffers from anxiety attacks, severe headaches, and vision loss, among other things. Plainly, no matter how well-intentioned, an improper alcoholism diagnosis carries grave implications. In any event, an employer's misguided benevolence is not relevant to the legality of its discriminatory conduct.

To be sure, an employer seeking to address a case of perceived untreated alcoholism may be motivated by good faith concerns regarding the employee's health and safety. But the majority's reading of the statute permits both well- and ill-intentioned behavior, and does little to encourage accuracy in these crucial determinations. Nor does it ensure that "alcoholics who have sought treatment . . . are afforded a fair opportunity at recovery" (majority op at 86). Instead, the majority's decision shields an employer who inaccurately diagnoses a

3. Plaintiffs' own misdiagnoses provide compelling anecdotal evidence that CSU's determinations are not always accurate. According to the trial testimony, CSU's intake assessments may be as brief as 30 minutes, and individuals generally receive a diagnosis that same day. CSU does not employ medical diagnostic testing to ensure accuracy. Nor could it; there are no physicians or psychologists on staff at CSU. Notably, according to defendants, about 98% of all patients sent to CSU receive an alcohol-related diagnosis.

Compounding this issue, CSU never reduces or removes an alcohol-related diagnosis once it is made. An officer who disputes CSU's diagnosis or otherwise refuses treatment is referred to NYPD's Medical Division. However, as a general matter, the Medical Division adopts CSU's diagnosis and "turns it into a lawful order," directing the officer to undergo treatment. If an officer fails to comply with the Medical Division's order, the officer may be subject to disciplinary action, including suspension or termination.

case of alcoholism, and then discriminates against an employee on the basis of that misdiagnosis. Such an interpretation distorts the provision's clear purpose and undermines the City Council's stated goals.

III.

While defendants assert a plausible argument consistent with the plain language of the statute, plaintiffs have advanced a reasonable reading that is supported by the statute's legislative history and that better comports with the broad, remedial purpose of the Human Rights Law. Accordingly, I dissent and vote to answer the certified question in the negative.

Chief Judge DiFiore and Judges Rivera, Wilson and Feinman concur; Judge Garcia dissents and votes to answer the certified question in the negative, in an opinion in which Judge Stein concurs.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question answered in the affirmative.

[86 NE3d 542, 64 NYS3d 650]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PETER AUSTIN, Appellant.

Argued September 7, 2017; decided October 19, 2017

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 22, 2015. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Patricia Anne Williams, J.), which had convicted defendant, upon a jury verdict, of burglary in the third degree (two counts) and criminal mischief in the fourth degree.

People v Austin, 134 AD3d 559, reversed.

HEADNOTE**Crimes — Right of Confrontation — Testimonial DNA Evidence**

In defendant's burglary prosecution stemming from two separate incidents, the DNA profile generated from defendant's post-accusatory buccal swab was testimonial in nature, as it was created for the primary purpose of identifying defendant as the perpetrator of the burglaries. Accordingly, the introduction of testimony from a criminalist comparing that profile, which he had not performed, witnessed or supervised, to the DNA profiles generated from the burglaries violated defendant's Sixth Amendment right to confrontation. The People relied solely on the evidence of the DNA profile generated from defendant's buccal swab, which was developed during the course of a pending criminal action and was created in order to prove his guilt at trial. Thus, in order to satisfy the Confrontation Clause, defendant was entitled to cross-examine the analyst who either performed, witnessed or supervised the generation of the critical numerical DNA profile or who used his or her independent analysis on the raw data to arrive at his or her own conclusions. Although the criminalist may have had some level of involvement in the handling of some of the crime scene swabs, he had no role in the testing of defendant's post-accusatory buccal swab, and his testimony was therefore merely a conduit for the conclusions of others. Moreover, the error was not harmless, as the evidence of defendant's guilt without the DNA evidence was not overwhelming, and there was a reasonable possibility that the error might have contributed to the verdict.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 1045, 1062–1064, 1071.

CARMODY-WAIT 2d Particular Types of Evidence §§ 194:79, 194:80.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d Criminal Law: Procedure §§ 2176, 2225, 2297.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; DNA.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Mark W. Zeno of counsel), for appellant. I. The court violated appellant's right to confront the witnesses against him by permitting an Office of the Chief Medical Examiner criminalist to testify about DNA testing and comparison evidence produced by others after appellant was under arrest without calling any witness who personally performed, supervised, or observed that testing. (*People v John*, 27 NY3d 294; *Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813; *Bullcoming v New Mexico*, 564 US 647; *Melendez-Diaz v Massachusetts*, 557 US 305; *United States v James*, 712 F3d 79; *People v Rawlins*, 10 NY3d 136; *People v Goldstein*, 6 NY3d 119; *People v Hardy*, 4 NY3d 192; *Schneble v Florida*, 405 US 427.) II. The court's refusal to sanction the People with an adverse-inference instruction for failing to produce the blood evidence, and its further refusal to permit the defense to address the unavailability of that evidence in summation, demands reversal. (*People v Handy*, 20 NY3d 663; *People v Durrant*, 26 NY3d 341; *People v Kelly*, 62 NY2d 516; *Arizona v Youngblood*, 488 US 51; *People v Martinez*, 71 NY2d 937; *People v Joseph*, 86 NY2d 565; *People v Duda*, 45 AD3d 1464; *People v John*, 288 AD2d 848; *People v Smith*, 123 AD3d 450; *People v Gonzalez*, 68 NY2d 424.)

Darcel D. Clark, District Attorney, Bronx (Matthew White, Marianne Stracquadanio, Nancy Killian and Rafael Curbelo of counsel), for respondent. I. Defendant's confrontation claim is unpreserved and meritless, since defendant's right to confrontation was not violated. (*Melendez-Diaz v Massachusetts*, 557 US 305; *Bullcoming v New Mexico*, 564 US 647; *People v John*, 27 NY3d 294; *People v Luperon*, 85 NY2d 71; *People v Oliver*, 63 NY2d 973; *People v Tevaha*, 84 NY2d 879; *People v Tutt*, 38 NY2d 1011; *Crawford v Washington*, 541 US 36; *People v Pealer*, 20 NY3d 447.) II. Defendant was not entitled to an adverse inference charge, since the physical DNA evidence was not

destroyed by agents of the state. (*People v Julian*, 41 NY2d 340; *People v Handy*, 20 NY3d 663; *People v Durant*, 26 NY3d 341; *People v Diaz*, 97 NY2d 109; *People v Budd*, 46 NY2d 930; *People v James*, 93 NY2d 620; *People v Haupt*, 71 NY2d 929; *Arizona v Youngblood*, 488 US 51; *People v Daly*, 140 AD3d 593; *People v Hester*, 122 AD3d 880.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue presented by this appeal is whether defendant's Sixth Amendment right to confrontation was violated by the introduction of DNA evidence through the testimony of a witness who had not performed, witnessed or supervised the generation of the DNA profiles. We conclude that the introduction of this hearsay evidence through surrogate testimony in order to prove an essential fact for a finding of guilt—that defendant was the perpetrator of the burglaries at issue—violated defendant's right to confront the witnesses against him.

Defendant was charged with three burglaries and several related offenses in connection with two separate incidents. In the June 2009 incident, defendant was alleged to have broken into a building that contained several stores connected through a common basement. He gained access through a rear door after the stores were closed, and unlawfully entered both a vacant office and a dry cleaning establishment inside the building. The dry cleaner had surveillance cameras that captured the incident and a copy of the surveillance video was played for the jury at trial. In addition, the police took swabs from streaks of blood that were observed on the building's outside rear door. Those swabs were vouchered and sent to the Office of the Chief Medical Examiner (OCME) for DNA blood analysis. After testing, which produced a DNA profile, the swabs were transferred to the New York Police Department's Kingsland Avenue facility for storage.

The second incident was a burglary that took place at a Classic Bed and Bath store in September 2009. The back door had been forced open after business hours and money and merchandise were taken. The police found a bloody receipt near the cash register. This receipt was likewise tested for DNA evidence by OCME. The testing produced a DNA profile, and the physical evidence was then transferred to Kingsland for storage. There was no video surveillance of this incident.

The numerical identifiers constituting the DNA profile generated from the biological evidence obtained at the scene of the

June 2009 burglaries were uploaded by computer to CODIS (the Combined DNA Index System) and, on August 27, 2009, OCME was notified that there was a match between the DNA from the crime scene evidence and defendant's numerical DNA profile, which was stored in the state database. In October 2009, the numerical identifiers constituting the DNA profile developed from the biological evidence from the September 2009 burglary were also linked to the DNA profile from the June 2009 burglaries. As a result, the police issued an investigative card alerting police that the detectives in this investigation wanted to speak with defendant in the event of an arrest. Defendant was later arrested in April 2010 and indicted.

As the People explained at trial, they opted not to introduce evidence of the "cold hit" from CODIS. Rather, "[t]o make things easier for the trial[, the People] had the defendant re-swabbed and retested by the DNA lab so that . . . we'd only have to call the one person from the downstate DNA lab and not have to deal with somebody in Albany." Upon a pretrial court order, and defendant's consent, a buccal swab was collected from defendant in July 2012. The numerical identifiers from the DNA profile generated by OCME from that sample were compared to the numerical identifiers from the DNA profiles generated from the evidence from the three 2009 burglaries. The strings of numbers for the profiles were found to match on October 23, 2012—just prior to defendant's trial.

The People's only forensic witness at trial on the DNA evidence was an OCME Criminalist level III. As the trial progressed, it became clear through a series of discussions that the basis for the criminalist's testimony was going to be his comparison of the strings of numbers derived from the DNA test results generated by other analysts—the 2009 DNA test results and defendant's 2012 exemplar. Defense counsel raised various objections throughout the course of the parties' discussions about the DNA evidence, including that the criminalist's testimony would violate *Melendez-Diaz v Massachusetts* (557 US 305 [2009]) because the People were trying to elicit testimony "from a witness that [wa]s not going to be called" and that the testimony was hearsay because it was "about what someone else did." On occasion, counsel's attempts to expound upon his objections, including his Confrontation Clause argument, were frustrated by the court.

Defense counsel's objections did have some measure of success, however. To be sure, none of the laboratory reports includ-

ing the actual numerical identifiers of the DNA profiles generated, or physical evidence of the DNA was ultimately admitted into evidence. Nonetheless, the criminalist was permitted to testify in a general and conclusory manner to the DNA evidence without personal knowledge of many matters he asserted to be true—including the DNA profile generated from defendant’s post-accusatory 2012 buccal swab.

Indeed, the criminalist was permitted to testify, over defendant’s repeated hearsay objections, and without having conducted, witnessed or supervised the generation of the DNA profiles, that the DNA profile generated from defendant’s buccal swab was a match to the DNA profile generated from evidence found at the 2009 crime scenes. Specifically, the criminalist testified that he received the voucher containing defendant’s 2012 buccal swab and that the accompanying examination notes both identified defendant by name and included the evidence unit number. When the prosecutor asked whether he had “analyze[d] the DNA profile in this particular case,” the criminalist responded that he “reviewed the DNA profile.” In response to the prosecutor’s request for clarification as to what his review of the DNA profile entailed, the criminalist responded that he “looked at the DNA profile, the string of numbers, which is the DNA profile and compared it to [the profiles generated from the 2009 burglaries]. And I compared them to male donor A from each of those cases and I found that they were the same DNA profile.”

Despite the fact that the laboratory reports containing the generation of the DNA profiles by nontestifying witnesses were not in evidence, the criminalist was permitted to read from those files on the stand. The quality of his direct testimony was such that the court asked the prosecutor: “How come everything that [the witness] said that actually happened in this case he had to read from something that is not in evidence?” The court further stated that it did not “understand what it is that he did, and how he did it, or for that matter whether he did anything.”

In contrast to the prosecutor’s initial assertion that the criminalist was “the supervisor on the original test,” the witness admitted on cross-examination that he neither performed, nor was present for, any of the testing on the September 2009 samples. Moreover, although his name appears on some of the laboratory reports, which again were not in evidence, in connection with the June 2009 samples, he testified that he did

not perform the laboratory testing on those samples. Tellingly, during the criminalist's redirect testimony, when the prosecutor sought to question him about a document not in evidence, the court told the attorneys that "[y]ou guys have basically made this witness into a parrot. He doesn't know anything. He didn't do anything, but you use him to put in all of this other information, just as if I [sic] actually had knowledge of it."

During the trial, the parties discovered that the physical evidence that had been stored in the Kingsland facility had been rendered unavailable due to conditions caused by Hurricane Sandy. Specifically, the facility could not be accessed because it had been flooded with water that was contaminated by a nearby Superfund location. The court denied defendant's request for an adverse inference charge based on the People's failure to preserve this evidence. Notably, however, the absence of physical evidence at the trial was not limited to the effects of the hurricane. Defendant's own 2012 exemplar, which was available at the trial, was not entered into evidence on defendant's objection, due to the People's failure to establish the necessary foundation for admission into evidence.

At the close of the People's case, defendant moved to dismiss the indictment, arguing that they had failed to establish a prima facie case given that there was "not one piece of DNA evidence actually in evidence." The court denied the motion as to the June 2009 burglaries, noting that there was surveillance video from the dry cleaner. However, the court reserved decision on the motion as it related to the September 2009 burglary, after observing both the criminalist's "questionable validity or status as a witness" and the fact that "there's really nothing that ties this defendant to the bath store other than the alleged DNA." The court described the criminalist's testimony by saying that "[a]pparently, all he did was to review what other people did."

The jury found defendant guilty of two counts of burglary in the third degree and criminal mischief in the fourth degree relating to the June 2009 burglaries. The jury acquitted him of the counts relating to the September 2009 burglary. The Appellate Division affirmed, with one Justice dissenting (134 AD3d 559 [1st Dept 2015]). The dissenting Justice granted defendant's application for leave to appeal to this Court (2016 NY Slip Op 63709[U] [1st Dept 2016]), and we now reverse.

Defendant on appeal limits his Confrontation Clause challenge to the OCME witness's testimony concerning the DNA

profile created from his 2012 post-accusatory buccal swab and the comparison between that profile and the DNA profiles generated from the 2009 burglaries. He maintains that this postindictment evidence is testimonial, as it was created for the primary purpose of identifying him as the perpetrator of the burglaries, and that the testimony as to this evidence was inadmissible hearsay. We agree.

The Confrontation Clause generally prohibits the admission of testimonial statements made by a nontestifying witness against defendant at trial, unless the witness is unavailable and defendant “‘had a prior opportunity for cross-examination’” (*People v Pealer*, 20 NY3d 447, 453 [2013], quoting *Crawford v Washington*, 541 US 36, 53-54 [2004]). Under the primary purpose test for determining whether evidence is testimonial, we have considered “‘whether the statement was prepared in a manner resembling ex parte examination and . . . whether the statement accuses defendant of criminal wrongdoing’” (*Pealer*, 20 NY3d at 453, quoting *People v Rawlins*, 10 NY3d 136, 156 [2008]).

The criminalist’s hearsay testimony as to the 2012 DNA profile easily satisfies the primary purpose test. Our analysis has been different in cases where defendant was linked to the DNA from the crime scene from a cold hit before he was ever a suspect in the crime (*see e.g. People v Brown*, 13 NY3d 332, 340 [2009]). However, here, the People elected not to use the evidence of the pre-accusatory CODIS match because they wanted to avoid bringing a witness in from Albany to testify. Instead, the People relied solely on the evidence of the DNA profile generated from defendant’s 2012 buccal swab, which was developed during the course of a pending criminal action and was created in order to prove his guilt at trial (*see People v John*, 27 NY3d 294, 308 [2016]). Stated differently, the buccal swab was obtained and the resulting profile was compared with the DNA profile generated from the 2009 burglaries, “with the primary (truly, the sole) purpose of proving a particular fact in a criminal proceeding—that defendant . . . committed the crime for which he was charged” (27 NY3d at 307-308).

Thus, in order to satisfy the Confrontation Clause, defendant was entitled to cross-examine the analyst who either “performed, witnessed or supervised the generation of the critical numerical DNA profile” or who “used his or her independent analysis on the raw data” to arrive at his or her own conclusions (27 NY3d at 314, 315). As we recently held, “it is the

generated numerical identifiers and the calling of the alleles at the final stage of the DNA typing that effectively accuses defendant of his role in the crime charged” (27 NY3d at 313). The trial transcript plainly establishes that the criminalist had no such role here. Although the criminalist may have had some level of involvement in OCME’s handling of some of the 2009 crime scene swabs, he had no role whatsoever in the testing of defendant’s post-accusatory buccal swab. His testimony was, therefore, merely “a conduit for the conclusions of others” (27 NY3d at 315).

On the whole, the criminalist’s testimony was nothing more than a parroting of hearsay statements, made by other analysts and of which he had no personal knowledge. There is no question that his testimony as to the findings and conclusions of the nontestifying witnesses was elicited in order to prove the truth of those extrajudicial assertions—primarily, identifying defendant as the burglar.* The People’s claim that the facts presented here are meaningfully different from those presented in *John* because the laboratory reports that, alone, contained the numerical identifiers of the DNA profiles were not introduced into evidence is meritless. Indeed, this case is extraordinary given the dearth of DNA evidence presented at trial in any admissible form. Moreover, the People failed to proffer any exception to the hearsay rule under New York law that would have allowed the criminalist to relay the content of the unadmitted laboratory reports (see *People v Nieves*, 67 NY2d 125, 131 [1986]). For instance, there was no argument that the criminalist’s hearsay testimony concerning the 2009 DNA profiles was offered not for its truth, but for the limited purpose of explaining how the criminalist reached his expert conclusion that the identical strings of numbers were obviously the same (see *People v Goldstein*, 6 NY3d 119, 127 [2005]). As we explained in *John*, such expert opinion testimony of a comparison of numbers would likely be inadmissible in New York without establishing a proper foundation—i.e., that defendant’s DNA profile was obtained from the scene of the burglary

* The concurrence, relying on the plurality opinion in *Williams v Illinois* (567 US 50 [2012]), attaches great significance to the “cold hit”—which was not a matter in evidence—arguing that it *could* have been used to link defendant to the crime scene. As it was not in evidence, the characterization of the DNA profile generated from the 2012 buccal swab as merely “confirmatory” is erroneous. Here, the People relied upon the 2012 post-accusatory DNA result generated by nontestifying analysts, for the primary purpose of establishing defendant’s guilt at trial.

and that the numerical profile was reliable and accurate in the first instance (27 NY3d at 306).

The error was not harmless, as the evidence of defendant's guilt without the DNA evidence was not overwhelming and there is a reasonable possibility that the error might have contributed to the verdict (*see People v Crimmins*, 36 NY2d 230, 237 [1975]). In light of our holding, we do not address defendant's adverse inference argument.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

GARCIA, J. (concurring). On constraint of *People v John* (27 NY3d 294 [2016]), I agree with the majority that defendant's conviction must be reversed, and a new trial granted. Although the Supreme Court has declined to take this approach with respect to DNA evidence under the Confrontation Clause, this Court has made the "leap" (*id.* at 316 [Garcia, J., dissenting], citing *Williams v Illinois*, 567 US 50 [2012]), and the outcome here is an unfortunate but unavoidable result.

In *Williams v Illinois*, a plurality of the Supreme Court concluded that, where the reports relied on by the DNA expert were not admitted into evidence, the expert's testimony did not violate the Confrontation Clause, as "that provision has no application to out-of-court statements that are not offered to prove the truth of the matter asserted" (567 US 50, 57-58 [2012]). Similarly, here, the DNA expert from the Office of the Chief Medical Examiner (OCME) testified based on the content of laboratory reports, which were not admitted into evidence. But unlike the plurality in *Williams*, we hold today that this expert testimony violated the Confrontation Clause.

I agree with the majority that reversal is required by our holding in *John*. There, the Court considered whether the defendant's rights were violated where the People introduced DNA reports without producing a witness who conducted or witnessed the laboratory's generation of the DNA profiles (*John*, 27 NY3d at 297). Distinguishing *Williams*, the Court in *John* reasoned that, unlike in *Williams*, the DNA laboratory reports were entered into evidence, thereby creating a Confrontation Clause violation. But the Court's holding went further, concluding that a defendant is entitled to confront at least one of the DNA analysts who performed a step on one of the samples, thereby prohibiting a testifying expert from relying on a report generated by others (majority op at 104-105; *see also*

John, 27 NY3d at 313; *People v Goldstein*, 6 NY3d 119 [2005]). Accordingly, while the procedure used here—an expert relying on work performed by others but not admitted into evidence—mirrors the facts of *Williams*, our holding in *John* compels a different result.

The plurality in *Williams* alternatively held that, even if the laboratory report had been admitted into evidence, there would be no Confrontation Clause violation, in part because “[t]he report was sought not for the purpose of obtaining evidence to be used against [the defendant], who was not even under suspicion at the time, but for the purpose of finding a rapist who was on the loose” (567 US at 58). As we noted in *John*, the profiles in *Williams* “were generated from rape kits by private laboratories when the suspect was unknown and the defendant was later identified on a ‘cold hit’ from the CODIS database” (27 NY3d at 310).

The match in the instant case was, as in *Williams*, a classic “cold hit.” Specifically, police recovered DNA from the first crime scene which, when run through the CODIS database, matched defendant’s DNA profile (developed as a result of an earlier arrest on unrelated charges). DNA from the second crime scene was then linked to the DNA profile from the first crime scene. Accordingly, as in *Williams*, the original DNA profile that matched the crime scene evidence was created not with defendant in mind, but rather to ascertain who had committed the burglaries (*see Williams*, 567 US at 77 [(W)ithout access to any other sample of petitioner’s DNA (and recall that petitioner was not even under suspicion at this time), how could a dishonest lab technician have substituted petitioner’s DNA profile?”]). Though the original CODIS match was not used at trial—defendant objected to its admission—a confirmatory sample of defendant’s DNA profile, obtained by the People, was introduced.*

Despite the resemblance to *Williams*, *John* again compels a different result. In *John*, the Court rejected the defendant’s

* The majority asserts that “the People elected not to use the evidence of [a] . . . CODIS match because they wanted to avoid bringing a witness in from Albany to testify” (majority op at 104). But defense counsel’s on-the-record objection reveals the true reason behind the People’s use of a confirmatory sample: defense counsel believed that, if the CODIS match was introduced, “the jury would infer . . . that [defendant] had a prior criminal history.” Defendant therefore “submit[ted] to the DNA swab” in order to “avoid bringing up the fact that he had a prior conviction” and any accompanying “inference that he has a propensity to commit crimes.”

argument that the DNA match was analogous to the “cold hit” in *Williams* (27 NY3d at 310 [also distinguishing, on this basis, *People v Meekins*, 10 NY3d 136 (2008) and *People v Brown*, 13 NY3d 332 (2009)]; see also *id.* at 329-330 [Garcia, J., dissenting]). And again, the majority here indicates that the result might be “different” in the case of a “cold hit,” where the defendant “was linked to the DNA from the crime scene . . . before he was ever a suspect in the crime” (majority op at 104). But the confirmatory match in this case was a perfunctory measure, performed solely to replicate an earlier cold hit. Indeed, the People could have introduced the CODIS cold hit, but—in light of defendant’s objection—opted to obtain the confirmatory sample. As we inch closer to a cold hit, the reach of *John*’s holding casts increasing doubt on whether the majority’s “cold hit” distinction survives (see *People v John*, 27 NY3d at 329 [Garcia, J., dissenting]).

The path we are on has “no logical stopping place” (*Williams*, 567 US at 89 [Breyer, J., concurring]). Today we reverse a conviction, obtained prior to *John*, presenting circumstances much like those in *Williams*: (1) the OCME expert relied on reports not admitted into evidence, and (2) the match at issue was merely confirmatory, performed after a “cold hit” already identified defendant. Unless and until the Supreme Court provides much-needed clarity on whether DNA reports “lie outside the perimeter of the [Confrontation] Clause” (see *Williams*, 567 US at 99 [Breyer, J., concurring]), we have no choice but to continue.

Judges RIVERA, STEIN, FAHEY, WILSON and FEINMAN concur; Judge GARCIA concurs in result in a separate concurring opinion.

Order reversed and a new trial ordered.

[86 NE3d 536, 64 NYS3d 644]

In the Matter of CITY OF SCHENECTADY, Appellant, v NEW YORK
STATE PUBLIC EMPLOYMENT RELATIONS BOARD et al.,
Respondents.

Argued September 6, 2017; decided October 17, 2017

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 4, 2016. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Patrick J. McGrath, J.), entered in a CPLR article 78 proceeding, which had (1) confirmed the determination of respondent Public Employment Relations Board that petitioner committed an improper employer practice by adopting new police disciplinary procedures different from those contained in the expired collective bargaining agreement between petitioner and respondent Schenectady Police Benevolent Association; and (2) dismissed the petition to review the determination.

Matter of City of Schenectady v New York State Pub. Empl. Relations Bd., 136 AD3d 1086, reversed.

HEADNOTE

Civil Service — Public Employees’ Fair Employment Act — Collective Bargaining — Police Discipline

Civil Service Law article 14 (Taylor Law), which requires public employers “to negotiate collectively . . . in the determination of, and administration of grievances arising under, the terms and conditions of employment of the public employees” (Civil Service Law § 204 [2]), does not supersede the Second Class Cities Law, which governs police discipline within cities designated as second class based on population. Accordingly, Supreme Court erred in confirming respondent New York State Public Employment Relations Board’s determination that petitioner City of Schenectady, a second class city, committed an improper employer practice by adopting new police disciplinary procedures different from those contained in the parties’ expired collective bargaining agreement. The Second Class Cities Law specifically commits police discipline to the police commissioner and details the relevant procedures. The Taylor Law’s general command regarding collective bargaining is not sufficient to displace the more specific authority granted by the Second Class Cities Law, and police discipline was thus a prohibited subject of bargaining within the City. Moreover, the Second Class Cities Law’s supersession clause does nothing more than affirm that the Second Class Cities Law was intended to remain in force unless it is changed or repealed pursuant to law. The Second Class Cities Law has not been expressly repealed or superseded by the legislature, nor was it implicitly repealed by the enactment of the Taylor Law. There is no express statutory conflict between the two laws; the only

conflict is in the policies that they represent, and the Court of Appeals has already resolved that policy conflict in favor of local control over police discipline.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Labor and Labor Relations §§ 1315, 2172, 2350;
AM JUR 2d Municipal Corporations, Counties, and Other
Political Subdivisions § 257; Public Officers and Employ-
ees §§ 168, 169.

McKINNEY'S, Civil Service Law § 204 (2); art 14.

NY JUR 2d Civil Servants and Other Public Officers and
Employees §§ 461, 462, 464, 503; NY JUR 2d Counties,
Towns, and Municipal Corporations §§ 930, 1008, 1009.

ANNOTATION REFERENCE

See ALR Index under Collective Bargaining; Municipal
Corporations; Public Officers and Employees; Unfair Labor
Practices.

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POINTS OF COUNSEL

Girvin & Ferlazzo, P.C., Albany (*Christopher P. Langlois* of counsel), for appellant. I. The New York State Public Employment Relations Board's conclusion that the Second Class Cities Law was superseded by the 1967 enactment of the Taylor Law is contrary to accepted rules of statutory construction and is inconsistent with prior decisions of this Court. (*Matter of Kent v Lefkowitz*, 27 NY3d 499; *Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.*, 8 NY3d 226; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753; *Matter of Scanlan v Buffalo Pub. School Sys.*, 90 NY2d 662; *Matter of National Fuel Gas Distrib. Corp. v Public Serv. Commn. of the State of N.Y.*, 16 NY3d 360; *Matter of Lippman v Public Empl. Relations Bd.*, 296 AD2d 199; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d

774.) II. The New York State Public Employment Relations Board's determination may not be affirmed on any alternative grounds. (*Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753.)

David P. Quinn, New York State Employment Relations Board, Albany, for New York State Public Employment Relations Board, respondent. I. Disciplinary procedures for municipal police officers are mandatorily negotiable under the strong and sweeping public policies favoring such negotiations under the Taylor Law. (*Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Binghamton Civ. Serv. Forum v City of Binghamton*, 44 NY2d 23; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 62 AD2d 12; *Matter of Kilduff v Rochester City Sch. Dist.*, 24 NY3d 505; *Matter of Board of Educ., Commack Union Free School Dist. v Ambach*, 70 NY2d 501; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482; *Matter of Chenango Forks Cent. Sch. Dist. v New York State Pub. Empl. Relations Bd.*, 21 NY3d 255.) II. The Appellate Division correctly held that the Second Class Cities Law does not overcome the strong and sweeping public policies favoring collective negotiations under the Taylor Law concerning disciplinary procedures for police officers employed by cities of the second class. (*Matter of Town of Wallkill v Civil Serv. Empls. Assn., Inc. [Local 1000, AFSCME, AFL-CIO, Town of Wallkill Police Dept. Unit, Orange County Local 836]*, 19 NY3d 1066; *Matter of Doyle v City of Troy*, 51 AD2d 845; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482; *Matter of Branford House v Michetti*, 81 NY2d 681; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578.) III. The Appellate Division properly affirmed Supreme Court's order enforcing the New York State Public Employment Relations Board's remedial order as authorized by Civil Service Law § 213 (a) (ii). (*Matter of City of Albany v Helsby*, 29 NY2d 433; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482; *Matter of New York State Pub. Empl. Relations Bd. v Board of Educ. of City of Buffalo*, 39 NY2d 86; *Matter of City of New York v New York State Pub. Empl. Relations Bd.*, 103

AD3d 145; *Matter of New York State Pub. Empl. Relations Bd. v County of Westchester*, 280 AD2d 849.)

Gleason, Dunn, Walsh & O'Shea, Albany (Michael P. Ravalli, Thomas F. Gleason and Richard C. Reilly of counsel), for Schenectady Police Benevolent Association, respondent. I. The appellant has failed to demonstrate that the Second Class Cities Law continues to apply to police discipline in the City of Schenectady and thus authorizes the City to countermand the parties' collective bargaining agreement and applicable provisions of the Civil Service Law. (*Matter of Town of Wallkill v Civil Serv. Empls. Assn., Inc.* [Local 1000, AFSCME, AFL-CIO, Town of Wallkill Police Dept. Unit, Orange County Local 836], 19 NY3d 1066; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 46 NY2d 1034; *Cleveland v City of Watertown*, 222 NY 159; *Matter of McLean v Boyd*, 140 Misc 218; *Duci v Roberts*, 65 AD2d 56; *Johnson v Etkin*, 279 NY 1; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Connell v Public Serv. Commn.*, 152 Misc 242.) II. Appellant has previously litigated police discipline cases based on the applicability of the Civil Service Law. (*Matter of Mountain v City of Schenectady*, 100 AD2d 718; *Matter of City of Albany v Helsby*, 56 AD2d 976; *Matter of De Marco v City of Albany*, 75 AD2d 674; *Matter of Zazycki v City of Albany*, 94 AD2d 925; *Matter of City of Albany [Meehan]*, 100 AD2d 714; *Matter of Cave v Zaleski*, 237 AD2d 517; *Matter of Correll v Bucci*, 19 AD3d 919.) III. Even if the Second Class Cities Law applies, there is no plain and clear New York State legislation controlling in the City of Schenectady that renders police discipline a prohibited subject of bargaining.

OPINION OF THE COURT

WILSON, J.

The City of Schenectady brought this CPLR article 78 proceeding to review a determination of the New York State Public Employment Relations Board (PERB). PERB determined that the City committed an improper employer practice by enacting Schenectady Police Department General Order No. 0-43 (Apr. 4, 2008), which adopted new police disciplinary procedures different from those contained in the parties' expired collective

bargaining agreement. Supreme Court confirmed the determination and dismissed the City's petition, concluding that article 14 of the Civil Service Law (hereinafter the Taylor Law) superseded the provisions of the Second Class Cities Law regarding police discipline. The Appellate Division affirmed (136 AD3d 1086 [3d Dept 2016]). This case is controlled by our prior decisions in *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.* (6 NY3d 563 [2006]) and *Matter of Town of Wallkill v Civil Serv. Empls. Assn., Inc. (Local 1000, AFSCME, AFL-CIO, Town of Wallkill Police Dept. Unit, Orange County Local 836)* (19 NY3d 1066 [2012]), which held that the statutory grants of local control over police discipline in New York City and Wallkill—substantively similar to the statutory provisions relevant here—rendered discipline a prohibited subject for collective bargaining.

I.

Before 1894, the Constitution required specific state legislation to charter a city or to amend a city's charter. As a result of the Constitutional Convention of 1894, the Constitution was amended to designate cities by population as cities of the first, second and third classes. The legislature enacted general laws applicable to each of the three classes, and the Constitution prevented the legislature from changing those laws unless the change affected all cities within a class.

In 1906, the legislature enacted the Second Class Cities Law, which provided a standard charter for all cities of the second class. The parties agree that Schenectady was, and still is, a city of the second class. The Second Class Cities Law contains detailed provisions governing the procedures for police discipline. For example, "[t]he commissioner of public safety shall have cognizance, jurisdiction, supervision and control of the government, administration, disposition and discipline of the police department" (Second Class Cities Law § 131). In addition, the commissioner:

"is authorized and empowered to make, adopt, promulgate and enforce reasonable rules, orders and regulations for the . . . discipline . . . of [police] officers . . . , and for the hearing, examination, investigation, trial and determination of charges made or prepared against any officer . . . and may, in his discretion, punish any such officer

or member found guilty thereof . . . ; but no officer . . . shall be removed or otherwise punished for any other cause, nor until specific charges in writing have been preferred against and served upon him, and he shall have been found guilty thereof, after reasonable notice and upon due trial before said commissioner” (*id.* § 133; *see also id.* §§ 135, 137).

The Taylor Law, which went into effect in 1967, states, “[w]here an employee organization has been certified or recognized . . . the appropriate public employer shall be, and hereby is, required to negotiate collectively with such employee organization in the determination of, and administration of grievances arising under, the terms and conditions of employment of the public employees” (Civil Service Law § 204 [2]). As we have recognized, the Taylor Law represents a “strong and sweeping policy of the State to support collective bargaining” (*see Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774, 778 [1976]).

II.

Schenectady asks us to reverse the holding of the Appellate Division that the relevant provisions of the Second Class Cities Law were superseded by the enactment of the Taylor Law, and thus collective bargaining applies to police discipline in Schenectady. This is not the first time we have addressed the effect of the Taylor Law on police disciplinary procedures. In *Matter of Patrolmen’s Benevolent Assn.*, we determined that although Civil Service Law §§ 75 and 76 generally govern police disciplinary procedures, preexisting laws that expressly provide for control of police discipline were “grandfathered” under Civil Service Law § 76 (4), which provides that nothing in sections 75 and 76 “shall be construed to repeal or modify any general, special or local” laws or charters (6 NY3d at 573). We then confronted “[the] tension between the strong and sweeping policy of the State to support collective bargaining under the Taylor Law . . . and a competing policy—here, the policy favoring strong disciplinary authority for those in charge of police forces” (*id.* at 571 [internal quotation marks omitted]). There, we held that the policy favoring collective bargaining must give way, and police discipline was a prohibited subject of bargaining (*id.* at 576). We harmonized that result with *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State,*

County & Mun. Empls., AFL-CIO v Helsby (62 AD2d 12 [3d Dept 1978], *affd for reasons stated below* 46 NY2d 1034 [1979]), by noting that the Taylor Law prevails where “no legislation specifically commits police discipline to the discretion of local officials” (6 NY3d at 571). However, “where such legislation is in force, the policy favoring control over the police prevails, and collective bargaining over disciplinary matters is prohibited” (*id.* at 571-572). In *Matter of Town of Wallkill*, we extended *Matter of Patrolmen’s Benevolent Assn.* to a local law regarding police discipline, where the local law was adopted pursuant to authority granted by Town Law § 155, itself a general law enacted prior to Civil Service Law §§ 75 and 76 (19 NY3d at 1069).

The specific commitments of police discipline in *Matter of Patrolmen’s Benevolent Assn.* and *Matter of Town of Wallkill* resolve the question at issue here: “Is there a public policy strong enough to justify excluding police discipline from collective bargaining?” (6 NY3d at 573). In *Matter of Patrolmen’s Benevolent Assn.*, we answered in the affirmative where the New York City Charter and Administrative Code gave the police commissioner “cognizance and control of the . . . discipline of the department” and the authority “to punish [an] offending party” (*id.* at 573-574 [emphasis omitted]). In *Matter of Town of Wallkill*, we found *Matter of Patrolmen’s Benevolent Assn.* dispositive where the Town Law committed to the Town “the power and authority to adopt and make rules and regulations for the examination, hearing, investigation and determination of charges, made or preferred against any member or members of such police department,” and where Wallkill had enacted a local law vesting disciplinary power with the Town Board (19 NY3d at 1069). In the present case, the Second Class Cities Law, enacted prior to Civil Service Law §§ 75 and 76, specifically commits police discipline to the commissioner and details the relevant procedures, as described above.¹ The Taylor Law’s general command regarding collective bargaining is not sufficient to displace the more specific authority granted by the Second Class Cities Law. Thus, our decisions in *Matter of Patrolmen’s Benevolent Assn.* and *Matter of Town of Wallkill*

1. Subsequent changes to Schenectady’s form of government have eliminated the office of the commissioner and transferred that office’s powers and responsibilities to others, which is irrelevant for the purpose of our decision in this case.

control, and police discipline is a prohibited subject of bargaining in Schenectady.

PERB attempts to distinguish the present case by noting that section 4 of the Second Class Cities Law contains a supersession clause, which states that a provision applies “until such provision is superseded pursuant to the municipal home rule law, was superseded pursuant to the former city home rule law or is or was otherwise changed, repealed or superseded pursuant to law.” PERB reads the supersession clause as evidencing the legislature’s “statutorily planned obsolescence” for the Second Class Cities Law. The Appellate Division distinguished *Matter of Patrolmen’s Benevolent Assn.* and *Matter of Town of Wallkill* on that same basis (*Matter of City of Schenectady v New York State Pub. Empl. Relations Bd.*, 136 AD3d 1086, 1089 [3d Dept 2016]). However, we reject the notion that the supersession clause demonstrates the legislature’s intent that the Second Class Cities Law was expected to be ephemeral. The Second Class Cities Law’s supersession clause does nothing more than affirm that the Second Class Cities Law was intended to remain in force unless it is changed or repealed pursuant to law, and does not distinguish the present case from *Matter of Patrolmen’s Benevolent Assn.* and *Matter of Town of Wallkill*.² Indeed, article IX, § 3 (b) of the New York State Constitution contains the identical language: “The provisions of this article shall not affect any existing valid provisions of acts of the legislature or of local legislation and such provisions shall continue in force until repealed, amended, modified or superseded in accordance with the provisions of this constitution.”

The Second Class Cities Law has not been expressly repealed or superseded by the legislature nor was it implicitly repealed

2. Certain of the laws at issue in those cases included similar language. Section 7 of the Rockland County Police Act (L 1936, ch 526, § 7), considered in *Matter of Patrolmen’s Benevolent Assn.*, authorized town boards in Rockland County to hear and determine disciplinary charges against members of the police department in accordance with its own rules and regulations “[e]xcept as otherwise provided by law.” Similarly, Town Law § 155, considered by this Court in *Matter of Town of Wallkill*, provided for the discipline of town police officers in accordance with rules and regulations prescribed by the town board, “[e]xcept as otherwise provided by law.” Although we did not address that language in either case, the existence of such language did not alter the outcome. There is no significant distinction between the phrase “except as otherwise provided by law” and the phrase “changed, repealed[,] or superseded pursuant to law” contained in Second Class Cities Law § 4 that would justify a different result here.

by the enactment of the Taylor Law in 1967. “The repeal of a statute by implication is not favored by law, for when the legislature intends to repeal an act it usually says so expressly” (*Matter of Tiffany*, 179 NY 455, 457 [1904]; see *Alweis v Evans*, 69 NY2d 199, 204 [1987]). “Generally, a statute is deemed impliedly repealed by another statute only if the two are in such conflict that it is impossible to give some effect to both. If a reasonable field of operation can be found for each statute, that construction should be adopted” (*Alweis*, 69 NY2d at 204). The Second Class Cities Law and the Taylor Law are not irreconcilable. Article 9 of the Second Class Cities Law governs disciplinary procedures for police officers in cities of the second class, whereas the Taylor Law generally requires public employers to negotiate but does not specifically require police disciplinary procedures to be a mandatory subject of collective bargaining. There is no express statutory conflict between the two laws; the only conflict is in the policies that they represent, and this Court has already resolved that policy conflict in favor of local control over police discipline (see *Matter of Patrolmen’s Benevolent Assn.*, 6 NY3d at 573; *Matter of Town of Wallkill*, 19 NY3d at 1069).

III.

Respondents’ additional arguments are also unpersuasive. The Schenectady Patrolmen’s Benevolent Association argues that Schenectady’s own course of dealing proves that the Civil Service Law—rather than the Second Class Cities Law—applies to police discipline, and that because of Schenectady’s position in previous proceedings, Schenectady should be judicially estopped from arguing that the Civil Service Law does not apply. However, the proceedings and “course of dealing” referenced all took place prior to 2006, when we decided *Matter of Patrolmen’s Benevolent Assn.* As Schenectady notes, “[d]uring that period of time, the City and the PBA . . . were operating under the belief—albeit, a mistaken belief—that the City could lawfully negotiate” and enter into agreements that modified the Second Class Cities Law by incorporating provisions of the Civil Service Law. In fact, it was shortly after our decision in *Matter of Patrolmen’s Benevolent Assn.* that Schenectady changed course and issued a press release on June 4, 2007, announcing that the “disciplinary action process within the police department [would] undergo a significant change effective immediately.”

PERB argues that an amendment to the Civil Service Law regarding state troopers supports its interpretation. In 2001, the legislature amended Civil Service Law § 209 (4) (e) to delete the exclusion for collective bargaining of disciplinary procedures regarding state troopers. The supporting memorandum states: “Local Police officers and Firefighters currently are afforded full binding arbitration (i.e. compensatory and non compensatory issues are subject to binding arbitration). This legislation would simply grant all State Police officers equal treatment with respect to their local counterparts” (Assembly Mem in Support, Bill Jacket, L 2001, ch 587, 2001 McKinney’s Session Laws of NY at 1716). The 2001 amendment does not alter our conclusion, because it has no bearing on what the legislative intent was in 1906 (when the legislature passed the Second Class Cities Law) or 1967 (when the legislature adopted the Taylor Law). Moreover, the statement that state troopers would be given “equal treatment with respect to their local counterparts” provides no guidance here, because it is quite clear, from the different results in *Matter of Patrolmen’s Benevolent Assn.*, *Matter of Town of Wallkill*, and *Matter of Auburn Police*, that some local counterparts have the right to bargain about police discipline, and some do not. Respondents’ remaining arguments are not properly before us (see *Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753, 758 [1991]).

Accordingly, the order of the Appellate Division should be reversed, with costs, the petition granted and the determination of respondent New York State Public Employment Relations Board annulled.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order reversed, with costs, petition granted and determination of respondent New York State Public Employment Relations Board annulled.

[87 NE3d 117, 65 NYS3d 85]

EXCESS LINE ASSOCIATION OF NEW YORK (ELANY), Appellant, v
WALDORF & ASSOCIATES et al., Respondents, et al., Defendants.

Argued September 7, 2017; decided October 19, 2017

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 1, 2015. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, Suffolk County (Elizabeth H. Emerson, J.; op 40 Misc 3d 759 [2013]), as had granted the motion of defendants Waldorf & Associates, Waldorf Risk Solutions, LLC, Waldorf Special Risk, LLC, Waldorf Servicing, LLC, William G. Waldorf, Stephen M. Waldorf, Christopher V. Waldorf, Sr. and Waldorf Family Foundation, Inc. to dismiss the complaint insofar as asserted against them.

Excess Line Assn. of N.Y. (ELANY) v Waldorf & Assoc., 130 AD3d 563, affirmed.

HEADNOTE

Parties — Capacity to Sue — Governmental Entities — Action to Enforce Provisions of Insurance Law Relating to Excess-Line Insurance Policies

Plaintiff Excess Line Association of New York (ELANY), a legislatively created advisory association under the supervision of the Department of Financial Services (DFS), does not have capacity to sue its members to recover fees that it is statutorily authorized to receive, and to compel an accounting to determine amounts allegedly owed. ELANY was created as an advisory association, pursuant to Insurance Law § 2130 (a), in order to facilitate compliance with the many filing and record keeping requirements for excess line brokers contained in the Insurance Law. The statutory scheme evinces the legislature's intent that DFS be the primary enforcer of the Insurance Law and corresponding regulations (*see* Insurance Law § 109). The statutorily enumerated powers of ELANY relate to record keeping and education, rather than regulatory enforcement (*see* Insurance Law § 2130 [a]). Under those circumstances, a right to sue cannot be derived from ELANY's enabling legislation or some other concrete statutory predicate. While section 2130 does designate ELANY as the recipient of the stamping fees, capacity to sue for recovery of such fees should not be inferred as a necessary implication from its responsibilities. ELANY is both supervised by DFS and required to perform its functions pursuant to a plan of operation approved by DFS, which expressly establishes a method of enforcing the payment of stamping fees by providing that, when such fees go unpaid, ELANY's remedy is to report the matter to DFS. Finally, the legislative history of the statute creating ELANY demonstrates that the legislature characterized ELANY as an "advisory association," not a regulator.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Federal Courts § 2089; AM JUR 2d Insurance §§ 27–28; AM JUR 2d Parties §§ 25–27.
CARMODY-WAIT 2d Parties §§ 19:3, 19:10, 19:13, 19:15;
CARMODY-WAIT 2d Actions by or Against the State
§ 126:9; CARMODY-WAIT 2d Actions By and Against Public
Bodies and Public Officers § 144:4; CARMODY-WAIT
2d Proceeding Against a Body or Officer § 145:806.
COUCH ON INSURANCE (3d ed) §§ 2:7–2:9, 2:26.
McKINNEY'S, Insurance Law § 2130 (a).
NY JUR 2d Insurance §§ 11, 14, 25–26, 443–445; Parties
§§ 7–9, 20.
SIEGEL, NY PRAC §§ 136, 187.

ANNOTATION REFERENCE

See ALR Index under Capacity To Sue or Be Sued; Insurance; States.

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POINTS OF COUNSEL

Herzfeld & Rubin, P.C., New York City (*David B. Hamm* and *Miriam Skolnik* of counsel), for appellant. Excess Line Association of New York has the capacity and the standing to sue one of its members in order to insure compliance with its plan of operation. (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36; *Matter of Flacke v Freshwater Wetlands Appeals Bd. of State of N.Y.*, 53 NY2d 537; *Matter of Department of Personnel of City of N.Y. v City Civ. Serv. Commn.*, 60 NY2d 436; *Matter of Graziano v County of Albany*, 3 NY3d 475; *New York Prop. Ins. Underwriting Assn. v A.F. Holding Corp.*, 196 AD2d 695; *New York Prop. Ins. Underwriting Assn. v Goldfeld*, 55 AD2d 1032; *Matter of Board of Educ. of Roosevelt Union Free School Dist. v Board of Trustees of State Univ. of N.Y.*, 282 AD2d 166; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *HANYs Servs. v Empire Blue Cross & Blue Shield*, 292 AD2d 61.)

Ohrenstein & Brown, LLP, Garden City (*Michael D. Brown*

and *Matthew Bryant* of counsel), for respondents. I. To the extent the court below denied by its silence that part of defendants' motion based on documentary evidence, statute of limitations, lack of standing, and release, defendants are entitled to raise the error now. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539.) II. Excess Line Association of New York has no capacity to act independent of the Department of Financial Services or its plan of operation. (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *Matter of Medical Malpractice Ins. Assn. v Superintendent of Ins. of State of N.Y.*, 72 NY2d 753; *Matter of Graziano v County of Albany*, 3 NY3d 475.) III. The legislature did not intend to create implied causes of action other than where it created them expressly. (*Varela v Investors Ins. Holding Corp.*, 81 NY2d 958.) IV. Excess Line Association of New York does not meet the test for implying private statutory causes of action. (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Sheehy v Big Flats Community Day*, 73 NY2d 629.) V. The Superintendent of Financial Services' settlement with respondents is a release against Excess Line Association of New York's (ELANY) claims based on a failure to pay stamping fees and for denying ELANY the right to examine records.

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to decide whether Excess Line Association of New York (ELANY)—a legislatively created advisory association under the supervision of the Department of Financial Services (DFS)—has capacity to sue its members to recover fees that it is statutorily authorized to receive, and to compel an accounting to determine amounts allegedly owed. We hold that it does not.

I

Excess line insurance policies are issued by foreign insurers not authorized to do business in this state. Such policies are procured by licensed excess line brokers to cover risks that authorized carriers will not insure. As relevant here, the Insurance Law requires excess line brokers to remit to DFS taxes on excess line insurance premiums charged, submit to ELANY a document containing basic information for each excess line policy brokered, and pay to ELANY a stamping fee that is calculated based upon the policy's premium (*see* Insurance Law §§ 2118 [b] [1], [3]; [d]; 2130 [f]).

ELANY was created as an “advisory” association, pursuant to Insurance Law § 2130 (a), in order to facilitate compliance with the many filing and record keeping requirements for excess line brokers contained in the Insurance Law (L 1988, ch 630, § 1). “All excess line licensees shall be deemed to be members of [ELANY]” (Insurance Law § 2130 [a]). Under ELANY’s enabling statute, it is required to “perform its functions under [a] plan of operation . . . approved [by DFS]” and to “be supervised by [DFS]” (*id.*). Section 2130 enumerates ELANY’s limited powers and duties, which include the authority and obligation to receive, record, and stamp all excess line insurance documents filed by excess line brokers. The stamping fees required to be paid by members that submit excess line insurance documents to ELANY are ELANY’s sole source of funding (*see id.* § 2130 [f]). ELANY’s plan of operation provides that “[a]ny member who is more than 30 days delinquent in the payment of [stamping] fees may be reported to [DFS] . . . [and] any delinquency of more than 60 days shall be reported to [DFS]” (*see also* 11 NYCRR 27.7 [a] [2] [requiring ELANY to submit bimonthly reports identifying excess line brokers that failed to comply with any part of the excess line regulations or Insurance Law § 2118]).

Defendants are a third-generation, family-owned and operated insurance brokerage firm and consortium which, for many years, operated an “independent” or “direct” placement insurance program involving placement of insurance directly with syndicates at Lloyd’s of London. In 2010, defendants sought review and approval of their direct placement program by the Department of Insurance (now DFS and, collectively, the Department). The Department determined that certain of the placements should have been classified as excess line placements, subject to the premium tax required by Insurance Law § 2118 and the accompanying regulations (11 NYCRR part 27 [Regulation 41]). Defendants subsequently entered into a settlement agreement with the Department, pursuant to which defendants agreed to pay approximately \$3.4 million in premium taxes, penalties and interest for placements made from 1995 through 2009. Defendants also agreed to operate the Lloyd’s of London direct placement program as an excess line program commencing in 2010. The agreement provided that full compliance with these obligations would

“be accepted by the Department in full settlement of [defendants’] premium tax liability . . . [and] in lieu of any disciplinary action that could be taken

by the Department against [defendants] . . . in connection with the failure to pay premium taxes or otherwise comply with the provisions of Section 2118 of the Insurance Law and Department Regulation 41.”

The agreement did not require defendants to pay ELANY the stamping fees associated with the improperly classified insurance placements.

In 2011, ELANY commenced the instant action against defendants seeking, among other things, to recover stamping fees for excess line policies allegedly procured from 1989 through 2011 and to enforce its purported right to conduct an examination and accounting pursuant to the Insurance Law. Supreme Court granted defendants’ motions to dismiss, concluding that ELANY lacked capacity to sue (*see* 40 Misc 3d 759 [Sup Ct, Suffolk County 2013]). On ELANY’s appeal, the Appellate Division affirmed, reasoning that “[c]ontrary to ELANY’s contention, none of the provisions of the [ELANY enabling] statute confers upon it by necessary implication the capacity to sue to enforce the provisions of the Insurance Law” (130 AD3d 563, 565 [2d Dept 2015]). We granted ELANY leave to appeal (27 NY3d 901 [2016]).

II

This Court has explained that “[c]apacity to sue is a threshold question involving the authority of a litigant to present a grievance for judicial review” (*Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36, 41 [2005]). Capacity is examined with a view towards the relief sought (*see Matter of Graziano v County of Albany*, 3 NY3d 475, 480 [2004]), and is often at issue where, as here, governmental entities seek to bring suit (*see Matter of Town of Riverhead*, 5 NY3d at 41). “Being artificial creatures of statute, such entities have neither an inherent nor a common-law right to sue. Rather, their right to sue, if it exists at all, must be derived from the relevant enabling legislation or some other concrete statutory predicate” (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148, 155-156 [1994]). However, while the right must be derived from statute, “[a]n express grant of authority is not always necessary,” and “capacity may be inferred as a necessary implication from the powers and responsibilities of a governmental entity, ‘provided, of course, that there is no clear legislative intent negating review’ ” (*Matter of Town of Riverhead*, 5 NY3d at 42, quoting *Community Bd. 7*, 84 NY2d at 156).

In *Community Bd. 7*, this Court addressed whether a legislatively created community board had capacity to maintain a CPLR article 78 proceeding challenging a Freedom of Information Law determination denying it access to certain documents (84 NY2d at 154). The board's statutorily imposed responsibilities included studying proposed changes in land use and making recommendations regarding such proposals to city officials (*see id.* at 152). We held that the board's lack of capacity could be "readily . . . inferred" from its limited role in the land use planning process and "the terms and history of its own enabling legislation" (*id.* at 157). There, the City Charter's Uniform Land Use Review Procedure provisions and their accompanying regulations specifically delineated documents to be used by the board and did not provide the board with any subpoena power, despite a study group's recommendation that the power to subpoena be conferred (*id.*). Moreover, this Court rejected the contention that the power to bring the proceeding was derived by "necessary implication" from the board's responsibilities, "which [were] purely advisory in nature" (*id.* at 159).

As in *Community Bd. 7*, the enabling statute at issue here does not expressly authorize the entity asserting capacity—i.e. ELANY—to sue for the relief sought (*see* Insurance Law § 2130). While the legislative history does not indicate—as it did in *Community Bd. 7*—that the legislature considered and expressly rejected granting ELANY the capacity to sue to collect the stamping fees, the legislative history also does not provide any affirmative suggestion that the legislature intended to give ELANY capacity to sue. Therefore, we rely primarily on the statutory scheme, as well as ELANY's own plan of operation.

As the courts below concluded, the statutory scheme evinces the legislature's intent that DFS be the primary enforcer of the Insurance Law and corresponding regulations (*see* Insurance Law § 109). With regard to excess line broker licenses specifically, the legislature gave DFS the authority to "suspend[] or revoke[]" such licenses as DFS believes "will best promote the interests of the people of this state" (*id.* § 2105 [a]). In addition, the legislature empowered DFS to impose various statutorily established monetary penalties which, if not paid, may be enforced by a civil action in court (*see id.* § 109 [c], [d]). The legislature also provided insureds aggrieved by certain specific conduct with private rights of action against agents and brokers (*see e.g. id.* § 2123 [d]).

In stark contrast to DFS's broad, explicit enforcement function, "ELANY's principal role is to act as a record keeper for excess line transactions" (*Matter of Excess Line Assn. of N.Y. v Curiale*, Sup Ct, NY County, Mar. 25, 1994, Huff, J., index No. 134460/93, *affd on mem below* 209 AD2d 365 [1st Dept 1994]). The statutorily enumerated powers of ELANY relate to record keeping and education, rather than regulatory enforcement (*see* Insurance Law § 2130 [a]). Under these circumstances, a right to sue cannot be "derived from [ELANY's] enabling legislation or some other concrete statutory predicate" (*Community Bd.* 7, 84 NY2d at 156).

While section 2130 does designate ELANY as the recipient of the stamping fees, we reject ELANY's contention that capacity to sue for recovery of such fees can be inferred as a "necessary implication" from its responsibilities (*Matter of City of New York v City Civ. Serv. Commn.*, 60 NY2d 436, 444 [1983]). Critically, ELANY is both supervised by DFS and required to "perform its functions" pursuant to a plan of operation approved by DFS (Insurance Law § 2130 [a]). That plan expressly establishes a method of enforcing the payment of stamping fees—the relief that ELANY seeks here—by providing that, when such fees go unpaid, ELANY's remedy is to report the matter to DFS. In other words, DFS has not authorized ELANY to seek recovery of unpaid stamping fees through a plenary action. Instead, the plan of operation—which governs the scope of ELANY's authorized activities—limits ELANY's remedy to reporting violations to DFS, further supporting the conclusion that ELANY does not have implied capacity to sue for the relief sought.*

Finally, the legislative history of the statute creating ELANY demonstrates that the legislature characterized ELANY as an "advisory association," not a regulator (L 1988, ch 630, § 1). Nor does the plan of operation indicate that DFS has found it necessary, in order for ELANY to carry out its advisory function, to "accord[] [ELANY] the right to [enforce the payment of stamping fees] through a plenary judicial proceeding" (*Community Bd.* 7, 84 NY2d at 159). In short, the authority that ELANY urges this Court to recognize is negated by the nature

* The parties apparently agree that DFS could, if it wished to do so, approve an amendment to the plan of operation to allow ELANY to enforce the obligation of its members to pay stamping fees, subject to DFS's supervision. Under the circumstances here, we need not pass on the accuracy of this proposition.

of the responsibilities conferred upon ELANY, as established by the statutory structure, legislative history, and ELANY's plan of operation. Therefore, the courts below correctly concluded that capacity to sue cannot be inferred here.

In view of the foregoing, ELANY's remaining contentions are academic. Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge DiFIORE and Judges FAHEY, GARCIA, WILSON and FEINMAN concur; Judge RIVERA taking no part.

Order, insofar as appealed from, affirmed, with costs.

[87 NE3d 121, 65 NYS3d 89]

PRINCES POINT LLC, a New York Limited Liability Company,
Appellant, v MUSS DEVELOPMENT L.L.C. et al., Respon-
dents, et al., Defendant.

Argued September 5, 2017; decided October 19, 2017

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 4, 2016. The Appellate Division affirmed, to the extent appealed from as limited by the briefs, a judgment of the Supreme Court, New York County (Charles E. Ramos, J.), which had declared, on the third counterclaim of defendants Allied Princes Bay Co., Allied Princes Bay Co. #2, L.P., Muss Development L.L.C., and Joshua L. Muss, that plaintiff materially breached its real estate contract with Allied Princes Bay Co. and Allied Princes Bay Co. #2, L.P., entitling defendants to recover the down payment and to retain certain other payments. The following question was certified by the Appellate Division: “Was the order of the Supreme Court, as affirmed by this Court, properly made?”

Princes Point LLC v Muss Dev. L.L.C., 138 AD3d 112, reversed.

HEADNOTE

Vendor and Purchaser — Contract for Sale of Real Property — Rescission Action as Anticipatory Breach

The commencement of an action by plaintiff prospective purchaser of real property against defendant sellers for “rescission and/or reformation” of the contract before the closing date did not constitute an anticipatory breach of the contract. An anticipatory breach, or repudiation, of a contract can be either a statement by the obligor to the obligee indicating that the obligor will commit a breach that would of itself give the obligee a claim for damages for total breach or a voluntary affirmative act which renders the obligor unable or apparently unable to perform without such a breach. For an anticipatory repudiation to be deemed to have occurred, the expression of intent not to perform by the repudiator must be positive and unequivocal. The commencement of a declaratory judgment action does not constitute an anticipatory breach because such an action merely seeks to define the rights and obligations of the parties. An action seeking rescission of a contract is not markedly different from a declaratory judgment action, even though the actions necessarily would produce different results. Nevertheless, in this context, where the amended complaint sought reformation of amendments to the contract and specific performance of the original agreement, there was no positive and unequivocal repudiation. There was no material difference between this action and a declaratory judgment action. At bottom, both actions seek a judicial

determination as to the terms of a contract, and the mere act of asking for judicial approval to avoid a performance obligation is not the same as establishing that one will not perform that obligation absent such approval.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Contracts § 711; AM JUR 2d Specific Performance §§ 82–83; AM JUR 2d Vendor and Purchaser §§ 445, 472, 502, 511, 533, 537, 545–546.

CARMODY-WAIT 2d Complaints in Particular Actions §§ 29:69, 29:356; CARMODY-WAIT 2d Declaratory Judgments § 147:112.

MORTGAGE LIENS IN NEW YORK (2013-2014 ed), ch 7, Equitable Mortgages.

NEW YORK CONTRACT LAW §§ 14:1, 14:6–14:8, 14:11, 14:14, 14:25.

NY JUR 2d Real Property Sales and Exchanges §§ 156, 189, 192, 204, 221, 234, 236, 238, 242, 281.

WILLISTON ON CONTRACTS (4th ed) §§ 43:27, 47:1, 50:6, 66:79, 66:81, 67:61, 68:2, 68:24.

ANNOTATION REFERENCE

See ALR Index under Cancellation or Rescission; Contracts; Renunciation and Repudiation; Sale or Transfer of Property.

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POINTS OF COUNSEL

Rosenberg Calica & Birney LLP, Garden City (*John S. Ciulla, Judah Serfaty* and *Ryan J. McMahon* of counsel), for appellant. I. The Appellate Division erroneously determined that the mere commencement of this action constituted an anticipatory repudiation. (*American List Corp. v U.S. News & World Report*, 75 NY2d 38; *O'Connor v Sleasman*, 37 AD3d 954, 9 NY3d 806; *DeLorenzo v Bac Agency*, 256 AD2d 906; *Dieder v Macfadden Publs.*, 299 NY 49; *Baisch, Inc. v Pike Co., Inc.*, 103 AD3d 1259; *Cato Corp. v Roaman*, 214 AD2d 383; *Rudman v Cowles Communications*, 30 NY2d 1; *Weigel v Cook*, 237 NY 136; *Al-Shahrani v Hudson Auto Traders, Inc.*, 89 AD3d 968; *Jiannaras v Alfant*, 27 NY3d 349.) II. Even if Princes

Point LLC's commencement of this action constituted an anticipatory repudiation of the contract, respondents were required and failed to show that they were ready, willing and able to perform their contractual obligations and close as of the time of the alleged anticipatory repudiation in order to retain the down payment and the compaction payments as liquidated damages. (*Pesa v Yoma Dev. Group, Inc.*, 18 NY3d 527; *DeForest Radio Tel. & Tel. Co. v Triangle Radio Supply Co.*, 243 NY 283; *Ufitec, S. A. v Trade Bank & Trust Co.*, 21 AD2d 187, 16 NY2d 698; *Record Club of Am., Inc. v United Artists Records, Inc.*, 890 F2d 1264; *Trilegiant Corp. v Orbitz, LLC*, 45 Misc 3d 348; *Reid v I Grant Inc.*, 94 AD3d 500; *Rodriguez Pastor v De-Gaetano*, 128 AD3d 218; *Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420.) III. In view of the undisputed record evidence establishing that respondents were not ready, willing and able to obtain the development approvals, the Appellate Division should have searched the record, granted reverse summary judgment and directed respondents to return the down payment and the compaction payments to Princes Point LLC. (*Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Dunham v Hilco Constr. Co.*, 89 NY2d 425.)

Herrick, Feinstein LLP, New York City (*Scott E. Mollen, Darlene Fairman* and *Adam J. Stein* of counsel), for respondents. I. Appellant's commencement of a lawsuit for reduction of the contract purchase price and rescission of a contract amendment based on alleged fraudulent inducement constitutes an anticipatory breach as a matter of law. (*Al-Shahrani v Hudson Auto Traders, Inc.*, 89 AD3d 968; *Tenavision, Inc. v Neuman*, 45 NY2d 145; *SPI Communications v WTZA-TV Assoc. Ltd. Partnership*, 229 AD2d 644; *Created Gemstones v Union Carbide Corp.*, 47 NY2d 250; *North Town Auto Rental v Sportservice Corp.*, 73 AD2d 1045; *Fonda v First Pioneer Farm Credit, ACA*, 86 AD3d 693; *Joseph P. Carrara & Sons, Inc. v A.R. Mack Constr. Co., Inc.*, 89 AD3d 1190; *REA Express, Inc. v Interway Corp.*, 538 F2d 953; *O'Connor v Sleasman*, 37 AD3d 954; *Cato Corp. v Roaman*, 214 AD2d 383.) II. Princes Point LLC's unequivocal repudiation of the contract before the last outside closing date entitled Muss Development L.L.C. and Joshua Muss to retain the down payment and compaction payments as liquidated damages under the contract. (*Sutton v Santora*, 87 AD2d 796; *Computer Possibilities Unlimited v Mobil Oil Corp.*, 301 AD2d 70; *G.G.F. Props. v Yu Mi Hong*, 284 AD2d 427; *Bucciero v Jian Sheng Li*, 191 AD2d 887; *Old Orchard Dev., LLC v Marranol/Marc Equity Corp.*, 45 AD3d 1497;

Pesa v Yoma Dev. Group, Inc., 18 NY3d 527; *Water St. Dev. Corp. v City of New York*, 220 AD2d 289; *GDJS Corp. v 917 Props.*, 99 AD2d 998; *Warner v Kaplan*, 71 AD3d 1; *D'Abreau v Smith*, 240 AD2d 616.) III. Summary judgment cannot be granted to appellant. (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Dunham v Hilco Constr. Co.*, 89 NY2d 425.)

OPINION OF THE COURT

FAHEY, J.

This appeal presents the question whether the mere commencement of an action seeking “rescission and/or reformation” of a contract constitutes an anticipatory breach of such agreement. Under the circumstances of this case, we conclude that it does not. We reverse the Appellate Division order and answer the certified question in the negative.

Facts

By way of background, plaintiff agreed to purchase the property in question (a developable waterfront parcel on Staten Island) from defendants Allied Princes Bay Co. and Allied Princes Bay Co. #2, L.P. (collectively, APB).¹ To that end, a purchase agreement was executed in 2004. In relevant part, the agreement provided that, as a condition precedent to closing, APB was required to deliver certain government approvals necessary to develop the property. The agreement prescribed a closing date of 30 days after plaintiff received notice that the approvals had been obtained, but in no event later than the “Outside Closing Date,” which the agreement defined as 18 months after the execution and delivery of that compact.

The agreement also provided that if the approvals could not be obtained by the outside closing date, then either party could terminate the agreement upon 30 days’ notice. In the event of such termination, plaintiff would receive a refund of its deposit and the parties would be released from the majority of their contractual obligations. In lieu of termination, plaintiff retained an option to waive the approvals and proceed to closing.

1. Defendant Joshua L. Muss is a general partner in APB, whereas defendant Muss Development L.L.C. is a membership company that oversees certain administrative functions of the various entities and developmental projects in which the Muss family directly or indirectly has an interest.

Following the landfall of Hurricane Katrina in Louisiana—and the catastrophe that ensued—the New York State Department of Environmental Conservation (DEC) noted certain flaws in a retaining wall along the waterfront of the property, and it required APB to remedy those defects. Thus, APB was unable to obtain the requisite development approvals by the closing date set in the purchase agreement. In light of the additional time and cost required, APB advised plaintiff that it intended to exercise the right to terminate the agreement unless plaintiff agreed to amend it.

To that end, in March 2006, APB and plaintiff amended the purchase contract to increase the purchase price and down payment to be made with respect to the property, to require the parties to share in the costs of remediation, and to extend the “Outside Closing Date” for the sale to July 22, 2007. That outside closing date later was extended—on approximately 11 occasions—to July 22, 2008, based on the ongoing nature of the remedial work required to close the sale. The amendments to the contract also contain what is referred to as a forbearance clause, which essentially provided that, “as a material inducement to [APB’s] agreement to the New Outside Closing Date,” plaintiff would “not . . . commence any legal action against [APB] . . . in the event that any of the Development Approvals ha[d] not been issued or the [remedial work] ha[d] not been completed by the New Outside Closing Date.”

Approximately one month before the final new outside closing date, plaintiff commenced this action alleging, among other things, fraud in the inducement of the amendments to the contract. Plaintiff also sought to eliminate the increase in purchase price and the requirement that plaintiff share in the cost of repairs to the property, as embodied in the amendments. Said simply, plaintiff sought specific performance of the contract absent the amendments on the ground that the amendments were executed based on defendants’ alleged misrepresentation of their ability to complete the remedial work necessary to close the sale.

In response, defendants (save for defendant AKRF Engineering, P.C., which did not join this motion practice)² asserted various counterclaims, two of which are relevant here. In their

2. Inasmuch as defendant AKRF Engineering, P.C. did not participate in this motion practice, all references to defendants herein refer collectively to APB, Joshua L. Muss, and Muss Development L.L.C.

first counterclaim, defendants sought judgment declaring that, based on what by then was the expiration of the final new outside closing date, either the contract had terminated or plaintiff must immediately proceed to closing without any abatement in the purchase price. Then, in their third counterclaim, defendants alleged that, by failing to close the transaction in accordance with the contract, plaintiff defaulted on that agreement, thereby entitling APB to retain “the entire down payment,” as well as the payments plaintiff made in furtherance of its obligation to share in the cost of the remediation of the property.

All of plaintiff’s causes of action subsequently were dismissed. The matter eventually proceeded to defendants’ motion for partial summary judgment, which considered only the first and third counterclaims. Through that application, defendants sought judgment declaring that the contract is terminated, and that plaintiff materially breached the contract. Supreme Court granted the motion, adjudging that the contract had “expired by its terms” and that plaintiff “materially breached” that compact, entitling defendants to, among other things, retain the down payment and the remedial payments made pursuant to the amendments to that agreement.

On appeal, the Appellate Division affirmed the judgment insofar as appealed from³ and determined “that, because a rescission action unequivocally evinces the plaintiff’s intent to disavow its contractual obligations, the commencement of such an action before the date of performance constitutes an anticipatory breach” (*Princes Point LLC v Muss Dev. L.L.C.*, 138 AD3d 112, 114 [1st Dept 2016]). The Appellate Division also concluded “that the seller [(here, APB)] was not required to show that it was ready, willing, and able to complete the sale [as a condition of receiving damages] because the buyer’s anticipatory breach relieved [the seller] of further contractual obligations” (*id.*).

The Appellate Division subsequently granted plaintiff leave to appeal to this Court. In doing so, the Appellate Division certified for our review the question whether “the order of the

3. Plaintiff did not pursue an appeal from the part of the judgment declaring the contract expired (see *Princes Point LLC v Muss Dev. L.L.C.*, 138 AD3d 112, 122 [1st Dept 2016]). To that end, we do not address herein the part of the motion seeking summary judgment with respect to the first counterclaim, through which defendants sought, among other things, a declaration that the contract had terminated.

Supreme Court, as affirmed by [the Appellate Division, was] properly made.”

Analysis

“An anticipatory breach of contract by a promisor is a repudiation of [a] contractual duty before the time fixed in the contract for . . . performance has arrived” (10-54 Corbin on Contracts § 54.1 [2017]; see 13 Williston on Contracts § 39:37 [4th ed]). An anticipatory breach of a contract—also known as an anticipatory repudiation—“can be either a statement by the obligor to the obligee indicating that the obligor will commit a breach that would of itself give the obligee a claim for damages for total breach or a voluntary affirmative act which renders the obligor unable or apparently unable to perform without such a breach” (*Norcon Power Partners v Niagara Mohawk Power Corp.*, 92 NY2d 458, 463 [1998] [internal quotation marks omitted]; see 2B NY PJI2d 4:1 at 35-36 [2017]).

For an anticipatory repudiation to be deemed to have occurred, the expression of intent not to perform by the repudiator must be “positive and unequivocal” (*Tenavision, Inc. v Neuman*, 45 NY2d 145, 150 [1978]; see *Ga Nun v Palmer*, 202 NY 483, 489 [1911]). We have taught that the party harmed by the repudiation must make a choice either to pursue damages for the breach or to proceed as if the contract is valid (see *Strasbourg v Leerburger*, 233 NY 55, 59 [1922]; see also *American List Corp. v U.S. News & World Report*, 75 NY2d 38, 44 [1989]). We have also clarified that “a wrongful repudiation of the contract by one party before the time for performance entitles the nonrepudiating party to immediately claim damages for a total breach” (*id.*).

On this record—and particularly in view of the repeated movement of the new outside closing date—we cannot conclude that the commencement of this action reflects a repudiation of the contract. At the core of this appeal is the unsettled question whether “the commencement of an action, particularly one seeking rescission, is itself an anticipatory breach” (*Princes Point*, 138 AD3d at 117, citing *Auten v Auten*, 308 NY 155, 159 [1954] [addressing whether an action for separation constituted a repudiation of a prior separation agreement, but declining to answer that question given that English law controlled that matter]). The Appellate Division correctly observes that the commencement of a declaratory judgment action “does not constitute an anticipatory breach . . . because a declaratory

judgment action merely seeks to define the rights and obligations of the parties” (*Princes Point*, 138 AD3d at 117).

We do not, however, agree with the Appellate Division’s conclusion that, in this context, “[a]n action seeking rescission of a contract is markedly different” from a declaratory judgment action (*id.*). To be sure, this action (one for “rescission and/or reformation” of the purchase agreement based on defendants’ purported misrepresentation with respect to the condition of the property) and a declaratory judgment action necessarily would produce different results. This action is one based on the terms under which the amendments to the contract were entered, and essentially seeks to nullify those terms. A declaratory judgment action would produce a ruling as to the rights of the parties under the terms of the contract, and essentially would determine the meaning of those terms (*see* CPLR 3001 [considering declaratory judgment actions]). Nevertheless, in this context—specifically, where the amended complaint seeks, among other things, reformation of the amendments to the contract and specific performance of the original agreement—there was no “positive and unequivocal” repudiation (*Tenavision*, 45 NY2d at 150). There is no material difference between this action and a declaratory judgment action. At bottom, both actions seek a judicial determination as to the terms of a contract, and the mere act of asking for judicial approval to avoid a performance obligation is not the same as establishing that one will not perform that obligation absent such approval (*see* Restatement [Second] of Contracts § 250, Illustration 3).⁴

Finally, with respect to plaintiff’s request for “reverse” summary judgment, we note that, “[w]hile Supreme Court and the Appellate Division may search the record and grant summary judgment to a nonmoving party (*see* CPLR 3212 [b]),” this Court may not (*see JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373, 385 [2005], citing *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106, 110-111 [1984]). To that end, in revers-

4. In so holding we have no occasion to reach plaintiff’s alternative contention that, even if its commencement of this action constituted an anticipatory breach of the contract, defendants were required to show—and failed to show—that they were ready, willing, and able to perform their contractual obligations and close the subject sale at the time of the purported repudiation in order to retain the down payment and compaction payments made pursuant to the contract (*see generally Coleman v Daines*, 19 NY3d 1087, 1090 [2012]).

ing the Appellate Division order we only deny defendants' motion for partial summary judgment.

Accordingly, the Appellate Division order should be reversed, with costs, the motion of defendants for partial summary judgment on the third counterclaim denied, and the certified question answered in the negative.

Chief Judge DiFIORE and Judges RIVERA, STEIN, GARCIA and WILSON concur; Judge FEINMAN taking no part.

Order reversed, with costs, motion by defendants Allied Princes Bay Co., Allied Princes Bay Co. #2, L.P., Muss Development L.L.C. and Joshua L. Muss for partial summary judgment on the third counterclaim denied, and certified question answered in the negative.

[87 NE3d 126, 65 NYS3d 94]

AMERICAN ECONOMY INSURANCE COMPANY et al., Respondents, v
STATE OF NEW YORK et al., Appellants.

Argued September 7, 2017; decided October 24, 2017

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 14, 2016. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Donna M. Mills, J.), which had dismissed the complaint upon an order of that Supreme Court granting defendants' motion to dismiss and denying plaintiffs' cross motion for summary judgment; (2) in effect denied defendants' motion to dismiss; (3) reinstated the complaint; (4) in effect granted plaintiffs' cross motion for summary judgment to the extent of declaring that Workers' Compensation Law § 25-a (1-a) as retroactively applied to policies issued before October 1, 2013 is unconstitutional; and (5) directed the Clerk to enter an amended judgment.

American Economy Ins. Co. v State of New York, 139 AD3d 138, reversed.

HEADNOTES

Constitutional Law — Validity of Statute — Workers' Compensation Law § 25-a — Contract Clause

1. Plaintiffs, insurance companies that write workers' compensation insurance policies, failed to establish that any potential retroactive impact of the 2013 amendment to Workers' Compensation Law § 25-a closing the Special Fund for Reopened Cases to new applications after January 1, 2014 and imposing liability for such claims on carriers violates the Contract Clause of the US Constitution, as the amendment did not impair any term of plaintiffs' contracts with their insureds. The Contract Clause prohibits states from enacting "[l]aw[s] impairing the Obligation of Contracts" (US Const, art I, § 10 [1]). The threshold inquiry is whether the state law has operated as a substantial impairment of a contractual relationship. Plaintiff insurers' contracts with their insureds obligated them to pay all benefits required of their insureds by the Workers' Compensation Law, including amendments to that law which were in effect during the policy period, and thus required plaintiffs to pay all necessary benefits on reopened cases. The amendment merely altered the allocation of costs of benefit liability by removing an avenue for carriers to transfer reopened cases to the Fund, and then to pass assessments for the costs of those cases onto their insureds. Inasmuch as plaintiffs did not contract with their insureds for the right to transfer reopened cases to the Fund, or condition their liability to pay benefits on reopened cases on the Fund's continuing acceptance of those cases, plaintiffs'

contracts with their insureds had not been impaired by the amendment. There was no provision of plaintiffs' contracts with their insureds relieving them of the obligation to pay an injured worker's benefits in the event that the Fund did not accept a reopened case.

**Constitutional Law — Validity of Statute — Workers' Compensation
Law § 25-a — Takings Clause**

2. Plaintiffs, insurance companies that write workers' compensation insurance policies, failed to establish that any potential retroactive impact of the 2013 amendment to Workers' Compensation Law § 25-a closing the Special Fund for Reopened Cases to new applications after January 1, 2014 and imposing liability for such claims on carriers violates the Takings Clauses of the US and New York State Constitutions, where plaintiffs failed to identify any vested property interest impaired by the amendment. The mere obligation to pay money, without identification of a vested property interest, cannot constitute a taking. Moreover, as a general matter, the government does not "take" contract rights pertaining to a contract between two private parties simply by engaging in lawful action that affects the value of one of the parties' contract rights. The statutory language providing that the Fund would accept the costs of liability on reopened cases under certain specific circumstances did not provide plaintiffs with any vested right in the Fund's continued acceptance of reopened cases. One cannot claim a vested property interest in continuing to receive a statutory benefit unless statutory language clearly granting a vested right is present. Thus, plaintiffs could not identify a vested property interest and then demonstrate how the legislative amendment adversely impacted that property interest because any right that might be recognized was inchoate and subject to contingencies.

**Constitutional Law — Validity of Statute — Workers' Compensation
Law § 25-a — Substantive Due Process**

3. The 2013 amendment to Workers' Compensation Law § 25-a closing the Special Fund for Reopened Cases to new applications after January 1, 2014 and imposing liability for such claims on carriers does not violate the Due Process Clauses of the US and New York Constitutions, as any retroactive impact of the legislation is justified by a rational legislative purpose. In the context of a substantive due process challenge to retroactive legislation, rational basis scrutiny is applied, which requires a legitimate legislative purpose furthered by rational means. The closure of the Fund was intended to save New York businesses hundreds of millions of dollars in assessments per year. In addition, claims on reopened cases could be administered more efficiently by insurance carriers. Delaying the Fund's closure so that it could pay benefits on every qualifying reopened case arising from an injury occurring before the amendment's 2013 effective date would have delayed that intended legislative benefit to New York businesses and employers for years, if not decades.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Constitutional Law §§ 628, 753, 756, 942, 953,
954, 965, 974; AM JUR 2d Statutes § 235; AM JUR 2d
Workers' Compensation § 24.
McKINNEY'S, Workers' Compensation Law § 25-a.

NY JUR 2d Constitutional Law §§ 306, 307, 329–331, 351, 426–428, 458, 459; NY JUR 2d Statutes §§ 226, 230; NY JUR 2d Workers' Compensation § 1130.
US Const, art I, § 10, cl 1.

ANNOTATION REFERENCE

See ALR Index under Constitutional Law; Contracts; Due Process; Retroactive Laws; Workers' Compensation.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Steven C. Wu, Barbara D. Underwood, Claude S. Platten and Philip V. Tisne of counsel), for appellants. I. The Special Fund for Reopened Cases' closure to new transfer applications had only prospective effect. (*Landgraf v USI Film Products*, 511 US 244; *Matter of Mills v Staffking [Hidden Val.]*, 271 AD2d 146; *People v Smith*, 79 NY2d 309; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Polone v Commissioner of Internal Revenue*, 505 F3d 966; *Eastern Enterprises v Apfel*, 524 US 498; *Matter of Casey v Hinkle Iron Works*, 299 NY 382; *Matter of Norcross v Camden Cent. School*, 78 AD3d 1339; *Matter of Riley v Aircraft Prods. Mfg. Corp.*, 40 NY2d 366; *Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747.) II. Even if the Special Fund for Reopened Cases' closure to new applications had retroactive effect, plaintiffs' constitutional challenges would still fail. (*Shanahan v Monarch Eng'g Co.*, 219 NY 469; *Landgraf v USI Film Products*, 511 US 244; *Matter of Schmidt v Wolf Contr. Co., Inc.*, 269 App Div 201; *19th St. Assoc. v State of New York*, 79 NY2d 434; *County of Sacramento v Lewis*, 523 US 833; *Health Ins. Assn. of Am. v Harnett*, 44 NY2d 302; *Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.]*, 81 NY2d 219; *Energy Reserves Group, Inc. v Kansas Power & Light Co.*, 459 US 400; *Ballentine v Koch*, 89 NY2d 51; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48.) III. Disputed issues of fact preclude entry of judgment in plaintiffs' favor. (*Rockland Light & Power Co. v City of New York*, 289 NY 45.)

Wilmer Cutler Pickering Hale and Dorr LLP, Washington, D.C. (Seth P. Waxman and David M. Lehn of counsel), Wilmer

Cutler Pickering Hale and Dorr LLP, New York City (*Alan E. Schoenfeld* of counsel), and *Greenberg Traurig LLP*, Albany (*Cynthia E. Neidl* of counsel), for respondents. I. The amendment operates retroactively by substantially increasing plaintiffs' financial obligations to their employer insureds under preexisting policies. (*Landgraf v USI Film Products*, 511 US 244; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Matter of Goutremout v Advance Auto Parts*, 134 AD3d 1194; *Matter of Berlinski v Congregation Emanuel of City of N.Y.*, 29 AD2d 1036; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Martin v New York Tel.*, 46 AD3d 1136; *United States Fid. & Guar. Co. v McKeithen*, 226 F3d 412; *Becker v Huss Co.*, 43 NY2d 527; *Eastern Enterprises v Apfel*, 524 US 498; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48.) II. The amendment violates the US and New York Constitutions. (*Landgraf v USI Film Products*, 511 US 244; *Health Ins. Assn. of Am. v Harnett*, 44 NY2d 302; *Moore v Metropolitan Life Ins. Co.*, 33 NY2d 304; *Crane Neck Assn. v New York City/Long Is. County Servs. Group*, 61 NY2d 154; *19th St. Assoc. v State of New York*, 79 NY2d 434; *Pension Benefit Guaranty Corporation v R. A. Gray & Co.*, 467 US 717; *Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Szold v Outlet Embroidery Supply Co.*, 274 NY 271; *Becker v Huss Co.*, 43 NY2d 527; *Allied Structural Steel Co. v Spannaus*, 438 US 234.) III. The State of New York is not entitled to a remand to address any purported fact issues. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *S.J. Capelin Assoc. v Globe Mfg. Corp.*, 34 NY2d 338; *Tenth St. Holdings, LLC v McKowen*, 50 Misc 3d 141[A], 2016 NY Slip Op 50194[U]; *People v Grasso*, 50 AD3d 535.)

Carlton Fields Jorden Burt, P.A., New York City (*Robert D. Helfand* of counsel), and *Carlton Field Jorden Burt, P.A.*, Hartford, Connecticut, for American Insurance Association and others, amici curiae. I. Appellants closed the Special Fund for Reopened Cases in a way that imposes new obligations on past transactions. (*Matter of Tipton v Lang's Bakery, Inc.*, 250 App Div 696, 275 NY 572; *Matter of Jansch v Sagamore Children's Fund*, 302 AD2d 851; *Matter of Gantz v Wallace & Tiernan Lucidol Div.*, 41 AD2d 991; *Matter of Riley v Aircraft Prods. Mfg. Corp.*, 40 NY2d 366; *Matter of Wetterau v Canada Dry*, 124 AD3d 1165; *Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747; *Matter of Watkins v Cornwall Press, Inc.*, 270 App Div 615; *Landgraf v USI Film Products*, 511 US 244; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *United States Fid. & Guar. Co. v McKeithen*, 226 F3d 412.) II. Closing the Special

Fund for Reopened Cases retroactively does not advance the public purpose of the 2013 amendment. (*Matter of Riley v Aircraft Prods. Mfg. Corp.*, 40 NY2d 366; *Matter of Jansch v Sagamore Children's Fund*, 302 AD2d 851; *Eastern Enterprises v Apfel*, 524 US 498; *Health Ins. Assn. of Am. v Harnett*, 44 NY2d 302.)

Blank Rome LLP, New York City (Jared Zola and Kevin R. Doherty of counsel), for Electrical Employers Self-Insurance Safety Plan, amicus curiae. The Appellate Division's decision and order should be affirmed. (*Landgraf v USI Film Products*, 511 US 244; *Eastern Enterprises v Apfel*, 524 US 498; *Matter of Goutremout v Advance Auto Parts*, 134 AD3d 1194; *Matter of Berlinski v Congregation Emanuel of City of N.Y.*, 29 AD2d 1036; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Martin v New York Tel.*, 46 AD3d 1136; *Health Ins. Assn. of Am. v Harnett*, 44 NY2d 302; *Lingle v Chevron U. S. A. Inc.*, 544 US 528; *Alliance of Am. Insurers v Chu*, 77 NY2d 573.)

OPINION OF THE COURT

FAHEY, J.

Workers' compensation insurance is a heavily regulated area of the law. Any modification almost always has a prospective impact and can sometimes have a retroactive impact on the parties to the insurance coverage contract. At issue here is the New York State Legislature's 2013 amendment to Workers' Compensation Law § 25-a.

We conclude that, assuming the amendment has a retroactive impact by imposing unfunded costs upon plaintiffs for policies finalized before the amendment's effective date, that retroactive impact is constitutionally permissible.

I.

Plaintiffs are approximately 20 insurance companies that write workers' compensation insurance policies in New York. They challenge the legislature's 2013 amendment to Workers' Compensation Law § 25-a, which closed the Special Fund for Reopened Cases (the Fund) to new applications after January 1, 2014.

A. The Fund's Background

The Fund was established in 1933. Its original purpose was to ensure that injured workers with “closed” cases that unexpectedly “reopened” after many years due to, for example, “a recurrence of malady, a progress in disease not anticipated, or a pathological development not previously prognosticated” (*Matter of Ryan v American Bridge Co.*, 243 App Div 496, 498 [3d Dept 1935], *affd* 268 NY 502 [1935]), would continue to receive necessary benefits, even if the insurance carrier had become insolvent. The Fund was also created to protect insurance carriers and employers from uncertain future liability costs they might incur in these “stale” cases (*see id.* at 498-499).

The Fund was initially financed with a one-time assessment on insurance carriers, but that funding eventually became inadequate, and in 1948 the legislature authorized the Workers’ Compensation Board (the Board) to impose annual assessments on carriers to maintain the Fund. The carriers were permitted to pass those assessments on to their insureds through policyholder surcharges. The cost of the Fund was therefore ultimately borne by New York employers, not insurance carriers.

Before the Fund’s closure in 2014, benefits on a reopened case would be paid by the Fund under the following conditions. First, the case must have been previously “closed” either formally or informally, i.e., “no further proceedings were foreseen” (*Matter of Casey v Hinkle Iron Works*, 299 NY 382, 385 [1949]; *see Matter of Riley v Aircraft Prods. Mfg. Corp.*, 40 NY2d 366, 370 [1976]). Second, the case must have reopened, which often occurred due to an unanticipated change in the claimant’s medical condition. Third, a minimum of seven years must have elapsed from the date of injury. Finally, three years must have elapsed from the date of the last payment of compensation (*see former Workers’ Compensation Law* § 25-a [1]).¹ Neither the Fund nor any carrier or self-insured employer was required to pay benefits on a claim if both 18 years had elapsed from the date of injury or death and eight years had elapsed from the last payment of compensation (*see Workers’ Compensation Law* §§ 25-a [6]; 123).

1. Different provisions applied where death resulted from the injury, where the initial claim for compensation had been disallowed, or where the claim had “been otherwise disposed of without an award of compensation” (*see former Workers’ Compensation Law* § 25-a [1]).

Whether those requirements were met in any particular case was often the subject of litigation. For example, the Appellate Division, Third Department decided cases regarding when the “last payment of compensation” was made (*see e.g. Matter of Nicpon v Zelasko Constr., Inc.*, 120 AD3d 66, 67-68 [3d Dept 2014]), and whether additional payment to the claimant constituted “deficiency compensation” that rendered a case ineligible for assignment to the Fund (*see e.g. Matter of Marshall v Roth Bros. Smelting Corp.*, 55 AD3d 1189, 1190-1191 [3d Dept 2008], *lv denied* 12 NY3d 702 [2009]). In that regard, one of the most litigated issues was whether a case had previously been “truly closed,” or whether further proceedings were contemplated (*see e.g. Matter of Palazzolo v Dutchess County*, 132 AD3d 1053, 1054-1055 [3d Dept 2015]; *Matter of Bates v Finger Lakes Truck Rental*, 41 AD3d 957, 959-960 [3d Dept 2007]; *Matter of Washburn v Bob Hooey Constr. Co.*, 39 AD3d 956, 957-958 [3d Dept 2007]). Whether the case was truly closed was a factual determination for the Board to make under the circumstances of each particular case (*see Matter of Reddien v Joseph Davis Inc.*, 136 AD3d 1144, 1145 [3d Dept 2016]). Any party aggrieved by the decision of the workers’ compensation law judge had avenues for administrative review and appeal (*see generally Workers’ Compensation Law* § 23).

Transfer of any particular case to the Fund was therefore often a speculative matter based on uncertain future events, and subject to litigation. Once it had been determined that all requirements for transfer to the Fund were met, however, transfer was mandatory, not discretionary (*see former Workers’ Compensation Law* § 25-a [1]; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459, 462-463 [1989]).

B. Closure of the Fund

The parties dispute the circumstances precipitating the legislature’s decision to close the Fund. Defendants point to the Fund’s drastically increased costs after 2006. They attribute these rising costs to the carriers’ practice of increasingly pushing claims to the Fund, including by engaging in “indemnity-only” settlements that allowed carriers to apply for transfer of anticipated future medical costs to the Fund. Defendants also note that the closure of the Special Disability

Fund² in 2007 may have inadvertently provided carriers with an increased incentive to transfer claims to the Fund. Plaintiffs dispute this. They assert that medical costs in general rose significantly over the same time period, and that they had no incentive to engage in indemnity-only settlements in order to transfer medical costs to the Fund.

Whatever the reason, it is undisputed that the Fund's costs had increased dramatically before 2013. Plaintiffs noted in their complaint that there had been "a surge in reopened cases in recent years." Defendants assert that the annual assessment required to maintain the Fund was approximately \$95 million in 2006, but that number had increased to over \$300 million by the end of 2012.

Against this backdrop, in 2013, the legislature decided to close the Fund to new applications. The amendment was included in the Budget Reconciliation Act of 2013, as part of several reforms to the Workers' Compensation Law included in the "Business Relief Bill" (L 2013, ch 57, § 1, part GG, § 13 [eff Mar. 29, 2013]). The bill amended Workers' Compensation Law § 25-a to add subdivision (1-a), which provided that "[n]o application by a self-insured employer or an insurance carrier for transfer of liability of a claim to the fund for reopened cases shall be accepted by the board on or after the first day of January, two thousand fourteen" (L 2013, ch 57, § 1, part GG, § 13). Essentially, the legislature closed the Fund to new applications after January 1, 2014, providing an approximately nine-month grace period during which the Board would consider new applications (*see id.*). The Fund remains open to administer reopened cases previously assigned to the Fund.

The memorandum in support of that portion of the bill concerning the Fund's closure stated:

"Closing the Fund would save New York businesses hundreds of millions of dollars in assessments per year. The Fund provides payments directly to claimants and health providers when the claimant's case is reopened under certain circumstances. The original intent of the Fund was to provide carriers

2. The Special Disability Fund had reimbursed carriers and self-insured employers, under certain specified conditions, for benefits paid to a claimant with a preexisting impairment due to an injury suffered during previous employment (*see generally* Martin Minkowitz, New York Workers' Compensation §§ 9:1-9:5 at 424-430 [2d ed 27 West's NY Prac Series 2011]).

relief in a small number of cases where liability unexpectedly arises after a case has been closed for many years. However, carriers do not need this relief because the premiums they have charged already cover this liability. This reform prevents a windfall for such carriers” (Mem in Support, 2013-2014 NY St Executive Budget, Public Protection and General Government Article VII Legislation at 29, available at https://www.budget.ny.gov/pubs/archive/fy1314archive/eBudget1314/fy1314art-VIIbills/PPGG_ArticleVII_MS.pdf [last accessed Oct. 5, 2017], cached at http://www.nycourts.gov/reporter/webdocs/PPGG_Article_VIIMS.pdf).

Workers’ compensation insurance policies are occurrence-based, meaning that each policy provides coverage for any claims arising from an accident occurring during that policy year, regardless of when the claim is made. As such, the premium charged in each policy year is calculated to be sufficient to cover all of the carrier’s liability arising from any accidents occurring during that policy year, including liability that might arise years after an injury occurred (*see generally* Minkowitz, New York Workers’ Compensation § 18:11 at 776).

Premiums charged by carriers to their insureds are generally a function of two factors: “loss costs,” representing losses carriers are likely to incur under their policies, and “loss-cost multipliers,” representing each individual carrier’s profit and expense structure. In New York, the New York Compensation Insurance Rating Board (NYCIRB)—a nonprofit association of insurance carriers—is responsible for calculating loss costs used by carriers in setting premiums. NYCIRB makes an annual recommendation to the Department of Financial Services (DFS) regarding whether loss cost levels should be adjusted for the upcoming policy year. Carriers may deviate from the DFS-approved rates only with DFS’s permission.

Before the closure of the Fund, NYCIRB did not include in its loss cost calculations any costs carriers would incur on claims that would qualify for assignment to the Fund. Plaintiffs therefore allege that the premiums they charged for policies written before October 2013³ did not include such costs. Plaintiffs further allege that, before 2013, their loss reserves

3. Plaintiffs assert that although the amendment was effective in March 2013, its alleged retroactive impact encompasses all policies issued before

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did not account for any liability they might incur on reopened cases that would qualify for administration by the Fund.

NYCIRB acknowledged in 2013 that the closure of the Fund would result in “unfunded liability” for workers’ compensation carriers. NYCIRB explained:

“The unfunded liability results from claims on current and past policies which were closed, may be reopened in the future, and would have been subject to the provisions of Section 25-A. For example, a policy from 2007 could have had a claim that is now closed, and the last payment on which was in 2012. If this claim reopens in, for example, 2016, it could have been deferred to the Reopened Case Fund, but since the bill provides for the Fund’s closure, this claim would remain the responsibility of the carrier. However, the premium charged for this policy did not incorporate that possibility, and assumed such costs would be borne by the Fund. Therefore, there is an unfunded liability which will have to be paid by the carriers (i.e. a retrospective cost impact)” (NYCIRB, Analysis of Proposed Bills to Reform the Workers Compensation System, Mar. 14, 2013, at 2, available at <http://nycirb.net/2007/depts/actuary/S2605c.pdf> [last accessed Oct. 5, 2017], cached at <http://www.nycourts.gov/reporter/webdocs/S2605c.pdf>).

NYCIRB estimated that carriers would incur collective unfunded liability of between \$1.1 and \$1.6 billion (*id.* at 3). Plaintiffs allege that their own share of this unfunded liability is approximately \$62 million. Both parties assert that the carriers technically cannot recoup these costs by charging higher premiums in future policy years because, as an actuarial matter, the ratemaking process is entirely prospective. Plaintiffs further note that in July 2013, DFS approved NYCIRB’s recommended 4.5% increase in loss costs on future policies to account for the Fund’s closure. Plaintiffs assert that this increase constitutes an acknowledgment that premiums charged before 2013 did not account for the costs of reopened cases that would have been assigned to the Fund.

October 2013, when a DFS-approved rate increase took effect (see *American Economy Ins. Co. v State of New York*, 139 AD3d 138, 141-142 [1st Dept 2016]).

C. The Present Litigation

Plaintiffs commenced the present declaratory judgment action in Supreme Court in July 2013. They alleged that the legislature's amendment to section 25-a operated retroactively to the extent that it imposed unfunded liability upon plaintiffs in connection with future reopened claims made on policies finalized before the amendment's effective date. Plaintiffs contended that this retroactive impact violated the Contract Clause of the Federal Constitution and the Takings and Due Process Clauses of the Federal and State Constitutions. Defendants thereafter moved to dismiss the complaint, and plaintiffs cross-moved for summary judgment.

Supreme Court granted defendants' motion to dismiss the complaint. The court concluded that the legislative amendment to section 25-a operated prospectively, inasmuch as it closed the Fund only to new applications, and only after a nine-month grace period. The court further rejected plaintiffs' constitutional challenges to the amendment.

The Appellate Division reversed and entered a judgment declaring Workers' Compensation Law § 25-a (1-a) unconstitutional "as retroactively applied to policies issued before October 1, 2013" (*American Economy Ins. Co. v State of New York*, 139 AD3d 138, 147 [1st Dept 2016]). The Court concluded that the statutory amendment operated retroactively to the extent that it imposed unfunded liability on plaintiffs "for reopened cases arising from accidents occurring before October 1, 2013 that would have otherwise qualified for transfer under Workers' Compensation Law § 25-a" (*id.* at 143). The Appellate Division reasoned that "the closure of the Fund here, by ending plaintiffs' right to transfer eligible cases to the Fund, retroactively deprived them of the entirety of the benefit of this right and created a new class of unfunded liability" (*id.* at 145). The Court further concluded that "the record fails to reflect that the legislature amended the statute with an understanding of the impact it would have on policies issued before October 1, 2013" (*id.*).

With respect to plaintiffs' constitutional claims, the Appellate Division concluded that the amendment, "as applied retroactively, violates the Contract Clause of the US Constitution because it retroactively impairs an existing contractual obligation to provide insurance coverage '[w]here . . . the insurer does not have the right to terminate the policy or

change the premium rate’ ” (*id.* at 145-146, quoting *Health Ins. Assn. of Am. v Harnett*, 44 NY2d 302, 313 [1978]). The Court rejected defendants’ arguments that the legislation was reasonable and necessary to serve a legitimate public purpose, concluding that the “the legislation’s stated purpose of preventing a windfall to insurance carriers was based upon the erroneous premise that premiums already cover this new liability” (*id.* at 146). Finally, the Appellate Division concluded that “[r]etroactive application would also constitute a regulatory taking in violation of the Takings Clause” (*id.*). The Court did not address plaintiffs’ due process arguments.

Defendants appealed to this Court as of right pursuant to CPLR 5601 (b) (1). We now reverse.

II.

Defendants first contend that the Fund’s closure had only prospective effect, inasmuch as the Fund was closed only to new applications after a nine-month grace period. Defendants therefore argue that the closure altered only plaintiffs’ future costs with respect to cases that might reopen at some uncertain future date. Plaintiffs respond that the Appellate Division correctly held that the amendment operated retroactively by imposing “‘new legal consequences to [a relationship] completed before its enactment’ ” (*American Economy*, 139 AD3d at 143, quoting *Eastern Enterprises v Apfel*, 524 US 498, 532 [1998]).

Both parties rely on the definition of retroactivity contained in *Landgraf v USI Film Products* (511 US 244 [1994]). In that case, the Supreme Court observed that “[a] statute does not operate ‘retrospectively’ merely because it is applied in a case arising from conduct antedating the statute’s enactment, . . . or upsets expectations based in prior law. Rather, the court must ask whether the new provision attaches new legal consequences to events completed before its enactment” (*id.* at 269-270). The Court explained that “[e]ven uncontroversially prospective statutes may unsettle expectations and impose burdens on past conduct,” and that “a statute is not made retroactive merely because it draws upon antecedent facts for its operation” (*id.* at 269-270 n 24 [internal quotation marks omitted]). A statute has “retroactive effect,” however, if “it would impair rights a party possessed when he acted, increase a party’s liability for past conduct, or impose new duties with respect to transactions already completed” (*id.* at 280).

We have previously confronted the issue of alleged retroactive impact of amendments to the Workers' Compensation Law. Recently, in *Matter of Raynor v Landmark Chrysler* (18 NY3d 48 [2011]), we noted that "[t]he fact that [an] award may relate to an injury that occurred prior to the enactment of the statute does not render it retroactive" (*id.* at 57). As the Appellate Division observed, however (*see American Economy*, 139 AD3d at 143-144), *Raynor* concerned a legislative amendment that altered only the time and manner of workers' compensation insurance carriers' payments for specified awards, including awards pertaining to injuries that occurred before the law's effective date, and not the amount of those payments (*see Raynor*, 18 NY3d at 57).

In *Becker v Huss Co.* (43 NY2d 527 [1978]), we concluded that an amendment to the Workers' Compensation Law requiring carriers to contribute to a claimant's litigation costs in a third-party action, even with respect to litigation regarding an injury occurring before the law's effective date, might have some retroactive impact on carriers. We recognized that the law "saddl[ed carriers] with financial obligations not contemplated when prior insurance premiums had been computed" (*id.* at 540). We acknowledged the difficulty, however, of defining that retroactive impact, stating that "the amendment neither created a new right nor impaired an existing one, although the reallocation might be characterized verbally either way," and we characterized any "right" the carriers possessed as "inchoate" (*id.* at 542). We noted that, viewing the workers' compensation system broadly, "[t]he allocation of economic benefits and burdens has always been subject to adjustment" (*id.* at 541). That system "designedly, has flexibility, much greater than that found in the more traditional forms of law. Thus, it is not unusual that carriers or employers have had their burdens shifted or increased with relation to past industrial accidents" (*id.*). We concluded that the legislative amendment should apply to any judgment or settlement entered after the effective date of the legislation, "even if the injury occurred or the third-party action was brought before that date" (*id.* at 542).

Similar to the claim of the carriers in *Becker* that they had been "saddl[ed] . . . with financial obligations not contemplated when prior insurance premiums had been computed" (*id.* at 540), plaintiffs contend that the 2013 amendment to section 25-a operates retroactively by imposing upon them additional,

unfunded costs that were not contemplated by premiums they charged in past policy years, which premiums were approved by the state. Whether this alleged retroactive application of the amendment “attaches new *legal* consequences to events completed before its enactment” (*Landgraf*, 511 US at 270 [emphasis added]) is debatable. Nevertheless, even assuming *arguendo* that the amendment has retroactive impact to the extent it imposes unfunded liability costs upon plaintiffs under policies finalized before the amendment’s effective date, we conclude that this retroactive impact is constitutionally permissible.

III.

As the Supreme Court has stated, “the constitutional impediments to retroactive civil legislation are now modest” (*Landgraf*, 511 US at 272 [emphasis omitted]). “Absent a violation” of a specific constitutional provision, “the potential unfairness of retroactive civil legislation is not a sufficient reason for a court to fail to give a statute its intended scope” (*id.* at 267).

Moreover, “[i]t is well settled that acts of the Legislature are entitled to a strong presumption of constitutionality” (*Matter of County of Chemung v Shah*, 28 NY3d 244, 262 [2016], quoting *Cohen v Cuomo*, 19 NY3d 196, 201 [2012]; see *Farrington v Pinckney*, 1 NY2d 74, 78 [1956]). Plaintiffs bear the ultimate burden of overcoming that presumption by demonstrating the amendment’s constitutional invalidity beyond a reasonable doubt (see *County of Chemung*, 28 NY3d at 262; *Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586, 593 [2013], *cert denied* 571 US 1071 [2013]; *LaValle v Hayden*, 98 NY2d 155, 161 [2002]; *Cook v City of Binghamton*, 48 NY2d 323, 330 [1979]). Even treating all allegations in the complaint as true and affording plaintiffs every possible favorable inference, as we must on defendants’ motion to dismiss (see *Leon v Martinez*, 84 NY2d 83, 87-88 [1994]), we conclude that the amendment is constitutional.

A. Contract Clause

The Contract Clause of the US Constitution “prohibits states from enacting ‘[l]aw[s] impairing the Obligation of Contracts’” (*Raynor*, 18 NY3d at 58, quoting US Const, art I, § 10 [1]). “The Supreme Court has repeatedly held that this language should not be read literally and that the States retain the power ‘to safeguard the vital interests of [their] people’” (19th

St. Assoc. v State of New York, 79 NY2d 434, 442 [1992], quoting *Home Building & Loan Assn. v Blaisdell*, 290 US 398, 434 [1934]). “The threshold inquiry is whether the state law has, in fact, operated as a substantial impairment of a contractual relationship’ ” (*id.*, quoting *Energy Reserves Group, Inc. v Kansas Power & Light Co.*, 459 US 400, 411 [1983]). “In determining the extent of the impairment, we are to consider whether the industry the complaining party has entered has been regulated in the past” (*Energy Reserves Group*, 459 US at 411). As the Supreme Court “long ago observed: ‘One whose rights, such as they are, are subject to state restriction, cannot remove them from the power of the State by making a contract about them’ ” (*id.*, quoting *Hudson County Water Co. v McCarter*, 209 US 349, 357 [1908]).

Before determining whether there has been a *substantial* impairment of a contractual relationship, however, we must determine whether there has been *any* impairment of a contractual relationship. Stated another way, the initial inquiry contains “three components: whether there is a contractual relationship, whether a change in law impairs that contractual relationship, and whether the impairment is substantial” (*General Motors Corp. v Romein*, 503 US 181, 186 [1992]).

There is no dispute that plaintiffs have a contractual relationship with their insureds in the form of their insurance policies. We conclude, however, that the legislative amendment at issue does not impair that contractual relationship.

[1] We note that, unlike the obvious contractual relationship between plaintiffs and *their insureds*, there is no contract establishing a legal relationship between plaintiffs and the Fund in the record before us. In fact, there is no contract in the record before us whatsoever. Plaintiffs have provided us with a document they refer to as their New York form insurance policy, which they assert contains the relevant contractual terms for pre-2013 policy periods.⁴ This document does not mention the Fund. It does not guarantee plaintiffs the right to transfer

4. The document in the record is entitled “Workers Compensation and Employers Liability Insurance Policy Quick Reference.” A disclaimer on that document prominently states: “This Quick Reference is not part of the Workers Compensation and Employers Liability Policy and does not provide coverage. Refer to the Workers Compensation and Employers Liability Policy itself for actual contractual provisions.” Thus, the document plaintiffs have provided us is not their contract with their insureds and does not even

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reopened cases to the Fund, nor could it bind the Fund to continue to administer those claims. It does not condition plaintiffs' obligation to pay benefits required by the Workers' Compensation Law on the Fund's continuing existence or acceptance of applications to transfer liability costs on reopened cases to the Fund. The closure of the Fund therefore does not impair any term of plaintiffs' contracts with their insureds.

Plaintiffs nevertheless assert that liability for section 25-a claims was excluded from the scope of the policies' coverage. They point to language in the document stating that plaintiffs will pay "promptly when due the benefits required of [the employer-insured] by the Workers' Compensation Law," and defining the Workers' Compensation Law to "include[] any amendments to that law which are in effect during the policy period." According to plaintiffs, this language provides coverage only to the extent required by state law as that state law existed during the policy period, and any later amendments to the state law that alter plaintiffs' obligations are not included in the scope of coverage. At the time these policies were finalized, the Fund was accepting obligations on reopened cases that met the requirements for transfer, and therefore, plaintiffs argue, plaintiffs' contracts with their insureds exclude from the scope of coverage any benefits paid on a reopened case that would have qualified for assignment to the Fund before its closure. Accordingly, plaintiffs argue that the 2013 amendment to section 25-a alters the scope of their coverage under the policies.

To the extent plaintiffs' contention can be construed as an argument that their policies do not obligate them to cover liability on reopened cases that would have been assigned to the Fund before the amendment, plaintiffs' interpretation of this policy language is inconsistent with their assertion underpinning their first contention regarding retroactivity, i.e., that the amendment has retroactive effect by imposing unfunded liability upon plaintiffs under policies completed before the amendment's effective date. Their interpretation is also incon-

purport to include that contract's provisions. Nevertheless, plaintiffs ask us to declare that a statute unconstitutionally impairs a contract they have not put before us, and they assert that the Quick Reference contains the contractual provisions on which their demonstration of constitutional invalidity relies. As defendants do not challenge this assertion, we therefore assume, for purposes of this appeal, that this document contains those relevant contractual provisions.

sistent with their concession that their insurance policies, written and finalized before the 2013 amendment, obligate them to cover the costs of liability on any reopened case that otherwise would have qualified for transfer to the Fund before the amendment.

In any event, plaintiffs' Contract Clause claim confuses their legal *liability* for reopened cases with their ability to transfer the *costs* of that liability. Plaintiffs' contracts with their insureds obligated them to pay all benefits required of their insureds by the Workers' Compensation Law, including any amendments to that law which are in effect during the policy period, and thus require plaintiffs to pay all necessary benefits on reopened cases.

Pursuant to those contracts, which consistently assume the risk of legislative change, liability for any benefit required of employers by the Workers' Compensation Law ultimately rested with the carriers. The amendment merely altered the allocation of costs of that liability by removing an avenue for carriers to transfer reopened cases to the Fund, and then to pass assessments for the costs of those cases onto their insureds. Inasmuch as plaintiffs did not contract with their insureds for the right to transfer reopened cases to the Fund, or condition their liability to pay benefits on reopened cases on the Fund's continuing acceptance of those cases, plaintiffs' contracts with their insureds have not been impaired by the amendment. Put differently, there is no provision of plaintiffs' contracts with their insureds relieving them of the obligation to pay an injured worker's benefits in the event that the Fund did not accept a reopened case.

At most, plaintiffs' contracts with their insureds have become less profitable (*see Raynor*, 18 NY3d at 58-59). When plaintiffs calculated their premiums for pre-2013 policy years, those premiums did not include the costs of liability on qualifying reopened cases, as those costs would have been borne by the Fund, and their premiums in those previous policy years are therefore now insufficient to cover the costs of their liability. This risk, however—that the premium charged in any one policy year will be insufficient to cover the costs of a carrier's liability—is a risk inherent in the insurance market, especially in a highly regulated market such as workers' compensation insurance, where “[t]he allocation of economic benefits and burdens has always been subject to adjustment” (*Becker*, 43 NY2d at 541).

Inasmuch as the legislative amendment does not impair any term of plaintiffs' contracts with their insureds, we need not consider whether any impairment is substantial, or whether any substantial impairment is justified by a "significant and legitimate public purpose" (*Energy Reserves Group*, 459 US at 411-412; see *General Motors Corp.*, 503 US at 186-187; *Ballentine v Koch*, 89 NY2d 51, 60-61 [1996]).

Plaintiffs rely on our decision in *Health Ins. Assn. of Am. v Harnett* (44 NY2d 302 [1978]) to support their Contract Clause claim, but *Harnett* is distinguishable. In that case, 1976 legislation mandated "the inclusion of maternity care coverage in health and accident insurance policies issued after January 1, 1977" (*id.* at 306). The Court held that the legislation was "not unconstitutional as to its substantive provisions," inasmuch as it did not violate constitutional due process requirements (see *id.* at 306, 308-312).

The Court further concluded, however, that the legislature "may not constitutionally require the addition of such coverage to policies in existence before that date but thereafter renewed, if the renewal is at the option of the insured alone without the consent of the insurer" (*id.* at 306). We reasoned that our prior decision in *Moore v Metropolitan Life Ins. Co.* (33 NY2d 304 [1973]) was dispositive, insofar as the Court held in *Moore* that "[w]here . . . the insurer does not have the right to terminate the policy or change the premium rate without consent of the [insured], renewal, by the payment of premiums merely continues in force the pre-existing policy, and statutes enacted subsequent to its original enactment cannot be applied" (*Harnett*, 44 NY2d at 313, quoting *Moore*, 33 NY2d at 312). We further concluded that the insurer's right to increase premiums was not sufficient. Rather, "[w]hat is required is a choice open to the insurer to increase premiums or in the alternative, if it so elects, to terminate—thus, fail to renew—the policy and escape the added risk imposed by the statutory modification" (*Harnett*, 44 NY2d at 313).

Harnett is distinguishable from the present case because *Harnett* involved the legislative addition of maternity coverage to insurance policies that previously included no such coverage. The Court held that this was impermissible to the extent that the insurer did not have the option to terminate the policy. Here, by contrast, the legislative amendment does not remove, add, or otherwise alter any term of coverage contained within plaintiffs' insurance policies. Plaintiffs' contracts with their

insureds obligate plaintiffs to pay any benefits required of their insureds under the Workers' Compensation Law, and the 2013 amendment to section 25-a does not alter those terms. Rather, as explained above, the amendment merely makes plaintiffs' contracts with their insureds less profitable. The decreased profitability of plaintiffs' contracts—due to the fact that the premiums plaintiffs charged in previous policy years did not account for this subsequent statutory change—does not constitute an impairment of their contracts with their insureds because it does not alter any term of those contractual provisions (*cf. Harnett*, 44 NY2d at 313).

To the extent plaintiffs ask us to read the preexisting statutory provisions regarding the Fund's existence as implied terms of their contracts with their insureds, we decline to do so. As the Supreme Court has explained, “[f]or the most part, state laws are implied into private contracts regardless of the assent of the parties only when those laws affect the validity, construction, and enforcement of contracts” (*General Motors Corp.*, 503 US at 189). “[C]hanges in [such] laws that make a contract legally enforceable may trigger Contract Clause scrutiny if they impair the obligation of pre-existing contracts, even if they do not alter any of the contracts’ bargained-for terms” (*id.*).

Here, by contrast, the 2013 amendment to section 25-a “did not change the legal enforceability of the [insurance] contracts,” and “[t]he parties still have the same ability to enforce the bargained-for terms of the [insurance] contracts that they did before” the amendment (*id.* at 190). If, as plaintiffs suggest, we read into their contracts terms that do not exist based on then-existing statutory language, the Contract Clause “would protect against all changes in legislation, regardless of the effect of those changes on bargained-for agreements” (*id.*). That construction “would severely limit the ability of state legislatures to amend their regulatory legislation. Amendments could not take effect until all existing contracts expired, and parties could evade regulation by entering into long-term contracts” (*id.*). Furthermore, the contracts at issue in this case expressly assumed the risk of legislative change.

Inasmuch as the legislature’s 2013 amendment to section 25-a did not impair any term of plaintiffs’ contracts with their insureds, plaintiffs cannot establish a violation of the Contract Clause.

B. Takings Clause

The Takings Clause of the Fifth Amendment of the US Constitution, “made applicable to the States through the Fourteenth Amendment, . . . provides that ‘private property’ shall not ‘be taken for public use, without just compensation’” (*Phillips v Washington Legal Foundation*, 524 US 156, 163-164 [1998], quoting US Const 5th Amend). The New York Constitution similarly provides that “[p]rivate property shall not be taken for public use without just compensation” (NY Const, art I, § 7 [a]).

The threshold step in any Takings Clause analysis is to determine whether a vested property interest has been identified (see *Phillips*, 524 US at 164; *Landgraf*, 511 US at 266; *Alliance of Am. Insurers v Chu*, 77 NY2d 573, 585-587 [1991]). Plaintiffs concede that the mere obligation to pay money, without identification of a vested property interest, cannot constitute a taking (see *James Sq. Assoc. LP v Mullen*, 21 NY3d 233, 247 [2013]; see also *Swisher Intl., Inc. v Schafer*, 550 F3d 1046, 1056 [11th Cir 2008] [(T)he takings analysis is not an appropriate vehicle to challenge the power of Congress to impose a mere monetary obligation without regard to an identifiable property interest”], *cert denied* 558 US 932 [2009]).⁵

[2] Plaintiffs cannot identify any vested property interest impaired by the legislative amendment, and therefore their takings claim must fail. Plaintiffs assert that they have a

5. The Supreme Court’s decision in *Eastern Enterprises v Apfel* (524 US 498 [1998]), upon which the Appellate Division relied in holding that a taking had occurred (see *American Economy*, 139 AD3d at 146), is not to the contrary. In *Eastern Enterprises*, a four-Justice plurality of the Supreme Court concluded that the obligation imposed on Eastern to pay money under the Coal Act constituted a taking because it imposed “severe retroactive liability on a limited class of parties that could not have anticipated the liability, and the extent of that liability is substantially disproportionate to the parties’ experience” (*Eastern Enterprises*, 524 US at 528-529; see also *id.* at 529-537). Five Justices, however, disagreed with the plurality’s takings analysis. Justice Kennedy would have held the Coal Act unconstitutional under the Due Process Clause, and he opined that the plurality’s Takings Clause analysis was “incorrect and quite unnecessary for decision of the case” (*id.* at 539 [Kennedy, J., concurring in the judgment and dissenting in part]). The four dissenting Justices agreed with Justice Kennedy that the Takings Clause did not apply because no specific property interest had been identified (see *id.* at 554-556 [Breyer, J., dissenting]). Subsequent federal decisions wrestling with the import of *Eastern Enterprises* have largely adopted the view of Justice Kennedy and the dissenting Justices with respect to the Takings Clause analysis (see e.g. *West Va. CWP Fund v Stacy*, 671 F3d 378, 386-387 [4th Cir 2011], *cert denied* 568 US 816 [2012]; *Swisher Intl.*, 550 F3d at 1054-1057).

constitutionally-protected interest in the value of their contracts with their insureds, and that the diminution in the value of those contracts constitutes a taking. We disagree. “As a general matter, the government does not ‘take’ contract rights pertaining to a contract between two private parties simply by engaging in lawful action that affects the value of one of the parties’ contract rights” (*Palmyra Pac. Seafoods, L.L.C. v United States*, 561 F3d 1361, 1365 [Fed Cir 2009], *cert denied* 559 US 1106 [2010]).

This Court’s decision in *Alliance of Am. Insurers v Chu* (77 NY2d 573 [1991]) is distinguishable. In that case, we held that the plaintiff insurers had a vested property interest in the income produced by a security fund to which the insurers were statutorily obligated to contribute. The Court made clear, however, that it was the statutory language itself that granted the insurers a vested property interest (*see id.* at 586-587). For example, the relevant statutes provided that the fund “‘shall be separate and apart from any other fund and from all other state moneys, and the faith and credit of the state of New York is pledged for their safekeeping’” (*id.* at 579), and that “income earned on new contributions to the fund would be either returned to the contributors or credited toward future contributions” (*id.* at 580). The Court concluded that “these provisions obligated the State to act in good faith with respect to the fund and its contributors and to ensure that the fund’s assets and earnings would be available for their intended purposes” (*id.* at 587), and that “these limitations established by the Legislature dictate that the contributions made by plaintiffs were not to become State moneys to do with as it wished” (*id.* at 588). The Court held that the legislature could not thereafter “eliminate the plaintiffs’ rights with respect to contributions already made” (*id.* at 589).

Here, by contrast, the “contributions” required to maintain the Fund were made by employer insureds, not by the carriers, inasmuch as the carriers passed through assessments to their insureds. More importantly, no statutory language akin to that at issue in *Alliance of Am. Insurers* exists here. The statutory language providing that the Fund would accept the costs of liability on reopened cases under certain specific circumstances did not provide plaintiffs with any vested right in the Fund’s continued acceptance of reopened cases. One cannot claim a vested property interest in continuing to receive a statutory

benefit unless statutory language clearly granting a vested right, such as that at issue in *Alliance of Am. Insurers*, is present (see *Roman Catholic Diocese of Albany, N.Y. v New York State Workers' Compensation Bd.*, 96 AD3d 1288, 1289 [3d Dept 2012]). Instead, plaintiffs must identify a vested property interest and then demonstrate how the legislative amendment adversely impacts that property interest. They cannot do so because, like the “right” at issue in *Becker*, any “right” that might be recognized here was inchoate and subject to contingencies (see 43 NY2d at 542).

Inasmuch as plaintiffs have not identified a vested property interest adversely impacted by the amendment, their takings claim fails.

C. Due Process Clause

Finally, we conclude that plaintiffs cannot establish a substantive due process violation. Initially, the parties disagree regarding the standard to be applied to alleged substantive due process violations when retroactive legislation is at issue. Plaintiffs, relying on *Alliance of Am. Insurers*, argue that heightened scrutiny must be applied in the context of retroactive legislation, and that the deferential rational basis standard should be applied only in the context of prospective legislation.

Granted, we stated in *Alliance of Am. Insurers* that “where legislation has retroactive effects, judicial review does not end with the inquiry generally applicable to economic regulation, i.e., whether the legislation has a rational basis” (77 NY2d at 586). The cases we relied on for that proposition, however, were themselves relying on the “vested rights doctrine,” i.e., the axiom that “the Legislature is not free to impair vested or property rights” (*Matter of Hodes v Axelrod*, 70 NY2d 364, 370 [1987]; see *Matter of Chrysler Props. v Morris*, 23 NY2d 515, 518-519 [1969]). As explained, plaintiffs have not identified a vested right here. In any event, we have primarily interpreted *Alliance of Am. Insurers* as a takings case, not a due process case (see e.g. *Raynor*, 18 NY3d at 58; *Matter of Walton v New York State Dept. of Correctional Servs.*, 13 NY3d 475, 489-490 [2009]).

In the context of a substantive due process challenge to retroactive legislation, we apply the same rational basis scrutiny as the Supreme Court. That test requires “a legitimate legisla-

tive purpose furthered by rational means” (*General Motors Corp.*, 503 US at 191). Although the justifications that suffice for the prospective nature of a legislative enactment may not suffice for its retroactive nature, the test of due process for retroactive legislation “is met simply by showing that the retroactive application of the legislation is itself justified by a rational legislative purpose” (*Pension Benefit Guaranty Corporation v R. A. Gray & Co.*, 467 US 717, 730 [1984]).

Assuming that the 2013 amendment to section 25-a has some retroactive impact, we conclude that the retroactive impact is justified by a rational legislative purpose (*see id.*). As the Memorandum in Support indicated, the closure of the Fund was intended to “save New York businesses hundreds of millions of dollars in assessments per year” (Mem in Support, 2013-2014 NY St Executive Budget, Public Protection and General Government Article VII Legislation at 29). Defendants assert that if the Fund was closed only to reopened cases arising from injuries that occurred after the effective date of the legislation, the Fund would have incurred substantial new liabilities for many years, given the duration of many workers’ compensation cases. Defendants contend that, during this extended period, the assessments required to maintain the Fund would have continued to increase, and the relief to businesses sought by the legislature would have been indefinitely delayed. This constitutes a sufficient showing “that the retroactive application of the legislation is itself justified by a rational legislative purpose” (*Pension Benefit Guaranty Corporation*, 467 US at 730).

Plaintiffs assert that the statement in the Memorandum in Support—that the premiums carriers charged already cover this liability—was incorrect, and that our due process analysis should end there. This argument misunderstands the nature of a due process inquiry. “A challenged statute will survive rational basis review so long as it is rationally related to *any conceivable* legitimate State purpose” (*Myers v Schneiderman*, 30 NY3d 1, 15 [2017] [internal quotation marks omitted and emphasis added]).

[3] As stated, closing the Fund would save New York businesses hundreds of millions of dollars in assessments every year. In addition, the parties agree that claims on reopened cases can be administered more efficiently by insurance

carriers.⁶ Delaying the Fund's closure so that it could pay benefits on every qualifying reopened case arising from an injury occurring before the amendment's 2013 effective date would have delayed this intended legislative benefit to New York businesses and employers for years, if not decades. We therefore conclude that any retroactive impact of the legislation is justified by a rational legislative purpose (*see Pension Benefit Guaranty Corporation*, 467 US at 730). Plaintiffs therefore cannot establish a substantive due process violation.

Accordingly, the order of the Appellate Division should be reversed, without costs, and judgment granted in favor of defendants declaring that Workers' Compensation Law § 25-a (1-a) as applied to policies issued before October 1, 2013 is not unconstitutional.

Chief Judge DiFiore and Judges Rivera, Stein, Garcia, Wilson and Feinman concur.

Order reversed, without costs, and judgment granted in favor of defendants declaring that Workers' Compensation Law § 25-a (1-a) as applied to policies issued before October 1, 2013 is not unconstitutional.

6. The savings to New York employers in the form of reduced and eventually eliminated assessments required to maintain the Fund would be offset, to some degree, by increased workers' compensation insurance premiums. Nevertheless, the parties and the amici curiae agree that the net result would be savings to New York businesses, inasmuch as carriers can administer claims on reopened cases more efficiently than the Fund. Furthermore, the Fund's closure would eliminate litigation over whether reopened cases qualified for transfer to the Fund, certainly a source of inefficiency in the administration of reopened cases.

[88 NE3d 309, 66 NYS3d 151]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN
ANDUJAR, Appellant.

Argued September 5, 2017; decided October 24, 2017

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered August 14, 2015. The Appellate Term (1) reversed, on the law, an order of the Criminal Court of the City of New York, Bronx County (Shawn T. Kelly, J.), which had granted defendant's motion to dismiss the accusatory instrument for facial insufficiency; (2) reinstated the accusatory instrument; and (3) remanded the matter for further proceedings.

People v Andujar, 49 Misc 3d 36, affirmed.

HEADNOTES

**Motor Vehicles — Unlawfully Equipping Vehicle with Radio Device
Capable of Receiving Police Communications — Device's Physi-
cal Attachment to Motor Vehicle**

1. Vehicle and Traffic Law § 397's prohibition on "equip[ping] a motor vehicle with a radio receiving set capable of receiving signals on the frequencies allocated for police use or knowingly us[ing] a motor vehicle so equipped" does not require that the prohibited device be physically attached to the motor vehicle and therefore applies to a freestanding device found on a defendant driver's person. "Equips" does not necessitate physical attachment or a special adaptation. Rather, "equip" means to provide something with a particular feature or ability. The essential quality or meaning of the word is the act of outfitting to prepare for the ready, irrespective of whether an item or device has permanent or temporary connection to the object equipped. Other sections of the Vehicle and Traffic Law use the terms "fastened," "mounted," "affixed," or "attached" in combination with the term "equipped" to describe the physical location of the object in the motor vehicle. The legislature's word choice illustrates that when the legislature intends the law to encompass a device or object attached to a motor vehicle, it generally uses terms that require a physical connection and reserves the terms "equips" and "equipped" for a broader category of circumstances. Given the legislation's purpose of reducing access inside motor vehicles to police radio signals, it is irrelevant whether the device is mounted, lying on the seat, or in a defendant's pocket so long as it is readily accessible for immediate use in the vehicle.

**Motor Vehicles — Unlawfully Equipping Vehicle with Radio Device
Capable of Receiving Police Communications — Facial Suffi-
ciency of Accusatory Instrument**

2. The accusatory instrument charging defendant, a tow truck operator, with unlawfully equipping a motor vehicle with a radio device capable of receiving police communications was facially sufficient to establish reason-

able cause to believe defendant violated Vehicle and Traffic Law § 397, where defendant was observed at the scene of a motor vehicle accident with a scanner in his jacket pocket, “which was on and receiving signals on the frequencies allocated for police use.” The statute does not require that the prohibited device be physically attached to the motor vehicle. The People’s superseding information set forth sworn allegations that the deponent officer observed defendant operating a tow truck on a public roadway while carrying a device in his jacket pocket, easily accessible and ready for use, that was capable of receiving police radio signals from two precincts.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Automobiles and Highway Traffic § 403.

McKINNEY’S, Vehicle and Traffic Law § 397.

NY JUR 2d Automobiles and Other Vehicles § 237.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic.

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POINTS OF COUNSEL

Seymour W. James, Jr., The Legal Aid Society, New York City (*Karen M. Kalikow* and *Cheryl Williams* of counsel), for appellant. To “equip a motor vehicle” with a radio receiving set capable of receiving police transmissions requires proof that the radio receiving set is either affixed to a vehicle or adapted for use in a vehicle. (*People v McGee*, 97 Misc 2d 360; *People v Verdino*, 78 Misc 2d 719; *People v Martell*, 16 NY2d 245; *People v Faude*, 88 Misc 2d 434; *People v Moore*, 92 Misc 2d 807; *Brown v Gardner*, 513 US 115; *People v Ioannidis*, 14 Misc 3d 183; *United States v Rodriguez*, 841 F Supp 79; *United States v Thompson*, 82 F3d 849; *People v Ditta*, 52 NY2d 657.)

Darcel D. Clark, District Attorney, Bronx (*Catherine M. Reno* and *Nancy D. Killian* of counsel), for respondent. The Appellate Term correctly determined that a showing of specific design or physical fastening was not required to create a facially sufficient accusatory instrument charging Vehicle and Traffic Law § 397, and also that the superseding information at issue was sufficient to establish reasonable cause to believe, and a prima facie case that, defendant equipped the vehicle he was operat-

ing with a police scanner. (*Long v State of New York*, 7 NY3d 269; *Riley v County of Broome*, 95 NY2d 455; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Cruz*, 48 NY2d 419; *Department of Welfare of City of N.Y. v Siebel*, 6 NY2d 536; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *People v Verdino*, 78 Misc 2d 719; *Tompkins v Hunter*, 149 NY 117; *United States v Rodriguez*, 841 F Supp 79.)

OPINION OF THE COURT

RIVERA, J.

Defendant, a tow truck operator, was charged under Vehicle and Traffic Law § 397, which provides,

“[a] person, not a police officer or peace officer, acting pursuant to his special duties, who equips a motor vehicle with a radio receiving set capable of receiving signals on the frequencies allocated for police use or knowingly uses a motor vehicle so equipped . . . without having first secured a permit so to do . . . is guilty of a misdemeanor” (Vehicle and Traffic Law § 397).

This case presents a discrete statutory construction question regarding whether the statute’s prohibition on equipping a motor vehicle with a police radio scanner, or knowingly using a vehicle so equipped, applies in the case of a freestanding device found on a defendant driver’s person. We conclude the statute does not require that the prohibited device be physically attached to the motor vehicle.

The initial charging instrument alleged that while the deponent officer was “responding to a radio call of a motor vehicle accident . . . he observed defendant seated behind the driver’s seat and operating” a pickup truck bearing the name of a tow truck company. The officer claimed that defendant stated, “I received a radio call for an off duty officer in an accident.” The officer “observed defendant to have on his person, inside his front left jacket pocket, one (1) scanner, which was on and receiving signals on the frequencies allocated for police use. . . . [D]efendant could not produce a permit to operate and or possess said scanning device.” The prosecution subsequently filed a superseding accusatory instrument which added that the of-

ficer had been trained in radio receivers capable of receiving police frequencies, and that when he turned on the receiver he heard frequencies from the particular police precincts, as indicated on the receiver's display panel.

Criminal Court granted defendant's motion to dismiss the accusatory instrument on the ground that the superseding information lacked allegations that the motor vehicle was equipped with the scanner, as there were "no allegations that the scanner was specifically prepared to be used with a vehicle, either by having a particular power cord or otherwise." The Appellate Term reversed, concluding that the accusatory instrument was sufficient for pleading purposes because the factual allegations were adequate to put defendant on notice of the charge and that the statute does not require the scanner to be attached to or otherwise installed in the motor vehicle (*People v Andujar*, 49 Misc 3d 36, 37-38 [App Term, 1st Dept 2015]). According to the court, because "the scanner was in defendant's jacket pocket, where it could be accessed and operated in the vehicle, within seconds, the accusatory instrument was sufficient for pleading purposes, to satisfy the 'equips a motor vehicle' element of the charge" (*id.* at 38). A Judge of this Court granted defendant leave to appeal (*People v Andujar*, 26 NY3d 1085 [2015]).

Our analysis begins with the language of the statute. Neither the Vehicle and Traffic Law nor the Penal Law defines "equips" or any derivation of that word. Absent a statutory definition "we must give the term its 'ordinary' and 'commonly understood' meaning" (*People v Ocasio*, 28 NY3d 178, 181 [2016], citing *People v Versaggi*, 83 NY2d 123, 129 [1994]; see *People v Morales*, 20 NY3d 240, 247 [2012]; *People v Quinto*, 18 NY3d 409, 417 [2012]). To that end, "[i]n determining the meaning of statutory language, we 'have regarded dictionary definitions as useful guideposts'" (*Ocasio*, 28 NY3d at 181, quoting *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016]).

A review of recent sources and those available at the time the statute was enacted in 1933 indicates that "equips" does not necessitate physical attachment or a special adaptation. For example, Merriam-Webster classifies "equip" as a transitive verb defined as, "to furnish for service or action by appropriate provisioning," or "to make ready" (Merriam-Webster

Collegiate Dictionary [10th ed 1997]).¹ The Random House Dictionary of the English Language defines the word as “to furnish or provide with whatever is needed for use or for any undertaking; fit out, as a ship or army” (2d ed 1987). Webster’s Third New International Dictionary defines it as “to provide with what is necessary, useful, or appropriate” or “to make ready or competent for service or action or against a need” (1981).² This definition has remained largely unchanged in Webster’s since at least 1913. The definition in Black’s Law Dictionary is nearly identical, providing that the word means, “[t]o furnish for service or against a need or exigency; to fit out; to supply with whatever is necessary for efficient action” (10th ed 2014 [the definition from the 1951 edition is nearly identical]).

[1] Under these definitions “equip” means to provide something with a particular feature or ability. None states or implies any need for the object’s physical attachment to the thing equipped. To the contrary, the essential quality or meaning of the word is the act of outfitting to prepare for the ready, irrespective of whether an item or device has permanent or temporary connection to the object equipped. As the District Court for the Eastern District of New York concluded after canvassing dictionaries to determine the “ordinary everyday meaning” of the word “equipped” as used in a federal statute prohibiting certain firearms “equipped” with a silencer, “[w]hat is key to these definitions is not whether items are attached to one another, as urged by defendant, but whether the items stand in a relation one to the other that makes them ready for efficient service to meet a particular need or exigency” (*United States v Rodriguez*, 841 F Supp 79, 83 [ED NY 1994], *affd* 53 F3d 545 [2d Cir 1995], citing *People v Verdino*, 78 Misc 2d 719, 721 [Suffolk Dist Ct 1974]). Giving “equip” its commonly understood meaning, Vehicle and Traffic Law § 397 applies regardless of whether the prohibited device is physically attached to the motor vehicle, so long as the device is ready for efficient service.

1. A transitive verb is “characterized by having or containing a direct object” (Merriam-Webster Collegiate Dictionary [10th ed 1997], transitive). An intransitive verb, on the other hand, does not have a direct object. For example, “I walk” is an intransitive verb, while “I wear pants” is an example of a transitive verb.

2. As an example, which was previously quoted in *People v Verdino* (78 Misc 2d 719, 721 [Suffolk Dist Ct 1974]), Webster’s Third New International Dictionary provides: “[H]e was equipped with letters that opened every European door.”

Other sections of the Vehicle and Traffic Law use the terms “fastened,” “mounted,” “affixed,” or “attached” in combination with the term “equipped” to describe the physical location of the object in the motor vehicle, which supports our construction of section 397. For example, Vehicle and Traffic Law § 375 (10-a) provides that a motor vehicle must be “equipped with an adjustable side view mirror which shall be affixed to the left outside,” and section 375 (9) provides that an omnibus must be “equipped with one hand fire extinguisher . . . mounted in a place readily accessible for use.” If the legislature intended “equip” to mean that the object must be physically attached, the terms “affixed” and “mounted” would be unnecessary. It would have been straightforward enough to draft these sections to read that “the mirror be equipped on the left outside,” or that an omnibus must be “equipped with one hand fire extinguisher in a place readily accessible for use.” The legislature’s word choice illustrates that when the legislature intends the law to encompass a device or object attached to a motor vehicle, it generally uses terms that require a physical connection and reserves the terms “equips” and “equipped” for a broader category of circumstances. Had the legislature only intended to prohibit scanners affixed to or mounted within the motor vehicle, it would have used those specific words.³

3. The dissent points out that there are numerous provisions in the Vehicle and Traffic Law where “the statute plainly refers to [equipping] something that is attached to, functions with, or is a part of the vehicle” (dissenting op at 171). As we make clear, physical attachment can be one way to equip, and the examples cited by the dissent illustrate that there are objects that necessitate attachment in order to properly function in or on a motor vehicle. However, the examples cited demonstrate that the Vehicle and Traffic Law is focused on how objects are used together. The requirement that every vehicle be “equipped with suitable wipers” means that the vehicle must have wipers placed in a location so their purpose of removing rain, snow, and debris from the windshield can be effectuated (Vehicle and Traffic Law § 375 [1] [b]). For a vehicle’s tamper-resistant odometer to fulfill its function in a car being sold at a used car dealership, it must be connected to the car in a way that allows a potential purchaser to accurately gauge its mileage (Vehicle and Traffic Law § 417-b). A similar logic applies to the statutory language that refers to the equipping of snow tires, ignition interlock devices, data recorders, and trunks (dissenting op at 171-172).

This commonsense notion of the connection between the vehicle, the operator, and the item equipped is also evident in Vehicle and Traffic Law § 375 (24), which was intended to combat the obvious dangers of watching television while driving (*see* Bill Jacket, L 1964, ch 472). Notwithstanding the in-artful drafting of the provision, its plain language indicates the legislative intent is to prevent televisions from being operated in vehicles within view of

(n. cont’d)

This interpretation effectuates the legislative purpose of Vehicle and Traffic Law § 397. “When presented with a question of statutory interpretation, our primary consideration ‘is to ascertain and give effect to the intention of the Legislature’ ” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). While “the words of the statute are the best evidence of the Legislature’s intent,” legislative history may also be relevant as an aid to construction of the meaning of words (*Riley*, 95 NY2d at 463). Contrary to the dissent’s assertion, letters in support of the legislation do indeed shed light on the legislative intent (dissenting op at 170). The bill sought to “make it difficult for criminals to receive [p]olice emergency broadcasts” and “prevent lawbreakers from obtaining police radio information” while operating a motor vehicle (Letter from Syracuse Chief of Police and Letter from Brooklyn Chamber of Commerce, Bill Jacket, L 1933, ch 405 at 6, 7). The statute addresses the unique harm posed by police scanners used in conjunction with motor vehicles—for instance, in the case of vehicles “equipped with police radios for lookout purposes when crimes are committed,” or “tow trucks equipped with police radios for the purpose of securing towing business at [the] scene of automobile accidents” (Letter from Office for Local Government, Bill Jacket, L 1966, ch 620 at 11). Overall, there is nothing in the plain language of the statute or the legislative history that suggests the term “equip” should be given anything other than its obvious meaning.⁴

Given the purpose of the legislation—to reduce access inside motor vehicles to police radio signals—it is irrelevant whether the device is mounted, lying on the seat, or in a defendant’s pocket so long as the device is readily accessible for immediate

drivers, whether affixed to the car, placed on a seat, or held by the driver or a passenger (*see id.*; Bill Jacket, L 1966, ch 723).

4. Contrary to the dissent’s assertion (dissenting op at 170), the rule of lenity is not implicated here as Vehicle and Traffic Law § 397 does not lend itself to multiple interpretations in accordance with its law enforcement purpose. Regardless, while a criminal statute should be interpreted in defendant’s favor where there are two plausible constructions, “the core question always remains that of legislative intent” (*People v Ocasio*, 28 NY3d 178, 184 [2016], quoting *People v Green*, 68 NY2d 151, 153 [1986]), and for the reasons we discuss, the dissent’s construction undermines the clear legislative intent of Vehicle and Traffic Law § 397 to prevent individuals from accessing police radio signals while inside motor vehicles.

use in the vehicle.⁵ If not, and in direct violation of the legislative intent, lookouts could listen to police emergency broadcasts while operating getaway vehicles and tow truck operators could scan police frequencies to be first at the scene of automobile accidents so long as the scanners involved are not physically connected to the respective vehicles. To give the statutory terms this narrow construction advocated by the defendant and the dissent “would be inimical to the public policy underlying [the statute] and would conflict with the legislative intent which is apparent in the language of the statute as a whole Moreover, [this] construction, if given effect, could, as a practical matter, frustrate the very purpose of the legislation” (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246, 252 [1987]).

Defendant mistakenly relies on *Verdino* in support of his argument that in order to be adapted for use inside the motor vehicle, the device necessarily must be attached. *Verdino* involved a defendant’s violation of Vehicle and Traffic Law § 397 for possessing in his car a scanner that could be plugged into the car’s cigarette lighter socket. That court rejected the defendant’s argument that section 397 applied only to a device that was actually plugged in and attached. The court held that the relevant definitions “clearly illustrate that a physical fastening is neither implicit in the term ‘equip’ nor necessary in order for a vehicle to be equipped as proscribed in the statute, and that the use of the term ‘equipped’ in the statute should be interpreted as synonymous with ‘fitted out’, or ‘furnished’ ” (78 Misc 2d at 721). Since all of the necessary equipment was in the car and the receiver “was ‘capable’ of receiving police broadcasts at any time that the defendant chose to use it,” the court reasoned that “[t]his is the very situation which section 397 of the Vehicle and Traffic Law seeks to prevent and the defendant is properly charged under this section” (*id.* at 721-722). Contrary to defendant’s contention, *Ver-*

5. We are unpersuaded by defendant’s reference to a 1970 letter from an attorney at the State Office for Local Government in support of different legislation that he maintains supports his position. First, the letter, prepared decades after the statute became law, does not reveal legislative intent at the time of enactment and, in any event, stands in contrast to the statute’s own legislative history, which makes no mention of a requirement of physical attachment (*see* Bill Jacket, L 1933, ch 405). Second, the opinion expressed in the letter contradicts the commonly understood meaning of “equips,” both at the time of the statute’s enactment as well as the year in which the letter was written.

dino stands for the proposition that a motor vehicle is equipped with the device when the device is readily available for use. Physical attachment is one way to equip, but not the sole or statutorily prescribed manner in which to equip a motor vehicle.⁶

The dissent concedes that attachment is not necessary (dissenting op at 170). Nevertheless, all of the examples utilized by the dissent involve a physical or wireless connection. As such, the dissent would find a vehicle to be equipped with a radio scanner if the portable device was in defendant's pocket and the audio played through the vehicle's speakers, rather than the device's speakers. We assume the dissent would agree that a vehicle is equipped with a radio scanner if the portable device was battery operated and placed on a removable dashboard mount—like a portable GPS device—even if the audio played through the device's own speakers. Yet according to the dissent's analysis the vehicle is not equipped if the same scanner is turned on and lying in the driver's lap. This is a distinction without meaning, and the dissent is unable to point to any definition of the word "equip" or anything in this statute's legislative history in which physical connection or wireless linkage is fundamental.

Turning to the sufficiency of the accusatory instrument in defendant's case, we apply our well established rules that the factual part of a facially sufficient misdemeanor information must show "reasonable cause" that a "prima facie" case exists against the defendant (*People v Kalin*, 12 NY3d 225, 229 [2009]; CPL 100.15, 100.40). "Reasonable cause" exists when "evidence or information which appears reliable discloses facts or circumstances" adequate "to convince a person of ordinary intelligence, judgment and experience that it is reasonably likely that" defendant committed the offense (CPL 70.10 [2]). "So long as the factual allegations of an information give an accused notice sufficient to prepare a defense and are adequately detailed to prevent a defendant from being tried twice for the same offense, they should be given a fair and not overly restrictive or technical reading" (*People v Casey*, 95 NY2d 354, 360 [2000]).

6. Notwithstanding the dissent's claim that adopting this interpretation "introduces significant ambiguity" (dissenting op at 173), the average person should find it no more difficult to understand the prohibition on operating a vehicle containing an accessible and functional police scanner than the prohibition on possessing extendable metal batons following our decision in *Ocasio*.

[2] Here, the People’s superseding information set forth sworn allegations that the deponent officer observed defendant operating a tow truck on a public roadway while carrying a device in his jacket pocket, easily accessible and ready for use, that was capable of receiving police radio signals from two precincts. Applying “a fair and not overly restrictive or technical reading” to these factual allegations (*id.*), the superseding information was facially sufficient to establish reasonable cause to believe defendant violated Vehicle and Traffic Law § 397.

Accordingly, the order of the Appellate Term should be affirmed.

STEIN, J. (dissenting). I respectfully dissent. The superseding information in this case charged defendant with violating Vehicle and Traffic Law § 397. The information alleged that a police officer responding to a motor vehicle accident noticed defendant operating a tow truck near the accident site. When stopped, defendant informed the officer that he had received a telephone call regarding an accident. The police officer stated in the information that, during his interaction with defendant, he observed a “radio receiver, also known as a scanner,” in defendant’s front left jacket pocket, which—when switched on by the officer—was capable of receiving frequencies allocated for police use. The question before us is whether, based on these allegations, the accusatory instrument was facially sufficient to charge defendant with violating Vehicle and Traffic Law § 397. I would answer that question in the negative.

Section 397 of the Vehicle and Traffic Law provides, as relevant here, that it is a misdemeanor offense for anyone other than police and peace officers to “equip[] a motor vehicle with a radio receiving set capable of receiving signals on the frequencies allocated for police use or knowingly use[] a motor vehicle so equipped.” Whether the information here is facially sufficient to charge defendant with a violation of this provision turns on a question of statutory interpretation—namely, whether the mere presence of a portable police scanner on one’s person while in a motor vehicle constitutes “equip[ping] a motor vehicle” with the scanner (Vehicle and Traffic Law § 397).

As the majority recognizes, “the clearest indicator of legislative intent is the statutory text, [and] the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*People v Golo*, 26 NY3d 358, 361 [2015], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). “In the absence of any

controlling statutory definition, we construe words of ordinary import with their usual and commonly understood meaning, and in that connection have regarded dictionary definitions as useful guideposts in determining the meaning of a word or phrase” (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001] [internal quotation marks and citation omitted]; see *People v Ocasio*, 28 NY3d 178, 181 [2016]; *People v Aragon*, 28 NY3d 125, 128 [2016]; *People v Versaggi*, 83 NY2d 123, 129 [1994]). Notably, however, “[i]f two constructions of a criminal statute are plausible, the one more favorable to the defendant should be adopted in accordance with the rule of lenity” (*People v Golb*, 23 NY3d 455, 468 [2014], quoting *People v Green*, 68 NY2d 151, 153 [1986]).

Neither the Vehicle and Traffic Law nor the Penal Law define the term “equip,” and the legislative history for the 1933 enactment of the predecessor to Vehicle and Traffic Law § 397 does not shed any light on the intended meaning of that term (see Bill Jacket, L 1933, ch 405).¹ As the majority explains, dictionaries generally define “equip”—with some variation—as “furnish[ing] for service or against a need or exigency; . . . fit[ting] out; [or] supply[ing] with whatever is necessary for efficient action” (Black’s Law Dictionary [10th ed 2014], equip). I do not disagree with the majority’s adoption of this definition in relation to section 397. I do, however, disagree with its interpretation of that definition and its application to the statute.

In Vehicle and Traffic Law § 397, the direct object of the verb “equip[]” is the “motor vehicle,” not the operator of the vehicle. Thus, the plain language of the statute compels the conclusion that some relationship between the vehicle and the device is required.² Although I agree with the majority’s conclusion that, given the state of technology today, physical attachment is not necessarily required, there must be some connection beyond the mere location of the device inside the vehicle. For example,

1. To be sure, the bill jacket may shed light on the legislature’s intent, generally, to prevent criminals from equipping vehicles with radio receiving sets capable of receiving police signals. The legislative history does not, however, clarify the intended meaning of the term “equip.”

2. Even the majority acknowledges that the vehicle is the object of the verb “equip” (see majority op at 164 n 1). While the majority states that the statute was intended to prohibit the “use[]” of a scanner “in conjunction” with a vehicle, this is not the language utilized by the legislature (majority op at 166). In any event, mere possession of such a device in a vehicle is insufficient.

a sufficient connection would be established where a scanner was linked to the radio system of the vehicle, either manually or wirelessly, or where the scanner was set up to be charged through the vehicle. In such situations, the vehicle—not just an occupant of the vehicle—is equipped with the device.³

The effect of the majority's holding is that the mere possession of an item by defendant while operating a motor vehicle is the equivalent of "equipping" a vehicle with that item. This interpretation strains credulity, ignores the language of the statute, broadens the common definition of the term "equip," and is inconsistent with the ordinary meaning that an average person would ascribe thereto. Under the circumstances presented here, the scanner and the vehicle did not "stand in such a relation to one another that they can efficiently be pressed into joint service," since the use of one was completely independent of and unrelated to the use of the other beyond the happenstance of location (*United States v Rodriguez*, 841 F Supp 79, 84 [ED NY 1994], *affd* 53 F3d 545 [2d Cir 1995]). Defendant did not "provide [the vehicle] with a particular feature or ability" or otherwise "outfit" or "prepare" the *vehicle* for use with the scanner (majority op at 164). Rather, he simply possessed a scanner on his person while in a vehicle. In my view, the language of Vehicle and Traffic Law § 397—which prohibits only "equip[ing]" a vehicle with such a device—does not encompass such an act.

Despite the majority's conclusion to the contrary, the use of the term "equip" throughout the Vehicle and Traffic Law supports an interpretation that requires, in order for a vehicle to be "equipped" with an object, that the object be attached, affixed, or otherwise function with or through the vehicle in some manner. In numerous provisions where the term "equipped" appears in the Vehicle and Traffic Law, the statute plainly refers to something that is attached to, functions with, or is a part of the vehicle (*see e.g.* Vehicle and Traffic Law §§ 145-d [referring to vehicle equipped with certain tires]; 375 [1] [b] [requiring that every vehicle be "equipped with suitable wipers"]; 416-b [referring to vehicle equipped with data recorder]; 417-b [referring to vehicle being equipped with functioning odometer]; 1164 [referring to vehicle being equipped with turn signals]; 1198 [referring to vehicle equipped with ignition

3. Although the majority finds no meaning in this distinction, the legislature apparently did, as evidenced by its choice to apply the prohibition only where a *vehicle* is "equipped" with a scanner.

interlock device]; 1227 [1] [referring to a vehicle “that is not equipped with a trunk”]).

Indeed, Vehicle and Traffic Law § 375 (24), which prohibits operating a vehicle “equipped” with a television receiving set within view of the driver, plainly recognizes that the term “equip” does *not* encompass mere possession and use of a prohibited device in a vehicle absent some inherent connection between the two. That statute concomitantly prohibits “equipping” the vehicle with a television within view of the driver *and* the “operation” of a television receiving set within the view of the operator (*id.* § 375 [24]). This latter portion of the statute would be rendered superfluous under the majority’s interpretation of the term “equip” as not requiring any connection between the vehicle and the device at issue because, according to the majority’s view, the operation of a television within the view of a driver would necessarily mean that the vehicle is equipped therewith. Since—as the majority notes—the legislative intent of section 375 (24) was to prevent televisions from being used within view of the driver, whether attached to the car in some way (i.e., the vehicle is equipped) or merely operated on a seat or held by a passenger (i.e., the vehicle is not equipped), the legislature deemed it necessary to separately prohibit these distinct circumstances.⁴ Likewise, here, if the legislature seeks to prohibit *use* or *possession* of a police scanner in a vehicle—as compared with *equipping* a vehicle with such a device—it must so state in the statute.

To the extent the majority relies on certain other Vehicle and Traffic Law provisions to support its construction of section 397, such reliance is unpersuasive. As the majority points out, those provisions containing additional terms requiring that objects be “fastened” or “mounted” use such additional terms to specify *where* in the vehicle the relevant object must be located (*see e.g. id.* § 375 [9], [48] [b]). Thus, such provisions are plainly distinguishable and are irrelevant to our analysis here.

The majority’s construction of the statute arguably effectuates the general purpose of Vehicle and Traffic Law § 397 to the extent the legislature sought to curb the equipping of vehicles with scanners by individuals engaged in crime, who may have used the scanners to intercept police dispatches in

4. Contrary to the majority’s claim, the manner in which the legislature used the term “equipped” in section 375 may not be disregarded as mere “in-artful drafting” simply because it is inconsistent with the majority’s interpretation of that term in section 397 (majority op at 165 n 3; *see* McKinney’s Cons Laws of NY, Book 1, Statutes § 73).

the furtherance of illicit activities. Nevertheless, the majority's interpretation introduces significant ambiguity, rendering it difficult for the average person to determine what conduct is proscribed by section 397.

More importantly, courts may not, as a matter of statutory construction, broaden the scope of a statute beyond the words used by the legislature (*see People v Machado*, 90 NY2d 187, 192 [1997]). “[T]he office of interpretation is to bring sense out of the words used, and not bring a [different] sense into them” (*People v Graham*, 55 NY2d 144, 152 [1982], quoting *Meltzer v Koenigsberg*, 302 NY 523, 525 [1951]). Thus, the majority's claim that its interpretation effectuates a legislative purpose of the statute is misplaced, inasmuch as such an interpretation contravenes the plain language chosen by the legislature. In addition, while the People claim that interpreting “equip” to require some inherent relationship—physical or otherwise—between the vehicle and the scanner would impair the effectiveness of the statute due to recent technological advances, the determination of whether the statute should be amended is a decision for the legislature, not the Court (*see People v Kupprat*, 6 NY2d 88, 90 [1959] [“We must read statutes as they are written and, if the consequence seems unwise, unreasonable or undesirable, the argument for change is to be addressed to the (l)egislature, not to the courts”]; McKinney's Cons Laws of NY, Book 1, Statutes § 73 [“it is not for the courts to correct supposed errors, omissions or defects in legislation”]). It is not the role of this Court to amend the statute, as the majority does, to prohibit the mere possession, use, or possession with intent to use, of a portable scanner in a motor vehicle.

In sum, I am of the view that the majority's expansive interpretation of the term “equip” in the statutory provision at issue here is inconsistent with its plain language and, in effect, improperly amends and broadens the scope of the statute. At the very least, because we are presented with two plausible constructions of Vehicle and Traffic Law § 397, we should adopt the one more favorable to defendant (*see People v Thompson*, 26 NY3d 678, 687-688 [2016]; *Golb*, 23 NY3d at 468). Therefore, I would reinstate Criminal Court's order dismissing the information.

Chief Judge DiFIORE and Judges FAHEY, GARCIA, WILSON and FEINMAN concur; Judge STEIN dissents in an opinion.

Order affirmed.

[88 NE3d 319, 66 NYS3d 161]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SEAN
GARVIN, Appellant.

Argued September 13, 2017; decided October 24, 2017

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 1, 2015. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Daniel Lewis, J.), which had convicted defendant, after a nonjury trial, of robbery in the third degree (four counts) and attempted robbery in the third degree. The appeal to the Appellate Division brought up for review that Supreme Court's denial, after a hearing, of those branches of defendant's omnibus motion which were to suppress physical evidence and his postarrest statements to law enforcement officials.

People v Garvin, 130 AD3d 644, affirmed.

HEADNOTES**Crimes — Arrest — Warrantless Arrest of Defendant in Apartment Doorway**

1. Defendant's motion to suppress statements and physical evidence obtained after his warrantless arrest in the doorway of his apartment was properly denied because defendant voluntarily answered the door and the arresting officer did not enter defendant's apartment. The Fourth Amendment prohibits the police from making a warrantless and nonconsensual entry into a suspect's home in order to make a routine felony arrest despite ample time to obtain a warrant, and has drawn a firm line at the entrance of the house. Absent exigent circumstances, that threshold may not reasonably be crossed without a warrant. It is irrelevant whether the defendant was actually standing outside his home or was standing in the doorway; if the police never enter the defendant's home, a prohibited intrusion does not occur.

Courts — Stare Decisis — Compelling Justification for Overruling Precedent

2. In a criminal prosecution in which defendant was arrested without a warrant in the doorway of his apartment after he voluntarily opened the door in response to knocking by police who were there for the sole purpose of arresting him, the Court of Appeals declined, based on the principle of stare decisis, to overrule precedent holding that preplanned, warrantless arrests do not violate *Payton v New York* (445 US 573 [1980]) where the defendant exited his or her residence or stood on the threshold either due to a police request or to a ruse employed by the police. Even under the most flexible version of the doctrine applicable to constitutional jurisprudence, prior decisions should not be overruled unless a compelling justification exists for such a drastic step. The current rule, that a person enjoys enhanced constitutional

protection from a warrantless arrest in the interior of the home, but not on the threshold itself or the exterior, is clear and easily understood. Moreover, overruling such precedent would result in adoption of a rule that looks to the subjective intent of the police and is, therefore, fundamentally inconsistent with Fourth Amendment jurisprudence. Overturning prior cases addressing the issue would both undermine the purposes of stare decisis, which are to promote efficiency and provide guidance and consistency in future cases, and unsettle the belief that bedrock principles are founded in the law rather than in the proclivities of individuals.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Arrest §§ 40, 96, 97; AM JUR 2d Courts §§ 125, 127, 128; AM JUR 2d Evidence § 612.
CARMODY-WAIT 2d Courts and Their Jurisdiction §§ 2:312, 2:318, 2:321, 2:322; CARMODY-WAIT 2d Arrest or Other Detention; Post-Arrest Procedure §§ 177:48, 177:50, 177:53; CARMODY-WAIT 2d Pretrial Motions §§ 189:270, 189:271.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.6, 10.5.
NY JUR 2d Courts and Judges §§ 210, 229–232; NY JUR 2d Criminal Law: Procedure §§ 101, 103–105, 1629.
SIEGEL, NY PRAC § 449.
US CONST 4th Amend.

ANNOTATION REFERENCE

See ALR Index under Arrests; Doors and Doorways; Exclusion of Evidence; Precedents.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Tammy E. Linn of counsel), for appellant. I. Appellant's federal and state constitutional rights to be free from unreasonable searches and seizures were violated when the police arrested him without an arrest warrant in the threshold of his apartment in a two-family home. (*Payton v New York*, 445 US 573; *People v Harris*, 77 NY2d 434; *People v McBride*, 14 NY3d 440; *People v Levan*, 62 NY2d 139; *Johnson v United States*, 333 US 10; *Kentucky v King*, 563 US 452; *United States v Allen*, 813

F3d 76; *Washington v Chrisman*, 455 US 1; *United States v Berkowitz*, 927 F2d 1376; *Mitchell v Shearrer*, 729 F3d 1070.) II. Appellant's statements were involuntary because he was led to believe that his choice to exercise his constitutional right to remain silent could result in the criminal prosecution of his girlfriend. (*Garrity v New Jersey*, 385 US 493; *People v Thomas*, 22 NY3d 629; *People v Avant*, 33 NY2d 265; *People v Guilford*, 21 NY3d 205; *Culombe v Connecticut*, 367 US 568; *Rogers v Richmond*, 365 US 534; *People v Mateo*, 2 NY3d 383; *People v Keene*, 148 AD2d 977; *People v Helstrom*, 50 AD2d 685, 40 NY2d 914.) III. In light of recent Supreme Court decisions in *Hurst v Florida* (577 US —, 136 S Ct 616 [2016]), and *Descamps v United States* (570 US 254 [2013]), appellant's adjudication as a discretionary persistent felony offender violated his constitutional rights to due process and a jury trial to have any fact used to increase his sentence proved beyond a reasonable doubt. (*Apprendi v New Jersey*, 530 US 466; *Blakely v Washington*, 542 US 296; *Cunningham v California*, 549 US 270; *People v Rivera*, 5 NY3d 61; *United States v Grayson*, 438 US 41; *Williams v New York*, 337 US 241; *United States v Booker*, 543 US 220; *Ring v Arizona*, 536 US 584; *People v Quinones*, 12 NY3d 116; *People v Rosen*, 96 NY2d 329.)

Richard A. Brown, District Attorney, Kew Gardens (Danielle S. Fenn, John M. Castellano and Joseph N. Ferdenzi of counsel), for respondent. I. The Appellate Division properly held that defendant's threshold arrest complied with *Payton v New York* (445 US 573 [1980]). In any event, there were exigent circumstances necessitating defendant's immediate arrest, his precinct statements were attenuated from any possible taint, and any possible error was harmless. (*People v Reynoso*, 2 NY3d 820; *People v Aiken*, 4 NY3d 324; *United States v Santana*, 427 US 38; *People v Correa*, 55 AD3d 1380; *People v Ashcroft*, 33 AD3d 429; *People v Burke*, 24 AD3d 129; *People v Rodriguez*, 21 AD3d 1400; *People v Brown*, 13 AD3d 1194; *People v Arthur*, 290 AD2d 387; *People v Andino*, 256 AD2d 153.) II. Defendant's post-Miranda statements were voluntary. (*People v Madison*, 73 NY2d 810; *People v Winchell*, 64 NY2d 826; *People v Guilford*, 21 NY3d 205; *People v Anderson*, 42 NY2d 35; *People v Mateo*, 2 NY3d 383; *Colorado v Connelly*, 479 US 157; *People v Ward*, 241 AD2d 767; *People v Thomas*, 22 NY3d 629; *People v Jin Cheng Lin*, 26 NY3d 701; *People v Dale*, 115 AD3d 1002.) III. As this Court has held three times in the past, New York's discretionary persistent felony offender statute is constitutional. Defendant's adjudication as a persis-

tent felony offender was correct and defendant was properly sentenced. (*Apprendi v New Jersey*, 530 US 466; *People v Rosen*, 96 NY2d 329; *People v Rivera*, 5 NY3d 61; *People v Quinones*, 12 NY3d 116; *People v Daniels*, 5 NY3d 738; *People v Battles*, 16 NY3d 54; *Almendarez-Torres v United States*, 523 US 224; *Jones v United States*, 526 US 227; *Ring v Arizona*, 536 US 584; *Blakely v Washington*, 542 US 296.)

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (Mark G. Matuschak and Tiffany E. Payne of counsel), *Lindsay A. Lewis*, Amicus Curiae Committee of the National Association of Criminal Defense Lawyers, New York City and *Richard D. Willstatter*, Amicus Curiae Committee of the New York State Association of Criminal Defense Lawyers, White Plains, for National Association of Criminal Defense Lawyers and another, amici curiae. I. Under Penal Law § 70.10 and CPL 400.20, a court may sentence a convicted felon with prior felony convictions as a “persistent felony offender” only upon findings made by a judge under a preponderance of the evidence standard. II. New York’s sentencing scheme under Penal Law § 70.10 and the CPL is functionally the same as the statutory scheme found unconstitutional by the United States Supreme Court in *Hurst v Florida* (577 US —, 136 S Ct 616 [2016]). (*Apprendi v New Jersey*, 530 US 466; *Southern Union Co. v United States*, 567 US 343; *Cunningham v California*, 549 US 270; *United States v Booker*, 543 US 220; *Blakely v Washington*, 542 US 296; *Ring v Arizona*, 536 US 584; *People v Quinones*, 12 NY3d 116; *People v Rivera*, 5 NY3d 61; *People v Rosen*, 96 NY2d 329; *United States v Gonzalez*, 420 F3d 111.)

OPINION OF THE COURT

STEIN, J.

In this case, we are asked to overrule our prior decisions holding that a warrantless arrest of a suspect in the threshold of a residence is permissible under the Fourth Amendment, provided that the suspect has voluntarily answered the door and the police have not crossed the threshold. We decline to do so, and now reaffirm our long-standing rule.

I.

Defendant was convicted of four counts of third-degree robbery and one count of attempted third-degree robbery in connection with a string of bank robberies. He was arrested without a warrant inside the doorway of his home on the same

day that police obtained a match for his fingerprint on a demand note used during one of the robberies. The arresting officer testified that he was instructed by a detective to go to defendant's residence to arrest him. Upon arriving there, three officers in plain clothes walked to the top of an interior staircase in the two-family house, while two detectives went to the rear of the building. One of the officers knocked on the apartment door, which was opened by another person in the residence. The officer did not know whether defendant lived on the first or the second floor and, because she did not recognize defendant when he appeared in the doorway, the officer asked if his girlfriend lived there.¹ After defendant stated that his girlfriend was not there and closed the door, the officers walked down the stairs, and the arresting officer announced that he had recognized defendant from a photograph. The officers then returned to the apartment door.

The arresting officer knocked on the door, and defendant opened it. While defendant was standing in the doorway of his apartment, the officer told him that he was under arrest and, when defendant turned around and put his hands behind his back, the officer handcuffed him. The officer did not enter defendant's apartment—he placed the handcuffs on defendant as defendant stood in the doorway. Defendant was transported to the precinct, where he waived his *Miranda* rights, agreed to speak with the detectives, and initially denied involvement in the robberies. After the investigating detective informed defendant that both his and his girlfriend's fingerprints were found on demand notes recovered from the locations of the robberies, defendant confessed.

At his subsequent suppression hearing, defendant argued that the police violated *Payton v New York* (445 US 573 [1980]) by entering his home without consent or a warrant; he maintained that there was an absence of exigent circumstances once police had surrounded the home so that he could not leave. He further asserted that the police did not wait for him to exit the premises before he was arrested, and that the police had ample time to obtain an arrest warrant, but did not do so because they wanted to question him without counsel.

Supreme Court denied the motion to suppress. Following a bench trial, defendant was convicted as stated above. The

1. Police had also obtained a fingerprint from defendant's girlfriend on a demand note used in one of the robberies.

People requested that defendant be adjudicated a persistent felony offender based upon prior first- and second-degree robbery convictions. Following a hearing, the court adjudicated defendant a persistent felony offender and sentenced him to an aggregate term of 15 years to life in prison.

The Appellate Division affirmed, with one Justice dissenting (130 AD3d 644 [2d Dept 2015]). That Court concluded that defendant's warrantless arrest did not violate *Payton* (see *id.* at 645). The Appellate Division made factual findings that, after entering the front door of the house, passing through a vestibule and climbing the stairs, "[o]ne of the officers knocked on the closed apartment door, the defendant opened it, and the officer effectuated the arrest in the doorway. The arresting officer did not go inside the defendant's apartment, or reach in to pull the defendant out" (*id.* [citations omitted]). Most critically here, the Appellate Division found that "defendant was arrested at the threshold of his apartment, after he voluntarily emerged" (*id.* [internal quotation marks and citation omitted]).² Thus, the Appellate Division concluded that defendant had voluntarily "surrendered the enhanced constitutional protection of the home" (*id.* [internal quotation marks and citation omitted]). The Appellate Division also upheld the persistent felony offender adjudication. The dissenting Justice diverged from the majority only with respect to the denial of defendant's motion to suppress, concluding that the People failed to establish that the initial police entry into the building where defendant lived was lawful because there was no evidence that the police knew the building was a two-family house, rather than a one-family house, prior to entering it (see *id.* at 646).

The dissenting Justice thereafter granted defendant leave to appeal.

II.

[1] Defendant's primary argument is that his post-arrest statements and the physical evidence recovered from him at the precinct should have been suppressed because his warrantless arrest in the doorway of his apartment was unconstitutional under *Payton*. Specifically, he asserts that the arrest

2. In his dissent, Judge Wilson acknowledges that we are bound by the Appellate Division's findings of facts, but takes issue with our "interpretation of those findings" (Wilson, J., dissenting op at 212). Judge Wilson's lengthy "interpretation" of the facts, however, conflicts with the findings of the Appellate Division.

violated his constitutional right to be free from unreasonable searches and seizures because he opened his door only in response to knocking by police officers who were there for the sole purpose of arresting him without a warrant. Defendant's arguments are refuted by our precedent.

Although “[i]t is axiomatic that *warrantless entries into a home* to make an arrest are presumptively unreasonable” (*People v McBride*, 14 NY3d 440, 445 [2010] [internal quotation marks and citation omitted and emphasis added]), we “have long recognized that the Fourth Amendment is not violated every time police enter a private premises without a warrant” (*People v Molnar*, 98 NY2d 328, 331 [2002]). There are “a number of ‘carefully delineated’ exceptions to the Fourth Amendment’s Warrant Clause” in that context (*Molnar*, 98 NY2d at 331, quoting *Welsh v Wisconsin*, 466 US 740, 749-750 [1984]). One of those exceptions is consent to entry (*see id.* at 331 n 1; *People v Levan*, 62 NY2d 139, 142 [1984]). Similarly, we have repeatedly and consistently recognized that, even where “the police could have obtained an arrest warrant for [a] defendant from a neutral magistrate before it dispatched . . . members from its force to [the] defendant’s home . . . , there [i]s nothing illegal about the police going to [a] defendant’s apartment and requesting that he [or she] voluntarily come out” (*McBride*, 14 NY3d at 447; *see People v Spencer*, 29 NY3d 302, 312 [2017]; *People v Reynoso*, 2 NY3d 820, 821 [2004]; *People v Minley*, 68 NY2d 952, 953-954 [1986]).

The Supreme Court of the United States held in *Payton* itself that “the Fourth Amendment . . . prohibits the police from making a *warrantless and nonconsensual entry into a suspect’s home* in order to make a routine felony arrest” (445 US at 576 [emphasis added]) despite “ample time to obtain a warrant” (*id.* at 583). The Court explained that “the Fourth Amendment has drawn a firm line at the entrance to the house. Absent exigent circumstances, that threshold may not reasonably be crossed without a warrant” (*id.* at 590).

As the Supreme Court has subsequently explained, *Payton* does not prohibit the police from knocking on a suspect’s door because,

“[w]hen law enforcement officers who are not armed with a warrant knock on a door, they do no more than any private citizen might do. And whether the person who knocks on the door and requests the

opportunity to speak is a police officer or a private citizen, the occupant has no obligation to open the door or to speak” (*Kentucky v King*, 563 US 452, 469-470 [2011]).

However, police may not compel a suspect to open a door by threatening to violate the Fourth Amendment by, “for example, . . . announcing that they would break down the door if the occupants did not open the door voluntarily” (*id.* at 471).³ Nor does *Payton* prohibit a warrantless arrest in the doorway; indeed, “the warrant requirement makes sense only in terms of the *entry*, rather than the arrest [because] the arrest itself is no more threatening or humiliating than a street arrest” (3 Wayne R. LaFave, *Search and Seizure* § 6.1 [e] [5th ed 2012] [internal quotation marks omitted]).

Consistent with that understanding of *Payton* as prohibiting only “the police . . . crossing the threshold of a suspect’s home to effect a warrantless arrest in the absence of exigent circumstances” (*Minley*, 68 NY2d at 953), we have upheld warrantless arrests—both planned and unplanned—of defendants who emerged from their homes after police knocked on an open door and requested that the defendant come out (*see Spencer*, 29 NY3d at 312, *rev’d on other grounds* 135 AD3d 608 [1st Dept 2016]), used a noncoercive ruse to lure the defendant outside (*see People v Roe*, 73 NY2d 1004, 1005 [1989], *aff’d* 136 AD2d 140 [3d Dept 1988]), or directed the defendant to come out after seeing him peek through a window (*see Minley*, 68 NY2d at 953). We also upheld a planned, warrantless arrest where the defendant either voluntarily exited his house, or stood behind his mother in the front doorway, and stuck his head out of the door in response to a police request that he come outside (*see Reynoso*, 2 NY3d at 821, *aff’d* 309 AD2d 769 [2d Dept 2003]). In other words, for purposes of determining whether there was a *Payton* violation, we have deemed it to be irrelevant whether the defendant was actually standing outside his home or was standing “in the doorway,” and we have upheld a threshold ar-

3. In *Florida v Jardines*, the Supreme Court further recognized that there is an

“implicit license [that] typically permits the visitor to approach the home by the front path, knock promptly, wait briefly to be received, and then (absent invitation to linger longer) leave . . . Thus, a police officer not armed with a warrant may approach a home and knock, precisely because that is ‘no more than any private citizen might do’ ” (569 US 1, 8 [2013], quoting *Kentucky v King*, 563 US 452, 469 [2011]; *see People v Kozlowski*, 69 NY2d 761, 762-763 [1987]).

rest, like that at issue here.⁴ Critically, the police never entered the defendants' homes in these cases and, thus, the intrusion prohibited by *Payton* did not occur.

III.

Despite our jurisprudence on this issue, defendant and two of our dissenting colleagues, Judges Wilson and Rivera, urge us to adopt a new rule that warrantless “threshold/doorway arrests” violate *Payton* when the only reason the arrestee is in the doorway is that he or she was summoned there by police. Defendant purports to find support for this rule in *United States v Allen* (813 F3d 76 [2d Cir 2016]), which he urges us to adopt and characterizes as holding that the police may not go to a suspect’s home and lure him or her to the doorstep for the sole purpose of making a warrantless arrest.⁵ However, we are not bound by *Allen*⁶ and, in any event, it is distinguishable. In that case, police went to the defendant’s apartment with the plan of arresting him (*see id.* at 78). After they knocked on the defendant’s door, he stepped out onto his second floor porch and police requested that he come down to speak with them (*see id.* at 79). The defendant complied and, after speaking to

4. Defendant argues that *Reynoso* is distinguishable because that case did not address instances in which police go to a suspect’s residence with the subjective intent to make a warrantless arrest and lure the suspect to the doorstep for that purpose. However, the facts in *Reynoso* demonstrate that the police did just that—they used a ruse to get the defendant to the door, where the officers requested that he come outside and he either voluntarily exited the house or stood in the doorway (*see* 309 AD2d 769, 771 [2d Dept 2003, McGinity, J., dissenting]). Thus, we reject defendant’s argument that there is any meaningful distinction between *Reynoso* and this case.

5. Two of the dissenters would go further and hold that “if the police plan to arrest someone who is at home, absent exigent circumstances, until they have an arrest warrant, they may not go to the person’s door to arrest him or cause him to leave his home to arrest him outside of it” (Wilson, J., dissenting op at 214), and that an “arrest is constitutionally invalid” when “the sole reason the police went to defendant’s home was to effect his arrest . . . without a warrant” (Rivera, J., dissenting op at 205). As explained below, a rule turning on subjective police intent is “fundamentally inconsistent with . . . Fourth Amendment jurisprudence” (*Kentucky v King*, 563 US 452, 464 [2011]).

6. To the extent Judge Wilson suggests that we should adopt *Allen* to “ensur[e] our protections are no less than those guaranteed by the local federal courts” (Wilson, J., dissenting op at 213 n 4), we emphasize that, while “the interpretation of a Federal constitutional question by the lower Federal courts may serve as useful and persuasive authority for our Court[,] [it is] not binding [on] us” (*People v Kin Kan*, 78 NY2d 54, 60 [1991]; *see People v Pignataro*, 22 NY3d 381, 386 n 3 [2013]). In other words, we do not abandon our jurisprudence in response to every new lower federal court decision.

the officers for several minutes, they told him that he would have to come down to the police station to be processed for an alleged assault—i.e., that he was under arrest (*see id.*). The Second Circuit noted that “neither party dispute[d] that [the defendant] was arrested while he was still inside his home” or that the defendant “was arrested while standing inside the threshold of his home” (*see id.* at 80 n 6). Thus, “th[e] case concern[ed] an ‘across the threshold’ arrest” (*id.*)—i.e., while the police remained outside on the sidewalk (*see id.* at 79), the defendant “was arrested specifically ‘in’ his home rather than ‘on’ the threshold or in a ‘public place’” (*id.* at 89 [Lohier, J., concurring]). After the defendant was arrested, police accompanied him upstairs in his home so that he could retrieve a pair of shoes; once inside, the officers saw, among other things, drug paraphernalia and obtained a search warrant (*see id.* at 79).

The Second Circuit held that, “where law enforcement officers have summoned a suspect to the door of his home, *and he remains inside the home’s confines*, they may not effect a warrantless ‘across the threshold’ arrest in the absence of exigent circumstances” (*id.* at 82 [emphasis added]). That is, “[a] police officer not armed with a warrant may approach a home and knock,” but “may [not] go to a person’s home . . . and then arrest him *while he remains in his home*” (*id.* at 84 [emphasis added]). Although the Second Circuit recognized that a federal “circuit split” exists on the issue, with some courts holding that police do not violate *Payton* unless they enter the home, that court reasoned that *Payton* turns on the arrested person’s location, not the location or conduct of the officers (*see id.* at 78, 81-82, 85).⁷

7. The Second Circuit further declined to adopt the rationale of other Federal Circuit Courts that do *not* require police entry into a home to invalidate an arrest, rejecting what it deemed “the legal fiction of constructive or coercive entry, a doctrine under which certain types of police conduct will be deemed an entry” (*United States v Allen*, 813 F3d 76, 81 [2d Cir 2016]; *see e.g. United States v Reeves*, 524 F3d 1161, 1164-1165 [10th Cir 2008] [holding that defendant opened his door and stepped out of motel room in response to coercive police conduct after officers made phone calls to the room, knocked on the door and window with flashlights, and loudly identified themselves as police officers over the course of 20 minutes]). As recognized by the Second Circuit, that doctrine applies only if a police “command to the occupant to submit to arrest is sufficiently forceful and compelling” (*Allen*, 813 F3d at 88). Here, no such command was given before defendant voluntarily entered the threshold of his apartment door—there was simply a knock on

(n. cont’d)

Here, the issues of where defendant was standing at the time of his arrest and whether he was in that location voluntarily are mixed questions of law and fact (see *Spencer*, 29 NY3d at 312). We are, therefore, bound by the Appellate Division's finding that defendant was arrested "in the doorway" after he "voluntarily emerged," for which there is record support (130 AD3d at 645; see *People v Bradford*, 15 NY3d 329 [2010]). Thus, *Allen*, which applies to "'across the threshold' arrests" (813 F3d at 81, 85, 87, 88), is distinguishable and does not apply here.

IV.

Defendant further claims that this case is ultimately about closing a loophole to our decision in *People v Harris*, in which "we h[e]ld that our State Constitution requires that statements obtained from an accused following a *Payton* violation must be suppressed unless the taint resulting from the violation has been attenuated" (77 NY2d 434, 437 [1991]). We explained that, "[u]nder both Federal and State law, the right to counsel attaches once criminal proceedings have commenced" (*id.* at 439). However, while "[u]nder the [f]ederal rule, . . . criminal proceedings do not necessarily start when an arrest warrant is issued . . . , criminal proceedings must be instituted before the police can obtain a warrant" in New York (*id.* at 439-440). Thus, in New York, "police are prohibited from questioning a suspect after an arrest pursuant to a warrant unless counsel is present," creating an incentive "to violate *Payton* . . . because doing so enables them to circumvent the accused's indelible right to counsel" (*id.* at 440). Defendant, as well as Judges Rivera and Wilson in their respective dissents, focuses on the intent of the police in going to a defendant's home and urges that sanctioning preplanned doorway arrests—or, presumably, arrests where the police request that the defendant step outside to speak to them with the intent of effectuating a preplanned arrest—similarly permits police to circumvent a suspect's right to counsel. Thus, defendant contends, and the two dissenters on this issue agree, that we should prohibit arrests where the police lure a suspect to the door with the subjective intent of making a preplanned, warrantless arrest.

Inasmuch as *Harris* applies only to statements obtained following a *Payton* violation, suppressing defendant's state-

the door. Moreover, defendant does not ask us to apply the constructive entry rule in this case.

ments here would require us to overrule our prior cases holding that preplanned, warrantless arrests do not violate *Payton* where the defendant exited his residence or stood on the threshold either due to a police request or to a ruse employed by the police.⁸ We decline to do so based upon the principle of stare decisis, “the doctrine which holds that common-law decisions should stand as precedents for guidance in cases arising in the future and that a rule of law once decided by a court, will generally be followed in subsequent cases presenting the same legal problem” (*People v Peque*, 22 NY3d 168, 194 [2013] [internal quotation marks and citation omitted], *cert denied sub nom. Thomas v New York*, 574 US —, 135 S Ct 90 [2014]). Stare decisis “rests upon the principle that a court is an institution, not merely a collection of individuals, and that governing rules of law do not change merely because the personnel of the court changes” (*People v Bing*, 76 NY2d 331, 338 [1990]), as well as the “humbling assumption, often true, that no particular court as it is then constituted possesses a wisdom surpassing that of its predecessors” (*People v Hobson*, 39 NY2d 479, 488 [1976]).

While we apply the doctrine less rigidly in resolving constitutional issues (*see Bing*, 76 NY2d at 338), “[e]ven under the most flexible version of the doctrine applicable to constitutional jurisprudence, prior decisions should not be overruled unless a ‘compelling justification’ exists for such a drastic step” (*Matter of State Farm Mut. Auto. Ins. Co. v Fitzgerald*, 25 NY3d 799, 819 [2015]). We have found such “compelling justification[s]” when a prior decision has led

“to an unworkable rule, or . . . create[d] more questions than it resolves; adherence to a recent precedent involves collision with a prior doctrine more embracing in its scope, intrinsically sounder, and verified by experience; or a preexisting rule, once thought defensible, no longer serves the ends of justice or withstands the cold light of logic and ex-

8. In addition to advocating that we overrule our prior cases, Judge Wilson views those cases as irrelevant because they concern only the application of *Payton* and the Fourth Amendment and do not address whether greater protection is warranted under the State Constitution. Any issues regarding whether New York Constitution, article I, § 12 provides greater protection or “should” “provide[] greater clarity” (Wilson, J., dissenting op at 213) are unpreserved here because, in the suppression hearing, defendant did not argue that the State Constitution provides greater protections than its federal counterpart to defendants subject to warrantless arrests in the home. Therefore, we do not opine on the merits of such an argument.

perience” (*Peque*, 22 NY3d at 194 [internal quotation marks and citations omitted]).

None of those justifications exist here; nor are we persuaded that the “lessons of experience and the force of better reasoning” (*Bing*, 76 NY2d at 338 [internal quotation marks and citations omitted]) compel us to abandon our line of prior decisions on the issue that is now before us yet again.

[2] Far from being unworkable, as the Appellate Division noted in this case, the current rule “is clear and easily understood: a person enjoys enhanced constitutional protection from a warrantless arrest in the interior of the home, but not on the threshold itself or the exterior” (130 AD3d at 645). Moreover, we are not asked to overrule a recent precedent that conflicts with a broader, preexisting doctrine, but to adopt a rule that looks to the subjective intent of the police and is, therefore, “fundamentally inconsistent with . . . Fourth Amendment jurisprudence” itself (*Kentucky v King*, 563 US at 464). Both this Court and the Supreme Court have “rejected a subjective approach, asking only whether the circumstances, viewed *objectively*, justify the action” (*id.* [internal quotation marks omitted]; see *People v Robinson*, 97 NY2d 341, 349 [2001]). As both Courts have explained, “[t]he touchstone of the Fourth Amendment is reasonableness”—not the warrant requirement” (see *Molnar*, 98 NY2d at 331, quoting *United States v Knights*, 534 US 112, 118 [2001]). Therefore, this Court has emphasized that “the ‘Fourth Amendment’s concern with “reasonableness” allows certain actions to be taken in certain circumstances, *whatever the subjective intent*’ ” (*People v Robinson*, 97 NY2d at 349 [emphasis added], quoting *Whren v United States*, 517 US 806, 814 [1996]). Based on long experience, we “acknowledge[d] the difficulty, if not futility, of basing the constitutional validity of searches or seizures on judicial determinations of the subjective motivation of police officers” (*id.* at 350 [internal quotation marks and citation omitted]). Thus, under the circumstances presented here, it is not our prior precedent that “involves collision with a prior doctrine more embracing in its scope” (*Peque*, 22 NY3d at 194), but the rule proposed by defendant, as well as the even broader rule proposed by Judges Wilson and Rivera in dissent.

With respect to the effect of the current rule on our own jurisprudence, it certainly cannot be said that “the Judges considering these cases [have been] sharply divided . . . about how to apply the . . . rule [or] about the more fundamental

question of whether the facts presented are even encompassed within it” (*Bing*, 76 NY2d at 348). Rather, all of our prior cases addressing the issue over the last 30 years—from *Minley* to *Spencer*—have been unanimous and posed little difficulty. Moreover, *Spencer*, decided just a few months ago, reaffirmed both *Reynoso* and *Minley*. Overturning those cases now would both undermine the purposes of stare decisis—which are “to promote efficiency and provide guidance and consistency in future cases” (*Bing*, 76 NY2d at 338)—and “unsettle the belief ‘that bedrock principles are founded in the law rather than in the proclivities of individuals’” (*id.* at 361 [Kaye, J., concurring in part and dissenting in part], quoting *Vasquez v Hillery*, 474 US 254, 265 [1986]). Furthermore, the various rules urged by defendant and Judges Wilson and Rivera would throw into confusion a “‘bright line’ rule[]” that has long “‘guide[d] the decisions of law enforcement and judicial personnel who must understand and implement our decisions in their day-to-day operations in the field’” (*People v Garcia*, 20 NY3d 317, 323 [2012], quoting *People v P.J. Video*, 68 NY2d 296, 305 [1986], *cert denied* 479 US 1091 [1987]).

As for the cold light of logic and experience, “[p]ermitting the police to make a warrantless arrest of a person who answers the door (or who is properly summoned to the door . . .)” has been described as “mak[ing] great sense” (3 Wayne R. LaFave, *Search and Seizure* § 6.1 [e] [5th ed 2012]). Under that rule, to which we have consistently adhered,

“the police are quite properly relieved from having to obtain arrest warrants in a large number of cases in advance, and the warrant process is thereby not overtaxed (thus giving greater assurance it will not become a mechanical routine). But if in a particular case in which there were no exigent circumstances to start with the intended arrestee at the door elects to exercise the security of the premises by not submitting to the arrest, then it is hardly unfair that the police should be required to withdraw and return another time with a warrant” (*id.*).

In contrast, the Supreme Court has rejected the approach advanced by defendant—and that forms the basis of the reasoning of two of the dissenters (*see* Wilson, J., dissenting op at 218-220; Rivera, J., dissenting op at 208-209)—that “fault[s] law enforcement officers if, after acquiring evidence that is sufficient to establish probable cause to search particular

premises, the officers do not seek a warrant but instead knock on the door and seek . . . to speak with an occupant” (*Kentucky v King*, 563 US at 466). The Court explained that such an approach “unjustifiably interferes with legitimate law enforcement strategies” (*id.*).⁹

In short, there is no compelling justification to overrule our prior cases in order to expand *Harris* by recognizing a new category of *Payton* violations based on subjective police intent. Rather, overruling our prior cases would present an unacceptable obstruction to law enforcement, eliminate a clear and workable rule that has guided the courts for decades, undermine predictability in the law and reliance upon our decisions, and suggest that “our decisions arise [not] from a continuum of legal principle[,] [but] the personal caprice of the members of this Court” (*Peque*, 22 NY3d at 194). Such a result is untenable.

V.

Defendant’s remaining arguments do not require extended discussion. His additional challenges to the legality of his arrest and the lack of attenuation of his subsequent statements from that arrest are either unpreserved, academic or unreviewable pursuant to the *LaFontaine/Concepcion* rule, which precludes us “from reviewing an issue that was either decided in an appellant’s favor or was not decided by the trial court” (*People v Ingram*, 18 NY3d 948, 949 [2012]; see *People v Concepcion*, 17 NY3d 192 [2011]; *People v LaFontaine*, 92 NY2d 470 [1998]).¹⁰ His claim that his statement to police was involuntary presents a mixed question, and there is record support

9. In contrast to Judge Wilson’s unsupported assumptions about the “relative ease of securing an arrest warrant” (Wilson, J., dissenting op at 220), the Supreme Court observed that “the police may want to ask an occupant of the premises for consent to search because doing so is simpler, faster, and less burdensome than applying for a warrant” and that such a reason is “entirely proper” (*Kentucky v King*, 563 US at 466-467). In any event, there may be many legitimate reasons why it would be impractical in a particular situation to obtain a warrant or wait for a defendant to exit the home.

10. With respect to the issue of defendant’s reasonable expectation of privacy addressed by Judge Rivera in her dissent, in *People v Hansen* (99 NY2d 339, 346 n 6 [2003], *affg* 290 AD2d 47 [2002]), this Court recognized that a “distinction” can exist “between the two residences—a single-family house and a two-family house—impacting the constitutional analysis” (Rivera, J., dissenting op at 201). Therefore, the burden was on defendant to establish a reasonable expectation of privacy in the shared area of the two-family house (see *e.g. People v Leach*, 21 NY3d 969 [2013]). Defendant, however, not only made no specific offer of proof, but also failed to make any

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for the conclusion of the Appellate Division to the contrary. Finally, defendant's challenge to his persistent felony offender adjudication is governed by our decision in *People v Prindle* (29 NY3d 463 [2017]), which requires an affirmance here. Contrary to defendant's contentions, neither *Hurst v Florida* (577 US —, 136 S Ct 616 [2016]) nor *Descamps v United States* (570 US 254 [2013]) compels a different result. Nor have any new reasons been presented that would otherwise require us to retreat from an interpretation that we reaffirmed as recently as *Prindle*.

Accordingly, the order of the Appellate Division should be affirmed.

FAHEY, J. (dissenting in part). I would vacate defendant's sentence and remit to Supreme Court for resentencing. New York's persistent felony offender sentencing scheme is unconstitutional under *Apprendi v New Jersey* (530 US 466 [2000]). I disagree with this Court's line of cases from *People v Rosen* (96 NY2d 329 [2001]) to *People v Prindle* (29 NY3d 463 [2017]), holding that the statutory sentencing scheme lies "outside the scope of the *Apprendi* rule, because it exposes defendants to an enhanced sentencing range based only on the existence of two prior felony convictions" (*Prindle*, 29 NY3d at 466). However, I agree with the majority's analysis of the *Payton* issue in this case and with the Court's disposition of defendant's remaining arguments. Consequently, I dissent, but only in part.

I.

A persistent felony offender is, by definition, an individual, "other than a persistent violent felony offender as defined in [Penal Law §] 70.08, who stands convicted of a felony after having previously been convicted of two or more felonies," specifically defined (Penal Law § 70.10 [1] [a]). Being a "persistent felony offender" is, however, only one of two necessary conditions for the imposition of an enhanced sentence under the pertinent sentencing statute, Penal Law § 70.10. The other necessary condition is that the sentencing court must be of the reasoned opinion, as set out in the sentencing record, "that the history and character of the defendant and the nature and circumstances of his criminal conduct indicate that extended incarceration and life-time supervision will best serve the pub-

arguments in this regard and, thus, the issue is not preserved for our review (see CPL 470.05 [2]).

lic interest” (Penal Law § 70.10 [2]). If the first necessary condition is met, but not the second, a persistent felony offender may not be given enhanced sentencing.

The Criminal Procedure Law confirms that both conditions are necessary, and that neither is on its own sufficient. Persistent felony offender enhanced sentencing

“may not be imposed unless . . . the court (a) has found that the defendant is a persistent felony offender as defined in subdivision one of section 70.10 of the penal law, and (b) is of the opinion that the history and character of the defendant and the nature and circumstances of his criminal conduct are such that extended incarceration and lifetime supervision of the defendant are warranted to best serve the public interest” (CPL 400.20 [1] [emphases added]).

On the second prong, the sentencing court, in order to reach the “opinion” that enhanced sentencing is warranted, “must . . . make such *findings of fact* as it deems relevant” (CPL 400.20 [9] [emphasis added]). Moreover, a record of the basis for the sentencing court’s findings must be set forth (*see* CPL 400.20 [3] [b]).

The two necessary conditions have differing standards of proof. “A finding that the defendant is a persistent felony offender, as defined in [Penal Law § 70.10 (1)], must be based upon proof beyond a reasonable doubt by evidence admissible under the rules applicable to the trial of the issue of guilt,” whereas “[m]atters pertaining to the defendant’s history and character and the nature and circumstances of his criminal conduct may be established by any relevant evidence, not legally privileged, regardless of admissibility under the exclusionary rules of evidence, and the standard of proof with respect to such matters shall be a preponderance of the evidence” (CPL 400.20 [5]).

II.

The United States Supreme Court held in *Apprendi v New Jersey* (530 US 466 [2000]) and its progeny that, under the Due Process Clause of the Fourteenth Amendment and the right to a jury trial guaranteed by the Sixth Amendment, a jury must determine each element of a crime beyond a reasonable doubt, including any fact that has the effect of increasing the prescribed range of penalties to which a defendant is ex-

posed at sentencing (see *Apprendi*, 530 US at 489-490; see also *Alleyne v United States*, 570 US 99, 103 [2013] [“Any fact that, by law, increases the penalty for a crime is an ‘element’ that must be submitted to the jury and found beyond a reasonable doubt”]). One exception is a fact admitted by the defendant (see *Blakely v Washington*, 542 US 296, 303 [2004]), and the other is the established fact of a prior felony conviction (see *Almendarez-Torres v United States*, 523 US 224 [1998]).

At issue in *Apprendi* was a hate crime sentencing scheme that allowed a judge to increase a defendant’s penalty beyond the maximum sentence range authorized for a particular crime, based on the judge’s finding by a preponderance of the evidence that defendant committed a crime with the intent to intimidate based on race, religion, color, gender, ethnicity, sexual orientation, or handicap. *Apprendi* ruled that a jury, not a judge, must find, beyond a reasonable doubt, that a defendant acted with such a biased purpose, in order for the sentencing enhancement to be imposed. The hate crime statute violated the Constitution because it required a judge to find an element that would increase the defendant’s sentence, instead of submitting that question of fact to the jury, and it allowed the judge to decide the fact using a lesser standard of proof.

In subsequent years, the *Apprendi* doctrine has been applied “to instances involving plea bargains, sentencing guidelines, criminal fines, mandatory minimums, and . . . capital punishment” (*Hurst v Florida*, 577 US —, —, 136 S Ct 616, 621 [2016] [citations omitted], citing *Blakely v Washington*, 542 US 296 [2004]; *United States v Booker*, 543 US 220 [2005]; *Southern Union Co. v United States*, 567 US 343 [2012]; *Alleyne*, 570 US 99 [2013]; *Ring v Arizona*, 536 US 584 [2002]).

This Court first considered the import of *Apprendi* in *People v Rosen* (96 NY2d 329 [2001]), in which the defendant contended that the persistent felony offender sentencing provisions of Penal Law § 70.10 and CPL 400.20 (5) violated his right to trial by jury under *Apprendi*. This Court analyzed the statutes as follows:

“Under New York law, to be sentenced as a persistent felony offender, the court must first conclude that defendant had previously been convicted of two or more felonies for which a sentence of over one year was imposed. Only after it has been

established that defendant is a twice prior convicted felon may the sentencing court, based on the preponderance of the evidence, review '[m]atters pertaining to the defendant's history and character and the nature and circumstances of his criminal conduct . . . established by any relevant evidence, not legally privileged' to determine whether actually to issue an enhanced sentence (CPL 400.20 [5]). It is clear from the foregoing statutory framework that the prior felony convictions are the sole [determinant] of whether a defendant is subject to enhanced sentencing as a persistent felony offender." (*Rosen*, 96 NY2d at 334-335.)

This analysis was fundamentally flawed. It is true, of course, that under Penal Law § 70.10, for a defendant to be sentenced as a persistent felony offender, the court must first conclude that defendant had previously been convicted of two or more felonies for which a sentence of over one year had been imposed. That is the first necessary condition of persistent felony offender enhanced sentencing. It is also true that the sentencing court would only review the defendant's history and character and the nature and circumstances of his or her criminal conduct after concluding that the first condition had been met. However, it was a complete non sequitur to conclude from these propositions that prior felony convictions are the *sole* determinant of whether a defendant is subject to persistent felony offender enhanced sentencing.

The statute is clear that a defendant is subject to enhanced sentencing—i.e., may have enhanced sentencing imposed on him—as a persistent felony offender only if *both* statutory necessary conditions are met. Only "[w]hen the court has found . . . that a person is a persistent felony offender, *and* . . . it is of the opinion that the history and character of the defendant and the nature and circumstances of his criminal conduct indicate that extended incarceration and life-time supervision will best serve the public interest," may the court impose the enhanced sentence (Penal Law § 70.10 [2] [emphasis added]).

The *Rosen* Court, after thus misreading the statutory language, added that the sentencing court, in deciding whether extended incarceration and lifetime supervision will best serve the public interest, is "only fulfilling its traditional role . . . in determining an appropriate sentence within the permissible statutory range" (*Rosen*, 96 NY2d at 335). This analysis, clearly

designed to suggest that the second necessary condition of persistent felony offender enhanced sentencing is purely discretionary, rather than a fact-finding exercise, misstated the sentencing court's task. Deciding whether "the history and character of the defendant and the nature and circumstances of his criminal conduct indicate that extended incarceration and life-time supervision will best serve the public interest" (Penal Law § 70.10 [2]) is deciding a question that has one of only two answers: yes, the public interest is best served by extended incarceration and lifetime supervision, or no, it is not. It is not an exercise in determining a sentence within a range. That comes later, when the sentencing court actually imposes the sentence. Moreover, as the statutes themselves clarify, the Penal Law § 70.10 (2) determination involves making "findings of fact" (CPL 400.20 [9]).

In *People v Rivera* (5 NY3d 61 [2005]), the defendant—one of many to do so—asked the Court to overturn *Rosen*. The Court declined. While properly analyzing the question to be "whether any facts beyond those essential to the jury's verdict (other than prior convictions or admissions) were necessary for the trial judge to impose the persistent felony offender sentence" (*Rivera*, 5 NY3d at 65-66), the Court reiterated its earlier flawed conclusion that a defendant's prior convictions constitute the sole determinant for whether he or she is subject to persistent felony offender sentencing, suggesting that Penal Law § 70.10 "authorizes" sentencing as a persistent felony offender "once the court finds persistent felony offender status" (*id.* at 66). *Rivera* ignored the clear statutory language making the Penal Law § 70.10 (2) determination a necessary condition of the imposition of persistent felony offender sentencing.

Contrary to *Rivera*, the mere existence of the prior felonies is not a "sufficient condition[] for imposition of the authorized sentence for recidivism" (*Rivera*, 5 NY3d at 68; *see also Prindle*, 29 NY3d at 467), but only a necessary condition. As Chief Judge Kaye observed in her dissent,

"[f]itting the definition of a persistent felony offender under Penal Law § 70.10 (1) is necessary but not sufficient to render a defendant eligible for enhanced sentencing under CPL 400.20. Rather, an enhanced sentence is available only for those who additionally are found to be of such history and character, and to have committed their criminal

conduct under such circumstances, that extended incarceration and lifetime supervision will best serve the public interest. The persistent felony offender statute thus stands in stark contrast to Penal Law § 70.08, which requires that all three-time violent felons be sentenced to an indeterminate life term on the basis of the prior convictions alone” (*Rivera*, 5 NY3d at 73 [Kaye, Ch. J., dissenting] [citation omitted]).

Other Judges of this Court have dissented in persistent felony offender sentencing cases for the same reason, among others (*see Rivera*, 5 NY3d at 79-80 [Ciparick, J., dissenting]; *People v Battles*, 16 NY3d 54, 63-65 [2010, Lippman, Ch. J., dissenting in part]; *People v Giles*, 24 NY3d 1066, 1073-1074 [2014, Abdus-Salaam, J., concurring in part and dissenting in part]). As Judge Ciparick noted, review of related statutes confirms Chief Judge Kaye’s insight.

“Had the Legislature intended for the inquiry to end at recidivism, it could, for example, have replicated the language of Penal Law § 70.08, which mandates sentencing for persistent violent felony offenders based solely on recidivism, or it could have used the [similar] language of Penal Law § 70.04 or § 70.06 as it relates to second felony offenders and second violent felony offenders” (*Rivera*, 5 NY3d at 80 [Ciparick, J., dissenting]).

III.

The *Rivera* Court further erred by holding that a sentencing court’s Penal Law § 70.10 (2) determination—that the defendant’s character and criminality indicate that the public interest is best served by extended incarceration and lifetime supervision—“describes the exercise of judicial discretion characteristic of indeterminate sentencing schemes” (*id.* at 66) and “falls squarely within the most traditional discretionary sentencing role of the judge” (*id.* at 69). As the Court put it, “[o]nce the defendant is adjudicated a persistent felony offender, the requirement that the sentencing justice reach an opinion as to the defendant’s history and character is merely another way of saying that the court should exercise its discretion” (*id.* at 71).

This was an attempt to give an alternate source of support for the *Rosen* Court’s notion that a sentencing court’s determination that enhanced sentencing would serve the public inter-

est was simply a matter of the sentencing court's "fulfilling its traditional role" (*Rosen*, 96 NY2d at 335). In a footnote, the *Rivera* Court suggested that judicial findings prohibited by *Apprendi* "relate to the crime for which the defendant was on trial and, as quintessential fact questions, would properly have been subject to proof before the jury, in stark contrast to traditional sentencing analysis of factors like the defendant's difficult childhood, remorse or self-perceived economic dependence on a life of crime" (*Rivera*, 5 NY3d at 69 n 8).

Rivera, however, was inconsistent with *Apprendi* and its progeny. The exercise of determining whether enhanced sentencing would serve the public interest may involve the application of the sentencing judge's discretion, but it is no less factual for being, in the end, discretionary in nature. In order to exercise discretion on the subject of whether enhanced sentencing would serve the public interest, the sentencing court must first make findings concerning "the facts surrounding defendant's history and character" (*Rivera*, 5 NY3d at 67), or, as the Criminal Procedure Law puts it, "must . . . make such *findings of fact* as it deems relevant" (CPL 400.20 [9] [emphasis added]). Furthermore, as Chief Judge Kaye noted in her dissent in *Rivera*, the Supreme Court has made it "clear that any factfinding essential to sentence enhancement must be decided by a jury, even if it is general and unspecified in nature, and even if the ultimate sentencing determination is discretionary" (*Rivera*, 5 NY3d at 73-74 [Kaye, Ch. J., dissenting] [footnote and emphasis omitted]).

The Supreme Court had clarified that point in *Blakely v Washington* (542 US 296 [2004] [holding that *Apprendi* was violated where the sentencing court had to find that defendant acted with "deliberate cruelty" in order to impose enhanced sentencing]). In *Blakely*, the Supreme Court observed that "[w]hether the judge's authority to impose an enhanced sentence depends on finding a specified fact . . . , one of several specified facts . . . , or any aggravating fact . . . , it remains the case that the jury's verdict alone does not authorize the sentence. The judge acquires that authority only upon finding some additional fact" (*Blakely*, 542 US at 305 [emphasis omitted]). Moreover, the Supreme Court explained, it does not

"matter that the judge must, after finding aggravating facts, make a judgment that they present a compelling ground for departure. He [or she] can-

not make that judgment without finding some facts to support it beyond the bare elements of the offense. Whether the judicially determined facts require a sentence enhancement or merely allow it, the verdict alone does not authorize the sentence” (*Blakely*, 542 US at 305 n 8 [emphasis omitted]).

In other words,

“broad discretion to decide what facts may support an enhanced sentence, or to determine whether an enhanced sentence is warranted in any particular case, does not shield a sentencing system from [*Apprendi*]. If the jury’s verdict alone does not authorize the sentence, if, instead, the judge must find an additional fact to impose the longer term, the Sixth Amendment requirement is not satisfied” (*Cunningham v California*, 549 US 270, 290 [2007]).

Rivera, like *Rosen* before it, was not correctly decided, because the findings contemplated by Penal Law § 70.10 (2) involve facts that have the effect of increasing the prescribed range of penalties to which a defendant is exposed at sentencing, within the meaning of *Apprendi*. In sum, it is clear that a sentencing court, in deciding “that the history and character of the defendant and the nature and circumstances of his criminal conduct indicate that extended incarceration and life-time supervision will best serve the public interest” (Penal Law § 70.10 [2]), is necessarily making factual findings that must instead be made by the jury, under *Apprendi*.

IV.

“The constitutionality of sentences imposed under this sentencing scheme has, not surprisingly, been a practically constant subject of litigation since *Apprendi*” (*Battles*, 16 NY3d at 61 [Lippman, Ch. J., dissenting in part]). In the years since *Rosen* and *Rivera*, this Court has reiterated the misguided analysis provided in those opinions: that the first prong of Penal Law § 70.10 is the sole determinant of persistent felony offender sentencing, and that

“New York’s sentencing scheme, by requiring that sentencing courts consider defendant’s ‘history and character’ and the ‘nature and circumstances’ of defendant’s conduct in deciding where, within a range, to impose an enhanced sentence, sets the

parameters for the performance of one of the sentencing court's most traditional and basic functions, i.e., the exercise of sentencing discretion" (*People v Quinones*, 12 NY3d 116, 130 [2009]; see also *Prindle*, 29 NY3d at 466-467).

The foregoing discussion of the statutes, however, demonstrates that Penal Law § 70.10 (2) is a separate necessary condition, and does not simply allow a sentencing court to "decid[e] where, within a range, to impose an enhanced sentence" (*Quinones*, 12 NY3d at 130); rather, it requires that a sentencing court decide *whether* the factual circumstances of defendant's crimes and character warrant enhanced sentencing, before imposition of any enhanced sentence is permissible.

As my colleague Judge Abdus-Salaam wrote, a "recitation of the statutory terms suffices to show that . . . the persistent felony offender sentencing scheme violates the *Apprendi* rule," and the Court's "*Apprendi* precedents have devolved into hollow and discredited words supporting a clearly unconstitutional sentencing framework" (*Giles*, 24 NY3d at 1074, 1076 [Abdus-Salaam, J., concurring in part and dissenting in part]).

V.

I do not quarrel with the majority's statement that the resolution of the *Apprendi* issue here "is governed by" our precedents (majority op at 189), but I believe there is "compelling justification for" overruling our prior holdings in this area, because they "create[] more questions than [they] resolve[]" and "no longer serve[] the ends of justice or withstand[] the cold light of logic and experience" (*People v Peque*, 22 NY3d 168, 194 [2013] [internal quotation marks and citations omitted]).

I add a final comment on their larger significance and "real effect" (*Battles*, 16 NY3d at 65 [Lippman, Ch. J., dissenting in part]) in our system of justice. Exposing defendants to criminal penalties more severe than could be imposed based upon the jury verdict and prior convictions alone, without a jury making the factual determinations necessary for the enhancement in punishment, is abhorrent not only to the Federal Constitution but also to basic justice. For example, under Penal Law § 70.10, a nonviolent serial shoplifter convicted of criminal possession of stolen property in the fourth degree, a class E felony for which the maximum sentence is four years' imprisonment (see Penal Law § 70.00 [2] [e]), may be given "the sentence of

imprisonment authorized by [Penal Law § 70.00] for a class A-I felony” (Penal Law § 70.10 [2]), which is a minimum sentence of 15 years to life (*see* Penal Law § 70.00 [3] [a] [i]; *see People v Ellison*, 124 AD3d 1230 [4th Dept 2015], *lv denied* 25 NY3d 1201 [2015], *vacated and mot for writ of error coram nobis granted* 136 AD3d 1354 [2016] [granting motion in light of defense counsel’s failure to challenge finding that defendant is a persistent felony offender]). Applying the Court’s interpretation of the statutory sentencing scheme allows a judge, without jury fact-finding on the factual circumstances of defendant’s history and character, to punish such a shoplifter with the penalty associated with violent crimes such as kidnapping in the first degree (Penal Law § 135.25), aggravated murder (Penal Law § 125.26), or murder in the first or second degree (Penal Law §§ 125.27, 125.25). Silence in the face of such injustice would amount to acquiescence. Accordingly, I dissent.

RIVERA, J. (dissenting). The Fourth Amendment and our State Constitution provide “[t]he right of the people to be secure in their persons, houses, papers, and effects, against unreasonable searches and seizures” (US Const 4th Amend; NY Const, art I, § 12; *Payton v New York*, 445 US 573, 576 [1980]). These constitutional protections afforded individuals reflect the societal recognition of the home as “the sacred retreat to which families repair for their privacy and their daily way of living” (*Gregory v Chicago*, 394 US 111, 125 [1969, Black, J., concurring]). Hence, a warrantless entry by police to effectuate a home arrest, the most intrusive of government invasions into a person’s privacy, is “presumptively unreasonable” (*Payton v New York*, 445 US 573, 586 [1980]). The People bear “the burden of overcoming that presumption” (*People v Hodge*, 44 NY2d 553, 557 [1978]), and thus “defendant has no burden to show he had an ‘expectation of privacy’ in his apartment” (*People v Levan*, 62 NY2d 139, 144 [1984]).

The People did not rebut that presumption here because they failed to establish, as a constitutional matter, that defendant lacked any reasonable expectation of privacy in the location of the house where he was arrested, and that the arrest comes within one of the “carefully delineated” narrow exceptions to the warrant requirement (*People v Molnar*, 98 NY2d 328, 331 [2002], citing *Welsh v Wisconsin*, 466 US 740, 749-750 [1984]). This is enough, in my opinion, to find the police violated defendant’s rights. However, the unreasonable intru-

sions that mark this case are not limited to a single constitutional violation caused by entering the commonly-shared areas of a two-family house. The People also failed to justify the police visit to defendant's home for the sole purpose of making a warrantless arrest, as this action undermined defendant's constitutionally protected indelible right to counsel (NY Const, art I, § 6; *People v Lopez*, 16 NY3d 375, 377 [2011]). Therefore, unlike the majority, I conclude that defendant's post-arrest statements were obtained in violation of his rights, and I dissent.

I.

A.

After establishing probable cause for defendant's arrest, the police proceeded without a warrant to his home to make the arrest. Within minutes of arriving at the home, the police made two uninvited and unannounced entries through the front door of the two-family house where defendant lived. Both times they walked through the vestibule immediately behind the front door and proceeded up the stairs that lead to defendant's second-floor apartment. At the top of the stairs the police knocked and spoke briefly to the person who opened the door. On the second trip through defendant's house and back up the stairs, the police again knocked on defendant's apartment door, and this time, when defendant opened the door and while standing in the doorway, the police told him he was under arrest.

The People incorrectly argue that defendant has absolutely no privacy expectation in the area between the front door of the house and the door leading directly to his living space because his privacy interests only attach on the apartment side of the upstairs door threshold. In support of this claim, the People rely on evidence at the suppression hearing that established that defendant lived in a second floor apartment of a two-family house. That alone, however, is insufficient to meet the People's heavy burden.¹ The constitutional inquiry centers on whether it was reasonable for defendant to assume that the

1. The majority recognizes that a resident of a two-family house may have a privacy interest in a common area, yet suggests that we have previously decided that the burden of establishing this interest always shifts to defendant. The citation to *People v Leach* (21 NY3d 969 [2013]), however, betrays the infirmity of this position. In that case, defendant resided in his grandmother's apartment, and there was record support that his grandmother

(n. cont'd)

vestibule and stairway inside his house are private areas, which the police may not enter without consent or some other lawful basis (*Levan*, 62 NY2d at 144).

It is a basic principle of article I, § 12 of the New York Constitution and the Fourth Amendment to the United States Constitution that warrantless searches and seizures inside a home are presumptively unreasonable (*People v Knapp*, 52 NY2d 689, 694 [1981]; *Brigham City v Stuart*, 547 US 398, 403 [2006]). This holds true even in a two-family house where the residents share common areas. The United States Supreme Court has made clear that an individual can have a reasonable expectation of privacy in an area despite not having its exclusive use (*Mancusi v DeForte*, 392 US 364, 368 [1968]). Further, the United States Supreme Court long ago rejected the notion that a defendant has no privacy expectations simply because a space may be accessible to the public since what a defendant “seeks to preserve as private, even in an area accessible to the public, may be constitutionally protected” (*Katz v United States*, 389 US 347, 351 [1967]). Thus, the fact that defendant lived in the second floor apartment of a two-family house does not automatically strip him of the constitutional protections afforded to the residents of the house in areas that they share in common. The concept of the house as a home would be meaningless if it could be so easily compartmentalized into publicly unprotected spheres.

Even under the majority’s analysis that the current law establishes a bright-line rule that the police may not cross the house threshold to make a warrantless arrest (majority op at 180), I cannot agree that the threshold is yards beyond the front door of the house and up a flight of stairs. Whether it is reasonable to view this area as holding some modicum of privacy depends on the relationship between the individual and the space (*Katz*, 389 US at 351). Residents would not imagine that simply by living in a two-family house, they effectively forfeit their privacy to all areas except for that space which is not commonly shared by the residents of the house or invited guests. Nor would they believe that they have exited their

did not want defendant to have unfettered access to all areas of the apartment, including a guest room used solely by other grandchildren in which a weapon was found (*id.* at 971-972). This suggests nothing about an individual’s expectation of privacy inside the shared, enclosed hallway of their two-family home—defendant here does not claim to have a reasonable expectation of privacy in his downstairs neighbor’s living quarters.

“sacred retreat” and the sanctuary of their home by stepping into an area with limited access to outsiders. Human experience leads to the conclusion that a resident of an upstairs living area in a two-family house has a privacy interest effective at the door leading into the building. The purpose of a front door to someone’s home is to ensure the privacy and security of those living behind it. It signals for all who approach that the home is not a public venue. When one approaches a door to a house, one seeks permission to enter because of our common understanding that this is a private residence.

Unrelated cohabitants with individual apartments in a two-family house may share the doorway vestibule area and the steps leading to various parts of the home, storing personal items and engaging in private conversations in these spaces, further illustrating that these living arrangements are based on the presumption that the space behind the front door is part of the home and within the residents’ zone of privacy. Even the shared use of common areas by other residents and guests, “does not render such areas ‘public’ with respect to the constitutional prerequisites for permissible entry by the police” (*People v Garriga*, 189 AD2d 236, 241 [1st Dept 1993]). It is one thing to accept that in a shared home you will come across other residents at the front door, in the hallway, perhaps at the steps leading to the basement, attic, or upstairs apartment; it is quite another to give up all rights to privacy from government intrusion into these same shared spaces. The former is a necessary and inherent consequence of the living arrangement itself; the latter requires voluntary abnegation of all expectations of privacy. Absent conduct by residents suggesting a shared environment is actually public, a resident of a two-family house is entitled to the same constitutional protections as those in a single-family house in these common areas. There is no distinction as matter of law between the two residences—a single-family house and a two-family house—impacting the constitutional analysis.

There are also societal interests in protecting a resident’s privacy in these common areas of the home (*Oliver v United States*, 466 US 170, 178 [1984] [“In assessing the degree to which a search infringes upon individual privacy, the Court has given weight to such factors as the intention of the Framers of the Fourth Amendment . . . and our societal understanding that certain areas deserve the most scrupulous protection from government invasion”]; *Johnson v United States*, 333 US

10, 14 [1948] [“The right of officers to thrust themselves into a home is also a grave concern, not only to the individual but to a society which chooses to dwell in reasonable security and freedom from surveillance”]). The conception of “home” may “extend to facilities shared by several persons not related to each other” (see *People v Powell*, 54 NY2d 524, 531 [1981]). People’s lives are not so atomized and impersonal in these shared environments to negate the constitutional protection of privacy afforded a resident whose home includes communal space. As our shared living arrangements necessarily reflect family commitments, evolving social norms, limited personal finances, and market forces that drive housing preferences and vacancy rates, these factors redefine concepts of “intimacy” and communal interaction. Residents, like defendant, should not be penalized and stripped of their constitutional protections based on choices driven, in part, by financial and family concerns (*Garriga*, 189 AD2d at 241).

Here, the People failed to present any evidence that defendant’s expectation of privacy in the shared area of a two-family house should be treated any differently from that of a resident living in a single-family house. Nor did they establish that defendant’s expectation is unreasonable as a constitutional matter because he had forgone any privacy interest in the entrance to the house and the stairs leading to his apartment. The People did not introduce evidence that the vestibule and staircase were generally open and accessible to the public. There was no testimony that the officers observed unannounced people freely entering and exiting the house (cf. *People v Hansen*, 290 AD2d 47, 52-53 [2002] [testimony established hallway of two-family home was “a public hallway, open to anyone who wants to walk in off the street”]). The police did not even testify as to how the front door was open, thus failing to establish the means for some public access to this area, or that they had consent to enter the house. Even if the vestibule was accessible to the public, the people failed to elicit evidence to suggest that defendant did not have an expectation of privacy to the only internal means to reach him: the steps and area immediately outside his apartment door. It is the People’s burden to rebut the presumption that the space was private, and their evidence fell far short of establishing a basis for the police to cross the “firm line at the entrance of the house” that marks the constitutional perimeter of the “home” (*Payton*, 445 US at 590; *Kirk v Louisiana*, 536 US 635, 638 [2002]; *Hodge*, 44 NY2d at 557).

The People argue that defendant had no more privacy interest in the vestibule and stairs leading to his second-floor living space than a tenant in a large apartment complex or multiunit apartment building has in the building lobby and stairwell. This comparison ignores the intimacy inherent in living in a house that distinguishes it from a multiunit building where the first floor is open and accessible to the public. Unlike the small foyer entry of a home which is closed off to the public, a building lobby may be open to the public and serve as an extension of the steps or path leading to the building. As such, the lobby is transformed into public space, where strangers walk through and sometimes ascend the stairs. For some buildings, a visitor must enter the lobby in order to be announced to the tenant. For these reasons we have held that “hallways and stairways of large multiple dwellings, where delivery [and] service [personnel], visitors and other strangers are continually moving, must be considered public places” (*People v Peters*, 18 NY2d 238, 244 [1966], *affd sub nom. Sibron v New York*, 392 US 40 [1968]; *see also People v Powell*, 54 NY2d 524 [1981] [lobby of six story men’s shelter was public place and not part of home]; *cf. People v Allen*, 54 AD3d 868, 869 [2d Dept 2008] [“Although the apartment building had only six apartments, the defendant failed to demonstrate that he had any legitimate expectation of privacy in the apartment building’s vestibule, as it was accessible to all tenants and their invitees”]). Given the number of people who pass through a lobby, tenants in these multiple-unit dwellings have a diminished expectation of privacy in these open, publicly-accessible spaces that is not experienced by persons who share closed, common areas in a two-family house.

Other jurisdictions have recognized the need for some evidence of public access akin to that found in a larger, multiunit building before reducing residents’ expectations of privacy. The Sixth Circuit, for example, has held that the “nature of the living arrangement in a duplex, as opposed to a multi-unit building, leads [to the conclusion] that a tenant in a duplex has a reasonable expectation of privacy in common areas shared only by the duplex’s tenants and the landlady” (*United States v King*, 227 F3d 732, 746 [6th Cir 2000] [emphasis omitted], quoting *United States v McCaster*, 193 F3d 930, 935 [8th Cir 1999, Heaney, J., concurring in part and dissenting in part]). The Ninth Circuit has similarly held that in a building containing two apartments and the landlord’s living quarters, the ten-

ants “exercised considerably more control over access to [the entryway to the two apartments] than would be true in a multi-unit complex, and hence could reasonably be said to have a greater reasonable expectation of privacy than would be true of occupants of large apartment buildings” (*United States v Fluker*, 543 F2d 709, 716 [9th Cir 1976]). The Supreme Court of Connecticut has held that a defendant has an expectation of privacy in the common basement of a two-family house (*State v Reddick*, 207 Conn 323, 332, 541 A2d 1209, 1214 [1988]). As the Fifth Circuit has noted, “[c]ontemporary concepts of living such as multi-unit dwellings must not dilute [a defendant’s] right to privacy any more than is absolutely required” (*Fixel v Wainwright*, 492 F2d 480, 484 [5th Cir 1974]).

Like other persons living in two-family houses, absent evidence evincing intent to create an “open house” environment, defendant had a reasonable expectation of privacy in the vestibule and staircase for these constituted part of his home. As such, he was entitled to the constitutional protection against a warrantless home arrest, and the police entry violated *Payton*.²

B.

Contrary to the People’s argument the issue is preserved for our review. In order to preserve an issue, a defendant must register a protest at a time when the court has the opportunity of effectively altering its response (*see* CPL 470.05 [2]; *People v Graham*, 25 NY3d 994, 996 [2015]). Here, defense counsel argued that the police entered defendant’s home in violation of *Payton*, and the People responded that he had no legitimate right to privacy in the hallway. Defense counsel argued that since the police were “unaware as to how they gained entry into the two-family home,” the judge should be careful when considering *Payton*, as there was no testimony defendant “actually exited the residence before he was arrested.” This protest sufficiently preserved the issue.

Even assuming *arguendo* that defense counsel’s statements lacked specificity, an issue is preserved if “the court expressly decided the question raised on appeal” (CPL 470.05 [2]). The

2. Nor did the People establish that the warrantless arrest was justified under one of the narrow exceptions to the warrant requirement, such as when emergency aid is required, when in hot pursuit of a fleeing suspect, to prevent the imminent destruction of evidence, etc. (*see Kentucky v King*, 563 US 452, 460 [2011]).

court, by necessity if not implication, decided that defendant had no privacy interest in the area between the front doorway and the door leading to defendant's living space when it denied defendant's motion to suppress and concluded the arrest was outside the home because it was conducted "in the hallway of his apartment building." Unsurprisingly, the Appellate Division treated the issue as preserved, holding that "where the defendant lived in the upstairs apartment of a building containing two separate apartments, there is clearly a distinction between homes and common areas such as halls and lobbies . . . which are not within an individual tenant's zone of privacy" (*People v Garvin*, 130 AD3d 644, 645 [2d Dept 2015] [internal quotation marks omitted]).

II.

A.

There is a second ground for concluding the arrest is constitutionally invalid. Like Judge Wilson, I would apply *Payton* where, as here, the sole reason the police went to defendant's home was to effect his arrest, and in doing so without a warrant, they undermined defendant's indelible right to counsel. I agree with Judge Wilson that the majority's reasons for not applying *Payton* are unpersuasive (Wilson, J., dissenting op at 213-216). I write separately to discuss the interplay between these constitutional protections.

B.

"[W]e have delineated an independent body of search and seizure law under the State Constitution" that implicates the defendant's indelible right to counsel (*People v Harris*, 77 NY2d 434, 438 [1991]). As the Court has emphasized,

"The safeguards guaranteed by this State's Right to Counsel Clause are unique (NY Const, art I, § 6). By constitutional and statutory interpretation, we have established a protective body of law in this area resting on concerns of due process, self-incrimination and the right to counsel provisions of the State Constitution which is substantially greater than that recognized by other State jurisdictions and far more expansive than the Federal counterpart. The Court has described the New York

rule as a ‘cherished principle,’ rooted in this State’s prerevolutionary constitutional law and developed ‘independent of its Federal counterpart.’ The highest degree of judicial vigilance is required to safeguard it. Manifestly, protection of the right to counsel has become a matter of singular concern in New York and it is appropriate that we consider the effect of *Payton* violations upon it” (*Harris*, 77 NY2d at 439 [internal quotation marks, brackets and citations omitted]).

In New York, the indelible right to counsel attaches when the police commence formal proceedings by filing an accusatory instrument (*People v Samuels*, 49 NY2d 218, 221 [1980]). Under the Criminal Procedure Law, an arrest warrant may not issue until an accusatory instrument has been filed (CPL 120.20). “Thus, in New York once an arrest warrant is authorized, criminal proceedings have begun, the indelible right to counsel attaches and police may not question a suspect in the absence of an attorney” (*Harris*, 77 NY2d at 440, citing *Samuels*, 49 NY2d at 221-222). It would be the simplest of things for police to avoid the mandates of our Constitution and sidestep a defendant’s indelible right to counsel by visiting a defendant solely to effectuate a house arrest without a warrant. Surely that is not what we intended when this Court recognized the broader protections afforded under our Constitution (*People v Bing*, 76 NY2d 331, 339 [1990] [state right to counsel “far more expansive than the Federal counterpart”]).

Fourth Amendment jurisprudence and our independent analysis under our constitutional search and seizure and indelible right to counsel provisions dictate that defendant’s statements were obtained in violation of his constitutional rights. Any other decision would make it too easy for police to avoid the warrant requirement and its attendant right to counsel. As my dissenting colleague points out, there are various ways in which the “doorway threshold” rule adopted by the majority undermines defendant’s rights and potentially escalates the tension inherent in a visit from the police (Wilson, J., dissenting op at 218-220). An attempted warrantless home arrest places a defendant in the dangerous position of risking a forced entry if defendant refuses to open the door, or after initially opening and then attempting to close the door to retreat inside. These actions may raise suspicion or suggest the existence of exigent circumstance. Police may very well believe, for example,

that evidence is being or about to be destroyed, that defendant is attempting to secure a weapon, placing the officers in imminent danger of bodily harm, or that defendant is attempting to flee (see *People v McBride*, 14 NY3d 440 [2010]; *People v Riffas*, 120 AD3d 1438 [2d Dept 2014]). A rule that prevents these situations benefits defendants, police, and society.

We must be mindful that the police interaction illustrated by this case implicates express constitutional provisions intended to protect the individual from government overreach and abuse of power—the right to be secure from unreasonable warrantless government intrusions of the home, and the indelible right to counsel—and, as such, requires robust judicial oversight. The Court has made it abundantly clear that our “independent body of search and seizure law” be read so as to “best promote[] the protection of the individual rights” of the People of the State of New York, and that our indelible right to counsel is a “cherished principle” entitled to “[t]he highest degree of judicial vigilance . . . to safeguard it” (*Harris*, 77 NY2d at 438, 439 [internal quotation marks, brackets and citations omitted]; see also *People v Lopez*, 16 NY3d 375, 380 [2011]; *People v Jones*, 2 NY3d 235, 240 [2004]).

This right to counsel must be kept inviolate. Otherwise, we would encourage warrantless home arrests and normalize behavior that both the State and Federal Constitutions expressly prohibit. The possibility of suppressing unlawfully obtained information is insufficient to offset countervailing forces seeking to secure inculpatory information. We have warned against this danger in the federal context where the right to counsel does not attach with the issuance of an arrest warrant (*Harris*, 77 NY2d at 440). The practical effect of the federal rules “is that little incentive exists for police to evade *Payton* in the hopes of securing a statement” and “the incremental deterrent resulting from suppressing statements made after an illegal arrest in the home [is] minimal” (*Harris*, 77 NY2d at 440).

Federal law does not dictate or guide the analysis of our broader protections under the State Constitution (*People v P.J. Video*, 68 NY2d 296, 304 [1986] [(“T)his (C)ourt has adopted independent standards under the State Constitution when doing so best promotes predictability and precision in judicial review of search and seizure cases and the protection of the individual rights of our citizens” (internal quotation marks omitted)]). In any case, federal jurisprudence does not support the conclusion

that every warrantless threshold arrest is constitutionally permissible. Significantly, the specific question presented in defendant's appeal—whether a warrantless home arrest is permissible when the police summon a person to the door for the sole purpose of making an arrest—is an open question not resolved by United States Supreme Court precedent. Contrary to the majority's conclusion, *Kentucky v King* (563 US 452 [2011]) does not provide clear guidance as to how the Supreme Court would rule if the question were squarely presented to that Court (majority op at 186).

In *King*, the Court considered the limited question of the circumstances under which police impermissibly create an exigency (563 US at 471). Officers ended up outside the defendant's apartment immediately after a fellow officer observed a controlled drug buy involving a resident of a neighboring apartment. Smelling marijuana smoke, they banged on the apartment door, and announced themselves as police (*id.* at 456). Immediately afterwards they heard people and things moving inside the apartment, leading them to believe that evidence was about to be destroyed, at which point they forcibly entered by kicking in the door (*id.*). The Supreme Court held that the officers' conduct was entirely consistent with the Fourth Amendment (*id.* at 471). In contrast to *King*, here the police had probable cause before they set out to defendant's apartment, and yet went directly to his home with the sole intention of making a warrantless arrest, without any suggestion of exigent circumstances. Their intent in avoiding the warrant requirement was not solely to make an inquiry, gather more evidence, or seek consent for a search (*id.* at 466-467), but to arrest defendant, take him to the precinct, and ask him questions outside the presence of a lawyer.³

In upholding the warrantless search in *King*, the Court recognized that the police may approach a suspect, even in the privacy of the person's home to ask questions, because “[w]hen law enforcement officers who are not armed with a warrant knock on a door, they do no more than any private [person]

3. The majority's claim that the Court has rejected the subjective approach and only considers the reasonableness of police conduct misses the point (majority op at 186). The undisputed purpose of the police visit to the defendant's home is an appropriate consideration here, just as it was in *King*. As Judge Wilson and I explain, viewed objectively, the circumstances did not justify the action, which was unreasonable and thus a violation of defendant's rights (*see King*, 563 US at 464, citing *Brigham City*, 547 US at 404; *see Wilson, J., dissenting op at 218*).

might do” (*id.* at 469). However, when law enforcement’s only reason to approach a person at the home is to make an arrest, the police are attempting something quite different from the uninvited knock of the average person. It is true that a suspect can lawfully ignore a police officer’s knock and inquiry (*id.* at 469-470 [(W)hether the person who knocks on the door and requests the opportunity to speak is a police officer or a private citizen, the occupant has no obligation to open the door or to speak]). In reality, it cannot be denied that a police officer’s statement carries the force of an official command not easily disregarded. Of course, the presence of the police at one’s home for any reason would cause concern or apprehension for anyone, but an officer seeking to make an arrest intensifies this natural reaction.

Furthermore, as the majority acknowledges (majority op at 182), there are federal circuit courts that have interpreted the Fourth Amendment to prohibit certain warrantless home arrests outside the home as *Payton* violations (*see Fisher v City of San Jose*, 558 F3d 1069, 1074-1075 [9th Cir 2009 en banc] [defendant seized when police surrounded his home, even though arrest happened outside]; *United States v Saari*, 272 F3d 804, 807-808 [6th Cir 2001] [defendant under arrest when cops knocked forcefully on door with guns drawn]; *United States v Reeves*, 524 F3d 1161, 1165 [10th Cir 2008] [officers effectively commanding defendant to open door constituted an arrest]; *see also United States v Allen*, 813 F3d 76, 81 [2d Cir 2016] [recognizing circuit courts holding officers may violate *Payton* without entering defendant’s home]). These decisions are animated by the purposes of the Fourth Amendment to protect the individual’s right to be secure in the home and free from potential abuse and deployment of coercive tactics that render the protections all but illusory.

If the police determine that securing a warrant is too time-consuming or impractical under the circumstances (not argued here), the police may wait for a defendant to exit the home. Of course, such a warrantless arrest is also subject to certain constitutional constraints (*see People v De Bour*, 40 NY2d 210, 222-223 [1976] [officers cannot ask pointed questions of an individual without a founded suspicion that criminality is afoot, cannot forcibly stop and detain without reasonable suspicion, cannot arrest without probable cause]). So long as police action comports with the law, the question of where to execute an arrest is left to the discretion of the officials in charge.

III.

The police violated defendant's constitutional rights against a warrantless home arrest and his indelible right to counsel when they went to his home without a warrant for the sole purpose of arresting him, and effectuated the arrest in the absence of exigent circumstances. I dissent from the majority's suggestion that such conduct is both constitutionally permissible and a required outcome of our case law.

Whether this violation requires the reversal of defendant's conviction is a different question and one not properly before us on this appeal. In this case, because the courts below did not address the People's alternative grounds in support of defendant's conviction, the matter should be reversed and remitted to permit consideration of those arguments.⁴

WILSON, J. (dissenting). Absent exigent circumstances, officers planning to arrest a suspect at home must obtain a warrant. The majority's analysis neither satisfies the Federal and State Constitutions nor serves the interests of New York citizens and law enforcement officers. Indeed, the precedents on which the majority relies "recognize that it would have been more prudent if the police obtained a warrant for defendant's arrest before going to his home" (*People v McBride*, 14 NY3d 440, 447 [2010]). Because the police planned to arrest him, did not obtain a warrant, and no exigent circumstances were present, Mr. Garvin's threshold arrest was unlawful and his case should be remanded to the Appellate Division to consider whether the fruits of that arrest were sufficiently attenuated to admit into evidence or whether any error in admitting them was harmless beyond a reasonable doubt.

I. *Payton v New York* and the United States Constitution

In *Payton v New York* (445 US 573 [1980]), the Supreme Court held that, in the absence of exigent circumstances, the Fourth Amendment prohibits law enforcement officials from making a warrantless and nonconsensual entry into a suspect's home to arrest him. Although *Payton* addressed one oft-reserved question—whether and under what circumstances federal law enforcement officers may enter the home of a suspect—it, and its failure to grapple squarely with the legacy

4. Given my conclusion that the matter should be remitted, I do not opine on the merits of defendant's challenge to the persistent felony offender statute (Penal Law § 70.10).

of *United States v Santana* (427 US 38 [1976]), raised numerous others.¹ In *United States v Allen* (813 F3d 76 [2016]), the United States Court of Appeals for the Second Circuit resolved two of the most vexing: where is the threshold, and whose position relative to it is determinative? For the reasons stated in its thorough opinion, which I would adopt in full, the Second Circuit concluded that “where law enforcement officers summon a suspect to the door of his home and place him under arrest while he remains within his home, in the absence of exigent circumstances, *Payton* is violated regardless of whether the officers physically cross the threshold” (*id.* at 88-89).²

The majority does not take issue with *Allen*’s conclusion. Instead, it attempts to distinguish the facts of that case from those before us (majority op at 182-183). Dennis Allen, Jr. was arrested “at the front door” or “inside the threshold” of his home (*Allen*, 813 F3d at 78, 79). Sean Garvin was arrested “at the threshold” or “in the doorway” of his (*People v Garvin*, 130 AD3d 644, 645 [2d Dept 2015]); he did not step into the hallway. Although the Appellate Division found, in language borrowed from a prior opinion, that Mr. Garvin “voluntarily emerged,” there is nothing in its decision to indicate that he emerged *from the apartment and into the hall*, as opposed to from the recesses of the apartment to the door. In neither instance did law enforcement officers enter the apartment.

I understand the majority to be saying that the factfinders concluded Mr. Allen was inside his apartment, beside the open door, where Mr. Garvin had advanced until he was standing between the doorjambs: his toes in the hallway; his heels in his home. Under the majority’s rule, the threshold is the narrow area between the doorjambs, and a suspect who pierces the plane of the door with any part of his body, for any length of

1. Among them: what constitutes a defendant’s home, whether force or ruses of various descriptions can induce a defendant to leave it, how to determine the admissibility of statements made subsequent to a violation, and if its protections apply when a defendant either briefly exits his home and is pursued back into it or is in the home of a third party. “In following the rule enunciated in *Payton*, New York courts have had to resolve numerous issues that have arisen in the wake of its interpretation” (1-3 Barry Kamins, New York Search & Seizure § 3.04 [2017]).

2. As the majority correctly points out, the Second Circuit did not go so far as to require a warrant before the police could arrest a suspect who voluntarily departed the home’s confines and joined the police on the exterior of the threshold prior to her arrest (*Allen*, 813 F3d at 78 [“if Allen had come out of the apartment into the street and been arrested there, no warrant would be required” (emphasis omitted)]).

time, forgoes the protection of his home. Under its interpretation of the Appellate Division's findings, Mr. Garvin (however unwittingly) did exactly that.

We are bound by the findings of fact made by the Appellate Division. I am not bound, however, by the majority's interpretation of those findings, and I see nothing in the Appellate Division's choice of prepositions that constitutes a finding that the People met their burden to prove Mr. Garvin (or a portion of him) had crossed the threshold of his apartment. Even were I to assume that was the relevant threshold—a proposition I join Judge Rivera in doubting—the protections of the Federal and State Constitutions and the prospect of a life behind bars should not turn on the vagaries of a prepositional phrase. Those vagaries are amply illustrated in this case by the People's key witness, who testified that both he and the defendant were simultaneously standing “in the doorway”—an implausible scenario if that witness, like the majority, understood the phrase to mean precisely the space between the doorjambs, and one that suggests he, like most people, understood “in the doorway” to mean “near it,” possibly in- or outside, or some of each.

Nor does a consultation of the record, which includes the following colloquy with that witness, whose testimony the court credited, resolve the ambiguity:

“[Detective:] . . . we placed handcuffs on him at the doorway.

“[Defense:] Inside the apartment or outside the apartment?

“[Detective:] Inside the doorway.

“[Defense:] He had stepped out of his apartment?

“[The People]: Judge, I'm going to object.

“THE COURT: Counsel, rephrase it.

“[Defense:] When you say, ‘inside the doorway’, in the apartment or outside the apartment?

“[Detective:] Inside the doorway.

“[Defense:] Inside the doorway.

“[Detective:] He was standing at the doorway.

“[Defense:] Okay. And the handcuffs, detective, were placed on him when he was by the doorway?

“[Detective:] Yes.”³

Thus, contrary to the majority, I understand the Appellate Division to have found Mr. Garvin was inside, rather than partially outside, his apartment and thus subject to the protections of the Federal Constitution elaborated in *Allen*.⁴ At the very least, there is no record evidence to support a finding that he was fully outside when arrested.

However, because the majority treats this case as one in which some fragment of the defendant’s body exited his home before he was arrested, I note that nothing in today’s decision precludes a lower court or a latter decision from adopting *Allen* when confronted by a case in which a defendant consented to an arrest while remaining entirely inside his home. Similarly, because no police officer crossed the threshold or otherwise conducted a search of Mr. Garvin’s apartment, nothing in today’s decision prevents a future court from announcing a rule that would suppress evidence seized during a consensual search after a warrantless threshold arrest.

II. The New York Constitution

The Court’s disagreement over the present facts and their implication, as well as the at least three-way circuit split over how to apply *Payton* in similar circumstances (*see Allen*, 813 F3d at 81), suggest it is time for us to consider whether the New York Constitution provides greater clarity to police officers, private citizens, and future litigants than the present federal rule, which implicates defendants in a high-stakes game of inches that they do not know they are playing. I believe that it should.

I would therefore go further than *Allen* and prohibit purposeful warrantless arrests of suspects who are induced to leave their homes by the actions (be they direct or furtive, and

3. The arrest, furthermore, took place when the police first told Mr. Garvin he was under arrest—several seconds before he was handcuffed. In the words of the People’s witness, “When I knocked on the door, he answered the door this time. I looked at him. He looked at me. I said, you’re under arrest. He turned around, put his hands behind his back, and I handcuffed him.” This version of the story further supports the suggestion that it is fair to understand the Appellate Division’s finding Mr. Garvin was “in the doorway” to mean “just inside the doorway” rather than “on the sill.” The witness does not describe Mr. Garvin stepping forward after opening the door, and it would be surprisingly aggressive for any person to open a door and advance on a trio of officers.

4. In addition to *Allen*’s persuasive force, we have an interest in ensuring our protections are no less than those guaranteed by the local federal courts.

however noncoercive) of the police. In other words, if the police plan to arrest someone who is at home, absent exigent circumstances, until they have an arrest warrant, they may not go to the person's door to arrest him or cause him to leave his home to arrest him outside of it.

As an initial matter, "we have not hesitated in the past to interpret article I, § 12 of the State Constitution independently of its Federal counterpart when necessary to assure that our State's citizens are adequately protected from unreasonable governmental intrusions" (*People v Scott*, 79 NY2d 474, 496-497 [1992]). In case after case, "this court has demonstrated its willingness to adopt more protective standards under the State Constitution when doing so best promotes 'predictability and precision in judicial review of search and seizure cases and the protection of the individual rights of our citizens'" (*People v Torres*, 74 NY2d 224, 228 [1989], quoting *People v P.J. Video*, 68 NY2d 296, 304 [1986], and *People v Johnson*, 66 NY2d 398, 407 [1985]).

One of the most significant of those cases, despite our initial failure to anticipate the Supreme Court's holding in *Payton* (see *People v Payton*, 45 NY2d 300 [1978]), is *People v Harris* (77 NY2d 434 [1991]). That case held, as I would here, that "the Supreme Court's rule does not adequately protect the search and seizure rights of citizens of New York" and that our constitution provided greater protections than its federal counterpart to defendants subject to warrantless home arrests (*id.* at 437). It also instructed that "[s]tate courts, when asked to do so, are *bound* to apply their own Constitutions notwithstanding the holdings of the United States Supreme Court" (*id.* [emphasis added]), as "the failure to perform an independent analysis under the State Constitution would improperly relegate many of its provisions to redundancy" (*Scott*, 79 NY2d at 496). Mr. Garvin asks us to apply ours here.⁵

5. The majority declines to address this argument on the ground that Mr. Garvin failed to raise the lawfulness of his arrest under the New York Constitution at the suppression hearing (majority op at 185 n 8). At the suppression hearing, Mr. Garvin's counsel expressly advised the Court that he was relying on the omnibus motion papers previously filed with the Court. Those papers expressly state: "The Defendant moves for a hearing to determine whether Defendant was improperly seized and unlawfully detained in violation of the Defendant's constitutional rights derived from both the United States Constitution, Fourth and Fourteenth Amendments, *New York State Constitution, Article [I], Section 12*" (emphasis added). Furthermore, Mr.

(n. cont'd)

The application of the New York Constitution to the present case is affected by the principle of stare decisis. The majority points to four prior cases in which this Court has held that certain warrantless threshold arrests do not violate *Payton*: *People v Minley* (68 NY2d 952 [1986]), *People v Reynoso* (2 NY3d 820 [2004]), *People v McBride* (14 NY3d 440 [2010]), and *People v Spencer* (29 NY3d 302 [2017]).

None of those four cases, however, addresses the question Mr. Garvin raises. They deal, as the majority itself concedes (majority op at 180), only with the application of *Payton* and the Fourth Amendment. Because they do not consider whether any matters peculiar to this state warrant greater protection under article I, § 12, I approach that inquiry as an issue of first impression. Even were our decisions in *Minley*, *Reynoso*, *McBride*, and *Spencer* to bear on today's issue, both "lessons of experience and the force of better reasoning" (*People v Bing*, 76 NY2d 331, 338 [1990]) would compel me to abandon that line of decisions.

As to the force of better reasoning, it is indisputable that none of the cases cited by the majority elaborate on how to apply *Payton* to threshold arrests. *Minley* and *Reynoso* are mere memoranda, devoid of any reasoning. *Minley* treats an issue the Appellate Division had concluded was "not properly preserved for appeal"; indeed, the Appellate Division "assume[d] . . . that the warrantless arrest was illegal under *Payton*" (*People v Minley*, 112 AD2d 712, 712 [4th Dept 1985]). *Reynoso* disposes in two sentences of disputed facts, without remanding for the Appellate Division's determination the possibility that a detective reached across the threshold to pull defendant out of his home (*People v Reynoso*, 309 AD2d 769 [2d Dept 2003])—a scenario that seems unlikely to comport with even a narrow reading of *Payton* or our application thereof in *People v Levan* (62 NY2d 139 [1984]; *but see People v Ashcroft*, 33 AD3d 429, 429 [1st Dept 2006] ["The police did not violate defendant's Fourth Amendment rights when they reached in and pulled him out as he stood in close proximity to his doorway, since, by his actions, defendant knowingly and volun-

Garvin maintained at the hearing that the violation of "both his federal and state constitutional rights" was specifically intended to circumvent his right to counsel. These arguments sufficed to preserve the issue for the review he now requests. As the majority believes the issue was not preserved, the question of whether our constitution affords more protection in this regard than its federal counterpart remains open.

tarily presented himself for public view”]). *McBride* is about whether the police created the exigent circumstances they used to justify their entry, not threshold arrests, and occasioned both a two-Judge dissent and a cautionary aside from the majority that anticipated the rule I suggest today (14 NY3d at 449 [Pigott, J., dissenting] [(T)he real issue is ‘could the police, as required by the Fourth Amendment and legions of cases, have obtained a warrant prior to going to defendant’s apartment when they clearly intended to effect an arrest?’ ”]). *Spencer*, as well as Mr. Spencer’s brief, treated the *Payton* issue in that case as a footnote to the central contest over juror disqualification. Measured against the depth of analysis provided by the federal courts, and against fresh reasoning occasioned by the lessons of experience, the precedents on which the majority relies suggest a nearly weightless brand of stare decisis.

As to those lessons of experience, they demonstrate that, contrary to the majority and the Appellate Division’s contention, the current rule is not clearly and easily understood. Perhaps because, as Supreme Court recently bemoaned, “[n]o New York case since *Payton* appears to have addressed the issue” of what constitutes a “threshold” (*People v Mendoza*, 49 Misc 3d 1007, 1012 [Sup Ct, NY County 2015]), the current rule has failed to protect New York citizens from illegal searches (*People v Kozlowski*, 69 NY2d 761 [1987]; *People v Riffas*, 120 AD3d 1438 [2d Dept 2014]; *Mendoza*, 49 Misc 3d 1007 [finding that police had violated the defendant’s Fourth Amendment rights]; see also *People v Correa*, 55 AD3d 1380 [4th Dept 2008]; *Reynoso*, 309 AD2d 769; *People v Anderson*, 146 AD2d 638 [2d Dept 1989] [declining to suppress evidence gathered by police who breached the threshold]). For the same reason, it has failed to safeguard the court system from constant appellate litigation (see e.g. *Kozlowski*, 69 NY2d 761; *People v Spencer*, 135 AD3d 608 [1st Dept 2016]; *Garvin*, 130 AD3d 644; *Riffas*, 120 AD3d 1438; *People v Pearson*, 82 AD3d 475 [1st Dept 2011]; *Correa*, 55 AD3d 1380; *People v Rodriguez*, 21 AD3d 1400 [4th Dept 2005]; *Reynoso*, 309 AD2d 769; *People v Andino*, 256 AD2d 153 [1st Dept 1998]; *Mauceri v County of Suffolk*, 234 AD2d 350 [2d Dept 1996]; *People v Schiavo*, 212 AD2d 816 [2d Dept 1995]; *People v Francis*, 209 AD2d 539 [2d Dept 1994]; *People v Min Chul Shin*, 200 AD2d 770 [2d Dept 1994]; *People v Rosario*, 179 AD2d 442 [1st Dept 1992]; *People v Lewis*, 172 AD2d 775 [2d Dept 1991]; *People v*

Marzan, 161 AD2d 416 [1st Dept 1990]; *Anderson*, 146 AD2d 638; *People v Brown*, 144 AD2d 975 [1st Dept 1988]; *People v Nonni*, 141 AD2d 862 [2d Dept 1988]).

As this Court's first sustained consideration of the validity of threshold arrests, today's opinion may resolve some of that ambiguity by defining the threshold to mean only the narrow space between the doorjambs. But in doing so, it provides not only a uniform line to lower courts but also a better guide to those witnesses willing to tailor their testimony to the law. The rule the majority upholds invites both parties—but especially those parties better versed in the law—to engage in unverifiable he-said, he-said contests on the stand. Even for honest witnesses—and I assume the witnesses here were completely truthful—the rule presents defendants who may not wish to testify with an unpleasant dilemma and tests the precise spatial recall of participants in what is typically a tension-fraught situation where all parties are focused on their safety, not architectural niceties. Moreover, a clear rule can founder on everyday imprecisions of language, as illustrated by the difference the majority and I have about what the Appellate Division found here. A rule requiring police, in the absence of exigent circumstances, to obtain a warrant before (a) going to a home for the purpose of arresting a suspect or (b) causing that suspect to enter or cross the threshold, offers a far brighter line (see *United States v Holland*, 755 F2d 253, 259 [2d Cir 1985, Newman, J., dissenting] ["I appreciate the majority's preference for a 'clearly-defined boundary line' that will be readily apparent to an officer in the field. However, that line already exists for cases such as this: the line between arrests with a warrant and those without a warrant"]). Although the majority criticizes that alternative for looking to the subjective intent of the police (majority op at 184), it will prove easier to verify whether the police visited a house to make an arrest or merely to further an investigation than whether a suspect's nose crossed the threshold (see *United States v Titemore*, 335 F Supp 2d 502 [D Vt 2004]). The cases the majority cites discourage investigations into whether individual officers acted in bad faith or with an invidious purpose (*Kentucky v King*, 563 US 452 [2011]; *Whren v United States*, 517 US 806, 814 [1996]); far from requiring that kind of subjective analysis, a rule declaring purposeful at-home arrests absent exigent circumstances unreasonable searches and seizures under the New York Constitution takes an objective view of the circumstances.

The Second Circuit had no difficulty establishing police officers in *Allen* planned to arrest the defendant (813 F3d at 78 [“four Springfield police officers went to Allen’s apartment with the pre-formed plan to arrest him” (internal quotation marks omitted)]).

The present rule is not only subject to confusion and manipulation, but also has practical repercussions that subvert both the ideals of the New York bill of rights and the goals of our law enforcement officers.

Adherence to the majority’s rule “involves collision with a prior doctrine more embracing in its scope” (*People v Peque*, 22 NY3d 168, 194 [2013]). As Judge Rivera explains in her dissent, “the safeguards guaranteed by the State’s Right to Counsel Clause are unique . . . and far more expansive than the federal counterpart” (77 NY2d at 439). Their protection requires the “highest degree of judicial diligence” (*id.*). New York police “have every reason to violate *Payton* . . . because doing so enables them to circumvent the accused’s indelible right to counsel,” which would attach were an arrest warrant obtained (*id.* at 440). Indeed, the evidence indicated that the police were motivated by just such considerations in this case. Even though they had developed probable cause for Mr. Garvin’s arrest by 2:45 p.m. on the day of the arrest, they did not attempt to secure a warrant or stake out his house. Instead, to question him in the absence of an attorney and while his girlfriend’s presence in police custody—secured through deceitful statements by a detective—might motivate a confession, they elected to effect a warrantless threshold arrest. Here as in *Harris*, “this interplay between the right to counsel rules established by New York law and the State’s search and seizure provisions . . . provides a compelling reason for deviating” from the federal rule (*id.*).

When the police call on a suspect’s home with the intention of making an arrest, one of several scenarios can unfold. In most instances, that suspect will acquiesce to the police’s simple request to leave the home—an exchange that results in peaceful arrests but operates in derogation of the right to counsel and, in some instances, as an unwitting waiver of the suspect’s right to avoid unreasonable searches of that home (see e.g. *Allen*, 813 F3d at 79 [“Allen, who had appeared at the door in his stocking feet, asked whether he could retrieve his shoes and inform his 12-year-old daughter, who was upstairs in the apartment, that he would be leaving with the officers.

The officers advised Allen that he could not return upstairs unless they accompanied him, which they did”]; *Nonni*, 141 AD2d at 862 [“Detective McCormack then announced from his position outside the doorway that the defendant was under arrest. The defendant responded by stating, ‘Let’s take it off the street’. The defendant thereupon turned and walked into the house with the police following him”]; *Rosario*, 179 AD2d at 442 [“The police officers identified themselves and arrested defendant at the doorway of his apartment. Defendant, who wore nothing above the waist, was told to get a shirt. The police officers followed defendant into his apartment as he went to retrieve his shirt”]).

In other instances, law enforcement officers will resort to a variety of ruses to achieve the same result. The lower courts have upheld arrests subsequent to noncoercive subterfuges that, although validated by this Court’s memoranda upholding *Reynoso* and *People v Roe* (73 NY2d 1004 [1989]), hardly instill a community’s trust in the police (*see e.g. People v Robinson*, 8 AD3d 131 [1st Dept 2004] [police fabricated a noise complaint]; *People v Hollings*, NYLJ, June 15, 2004 at 17, col 2, 2004 NYLJ LEXIS 2511 [Sup Ct, Bronx County 2004] [police asked the defendant to help solve a fictitious crime]; *Reynoso*, 309 AD2d 769 [police had defendant’s mother wake him at midnight because a fictitious friend was suffering an undisclosed emergency]; *People v Williams*, 222 AD2d 721 [2d Dept 1995] [police said that there had been an accident involving defendant’s vehicle]; *People v Gutkaiss*, 206 AD2d 628 [3d Dept 1994] [police had defendant’s relative call about construction work]; *People v Coppin*, 202 AD2d 279 [1st Dept 1994] [police officer said she might go out with defendant]). They have also derailed what should have been clean convictions because the police used impermissibly coercive means (*see e.g. People v Fernandez*, 158 Misc 2d 165 [Sup Ct, NY County 1993] [police impersonated a parole officer conducting a residence check]; *see also People v Roe*, 136 AD2d 140 [3d Dept 1988] [“if police had falsely informed defendant that there was a gas leak requiring his evacuation, his departure from his home would be no more voluntary than it would be had the police surrounded the premises and ordered him out with guns drawn”]).

In a final category of instances, the suspect will respond to the police’s arrival either by refusing to answer or by opening and then attempting to close the door—the other horn of the “unfair dilemma” confronting suspects subject to warrantless

home arrests (*United States v Reed*, 572 F2d 412, 423 n 9 [2d Cir 1978]). Whereas officers equipped with an arrest warrant would have more authority in the eyes of their suspect and the clear right to enter the house if the situation required, the majority's rule creates unfortunate uncertainties for all parties to the encounter. On some occasions, that uncertainty tempts the officers into compromising their case by effecting an unlawful arrest (*see e.g. Riffas*, 120 AD3d at 1438-1439 [when defendant, who had never crossed the threshold of his apartment, attempted to shut the door, the police violated his *Payton* rights by pushing the door open, pulling the defendant into the public hallway, and arresting him]). On others, the mounting frustration of officers trapped outside the threshold presents a danger to the suspect, bystanders, and the arresting officers (*see e.g. McBride*, 14 NY3d at 444 [police, frustrated by defendant's refusal to open the door, climbed his fire escape and knocked, guns drawn, on the window, sending the defendant's guest crying to the door]). This scenario also presents a danger to the People's case, as the police, who cannot enter the home without a warrant and "cannot by their own conduct create an appearance of exigency" (*Levan*, 62 NY2d at 146), have provided notice to a suspect who now has an opportunity to flee, destroy physical evidence inside the home, or even arm himself in anticipation of resisting arrest.

None of these scenarios is desirable. They, and a variety of other questions occasioned by the current rule (*see* 211 n 1), can be avoided by creating a warrant requirement for the purposeful at-home arrests of suspects.⁶ That requirement would protect the rights of citizens from abuse, our law enforcement officers from the threat of escalating circumstances, and the People from having a carefully planned case upended by credible testimony that a defendant had been securely inside his threshold or an officer had been, even inadvertently, out of bounds. It would not, because of the exigent circumstances exception and the relative ease of securing an arrest warrant when probable cause exists, unduly hamper the important work of our police forces.

6. The rule would not prevent the police from staking out a home and conducting a public arrest based on probable cause after a suspect exits that home without the State's prompting, although officers not wishing to wait could instead obtain an arrest warrant. It also would not prevent the police from effecting the unplanned arrest of a person whose home they approached for the purposes of making an inquiry (*cf. King*, 563 US 452; *Allen*, 813 F3d at 84-85 [discussing *United States v Titemore*, 437 F3d 251 (2006)]).

Although the People suggest they can meet their burden of demonstrating exigent circumstances justified the warrantless arrest in this case, there is no evidence to suggest the police faced an “urgent need” to apprehend their suspect (*McBride*, 14 NY3d at 446, quoting *United States v Martinez-Gonzalez*, 686 F2d 93, 100 [2d Cir 1982]). Any speculative danger that Mr. Garvin might commit another robbery, use a weapon, or attempt to flee could have been prevented by the simple expedient of stationing an officer outside his home while an arrest warrant was obtained. Any risk that he would realize the game was up and destroy the evidence was occasioned by the police and their scheme to bring Mr. Garvin’s girlfriend and her daughter to the station as a form of leverage over the defendant. There is no record support for the conclusion that the police were faced with an exigency other than that which they created. To conclude otherwise would be to allow the exception to swallow the proposed rule. Applying that rule to the present circumstances, Mr. Garvin’s arrest violated the State Constitution.

As a result, I would reverse the order of the Appellate Division and remit the case to that Court to determine whether the People have established that Mr. Garvin’s statement, and the money recovered at the precinct, were attenuated from the violation or that the hearing court’s refusal to suppress them was harmless beyond a reasonable doubt.

Chief Judge DiFiore and Judges Garcia and Feinman concur; Judge Fahey dissents in part in an opinion; Judge Rivera dissents in an opinion in which Judge Wilson concurs, Judge Wilson in a separate dissenting opinion.

Order affirmed.

[88 NE3d 305, 66 NYS3d 147]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BRIAN NOVAK, Appellant.

Argued September 6, 2017; decided October 24, 2017

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Schenectady County Court (Matthew J. Sypniewski, J.), dated January 23, 2015. The County Court affirmed a judgment of the City Court of Schenectady, Schenectady County (Matthew J. Sypniewski, J.), which had convicted defendant, following a bench trial, of driving while ability impaired.

HEADNOTE

Crimes — Appeal — Recusal

The failure of the judge who had presided over defendant's pretrial motion to dismiss and bench trial in City Court to recuse himself from adjudicating defendant's single-judge appeal to County Court, to which the judge had been elevated while defendant's appeal was pending, was a violation of due process. Because defendants have a right to challenge a judgment on direct appeal, a defendant is entitled to the minimum safeguards of due process under the Federal and State Constitutions. The right to an impartial jurist is a basic requirement of due process. Not only must judges actually be neutral, they must appear so as well. Accordingly, under principles of due process (*see* US Const, Amend XIV, § 1; NY Const, art I, § 6), a judge may not act as appellate decision-maker in a case over which the judge previously presided at trial. Although there currently exists no explicit statutory or constitutional provision in New York prohibiting judges from reviewing their own judgments on appeal, our laws and court rules have long sought to purge actual bias and the possibility of bias from our courtrooms.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Judges §§ 147, 148, 150.

CARMODY-WAIT 2d Officers of Court § 3:91.

McKINNEY'S, NY Const, art I, § 6.

NY JUR 2d Courts and Judges §§ 399, 407, 420; NY JUR 2d Criminal Law: Procedure §§ 3553, 3670.

US Const 14th Amend.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Due Process; Recusal.

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Query: “due process” & appeal /s “same judge”

POINTS OF COUNSEL

Danielle Neroni Reilly, Albany, for appellant. I. County Court erred by refusing to recuse itself from the appeal of its own verdict. (*People v Moreno*, 70 NY2d 403; *Corradino v Corradino*, 48 NY2d 894; *Caperton v A. T. Massey Coal Co.*, 556 US 868; *In re Murchison*, 349 US 133; *Rexford v Brunswick-Balke-Collender Co.*, 228 US 339; *United States v Wolfson*, 558 F2d 59; *Weddington v Zatecky*, 721 F3d 456; *Clemmons v Wolfe*, 377 F3d 322; *Moran v Dillingham*, 174 US 153; *Swann v Charlotte-Mecklenburg Bd. of Educ.*, 431 F2d 135.) II. The prosecutor’s information upon which appellant was tried and convicted was jurisdictionally defective. (*People v Ligon*, 188 Misc 2d 477; *People v Greco*, 12 Misc 3d 83; *People v Baron*, 107 Misc 2d 59; *People v Flood*, 25 Misc 3d 843; *People v Green*, 192 Misc 2d 296; *People v Quarles*, 168 Misc 2d 638; *People v Harper*, 37 NY2d 96; *People v Dreyden*, 15 NY3d 100; *People v Quinto*, 18 NY3d 409.) III. The trial court abused its discretion by refusing to impose any sanction for the People’s *Rosario* violation. (*People v Rosario*, 9 NY2d 286; *Brady v Maryland*, 373 US 83; *People v Torres*, 190 AD2d 52; *People v Bramble*, 207 AD2d 407; *People v Kelly*, 62 NY2d 516; *People v Banch*, 80 NY2d 610; *People v Wallace*, 76 NY2d 953; *United States v Agurs*, 427 US 97; *People v Vilardi*, 76 NY2d 67; *People v Marr*, 177 AD2d 964.) IV. The trial court erred in admitting evidence regarding the horizontal gaze nystagmus test without first establishing its scientific validity. (*People v Erickson*, 156 AD2d 760; *People v Heidelberg*, 214 AD2d 767; *Frye v United States*, 293 F 1013; *People v Wernick*, 89 NY2d 111; *Giordano v Market Am., Inc.*, 15 NY3d 590; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Angelo*, 88 NY2d 217; *People v Gallup*, 302 AD2d 681; *People v Wesley*, 83 NY2d 417; *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762.) V. The evidence presented at trial was legally insufficient to support appellant’s conviction. (*People v Hines*, 97 NY2d 56; *People v Lee*, 80 AD3d 877; *People v Battese*, 74 AD3d 1571; *People v Contes*, 60 NY2d 620; *People v McDonald*, 27 AD3d 949; *People v Cruz*, 48 NY2d 419; *People v Hagmann*, 175 AD2d 502.)

Robert M. Carney, District Attorney, Schenectady (Tracey A. Brunecz of counsel), for respondent. I. County Court did not err in refusing to recuse itself from the appeal of its own verdict. (*Matter of Diana A.*, 65 Misc 2d 1034; *People v Grier*, 273 AD2d 403.) II. Appellant was properly charged and convicted under a valid and timely filed prosecutor's information. (*People v Baron*, 107 Misc 2d 59; *People v Green*, 192 Misc 2d 296; *People v Casey*, 95 NY2d 354; *People v Fernandez*, 20 NY3d 44.) III. There was no abuse of discretion in refusing to sanction the People for the loss of the video recording of the data master room. (*People v Kelly*, 62 NY2d 516; *People v Kinred*, 276 AD2d 927; *People v Martinez*, 22 NY3d 551; *People v Vilardi*, 76 NY2d 67; *United States v Agurs*, 427 US 97; *United States v Bagley*, 473 US 667; *People v Smith*, 63 NY2d 41.) IV. County Court correctly affirmed the trial court's admission of evidence regarding horizontal gaze nystagmus because the People laid a proper foundation to admit the evidence. (*People v Wesley*, 83 NY2d 417; *People v Hammond*, 35 AD3d 905; *People v Gallup*, 302 AD2d 681; *People v Tetrault*, 53 AD3d 558; *People v Julius*, 93 AD3d 1296.) V. The evidence presented at trial was legally sufficient to prove beyond a reasonable doubt that appellant was impaired by the consumption of alcohol. (*People v Cruz*, 48 NY2d 419; *People v Lizzio*, 178 AD2d 741; *People v Acosta*, 80 NY2d 665; *People v Danielson*, 9 NY3d 342; *People v Crandall*, 287 AD2d 881.)

OPINION OF THE COURT

FEINMAN, J.

This appeal requires us to answer a question of constitutional dimension: Whether a due process violation occurs when the sole judge deciding a criminal defendant's appeal as of right is the same judge who also presided over defendant's pretrial motions and bench trial. We hold that it does and that due process required the Judge's recusal in this case.

I.

Defendant appeals his conviction of driving while ability impaired. After arraignment in City Court, defendant moved to dismiss the charges against him. The Judge presiding in City Court denied defendant's motion and the case proceeded to a bench trial before the same Judge, who found defendant guilty as charged, and sentenced him.

Defendant then appealed as of right to the County Court. During the pendency of the appeal, the same Judge who had presided over defendant's pretrial motion to dismiss and bench

trial in City Court was elected to County Court. After taking office, the now-County Court Judge proceeded to adjudicate defendant's single-judge appeal and upheld defendant's judgment of conviction and sentence. A Judge of this Court granted defendant leave to appeal (27 NY3d 1072 [2016]).

On appeal, defendant primarily claims that the County Court Judge's failure to recuse himself from defendant's appeal taken from his own prior judgment in City Court constitutes reversible error. The People respond that because New York law does not explicitly mandate recusal in this instance, the Judge was free to exercise his discretion and decide defendant's appeal.

II.

Under New York law, a defendant has a fundamental right to an appeal (*see e.g. People v Harrison*, 27 NY3d 281, 286 [2016]). Because, unlike this Court, intermediate appellate courts in this State are empowered to review both questions of law and fact, "this unique factual review power is the linchpin of our constitutional and statutory design intended to afford each [defendant] at least one appellate review of the facts" (*People v Bleakley*, 69 NY2d 490, 494 [1987]). Further, when a state embraces a court system composed of hierarchical appellate tribunals, maintaining the integrity of that review process is of fundamental, constitutional importance. As we have explained, this "constitutional right to a fair appellate procedure" (*People v Perez*, 23 NY3d 89, 99 [2014]) must ensure due process of law (*see People v Andrews*, 23 NY3d 605, 610 [2014]; *People v West*, 100 NY2d 23, 28 [2003]; *see also Evitts v Lucey*, 469 US 387, 393 [1985] ["(I)f a State has created appellate courts as an integral part of the . . . system for finally adjudicating the guilt or innocence of a defendant, the procedures used in deciding appeals must comport with the demands of . . . Due Process" (internal quotation marks and citations omitted)]). Thus, because our laws grant a right to challenge a judgment on direct appeal (*see* CPL 450.10 [1]; 460.10), a defendant is entitled to the minimum safeguards of due process under the Federal and State Constitutions.

The right to an impartial jurist is a "basic requirement of due process" (*In re Murchison*, 349 US 133, 136 [1955]; *see also People v Alomar*, 93 NY2d 239, 245 [1999]). Under federal constitutional jurisprudence, courts evaluate whether a "serious risk of actual bias," based on objective perceptions and considering all the circumstances alleged, rises to an unconsti-

tutional level (see *Caperton v. A. T. Massey Coal Co.*, 556 US 868, 884 [2009]; *Rippo v. Baker*, 580 US —, 137 S Ct 905, 907 [2017]). Put differently, “[t]he Court asks not whether the judge is actually, subjectively biased, but whether the average judge in his [or her] position is ‘likely’ to be neutral, or whether there is an unconstitutional ‘potential for bias’” (*Caperton*, 556 US at 881). Not only must judges actually be neutral, they must appear so as well. We therefore conclude that, under principles of due process (see US Const, Amend XIV, § 1; NY Const, art I, § 6), a judge may not act as appellate decision-maker in a case over which the judge previously presided at trial.

III.

In this case, the same Judge ruled upon defendant’s pretrial motions, served as the trier of fact, convicted defendant, sentenced defendant, and then proceeded to serve as the sole reviewing Judge on appeal. On these facts, there was a clear abrogation of our State’s court structure that guarantees one level of independent factual review as of right. Here, there was a facial appearance of impropriety which “conflicted impermissibly with the notion of fundamental fairness” (*Alomar*, 93 NY2d at 246). Therefore, under these circumstances, recusal, as a matter of due process, was required.

Because this is a constitutional matter, the People’s argument that County Court committed no statutory violation misses the mark. In any case, while there currently exists no explicit statutory or constitutional provision in New York prohibiting judges from reviewing their own judgments on appeal,* our laws and court rules have long sought to purge actual bias and the possibility of bias from our courtrooms (see e.g. Judiciary Law § 14 [“A judge shall not sit as such in, or take any part in the decision of, an action, claim, matter, mo-

* This was not always the case. From 1870 to 1961, article VI of the New York State Constitution provided that “[n]o judge or justice shall sit . . . in review of a decision made by him or by any court of which he was at the time a sitting member” (1870-1894 NY Const, art VI, § 8; 1895-1925 NY Const, art VI, § 3; 1926-1961 NY Const, art VI, § 19). However, in 1959, a new article VI to the State Constitution was proposed in an effort to “reorganiz[e]” the judiciary yet specifically “continue[]” the jurisdiction of this Court, the Appellate Divisions, and County Courts among others (see proposed NY Const amendment, art VI, §§ 2 [a]; 4 [b]; 10 [a] [1959]; see also Sen. Austin Erwin’s Introducer’s Mem). Amidst this reorganization, the relevant language regarding disqualification was dropped. As the new article VI was intended to maintain continuity with key elements of the way the courts already operated, this does not affect our analysis.

tion or proceeding . . . in which (the judge) has been attorney or counsel, or in which (the judge) is interested, or if . . . related by consanguinity or affinity to any party to the controversy within the sixth degree”]; 22 NYCRR 100.2 [“A judge shall avoid impropriety and the appearance of impropriety in all of the judge’s activities”]; 22 NYCRR 100.3 [E] [1] [“A judge shall disqualify himself or herself in a proceeding in which the judge’s impartiality might reasonably be questioned”]). Although there was no evidence of partiality here, due process must still safeguard the appearance of impartiality to promote public confidence in the courts.

To be clear, as we have previously held, facts that are learned in the adjudicative process do not preclude *nisi prius* from deciding issues that arise at various stages of a criminal proceeding, including pretrial motions. For example, as we have held, it is not an abuse of discretion for the same judge to conduct a pretrial hearing, such as a *Sandoval* hearing, and then later preside over a bench trial (*see People v Moreno*, 70 NY2d 403, 407 [1987]); or for a judge to rule on the validity of a search warrant issued by that same judge (*see People v McCann*, 85 NY2d 951 [1995]); or for a judge to preside over a trial and subsequently rule upon a defendant’s CPL article 440 motion (*see also People v Saunders*, 301 AD2d 869, 872 [3d Dept 2003], *lv denied* 100 NY2d 542 [2003]). In each of these examples, further independent appellate review remains available, and accordingly, a defendant’s “constitutional right to a fair appellate procedure” remains inviolate (*see People v Perez*, 23 NY3d 89, 99 [2014]). However, where there is no opportunity for independent scrutiny by a new decision-maker, the appellate process is compromised, and due process has been violated.

IV.

Inasmuch as this matter must be remitted to County Court for defendant’s appeal to be heard by a different judge, we render no opinion on the other issues raised by defendant in his appeal. Accordingly, the order of the County Court should be reversed and the case remitted to County Court, for further proceedings in accordance with this opinion.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Wilson concur.

Order reversed and case remitted to County Court, Schenectady County, for further proceedings in accordance with the opinion herein.

[88 NE3d 361, 66 NYS3d 203]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARY
ANNE GRADY FLORES, Appellant.

Argued October 11, 2017; decided November 16, 2017

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Onondaga County Court (Thomas J. Miller, J.), entered January 8, 2016. County Court modified, as a matter of discretion in the interest of justice, a judgment of the DeWitt Town Court (David S. Gideon, J.), which had convicted defendant, upon a jury verdict, of criminal contempt in the second degree and imposed a sentence of one year of incarceration and a \$1,000 fine. The modification consisted of reducing the sentence of incarceration imposed to six months. County Court affirmed the judgment as modified.

HEADNOTES

Crimes — Appeal — Appeal to County Court or Appellate Term from Local Criminal Court — Affidavit of Errors

1. Defendant's failure to file an affidavit of errors in addition to her notice of appeal as required by CPL 460.10 (3) (a) rendered County Court without jurisdiction to hear her appeal from a local criminal court judgment of conviction entered after a jury trial during which no court stenographer was present, and consequently barred the Court of Appeals from reviewing the merits of the appeal. CPL 460.10 (3) makes the filing of an affidavit of errors a jurisdictional requirement for the taking of an appeal from a local criminal court in which the underlying proceedings were not recorded by a court stenographer. The statute requires that the appellant must file, within 30 days, "either (i) an affidavit of errors . . . or (ii) a notice of appeal" (CPL 460.10 [3] [a]). If the appellant chooses to file a notice of appeal, he or she must then file an affidavit of errors. The statute plainly states that, even when a notice of appeal is filed, an appellant must also file an affidavit of errors with the court. Only after an appellant files the affidavit of errors, as prescribed in CPL 460.10 (3), is the appeal "deemed to have been taken" (CPL 460.10 [3] [c]). As defendant did not take an appeal as dictated by the statute, the intermediate appellate court lacked jurisdiction to review the issues raised.

Crimes — Appeal — Remittitur — Consideration of Application for Leave to File Late Affidavit of Errors

2. Defendant's appeal from a local criminal court judgment of conviction, which was improperly entertained by County Court because defendant failed to file an affidavit of errors in addition to her notice of appeal as required by CPL 460.10 (3) (a), was remitted to County Court to permit that court's exercise of discretion in connection with defendant's motion to file a late affidavit of errors. CPL 460.30 (1) permits an intermediate appellate court to extend a defendant's time to file a late affidavit of errors under certain circumstances, if a motion was made within a year of the expiration of the time

for the taking of the appeal. Defendant filed a timely notice of appeal and moved, well within the statutory one-year time period allotted for the relief of an extension of time, for leave to file a late affidavit of errors. County Court granted defendant an extension of time to obtain transcripts, but did not address defendant's alternative motion to file a late affidavit of errors.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 82, 201, 267, 618, 647.
 CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:75,
 207:81–207:90.
 LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 27:1,
 27:5.
 MCKINNEY'S, CPL 460.10 (3) (a), (c); 460.30 (1).
 NY JUR 2d Criminal Law: Procedure §§ 3625, 3629, 3632–
 3634.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Conviction;
 Criminal law; Jurisdiction; Records and Recording.

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POINTS OF COUNSEL

Lance N. Salisbury, Ithaca, for appellant. I. There was no waiver by the defendant of the issue of the validity of the temporary order of protection and this issue is preserved for review by this Court. (*Matter of Holtzman v Beatty*, 97 AD2d 79; *Johnson v Zerbst*, 304 US 458; *People v Epps*, 37 NY2d 343; *Werking v Amity Estates*, 2 NY2d 43; *People v Cox*, 71 AD2d 798; *People v Spence*, 239 AD2d 218.) II. The order of protection in this case was invalid and overbroad. (*People v Raduns*, 70 AD3d 1355, 14 NY3d 891, 15 NY3d 808; *People v Shultis*, 61 AD3d 1116, 12 NY3d 929; *People v Somerville*, 72 AD3d 1285; *People v Creighton*, 298 AD2d 774; *People v Panetta*, 41 Misc 3d 614; *People v Smith*, 4 Misc 3d 909; *People v Purpura*, 12 Misc 3d 933; *People v Bostic*, 10 Misc 3d 775; *People v Meggie*, 184 Misc 2d 883; *People v Koertge*, 182 Misc 2d 183.) III. The order of protection was overly broad and vague and failed to provide the required specificity of information to the defendant. (*People v Roblee*, 70 AD3d 225; *Matter of Holtzman v*

Beatty, 97 AD2d 79; *Ford v Kammerer*, 450 F2d 279; *Matter of Sheridan v Kennedy*, 12 AD2d 332; *People v Forman*, 145 Misc 2d 115; *People v Balt*, 34 AD2d 932; *People ex rel. Finlay v Gideon*, 129 AD3d 1632.) IV. The order of protection was overly broad as it impinges upon and improperly restricts the First Amendment rights of the defendant. (*Police Dept. of Chicago v Mosley*, 408 US 92; *Erznoznik v Jacksonville*, 422 US 205; *Marsh v Alabama*, 326 US 501; *Schenck v Pro-Choice Network of Western N. Y.*, 519 US 357; *Parkmed Co. v Pro-Life Counseling*, 91 AD2d 551; *Madsen v Women's Health Center, Inc.*, 512 US 753; *New York ex rel. Spitzer v Operation Rescue Natl.*, 273 F3d 184; *Ashcroft v Free Speech Coalition*, 535 US 234; *People v Golb*, 23 NY3d 455; *Nebraska Press Assn. v Stuart*, 427 US 539.) V. The evidence was legally insufficient to convict the defendant of criminal contempt in the second degree. (*People v Cabey*, 85 NY2d 417; *People v Pierce*, 266 AD2d 721; *People v Roblee*, 70 AD3d 225; *Matter of Department of Env'tl. Protection of City of N.Y. v Department of Env'tl. Conservation of State of N.Y.*, 70 NY2d 233; *People v Bleakley*, 69 NY2d 490; *People v White*, 261 AD2d 653, 93 NY2d 1029; *People v Martin*, 81 AD3d 1178; *People v McCoy*, 59 AD3d 856.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P. Maxwell* of counsel), for respondent. I. This Court should dismiss defendant's appeal since she failed to file an affidavit of errors. (*People v Smith*, 27 NY3d 643.) II. The order of protection was not invalid or overbroad. (*People v Shampine*, 31 AD3d 1163; *People v Nieves*, 2 NY3d 310; *People v O'Connor*, 242 AD2d 908, 91 NY2d 895; *People v Raduns*, 70 AD3d 1355, 14 NY3d 891, 15 NY3d 808; *People v Somerville*, 72 AD3d 1285; *People v Smith*, 4 Misc 3d 909; *People v VanGlahn*, 189 Misc 2d 613.) III. The order of protection provided the required specificity of information. (*People v Gray*, 86 NY2d 10; *People v Shampine*, 31 AD3d 1163; *People v Nieves*, 2 NY3d 310; *People v Whalen*, 59 NY2d 273; *People v Padro*, 75 NY2d 820; *People v Bright*, 71 NY2d 376; *People v Bostic*, 10 Misc 3d 775; *People v McCowan*, 85 NY2d 985; *Matter of Jason MM.*, 245 AD2d 892; *People ex rel. Finlay v Gideon*, 129 AD3d 1632.) IV. The temporary order of protection was not overly broad and did not violate defendant's First Amendment rights. (*People v Gray*, 86 NY2d 10.) V. The evidence was legally sufficient and the verdict was not against the weight of the evidence. (*People v Contes*, 60 NY2d 620; *People v Bleakley*, 69 NY2d 490; *People v Reed*, 22 NY3d 530; *People v Villante*, 204 AD2d 369, 84 NY2d 834; *People v Garafolo*, 44 AD2d 86.)

Jonathan Wallace, Amagansett, for Upstate Drone Action, amicus curiae. I. The order of protection was so vague as to offend due process requirements. (*Southeastern Promotions, Ltd. v Conrad*, 420 US 546; *Dorman v Satti*, 678 F Supp 375; *New York Pub. Interest Research Group, Inc. v Village of Roslyn Estates*, 498 F Supp 922; *People v Golb*, 23 NY3d 455; *People v Hogan*, 172 Misc 2d 279, 181 Misc 2d 748; *People v Clark*, 44 Misc 3d 1201[A], 2014 NY Slip Op 50946[U]; *Zieper v Metzinger*, 392 F Supp 2d 516, 474 F3d 60; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Doe*, 868 F Supp 532; *Harman v City of New York*, 945 F Supp 750, 140 F3d 111; *People v Stuart*, 100 NY2d 412.) II. Mary Ann Grady Flores had a First Amendment right to take photographs of a demonstration on a public thoroughfare. (*Tunick v Safir*, 209 F3d 67; *Schenck v Pro-Choice Network of Western N. Y.*, 519 US 357; *Hotel Empls. & Rest. Empls. Union, Local 100 of N.Y., N.Y. & Vic., AFL-CIO v City of New York Dept. of Parks & Recreation*, 311 F3d 534; *Bray v City of New York*, 346 F Supp 2d 480; *People v Santorelli*, 80 NY2d 875; *Ward v Rock Against Racism*, 491 US 781; *New Alliance Party v Dinkins*, 743 F Supp 1055; *Metropolitan Council, Inc. v Safir*, 99 F Supp 2d 438; *Streetwatch v National R.R. Passenger Corp.*, 875 F Supp 1055; *Ramos v Town of Vernon*, 353 F3d 171.) III. The order of protection fails the “intermediate scrutiny” test applied in speech-neutral First Amendment cases. (*Clark v Community for Creative Non-Violence*, 468 US 288; *Ward v Rock Against Racism*, 491 US 781; *Hill v Colorado*, 530 US 703; *Reno v American Civil Liberties Union*, 521 US 844; *Boos v Barry*, 485 US 312; *Houston v Hill*, 482 US 451; *City of Ladue v Gilleo*, 512 US 43.) IV. The order of protection was an unconstitutional prior restraint on speech. (*Near v Minnesota ex rel. Olson*, 283 US 697; *Ash v Board of Mgrs. of the 155 Condominium*, 44 AD3d 324; *Carroll v President & Comm’rs of Princess Anne*, 393 US 175; *Metropolitan Opera Assn., Inc. v Local 100, Hotel Empls. & Rest. Empls. Intl. Union*, 239 F3d 172; *Organization for a Better Austin v Keefe*, 402 US 415; *Huminski v Corsones*, 396 F3d 53.)

Levine Sullivan Koch & Schulz, LLP, New York City (*Lee Levine*, *David A. Schulz* and *Mara J. Gassmann* of counsel), *Bruce D. Brown* and *Gregg P. Leslie*, Washington D.C. and *Mickey H. Osterreicher*, Buffalo, for Reporters Committee for Freedom of the Press and others, amici curiae. I. The broad construction adopted by the County Court cannot be reconciled with the statute’s plain meaning, legislative history or previous judicial construction. (*People v Nieves*, 2 NY3d 310; *People v Koertge*,

182 Misc 2d 183; *People v Purpura*, 12 Misc 3d 933; *People v Somerville*, 72 AD3d 1285; *People v Creighton*, 298 AD2d 774; *People v O'Connor*, 242 AD2d 908; *People v Smith*, 4 Misc 3d 909.) II. The broad construction adopted by the County Court should be rejected because it raises profound First Amendment issues. (*Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *People v Liberta*, 64 NY2d 152; *Courtesy Sandwich Shop v Port of N.Y. Auth.*, 12 NY2d 379; *Matter of Coates*, 9 NY2d 242; *NAACP v Claiborne Hardware Co.*, 458 US 886; *New York Times Co. v Sullivan*, 376 US 254; *Texas v Johnson*, 491 US 397; *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369; *Velazquez v Legal Servs. Corp.*, 164 F3d 757.)

Steven Shiffrin, Cornell Law School, Ithaca, for Daniel Finlay and others, amici curiae. I. The New York Legislature has wisely not authorized judges to issue orders of protection on behalf of persons who need no protection from threats, intimidation, violence or comparable conduct. (*People v Meggie*, 184 Misc 2d 883; *People v Koertge*, 182 Misc 2d 183; *People v Garris*, 159 Misc 2d 586; *People v VanGlahn*, 189 Misc 2d 613; *People v Somerville*, 72 AD3d 1285.) II. The order of protection infringes upon the defendant's rights to freedom of speech, freedom of assembly, and freedom to petition for redress of grievances under the First Amendment of the US Constitution and article I, sections 8 and 9 (1) of the NY State Constitution because it is overbroad and vague. (*New York ex rel. Spitzer v Operation Rescue Natl.*, 273 F3d 184; *Schenck v Pro-Choice Network of Western N. Y.*, 519 US 357; *Madsen v Women's Health Center, Inc.*, 512 US 753; *Greer v Spock*, 424 US 828; *Matter of Rogers v New York City Tr. Auth.*, 89 NY2d 692; *FCC v Fox Television Stations, Inc.*, 567 US 239; *Baggett v Bullitt*, 377 US 360; *Cramp v Board of Public Instruction of Orange Cty.*, 368 US 278; *Cox v Louisiana*, 379 US 559.) III. The People's preservation argument ignores the order of protection continued by the trial court despite arguments regarding the invalidity of that order, relies on an unsupported reading of the record, and assumes that a transparently invalid judicial action going to the heart of the case would rightly be shielded by preservation despite the court's obvious recognition that it was stretching, if not breaking the law. (*People v Shampine*, 31 AD3d 1163; *People v Nieves*, 2 NY3d 310.)

New York Civil Liberties Union Foundation, New York City
(*Kristen Burzynski, Jordan Wells and Arthur Eisenberg* of

counsel), for New York Civil Liberties Union, amicus curiae. I. Injunctions directed at expression are presumptively unconstitutional and plainly invalid when they are imprecise and excessively vague. (*Organization for a Better Austin v Keefe*, 402 US 415; *CBS Inc. v Davis*, 510 US 1315; *Nebraska Press Assn. v Stuart*, 427 US 539; *New York Times Co. v United States*, 403 US 713; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *Carroll v President & Comm’rs of Princess Anne*, 393 US 175; *Speiser v Randall*, 357 US 513; *Whitney v California*, 274 US 357; *Brown v Hartlage*, 456 US 45; *Schenck v Pro-Choice Network of Western N. Y.*, 519 US 357.) II. The injunction at issue here was impermissibly imprecise and vague. (*New York Times Co. v United States*, 403 US 713; *Speiser v Randall*, 357 US 513; *Walker v Birmingham*, 388 US 307; *Schneider v State [Town of Irvington]*, 308 US 147.)

D.J. & J.A. Cirando, Esqs., Syracuse (*John A. Cirando, Bradley E. Keem and Elizabeth deV. Moeller* of counsel), for Vera House, Inc., amicus curiae. A “stay away” order of protection in favor of a victim of a crime is valid because it is sufficiently specific. (*Matter of Walker v Walker*, 86 NY2d 624; *People v Nieves*, 2 NY3d 310; *People v Purpura*, 12 Misc 3d 933; *People v Nerley*, 194 Misc 2d 727; *People v Bongiovanni*, 183 Misc 2d 104; *People v Garris*, 159 Misc 2d 586; *People v Bostic*, 10 Misc 3d 775; *People v First Meridian Planning Corp.*, 86 NY2d 608; *Matter of Lanzafame v Jones*, 121 AD3d 1598; *Matter of Aumell v King*, 18 AD3d 905.)

OPINION OF THE COURT

Chief Judge DiFiore.

Criminal Procedure Law § 460.10 requires an appellant to file an affidavit of errors with the criminal court in order to take an appeal from a judgment of a local criminal court if the underlying proceedings were not recorded by a court stenographer. We have already held that the filing of the affidavit of errors in this circumstance is a jurisdictional prerequisite (see *People v Smith*, 27 NY3d 643, 647 [2016]). Consistent with our analysis in *Smith*, we conclude that the failure to file the required affidavit of errors renders the intermediate appellate court without jurisdiction to hear the case.

I.

On October 25, 2012, the DeWitt Town Court issued a temporary order of protection against defendant, Mary Anne

Grady Flores, after she was arraigned on charges of disorderly conduct and trespass in connection with a protest occurring on Hancock Field, the property of an Air National Guard military base located at 6001 East Molloy Road. As relevant here, the temporary order of protection, issued as a condition of bail pursuant to CPL 530.13 (1), directed defendant to “[s]tay away” from the colonel who requested the order on behalf of the military base, including his place of employment at 6001 East Molloy Road. Almost four months after Town Court issued the temporary order of protection against defendant, she was arrested in connection with another protest for allegedly violating the temporary order of protection and charged with criminal contempt in the second degree, in addition to disorderly conduct.

Defendant’s jury trial was held in a local town court, which is not a court of record, and no court stenographer was present during the proceedings. The jury convicted defendant of criminal contempt in the second degree and acquitted her of the disorderly conduct charge. The trial court sentenced defendant on July 10, 2014, and she filed her notice of appeal that same day. Defendant did not file an affidavit of errors with the court.

In the absence of a court stenographer to record the proceedings, Town Court electronically recorded the trial proceedings. Defense counsel made diligent efforts to obtain these mechanical recordings of the proceedings in order to have them transcribed for the appeal. On November 14, 2014—within five months of the filing of the notice of appeal—defense counsel moved County Court for an order extending defendant’s time to perfect her appeal. Defense counsel also moved for “a clarification of the proceedings pursuant to CPL 460.10 (2).” In the affidavit submitted with that motion, counsel cited CPL 460.10 (3) (a) and (b), and stated that “in order to take the present appeal, [defendant] need only have filed the notice of appeal with the DeWitt Town Court” and “served said notice of appeal on the District Attorney.” Having timely done this, counsel concluded that the “appeal was properly taken pursuant to CPL 460.10.”

Defense counsel asked County Court to “conclude that the transcripts created from an electronic recording of a trial . . . [are] the functional equivalent of stenographic minutes for purposes of CPL . . . 460.10.” However, defense counsel further argued in the alternative that, if County Court denied his motion, “there is good cause for a late filing of the affidavit of

errors.”¹ On November 20, 2014, County Court granted defendant an extension of time to perfect her appeal, without reaching defendant’s alternative application for leave to file a late affidavit of errors pursuant to CPL 460.30.

County Court subsequently modified the judgment, upholding defendant’s conviction for criminal contempt in the second degree, but reducing the year-long jail sentence defendant received to six months. A Judge of this Court granted defendant leave to appeal (27 NY3d 1132 [2016]), and we now reverse and remit to County Court for further proceedings in accordance with this opinion.

II.

On appeal in this Court, defendant argues, among other things, that Town Court had no authority under CPL 530.13 (1) to issue the temporary order of protection, that the order impermissibly burdened her First Amendment rights, and that the accusatory instrument was defective. In response, the People assert, in the first instance, that we cannot entertain the appeal due to defendant’s failure to file an affidavit of errors. We agree with the People that this jurisdictional defect bars our review of the merits of this appeal.

[1] “It is a fundamental precept of the jurisdiction of our appellate courts that ‘[n]o appeal lies from a determination made in a criminal proceeding unless specifically provided for by statute’ ” (*Matter of 381 Search Warrants Directed to Facebook, Inc.* [New York County Dist. Attorney’s Off.], 29 NY3d 231, 242 [2017], quoting *People v Lovett*, 25 NY3d 1088, 1090 [2015]). CPL 1.10 (1) (a) specifically provides that “[a]ll criminal actions

1. In his motion, defense counsel relied on *People v Robinson* (72 NY2d 989 [1988]) as support for his request to treat the trial transcripts prepared from an electronic recording as equivalent to the minutes prepared by a court stenographer. Defense counsel’s motion was predicated on a misunderstanding of the law. Rather than addressing the taking of an appeal, our decision in *Robinson* plainly involved the trial court’s return to an appeal that had been taken by a defendant. The return “must set forth or summarize evidence, facts or occurrences in or adduced at the proceedings resulting in the judgment, sentence or order, which constitute the factual foundation for the contentions alleged in the affidavit of errors” (CPL 460.10 [3] [d]). In *Robinson*, we held that a transcript prepared from an electronic recording of the defendant’s probation revocation hearing satisfied the statutory requirement of the court’s return pursuant to CPL 460.10 (3) (d) (72 NY2d at 990). We did not determine that the transcript satisfied the affidavit of errors requirement imposed on the appellant to take the appeal under CPL 460.10 (3) (a) (*see id.*). Defendant’s motion predated our decision in *Smith*.

and proceedings . . . and all appeals” are exclusively governed by the Criminal Procedure Law. As we recently held in *Smith*, CPL 460.10 (3) makes the filing of an affidavit of errors a “jurisdictional requirement” for the taking of an appeal from a local criminal court in which the underlying proceedings were not recorded by a court stenographer (*see Smith*, 27 NY3d at 649-650).

The statute requires that the appellant must file, within 30 days, “either (i) an affidavit of errors, setting forth alleged errors or defects in the proceedings which are the subjects of the appeal, or (ii) a notice of appeal” (CPL 460.10 [3] [a]; *see Smith*, 27 NY3d at 648). “If the appellant chooses to file a notice of appeal, he or she must then file an affidavit of errors” (*Smith*, 27 NY3d at 648, citing CPL 460.10 [3] [a]). CPL 460.10 (3) (a) plainly states that, even when a notice of appeal is filed, an appellant must also file an affidavit of errors with the court. Only after appellant files the affidavit of errors, as prescribed in CPL 460.10 (3), is the appeal “deemed to have been taken” (CPL 460.10 [3] [c]). Thus, the filing of the affidavit of errors with the court is a “jurisdictional prerequisite” (*Smith*, 27 NY3d at 646) for the taking of an appeal. As defendant here did not take an appeal as dictated by statute, the intermediate appellate court lacked jurisdiction to review the issues raised.

Contrary to defendant’s argument, this is not a new pronouncement as to the jurisdictional nature of CPL 460.10. Our recent decision in *Smith* was not the first time we held that failing to file an affidavit of errors is a “jurisdictional defect” preventing a court from hearing the appeal (*see id.* at 649). In interpreting section 751 of the former Code of Criminal Procedure, the precursor to the Criminal Procedure Law, we held that the failure to file an affidavit of errors within a 30-day period was fatal to the appeal (*see People v Colin*, 18 NY2d 795 [1966] [affirming a County Court order granting the People’s motion to dismiss for failure to timely file an affidavit of errors]; *People v Dimmie*, 15 NY2d 578 [1964]; *People v Omans*, 306 NY 375 [1954]; *see also People v Coaye*, 68 NY2d 857 [1986] [holding that the prescribed limitations set out in CPL 460.10 are jurisdictional]).

Where the court is deprived of the requisite filings to take the appeal, such defect directly goes to the jurisdiction of the court. As defendant, here, failed to properly take an appeal, this jurisdictional defect prevents our Court from reviewing

the substantial merits arguments raised by defendant in this case.²

III.

[2] In the past, when we determined an appeal was improperly entertained by the intermediate appellate court, we have remitted with directions to dismiss the appeal taken to that court (see *People v Stephens*, 55 NY2d 778 [1981]; *Matter of Santangelo v People*, 38 NY2d 536 [1976]). Such corrective action is not appropriate here however. CPL 460.30 (1) permits an intermediate appellate court to extend a defendant's time to file a late affidavit of errors under certain circumstances, if a motion was made within a year of the expiration of the time for the taking of the appeal. In this case, defendant filed a timely notice of appeal and moved—well within the statutory one-year time period allotted for the relief of an extension of time—for leave to file a late affidavit of errors. County Court granted defendant an extension of time to obtain the transcripts, but did not address defendant's alternative motion to file a late affidavit of errors. Given the unusual circumstances presented here, we remit to County Court to permit that court's exercise of discretion in connection with defendant's motion to file a late affidavit of errors.

Accordingly, the order of the County Court should be reversed, and the case remitted to that court for further proceedings in accordance with this opinion.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order reversed and case remitted to County Court, Onondaga County, for further proceedings in accordance with the opinion herein.

2. This year, the legislature amended CPL 460.10 (3) to afford appellants more time to file the affidavit of errors in the event a court used an electronic recording in the proceedings. If an appellant opts to first timely file a notice of appeal, he or she now has 60 days after receipt of the transcript of the electronically recorded proceedings to file the affidavit (see CPL 460.10 [3] [a], as amended by L 2017, ch 195). The legislature, while expanding the time an appellant has to take an appeal, did not eliminate the jurisdictional prerequisite of an affidavit of errors.

[88 NE3d 365, 66 NYS3d 207]

In the Matter of FRANK MESTECKY, Appellant, v CITY OF NEW YORK et al., Respondents.

Argued October 18, 2017; decided November 20, 2017

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from a judgment (denominated decision and order) of that Court, entered November 5, 2015, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in New York County). The Appellate Division (1) confirmed determinations of respondent Environmental Control Board which had, collectively, sustained seven notices of violation (NOVs) against petitioner, and denied petitioner's applications to vacate default judgments regarding two other NOVs; (2) denied the petition; and (3) dismissed the proceeding. The following question was certified by the Appellate Division: "Was the order of this Court, which confirmed the determinations of respondent[,], properly made?"

Matter of MestECKY v City of New York, 133 AD3d 431, affirmed.

HEADNOTES

Process — Service of Process — Notice of Violation Issued by New York City Department of Buildings — Affix and Mail Service Permitted after Single Reasonable Attempt at Personal Service

1. To the extent that *Matter of First Horizon Home Loans v New York City Envtl. Control Bd.* (118 AD3d 875 [2d Dept 2014]) can be read for the proposition that, by referencing CPLR article 3, New York City Charter § 1049-a (d) (2) (b) incorporates the CPLR 308 (4) restriction permitting affix and mail service only when personal delivery (including delivery to a person of suitable age or discretion) of a notice of violation at the premises where a building code violation has been discovered "cannot be made with due diligence," it should not be followed.

Process — Service of Process — Notice of Violation Issued by New York City Department of Buildings — Affix and Mail Service Permitted after Single Reasonable Attempt at Personal Service

2. New York City Charter § 1049-a (d) (2) (b) permits use of affix and mail service after a single reasonable attempt by a Department of Buildings inspector to personally deliver a notice of violation at the premises where a building code violation has been discovered. New York City Charter § 1049-a (d) (2) begins by stating the general rule that CPLR article 3 service rules apply "except" in certain enumerated circumstances. Thus, to read section 1049-a (d) (2) (b), relating to an exception, as requiring strict adherence to

CPLR article 3, including the due diligence standard, would make the exception indistinguishable from the general rule, thereby rendering it superfluous. Further, the plain language of the relevant statute speaks in the singular, providing that “[s]uch notice may only be affixed . . . where a reasonable attempt has been made” at personal delivery, indicating that only one attempt is required (NY City Charter § 1049-a [d] [2] [b]). The affix and mail procedure was added to the predecessor statute to eliminate the time-consuming, costly and often unrewarding process previously entailed in identifying and locating the person responsible for the violation, and the relevant charter provisions have been amended repeatedly over time to liberalize service rules to address the chronic problem of violators avoiding service. Thus, a restrictive interpretation of the statute is inconsistent with the legislative history. Moreover, the alternate service procedure authorized by the statute is reasonably calculated to inform owners of violations relating to their properties.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Buildings §§ 39–40; AM JUR 2d Health § 92;
AM JUR 2d Process §§ 120, 138, 177, 195, 199.

CARMODY-WAIT 2d Commencement of Actions; Summons
and Service of Process §§ 24:102–24:103, 24:112, 24:116–
24:117, 24:231.

NY JUR 2d Process and Papers §§ 61, 70–76, 79, 96, 124;
NY JUR 2d Judgments § 312.

SIEGEL, NY PRAC §§ 72, 74–75, 79, 202.

ANNOTATION REFERENCE

Leaving process or notice at residence as compliance with requirement that party be served “personally” or “in person,” “personally served,” etc. 172 ALR 521.

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POINTS OF COUNSEL

Guercio & Guercio LLP, Farmingdale (*Christopher F. Mestecky* of counsel), for appellant. I. The First Department erred as a matter of law in determining that service was properly effectuated since the New York City Charter cannot be interpreted as authorizing substitute service after only one attempt at service as such an interpretation is contrary to fundamental notions of due process. (*Stewart v Volkswagen of Am.*, 81 NY2d 203; *Matter of 72A Realty Assoc. v New York*

City Envtl. Control Bd., 275 AD2d 284; *Matter of First Horizon Home Loans v New York City Envtl. Control Bd.*, 118 AD3d 875; *Hochhauser v Bungereoth*, 179 AD2d 431; *State of New York v Mappa*, 78 AD3d 926; *Johnson v Waters*, 291 AD2d 481; *Matos v Knibbs*, 186 AD2d 725; *Matter of Gallo v City of New York*, 36 Misc 3d 1204[A], 2012 NY Slip Op 51188[U]; *Eight Assoc. v Hynes*, 102 AD2d 746, 65 NY2d 739; *Hynes v Buchbinder*, 147 AD2d 371.) II. The First Department erred as a matter of law in holding that the Environmental Control Board decisions were supported by substantial evidence as a review of the record reveals that, in each instance, service of the notices of violation was defective. (*Matter of First Horizon Home Loans v New York City Envtl. Control Bd.*, 118 AD3d 875; *Matter of Wilner v Beddoe*, 102 AD3d 582; *Matter of Gallo v City of New York*, 36 Misc 3d 1204[A], 2012 NY Slip Op 51188[U]; *Matter of Kelly v Safir*, 96 NY2d 32; *New Amber Auto Serv. v New York City Envtl. Control Bd.*, 163 Misc 2d 113; *Matter of Rocco v Kelly*, 20 AD3d 364; *Matter of Parent Teacher Assn. of P.S. 124M v Board of Educ. of City School Dist. of City of N.Y.*, 138 AD2d 108; *Joseph L. Balkan, Inc. v City of New York*, 41 AD3d 136; *Matter of Feldman v New York State Teachers' Retirement Sys.*, 14 AD3d 769; *Taxraja Mgt., LLC v City of N.Y. Envtl. Control Bd.*, 33 Misc 3d 1225[A], 2011 NY Slip Op 52113[U].)

Zachary W. Carter, Corporation Counsel, New York City (Max McCann, Richard Dearing and Michael Pastor of counsel), for respondents. I. The notices of violation were served in accordance with the City Charter. (*Edan v Johnson*, 117 AD3d 528; *Matter of First Horizon Home Loans v New York City Envtl. Control Bd.*, 118 AD3d 875; *Matter of Brown v Wing*, 93 NY2d 517; *People v Tohom*, 109 AD3d 253.) II. Frank Mestecky's sundry procedural arguments have no merit. (*Matter of Putnam Cos. v Shah*, 93 AD3d 1315; *Matter of Gordon v Brown*, 84 NY2d 574.) III. Frank Mestecky's challenge to two rejections of his requests to vacate default judgments was untimely. (*Matter of Edmead v McGuire*, 67 NY2d 714; *Matter of Carter v State of N.Y., Exec. Dept., Div. of Parole*, 95 NY2d 267; *Matter of De Milio v Borghard*, 55 NY2d 216.)

OPINION OF THE COURT

Chief Judge DiFiore.

New York City Charter § 1049-a (d) (2) permits the use of affix and mail service of notices of violation (NOVs) issued by

Department of Buildings (DOB) inspectors who discover building code violations, but only after there has been “a reasonable attempt” to deliver the notice “to a person in such premises upon whom service may be made as provided for by article three of the civil practice law and rules or article three of the business corporation law” (*see* NY City Charter § 1049-a [d] [2] [b]). The question presented is whether, prior to use of the affix and mail procedure, the City Charter requires more than a single attempt to personally serve the NOV at the premises.

The Environmental Control Board (ECB), a division of the City’s Office of Administrative Trials and Hearings, adjudicates certain violations of the New York City Charter and Administrative Code, including violations of the building code. Petitioner owns residential property on Union Turnpike in New Hyde Park. In the determinations challenged in this proceeding, the ECB found that between October 2011 and June 2012, DOB inspectors issued nine NOVs for code violations observed at the property. Each NOV identified the nature of the alleged violation and contained a statement, made under penalty of perjury, describing the inspector’s unsuccessful effort to personally serve the NOV at the premises. For example, with respect to three NOVs issued in December 2011, the inspector explained “female occupants state [premises owner] does not live there—refused [to] accept service.” Three NOVs posted in June 2012 state: “No response to doorbell—knocks at front storm door—waited 5 minutes.” In each instance, after a single unsuccessful attempt at personal service, the inspector used the “alternate service” procedure, affixing the NOV in a conspicuous place. Additional documentary proof indicated that copies of the NOVs were mailed to petitioner at the premises address and, for NOVs issued after February 2012, at his home in Bayside, Queens.

Petitioner’s failure to appear on the hearing dates directed on the NOVs resulted in administrative default judgments imposing fines and penalties. With respect to seven of the nine NOVs, petitioner successfully moved to vacate the defaults. At two hearings consolidating challenges to those NOVs, petitioner denied having received any of the NOVs and argued, among other things, that they were not properly served because more than one attempt at personal service is required prior to use of the alternate affix and mail procedure authorized in New York City Charter § 1049-a (d) (2) (a) (ii). That argument was rejected by the presiding administrative law judges and the

ECB sustained the violations upon administrative appeal. Petitioner's motions before the ECB to open the two remaining administrative default judgments were denied. Petitioner commenced this CPLR article 78 proceeding challenging the ECB determinations with respect to all nine NOVs, which was transferred to the Appellate Division.

The Appellate Division confirmed the determinations, denied the petition and dismissed the proceeding, concluding that the agency properly interpreted New York City Charter § 1049-a (d) (2) (b) to require only one attempt at personal service of an NOV at the premises prior to resorting to the affix and mail procedure and, thus, the seven NOVs that were reviewed in the administrative hearings were properly served (133 AD3d 431 [2015]). That court also held that petitioner's claims with respect to the two administrative default judgments were time-barred due to his failure to commence the CPLR article 78 proceeding within four months of the ECB determinations denying his motions to vacate those defaults. The Appellate Division granted petitioner leave to appeal to this Court, certifying the question of whether its order was properly made. We now affirm.

In statutory interpretation cases, the Court's "primary consideration 'is to ascertain and give effect to the intention of the Legislature'" (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). The statutory text is the clearest indicator of legislative intent "and courts should construe unambiguous language to give effect to its plain meaning" (*id.*). When the statutory language at issue is but one component in a larger statutory scheme, it "must be analyzed in context and in a manner that 'harmonizes the related provisions and renders them compatible'" (*Matter of M.B.*, 6 NY3d 437, 447 [2006] [ellipsis and brackets omitted], quoting *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). "We have recognized that meaning and effect should be given to every word of a statute" and that an interpretation that renders words or clauses superfluous should be rejected (*Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95, 104 [2001]).

New York City Charter § 1049-a (d) (2) (a) begins with a general provision requiring service of the NOV according to the rules governing service of process in CPLR article 3 and Business Corporation Law article 3. This general provision is fol-

lowed by a series of exceptions permitting alternate service procedures in specified circumstances. One of the exceptions, relevant here, addresses NOVs issued by the DOB, where service “may be made by affixing such notice in a conspicuous place to the premises where the violation occurred” (NY City Charter § 1049-a [d] [2] [a] [ii]). After being affixed to the premises, the NOV must be “mailed to the respondent at the address of such premises” and the ECB must also review its own files and those of the Department of Housing Preservation and Development (HPD) and the Department of Finance (DOF) to identify other addresses for the owner (or owner’s agent) to which the notice must also be mailed (*id.* § 1049-a [d] [2] [b] [i], [ii], [iii]).¹ This affix and mail procedure may be used, however, only “where a reasonable attempt has been made to deliver such notice to a person in such premises upon whom service may be made as provided for by article three of the civil practice law and rules or article three of the business corporation law” (*id.* § 1049-a [d] [2] [b]).

[1] Citing *Matter of First Horizon Home Loans v New York City Envtl. Control Bd.* (118 AD3d 875 [2d Dept 2014]),² petitioner argues that, by referencing CPLR article 3, New York City Charter § 1049-a (d) (2) (b) incorporates the CPLR 308 (4) restriction permitting affix and mail service only when personal delivery (including delivery to a person of suitable age or discretion) “cannot be made with due diligence.” Noting that

1. These file review provisions appear to dovetail with other requirements of New York City law, including Administrative Code of the City of New York § 27-2097, which requires certain nonresident owners of residential property—such as petitioner—to file a registration statement providing a current home and business address within 10 days of vacating the property. Although petitioner testified that he moved out of the Union Turnpike residence in June or July 2011 and that it was occupied by tenants, there is no indication in the record that, at the time of his move or in the days or weeks that followed, petitioner informed DOB, HPD or DOF that he had vacated the residence or wished to receive premises-related correspondence at a new address. Petitioner points to a property tax bill that DOF mailed to him at his Bayside home more than six months later, in February 2012. Evidence that DOF was aware of petitioner’s new address on that date is consistent with ECB’s assertion that its file reviews for NOVs issued in October and December 2011 showed only the Union Turnpike address but subsequent file reviews for NOVs issued after February 2012 showed a second address—the Bayside residence.

2. [1] It is unclear whether *First Horizon Home Loans* supports petitioner’s argument as it does not reference the “due diligence” requirement of CPLR article 3 and may be factually inapposite. However, to the extent the case can be read for the proposition urged by petitioner, it should not be followed.

some courts in other contexts have interpreted “due diligence” as requiring at least three delivery attempts at different times of day (*see e.g. State of New York v Mappa*, 78 AD3d 926 [2d Dept 2010]; *Johnson v Waters*, 291 AD2d 481 [2d Dept 2002]; *Matos v Knibbs*, 186 AD2d 725 [2d Dept 1992]; *Hochhauser v Bungeroth*, 179 AD2d 431 [1st Dept 1992]), petitioner maintains that the inspectors’ efforts here—one attempt to deliver the NOV to a person at the premises—were insufficient.

[2] This argument is belied by the structure of the statute. Because New York City Charter § 1049-a (d) (2) begins by stating the general rule that CPLR article 3 service rules apply “except” in certain enumerated circumstances, the contention that section 1049-a (d) (2) (b)—relating to an exception—requires strict adherence to CPLR article 3, including the due diligence standard, is plainly incorrect. To read the provision this way would make the exception indistinguishable from the general rule, thereby rendering it superfluous. Considered in context, the only reasonable conclusion is that the cross-reference to CPLR article 3 and Business Corporation Law article 3 in the exception was intended to import the provisions of those articles clarifying the parties or entities who can accept service, such as the clause permitting delivery to “a person of suitable age and discretion” (*see* CPLR 308 [2]). Indeed, this is the most natural reading of section 1049-a (d) (2) (b) given that the phrase containing the statutory cross-references directly follows the clause requiring “a reasonable attempt” to deliver the notice “to a person in such premises upon whom service may be made.”

Further, the plain language of the relevant statute speaks in the singular—“[s]uch notice may only be affixed . . . where a *reasonable attempt* has been made” at personal delivery—indicating that only one attempt is required (NY City Charter § 1049-a [d] [2] [b] [emphasis added]). The legislative history supports this interpretation. As the Governor’s approval memorandum explains, the affix and mail procedure was added to the predecessor statute in 1979 to “eliminate the time-consuming, costly and often unrewarding process now entailed in identifying and locating the person responsible for the violation” (Governor’s Mem approving L 1979, ch 623, 1979 NY Legis Ann at 366, amending former NY City Charter § 1404). This point was echoed by Mayor Koch, who noted that the alternate method of service could be utilized after “an attempt” at personal service (Letter of Mayor Koch, Bill Jacket, L 1979,

ch 623). In 1997, when the affix and mail procedure was made applicable to building and fire code violations, the legislative history indicates the measure was needed because of the difficulty inspectors encountered locating owners of violating properties in order to serve the NOV, particularly nonresident owners such as petitioner (see Letter of President of the Borough of Queens, Bill Jacket, L 1997, ch 569 at 9-10). The relevant charter provisions have been amended repeatedly over time to liberalize service rules to address the chronic problem of violators avoiding service. The restrictive interpretation urged by petitioner is inconsistent with this legislative history.

Moreover, the alternate service procedure authorized by the statute—a single attempt to personally deliver the NOV, coupled with affixing the NOV to the property and mailing copies to the owner at the premises and other addresses on file with related City agencies—is reasonably calculated to inform owners of violations relating to their properties. We therefore agree with the ECB and the Appellate Division that New York City Charter § 1049-a (d) (2) (b) permits use of affix and mail service after a single reasonable attempt by a DOB inspector to personally deliver the NOV at the premises.

Finally, the Appellate Division properly concluded that petitioner's challenge to the two administrative default judgments is time-barred. Several of petitioner's remaining arguments—such as his claim that the documentary proof of mailing was deficient due to the absence of affidavits of mailing—were not timely raised at the hearing and his other contentions lack merit.

Accordingly, the Appellate Division judgment should be affirmed, with costs, and the certified question not answered as unnecessary.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Judgment affirmed, with costs, and certified question not answered as unnecessary.

[88 NE3d 892, 66 NYS3d 447]

PAUL DAVIS, Appellant, v SCOTTISH RE GROUP LIMITED et al.,
Respondents, et al., Defendants.

Argued October 10, 2017; decided November 20, 2017

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 10, 2016. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (O. Peter Sherwood, J.; op 46 Misc 3d 1206[A], 2014 NY Slip Op 51898[U] [2014]), as had, to the extent appealed from as limited by the briefs, granted certain defendants' motions to dismiss the seventh, ninth and tenth causes of action for lack of standing. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of Supreme Court, properly made?"

Davis v Scottish Re Group Ltd., 138 AD3d 230, reversed.

HEADNOTE

Conflict of Laws — What Law Governs — Derivative Claims against Cayman Islands Company — Procedural Nature of Cayman Islands Grand Court Rule

Cayman Islands Grand Court Rules 1995 (Revised), order 15, rule 12A, which requires a plaintiff bringing a contested derivative action in the Cayman Islands to apply to the Cayman Islands Grand Court for leave to continue the action, is a procedural rule not applicable to derivative actions litigated in New York. Accordingly, plaintiff shareholder's failure to comply with rule 12A did not bar his derivative claims brought in New York against defendant Cayman Islands company. The plain language of rule 12A refers to procedures specific to Cayman Islands litigation. By its terms, the rule does not specifically apply to actions involving Cayman-incorporated companies. Rather, any derivative action commenced in the Cayman Islands, brought by writ on behalf of any corporation, no matter where incorporated, is subject to rule 12A. Thus, it serves a gatekeeping function, but only as to derivative actions brought in the Cayman Islands, not for derivative actions, wherever brought, concerning Cayman companies specifically. In addition, rule 12A has no provision that would suggest that it applies in derivative actions brought on behalf of Cayman Islands companies commenced outside the Cayman Islands. Rule 12A does not function similarly to substantive repose statutes; rather, it allows any plaintiff the right to commence a derivative action, and sets forth a procedural mechanism for a threshold determination of merits and standing. Moreover, holding that rule 12A is procedural does not impose a burden on New York courts, or the courts of the Cayman Islands.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Conflict of Laws §§ 134–136, 140.

NY JUR 2d Conflict of Laws §§ 66, 67.

ANNOTATION REFERENCE

See ALR Index under Conflict of Laws; Derivative Actions.

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POINTS OF COUNSEL

Boies, Schiller & Flexner LLP, New York City (*Eric Brenner* and *Matthew Tripolitsiotis* of counsel), *Guzov, LLC*, New York City (*Debra J. Guzov* and *David J. Kaplan* of counsel), and *Bolatti & Associates*, New York City (*Silvia Bolatti* of counsel), for appellant. I. The March 10, 2016 order of the Appellate Division, First Department should be reversed because New York courts have the authority to employ New York procedures to decide whether a New York plaintiff has standing to bring a derivative claim against a Cayman Islands company. (*Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Leon v Martinez*, 84 NY2d 83; *Winn v Schafer*, 499 F Supp 2d 390; *Shenwick v HM Ruby Fund, L.P.*, 106 AD3d 638; *Howe v Bank of N.Y. Mellon*, 783 F Supp 2d 466; *Lewis v Dicker*, 118 Misc 2d 28; *Hausman v Buckley*, 299 F2d 696; *Curtis, Mallet-Prevost, Colt & Mosle v Garza-Morales*, 308 AD2d 261; *Sachs v Adeli*, 26 AD3d 52; *Tennessee Coal, Iron & R. Co. v George*, 233 US 354.) II. The March 10, 2016 order of the Appellate Division, First Department should be reversed because Paul Davis has standing under Cayman Islands law to pursue derivative claims that Scottish Re Group Limited would never itself litigate. (*Messinger v United Canso Oil & Gas Ltd.*, 486 F Supp 788; *Winn v Schafer*, 499 F Supp 2d 390; *In re Tyco Intl., Ltd.*, 340 F Supp 2d 94; *Leon v Martinez*, 84 NY2d 83; *Bernhardt v Polygraphic Co. of America*, 350 US 198.)

Mayer Brown LLP, New York City (*Jean-Marie L. Atamian* and *James Ancone* of counsel), *Schulte Roth & Zabel LLP*, New

York City (*Howard O. Godnick* and *Andrew D. Gladstein* of counsel), and *Quinn Emanuel Urquhart & Sullivan, LLP*, New York City (*Jennifer J. Barrett* and *Joshua S. Margolin* of counsel), for respondents. I. Plaintiff lacks standing to bring the derivative claims pursuant to Cayman Islands Grand Court Rules order 15, rule 12A because he failed to seek the required leave from a Cayman Islands court. (*Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Hausman v Buckley*, 299 F2d 696; *Lewis v Dicker*, 118 Misc 2d 28; *Tennessee Coal, Iron & R. Co. v George*, 233 US 354; *Randall v Arabian Am. Oil Co.*, 778 F2d 1146; *Sachs v Adeli*, 26 AD3d 52; *Lerner v Prince*, 36 Misc 3d 297; *Rottenberg v Pfeiffer*, 86 Misc 2d 556, 59 AD2d 756; *Curbow Family LLC v Morgan Stanley Inv. Advisors*, 36 Misc 3d 889.) II. Plaintiff lacks standing to bring the derivative claims against the directors under *Foss v Harbottle* ([1843] 67 Eng Rep 189, 2 Hare 461). (*Winn v Schafer*, 499 F Supp 2d 390; *Shenwick v HM Ruby Fund, L.P.*, 106 AD3d 638; *Chateau D'If Corp. v City of New York*, 219 AD2d 205; *In re BP P.L.C. Derivative Litig.*, 507 F Supp 2d 302; *City of Harper Woods Employees' Retirement Sys. v Olver*, 577 F Supp 2d 124, 589 F3d 1292; *Goldstein v Siegel*, 19 AD2d 489; *Skillgames, LLC v Brody*, 1 AD3d 247.)

OPINION OF THE COURT

FEINMAN, J.

Plaintiff Paul Davis was an owner of ordinary shares in defendant Scottish Re Group Limited (Scottish Re), a Cayman Islands company formerly engaged in the business of reinsurance. He asserted both direct and derivative causes of action against Scottish Re, its indirect wholly-owned operating subsidiary Scottish Re (U.S.), Inc. (SRUS), certain members of the Board of Directors of Scottish Re and SRUS, Massachusetts Mutual Life Insurance Company (MassMutual) and the private equity firm Cerberus Capital Management, L.P. (Cerberus), and various entities affiliated with MassMutual and Cerberus. Plaintiff alleged that MassMutual and Cerberus, through certain of their affiliates, worked in concert with Scottish Re directors that were beholden to them to implement a series of transactions that enriched themselves, while causing harm to minority shareholders like plaintiff and to Scottish Re. The only claims relevant to this appeal, as limited by the parties' briefs, are plaintiff's derivative claims.

Supreme Court dismissed the majority of plaintiff's complaint, including his three derivative causes of action, on

two grounds. It held that, under Cayman Islands law, plaintiff had not established standing because he did not seek leave of court to commence a derivative action under rule 12A of order 15 of the Cayman Islands Grand Court Rules. In the alternative, Supreme Court held that plaintiff did not have standing to bring his derivative claims under Cayman Islands common law, which applies the test embodied in the 1843 English case, *Foss v Harbottle* ([1843] 67 Eng Rep 189, 2 Hare 461).

The Appellate Division modified, to allow plaintiff to replead two claims not at issue here, and otherwise affirmed based on plaintiff's noncompliance with rule 12A, holding that the rule applied because it was substantive, rather than procedural.¹ It did not reach the question of whether plaintiff had standing under *Foss v Harbottle*. The Appellate Division granted leave to appeal and certified the following question: "Was the order of this Court, which modified the order of Supreme Court, properly made?"

The dispositive issue in this appeal is whether rule 12A, contained in order 15 of the Cayman Islands Grand Court Rules 1995 (Revised),² is a substantive rule and therefore applies under our choice of law principles, barring plaintiff from bringing his derivative action on behalf of Scottish Re. We hold that rule 12A is procedural, and therefore does not apply where, as here, a plaintiff seeks to litigate his derivative claims in New York. Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, and the matter remitted for consideration of whether plaintiff has standing under Cayman substantive law.

I.

Rule 12A, which was introduced into the Cayman Islands Grand Court Rules in 1995, addresses shareholder derivative actions, and states, in relevant part:

"(1) This rule applies to every action begun by writ by one or more shareholders of a company where

1. All five Justices agreed that rule 12A barred plaintiff's derivative claims from being litigated in New York. Two Justices dissented on the issue of whether plaintiff should be permitted to replead the two claims that had impermissibly merged direct and derivative allegations (138 AD3d 230, 240 [1st Dept 2016]). These claims are not at issue.

2. The Cayman Islands Grand Court Rules 1995 (Revised), is a pdf document available online through a direct search using those terms (last accessed Nov. 14, 2017).

the cause of action is vested in the company and relief is accordingly sought on its behalf (referred to in this rule as a ‘derivative action’).

“(2) Where a defendant in a derivative action has given notice of intention to defend, the plaintiff must apply to the Court for leave to continue the action.^[3]

“(3) The application must be supported by an affidavit verifying the facts on which the claim and the entitlement to sue on behalf of the company are based. . . .

“(8) On the hearing of the application under paragraph (2), the Court may—

“(a) grant leave to continue the action, for such period and upon such terms as the Court may think fit;

“(b) subject to paragraph (11),^[4] dismiss the action;

“(c) adjourn the application and give such direction as to joinder of parties, the filing of further evidence, discovery, cross examination of deponents and otherwise as it may consider expedient.”

In sum, the relevant paragraphs of rule 12A provide that a plaintiff bringing a contested derivative action in the Cayman Islands must apply to the Cayman Islands Grand Court for leave to continue the action, entailing a hearing and a decision issued by the court. Other paragraphs of rule 12A prescribe the timetable for the parties to submit their arguments, allow the defendant to seek dismissal based on the plaintiff’s failure to abide by the time frames, and allow for interlocutory appeals and requests for indemnity (*see* rule 12A [6], [7], [9], [13]).

The first published decision from the Cayman Islands to interpret rule 12A is *Renova Resources Private Equity Ltd. v Gilbertson* (2009 CILR 268), a 2009 case involving a Bahamian plaintiff derivatively suing several defendants, including Cay-

3. “Court” is defined under section 2 in the Cayman Islands Grand Court Law as, “the Grand Court and includes a Judge of that Court.” The Grand Court Law (2015 Revision) is a pdf document available online through a direct search using those terms (last accessed Nov. 14, 2017).

4. Paragraph 11 provides that where a plaintiff’s derivative claims are dismissed, there is no prejudice to the plaintiff’s right to continue the action as to the remaining claims.

man companies, in the Cayman Islands courts. *Renova* explained that the “purpose” of requiring plaintiffs to obtain leave to continue their derivative actions is to protect corporate defendants from the time and expense of “vexatious or unfounded litigation which has little or no prospect of success or which is clearly brought by an aggrieved shareholder for his [or her] own reasons rather than in the interests of the company” (*id.* at 283 ¶ 35). The *Renova* court applied a “prima facie” test,⁵ and found that the plaintiff had standing and its claims were meritorious; it then set a briefing schedule as provided under rule 12A (*id.* at 277 ¶ 17, 297-298 ¶¶ 73-74).

II.

The parties agree that Cayman Islands substantive law governs the merits of this action, and were we to address the merits of plaintiff’s claims, we would employ the Cayman Islands Companies Law⁶ or other law relied upon by the parties. However, under New York common-law principles, procedural rules are governed by the law of the forum (*see Tanges v Heidelberg N. Am.*, 93 NY2d 48, 53 [1999]; *Martin v Dierck Equip. Co.*, 43 NY2d 583, 588 [1978]). The parties disagree as to whether rule 12A is a part of the Cayman Islands substantive law concerning derivative actions, or is a procedural rule that then does not apply to actions litigated in New York. Where there is disagreement as to the nature of a law, “the law of the forum normally determines for itself whether a given question is one of substance or procedure” (*Tanges*, 93 NY2d at 54 [internal quotation marks omitted]). We also recognize, however, that the foreign jurisdiction’s designation of the rule as procedural or substantive, while “instructive,” is not dispositive (*id.*).

Plaintiff argues that rule 12A, as expounded by the Cayman judiciary in *Renova*, is a procedural rule governing the way in which the parties appear before the Cayman courts, what manner of evidence shall be presented and, should a court make a

5. *Renova*’s prima facie test requires a factual showing, and therefore differs from New York’s CPLR 3211 (a) standard which requires the court to construe all allegations in the complaint as true and mandates only that the allegations in the complaint state a cause of action (*see e.g. Miglino v Bally Total Fitness of Greater N.Y., Inc.*, 20 NY3d 342, 351 [2013]).

6. The Cayman Islands Companies Law is reproduced online as a pdf by the law firm of Conyers Dill & Pearman, “as a service to [their] clients.” (*See* https://www.conyersdill.com/consolidatedact-files/Cayman_Companies_Law_Conyers.pdf [last accessed Nov. 14, 2017].)

determination to grant the plaintiff leave to continue, the next steps to be taken toward ultimate resolution of a derivative action. Plaintiff therefore contends that, as a procedural rule, rule 12A does not apply to derivative actions on behalf of Cayman companies litigated in New York courts.

Defendants, by contrast, argue that rule 12A functions as a substantive “gatekeeper” in derivative actions involving Cayman Islands companies. Relying on the internal affairs doctrine, which provides that relationships between a company and its directors and shareholders are generally governed by the substantive law of the jurisdiction of incorporation, and on *ARC Capital, LLC v Kalra* (2013 NY Slip Op 31316[U] [Sup Ct, NY County 2013, No. 652931/2012]), defendants argue that rule 12A, pertaining specifically to derivative actions, is a component of the Cayman Islands Companies Law, and is therefore incorporated into the substantive law. Thus, under defendants’ reading of rule 12A, a shareholder plaintiff filing a derivative action on behalf of a Cayman Islands-organized company anywhere in the world must comply with rule 12A, and seek and be granted leave by the Grand Court to continue its action. In the case at bar, plaintiff’s action, notwithstanding defendants’ construction of rule 12A, has been litigated solely in New York. Defendants thus contend application of rule 12A mandates dismissal of plaintiff’s derivative claims because plaintiff did not first seek leave from the Grand Court to continue the derivative claims pursuant to rule 12A.

III.

We first look at the plain language of rule 12A (*see Matter of King v Cuomo*, 81 NY2d 247, 253 [1993]). Rule 12A states that it pertains to all derivative actions “begun by writ,” and that the trigger for applying to the Grand Court occurs when the defendant has “given notice of intention to defend.” (Grand Court Rules 1995 [Revised], order 15, rule 12A [1], [2].) Both procedures are specific to Cayman Islands litigation. The term “writ” is clearly inapplicable to jurisdictions, such as New York, in which such actions are not commenced by writ. Additionally, under the Grand Court Rules, the defendant acknowledges service of the writ by completing a specified form which includes a box to be checked off indicating the intent to defend (*see Grand*

Court Rules 1995 [Revised], order 6; order 12, rule 1).⁷ Under this analysis, rule 12A is a procedural rule that does not apply in New York courts.

Rule 12A also states that it applies to “every action begun by writ by one or more shareholders of a company.” By its terms, it does not specifically apply to actions involving *Cayman*-incorporated companies. The plain meaning of these words is that any derivative action commenced in the Cayman Islands, brought by writ on behalf of *any* corporation, no matter where incorporated, is subject to rule 12A. Thus, it serves a gatekeeping function, but only as to derivative actions brought in the Cayman Islands, not for derivative actions, wherever brought, concerning Cayman companies specifically.

In addition, rule 12A has no provision that would suggest that it applies, as urged by defendants, in derivative actions brought on behalf of Cayman Islands companies commenced outside the Cayman Islands. Had the Rules Committee, the body appointed by the Cayman Islands Grand Court to make rules relative to practice and procedure in the Grand Court, intended that rule 12A apply to derivative actions involving Cayman Islands companies anywhere in the world, it could have expressly provided as such.⁸ The British Virgin Islands’ (BVI) Business Companies Act (2004) § 184C, for instance, requires that any shareholder intending to commence a derivative action on behalf of a BVI-incorporated company, first obtain leave from a BVI court (*see e.g. Microsoft Corp. v Vadem, Ltd.*, 2012 WL 1564155, 2012 Del Ch LEXIS 90 [Apr. 27, 2012, C.A. No. 6940-VCP]; *Vaughn v LJ Intl., Inc.*, 174 Cal App 4th 213, 221, 225, 94 Cal Rptr 166, 172, 175 [2009]; *see also Dragon Invs. Co. II LLC v Shanahan*, 2007 NY Slip Op 33688, *6-7 [Sup Ct, NY County 2007, No. 0602868/2005]). Likewise, the Canada Business Corporations Act (RSC 1985, c C-44, s 239), requires any shareholder seeking to commence a derivative action on behalf of a Canadian corporation to obtain leave

7. Available online as a direct search using those terms (last accessed Nov. 14, 2017).

8. The Rules Committee is authorized under the Grand Court Law, to make rules, “to be called Rules of Court,” for purposes including “(a) regulating pleading, practice and procedure in respect of the conduct of criminal business and of civil business before the Court in relation to all matters within the jurisdiction of the Court, whether original or appellate in nature” (Grand Court Law [2015 Revision], §§ 3, 19 [3] [last accessed Nov. 14, 2017]).

from a Canadian court, and upon being granted leave, the action must be commenced solely in certain enumerated Canadian courts (*see Locals 302 & 612 of Intl. Union of Operating Engineers-Employers Constr. Indus. Retirement Trust v Blanchard*, 2005 WL 2063852, 2005 US Dist LEXIS 17679 [SD NY, Aug. 25, 2005, No. 04 Civ 5954(LAP)]). Rule 12A does not have a similar provision and lacks any extra-jurisdictional authority.

IV.

Defendants' reliance on this Court's holding in *Tanges v Heidelberg N. Am.* (93 NY2d 48 [1999]) is misguided. In that case, we examined the language of a Connecticut product liability statute of limitations that included a statute of repose barring any action commenced later than 10 years from the date the defendant no longer had control of the injury-causing product (93 NY2d at 52-53, 55). In Connecticut, the statute was considered procedural, and the question before this Court was whether the statute should be considered procedural or substantive under New York choice of law rules. The same issue is before us; if rule 12A is substantive, we would be required to apply it. If it is procedural, we would not.

In *Tanges*, we reasoned that statutes of limitations are generally treated as procedural in New York because they pertain "to the remedy rather than the right," meaning that when the allotted time period under the statute has expired, the plaintiff loses its remedy, although it continues to have the underlying right (*see Tanges*, 93 NY2d at 54-55 [internal quotation marks and citation omitted]). Statutes of limitations begin to run when a cause of action accrues (*see CPLR 203 [a]*).

Statutes of repose are "theoretically and functionally" different (*Tanges*, 93 NY2d at 55). A statute of repose begins to run when a specified event takes place, and can expire before a possibly valid cause of action ever accrues (*id.*). The repose period creates an "absolute barrier" to a plaintiff's right of action (*id.* [internal quotation marks omitted]). Given this potential impact on the right of a plaintiff to bring a cause of action, the *Tanges* Court held that repose statutes "exhibit a substantive texture, nature and consequence," different from regular statutes of limitation, and thus are substantive (*id.* at 56). In

other words, unlike a statute of limitations, a statute of repose “envelop[es] both the right and the remedy” (*id.*).⁹

Defendants argue that rule 12A functions similarly to repose statutes and is therefore substantive. We disagree. Statutes of repose can negate a plaintiff’s right to ever bring an action in court. Rule 12A does not; it *allows* any plaintiff the right to commence a derivative action, and sets forth a procedural mechanism for a threshold determination of merits and standing. Certainly, if a plaintiff does not seek leave to continue, the rule creates an impregnable barrier to continuing the derivative action, forestalling any remedy, just as a statute of limitations forecloses a plaintiff who sleeps on its rights from obtaining a remedy. However, rule 12A itself neither creates a right, nor defeats it. Rather, it is the initial decision by the Grand Court judge, made after an evaluation of the plaintiff’s complaint using the substantive law, along with the defendant’s evidence, that may terminate the action.

In *Tanges*, we also described general policy considerations that ought to be weighed when determining whether a rule is substantive or procedural. Specifically, we consider whether our determination would impose a burden on the foreign court (Connecticut in that instance) or federal courts operating under diversity rules and whether it would threaten to cause delay in the “conduct of judicial business and impair judicial efficiency” (*id.* at 58 [internal quotation marks and citation omitted]). Here, these factors further weigh in favor of our conclusion that rule 12A is procedural.

Holding that rule 12A is procedural does not impose a burden on our courts, or the courts of the Cayman Islands (*see Tanges*, 93 NY2d at 58). However, were rule 12A held to be substantive, it is unclear what procedural path a party seeking to bring a derivative action in New York on behalf of a Cayman company would follow to comply with rule 12A. Must the party first proceed by writ in the Grand Court and then discontinue the Cayman action to return to, or commence its action here in New York? Would the ruling by the Grand Court that there was a sufficient showing of merit be binding on a New York court on a motion to dismiss or for summary judgment? Rule 12A provides no answers.

9. “[W]e may say that the substantive law defines the remedy and the right, while the law of procedure defines the modes and conditions of the application of the one to the other” (John William Salmond, *Jurisprudence* at 548 [Glanville L. Williams ed 1947]).

Therefore, a *Tanges* analysis also leads to the conclusion that rule 12A is procedural in nature. Because the procedural law of the forum typically applies under our conflict of law rules (*see Kilberg v Northeast Airlines*, 9 NY2d 34, 41 [1961]), plaintiff's failure to first comply with rule 12A's leave application procedure does not bar his derivative claims.¹⁰

V.

New York applies other states' and countries' substantive laws with regularity. We are not aware of any authority stating that under Cayman Islands law, *only* Cayman Islands courts can interpret Cayman law. We also have our own "gatekeeping" statutes, CPLR 3211 and 3212, that effectively weed out claims which are insufficient or meritless; these are the procedural rules that apply when a Cayman company is sued in New York. Moreover, New York courts are capable of applying Cayman substantive law to decide whether a plaintiff may bring shareholder derivative claims on behalf of a Cayman corporation (*see e.g. Winn v Schafer*, 499 F Supp 2d 390 [SD NY 2007] [allowing plaintiff to replead after he failed to sufficiently allege standing under Cayman law]; *Varga v McGraw Hill Fin., Inc.*, 147 AD3d 480 [1st Dept 2017], *lv denied* 29 NY3d 908 [2017] [dismissing complaint where plaintiffs did not show standing under Cayman Islands common law]). We conclude that because rule 12A is purely procedural, it imposes no requirement that New York courts conduct a *Renova*-type hearing. Rather, in New York, we employ our own procedural rules in the CPLR to actions in our courts.

Here, the plaintiff's derivative claims should not have been dismissed on the ground that he failed to comply with rule 12A. Rule 12A is a procedural rule that does not apply in the New York courts. We do not opine on whether, applying the rule of *Foss v Harbottle*, plaintiff has standing under Cayman Islands common law, a question not reached by the Appellate Division.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the case remitted to the Appellate Division for further proceedings in accordance with this opinion, and the certified question answered in the negative.

10. Notwithstanding defendants' argument to the contrary, our jurisprudence regarding pre-suit demands in derivative actions does not compel a different conclusion.

Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY and WILSON concur; Judge GARCIA taking no part.

Order, insofar as appealed from, reversed, with costs, case remitted to the Appellate Division, First Department, for further proceedings in accordance with the opinion herein and certified question answered in the negative.

[88 NE3d 1189, 66 NYS3d 660]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MARLO S.
HELMS, Respondent.

Argued October 12, 2017; decided November 20, 2017

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 8, 2016. The Appellate Division order, insofar as appealed from, (1) modified, on the law, a judgment of the Monroe County Court (Victoria M. Argento, J.), which had convicted defendant, upon his plea of guilty, of attempted criminal possession of a weapon in the second degree, and sentenced him as a second violent felony offender. The modification consisted of vacating the sentence and remitting the matter to Monroe County Court for resentencing.

People v Helms, 141 AD3d 1138, reversed.

HEADNOTES

Crimes — Sentence — Predicate Felony Conviction — Prior Foreign Conviction — Strict Equivalency Test

1. The strict equivalency test, by which a reviewing court determines whether a prior conviction in another jurisdiction may serve as a predicate felony conviction for sentencing purposes in this jurisdiction, allows a reviewing court to examine a foreign statute that a defendant has been convicted of violating, as well as any foreign statute or case law that informs the interpretation of a foreign code breached by the defendant. As a general rule, the test limits the inquiry of a reviewing court to a comparison of the crimes' elements as they are respectively defined in the foreign and New York penal statutes, and the court may not consider the allegations contained in the accusatory instrument underlying the foreign conviction. The test protects from the imposition of a predicate felony offender sentence based on the mere accusations underlying the foreign conviction. That standard does not mean that a reviewing court may look to only the foreign statute a defendant has been convicted of violating in determining whether such defendant may be sentenced as a predicate felony offender.

Crimes — Sentence — Second Violent Felony Offender — Prior Foreign Conviction

2. Defendant's Georgia conviction for burglary (Ga Code Ann former § 16-7-1 [a]) was equivalent to the New York violent felony of burglary (Penal Law § 140.25 [2]), and defendant was therefore properly sentenced as a second violent felony offender based upon that previous conviction. On its face, the Georgia burglary statute appears to contain no requirement that a defendant must have knowledge that his or her entry is unauthorized. However, the unauthorized entry element of the Georgia burglary statute contains a culpable mental state at least commensurate with that of its New York counterpart.

In Georgia, criminal trespass is, and was at the time defendant violated the Georgia statute, a lesser included offense of burglary. Inasmuch as the “lesser” Georgia crime of criminal trespass contains a “knowingly” mens rea (Ga Code Ann § 16-7-21 [b] [1]), the “entry” component of the “greater” Georgia burglary statute (Ga Code Ann former § 16-7-1 [a]) necessarily must have a culpable mental state of at least “knowingly.” Additionally, New York law provides that a person enters or remains “unlawfully” in a “premises when he [or she] is not licensed or privileged to do so” (Penal Law § 140.00 [5]). Similarly, Georgia law defines “without authority” as entering or remaining “without legal right or privilege or without permission of a person legally entitled to withhold the right” (Ga Code Ann § 16-1-3 [18]). Both of those elements of illegality speak to presence in the absence of permission, and the illegality element of the Georgia statute is therefore equivalent to that of the relevant New York statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 782, 784; AM JUR 2d Habitual Criminals and Subsequent Offenders §§ 19–20, 25, 30, 41, 44, 54.
CARMODY-WAIT 2d Sentencing Procedures §§ 203:102, 203:105, 203:107, 203:134–203:136.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.
MCKINNEY'S, Penal Law §§ 140.00 (5); 140.25 (2).
NY JUR 2d Criminal Law: Procedure §§ 3365–3367, 3373–3374.

ANNOTATION REFERENCE

Determination of character of former crime as a felony, so as to warrant punishment of an accused as a second offender. 19 ALR2d 227.

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POINTS OF COUNSEL

Sandra Doorley, District Attorney, Rochester (Leah R. Mervine of counsel), for appellant. Evaluating interpretative analysis of a foreign state's statutes and case law is permissible to determine a foreign statute's equivalency to a New York felony. (*People v Ramos*, 19 NY3d 417; *People v Olah*, 300 NY 96; *People v Jurgins*, 26 NY3d 607; *People v Muniz*, 74 NY2d 464; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *People v Jones*, 25 NY3d

57; *People ex rel. Gold v Jackson*, 5 NY2d 243; *People v Gonzalez*, 61 NY2d 586; *People v Yancy*, 86 NY2d 239.)

Timothy P. Donaher, Public Defender, Rochester (David R. Juergens of counsel), for respondent. The Appellate Division correctly held that the People did not satisfy their burden to establish that the essential elements of burglary in Georgia were “strictly equivalent” to the essential elements of burglary in New York. (*People v Toliver*, 226 AD2d 255; *People v Ramos*, 19 NY3d 417; *People v Gonzalez*, 61 NY2d 586; *People v Yancy*, 86 NY2d 239; *People v Jurgins*, 26 NY3d 607; *People v Muniz*, 74 NY2d 464; *People v Olah*, 300 NY 96; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *People v Yusuf*, 19 NY3d 314; *People v Green*, 56 NY2d 427.)

OPINION OF THE COURT

FAHEY, J.

On this appeal we must determine whether defendant’s Georgia conviction for burglary (Ga Code Ann former § 16-7-1 [a]) qualifies as a predicate felony conviction under New York’s sentencing statutes. We also are called upon to clarify the scope of the strict equivalency test, that is, the test by which a reviewing court determines whether a prior conviction in another jurisdiction may serve as a predicate felony conviction for sentencing purposes in this jurisdiction.

The strict equivalency test allows a reviewing court to examine the foreign statute that a defendant has been convicted of violating, as well as any foreign statute or case law that informs the interpretation of the foreign code breached by the defendant. Applying that test to the facts of this case, we conclude that the Georgia conviction for burglary is equivalent to a violent felony in New York. Defendant was properly sentenced as a second violent felony offender based upon that previous conviction. We therefore reverse the order insofar as appealed from and reinstate defendant’s sentence as a second violent felony offender.

Facts

In June 2012 defendant was the subject of a traffic stop in Rochester. In the course of that stop, police discovered that defendant was in possession of a loaded firearm. Defendant was charged with one count of criminal possession of a weapon in the second degree (Penal Law § 265.03 [3]). Defendant eventu-

ally pleaded guilty to attempted criminal possession of a weapon in the second degree (Penal Law §§ 110.00, 265.03 [3]), a class D violent felony (Penal Law § 70.02 [1] [c]), in satisfaction of that charge.

During the sentencing stage of those proceedings, the parties disputed whether defendant must be punished as a second violent felony offender based on his 1999 Georgia conviction for burglary (Ga Code Ann former § 16-7-1 [a]). The trial court determined that the Georgia conviction qualified defendant as a second violent felony offender, and it sentenced him accordingly, imposing a determinate term of five years' incarceration to be followed by five years of postrelease supervision.

On appeal, a divided Appellate Division concluded that “defendant . . . was improperly sentenced as a second violent felony offender inasmuch as the predicate conviction, i.e., the Georgia crime of burglary, is lacking an essential element required by the equivalent New York statute” (*People v Helms*, 141 AD3d 1138, 1138 [4th Dept 2016]).¹ The Appellate Division majority posited that “the inquiry into whether a foreign state’s conviction should be used as a predicate [for the purpose of sentencing a defendant as a multiple felony offender generally] is limited ‘to a comparison of the crimes’ elements as they are respectively defined in the foreign and New York penal statutes’ ” (*id.* at 1139, quoting *People v Jurgins*, 26 NY3d 607, 613 [2015], itself quoting *People v Muniz*, 74 NY2d 464, 467-468 [1989]). Based upon its belief that this Court has “mandated” a “direct comparison of the elements of the crimes” (141 AD3d at 1140), the Appellate Division ruled that the Georgia conviction is not the equivalent of a New York violent felony because, unlike the corresponding New York burglary statute (Penal Law § 140.25 [2] [burglary in the second degree]; see Penal Law § 70.02 [1] [b] [characterizing burglary in the second

1. To be lawfully sentenced as a second violent felony offender, a defendant must have been convicted of a predicate violent felony, as defined in Penal Law § 70.04 (1) (b) (i). The sentence with respect to the prior conviction “must have been imposed not more than [10] years before commission of the [instant] felony” (Penal Law § 70.04 [1] [b] [iv]). That 10-year period is subject to “exten[sion] by a period or periods equal to” any term of incarceration served by the defendant “between the time of commission of the previous felony and the time of commission of the present felony” (Penal Law § 70.04 [1] [b] [v]). Based on the period of time during which he was incarcerated with respect to the Georgia conviction, there is no dispute that such conviction occurred sufficiently close in time to qualify as a predicate violent felony conviction for the purpose of sentencing defendant as a predicate violent felon with respect to this matter (*see id.*).

degree as a class C violent felony]), the subject Georgia code (Ga Code Ann former § 16-7-1 [a]) does not specify that a defendant must know that the entry or decision to remain is unauthorized (*see* 141 AD3d at 1140). In so ruling, the Appellate Division did not look beyond the Georgia statute (Ga Code Ann former § 16-7-1 [a]) to determine whether the crime of burglary in Georgia required proof of a culpable mental state.²

The Appellate Division dissenter would have affirmed the judgment on the ground that there is “no substantive difference between the burglary statutes in New York and Georgia,” meaning that the Georgia conviction may serve as predicate for enhanced sentencing (141 AD3d at 1143). That review was based upon both the Georgia statute criminalizing burglary (Ga Code Ann former § 16-7-1 [a]) and additional Georgia statutes that establish “principles of criminal liability and culpability” therein (141 AD3d at 1143). The Appellate Division dissenter subsequently granted the People leave to appeal to this Court (28 NY3d 939 [2016]).

The Strict Equivalency Test

“Penal Law § [70.04] requires the imposition of enhanced sentences for those found to be predicate [violent] felons” (*Muniz*, 74 NY2d at 467). Subdivision (1) (b) (i) of that section provides, in pertinent part, that a prior out-of-state conviction qualifies as a predicate violent felony conviction if it involved “all of the essential elements of any [violent] felony for which a sentence to a term of imprisonment in excess of one year . . . was authorized and is authorized in this state.”

In this context we have “applied a strict equivalency standard that examines the elements of the foreign conviction to determine whether the crime corresponds to a New York felony, usually without reference to the facts giving rise to that conviction” (*Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745, 750-751 [2007]). “As a general rule,” this test limits the inquiry of a reviewing court “to a comparison of the crimes’ elements as they are respectively defined in the foreign and New York penal statutes” (*People v Ramos*, 19

2. In view of its determination that defendant was not properly sentenced as a second violent felony offender, the Appellate Division remitted the matter to the trial court for further proceedings. On remittal, the trial court resentenced defendant to a definite term of one year of incarceration.

NY3d 417, 419 [2012] [internal quotation marks omitted]).³ In that regard, we have held that a reviewing court “may not consider the allegations contained in the accusatory instrument underlying the foreign conviction” (*Jurgins*, 26 NY3d at 613).

At bottom, the strict equivalency test protects from the imposition of a predicate felony offender sentence based on the mere *accusations* underlying the foreign conviction—allegations, of course, of which a defendant may not have been convicted (*see generally North*, 8 NY3d at 750-751). That standard does not mean that a reviewing court may look to *only* the foreign statute a defendant has been convicted of violating in determining whether such defendant may be sentenced as a predicate felony offender. Indeed, we have specifically explained that, in that analysis, a reviewing court may consider “the statutes” that “defin[e] the relevant crimes” (*Jurgins*, 26 NY3d at 613; *see People v Gonzalez*, 61 NY2d 586, 589-590 [1984]), much as we have said that a reviewing court may rely upon case law of a foreign jurisdiction to confirm that court’s interpretation of a foreign statute (*see Jurgins*, 26 NY3d at 612 n 3 [noting that, in some instances, “it is necessary for a court to refer to the law of another state,” including case law, “to ensure lawful sentencing”]; *id.* at 614 [explaining that “(o)ur reading of the statute (there in question was) consistent with that of the (foreign) courts that have interpreted its language”]; *Gonzalez*, 61 NY2d at 591-592 [relying on Florida common law to determine whether “Florida’s rule governing lesser included offenses is the same as our ‘theoretical impossibility’ test”]).

[1] Consequently, we now reemphasize that the strict equivalency test allows a reviewing court to examine a foreign statute that a defendant has been convicted of violating, as well as any foreign statute or case law that informs the inter-

3. There is a narrow exception to the strict equivalency standard.

“[W]here the foreign statute under which the defendant was convicted renders criminal several different acts, some of which would constitute felonies and others of which would constitute only misdemeanors if committed in New York[,] . . . the recitals in the accusatory instrument that describe the particular act or acts underlying the charge are necessary to the extent that they isolate and identify the statutory crime of which the defendant was accused” (*Muniz*, 74 NY2d at 468).

In those circumstances, “the accusatory recitals are not merely surplusage, and they may properly be considered in determining whether Penal Law § 70.06 (1) (b) (i) has been satisfied” (*Muniz*, 74 NY2d at 468).

pretation of a foreign code breached by the defendant (*see Jurgins*, 26 NY3d at 612 n 3; *Gonzalez*, 61 NY2d at 591-592).

The Application of the Strict Equivalency Test to this Matter

[2] Against that backdrop we conclude that defendant's Georgia conviction for burglary is equivalent to a violent felony in New York, and that defendant was properly sentenced as a second violent felony offender based upon that previous conviction.

The Georgia statute underlying defendant's prior conviction provided that "[a] person commits the offense of burglary when, without authority and with the intent to commit a felony or a theft therein, he enters or remains within the dwelling house of another" (Ga Code Ann former § 16-7-1 [a]). The New York statutes criminalizing burglary, in turn, provide, among other things, that "[a] person is guilty of burglary in the second degree when he [or she] *knowingly* enters or remains unlawfully in a building with intent to commit a crime therein, and when . . . [t]he building is a dwelling" (Penal Law § 140.25 [2] [emphasis added]).

On its face, the Georgia burglary statute appears to contain no requirement that a defendant must have knowledge that his or her entry is unauthorized. To that end, at first glance, a reasonable mind could conclude that its "entry" component is not associated with a culpable mental state (*see* 141 AD3d at 1142). That facial analysis, however, ignores Georgia statutory and case law establishing that the unauthorized entry element of the Georgia burglary statute contains a culpable mental state at least commensurate with that of its New York counterpart.

Under Georgia statutory law, "[a] crime is included in another crime" (*Redford v State*, 309 Ga App 118, 120 and n 6, 710 SE2d 197, 198 and n 6 [2011])—i.e., a crime is a lesser included offense of another crime—when, among other things, "[i]t is established by proof of the same or less than all the facts or a less culpable mental state than is required to establish the commission of the crime charged" (Ga Code Ann § 16-1-6 [1]; *cf.* CPL 1.20 [37] [similarly providing that, "(w)hen it is impossible to commit a particular crime without concomitantly committing, by the same conduct, another offense of lesser grade or degree, the latter is, with respect to the former, a 'lesser included offense'"]). Unlike the Florida lesser-included rule at issue in *Gonzalez*, the Georgia "test is [not] consider-

ably more flexible and [does not] permit[] a charge down to a crime which may or may not be included in the [greater] offense charged” (*Gonzalez*, 61 NY2d at 592 [emphases and internal quotation marks omitted]).

Georgia statutory law further provides that “[a] person commits the offense of criminal trespass when he or she knowingly and without authority . . . [e]nters upon the land or premises of another person . . . for an unlawful purpose” (Ga Code Ann § 16-7-21 [b] [1]). Georgia case law, in turn, provides that criminal trespass is (and was at the time defendant violated the subject Georgia statute) a lesser included offense of burglary (see *Waldrop v State*, 300 Ga App 281, 284, 684 SE2d 417, 420 [2009]; *Johnson v State*, 164 Ga App 429, 429, 296 SE2d 775, 775 [1982]). Inasmuch as the “lesser” Georgia crime of criminal trespass contains a “knowingly” mens rea (Ga Code Ann § 16-7-21 [b] [1] [(a) person commits the offense of criminal trespass when he or she knowingly and without authority . . . (e)nters upon the land or premises of another . . . for an unlawful purpose])), the “entry” component of the “greater” Georgia burglary statute in question (Ga Code Ann former § 16-7-1 [a]) necessarily must have a culpable mental state of at least “knowingly.” In other words, the mental state for the greater crime logically cannot be less than the mental state for the lesser crime and, for the foregoing reasons, we conclude that the Georgia crime corresponds to a New York violent felony.⁴

Finally, we conclude that there is no merit to defendant’s contention that the illegality element—“unlawfully”—of the subject New York statute (Penal Law § 140.25 [2]) is not strictly equivalent to the illegality element—“without authority”—of the Georgia burglary statute (Ga Code Ann former § 16-7-1 [a]). New York law provides that a person enters or remains “unlawfully” in a “premises when he [or she] is not licensed or privileged to do so” (Penal Law § 140.00 [5]). Similarly, Georgia

4. The Supreme Court of Georgia has not expressly held that a knowing entry is an element of burglary, but its treatment of a different legal question in *Price v State* (289 Ga 459, 712 SE2d 828 [2011]) supports our conclusion here. In that case, which arose from convictions for burglary and criminal trespass (see *Price*, 289 Ga at 459, 712 SE2d at 829), the Court explained that the trial court should have given a jury charge accounting for the defendant’s testimony that he “believe[d] that he was authorized to enter the [subject] house” (*Price*, 289 Ga at 460, 712 SE2d at 830). There would be no reason to consider the defendant’s belief in that respect if proof of a knowing mental state was not required to establish the unauthorized entry element of the Georgia burglary statute.

law defines “without authority” as entering or remaining “without legal right or privilege or without permission of a person legally entitled to withhold the right” (Ga Code Ann § 16-1-3 [18]). Both of those elements of illegality speak to presence in the absence of permission, and we conclude that the illegality element of the subject Georgia statute is equivalent to that of the relevant New York statute.

Accordingly, the order, insofar as appealed from, should be reversed and defendant’s sentence as a second violent felony offender reinstated.

RIVERA, J. (concurring). I agree with the majority that the Appellate Division should be reversed but on a different ground. As the majority explains, to resolve whether defendant’s Georgia conviction for burglary may serve as a predicate felony for sentencing purposes under our laws, we must determine whether the Georgia burglary statute is strictly equivalent to a New York felony (majority op at 263-265). I further agree with the majority that the strict equivalency analysis may be informed by reference to Georgia’s case law and other statutes (*id.* at 264-265). Here, application of the test makes plain that the dispositive issue is whether the Georgia burglary statute, like the New York burglary statute, requires the defendant to have “knowingly” entered the dwelling without authority. I find no reason to compare the New York and Georgia lesser-included offense statutes to address this question, where, as the majority notes, in *Price v State* (289 Ga 459, 712 SE2d 828 [2011]), the Georgia Supreme Court construed *sub silentio* Georgia’s burglary statute to require that a defendant make a knowingly unauthorized entry of another’s dwelling (majority op at 266 n 4). That completes the inquiry and establishes that the defendant may be sentenced as a predicate felon based on his Georgia conviction.

Chief Judge DiFIORE and Judges STEIN, GARCIA and WILSON concur; Judge RIVERA concurs in result in an opinion, in which Judge FEINMAN concurs.

Order, insofar as appealed from, reversed and defendant’s sentence as a second violent felony offender reinstated.

[88 NE3d 1185, 66 NYS3d 656]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERTO ESTREMER, Appellant.

Argued October 10, 2017; decided November 16, 2017

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 29, 2015. The Appellate Division affirmed an order of the Supreme Court, New York County (Daniel P. FitzGerald, J.), “to the extent appealable as a judgment of resentence,” which “reimposed defendant’s original prison sentence pursuant to Penal Law § 70.85 without imposing a period of post-release supervision.”

People v Estremera, 134 AD3d 655, reversed.

HEADNOTE

Crimes — Sentence — Right to be Present at Reimposition of Original Sentence

CPL 380.40 entitles a defendant to be present personally at a proceeding to reimpose the defendant’s original prison sentence under Penal Law § 70.85 unless he or she validly forfeits or waives the right to be present. Such a proceeding, whether technically a “resentencing” proceeding as opposed to a proceeding to “reimpose” a prior sentence, is one at which “sentence is pronounced” as contemplated in CPL 380.40. Moreover, Penal Law § 70.85, which applies only to determinate sentences imposed during a certain time period and only if a statutorily-required term of postrelease supervision (PRS) was not pronounced orally at sentencing, works in tandem with Correction Law § 601-d, which contemplates defendant’s presence at proceedings held to correct *Catu* errors (*People v Catu*, 4 NY3d 242 [2005]). Accordingly, defendant, who had sought to vacate his plea and sentence because he had not been informed of the term of PRS to follow his prison sentence, had the right to be present when the trial court denied his motion and reimposed his original sentence without a term of PRS. Even though the result—avoiding a term of PRS—was in defendant’s favor, defendant had not voluntarily waived his right to be present and his absence from the sentencing proceeding was in itself an error as it constituted a violation of his right under CPL 380.40.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Criminal Law § 992.

CARMODY-WAIT 2d Sentencing Procedures §§ 203:62, 203:197.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.4.

McKINNEY'S, CPL 380.40; Penal Law § 70.85.

NY JUR 2d Criminal Law: Procedure §§ 2989, 3015.

ANNOTATION REFERENCE

See ALR Index under Absence or Presence; Sentence and Punishment.

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POINTS OF COUNSEL

Richard M. Greenberg, Office of the Appellate Defender, New York City (Samuel J. Mendez and Alexandra H. Keeling of counsel), for appellant. Roberto Estremera should be resented in his presence. (People v Rossborough, 27 NY3d 485; People v Sparber, 10 NY3d 457; People v Boyd, 12 NY3d 390; People v Catu, 4 NY3d 242; People v Pignataro, 22 NY3d 381; People v Williams, 14 NY3d 198; People v Edwards, 62 AD3d 467; People v McClain, 35 NY2d 483; United States v Salim, 690 F3d 115; United States v Arrous, 320 F3d 355.)

Cyrus R. Vance, Jr., District Attorney, New York City (Vincent Rivellese and Christopher P. Marinelli of counsel), for respondent. The order reimposing defendant's original sentence without postrelease supervision should be affirmed. (People v Catu, 4 NY3d 242; People v Sparber, 10 NY3d 457; People v Pignataro, 22 NY3d 381; People v Mills, 117 AD3d 1555; People v Covington, 88 AD3d 486; Matter of Johnson v Pataki, 91 NY2d 214; People v Reyes, 74 NY2d 837; People v Facen, 67 AD3d 1478; People v Green, 54 NY2d 878; People v Harris, 79 NY2d 909.)

OPINION OF THE COURT

WILSON, J.

Criminal Procedure Law § 380.40 (1) provides that a defendant “must be personally present at the time sentence is pronounced.” The question here is whether section 380.40 applies to the reimposition of a defendant's original prison sentence under Penal Law § 70.85. We conclude that Criminal Procedure Law § 380.40 entitles a defendant to be present personally at such a proceeding unless he or she validly forfeits or waives the right to be present.

In 2001, Mr. Estremera pleaded guilty to manslaughter in the first degree and attempted murder in the second degree. He was sentenced to 25 years in prison for each count, to be served concurrently. There was no mention of postrelease supervision (PRS) at the sentencing hearing or in the sentence and commitment order. However, in 1998, the legislature had mandated that a period of PRS be imposed as part of any determinate state prison sentence (Penal Law § 70.45, as added by L 1998, ch 1, § 15).

In 2005, in *People v Catu*, we held that a defendant who pleads guilty must be informed of the direct consequences of his plea, including the imposition of PRS, in order to knowingly, voluntarily and intelligently plead guilty, and that the failure to notify defendant of the term of PRS during the plea colloquy required that the plea be vacated (4 NY3d 242, 245 [2005]; see *People v Pignataro*, 22 NY3d 381, 384 [2013] [(“W)e have repeatedly reaffirmed that a defendant could vacate a plea when the trial court failed to mention a mandatory term of PRS during the plea allocution”]). To address *Catu* and this Court’s cases following it,¹ the legislature enacted an exception to the PRS requirement in Penal Law § 70.85. Penal Law § 70.85 applies only to determinate sentences imposed between September 1, 1998, and June 30, 2008, and only if a statutorily-required term of PRS was not pronounced orally at sentencing. Specifically, section 70.85 provides that, with the district attorney’s permission, “the court may . . . re-impose the originally imposed determinate sentence of imprisonment without any term of [PRS], which then shall be deemed a lawful sentence.”

In 2009, Mr. Estremera moved to vacate his plea and sentence because he had not been informed of the term of PRS to follow his prison sentence. He contended that *Catu* required the vacatur of his plea and that his sentence was illegal

1. In *People v Sparber* (10 NY3d 457, 469-470 [2008]), the Court held that, if a defendant had been informed of PRS during the plea colloquy but it had not been pronounced at sentencing, “the procedure” by which sentence was “imposed was flawed because the PRS component was not pronounced” orally by the judge (internal quotation marks omitted). The mandatory remedy was remittal to the trial court “for resentencing and the proper judicial pronouncement of the relevant PRS term[]” (*id.* at 465). In *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]), the Court also held that the Department of Correctional Services could not administratively impose PRS where the trial court neglected to impose it at sentencing.

because it did not include a term of PRS which was required under Penal Law § 70.45. The People sought reimposition of the original sentence pursuant to Penal Law § 70.85. At a court appearance in November 2010, at which the prosecutor and defendant's attorney were present but defendant himself was absent, Supreme Court denied defendant's motion to vacate his plea under *Catu* and reimposed his original sentence, without a term of PRS, under section 70.85. The court instructed defense counsel to notify defendant. The court's order stated, "No resentencing. Original sentence with no PRS stands."

The Appellate Division affirmed, reasoning that Mr. Estremera was not adversely affected by his absence from the resentencing because the result—avoiding a term of PRS—was in his favor (134 AD3d 655 [1st Dept 2015]). Because that decision conflicts with a criminal defendant's right to be present in court when the court pronounces sentence (*see* CPL 380.40), we now reverse.

First, Supreme Court's characterization of its action as "No resentencing" does not bind us. Under *People v Sparber* (10 NY3d 457 [2008]) and Penal Law § 70.45, Mr. Estremera's 2001 sentence was illegal. Section 70.85, by its terms, allows the court to "re-impose the originally imposed determinate sentence of imprisonment" without PRS and, thus, permits the act of imposing a sentence, even if its terms are identical to the illegal sentence originally imposed. Our prior cases generally refer to the proceeding that takes place under section 70.85 as a "resentencing" (*see e.g. People v Pignataro*, 22 NY3d at 384 ["Supreme Court rejected defendant's arguments, and resentedenced him under section 70.85 to a determinate term of 15 years without PRS"]).² However, whether such a proceeding is technically a "resentencing" proceeding, as opposed to a proceeding to "reimpose" a prior sentence, it is unquestionably a proceeding at which "sentence is pronounced" as contemplated in CPL 380.40.

Furthermore, section 70.85 works in tandem with Correction Law § 601-d, which contemplates defendant's presence at

2. The legislative history for section 70.85 shows that it was contemplated as a "resentencing" proceeding—the memorandum filed with the bill explains, "[t]his legislation . . . creat[es] a framework for re-sentencing certain offenders in cases in which PRS was not imposed at the time of sentencing" (Governor's Approval Mem, Bill Jacket, L 2008, ch 141 at 5, 2008 McKinney's Session Laws of NY at 1653). That said, nothing herein should be read to conflict with our prior decision in *People v Boyer* (22 NY3d 15 [2013]).

proceedings held to correct *Catu* errors (see e.g. *People v Williams*, 14 NY3d 198, 208 [2010] [the two statutes “deal with the significant number of incarcerated individuals whose status had been affected by the *Catu* and *Garner/Sparber* decisions”]). As we explained in *Williams*,

“Penal Law § 70.85 specifies that in cases where PRS was required but not explicitly pronounced at sentencing, the matter may be returned for resentencing pursuant to Correction Law § 601-d, and the court may decide to reimpose the original determinate sentence without PRS ‘only on consent of the district attorney’ (Penal Law § 70.85)” (14 NY3d at 213).

Section 601-d (4) (a) provides that the court “shall appoint counsel . . . and calendar such [defendant] for a court appearance,” upon a finding that the defendant’s sentence did not include a term of PRS and the judge did not issue a superseding commitment order. Thus, an incarcerated defendant who has pleaded guilty and who has received a sentence without PRS may have the original sentence reimposed upon consent of the district attorney, pursuant to section 70.85. Otherwise, he or she may be afforded the opportunity to withdraw the guilty plea under certain circumstances.³ If the defendant does not withdraw the plea, or otherwise is not eligible to do so, the court may, in accordance with the procedures set forth in section 601-d, resentence the defendant with the term of PRS added pursuant to section 70.45. Neither provision articulates an exception to CPL 380.40, which requires defendant’s presence at a sentencing proceeding.

The People argue that Mr. Estremera’s absence was inconsequential to the outcome of the section 70.85 proceeding. However, defendants have a “fundamental right to be present at sentencing” in the absence of a waiver (*People v Rossborough*, 27 NY3d 485, 488 [2016]). They have the right to hear the court’s pronouncement of sentence and to address the court, even if it is certain that the sentence is a foregone conclusion unaffected by whatever the defendant might do or say. Even when a defendant is, by agreement, to be sentenced to a statutory minimum, the defendant has a fundamental right to be present (see CPL 380.40). In *People v Sparber* we commented

3. After imposition of sentence, a defendant is afforded the opportunity to withdraw a guilty plea (pursuant to *Catu*) only on a remittal from a direct appeal (see generally *People v Stewart*, 16 NY3d 839, 840-841 [2011]).

on the importance of sentencing even where the sentences are preordained: “even in cases with mandatory PRS terms [where the judge has no discretion in setting the length of the term], the defendant still has a statutory right to hear the court’s pronouncement as to what the entire sentence encompasses, directly from the court” and that “CPL 380.20 and 380.40 reflect the view that sentencing is a critical stage of criminal proceedings” (10 NY3d at 470). We have described as “unyielding” the requirement that “[t]he defendant must be personally present at the time sentence is pronounced” (*id.* at 469 [internal quotation marks omitted]).

There is only one enumerated exception to the statute—where the defendant is convicted of a misdemeanor or petty offense, on motion of the defendant the court may sentence the defendant in absentia (CPL 380.40 [2]). We have also previously held that a defendant convicted of a felony may waive the right to be present at sentencing, provided that the waiver is knowing, voluntary and intelligent (*Rosborough*, 27 NY3d at 488-489). However, absent such a waiver—or a forfeiture of the right to be present (*see id.* at 488)—as then-Justice Fahey correctly noted in his dissent in *People v Mills*, “[t]here is no statutory basis for [a] [futility] exception” (117 AD3d 1555, 1557 [4th Dept 2014]).

Here, the Appellate Division concluded that there was no reason to remand the case because Mr. Estremera was not adversely affected by his reimposed sentence, citing *People v Covington* (88 AD3d 486, 486 [1st Dept 2011]), and *People v Mills* (117 AD3d at 1556). The majority in *Mills* cited CPL 470.15 (1) for the proposition that the Appellate Division cannot consider a sentence that did not “adversely affect[] the appellant.” CPL 470.15 (1) says,

“Upon an appeal to an intermediate appellate court from a judgment, sentence or order of a criminal court, such intermediate appellate court may consider and determine any question of law or issue of fact involving error or defect in the criminal court proceedings which may have adversely affected the appellant.”

Here, as there was no voluntary waiver, Mr. Estremera’s absence from the sentencing proceeding was in itself, under our precedents, an error as it constitutes a violation of his right under CPL 380.40.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order reversed and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[89 NE3d 468, 67 NYS3d 78]

In the Matter of JAMIE J. WAYNE COUNTY DEPARTMENT OF
SOCIAL SERVICES, Respondent; MICHELLE E.C., Appellant.

Argued October 17, 2017; decided November 20, 2017

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 10, 2016. The Appellate Division, with two Justices dissenting, affirmed an order of the Family Court of Wayne County (Daniel G. Barrett, J.), which, after a permanency hearing, among other things, continued the placement of the child until the next permanency hearing.

Matter of Jamie J. (Michelle E.C.), 145 AD3d 127, reversed.

HEADNOTES

Appeal — Academic and Moot Questions — Subsequent Family Court Proceedings

1. Respondent mother's appeal from a second permanency hearing order which denied her motion to dismiss the proceeding, made on the ground that Family Court did not have subject matter jurisdiction because the underlying neglect petition had been dismissed for failure to prove neglect, and continued her child's placement in foster care was not rendered moot by subsequent occurrences involving the parties. During the pendency of the appeal, the second permanency hearing order was superseded by a third, a fourth permanency hearing was scheduled, a proceeding to terminate respondent's parental rights was commenced and stayed pending the result of the appeal here, and a second neglect petition was filed. None of those occurrences resolved the conflict between the parties, and each permanency hearing—docketed under the first neglect petition—remained subject to the same jurisdictional objection as its predecessor. Moreover, even if the appeal were moot, the exception to that doctrine would apply.

Appeal — Preservation of Issue for Review

2. Respondent mother's appeal from a second permanency hearing order which denied her motion to dismiss the proceeding, made on the ground that Family Court did not have subject matter jurisdiction because the underlying neglect petition had been dismissed for failure to prove neglect, and continued her child's placement in foster care was preserved for review by the Court of Appeals. The jurisdictional objection, which may be raised at any time and may not be waived, was preserved in respondent's letter to Family Court, through her proposed order to show cause, and at the second permanency hearing. Her eventual consent to the second permanency order was expressly understood by all parties and by the court as a means of expediting appellate review, not a waiver of the alleged defect. Finally, her due process argument was not a stand-alone challenge requiring notice to the Attorney General, but an invocation, in service of her jurisdictional challenge, of the canon of constitutional avoidance—that the statute should be construed, if possible, to avoid the due process infirmity to which she pointed.

Courts — Family Court — Subject Matter Jurisdiction — Permanency Hearing Following Dismissal of Neglect Petition

3. Family Court does not retain subject matter jurisdiction to conduct a permanency hearing pursuant to Family Court Act article 10-A for a child removed from parental custody once the underlying neglect petition brought under Family Court Act article 10 has been dismissed for failure to prove neglect. The dismissal of a neglect petition operates to discharge a child from placement, terminate all orders regarding supervision, protection or services docketed thereunder, and extinguish the court's jurisdiction over the matter. Accordingly, respondent's child, who had been temporarily removed from respondent's custody pursuant to an ex parte pre-petition order under Family Court Act § 1022, should have been returned to respondent once the neglect petition was dismissed. Nothing in the legislative history of article 10-A, which establishes a system of "permanency hearings" for children who have been removed from parental custody, suggests that its drafters intended to overturn the long-established rule that the dismissal of a neglect petition divests Family Court of jurisdiction to issue further orders or impose additional conditions on a child's release. Nor does Family Court Act § 1088, which provides that once a child has been placed in foster care pursuant to certain sections of the Social Services Law or of Family Court Act articles 10 and 10-C, "the case shall remain on the court's calendar and the court shall maintain jurisdiction over the case until the child is discharged from placement and all orders regarding supervision, protection or services have expired," trigger a continuing grant of jurisdiction that survives the eventual dismissal of the neglect petition.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 575, 596, 598, 806; AM JUR 2d Parent and Child § 16.

CARMODY-WAIT 2d Appeals in General §§ 70:69, 70:304, 70:338–70:340, 70:343–70:345; CARMODY-WAIT 2d Appeals from Justice Courts and Other Courts of Limited Jurisdiction § 74:73; CARMODY-WAIT 2d Proceedings Involving Abused and Neglected Children, Destitute Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:209, 119A:703–119A:704, 119A:747.

McKINNEY'S, Family Ct Act §§ 1022, 1088.

NEW YORK FAMILY COURT PRACTICE 2d §§ 1:7, 3:4, 2:101, 2:106–2:107.

NY JUR 2d Appellate Review §§ 9, 127, 469, 613, 617, 626; NY JUR 2d Domestic Relations §§ 1378, 1381–1382, 1707, 1936.

SIEGEL, NY PRAC §§ 11, 16, 526, 532.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Children and Minors; Custody and Support of Children; Judgments, Orders, and Decrees; Jurisdiction.

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POINTS OF COUNSEL

Legal Assistance of Western New York, Geneva (Katharine F. Woods of counsel), The Bronx Defenders, Bronx (Emma S. Ketteringham and Saul Zipkin of counsel), Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (Roberto Finzi, Katriona G. Roh and Jennifer S. Garrett of counsel), and NYU Family Defense Clinic, Washington Square Legal Services, New York City (Martin Guggenheim and Christine Gottlieb of counsel), for appellant. I. The legislature enacted the exclusive framework for the adjudication of abuse or neglect cases in article 10 of the Family Court Act. (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of Wallach v Town of Dryden*, 23 NY3d 728; *Matter of Sutka v Conners*, 73 NY2d 395; *Lexecon Inc. v Milberg Weiss Bershad Hynes & Lerach*, 523 US 26; *Matter of Michael B.*, 80 NY2d 299; *Matter of Jacob*, 86 NY2d 651; *Matter of Tammie Z.*, 66 NY2d 1; *Santosky v Kramer*, 455 US 745; *Matter of Sheena B. [Rory F.]*, 83 AD3d 1056; *Matter of Brandon C.*, 237 AD2d 821.) II. The Court should construe the Family Court Act to avoid serious constitutional problems. (*Matter of Jacob*, 86 NY2d 651; *Edward J. DeBartolo Corp. v Florida Gulf Coast Building & Constr. Trades Council*, 485 US 568; *People v Correa*, 15 NY3d 213; *Troxel v Granville*, 530 US 57; *Santosky v Kramer*, 455 US 745; *Matter of Marie B.*, 62 NY2d 352.)

Gary Lee Bennett, Wayne County Department of Social Services, Lyons, for respondent. I. This appeal is now rendered moot due to the third permanency hearing order and should be dismissed. (*Matter of Anthony L. [Lisa P.]*, 144 AD3d 1690; *Matter of Alexander M. [Michael M.]*, 83 AD3d 1400; *Matter of Sysamouth D.*, 98 AD3d 1314; *Matter of Marcus BB. [David BB.]*, 129 AD3d 1134; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of Gannett Co., Inc. v Doran*, 74 AD3d 1788.) II. Due process, other constitutional and Family Court Act article 10-A subject matter jurisdiction claims were not properly raised and preserved at Family Court. (*People v Clarke*, 81 NY2d 777; *Matter of G. Children*, 293 AD2d 470; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *Melahn v Hearn*, 60 NY2d 944;

People v Dozier, 52 NY2d 781; *Liffiton v Grossman, Levine & Civileto*, 100 AD2d 732; *Matter of Mary R.F. [Angela I.]*, 144 AD3d 1493; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Hecker v State of New York*, 20 NY3d 1087; *Matter of Daniel H.*, 15 NY3d 883.) III. A finding of neglect is not required to continue the permanency hearing placement of a child previously placed under Family Court Act article 10-A. (*Matter of Calm Lake Dev. v Town Bd. of Town of Farmington*, 213 AD2d 979; *Matter of Christopher G. [Priscilla H.]*, 82 AD3d 1549; *Matter of Michael B.*, 80 NY2d 299; *Lacks v Lacks*, 41 NY2d 71; *Matter of Sheena B. [Rory F.]*, 83 AD3d 1056; *Matter of Dashaun G. [Diana B.]*, 117 AD3d 1526; *Matter of Sullivan County Dept. of Social Servs. v Richard C.*, 260 AD2d 680; *Matter of Tatiana R.*, 17 Misc 3d 443; *Matter of Shinice H.*, 194 AD2d 444; *Matter of Jose R.*, 83 NY2d 388.) IV. Due process was provided by the Family Court Act article 10-A process below. (*Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Matter of Marie B.*, 62 NY2d 352; *Matter of Anthony QQ.*, 48 AD3d 1014; *Matter of Adney v Morton*, 68 AD3d 1742; *Matter of Jerri D. v Jarrett H.*, 299 AD2d 863; *Matter of Commissioner of Social Servs. v Philip De G.*, 59 NY2d 137.)

James S. Hinman, P.C., Rochester (*James S. Hinman* of counsel), for James R. and another, interested parties. I. The Family Court had jurisdiction, and an obligation, to continue Jamie J. in foster care despite dismissal of the neglect petition against appellant. (*Matter of Tammie Z.*, 66 NY2d 1; *Matter of Brandon C.*, 237 AD2d 821; *Matter of Maria L.*, 152 AD2d 466; *Matter of Rasha B.*, 139 AD2d 962; *Matter of Sheena B. [Rory F.]*, 83 AD3d 1056.) II. The only issue preserved for review was that of subject matter jurisdiction. III. Appellant was accorded due process.

Devalk, Power, Lair & Warner, P.C., Sodus (*Sean D. Lair* of counsel), Attorney for the Child. I. An adjudication of abuse or neglect is not required for the court's jurisdiction to continue pursuant to Family Court Act article 10-A. (*Matter of Dashaun G. [Diana B.]*, 117 AD3d 1526; *Bender v Jamaica Hosp.*, 40 NY2d 560; *People ex rel. New York Cent. & Hudson Riv. R.R. Co. v Woodbury*, 208 NY 421; *People v Golo*, 26 NY3d 358; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205.) II. It is not a violation of the appellant's constitutionally protected rights to due process to hold her child in foster care absent a finding of neglect. (*Matter of Adney v Morton*, 68 AD3d 1742.)

Mayer Brown LLP, New York City (*Scott A. Chesin* and *Allison Levine Stillman* of counsel), for Lawyers for Children, Inc. and another, amici curiae. I. Family Court Act article 10-A permanency hearings do not afford the necessary procedural safeguards to avoid unconstitutional and inappropriate placement in care. (*Duchesne v Sugarman*, 566 F2d 817; *Troxel v Granville*, 530 US 57; *Santosky v Kramer*, 455 US 745; *Matter of Michael B.*, 80 NY2d 299; *Nicholson v Scoppetta*, 3 NY3d 357.) II. Existing procedural mechanisms under Family Court Act article 10 effectively protect children. III. Time spent in foster care has proven, deleterious effects on children. (*Matter of Michael B.*, 80 NY2d 299; *Matter of Dale P.*, 84 NY2d 72.)

OPINION OF THE COURT

WILSON, J.

This case presents the novel question of whether Family Court retains subject matter jurisdiction to conduct a permanency hearing pursuant to Family Court Act article 10-A once the underlying neglect petition brought under article 10 of that statute has been dismissed for failure to prove neglect. We hold that it does not. Instead, the dismissal of a neglect petition terminates Family Court's jurisdiction.

As then-Judge Kaye explained,

“New York’s foster care scheme is built around several fundamental social policy choices that have been explicitly declared by the Legislature and are binding on this Court . . .

“A biological parent has a right to the care and custody of a child, superior to that of others, unless the parent has abandoned that right or is proven unfit to assume the duties and privileges of parenthood, even though the State perhaps could find ‘better’ parents. A child is not the parent’s property, but neither is a child the property of the State. Looking to the child’s rights as well as the parents’ rights to bring up their own children, the Legislature has found and declared that a child’s need to grow up with a normal family life in a permanent home is ordinarily best met in the child’s natural home” (*Matter of Michael B.*, 80 NY2d 299, 308-309

[1992] [internal quotation marks, citations and emphasis omitted]).¹

Those rights are among our oldest and most fundamental and are not only provided by statute, but also guaranteed to parents and children by our State and Federal Constitutions (*Matter of Brooke S.B. v Elizabeth A.C.C.*, 28 NY3d 1, 26 [2016]; *Matter of Marie B.*, 62 NY2d 352, 358-359 [1984]; *Santosky v Kramer*, 455 US 745, 760 [1982]; *Matter of Bennett v Jeffreys*, 40 NY2d 543, 546 [1976]; *Stanley v Illinois*, 405 US 645, 651 [1972] [collecting cases]).

Here, the rights at issue are those of the subject child, Jamie J., and her mother, Michelle E.C. Jamie J. was born in November 2014. A week later, at the request of the Wayne County Department of Social Services (the Department), Family Court directed her temporary removal from Michelle E.C.'s custody pursuant to an ex parte pre-petition order under Family Court Act § 1022.² Four days after that, the Department filed its Family Court Act article 10 neglect petition. More than a year later, on the eve of the fact-finding hearing held to determine whether it could carry its burden to prove neglect, the Department moved to amend its petition to conform the pleadings with the proof. Family Court denied that eleventh-hour motion as unfairly prejudicial to Michelle E.C. and to the attorney for Jamie J. After hearing evidence, Family Court found that the Department failed to prove neglect, and therefore dismissed the petition. The Department did not appeal that decision.

1. According to amici, those legislative findings are further substantiated by amici's experience and by recent works of social science (see e.g. Kristin Turney & Christopher Wildeman, *Mental and Physical Health of Children in Foster Care*, 138 [No. 5] *Pediatrics* at 1, 3 [2016] [documenting "vast" differences between the physical and mental health of those children placed in foster care and those in general population, many of which persist even after adjusting for child and household characteristics]; Diane Mastin, Sania Metzger & Jane Golden, *Foster Care and Disconnected Youth: A Way Forward for New York* [Apr. 2013], available at http://www.fysany.org/sites/default/files/document/report_final_April_2_0.pdf [accessed Oct. 25, 2017] [finding young adults who age out of foster care face particularly poor chances of achieving educational objectives, gaining employment, or developing strong family relations and stable housing arrangements]; Joseph J. Doyle, Jr., *Child Protection and Child Outcomes: Measuring the Effects of Foster Care*, 97 [No. 5] *Am Econ Rev* 1583 [2007] [suggesting that children on the margin of placement tend to have better outcomes when they remain at home]).

2. Jamie J.'s father's parental rights have subsequently been terminated upon consent.

Family Court, however, did not release Jamie J. into her mother's custody when it dismissed the article 10 neglect petition. Instead, at the Department's insistence and over Michelle E.C.'s objection, it held a second permanency hearing, which had been scheduled as a matter of course during the statutorily required first permanency hearing in the summer of 2015. Family Court and the Department contended that, even though the Department had failed to prove any legal basis to remove Jamie J. from her mother, article 10-A of the Family Court Act gave Family Court continuing jurisdiction over Jamie J. and entitled it to continue her placement in foster care.

Family Court held the second permanency hearing on January 19, 2016. There, Michelle E.C. argued, as she does here, that the dismissal of the neglect proceeding ended Family Court's subject matter jurisdiction and should have required her daughter's immediate return. Solely to expedite her appeal of that issue, Michelle E.C. consented to a second permanency hearing order denying her motion to dismiss the proceeding and continuing Jamie J.'s placement in foster care. The Appellate Division, with two Justices dissenting, affirmed the second permanency hearing order (145 AD3d 127 [4th Dept 2016]) and Michelle E.C. appealed that decision as of right under CPLR 5601 (a). Her appeal presents a straightforward question of statutory interpretation: does Family Court Act article 10-A provide an independent grant of continuing jurisdiction that survives the dismissal of the underlying article 10 neglect petition?

[1, 2] Before turning to that question, we first consider whether mootness and preservation issues prevent us from reaching it. During the pendency of this appeal, the second permanency hearing order was superseded by a third, a fourth permanency hearing was scheduled, a proceeding to terminate Michelle E.C.'s parental rights was commenced and stayed pending the result of this appeal, and a second neglect petition was filed. The Department argues this appeal has been rendered moot by those occurrences. However, none of them resolved the conflict between the parties, and each permanency hearing—docketed under the first neglect petition—remains subject to the same jurisdictional objection as its predecessor (see *Matter of State of New York v Michael M.*, 24 NY3d 649, 657 [2014]). Moreover, even if the appeal were moot, the exception to that doctrine would plainly apply (see generally *Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]). As to

preservation, the jurisdictional objection, which may be raised at any time and may not be waived (*Lacks v Lacks*, 41 NY2d 71, 75 [1976]), was preserved in Michelle E.C.'s letter to Family Court, through her proposed order to show cause, and at the second permanency hearing. Her eventual consent to the second permanency order was expressly understood by all parties and by the court as a means of expediting appellate review, not a waiver of the alleged defect. Finally, her due process argument is properly apprehended not as a stand-alone challenge requiring notice to the Attorney General, but as an invocation, in service of her jurisdictional challenge, of the canon of constitutional avoidance: that is, we should construe the statute, if possible, to avoid the due process infirmity to which she points (see *Matter of Jacob*, 86 NY2d 651, 668 n 5 [1995]). On that basis, we proceed to the heart of the parties disagreement: the interplay between Family Court Act articles 10 (§§ 1011-1085) and 10-A (§§ 1086-1090-a).

Article 10, titled "Child Protective Proceedings," is designed to "establish procedures to help protect children from injury or mistreatment and to help safeguard their physical, mental, and emotional well-being" and "to provide a due process of law for determining when the state, through its family court, may intervene against the wishes of a parent on behalf of a child so that his [or her] needs are properly met" (Family Ct Act § 1011). A child is "neglected" if that child's "physical, mental or emotional condition has been impaired or is in imminent danger of becoming impaired as a result of the failure of [a] parent or other person legally responsible for his [or her] care to exercise a minimum degree of care" (*id.* § 1012 [f] [i]).

An article 10 proceeding is commenced by the filing of a neglect and/or abuse petition by the relevant child protective agency or another person (*id.* §§ 1031 [a]; 1032). However, even before a petition is filed, Family Court may temporarily remove a child who, *inter alia*, "appears so to suffer from the abuse or neglect of his or her parent or other person legally responsible for his or her care that his or her immediate removal is necessary to avoid imminent danger to the child's life or health" and if there is not enough time to hold a preliminary post-petition hearing (*id.* § 1022 [a] [i]). In making this determination, Family Court "shall consider and determine in its order whether continuation in the child's home would be contrary to the best interests of the child" (*id.* § 1022 [a] [iii]). It must also determine that "reasonable efforts were made prior to the date

of application for the order directing such temporary removal to prevent or eliminate the need for removal” or that “the lack of such efforts was appropriate under the circumstances” (*id.*). If a child is removed under this section, a neglect petition must be filed within three court days, except for good cause shown, and a permanency hearing scheduled (*id.* §§ 1022 [b]; 1027 [h]).

For that neglect petition to be sustained, the child protective agency must prove neglect by a preponderance of the competent, material, and relevant evidence (*id.* §§ 1046 [b]; 1051 [a]). If the petition contains allegations that do not conform to the proof of neglect, Family Court may amend the petition provided the parent retains reasonable time to prepare an answer to the amended allegations (*id.* § 1051 [b]). If the agency carries its burden, Family Court must sustain the petition and hold a dispositional hearing, at the conclusion of which it may, *inter alia*, suspend judgment, release the child to parental custody under an order of supervision, enter an order of protection, or place the neglected child in foster care (*id.* §§ 1052-1057). If the agency fails to carry its burden, Family Court must dismiss the petition (*id.* § 1051 [c]).

Article 10-A, “Permanency Hearings for Children Placed Out of Their Homes,” exists “to provide children placed out of their homes timely and effective judicial review that promotes permanency, safety and well-being in their lives” (*id.* § 1086). Enacted in 2005, it establishes a system of “permanency hearings” for children who have been removed from parental custody. Prior to each hearing, scheduled at six-month intervals beginning at the expiration of an initial eight-month window (*id.* § 1089 [a] [2]), the child protective agency proffers a sworn report that recommends a “permanency goal” for the child, which may be reunification with the parent, adoption, or another goal (*id.* §§ 1087 [e]; 1089 [c]). At the conclusion of each hearing, Family Court enters an order of disposition, schedules a subsequent hearing, and may also consider whether the permanency goal should be approved or modified (*id.* § 1089 [d]). Those determinations must be made “in accordance with the best interests and safety of the child, including whether the child would be at risk of abuse or neglect if returned to the parent” (*id.*). Regardless of the determination, once a child has been placed in foster care pursuant to certain sections of the Social Services Law or of Family Court Act articles 10 and 10-C (“Destitute Children”), “the case shall remain on the

court's calendar and the court shall maintain jurisdiction over the case until the child is discharged from placement and all orders regarding supervision, protection or services have expired" (*id.* § 1088).

[3] Here, the Department seizes on a hyperliteral reading of section 1088, divorced from all context, to argue that Family Court's pre-petition placement of Jamie J. under section 1022 triggered a continuing grant of jurisdiction that survives the eventual dismissal of the neglect petition. In other words, even if the Family Court removes a child who has not been neglected or abused, it has jurisdiction to continue that child's placement in foster care until and unless it decides otherwise. Section 1088's place in the overall statutory scheme, the legislative history of article 10-A, and the dictates of parents' and children's constitutional rights to remain together compel the opposite conclusion: Family Court's jurisdiction terminates upon dismissal of the original neglect or abuse petition.

Section 1088 and article 10-A must be construed not in isolation, but (as the "-A" implies) together with the other provisions of the Family Court Act on which their triggering facially depends (*see id.*; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416, 420 [1990] [courts should not adopt "vacuum-like" readings of statutes in "isolation with absolute literalness" if such interpretation is "contrary to the purpose and intent of the underlying statutory scheme and would conflict with other operative features of the statute's core overview procedures"]). Article 10 erects a careful bulwark against "unwarranted state intervention into private family life," for which its drafters had a deep concern (*Nicholson v Scoppetta*, 3 NY3d 357, 368 [2004]; *see* Family Ct Act § 1011), and is particularly adamant that reasonable efforts be made to prevent the need for the removal of a child (*id.* § 1052 [b] [i] [A]). Neglect findings cannot be casually issued, but require proof of actual or imminent harm to the child as a result of a parent's failure to exercise a minimum degree of care (*id.* § 1012 [f]). "This prerequisite . . . ensures that the Family Court, in deciding whether to authorize state intervention, will focus on serious harm or potential harm to the child, not just on what might be deemed undesirable parental behavior. 'Imminent danger' . . . must be near or impending, not merely possible" (*Nicholson*, 3 NY3d at 369).

As the dissenting Appellate Division Justices correctly noted, adopting the Department's interpretation of section 1088 would permit a temporary order issued in an *ex parte* proceeding to

provide an end-run around the protections of article 10. Permanency hearing determinations are based not on the elevated “imminent harm” standard of article 10, but “in accordance with the best interests and safety of the child” under article 10-A (Family Ct Act § 1089 [d]). Allowing a separate jurisdictional expressway for the placement of a child to substitute for the manner in which article 10 expects that threshold determination to be reached would subvert the statutory scheme.³

As we held in *Matter of Tammie Z.*, “[i]f abuse or neglect is not proved, the court must dismiss the petition . . . at which time the child is returned to the parents” (66 NY2d 1, 4-5 [1985]). Nothing in the legislative history of article 10-A suggests that its drafters intended to overturn the long-established rule, promulgated by pre-2005 decisions of this Court and of the Appellate Division, that the dismissal of a neglect petition divests Family Court of jurisdiction to issue further orders or impose additional conditions on a child’s release (*see id.*; *Matter of Edwin SS.*, 302 AD2d 754 [3d Dept 2003]; *Matter of Amanda SS.*, 284 AD2d 588 [3d Dept 2001]; *Matter of Brandon C.*, 237 AD2d 821 [3d Dept 1997]; *Matter of Melissa B.*, 225 AD2d 452 [1st Dept 1996]; *Matter of Anthony YY.*, 202 AD2d 740 [3d Dept 1994]; *Matter of Maria L.*, 152 AD2d 466 [1st Dept 1989]; *Matter of Rasha B.*, 139 AD2d 962 [4th Dept 1988]; *Matter of Dina V.*, 86 AD2d 875 [2d Dept 1982]; *see also Matter of Male Infant L.*, 61 NY2d 420, 427 [1984] [“For once it is found that the parent is fit . . . the inquiry ends and the natural parent may not be deprived the custody of his or her child”]).

Instead, that history demonstrates that the drafters intended only to correct a technical issue that plagued article 10 and

3. The Department’s interpretation would create a further anomaly: according to the Department, Family Court’s continuing jurisdiction under article 10-A turns on the fortuity of whether the neglect petition is adjudicated before or after the statutorily required first permanency hearing. Under that interpretation, Family Court has continuing jurisdiction here only because it failed to hold the fact-finding hearing for more than a year after removal; had it held that hearing during the first seven months following Jamie J.’s removal, the Department concedes no continuing jurisdiction would exist under its interpretation of section 1088. Having the court’s jurisdiction and a family’s welfare turn on the vagaries of a court’s congested calendar would be not only arbitrary and unlikely to comport with legislative intent, but also out of step with our precedents (*see Matter of Sanjivini K.*, 47 NY2d 374, 381 [1979] [holding a neglect finding could not be based on a prolonged separation when that separation was due to the slow pace of litigation commenced by the child protective agency]).

threatened the State's continued access to federal funding under title IV of the Social Security Act: Family Court's need to constantly reassert jurisdiction *after* a child had been determined to be the victim of neglect or abuse. As the Sponsor's Memorandum noted, under then-current law,

"After the initial finding of abuse or neglect, even where the child is placed in foster care and orders are issued regarding the respondent parents, the Court's jurisdiction over the parties ends with the order of disposition. Any other action necessary to pursue return of the child home, including holding permanency hearings for court review of the permanency plan for the child, requires the filing of a new petition and delay occasioned by the calendaring of that petition . . . [S]ervice upon the respondents must be effected for each new petition before the Court may address the gravamen of the petition, although the Court previously established jurisdiction over those parties at the initiation of the original proceeding" (Senate Introducer's Mem in Support, Bill Jacket, L 2005, ch 3 at 12, 2005 NY Legis Ann at 4).

That technical fix served a practical goal: to "reduce by months the time a child spends in foster care" (*id.*). Far from accomplishing this goal, the Department's interpretation of section 1088 would instead indefinitely prolong a child's placement outside the home.

Finally, the state intrusion into family matters licensed by the Department's interpretation of section 1088 would infringe the constitutional rights of both parents and children. As Justice Marshall explained,

"[w]e have little doubt that the Due Process Clause would be offended if a State were to attempt to force the breakup of a natural family, over the objections of the parents and their children, without some showing of unfitness and for the sole reason that to do so was thought to be in the children's best interest" (*Quilloin v Walcott*, 434 US 246, 255 [1978] [citations, internal quotation marks and brackets omitted]).

Sensitive to that concern, this Court has provided a list of the constitutionally permissible showings of "overriding necessity"

that would justify the removal of a child from a parent or parents (*Matter of Marie B.*, 62 NY2d at 358). That list includes “abandonment, surrender, persisting neglect, unfitness or other like behavior evincing utter indifference and irresponsibility to the child’s well-being”—and excludes the child’s best interests (*id.*). Here, application of the canon of constitutional avoidance leads us to reject the Department’s interpretation of section 1088 as providing Family Court jurisdiction when the Department has failed to prove neglect or abuse.

Taken together, those arguments from the statutory scheme, legislative history, and canon of constitutional avoidance demonstrate that Family Court cannot continue with an article 10-A permanency hearing once it has dismissed the underlying article 10 neglect petition. Accordingly, we hold that the dismissal of a neglect petition operates to discharge a child from placement, terminate all orders regarding supervision, protection or services docketed thereunder, and extinguish the court’s jurisdiction over the matter.

That result harms neither Jamie J. nor future children in equally tragic circumstances. As to Jamie J., the Department remains free to take steps to place her in foster care, if warranted, including pursuing a section 1027 order under the second neglect petition. As to future children, the Department and those children’s attorneys remain free to take all the steps the petitioners abjured or belatedly pursued here, including moving more quickly to conform the pleadings to the proof, appealing the petition’s dismissal, or filing an additional petition.

Accordingly, the Appellate Division order should be reversed, without costs, and the January 26, 2016 permanency order vacated.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order reversed, without costs, and the January 26, 2016 permanency order vacated.

[89 NE3d 490, 67 NYS3d 100]

MICHAEL J. CARLSON, SR., Individually and as Administrator of the Estate of CLAUDIA D'AGOSTINO CARLSON, Deceased, and as Assignee of William Porter, Appellant, v AMERICAN INTERNATIONAL GROUP, INC., et al., Respondents.

Argued March 28, 2017; reargued October 18, 2017; decided November 20, 2017

SUMMARY

APPEAL, by permission of the Court of Appeals, from two orders of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 2, 2015. The first Appellate Division order (1) reversed, on the law, an order of the Supreme Court, Niagara County (Ralph A. Boniello III, J.), which, insofar as appealed from, had denied the cross motion of defendant American Alternative Insurance Co. (AAIC) to dismiss the first cause of action against it; (2) granted defendant AAIC's cross motion in part; and (3) dismissed the first cause of action against defendant AAIC. The second Appellate Division order modified, on the law, an order of the Supreme Court, Niagara County (Ralph A. Boniello III, J.), which, insofar as appealed from, had (1) granted the motion of defendant DHL Express (USA), Inc. to dismiss plaintiff's claim of conspiracy to misrepresent the extent of available insurance coverage; (2) granted the motion of defendants American International Group, Inc., Chartis Claims, Inc. (formerly known as AIG Domestic Claims, Inc.) and National Union Free Insurance Company of Pittsburgh, PA (collectively AIG companies), to dismiss plaintiff's claims of misrepresentation, bad faith refusal to settle, and conspiracy; and (3) denied the motion of defendant AIG companies to dismiss plaintiff's claims pursuant to Insurance Law § 3420 (a) (2) and (b) and for a violation of General Business Law § 349. The modification consisted of granting defendants' motion and cross motion to dismiss in their entirety and dismissing the complaint. The Appellate Division affirmed the order as modified.

Carlson v American Intl. Group, Inc., 130 AD3d 1477, modified.

Carlson v American Intl. Group, Inc., 130 AD3d 1479, modified.

HEADNOTES**Insurance — Liability Insurance — Rights of Injured Party against Tortfeasor's Insurer**

1. In plaintiff's action to collect on defendant's insurance policies following the death of plaintiff's wife in a collision with a truck owned and used by a nonparty company to perform defendant's package delivery services, plaintiff's claims pursuant to Insurance Law § 3420 (a) (2) and (b) were improperly dismissed on the grounds that the truck was not a "hired automobile" used "with [defendant's] permission." Plaintiff submitted an expert affidavit providing support for the propositions that, under industry custom and practice, the nonparty's delivery trucks were hired autos used with defendant's permission. According to plaintiff's expert, a portion of the insurance contract that had not been produced would have shown that defendant's insurance policies covered all of the nonparty's vehicles. Additionally, plaintiff pointed to evidence supporting the proposition that defendant actually exercised substantial control over the trucks. Moreover, as to whether defendant granted "permission" to the nonparty to use the vehicle, the record, though incomplete, indicated that defendant, as the financially responsible defendant, had procured coverage that was priced and intended to provide excess coverage for the fleets of trucks when driven by an authorized user. If "permission" could be read to limit coverage for failure to adhere to certain specifications, automobile insurance companies could successfully disclaim coverage for almost any accident when the driver is not the owner of the vehicle. Such an unreasonable limitation on coverage would not comport with the public policy that one injured by the negligent operation of a motor vehicle should have recourse to a financially responsible defendant.

Insurance — Duty to Defend and Indemnify — Action against Tortfeasor's Insurer — Policy "Issued or Delivered" in New York — Policy Covering Both Insured and Risk Located in New York

2. Insurance Law § 3420, which allows a limited cause of action on behalf of injured parties directly against insurers concerning policies and contracts "issued or delivered in this state" (Insurance Law § 3420 [a]), applies to policies that cover both insureds and risks located in New York. Accordingly, plaintiff's Insurance Law § 3420 claim against defendant insurer to collect on an insurance policy issued in New Jersey and delivered in Washington and Florida brought after plaintiff's wife was killed in a collision with a truck hired by defendant insured to perform its package delivery services in New York was improperly dismissed on the ground that the policy was not issued or delivered in New York. The term "issued or delivered in this state" refers both to a policy issued for delivery in New York, and a policy issued for delivery outside of New York. A policy is issued for delivery in New York if it covers both insureds and risks located in this state. Thus, "issued for delivery" means where the risk to be insured was located, not where the policy document itself was actually handed over or mailed to the insured. Defendant was located in New York because it had a substantial business presence and created risks in New York. Defendant also purchased liability insurance covering vehicle-related risks arising from vehicles delivering its packages in New York, because its insurance agreements said so. The legislature created this statutory cause of action to remedy the inequity of the common-law rule that an injured person had no cause of action against the insurer of a tortfeasor and to protect the tort victims of New York. Interpreting "issued or delivered in this state" to apply exclusively to policies

issued by an insurer located in New York or by an out-of-state insurer who mails a policy to a New York address would undermine the legislative intent of Insurance Law § 3420.

Consumer Protection — Deceptive Acts and Practices — Private Contract Dispute over Insurance Policy Coverage — No Affect on Consuming Public at Large

3. In plaintiff's action to collect on insurance policies following the death of his wife in a collision with a package delivery truck hired by defendant insured, plaintiff's claims against defendant insurers alleging violations of General Business Law § 349 were properly dismissed. General Business Law § 349 (a) provides that "[d]eceptive acts or practices in the conduct of any business, trade[,] or commerce or the furnishing of any service in [New York] are . . . unlawful." Section 349 does not grant a private remedy for every improper or illegal business practice, but only for conduct that tends to deceive consumers. In order to satisfy General Business Law § 349, plaintiffs' claims must be predicated on a deceptive act or practice that is consumer oriented. Plaintiff's allegations demonstrated that his action was a private contract dispute over insurance policy coverage, which did not affect the consuming public at large, and therefore fell outside the purview of General Business Law § 349.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Consumer and Borrower Protection §§ 280, 292; AM JUR 2d Insurance §§ 1441, 1444, 1448.

COUCH ON INSURANCE (3d ed) §§ 104:13, 105:2, 105:36, 107:1.

McKINNEY'S, General Business Law § 349; Insurance Law § 3420 (a), (b).

NY JUR 2d Consumer and Borrower Protection §§ 6–9; NY JUR 2d Insurance §§ 2137–2139, 2143, 2147, 2149.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Consumer Protection; Insurance;

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POINTS OF COUNSEL

Magavern Magavern Grimm LLP, Buffalo (*Edward J. Markarian* of counsel), and *Brown Chiari LLP*, Buffalo (*James E. Brown*, *Angelo S. Gambino* and *Timothy Hudson* of counsel), for appellant. I. The motion to dismiss should have been denied

because (1) the insurers deliberately insured the contractor vehicles as hired autos, (2) the insurers failed to disclose the cost-of-hire schedule, and (3) the *Dairylea Coop. v Rossal* (64 NY2d 1 [1984]) holding should be confined to its narrow facts. (511 W. 232nd Owners Corp. v Jennifer Realty Co., 98 NY2d 144; Sokoloff v Harriman Estates Dev. Corp., 96 NY2d 409; EBC I, Inc. v Goldman, Sachs & Co., 5 NY3d 11; Amigo Foods Corp. v Marine Midland Bank-N.Y., 39 NY2d 391; Leon v Martinez, 84 NY2d 83; Granite State Ins. Co. v Transatlantic Reins. Co., 132 AD3d 479; McGrail v Equitable Life Assur. Socy. of U. S., 292 NY 419; Scinta v Kazmierczak, 59 AD2d 313; Matza v Empire State Mut. Life Ins. Co., 50 AD2d 554; Old Republic Ins. Co. v Stratford Ins. Co., 777 F3d 74.) II. The MVP Delivery and Logistics, Inc. van was being used with DHL Express (USA), Inc.'s permission, and coverage arises out of the policy terms, not from respondeat superior. (*Murdza v Zimmerman*, 99 NY2d 375; *Motor Veh. Acc. Indem. Corp. v Continental Natl. Am. Group Co.*, 35 NY2d 260; *Carey v AAA Con Transp.*, 61 AD2d 113.) III. American Alternative Insurance Co.'s insurance policy was "issued or delivered" in New York, and the Appellate Division's holding to the contrary (1) requires an overturning of this Court's *Preserver Ins. Co. v Ryba* (10 NY3d 635 [2008]) decision, and (2) undermines the remedial purposes of Insurance Law § 3420. (*Admiral Ins. Co. v Joy Contrs., Inc.*, 81 AD3d 521, 19 NY3d 448.) IV. Plaintiff's causes of action alleging deceptive business practices, misrepresentation and bad faith should be reinstated. (*Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200; *JD&K Assoc., LLC v Selective Ins. Group, Inc.*, 118 AD3d 1402; *Makuch v New York Cent. Mut. Fire Ins. Co.*, 12 AD3d 1110; *American Protection Ins. Co. v Airborne, Inc.*, 476 F Supp 2d 985; *Pludeman v Northern Leasing Sys., Inc.*, 10 NY3d 486.)

Hodgson Russ, LLP, Buffalo (Kevin D. Szczepanski and Peter H. Wiltenburg of counsel), for American International Group, Inc. and others, respondents. I. The Appellate Division properly dismissed the first cause of action because the policies do not cover the underlying judgment. (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *B&W Heat Treating Co., Inc. v Hartford Fire Ins. Co.*, 23 AD3d 1102; *Rocon Mfg. v Ferraro*, 199 AD2d 999; *Georgetown Capital Group, Inc. v Everest Natl. Ins. Co.*, 104 AD3d 1150; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Dryden Mut. Ins. Co. v Goessl*, 117 AD3d 1512; *Dairylea Coop. v Rossal*, 64 NY2d 1; *Toops v Gulf Coast Mar. Inc.*, 72 F3d 483; *Chicago Ins. Co. v Farm Bur. Mut. Ins. Co. of*

Ark., Inc., 929 F2d 372; *United States Fire Ins. Co. v Milood Ben Ali*, 198 F Supp 2d 1313.) II. The Appellate Division properly dismissed the fourth cause of action under General Business Law § 349 because this private, insurance policy dispute does not involve a consumer-oriented act or practice. (*Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Cooper v New York Cent. Mut. Fire Ins. Co.*, 72 AD3d 1556; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Stutman v Chemical Bank*, 95 NY2d 24; *JD&K Assoc., LLC v Selective Ins. Group, Inc.*, 2013 NY Slip Op 50385[U], 118 AD3d 1402; *Makuch v New York Cent. Mut. Fire Ins. Co.*, 12 AD3d 1110; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200; *Sheth v New York Life Ins. Co.*, 273 AD2d 72; *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553.)

Rubin, Fiorella & Friedman LLP, New York City (*Paul Kouner* and *Aaron F. Fishbein* of counsel), for American Alternative Insurance Co., respondent. I. The Appellate Division properly held that Michael J. Carlson, Sr., cannot maintain a direct cause of action against American Alternative Insurance Co. (AAIC) because the AAIC policy was neither issued nor delivered in New York State. (*Lang v Hanover Ins. Co.*, 3 NY3d 350; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Matter of Allstate Ins. Co. v Rivera*, 12 NY3d 602; *Matter of Allen v Adami*, 39 NY2d 275; *Lamport v Smedley*, 213 NY 82; *Admiral Ins. Co. v Joy Contrs., Inc.*, 81 AD3d 521, 19 NY3d 448; *Preserver Ins. Co. v Ryba*, 10 NY3d 635; *Certain Underwriters at Lloyd's, London v Foster Wheeler Corp.*, 36 AD3d 17, 9 NY3d 928; *Steadfast Ins. Co. v Sentinel Real Estate Corp.*, 283 AD2d 44.) II. The MVP Delivery and Logistics, Inc. van was being used without DHL Express (USA), Inc.'s permission at the time of the accident. (*Wells Fargo Bank NA v Podeswik*, 115 AD3d 207; *City of New York v Welsbach Elec. Corp.*, 9 NY3d 124; *Friedman v State of New York*, 24 NY2d 528; *B. R. DeWitt, Inc. v Hall*, 19 NY2d 141; *Morris v Palmier Oil Co.*, 94 AD2d 911; *Murdza v Zimmerman*, 99 NY2d 375; *Fuentes v Virgil*, 119 AD3d 522, 26 NY3d 901; *Thompson v Anderson Elec. Car Co.*, 181 App Div 894; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *Buckner v Motor Veh. Acc. Indem. Corp.*, 66 NY2d 211.) III. The MVP Delivery and Logistics, Inc. van was not "hired" by DHL Express (USA), Inc. (*Dairylea Coop. v Rossal*, 64 NY2d 1; *Toops v Gulf Coast Mar. Inc.*, 72 F3d 483; *Sprow v Hartford Ins. Co.*, 594 F2d 418; *United States Fire Ins. Co. v Ali*, 198 F Supp 2d

1313; *Franco v Jay Cee of N.Y. Corp.*, 36 AD3d 445; *Litts v Wayne Paving Co.*, 261 AD2d 906; *Measom v Greenwich & Perry St. Hous. Corp.*, 268 AD2d 156, 95 NY2d 959; *El Gemayel v Seaman*, 72 NY2d 701; *Goldman v White Plains Ctr. for Nursing Care, LLC*, 11 NY3d 173; *Miccio v National Sur. Corp.*, 170 AD2d 937.) IV. Michael J. Carlson, Sr., has not adequately pleaded a General Business Law § 349 claim. (*DePasquale v Allstate Ins. Co.*, 179 F Supp 2d 51; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Lava Trading Inc. v Hartford Fire Ins. Co.*, 326 F Supp 2d 434; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *MaGee v Paul Revere Life Ins. Co.*, 954 F Supp 582; *Northwestern Mut. Life Ins. Co. v Wender*, 940 F Supp 62; *Harary v Allstate Ins. Co.*, 983 F Supp 95; *Greenspan v Allstate Ins. Co.*, 937 F Supp 288; *Shapiro v Berkshire Life Ins. Co.*, 212 F3d 121; *Azby Brokerage, Inc. v Allstate Ins. Co.*, 681 F Supp 1084.) V. The Appellate Division properly held that the Supreme Court correctly dismissed Michael J. Carlson, Sr.'s second cause of action against American Alternative Insurance Co. for misrepresentation. (*P.T. Bank Cent. Asia, N.Y. Branch v ABN AMRO Bank N.V.*, 301 AD2d 373; *Simmons v Washing Equip. Tech.*, 51 AD3d 1390; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Rocco v Town of Smithtown*, 229 AD2d 1034; *Securities Inv. Protection Corp. v BDO Seidman*, 95 NY2d 702.) VI. The Appellate Division properly held that lower court correctly dismissed Michael J. Carlson, Sr.'s third cause of action for alleged bad faith in refusing to settle the claim. (*Doherty v Merchants Mut. Ins. Co.*, 74 AD3d 1870; *Dawn Frosted Meats v Insurance Co. of N. Am.*, 99 AD2d 448, 62 NY2d 895; *Bennion v Allstate Ins. Co.*, 284 AD2d 924; *Zurich Ins. Co. v Texasgulf, Inc.*, 233 AD2d 180.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, New York City (*Patrick J. Lawless* of counsel), for DHL Express (USA), Inc., respondent. The plaintiff's conspiracy/fraud claim against DHL Express (USA), Inc. was properly dismissed. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Sokol v Addison*, 293 AD2d 600; *Thyroff v Nationwide Mut. Ins. Co.*, 57 AD3d 1433; *Romano v Romano*, 2 AD3d 430; *Dickinson v Igoni*, 76 AD3d 943; *Hebrew Inst. for Deaf & Exceptional Children v Kahana*, 57 AD3d 734; *Lama Holding Co. v Smith Barney*, 88 NY2d 413; *Greschler v Greschler*, 51 NY2d 368; *Van Neil v Berger*, 219 AD2d 811; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308.)

Suzanne Y. Mattei, General Counsel, New York State Trial Lawyers Association, New York City, for New York State Trial Lawyers Association, amicus curiae. I. The Fourth Department's decision insulates out-of-state insurers from Insurance Law § 3420, thereby exposing members of the public to insured risks within the state that are not protected by the State's insurance statute. (*Preserver Ins. Co. v Ryba*, 10 NY3d 635; *Trimarco v Klein*, 56 NY2d 98; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Admiral Ins. Co. v Joy Contrs., Inc.*, 81 AD3d 521.) II. When an insurer decides to provide coverage, calculates, charges and collects a premium and writes the insurance for that coverage, the court may not obliterate that decision and erase coverage for thousands of vehicles on the road. (*Old Republic Ins. Co. v Stratford Ins. Co.*, 777 F3d 74; *Dairylea Coop. v Rossal*, 64 NY2d 1.)

Chaffetz Lindsey, LLP, New York City (*Charles J. Scibetta, Steven C. Schwartz and Lidia Helena S. Rezende* of counsel), for American Insurance Association and another, amici curiae. I. Under New York law, extrinsic evidence is inadmissible to add to or vary an insurance policy's unambiguous terms. This Court should reject appellant's invitation to erode that rule. (*Greenfield v Philles Records*, 98 NY2d 562; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *McGrail v Equitable Life Assur. Socy. of U. S.*, 292 NY 419; *Insurance Co. of N. Am. v United States Fire Ins. Co.*, 67 Misc 2d 7; *Slamow v Del Col*, 79 NY2d 1016; *Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.*, 4 F3d 1049; *Old Republic Ins. Co. v Stratford Ins. Co.*, 777 F3d 74.) II. To trigger "hired auto" coverage, the named insured must have direct control over a vehicle it does not own, and must have given the driver permission to use the vehicle. The requisite control is akin to the control under a lease; control over the owner of the vehicle is insufficient. (*Toops v Gulf Coast Mar. Inc.*, 72 F3d 483; *United States Fire Ins. Co. v Milood Ben Ali*, 198 F Supp 2d 1313; *Old Republic Ins. Co. v Stratford Ins. Co.*, 777 F3d 74.) III. The cartage agreement set the terms of MVP Delivery and Logistics, Inc.'s services as independent contractor and defined MVP's rights to use DHL Express (USA), Inc.'s intellectual property. It did not give DHL direct control over the vehicle, and it did not include DHL's "permission" for MVP to use its own vehicle. (*Dairylea Coop. v Rossal*, 64 NY2d 1; *Murdza v Zimmerman*, 99 NY2d 375.) IV. Even if it were admissible, the extrinsic evidence does not support appellant's position. There was no \$4 million coverage gap, and National Union Fire Insurance Company of Pittsburgh, PA could have charged premiums based on the MVP Delivery and

Logistics, Inc. vehicle count whether the vehicles were “hired” or not.

Hancock Estabrook, LLP, Syracuse (Alan J. Pierce of counsel), and Andrew Smiley, *New York State Academy of Trial Lawyers*, Albany, for New York State Academy of Trial Lawyers, amicus curiae. I. The Appellate Division’s holding that American Alternative Insurance Co.’s policy was not “issued or delivered in this state” under Insurance Law § 3420 based on an extremely narrow reading of the statute violates the well-established and significant New York public policy underlying New York’s financial responsibility laws. (*Randazzo v Cunningham*, 56 AD2d 702, 43 NY2d 937; *Connecticut Indem. Co. v Hines*, 40 AD3d 903; *Hanover Ins. Co. v Connor*, 232 AD2d 925; *Coleman v New Amsterdam Cas. Co.*, 247 NY 271; *Jackson v Citizens Cas. Co.*, 277 NY 385; *Rosado v Eveready Ins. Co.*, 34 NY2d 43; *Preserver Ins. Co. v Ryba*, 10 NY3d 635; *Columbia Cas. Co. v National Emergency Servs.*, 282 AD2d 346; *American Ref-Fuel Co. of Hempstead v Employers Ins. Co. of Wausau*, 265 AD2d 49; *State of N.Y. ex rel. Grupp v DHL Express [USA], Inc.*, 19 NY3d 278, 83 AD3d 1450.) II. The insurers have not conclusively established by documentary evidence that the truck in question is not covered by their policies’ “hired auto” coverage provision. (*Dairylea Coop. v Rossal*, 64 NY2d 1.)

OPINION OF THE COURT

WILSON, J.

Plaintiff Michael Carlson, individually and in his capacity as administrator of his deceased wife’s estate and as assignee of William Porter, commenced this action pursuant to Insurance Law § 3420 (a) (2) to collect on certain insurance policies issued to DHL Worldwide Express, Inc. by National Union Fire Insurance Co. and American Alternative Insurance Co. (AAIC). Mr. Carlson previously had obtained a judgment against MVP Delivery and Logistics, Inc. and William Porter (see *Carlson v Porter*, 53 AD3d 1129 [4th Dept 2008], *lv denied* 11 NY3d 708 [2008]). On appeal, we consider whether Mr. Carlson has sufficiently pleaded that MVP is an “insured” under DHL’s policies, and whether the policies fall within the purview of Insurance Law § 3420 as policies “issued or delivered” in New York. We hold that dismissal of the first cause of action pursuant to Insurance Law § 3420 (a) (2) and (b) was improper as to National Union and AAIC. Whether MVP was an “insured” under DHL’s policies presents a question of fact to be resolved

by the trier of fact. Additionally, the meaning of “issued or delivered” is informed by our decision in *Preserver Ins. Co. v Ryba* (10 NY3d 635 [2008]), and thus, section 3420 encompasses situations where both insureds and risks are located in this state.

I.

Claudia Carlson was killed when a truck painted with DHL’s logo, owned by MVP and driven by William Porter, an employee of MVP, crossed the double-yellow divider and hit her car head on. Prior to the accident, Mr. Porter had driven the truck home on a scheduled break, when he learned that his son had been in an accident. Mr. Porter drove the truck to the accident site, and while driving the truck to retrieve a tool to repair his son’s vehicle, Mr. Porter veered into Mrs. Carlson’s car, killing her. A jury awarded her husband, individually and as administrator of her estate, \$20 million against MVP, Mr. Porter and DHL. The Appellate Division set aside the verdict against DHL and dismissed the complaint against it, concluding that DHL was not vicariously liable under the doctrine of respondeat superior. The court also found damages to be excessive, and Mr. Carlson stipulated to a reduced judgment of \$7.3 million. MVP’s insurer paid Mr. Carlson approximately \$1.1 million, and Mr. Porter assigned to Mr. Carlson whatever rights Mr. Porter had to any other insurance coverage.

At the time of the accident, DHL and MVP were parties to a cartage agreement, pursuant to which MVP used its fleet of trucks and employees to perform DHL’s package delivery services in Western New York. DHL had three insurance policies relevant here: (1) a \$3 million primary policy issued by National Union, which included “hired auto” coverage insuring DHL, its employees, and “[a]nyone else while using with your permission a covered ‘auto’ you own, hire or borrow”; (2) a \$2 million excess insurance policy with AAIC, with the exact same coverage as the National Union policy; and (3) a \$23 million umbrella policy with National Union, which covered vehicles “hired by [DHL] or on [DHL’s] behalf and used with [DHL’s] permission.” American International Group, Inc. and AIG Domestic Claims, Inc. (collectively, AIG) did not issue any relevant policy to DHL.

Mr. Carlson commenced this action against National Union, AAIC, AIG, and DHL, alleging five causes of action. The first asserted a claim under Insurance Law § 3420 (a) (2) and (b),

against National Union, AAIC and AIG, to satisfy the outstanding judgment. The second, third, and fourth causes of action asserted damages against National Union, AAIC and AIG for misrepresentations, bad faith refusal to settle, and violations of General Business Law § 349, respectively. The fifth cause of action sought damages against DHL and AIG for conspiracy.

Defendants moved to dismiss the complaint in its entirety. As to the first cause of action, AAIC moved to dismiss on the ground that section 3420 did not permit a claim against it because its policy, initially issued by it to DHL's predecessor, Airborne Inc. (headquartered in Washington), and later assumed by DHL (headquartered in Florida), was not "issued or delivered" in New York. Supreme Court denied that motion, and allowed discovery to proceed on the issue of coverage. After limited discovery had occurred, Supreme Court granted the motions and cross motion to the extent of dismissing causes of action 2, 3 and 5 of the complaint, but refused to dismiss the first and fourth causes of action.

The Appellate Division dismissed Mr. Carlson's General Business Law § 349 claim as to all remaining defendants (*see Carlson v American Intl. Group, Inc.*, 130 AD3d 1479, 1482 [4th Dept 2015]). The Appellate Division also dismissed the first cause of action. As to AIG, the Appellate Division concluded that because the two AIG entities established that they are not insurers, no section 3420 claim lay against them (*see id.* at 1480). The Appellate Division held that Mr. Carlson could not state a claim against National Union because (a) the MVP vehicle was not a "hired automobile" and (b) DHL could not grant MVP permission to use it (*see id.* at 1481). In a companion appeal, the Appellate Division determined that the AAIC policy was not issued or delivered in New York and dismissed the first cause of action against AAIC (*see Carlson v American Intl. Group, Inc.*, 130 AD3d 1477, 1477-1478 [4th Dept 2015] [concluding that the parties and Supreme Court had "improperly conflated the phrase 'issued or delivered' with 'issued for delivery'"]).

II.

On a motion to dismiss for failure to state a cause of action, the complaint must be liberally construed, and courts must provide a plaintiff with every favorable inference (*see 511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144, 152 [2002]; *Leon v Martinez*, 84 NY2d 83, 87 [1994]; CPLR 3026;

see also *Held v Kaufman*, 91 NY2d 425, 432 [1998] [“every favorable inference must be afforded the facts alleged in the complaint and in the various motion papers submitted by (the plaintiff)”]. “Whether a plaintiff can ultimately establish its allegations is not part of the calculus in determining a motion to dismiss” (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]).

“Under CPLR 3211 (a) (1), a dismissal is warranted only if the documentary evidence submitted conclusively establishes a defense to the asserted claims as a matter of law. In assessing a motion under CPLR 3211 (a) (7), however, a court may freely consider affidavits submitted by the plaintiff to remedy any defects in the complaint and the criterion is whether the proponent of the pleading has a cause of action, not whether he has stated one” (*Leon v Martinez*, 84 NY2d 83, 88 [1994] [internal quotation marks and citations omitted]).

Here, Mr. Carlson submitted an expert affidavit providing support for the propositions that, under industry custom and practice, MVP’s trucks were hired autos used with DHL’s permission. Defendants offered no contrary expert opinion, and challenged the expert’s opinions neither here nor below. Although they remain free to do so at a later stage of the proceedings, at this stage the expert’s opinions concerning insurance industry custom and practice as to the comprehensive coverage of hired fleets, even when trucks within a fleet are at times not used for business purposes, are sufficient to defeat a motion to dismiss.

A.

[1] As to the hired auto issue, dismissal on that ground was erroneous, for two additional reasons. First, defendants and the Appellate Division rely on the contract of insurance, without reference to extrinsic evidence, to conclude that the truck driven by Mr. Porter was not a hired auto, thus entitling them to dismissal. However, as Mr. Carlson argues, and defendants admit, a portion of the insurance contract, the schedule of hire, has not been produced. According to the expert, the schedule of hire would show that DHL’s insurance policies cover all of MVP’s vehicles. Mr. Carlson also points to evidence concerning the underwriting of the policies, which demonstrates that DHL’s policies were priced to cover MVP’s trucks

as hired autos.¹ If the schedule of hire exists, its production is essential to determination of the full content of the contract; it would be error to dismiss the coverage claim based on only part of a contract, particularly where a highly germane portion is missing.² If the schedule of hire has been lost or destroyed, it would likewise be error to dismiss the coverage claim, because Mr. Carlson would be entitled to attempt to prove the missing portion by parol evidence (*see Belknap v Witter & Co.*, 92 AD2d 515, 517 [1st Dept 1983] [“an incomplete contract . . . falls within one of the limited exceptions to the parol evidence rule”], *affd* 61 NY2d 802 [1984]) or, perhaps, would be entitled to an adverse inference based on defendants’ duty to maintain the schedule (*see Pegasus Aviation I, Inc. v Varig Logistica S.A.*, 26 NY3d 543, 551 [2015]; CPLR 3126).

Defendants’ argument that the schedule of hire would have been unlikely to list MVP’s vehicles individually, and therefore defendants should prevail as a matter of law, is in any event foreclosed by our decision in *Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.* (92 NY2d 363, 370 [1998]), in which we held: “[t]hat the van is not specifically listed [in the schedule of hired and non-owned coverage] is not determinative” of coverage, because the policy “listed ‘N.Y.’ as the State in which such coverage would apply, and also listed a ‘Rate per each \$100 cost of hire’ and a premium amount.”

Second, the insurance policies do not define “hired auto,” and neither the Appellate Division nor defendants point to any industry-standard definition. Defendants argue, and we agree, that the degree of control exercised by DHL over MVP’s trucks is pivotal to the determination of whether they are hired autos. However, the issue of control is fact-specific. The cartage agreement contains some terms militating against a finding of control; for example, section 3.3 of the cartage agreement gives MVP control over the manner of performance, including the

1. For example, he asserts that DHL purchased additional coverage for independent contractor vehicles under the hired auto provisions of its business automobile policies and that National Union contemplated the exposure of the so-called independent contractors driving their own vehicles in hauling goods on behalf of DHL in the pricing of the insurance policy and calculated the premiums to cover the MVP vehicles as hired automobiles. Notably, DHL’s coverage for the hired automobiles was for amounts in excess of \$1 million, where DHL required MVP to carry \$1 million coverage.

2. Because the schedule of hire is missing, the dissent’s contention that the agreement is “complete and clear and unambiguous upon its face” is puzzling (dissenting op at 317).

number of vehicles and routing of the vehicles, and section 3.5.2 makes MVP responsible for the maintenance of the vehicles. The cartage agreement also contains terms that militate in favor of finding that DHL exercised substantial control over MVP's trucks. For example, DHL required all MVP trucks used for DHL's business to have DHL's paint scheme and identifying marks; DHL imposed maintenance requirements for the vehicles, and required that any necessary repairs to the vehicles be made and documented in accordance with procedures established by DHL; DHL specified the types of vehicles to be used for different types of deliveries; and DHL required MVP to use DHL's routing software. MVP was prohibited from making deliveries for a DHL competitor; even if MVP wanted to use its trucks to make a delivery for a non-competitor, it had to obtain DHL's permission and remove DHL's marks from the truck; and MVP could not retain any third parties to perform its work without DHL's prior written authorization. Those substantial restrictions on MVP's ownership and ability to use its trucks go well beyond simply controlling DHL's intellectual property and brand.

Most significantly for the purpose of this appeal, determining the extent of control is not limited to the face of the contract, but concerns the actual degree of control exercised by DHL over MVP. Mr. Carlson, who obtained some limited discovery, has pointed to evidence supporting the proposition that DHL actually exercised substantial control over MVP's trucks.³ For example, MVP's entire fleet was used exclusively for DHL deliveries; DHL prescribed the make and model of the vehicles to be used by MVP; MVP's vehicles were garaged in DHL's facility; DHL had keys to MVP's offices, which were located inside the DHL facility; DHL dispatched MVP drivers and owned the equipment used to do so; DHL sent MVP drivers instructions via text message; DHL provided routing specifications for express shipments and required MVP to follow them; DHL required MVP to collect money on COD (collect on delivery) shipments and remit those monies to DHL; and if a

3. Mr. Carlson pleaded as much:

"[A]t the time of the accident, MVP was delivering goods and hauling freight for DHL pursuant to a Cartage Agreement that was drafted by DHL, and contained a very detailed set of directives through which DHL created a relationship wherein MVP's discretion was all but completely eliminated, and DHL retained virtually complete control with respect to the means and manner by which MVP's services were to be delivered."

customer had a problem, MVP was required to contact DHL or tell the customer to do so. All MVP employees were required to wear DHL uniforms, DHL audited MVP's safe driving practices, and DHL regularly examined MVP's routes and adjusted them.

Contrary to the Appellate Division's holding, the fact that the cartage agreement labels MVP an "independent contractor" is not dispositive of the issue of control, but is a factor to be weighed with others. In *Matter of Rivera (State Line Delivery Serv.—Roberts)* (69 NY2d 679, 682 [1986]), we noted that "whether the relationships of the operators-deliverers with the delivery companies is that of employees or independent contractors involves a question of fact as to whether there is evidence of either control over the results produced or over the means used to achieve the results." In various other contexts, we and other courts have held that the determination of whether someone is an independent contractor is a fact-specific question (see e.g. *Matter of Empire State Towing & Recovery Assn., Inc. [Commissioner of Labor]*, 15 NY3d 433, 437 [2010]; *Herman v RSR Sec. Servs. Ltd.*, 172 F3d 132, 139 [2d Cir 1999]; *Brock v Superior Care, Inc.*, 840 F2d 1054, 1059 [2d Cir 1988]; *Cross v Supersonic Motor Messenger Courier, Inc.*, 140 AD3d 503, 504 [1st Dept 2016] [concluding that whether delivery driver was employee or independent contractor was a question of fact where, although the contract labeled the driver an independent contractor, "he was required to maintain insurance in an amount dictated by Continental, his delivery process was controlled by the Continental dispatcher, he used Continental's forms, was required to wear a Continental shirt, and the truck he drove bore the Continental logo"]).

Although we express no opinion as to whether Mr. Carlson will ultimately succeed in demonstrating that the MVP vehicle constituted a "hired auto," defendants have not shown that, as a matter of law, Mr. Carlson failed to "manifest any cause of action cognizable at law" (*Guggenheimer v Ginzburg*, 43 NY2d 268, 275 [1977]) or that defendants submitted "'documentary evidence [to] conclusively establish[] a defense to the asserted claims as a matter of law'" (98 NY2d at 152).⁴

4. The dissent claims that in order to obtain coverage, "plaintiff has the burden of establishing" that the MVP vehicle was hired by DHL and used with DHL's permission (dissenting op at 313). However, we must remain mindful of the procedural posture of this case. A plaintiff opposing a motion to

(n. cont'd)

B.

As to the issue of whether DHL granted “permission” to MVP to use the vehicle in question, dismissal on that ground was also erroneous.⁵ “Permission” is not defined in the insurance agreement. “While the rights and obligations of parties under insurance contracts should be determined by the specific language of the policies, if the language of the policy is susceptible of two reasonable meanings, the parties may submit extrinsic evidence of their intent at the time of contracting” (*Newin Corp. v Hartford Acc. & Indem. Co.*, 62 NY2d 916, 919 [1984] [citations omitted]). There is a well-understood meaning of permission in the context of motor vehicle liability insurance, which turns not on whether the driver had permission to use the vehicle for the particular activity at issue, but on whether the driver had permission to use the vehicle *at all* (i.e. the distinction between a permissive user and a thief) (see *Motor Veh. Acc. Indem. Corp. v Continental Natl. Am. Group Co.*, 35 NY2d 260, 263-265 [1974]; *Murdza v Zimmerman*, 99 NY2d 375, 381 [2003]; *State Farm Mut. Auto. Ins. Co. v Taveras*, 71 AD3d 606, 606 [1st Dept 2010]; *Lancer Ins. Co. v Republic Franklin Ins. Co.*, 304 AD2d 794, 797 [2d Dept 2003]). That established meaning is consistent with industry practice, public policy and DHL’s insurance agreement itself.

In *Motor Veh. Acc. Indem. Corp.*, Continental Insurance attempted to deny coverage after an accident on the ground that the driver of a rental car was forbidden, by the terms of the rental agreement, from driving the car. We held that the driver nevertheless drove the car with constructive “permission” of the owner, as that term is used in section 388 of the Vehicle and Traffic Law, overcoming the restrictions on use provided by Continental in the lease. We wrote:

“The restrictions sought to be imposed by Continental violate the public policy of this State. . . . The

dismiss pursuant to CPLR 3211 (a) (1) and (7) does not have the burden of conclusively demonstrating his or her entitlement to recovery.

5. The Appellate Division’s rationale relied on dicta from our decision in *Dairylea Coop. v Rossal* (64 NY2d 1, 9-10 [1984]). *Dairylea* is inapposite on several counts. First, the policy at issue there specifically excluded from coverage “the owner of a non-owned automobile,” and there was “no question that . . . the tanker was not owned by Dairylea” (*id.*). The policies here contain no such exclusion. Second, the various facts suggesting that DHL could and did exercise substantial control over MVP were not present in *Dairylea*.

lessor (and Continental) . . . knew or should have known that the probabilities of the car coming into the hands of another person were exceedingly great and in these circumstances they are to be charged with constructive consent . . . Any other interpretation would be placing an unreasonable limitation on the ‘permission’ contemplated by [section 388] . . . [Section 388] expresses the policy that one injured by the negligent operation of a motor vehicle should have recourse to a financially responsible defendant . . .

“To put it another way, these considerations of sound public policy will prevent the evasion of the liability of one leasing cars for profit (and, in turn, his insurer) via the attempted device of restrictions on or conditions of use which run counter to the recognized realities and, in a measure, disguise the transaction” (35 NY2d at 264-265).

Subsequently, in *Murdza*, we explained that

“[o]ur finding of constructive consent [in *Motor Veh. Acc. Indem. Corp.*]—despite the owner’s restrictions—rested, in part, on the public policy concerns surrounding the large number of vehicles placed on the road by businesses that rent cars to others for profit, and the inevitability that these vehicles will ‘become involved in their fair share of accidents’” (99 NY2d at 380, quoting *Motor Veh. Acc. Indem. Corp.*, 35 NY2d at 263).

The Vehicle and Traffic Law’s understanding of “permission” is echoed in Insurance Law § 3420 (e), which requires an insurer (regardless of location) issuing a policy “covering liability arising from the ownership, maintenance or operation of any motor vehicle” if the vehicle is “principally garaged or principally used in this state” to insure the named insured from any liability “as a result of negligence in the operation or use of such vehicle . . . by any person operating or using the same with the permission, express or implied, of the named insured” (emphasis added).

Those same public policy concerns are at issue here. DHL contracted with MVP and others for the operation of fleets of thousands of vehicles with DHL’s logos, for the purpose of the exclusive delivery of DHL’s packages nationwide, including Western New York. Mr. Carlson pointed to evidence showing

that MVP's trucks were used exclusively for DHL's business. Some of those trucks will inevitably become involved in their fair share of accidents, and some of those accidents will inevitably occur when a driver departs from the specified routes or driving restrictions. The record, though incomplete at this point, indicates that DHL, as the "financially responsible defendant," has procured coverage that is priced and intended to provide excess coverage for those fleets of trucks when driven by an authorized user (*see* 35 NY2d at 264).

Mr. Carlson's expert, who claims 40 years of experience in the insurance industry, opined that, as a matter of common industry usage, "[t]he term 'permission' in an insurance policy is broad and simply means that the operator was legally allowed to use that vehicle at the time of an accident. To put in simpler terms, in an insurance context an operator is either a permissive user or a thief who stole the vehicle" (*cf. Murdza*, 99 NY2d at 381 ["because the lessee gave his consent to (the third-party driver) to operate the rental vehicle . . . we (found) that he was operating it with the constructive consent of (the lessor) and, perforce, with the permission envisioned by the provisions of section 388 . . . Absent the lessee's consent, the third party's operation would have been that of a thief—the antithesis of a permissive user" (internal quotation marks omitted)]). That opinion comports with our decisions in *Motor Veh. Acc. Indem. Corp.* and *Murdza*, as well as the public policies of the State, because if "permission" could be read to limit coverage for failure to adhere to certain specifications—such as avoiding detours or following the rules of the road—automobile insurance companies could successfully disclaim coverage for almost any accident when the driver is not the owner of the vehicle. That kind of "unreasonable limitation" on coverage was rejected by this Court in *Motor Veh. Acc. Indem. Corp.*, as it did not comport with the public policy that "one injured by the negligent operation of a motor vehicle should have recourse to a financially responsible defendant" (35 NY2d at 264).

DHL argues that the interpretation of "permission" is controlled by the Appellate Division's decision in *Carlson v Porter* (53 AD3d 1129 [4th Dept 2008]). There, the Appellate Division concluded as a matter of law that "neither the DHL defendants nor MVP may be held vicariously liable under the theory of respondeat superior" because Porter was on a personal errand at the time of the accident and that "his employment did not create the necessity for the travel" (*id.* at 1132). However, the doc-

trine of respondeat superior is not relevant to the issue of permission here. The doctrine of respondeat superior is used to determine when an employer may be held responsible for acts of an employee, not when an insurance company must provide coverage under the terms of its own policy.⁶

Under the terms of the insurance contract, coverage is not limited to circumstances where DHL is held directly liable or liable by way of the doctrine of respondeat superior. The contract contemplates coverage in circumstances where the driver may not be an employee, or where the driver may not be acting within the scope of employment, so long as the other requirements for coverage are met.

III.

AAIC adopts the Appellate Division's rationale that because AAIC's policy was issued in New Jersey and delivered in Washington and then in Florida, it was neither issued nor delivered in New York, and therefore plaintiff cannot recover from AAIC pursuant to Insurance Law § 3420. Our decision in *Preserver* resolves that question, and we now reiterate that section 3420 applies to policies that cover insureds and risks located in the state.

[2] Insurance Law § 3420 allows a limited cause of action on behalf of injured parties directly against insurers. Section 3420 applies to policies and contracts "issued or delivered in this state" (*see* Insurance Law § 3420 [a]). Insurance Law § 3420 does not define the term "issued or delivered in this state," but other provisions of the Insurance Law are instructive: "[T]he proper interpretation of the term 'issued or delivered in this state' refers both to a policy issued for delivery in New York, and a policy issued for delivery outside of New York" (Ops Gen Counsel NY Ins Dept No. 09-06-08). In *Preserver*, we interpreted section 3420 (d), which then required insurers to provide written notice when disclaiming coverage under policies "is-

6. "Under the doctrine of *respondeat superior*, an employer will be liable for the negligence of an employee committed while the employee is acting in the scope of his employment" (*Lundberg v State of New York*, 25 NY2d 467, 470 [1969]). The doctrine is limited: "An employee acts in the scope of his employment when he is doing something in furtherance of the duties he owes to his employer and where the employer is, or could be, exercising some control, directly or indirectly, over the employee's activities" (*id.*). Where travel is part of the employment, "the crucial test is whether the employment created the necessity for the travel" (*Swartzlander v Forms-Rite Bus. Forms & Print. Serv.*, 174 AD2d 971, 972 [4th Dept 1991]).

sued for delivery” in New York. We held that “[a] policy is ‘issued for delivery’ in New York if it covers both insureds and risks located in this state” (10 NY3d at 642). Thus, under *Preserver*, “issued for delivery” was interpreted to mean where the risk to be insured was located—not where the policy document itself was actually handed over or mailed to the insured. We interpreted section 3420 to provide a benefit—deliberately in derogation of the common law—to New Yorkers whenever a policy covers “insureds and risks located in this state” (*id.*).⁷ Applying the *Preserver* standard to the facts of this case, it is clear that DHL is “located in” New York because it has a substantial business presence and creates risks in New York. It is even clearer that DHL purchased liability insurance covering vehicle-related risks arising from vehicles delivering its packages in New York, because its insurance agreements say so.

This interpretation of “issued or delivered” is consistent with the reasoning behind the legislature’s enactment of Insurance Law § 3420. In 1917, the legislature created this statutory cause of action to remedy the inequity of the common-law rule that an injured person had no cause of action against the insurer of a tortfeasor and to protect the tort victims of New York (*see Lang v Hanover Ins. Co.*, 3 NY3d 350, 353-354 [2004]). “Generally, statutes designed to promote the public good will receive a liberal construction and be expounded in such a man-

7. Although the dissent claims that the *Preserver* court “relied on” the distinction between “issued or delivered” and “issued for delivery,” the basis for that claim is unsound (dissenting op at 321). The dissent points out that the Appellate Division in *American Ref-Fuel Co. of Hempstead v Employers Ins. Co. of Wausau* (265 AD2d 49 [2d Dept 2000]), cited in *Preserver*, notes that the phrase “issued for delivery” is different from “issued or delivered.” However, the court in *American Ref-Fuel* did only that—noted the distinction—but did not rely on it in making its determination regarding section 3420 (d). Indeed, *American Ref-Fuel* explains that the statute, both as originally enacted using the words “issued or delivered,” and as later amended to “issued for delivery,” at all times covered “accidents occurring in this State” (265 AD2d at 52). *American Continental Props. v National Union Fire Ins. Co. of Pittsburgh* (200 AD2d 443, 446-447 [1st Dept 1994]), which the dissent claims “construed the ‘issued or delivered’ language as limited to where the policy had been physically signed and executed” (dissenting op at 321), held only that there was a question of fact as to whether the policy was issued or delivered in New York where the policy contained a New York address, was signed in New York, countersigned in Pennsylvania, and “where a substantial portion of the risk associated with the policy” was located in New York. Thus, prior to *Preserver*, there was no clear distinction between the two phrases in the context of section 3420.

ner that they may, as far as possible, attain the end in view” (McKinney’s Cons Laws of NY, Book 1, Statutes § 341, Comment). The overall legislative intent of Insurance Law § 3420 is to protect the tort victims of New York State, and the subsequent amendments to section 3420 were designed to expand the remedy, not to contract it.

In 2008, the legislature amended Insurance Law § 3420 to expand its reach in several respects. The 2008 amendments were made to “restore fairness to the process and protect individuals who suffer personal injuries and families whose loved ones have died as a result of the tortious conduct of another” (Letter from John A. DeFrancisco, July 14, 2008, Bill Jacket, L 2008, ch 388 at 5; see Senate Introducer’s Mem in Support, Bill Jacket, L 2008, ch 388 at 8, 2008 NY Legis Ann at 261-262; see also Letter from Helene E. Weinstein, July 16, 2008, Bill Jacket, L 2008, ch 388 at 6 [(T)his progressive, forward thinking legislation will benefit insureds, injured parties, and the administration of justice”]; Letter from Robert Brenna Jr., President, New York State Academy of Trial Lawyers, July 11, 2008, Bill Jacket, L 2008, ch 388 at 18 [“This legislation advances the cause of justice and will improve New Yorkers’ access to the courts, and their ability to seek relief for injuries and wrongful death”]).

The 2008 amendments also changed the “issued for delivery” language in subsection (d) to match the “issued or delivered” language elsewhere in the statute. Nothing in the bill jacket or other legislative history mentions that change, so that it appears to have been a stylistic change with no intended import. If anything, “issued or delivered” is facially broader than “issued for delivery.” Moreover, there is certainly no indication that the legislature’s minor amendment to subsection (d) was intended to overturn this Court’s holding in *Preserver*.

Interpreting “issued or delivered in this state” to apply exclusively to policies issued by an insurer located in New York or by an out-of-state insurer who mails a policy to a New York address would undermine the legislative intent of Insurance Law § 3420. It would require an assumption that the legislature intended to remove coverage benefitting injured New York residents if the policy was mailed from another state, but to increase coverage for foreign victims injured elsewhere so long as the policy was mailed to New York or underwritten by a New York-based insurer—hardly plausible in light of the express purposes of section 3420 and the 2008 amendments.

The dissent suggests that, “[g]iven the sharp change in the meaning of ‘issued or delivered,’ and the frequency with which that phrase is used,” our holding today will “wreak havoc” in unspecified ways (dissenting op at 322).⁸ That is not the case. Today’s interpretation of “issued or delivered” to include policies that cover both insureds and risks located in the state is not a “sharp change”; that interpretation is consistent with *Preserver* and the legislative history of section 3420 and the 2008 amendments. The fact that the phrase “issued or delivered” exists in other provisions of the Insurance Law does not affect the analysis, for a few reasons. First, although “issued or delivered” appears in other parts of the Insurance Law, we have yet to interpret the phrase in any of those other contexts. Thus, decrying our interpretation of “issued or delivered” because it might affect the interpretation of those same words in other provisions would apply equally to the adoption of the dissent’s view: any interpretation would have that effect.

Second, we do not here purport to judge the meaning of the words “issued or delivered” in any context other than section 3420. Identical words may be used in different contexts with different meanings and different legislative histories, and we do not foreclose any such interpretations by our decision here.

Third, the dissent would restrict section 3420 (a) to policies that were either issued in New York or delivered to New York, and would exclude, for example, an insurance policy issued by a national insurer located in Connecticut to a retailer operating in all 50 states, if the policy was delivered to the retailer’s headquarters in Arkansas—even if the policy was specifically written to cover risks in New York created by the insured’s extensive operations in this state. The same concerns that animate our consideration of section 3420 are also relevant to and consistent with the purpose of other provisions of the Insurance Law, which has as its overriding purpose the protection of New Yorkers and the coverage of injuries occurring in New York (*see e.g.* Insurance Law § 1213 [a] [declaring the legislature’s concern that out-of-state insurers present New York residents “the often insuperable obstacle of resorting to

8. The dissent’s questions about the effects of our decision fail to take into account two things: (1) an insurance company will be subject to suit in New York only if a New York court has personal jurisdiction over it; and (2) section 3420 applies to policies that cover *both* insureds *and* risks located in New York.

distant forums for the purpose of asserting legal rights under such policies,” and therefore providing that any transaction of business or solicitation thereof by a foreign insurer constitutes authorization for the Superintendent of Financial Services to accept process for that insurer]). The dissent’s interpretation of “issued or delivered” would allow an insurer to avoid compliance with many of the provisions of the Insurance Law simply by mailing the policy to the insured’s secondary location, even though the risks contemplated by the policy existed entirely within New York. It is simply not plausible that the legislature intended the provisions of the Insurance Law to be so easily evaded by companies doing business in New York and purporting to cover risks in New York.

In light of the above, we conclude that the term “issued or delivered” does not alter our conclusion in *Preserver*, and that section 3420 (a) encompasses situations where both insureds and risks are located in this state. In so holding, we further conclude that the policies here fall within the purview of Insurance Law § 3420, and Mr. Carlson may maintain his Insurance Law § 3420 cause of action against AAIC, subject, of course, to his ability to prove coverage.

IV.

Mr. Carlson’s remaining claims are without merit, and we review them briefly.

[3] General Business Law § 349 provides that “[d]eceptive acts or practices in the conduct of any business, trade[,] or commerce or the furnishing of any service in [New York] are . . . unlawful” (General Business Law § 349 [a]). We have held that “[s]ection 349 does not grant a private remedy for every improper or illegal business practice, but only for conduct that tends to deceive consumers” (*Schlessinger v Valspar Corp.*, 21 NY3d 166, 172 [2013]). “As a threshold matter, in order to satisfy General Business Law § 349 plaintiffs’ claims must be predicated on a deceptive act or practice that is ‘consumer oriented’ ” (*Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 344 [1999], quoting *Oswego Laborers’ Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 24-25 [1995]). Mr. Carlson’s allegations demonstrate that this action is merely a “‘private’ contract dispute over [insurance] policy coverage,” which does not “affect[] the consuming public at large,” and therefore falls outside the purview of General Business Law § 349 (*New York Univ. v Continental Ins. Co.*, 87 NY2d 308,

321 [1995]; see *Oswego Laborers' Local 214 Pension Fund*, 85 NY2d at 25).

“The elements of a cause of action for fraud require a material misrepresentation of a fact, knowledge of its falsity, an intent to induce reliance, justifiable reliance by the plaintiff[,] and damages” (*Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553, 559 [2009]; see *Lama Holding Co. v Smith Barney*, 88 NY2d 413, 421 [1996]). In an action for fraud, “the circumstances constituting the wrong shall be stated in detail” (CPLR 3016 [b]). Here, Mr. Carlson does not allege, with sufficient particularity, details demonstrating that the defendants engaged in any fraud. His allegations concerning defendants’ alleged misrepresentations and bad faith refusal to settle the claim are purely conclusory in nature and duplicative of his direct action pursuant to Insurance Law § 3420 and therefore fail to state a cause of action (see *New York Univ.*, 87 NY3d at 320). Finally, New York does not recognize a freestanding claim for conspiracy (see *Alexander & Alexander of N.Y. v Fritzen*, 68 NY2d 968, 969 [1986] [“a mere conspiracy to commit a (tort) is never of itself a cause of action”]). In light of the above, Mr. Carlson’s remaining claims were properly dismissed.

Accordingly, the orders of the Appellate Division should be modified, without costs, by denying defendants’ motions to dismiss the first cause of action and, as so modified, affirmed.

GARCIA, J. (dissenting). The vehicle involved in the tragic accident underlying this case was not a “hired auto” under settled principles of insurance law (see *Dairylea Coop. v Rossal*, 64 NY2d 1, 9-10 [1984]; see also *Toops v Gulf Coast Mar. Inc.*, 72 F3d 483, 487-488 [5th Cir 1996]; 8A Steven Plitt et al., *Couch on Insurance* § 118:49 [3d ed]). I would therefore affirm on that basis.

I.

In April 2004, MVP Delivery and Logistics, Inc. entered into a cartage agreement with DHL Express (USA) Inc. to provide package delivery services in the Western New York region. The agreement expressly identified MVP as an independent contractor. As such, MVP owned and registered the vehicles in its delivery fleet. MVP also maintained control over its employees and the manner and means of its performance under the cartage agreement. Pursuant to the terms of the agreement, MVP obtained a \$1 million liability insurance policy to cover the vehicles.

On July 7, 2004, an MVP delivery van, driven by employee William Porter, collided head on with another vehicle. The driver of that vehicle died 13 days later as a result of the injuries she sustained in the crash. At the time of the accident, William Porter was running a personal errand on a scheduled break.

In the underlying wrongful death litigation, a jury awarded Michael Carlson, in both his individual capacity and as administrator of his deceased wife's estate, \$20 million against William Porter, MVP, and DHL. The Appellate Division reversed the judgment against MVP and DHL, reasoning that MVP and DHL could not be held vicariously liable on a theory of respondeat superior because Porter's employment did not create the need for the travel (*Carlson v Porter*, 53 AD3d 1129, 1132 [4th Dept 2008]). In other words, Porter exceeded the scope of his employment by running a personal errand at the time of the accident. MVP was nonetheless still held statutorily liable as owner of the vehicle (*see* Vehicle and Traffic Law § 388). The Appellate Division also set aside the damages award as excessive and plaintiff stipulated to a reduced judgment of \$7.3 million. To date, plaintiff has received approximately \$1.1 million from MVP's insurance carrier.

Seeking to satisfy the deficient judgment, plaintiff, in his individual capacity and as administrator of his wife's estate, commenced this action under Insurance Law § 3420 (b).¹ Specifically, plaintiff seeks to recover from DHL's insurers on the theory that the MVP vehicle was a "hired auto" within the meaning of DHL's insurance policies. As such, MVP would be an "insured" under those policies.

Three DHL insurance policies are relevant here. First, National Union Fire Insurance Company of Pittsburgh, a subsidiary of American International Group, Inc. (AIG), issued DHL's primary insurance policy in the amount of \$3 million. This liability policy contained a "hired auto" provision defining an insured as anyone "using with your permission a covered auto you own, hire or borrow." Second, National Union issued a \$23 million umbrella policy defining an insured as "[a]ny person . . . or organization with respect to any auto owned by you, loaned to you or hired by you on your behalf and used

1. Subject to certain limitations, section 3420 (b) provides that "an action may be maintained . . . against the insurer upon any policy or contract of liability insurance . . . to recover the amount of a judgment against the insured or his personal representative" (*see* section III, *infra*).

with your permission.” Under both policies, “you” means a named insured, which explicitly includes DHL but not MVP or any other independent contractor. Third, DHL purchased a \$2 million excess policy from American Alternative Insurance Company (AAIC), which followed the form of DHL’s primary insurance policy.

These defendant insurance companies moved to dismiss this action under CPLR 3211 (a) (1) and (7). Supreme Court, Niagara County denied the motions insofar as the insurers sought dismissal under Insurance Law § 3420. The court rejected AAIC’s argument that the excess policy had not been “issued or delivered” in New York, as required by Insurance Law § 3420 (a), because the accident took place while the named insured was doing business within the state. After limited discovery, the same court concluded that the pleadings were sufficient to allege that the MVP vehicle constituted a “hired auto” under the relevant policies.

On appeal, the Appellate Division reversed and granted the motion to dismiss, concluding that plaintiff could not state a claim against National Union because DHL did not “hire” the vehicle in question and could not have given MVP permission to use MVP’s own vehicle (130 AD3d 1479, 1481 [4th Dept 2015]). As a result, MVP was not an “insured” under the applicable policies. In a companion appeal, the Appellate Division also dismissed the first cause of action against AAIC (130 AD3d 1477, 1477-1478 [4th Dept 2015]). The Court reasoned that the excess policy had not been “issued or delivered in this state” as required by Insurance Law § 3420 (a) (2). This Court subsequently granted leave to appeal.

II.

The majority holds that whether MVP is an “insured” under DHL’s insurance policies presents a question of fact to be resolved by a jury. I disagree. The cartage agreement on its face establishes that MVP is an independent contractor responsible for the purchase, operation, and maintenance of its delivery fleet. As such, MVP exercised meaningful control over its vehicles, thereby precluding “hired auto” coverage, as a matter of law, under the relevant insurance policies.

A.

“The key inquiry regarding whether an automobile will fall within the hired automobiles provision of [a] policy is whether

the insured exercised dominion, control, or the right to direct the use of the vehicle” (8A Steven Plitt et al., *Couch on Insurance* § 118:49 [3d ed]).² In other words, the issue is whether the underlying agreement is for the *services* of the independent contractor or for the *vehicle used* in providing those services (*see id.*; *Dairyalea Coop. v Rossal*, 64 NY2d 1, 9-10 [1984]; *Transport Indem. Co. v Liberty Mut. Ins. Co.*, 620 F2d 1368, 1371 [9th Cir 1980]). A business should not be liable for its independent contractor’s use of the vehicles if the business cannot control the manner in which those vehicles operate (*see Chainani v Board of Educ. of City of N.Y.*, 87 NY2d 370, 380-381 [1995]; *Kleeman v Rheingold*, 81 NY2d 270, 274 [1993]). That was clearly the case here.

MVP, not DHL, owned the delivery vehicle at issue. Accordingly, to obtain coverage, plaintiff has the burden of establishing that the MVP vehicle was (1) “hired” by DHL and (2) used with DHL’s permission at the time of the accident. Here, the 14-page cartage agreement, read in conjunction with the insurance policies, conclusively defeats plaintiff’s “hired auto” claim.

By its very terms, the cartage agreement referred to MVP as an independent contractor. As such, MVP maintained sole control over the manner and means of its performance:

“3.3 Manner of Performance. Subject to the terms and conditions of this Agreement, the manner and means by which Contractor performs the Services shall be *at Contractor’s sole discretion and control* and are Contractor’s sole responsibility, including, with respect to (a) the hours and days worked by Contractor Workers, (b) the selection and supervision of Contractor Workers and (c) the number of Contractor Vehicles used by Contractor in providing the Services. Contractor shall have the *sole right to determine all aspects of its performance of its obligations* under this Agreement, including the staffing, operation, and routing of the Contractor Vehicles in the Service Areas” (Cartage agreement § 3.3 [emphasis added].)

2. “Other factors in determining control may include control over the driver of the vehicle, control of decisions affecting the operations of the vehicle, responsibility for maintenance of the vehicle, and responsibility for maintaining liability insurance for the vehicle” (8A Steven Plitt et al., *Couch on Insurance* § 118:49 [3d ed]).

This “manner of performance” provision clearly establishes the parties’ intent that MVP would maintain control over the operation of its vehicles. DHL did not have authority to make decisions affecting the day-to-day operations of MVP’s vehicles.

The cartage agreement further provides MVP with exclusive control over the purchase and maintenance of its delivery vehicles (*see id.* § 3.5.1 [“Contractor Vehicles. Without limiting the generality of Section 3.3, Contractor, at its sole cost and expense, shall obtain, furnish, operate, and maintain in good working condition such Contractor Vehicles as may be necessary for Contractor to perform the Services in accordance with the provisions of this Agreement” (emphasis added)]). Moreover, MVP was solely responsible for the licensing, registration, and insurance of its delivery vehicles (*see id.* §§ 3.5.2, 12.1 [(“MVP) shall, at its sole cost and expense, maintain in effect continual insurance coverage All such insurance coverages . . . shall be primary to, and shall receive *no contribution* from any other insurance maintained by, on behalf of, or benefitting DHL” (emphasis added))]. Finally, the agreement specified that MVP was responsible for the hiring, training, and firing of all its employees (*see id.* § 3.4). Clearly, pursuant to the cartage agreement, MVP maintained direct control over the purchase, operation, and maintenance of its vehicles—and more. MVP, among other things, selected individual drivers, selected delivery routes, loaded and unloaded the vehicles, and furnished the vehicles with gas and other supplies.

As the majority notes, the cartage agreement contained strict regulations for, among other things, the vehicles’ operating and performance standards, the vehicles’ markings, employee uniforms, and employee standards of conduct. DHL also had the right to inspect MVP’s records and audit its compliance with the agreement. MVP even used DHL’s facilities and housed its vehicles on site. The majority stresses these aspects of the business relationship in holding that there is a cognizable factual dispute here (*see* majority op at 300-301). However, none of these requirements in the cartage agreement—with the limited exception of vehicle performance standards—affect the MVP vehicles in their *functional* or *operational* capacities. The markings requirement, for instance, simply reflects DHL’s control over its own intellectual property and brand, not the vehicle itself. Accordingly, even assuming DHL exercised some “supervisory powers,” MVP was still an independent contractor responsible for its own performance (*see Chicago Ins. Co. v*

Farm Bur. Mut. Ins. Co. of Ark., Inc., 929 F2d 372, 374 [8th Cir 1991]).

Absent any indication that DHL specifically hired MVP's vehicles for its own exclusive control, there can be no "hired auto" coverage as a matter of law (see *American Cas. Co. of Reading, Pa. v Denmark Foods*, 224 F2d 461, 463 [4th Cir 1955]). I would therefore hold that MVP—an independent contractor solely responsible for the purchase, operation, and maintenance of its vehicles—exercised such exclusive control over the vehicle so as to preclude "hired auto" coverage.

B.

That result is the same one we reached in *Dairylea Coop. v Rossal* (64 NY2d 1 [1984]). There, R & H Hauling, an independent contractor, entered into a hauling contract with Dairylea Cooperative, Inc. and an accompanying lease agreement for a tanker truck. Several months later, R & H purchased the tanker with Dairylea retaining a security interest. The truck, which was still titled in Dairylea's name, was subsequently involved in an accident with another vehicle while being driven by an R & H employee. After a jury returned a verdict for the plaintiff in the underlying personal injury action, Dairylea and R & H's insurers initiated a declaratory judgment action to determine coverage. Much like the insurance policies at issue here, Dairylea's insurance policy defined an insured as "any other person while using an owned automobile or a hired automobile with the permission of the named insured" (*id.* at 9).

We held in *Dairylea* that the truck did not constitute a "hired auto" under Dairylea's insurance policy. In doing so, we emphasized the fact that the hauling contract between the parties called for R & H to transport milk as an independent contractor, and did not require the use of a particular tanker to perform that service (see *id.* at 9-10). Even though Dairylea still had title to the truck and the truck still carried license plates issued to Dairylea, we concluded that "it cannot be said in any realistic sense that once the . . . agreements and note were executed, Dairylea had any control over use of the tanker or could grant R & H permission to use it" (*id.* at 10). We further observed that "[a]s the owner of the tanker, R & H had the right to use it without permission from Dairylea or anyone else" (*id.*).

Similarly, here, the cartage agreement between DHL and MVP explicitly refers to MVP as an independent contractor.

The agreement makes no mention of specific vehicles to be used in the performance of the contract. The agreement is a contract for MVP's services—not its vehicles—and, as owner of those vehicles, MVP retained significant control over their operation. In short, *Dairylea* is not meaningfully distinguishable from the instant case, compelling the same result.³

Our decision in *Dairylea* reflects the nationwide consensus on “hired auto” coverage (*see e.g. Toops v Gulf Coast Mar. Inc.*, 72 F3d 483, 487 [5th Cir 1996] [(I)n order for a vehicle to constitute a hired automobile it must be under the named insured's exclusive use or control”]; *Sprow v Hartford Ins. Co.*, 594 F2d 418, 422 [5th Cir 1979] [(F)or a vehicle to constitute a hired automobile, there must be a separate contract by which the vehicle is hired or leased to the named insured for his exclusive use or control”]; *Russom v Insurance Co. of N. Am.*, 421 F2d 985, 993 [6th Cir 1970] [“Where there is a separate contract hiring or leasing a vehicle in addition to an agreement to haul a particular load, courts have held that the vehicle becomes a ‘hired automobile’ ”]; *Phillips v Enterprise Transp. Serv. Co.*, 988 So 2d 418, 422 [Miss Ct App 2008] [citing *Toops* and *Sprow* for the proposition that the vehicle must be hired or leased for the named insured's exclusive use or control]). Courts have also held that independent contractor status cannot create “hired auto” coverage as a matter of law (*see e.g. Chicago Ins. Co.*, 929 F2d at 374; *Transport Indem. Co.*, 620 F2d at 1371; *American Cas. Co.*, 224 F2d at 463).⁴ Accordingly, based on the face of the cartage agreement, plaintiff cannot, as a matter of law, meet his burden of proving coverage (*see*

3. The majority suggests that *Dairylea* is distinguishable because “the policy at issue there specifically excluded from coverage ‘the owner of a non-owned automobile,’ and there was ‘no question that . . . the tanker was not owned by Dairylea’ ” (majority op at 302 n 5, quoting *Dairylea*, 64 NY2d at 9-10). But “the policy definition of ‘insured’ included in addition to Dairylea, ‘any other person while using an owned automobile or a hired automobile with the permission of the named insured’ ” (*Dairylea* at 9 [emphasis added]). We held that “the tank farm milk hauling contract” between Dairylea and R & H did not “constitute the tanker a hired automobile within the meaning of that provision” (*id.* at 9-10).

4. The majority asserts that MVP's status as an independent contractor is just another “factor to be weighed with others” and “is not dispositive of the issue of control” (majority op at 301). But the cases cited from this Court address whether an employment relationship exists within the meaning of the unemployment insurance law (*see Matter of Rivera [State Line Delivery Serv.—Roberts]*, 69 NY2d 679, 682 [1986]; *Matter of Empire State Towing & Recovery Assn., Inc. [Commissioner of Labor]*, 15 NY3d 433, 437 [2010]). Employment is defined broadly within the meaning of the unemployment in-

(n. cont'd)

Consolidated Edison Co. of N.Y. v Allstate Ins. Co., 98 NY2d 208, 218 [2002]).

C.

Relying on the standard of review on a motion to dismiss, the majority holds that “[w]hether MVP was an insured under DHL’s policies presents a question of fact to be resolved by the trier of fact” (majority op at 295-296 [internal quotation marks omitted]). According to the majority, “the insurance policies do not define ‘hired auto,’ and neither the Appellate Division nor defendants point to any industry-standard definition” (*id.* at 299). The majority opinion then relies heavily on an expert affidavit proffered by plaintiff to conclude that a jury should determine whether the vehicle was a “hired auto.” The majority even implies that a “missing” schedule of hire, which is purportedly “essential to [the] determination of the full content of the contract,” is admissible through the parol evidence rule (*id.* at 298-299).

But “a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). The rule’s operation is no different in the context of insurance contracts: “[w]here the terms of an insurance policy are clear and unambiguous, interpretation of those terms is a matter of law for the court” (*Town of Harrison v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 89 NY2d 308, 316 [1996]; *see also White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007] [(“U)nambiguous provisions of an insurance contract must be given their plain and ordinary meaning”). We have, in *Dairylea*, defined the parameters of hired auto coverage, consistent with the interpretations adopted by courts in a number of states, and that definition should govern here. Yet, instead, the majority impermissibly uses extrinsic evidence “to create an ambiguity in a written agreement which is complete and clear and unambiguous upon its face” (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 163 [1990]).⁵ Consequently, under the majority’s holding, a plaintiff may now use extrinsic evidence to alter the express terms of an insurance policy whenever an insurer moves to dismiss the action.

insurance law to effectuate its remedial purpose (*see* Labor Law §§ 501, 511 [1]). Those policy concerns do not apply here.

5. Indeed, the majority fails to note that plaintiff originally conceded that the terms of the policies were unambiguous.

Insurers rely on the established meaning of legal terms to define the scope of coverage and the concomitant level of risk; “[t]he meaning of such provisions is not an issue of fact to be litigated anew each time a dispute goes to court” (*Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.*, 4 F3d 1049, 1071 [2d Cir 1993]). Under the majority’s interpretation, plaintiffs may now point to information outside the four corners of the governing insurance contract to generate ambiguity and manufacture a “triable issue of fact.”

The majority also appears to suggest that MVP and William Porter had implied permission to operate the vehicle under Vehicle and Traffic Law § 388 (1) (*see* majority op at 302-303). That statute provides that

“[e]very owner of a vehicle used or operated in this state shall be liable and responsible for death or injuries to person or property resulting from negligence in the use or operation of such vehicle, in the business of such owner or otherwise, by any person using or operating the same with the permission, express or implied, of such owner” (Vehicle and Traffic Law § 388 [1]).

By definition, however, section 388 only applies to an “owner of a vehicle used or operated in this state” (*id.* § 128). It is undisputed that MVP—not DHL—owned the van and, pursuant to section 388, MVP is the party that must give permission.

The majority also relies on the public policy considerations underlying section 388. In *Motor Veh. Acc. Indem. Corp. v Continental Natl. Am. Group Co.*, for example, we held that a driver of a rental car had the constructive permission of the owner, overcoming the permissive-use restrictions found in the lease agreement (35 NY2d 260, 264-265 [1974]). Later, in *Murdza v Zimmerman*, we explained that “[o]ur finding of constructive consent—despite the owner’s restrictions—rested, in part, on the public policy concerns surrounding the large number of vehicles placed on the road by businesses that rent cars to others for profit, and the inevitability that these vehicles will ‘become involved in their fair share of accidents’ ” (99 NY2d 375, 380 [2003], quoting *Motor Veh. Acc. Indem. Corp.*, 35 NY2d at 263). If anything, these cases undermine the majority’s position.

The constructive permission theory applied in *Motor Veh. Acc. Indem. Corp.* and *Murdza* is intended to ensure that a

financially responsible defendant, as owner or renter, cannot avoid liability by claiming an insolvent user did not have actual permission (*see Morris v Snappy Car Rental*, 84 NY2d 21, 27 [1994]). But DHL is not a car rental company leasing numerous cars for profit with restrictive use agreements that limit its exposure to liability. DHL contracted with MVP for its services in a commercial, arms' length agreement—not a rental agreement. DHL required MVP to keep, at a minimum, a \$1 million liability insurance policy—well above the minimum automobile liability coverage required in New York State (*see Vehicle and Traffic Law* § 345 [b] [3] [requiring motorists to carry a minimum amount of liability insurance of \$50,000 for death of one person, \$100,000 for death of two or more people, and \$10,000 for property damage in any one accident]). The public policy underlying these constructive permission decisions—involving owners placing “fleets of vehicles” on the road with the risk that restrictive rental agreements will leave injured plaintiffs without recourse to an insured motorist—is simply not implicated here.

The case before us involves a straightforward application of contract interpretation and settled insurance law. Rather than apply those established principles, the majority's approach permits litigants to introduce extrinsic evidence to create ambiguity in contracts, upsetting not only our own precedent but the settled expectations of parties to commercial agreements. I would instead apply our long-standing precedent and affirm the Appellate Division's holding that the vehicle was not a “hired auto.”

III.

Affirming on these grounds would dispose of the case without consideration of the second issue—the application of Insurance Law § 3420 (a). Reaching the issue, the majority misinterprets section 3420 (a) in a manner that enacts sweeping change across the Insurance Law, generating substantial implications, both known and unknown.

Section 3420 (a) of the Insurance Law mandates specified provisions to be included in certain insurance policies and contracts “issued or delivered in this state.” Section 3420 (b), in turn, provides a direct cause of action “against the insurer upon any policy or contract of liability insurance that is governed by [section 3420 (a) (2)], to recover the amount of a judgment against the insured or his personal representative.”

In other words, “Insurance Law § 3420 grants an injured plaintiff the right to sue a tortfeasor’s insurance company to satisfy a judgment obtained against the tortfeasor” (*Lang v Hanover Ins. Co.*, 3 NY3d 350, 352 [2004]).

In order to recover under Insurance Law § 3420, a plaintiff must first establish that the policy sued upon was “issued or delivered” in New York (Insurance Law § 3420 [a]; *American Continental Props. v National Union Fire Ins. Co. of Pittsburgh*, 200 AD2d 443, 446 [1st Dept 1994]). This requirement is a statutory prerequisite; failure to satisfy it will result in dismissal for lack of capacity to sue (*see Lang*, 3 NY3d at 354-355). The right to sue a tortfeasor’s insurance company to satisfy a judgment obtained against that tortfeasor did not exist at common law, and therefore section 3420—a statute in derogation of the common law—must be narrowly construed (*see Lang*, 3 NY3d at 353; *Matter of Allstate Ins. Co. v Rivera*, 12 NY3d 602, 609 n [2009]).

The majority holds that dismissal of the cause of action against AAIC was improper under the standard announced in *Preserver Ins. Co. v Ryba* (10 NY3d 635 [2008]). In *Preserver*, we considered a different provision of section 3420—section 3420 (d) (2)—which requires insurers to meet certain requirements to “disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident occurring within this state.” At the time, section 3420 (d) applied to insurance policies “delivered or *issued for delivery* in this state” (former Insurance Law § 3420 [d] [emphasis added]).⁶ Interpreting the first part of that phrase, we observed that the policy was “actually delivered” outside of New York and, turning to the second part of that phrase, we held that “[a] policy is ‘issued for delivery’ in New York if it covers both insureds and risks located in this state” (10 NY3d at 642). Specifically, we held that the policy at issue was not “issued for delivery” in New York because the insured was “a New Jersey company, with its only offices located in that state,” and therefore could not be considered an insured located in New York (*id.*).

“Issued for delivery”—the phrase then used in section 3420 (d)—is *not* the phrase used in section 3420 (a)—the provision

6. This “issued for delivery” language was later amended to “issued or delivered” (*see* Insurance Law § 3420 [d] [2], as amended by L 2008, ch 388, § 5).

at issue here. Instead, section 3420 (a) provides that the policy must be “*issued or delivered*” in New York (emphasis added). Those phrases—“issued or delivered” (used in section 3420 [a]) and “delivered or issued for delivery” (formerly used in section 3420 [d])—are two distinct phrases in the Insurance Law that, our cases make clear, have quite different meanings.

In holding that an insurance policy is “issued for delivery” if it covers both insureds and risks in New York, the *Preserver* Court cited *American Ref-Fuel Co. of Hempstead v Employers Ins. Co. of Wausau* (*Preserver*, 10 NY3d at 642, citing *American Ref-Fuel Co.*, 265 AD2d 49, 53 [2d Dept 2000]). *American Ref-Fuel* held that an insurance policy was “issued for delivery” in New York where the policy expressly listed, as a named insured, a New York corporation (265 AD2d at 53). In so holding, the Court expressly noted that “the language in issue here, ‘delivered or issued for delivery in this [S]tate’ *differs from the language in . . . Insurance Law § 3420 (a)*, applicable to policies ‘issued or delivered in this [S]tate’” (*American Ref-Fuel*, 265 AD2d at 52 [emphasis added]). To highlight the distinction between the two phrases, *American Ref-Fuel* contrasted another case, *American Continental Props. v National Union Fire Ins. Co. of Pittsburgh*, which construed the “issued or delivered” language as limited to where the policy had been physically signed and executed (*American Continental Props.*, 200 AD2d 443, 446-447 [1st Dept 1994]). Evidently, the *Preserver* Court was not only aware of the distinction between the two phrases—“issued for delivery” and “issued or delivered”—but relied on that distinction in defining “issued for delivery.”

The majority asserts that, “[i]f anything, ‘issued or delivered’ is facially broader than ‘issued for delivery’” (majority op at 307). This misrepresents the former statutory language in Insurance Law § 3420 (d), which covered policies “delivered or issued for delivery” in the state (*Preserver*, 10 NY3d at 642). The true crux of the dispute here is whether the term “issued” (in this state) is facially broader than, or identical to, the phrase “issued for delivery” (in this state) and, when presented in that manner, the question must plainly be answered in the negative.

Recognizing the distinction between the terms, the Appellate Division in this case properly dismissed the cause of action against AAIC: “The parties and the court have improperly conflated the phrase ‘issued or delivered’ with ‘issued for delivery,’ which was used in the former version of Insurance

Law § 3420 (d), and therefore the definition of ‘issued for delivery’ is not relevant here.” (*Carlson*, 130 AD3d at 1477-1478.) The excess policy was issued by AAIC from New Jersey and delivered to the insured in Washington and then in Florida. Thus, the policy was not “issued or delivered in this state” as that phrase is ordinarily understood (*id.* at 1478; *see also Taggart v Security Ins. Co. of New Haven, Conn.*, 277 App Div 1051, 1051 [2d Dept 1950] [“A policy of insurance is issued when it is delivered and accepted, whereby it comes into full effect and operation as a binding mutual obligation, or when it is prepared and signed, as distinguished from its delivery to the insured”]; *cf. American Continental Props.*, 200 AD2d at 446-447 [questioning where the endorsements were signed and therefore finding a question of fact as to whether a policy was “issued or delivered” in New York]).

Rather than give “issued or delivered” the plain meaning it has previously been assigned, the majority—attempts to rectify a perceived injustice—defines two distinct terms to have identical meaning (Statutes § 236, Comment [“When . . . the Legislature uses unlike terms in different parts of a statute, it is reasonable to infer that a dissimilar meaning is intended”]; *Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975]). In doing so, the majority rewrites the Insurance Law to make “issued or delivered” mean “issued for delivery” each and every time it appears—and it frequently appears (*see* Insurance Law §§ 1101 [b] [2] [C]; 1213 [a], [d]; 3102 [b] [1] [F]; [3]; [c] [1]; [f] [1], [2]; 3221 [k] [6] [A], [B]; [l] [5] [B] [i]; [p] [3] [E] [ii]; 3407 [a], [b]; 3446 [c]; 3451 [a] [1]; 3452 [a] [1]; 4106, 4207 [c]; 4216 [c] [2]; 4231 [d], [g] [1] [D], [E]; 4306, 4510 [c]; 6409 [a]). Given the sharp change in the meaning of “issued or delivered,” and the frequency with which that phrase is used, the majority’s holding will surely wreak havoc well beyond this case. The majority’s assertion that its holding may be confined to Insurance Law § 3420 is belied by our rules of statutory construction, which will not allow us to disregard the plain language of other Insurance Law provisions, identical to that interpreted here, due to variances in context or legislative history, as the plain language of the statute is paramount and we can hardly ascribe differing meanings to like terms found throughout the Insurance Law.

Moreover, the majority’s claim that a literal interpretation of the phrase “issued or delivered” would permit insurers to

regularly insure risks located in New York while simultaneously avoiding application of the Insurance Law is exaggerated and unavailing. The legislative intent of the provisions at issue was to alter the common-law rule that “‘an injured person possessed no cause of action against the insurer of the tortfeasor’ . . . because there was no privity of contract between plaintiff and the insurance carrier” (*Lang*, 3 NY3d at 353, quoting *Jackson v Citizens Cas. Co.*, 277 NY 385, 389 [1938]). This legislative intent is still effected by giving the terms “issued or delivered” their plain meaning because New York residents may, contrary to the common-law rule, pursue actions (in accordance with section 3420) directly against an insurer who issues or delivers an automobile insurance policy in New York. Significantly, New York residents will still benefit from an insurance policy issued or delivered outside the state—they just may not be able to sue the insurer directly in New York.⁷ Indeed, the legislature has seen fit to ensure that policies that may not be issued or delivered in the state, but which cover automobiles that present a significant risk to the residents of New York, must comply with specific provisions of the Insurance Law (*see e.g.* Insurance Law §§ 3420 [e] [governing any insurance policy issued or delivered by an authorized insurer “upon any such vehicle or aircraft or vessel then principally garaged or principally used in this state”]; 3411, 3412 [governing insurance policies on vehicles “registered in this state”]). The majority’s interpretation ignores these plain language distinctions.

While the majority claims that it is “simply not plausible” to conclude that the legislature intended to exclude policies issued or delivered outside the state because of the potential burden on New York residents in pursuing insurers in their home states, it is hardly plausible that the legislature intended to require every automobile insurer throughout the country—regardless of where the policy was issued or delivered—to comply with New York insurance statutes on the chance that

7. States may explicitly provide for such actions under appropriate circumstances (*see e.g.* Wis Stat § 803.04 [2] [a] [“If the policy of insurance was issued or delivered outside this state, the insurer is . . . made a proper party defendant *only if the accident, injury or negligence occurred in this state*” (emphasis added)]; La Stat Ann § 22:1269 [B] [2] [“This right of direct action shall exist whether or not the policy of insurance sued upon was written or delivered in the state of Louisiana and whether or not such policy contains a provision forbidding such direct action, *provided the accident or injury occurred within the state of Louisiana*” (emphasis added)]).

the insured vehicle may be driven into New York.⁸ Given that many of the provisions of section 3420 governing policies issued or delivered in the state govern the relationship between the insured and the insurer, it is also hardly plausible that the New York Legislature intended to dictate the relationship between out-of-state insureds and out-of-state insurers. It is questionable whether the legislature would even have the authority to do so (*see* 8 Steven Plitt et al., *Couch on Insurance* § 111:27 [3d ed] [(a) state legislature does not have the power to prescribe the contents of insurance policies that are issued or delivered outside of that respective state's borders"]).

This unhappy result may be avoided—the vehicle was not a “hired auto” and we should leave it at that. I respectfully dissent.

Judges RIVERA, FEINMAN and ENG* concur; Judge GARCIA dissents in an opinion, in which Chief Judge DiFIORE and Judge STEIN concur; Judge FAHEY taking no part.

Orders modified, without costs, by denying defendants' motions to dismiss the first cause of action and, as so modified, affirmed.

8. While the majority may take issue with this statement, its opinion provides no basis for drawing a distinction between an insured who drives a vehicle into New York and causes an accident and the situation presented here, where the purported insured has a business in New York. Indeed, the majority opinion raises many questions regarding whether and when an insured and risk would be located in New York. For example, what will occur when an out-of-state resident owns property in New York, or works in New York, or simply vacations regularly in New York, and drives a vehicle into the state? Will the out-of-state insurers of an insurance policy delivered out of state be subject to direct suit in New York under such circumstances? It would appear so under the majority's interpretation.

* Designated pursuant to NY Constitution, article VI, § 2.

[89 NE3d 475, 67 NYS3d 85]

VERONIKA CHAUCA, Appellant, v JAMIL ABRAHAM et al., Respondents.

Argued October 10, 2017; decided November 20, 2017

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “What is the standard for finding a defendant liable for punitive damages under the New York City Human Rights Law, N.Y.C. Admin. Code § 8-502?”

HEADNOTE

Civil Rights — New York City Human Rights Law — Punitive Damages Standard

The standard for determining punitive damages under the New York City Human Rights Law (NYCHRL) is whether the wrongdoer has engaged in discrimination with willful or wanton negligence, or recklessness, or a conscious disregard of the rights of others or conduct so reckless as to amount to such disregard. The NYCHRL makes punitive damages available, but there is no provision in the NYCHRL setting a standard for imposing them. “Punitive damages”—as used in Administrative Code of the City of NY § 8-502—is a legal term of art that has meaning under the New York common law. The common-law standard for punitive damages as articulated in *Home Ins. Co. v American Home Prods. Corp.* (75 NY2d 196, 203-204 [1990]) requires neither a showing of malice nor awareness of the violation of a protected right, representing the lowest threshold, and the least stringent form, for the state of mind required to impose punitive damages. By implementing a lower degree of culpability and eschewing the knowledge requirement, applying this standard adheres to the City Council’s liberal construction mandate while remaining consistent with the language of the statute (*see* Administrative Code § 8-502 [a]). It is also properly reflective of the serious and destructive nature of the underlying discriminatory conduct and the goal of deterring future reprehensible conduct. Furthermore, subjecting NYCHRL defendants to punitive damages under this standard encourages nondiscriminatory behavior and the development and application of appropriate employment criteria.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Civil Rights § 16; AM JUR 2d Damages §§ 559, 580, 586.

NY JUR 2d Civil Rights §§ 221, 223; NY JUR 2d Damages §§ 185, 187, 190, 191.

ANNOTATION REFERENCE

See ALR Index under Civil Rights and Discrimination;
Punitive Damages.

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POINTS OF COUNSEL

Bergstein & Ullrich, LLP, New Paltz (*Stephen Bergstein* of counsel) and *Law Offices of Anne Donnelly Bush*, Hastings, for appellant. Consistent with the remedial and liberal statutory construction endorsed by the New York City Council, plaintiffs are entitled to a punitive damages charge under the New York City Human Rights Law if they can prove their employer discriminated against them in violation of the statute. (*Zakrzewska v New School*, 14 NY3d 469; *Kolstad v American Dental Assn.*, 527 US 526; *Mihalik v Credit Agricole Cheuvreux N. Am., Inc.*, 715 F3d 102; *Bennett v Health Mgt. Sys., Inc.*, 92 AD3d 29; *Matter of Meegan v Brown*, 16 NY3d 395; *Brothers v Florence*, 95 NY2d 290; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Loeffler v Staten Is. Univ. Hosp.*, 582 F3d 268; *Albunio v City of New York*, 16 NY3d 472; *McGrath v Toys "R" Us, Inc.*, 3 NY3d 421.)

Arthur H. Forman, Forest Hills, for respondents. The standard for assessing whether punitive damages under the New York City Human Rights Law are warranted was not changed by the Local Civil Rights Restoration Act of 2005. (*Farias v Instructional Sys., Inc.*, 259 F3d 91; *Mihalik v Credit Agricole Cheuvreux N. Am., Inc.*, 715 F3d 102; *Salemi v Gloria's Tribeca Inc.*, 115 AD3d 569; *Nardelli v Stamberg*, 44 NY2d 500; *McIntyre v Manhattan Ford, Lincoln-Mercury*, 256 AD2d 269; *Hill v Airborne Frgt. Corp.*, 212 F Supp 2d 59; *Katz v Adecco USA, Inc.*, 845 F Supp 2d 539; *Johnson v Strive E. Harlem Empl. Group*, 990 F Supp 2d 435; *Wiercinski v Mangia 57, Inc.*, 787 F3d 106; *Wilson v Phoenix House*, 42 Misc 3d 677.)

Craig Gurian, Anti-Discrimination Center, Inc., New York City, for Anti-Discrimination Center, Inc., amicus curiae. I. Ample guidance exists for how to interpret each and all of the New York City Human Rights Law's provisions. (*Albunio v City of New York*, 16 NY3d 472; *Bennett v Health Mgt. Sys., Inc.*, 92

AD3d 29; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Farias v Instructional Sys., Inc.*, 259 F3d 91.) II. The principle of legislative overrule embodied in the Local Civil Rights Restoration Act of 2005 (Restoration Act) is not limited by subject; likewise, the Restoration Act was intended to make clear that, in light of revised Administrative Code of the City of New York § 8-130, the City Council had no need to affirmatively rework an existing provision to depart from an interpretation of a comparable state or federal provision. (*Levin v Yeshiva Univ.*, 96 NY2d 484; *Priore v New York Yankees*, 307 AD2d 67; *McGrath v Toys “R” Us, Inc.*, 3 NY3d 421; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295.) III. *Farias v Instructional Sys., Inc.* (259 F3d 91 [2d Cir 2001]) failed to engage in the analysis required for New York City Human Rights Law (City HRL) purposes; a limitation of punitive damages to circumstances where a reckless disregard for the risk of violating the City HRL has been shown is too narrow a standard; alternatives that better fulfill the uniquely broad purposes of the City HRL are available. (*Kolstad v American Dental Assn.*, 527 US 526; *Zakrzewska v New School*, 14 NY3d 469; *Bennett v Health Mgt. Sys., Inc.*, 92 AD3d 29; *Albunio v City of New York*, 16 NY3d 472; *Williams v New York City Hous. Auth.*, 61 AD3d 62.) IV. There is no reason to believe that the standard for awarding punitive damages where liability is determined directly is any more stringent than where liability is determined vicariously. (*Zakrzewska v New School*, 14 NY3d 469; *Priore v New York Yankees*, 307 AD2d 67; *Williams v New York City Hous. Auth.*, 61 AD3d 62.)

Zachary W. Carter, Corporation Counsel, New York City (Ingrid R. Gustafson, Richard Dearing and Claude S. Platten of counsel), for City of New York, amicus curiae. I. Federal law does not set the standard for punitive damages under the New York City Human Rights Law. (*Kolstad v American Dental Assn.*, 527 US 526; *Albunio v City of New York*, 16 NY3d 472; *Farias v Instructional Sys., Inc.*, 259 F3d 91; *Hill v Airborne Frgt. Corp.*, 212 F Supp 2d 59; *Johnson v Strive E. Harlem Empl. Group*, 990 F Supp 2d 435; *Zakrzewska v New School*, 14 NY3d 469.) II. The New York City Human Rights Law incorporates the punitive damages standard from New York common law, liberally construed. (*Morissette v United States*, 342 US 246; *Krohn v New York City Police Dept.*, 2 NY3d 329; *Batavia Lodge No. 196, Loyal Order of Moose v New York State Div. of Human Rights*, 35 NY2d 143; *Matter of State Div. of Human Rights v Luppino*, 35 AD2d 107; *Thoreson v Penthouse*

Intl., 80 NY2d 490; *Stalker v Stewart Tenants Corp.*, 93 AD3d 550; *Biondi v Beekman Hill House Apt. Corp.*, 257 AD2d 76, 94 NY2d 659; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Loughry v Lincoln First Bank*, 67 NY2d 369; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196.)

Friedman & Houlding, LLP, Mamaroneck (Joshua Friedman of counsel), for National Employment Lawyers Association/New York (NELA/NY), amicus curiae. I. The correct construction of Administrative Code of the City of New York § 8-107 (13) can be determined by reference to the 1991 amendment and the legislative history alone. (*Zakrzewska v New School*, 14 NY3d 469; *Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Kolstad v American Dental Assn.*, 527 US 526; *Farias v Instructional Sys., Inc.*, 259 F3d 91.) II. The City Council legislatively overruled *Farias v Instructional Sys., Inc.* (259 F3d 91 [2d Cir 2001]) with the passage of the Local Civil Rights Restoration Act of 2005. (*McGrath v Toys “R” Us, Inc.*, 3 NY3d 421; *Buckhannon Board & Care Home, Inc. v West Virginia Dept. of Health & Human Resources*, 532 US 598; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Gallo v Alitalia-Linee Aeree Italiane-Societa per Azioni*, 585 F Supp 2d 520; *Loeffler v Staten Is. Univ. Hosp.*, 582 F3d 268; *Katz v Adecco USA, Inc.*, 845 F Supp 2d 539; *Gabel v Richards Spears Kibbe & Orbe, LLP*, 615 F Supp 2d 241.) III. This Court should imply that the scienter standard for individual and employer liability for punitive damages is simply proof of a violation of Administrative Code of the City of New York § 8-107 (1), when liability arises directly rather than pursuant to Administrative Code § 8-107 (13). (*Baker v Board of Educ. of W. Irondequoit Cent. School Dist.*, 70 NY2d 314.)

OPINION OF THE COURT

GARCIA, J.

The New York City Human Rights Law makes clear that punitive damages are available for violations of the statute, but does not specify a standard for when such damages should be awarded. The Second Circuit has, by certified question, asked us to determine the applicable standard. We conclude that, consistent with the New York City Council’s directive to construe the New York City Human Rights Law liberally, the common-law standard as articulated in *Home Ins. Co. v American Home Prods. Corp.* (75 NY2d 196, 203-204 [1990]) applies.

Accordingly, a plaintiff is entitled to punitive damages where the wrongdoer's actions amount to willful or wanton negligence, or recklessness, or where there is "a conscious disregard of the rights of others or conduct so reckless as to amount to such disregard" (see *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196, 203-204 [1990] [internal quotation marks omitted]).

I.

Plaintiff, a physical therapy aide, sued her former employer and two supervisory employees for sex and pregnancy discrimination under title VII of the Civil Rights Act of 1964 (42 USC §§ 2000e [k]; 2000e-2 [a]), the Family Medical Leave Act (29 USC § 2601), the New York State Human Rights Law (Executive Law § 296 [1] [a]), and the New York City Human Rights Law (Administrative Code of City of NY § 8-107 [1] [a]) (NYCHRL) in the United States District Court for the Eastern District of New York. At trial, plaintiff's counsel requested a jury instruction on punitive damages under the NYCHRL. In considering the request, the court applied to the NYCHRL the standard for punitive damages found in title VII, namely, whether plaintiff had submitted evidence that her employer had intentionally discriminated against her with malice or reckless indifference to her protected rights, and denied the instruction. The court stated,

"[t]here is nothing here that supports punitive damages

"There is no showing of malice, reckless indifference, that there was an intent to violate the law. They may have violated the law, which is what you are going to try to prove, but there is certainly no evidence of intent."

The jury found defendants liable for pregnancy discrimination and awarded plaintiff \$10,500 in compensatory damages and \$50,000 in pain and suffering.

Plaintiff appealed, arguing that the district court erred in importing the title VII standard. After noting that the NYCHRL "does not articulate a standard for a finding of employer or employee liability for punitive damages," the Second Circuit acknowledged that the passage of the Local Civil Rights Restoration Act of 2005 (Administrative Code § 8-130 [a] [Restoration Act]) and subsequent related amendments,

calling for a liberal construction of all provisions of the NYCHRL in all circumstances, called into question the Second Circuit's 2001 holding in *Farias v Instructional Sys., Inc.* (259 F3d 91 [2d Cir 2001]) that title VII's standard for punitive damages applies to the NYCHRL (*Chauca v Abraham*, 841 F3d 86, 90-92 [2d Cir 2016]). The Second Circuit noted that the Restoration Act "otherwise provides no specific guidance" regarding how to interpret the NYCHRL where the statute is silent as to the applicable standard (*id.* at 87-88). Accordingly, the Second Circuit certified the following question: "What is the standard for finding a defendant liable for punitive damages under the New York City Human Rights Law, N.Y.C. Admin. Code § 8-502?" (*Id.* at 95.)

II.

The NYCHRL prohibits an employer from "refus[ing] to hire" or "discharg[ing] from employment" anyone because of their gender (Administrative Code § 8-107 [1] [a] [2]).¹ The NYCHRL provides for compensatory and punitive damages and other remedies against employers and employees found directly or vicariously liable for discrimination, a provision the City Council included in the NYCHRL in 1991 (Administrative Code § 8-502 [a]). Employers exposed to a punitive damages charge can mitigate punitive damages based on vicarious liability where they can prove the existence of certain policies established to deter discrimination (*see id.* § 8-107 [13] [d]-[e]). Despite the clear intention to make punitive damages available, there is no provision in the NYCHRL setting a standard for imposing them. In light of this silence in the statute, we must now determine what standard applies for awarding punitive damages under the NYCHRL.

A.

The "starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Matter of Shannon*, 25 NY3d 345, 351 [2015]). It is a well-established principle of statutory construction that words of technical or special meaning are used by the legislature, "not loosely, but with regard for their established legal significance, and in construing a statute a technical meaning should

1. Discrimination on the basis of pregnancy is a form of gender discrimination (*see Elaine W. v Joint Diseases N. Gen. Hosp.*, 81 NY2d 211 [1993]).

be given to technical words, unless a contrary meaning is unmistakably intended” (*People v Wainwright*, 237 NY 407, 412 [1924]; see McKinney’s Cons Laws of NY, Book 1, Statutes § 233, Comment [“when a word having an established meaning at common law is used in a statute, the common law meaning is generally followed”]).

“Punitive damages”—as used in section 8-502—is a legal term of art that has meaning under the New York common law. Punitive damages are intended not only to “punish the tortfeasor” but also to “deter future reprehensible conduct” (*Ross v Louise Wise Servs., Inc.*, 8 NY3d 478, 489 [2007]; *Hartford Acc. & Indem. Co. v Village of Hempstead*, 48 NY2d 218, 226 [1979]). In our 1990 decision in *Home Ins. Co.*, we articulated the punitive damages standard as “essentially . . . conduct having a high degree of moral culpability which manifests a conscious disregard of the rights of others or conduct so reckless as to amount to such disregard” (75 NY2d at 203-204 [citations and internal quotation marks omitted]).

Plaintiff, relying almost exclusively on the legislative intent of the NYCHRL and the Restoration Act, argues that she should be entitled to a punitive damages charge upon *any* showing of liability. Under plaintiff’s approach, any discrimination case that goes to a jury would be accompanied by a punitive damages charge without any guidance as to when to award such damages. In plaintiff’s view, punitive damages should be available in any situation where compensatory damages are available; the required showing of entitlement to either form of damages would be identical. The dissent agrees, and argues that the Restoration Act’s liberal construction principles mandate a holding that “a punitive damages charge is automatic on a finding of liability” (dissenting op at 338).

We reject that approach. Punitive damages differ conceptually from compensatory damages and are intended to address “gross misbehavior” or conduct that “wilfully and wantonly causes hurt . . . to another” (*Thoreson v Penthouse Intl.*, 80 NY2d 490, 497 [1992]). Indeed, this Court has noted that “[n]ot only do [punitive damages] differ in purpose and nature from compensatory damages, but they may only be awarded for exceptional misconduct which transgresses mere negligence” (*Sharapata v Town of Islip*, 56 NY2d 332, 335 [1982]). Punitive damages represent punishment for wrongful conduct that goes beyond mere negligence and are warranted only where aggravating factors demonstrate an additional level of wrongful

conduct (*see Home Ins. Co.*, 75 NY2d at 203-204). Accordingly, there must be some heightened standard for such an award.

Plaintiff's assertion that the mitigation provisions discussed in section 8-107 (13) support the argument that punitive damages are available to any employment discrimination plaintiff, without the need to show a heightened level of culpability, lacks merit. This section provides a way for an employer, when faced with vicarious liability, to mitigate punitive damages, where they are otherwise warranted, if certain factors are established. Moreover, as the Second Circuit noted, that section applies only to employers' vicarious liability once the punitive damages standard has been met and cannot be read to address the standard itself (*see Chauca*, 841 F3d at 91 n 3). Nothing in that provision requires a punitive damages charge whenever liability, vicarious or direct, is demonstrated. Indeed, the dissent's assertion that a punitive damages charge is "automatic" is not a "reasonably possible" interpretation of the statute (dissenting op at 343).

B.

Defendants contend that the title VII standard for punitive damages, employed by the Second Circuit in *Farias*, should apply (*see* 259 F3d at 102). We reject this approach as contrary to the intent of the Council.

In *Farias*, the Second Circuit held that a plaintiff must show that a defendant engaged in intentional discrimination with malice or reckless indifference to a protected right in order to obtain punitive damages under the NYCHRL (*id.* at 101; *see also Kolstad v American Dental Assn.*, 527 US 526, 529-530 [1999]). The title VII standard requires "intentional discrimination . . . with malice or with reckless indifference to the . . . protected rights of an aggrieved individual" and the Supreme Court has specified that "[t]he terms 'malice' or 'reckless indifference' pertain to the employer's knowledge that it may be acting in violation of federal law, not its awareness that it is engaging in discrimination" (*Kolstad*, 527 US at 529-530, 535 [internal quotation marks omitted]).

However, in 2005, subsequent to *Farias*, the City Council passed the Restoration Act, amending the Administrative Code of the City of New York to ensure that "[t]he provisions of [the NYCHRL] shall be construed liberally . . . regardless of whether federal or New York state civil and human rights laws . . . have been so construed" (Administrative Code § 8-130 [a]).

Expressing concern that the NYCHRL was being too strictly construed, the amendment established that similarly worded state or federal statutes may be used as interpretive aids only to the extent that the counterpart provisions are viewed “as a floor below which the City’s Human Rights law cannot fall, rather than a ceiling above which the local law cannot rise,” and only to the extent that those state or federal law decisions may provide guidance as to the “uniquely broad and remedial purposes” of the local law (Local Law No. 85 [2005] of City of NY §§ 1, 7). In a report on the amendments (*see* Rep of Comm on Gen Welfare, Aug. 17, 2005, 2005 NY City Legis Ann at 537), the Committee on General Welfare rejected prior reasoning by this Court that the City Council “would need to amend the City HRL to specifically depart from a federal doctrine if it wanted to do so” (*Bennett v Health Mgt. Sys., Inc.*, 92 AD3d 29, 35 [2011]; *McGrath v Toys “R” Us, Inc.*, 3 NY3d 421, 433-434 [2004]). As a result, this Court has acknowledged that all provisions of the NYCHRL must be construed “broadly in favor of discrimination plaintiffs, to the extent that such a construction is reasonably possible” (*Albunio v City of New York*, 16 NY3d 472, 477-478 [2011]).

In 2016, the City Council again amended the construction provision of the NYCHRL to provide additional guidance, identifying cases, including *Albunio*, that had “correctly understood and analyzed the liberal construction requirement . . . and that have developed legal doctrines accordingly that reflect the broad and remedial purpose of this title” (Administrative Code § 8-130 [c]). The Council identified these cases in order to, among other things, “illustrate best practices when engaging in the required analysis” and to “endorse the legal doctrines where they were developed pursuant to liberal construction analyses” (New York City Council, Committee on Civil Rights, Committee Report of the Governmental Affairs Division at 9 [Mar. 8, 2016]).

In contrast to the approach in *Kolstad*, the standard articulated in *Home Ins.* requires neither a showing of malice nor awareness of the violation of a protected right, representing the lowest threshold, and the least stringent form, for the state of mind required to impose punitive damages. By implementing a lower degree of culpability and eschewing the knowledge requirement, applying this standard adheres to the City Council’s liberal construction mandate while remaining

consistent with the language of the statute (*see* Administrative Code § 8-502 [a]).²

Moreover, NYCHRL violations, by their very nature, inflict serious harm “to both the persons directly involved and the social fabric of the city as a whole” (Rep of Comm on Gen Welfare, Local Law No. 85 [2005], 2005 NY City Legis Ann at 537). The standard for punitive damages articulated in *Home Ins.*, while requiring an appropriate showing of heightened culpability for punitive damages consistent with the language of the provision at issue, is nevertheless properly reflective of the serious and destructive nature of the underlying discriminatory conduct and the goal of deterring “future reprehensible conduct” (*Ross*, 8 NY3d at 489). Furthermore, subjecting NYCHRL defendants to punitive damages under this standard encourages nondiscriminatory behavior and the development and application of appropriate employment criteria. In sum, this approach is the most liberal construction of the statute that is “reasonably possible” and furthers the purpose of the NYCHRL.

IV.

We hold, therefore, that the standard for determining punitive damages under the NYCHRL is whether the wrongdoer has engaged in discrimination with willful or wanton negligence, or recklessness, or a “conscious disregard of the rights of others or conduct so reckless as to amount to such disregard” (*see Home Ins. Co.*, 75 NY2d at 203-204).³

Accordingly, the certified question should be answered in accordance with this opinion.

WILSON, J. (dissenting). I agree with my colleagues’ conclusion that the Civil Rights Act of 1964 title VII standard for punitive damages does not govern discrimination cases brought under the New York City Human Rights Law (NYCHRL). We part ways, however, on how the New York City Council chose to supplant it. I do not agree that the Council adopted New York’s common-law standard, which is not mentioned anywhere in the NYCHRL or its legislative history. Instead, I agree with Ms. Chauca that the City Council amended the NYCHRL to

2. This holding does not affect the common-law standard for punitive damages in any context beyond the NYCHRL.

3. As noted earlier, the reference to “rights” here does not impose a requirement that the wrongdoer know (s)he is violating the law.

entitle a plaintiff to a punitive damages charge whenever liability is proved, unless an employer has adopted and fully implemented the antidiscrimination programs, policies, and procedures promulgated by the Commission on Human Rights, as an augmentation to compensatory damages, and would answer the certified question accordingly.

I.

For the better part of a century, New York City has demonstrated its pioneering commitment to human rights through repeated revisions to its Human Rights Law. The City Council's Committee on Civil Rights recently described the NYCHRL as "one of the most expansive and comprehensive human rights laws in the nation" (Report of the Committee on Civil Rights on Local Law 35 of 2016 [2016 Report]).

In the 1991 revisions, which effected a complete overhaul of that law, the City Council made clear that the NYCHRL not only served an important humanitarian objective, but also was designed to further nearly every traditional governmental purpose. Those revisions reemphasized the New York City Council's earlier finding that there is "no greater danger to the health, morals, safety and welfare of the city and its inhabitants than the existence of groups prejudiced against one another and antagonistic to each other because of their actual or perceived differences, including those based on . . . gender" (Administrative Code of City of NY § 8-101). The revisions also focused new attention on the scourge of systemic discrimination, which "poses a substantial threat to, and inflicts significant injury upon, the city that is economic, social and moral in character" as well as "distinct from the injury sustained by individuals as an incident of such discrimination" (*id.* § 8-401). The Council found that systemic discrimination, including systemic employment discrimination, causes economic injury to New York that "severely diminishes its capacity to meet the needs of those persons living and working in, and visiting, the city" (*id.*). Moreover, it found that the social and moral consequences "polarize[] the city's communities, demoralize[] its inhabitants and create[] disrespect for the law," thereby frustrating "the city's efforts to foster mutual respect and tolerance among its inhabitants and to promote a safe and secure environment" (*id.*).

To better combat those ills, the 1991 revisions supplemented the preexisting administrative enforcement mechanism. Under

prior law, individuals could secure their own redress and prevent further municipal injuries only by bringing a complaint before the City Commission on Human Rights. Under the revised law, both those individuals and the corporation counsel were given the authority to institute a civil action without recourse to the Commission (*id.* §§ 8-402, 8-502). As relevant here, the NYCHRL now provides that “any person claiming to be . . . aggrieved by an unlawful discriminatory practice . . . shall have a cause of action in any court of competent jurisdiction for damages, *including punitive damages*, and for injunctive relief and such other remedies as may be appropriate” (*id.* § 8-502 [a] [emphasis added]). The hope of then-Mayor Dinkins was that the creation of a private right of action would “supplement the Commission’s enforcement efforts and ease a portion of its caseload burden” (Remarks by Mayor David N. Dinkins at Public Hearing on Local Laws, June 18, 1991 at 4 [Dinkins Statement]). The twin barrels of Commission and private enforcement were both designed to “ensure discrimination plays no role in the public life of the City” (*id.* at 2). Achieving that goal requires ensuring that “a person can be compensated for the damages she has suffered” and that penalties “exert a strong deterrent effect” against “the harm . . . bias does to the social fabric of the city” (*id.* at 3). In addition to those and other substantive amendments, the 1991 revisions emphasized—without materially amending—the requirement that the NYCHRL must “be construed liberally for the accomplishment of the purposes thereof” (former Administrative Code § 8-130). The accompanying committee report directed our court and others to pay “[p]articular attention” to that obligation and found it “imperative that restrictive interpretations of state or federal . . . provisions are not imposed upon city law” (Report of the Committee on General Welfare on Local Law 39 of 1991 [1991 Report]). Mayor Dinkins repeated that instruction in his signing statement, which implored the judiciary to reject “restrictive state and federal rulings” and to “take seriously the requirement that this law be liberally and independently construed” (Dinkins Statement at 2). Only by following those instructions could the courts give proper force to a human rights law that was, in the words of the mayor who signed it, “the most progressive in the nation” (*id.* at 1).

Despite clear instructions, courts interpreting the NYCHRL failed to construct it liberally and independently, instead importing narrowing constructions of title VII and the Execu-

tive Law. In the Local Civil Rights Restoration Act of 2005, the City Council informed the courts that they had construed the law “too narrowly to ensure protection of the civil rights of all persons” covered by it (Local Law No. 85 [2005] of City of NY § 1). It repeated that the law must instead be construed “independently from similar or identical provisions of New York state or federal statutes” (*id.*). It augmented the construction provision of the NYCHRL, section 8-130, to include that instruction and to further distinguish the law for its “uniquely broad and remedial purposes” (Administrative Code § 8-130). Finally, it amended certain other sections to supersede specific cases that had strayed from those purposes. The clear thrust of the Restoration Act is that courts should interpret the NYCHRL in the manner that best furthers its goals of protecting aggrieved individuals and the social fabric of New York City (*see generally* Rep of Comm on Gen Welfare, Aug. 17, 2005, 2005 NY City Legis Ann at 536 [2005 Report]; Testimony of Craig Gurian, Anti-Discrimination Center of Metro New York, Inc., Regarding Intro 22A [Gurian Testimony]).

Those reiterated admonishments proved only partially effective. In 2016, finding that only “some judicial decisions ha[d] correctly understood and analyzed the requirement of section 8-130,” the Council patiently fired a third salvo in its fight to protect the NYCHRL from being subverted by the courts (Local Law No. 35 [2016] of City of NY § 1). The purpose of that year’s revisions was “to provide additional guidance for the development of an independent body of jurisprudence for the New York [C]ity [H]uman [R]ights [L]aw that is maximally protective of civil rights in all circumstances” (*id.*). Consistent with that purpose, the Council amended section 8-130 to direct courts toward three decisions that best exemplified the correct approach to interpreting the law: *Albunio v City of New York* (16 NY3d 472 [2011]), *Bennett v Health Mgt. Sys., Inc.* (92 AD3d 29 [1st Dept 2011]), and *Williams v New York City Hous. Auth.* (61 AD3d 62 [1st Dept 2009]) (Administrative Code § 8-130 [c]). Those decisions make clear that, as we stated in *Albunio*, courts must construe the NYCHRL “broadly in favor of discrimination plaintiffs, to the extent such a construction is reasonably possible” (16 NY3d at 477-478).

II.

The majority follows that interpretive guideline partway, and I join the portion of its opinion that considers and rejects

Farias and the title VII standard in the context of the New York City Human Rights Law (*cf. Farias v Instructional Sys., Inc.*, 259 F3d 91 [2d Cir 2001]). However, the plain language of section 8-502 and structural features of Administrative Code, title 8, chapter 1, coupled with the legislative history of the title, compel the holding that the standard for finding a defendant liable for punitive damages under the NYCHRL can be borrowed from neither federal jurisprudence *nor* our common law.¹ Instead, the revised statute provides that a punitive damages charge is automatic on a finding of liability, that those damages must be mitigated if certain factors are established, and can be eliminated entirely by adopting such policies, programs, and procedures as are developed by the Commission on Human Rights. Granted, that construction would make the NYCHRL the most progressive in the nation.

Section 8-502 provides plaintiffs a cause of action “for damages, including punitive damages, and for injunctive relief and such other remedies as may be appropriate, unless such person has filed a complaint with the [Commission or with the State Division of Human Rights]” (Administrative Code § 8-502 [a]). Facially, then, Ms. Chauca and any similarly aggrieved individual is entitled to an award of punitive damages upon a showing of liability. We “construe unambiguous language to give effect to its plain meaning” (*Zakrzewska v New School*, 14 NY3d 469, 479 [2010]; *see also* majority op at 330 [“The ‘starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof’ ”], quoting *Matter of Shannon*, 25 NY3d 345, 351 [2015]).

Here, that plain meaning is further supported by structural features of the NYCHRL. Section 8-107 (1) imposes liability directly on employers for their own discriminatory conduct. Section 8-107 (13) (b) additionally imposes vicarious liability

1. The majority chastises Ms. Chauca for relying “almost exclusively on the legislative intent of the NYCHRL and the Restoration Act” (majority op at 331). That mischaracterizes her argument. Even if it did not, the statutory text directs courts to model their NYCHRL analyses on *Bennett*, which held that

“[w]hile examining the specific language of statutory provisions is part of our inquiry, we must also look to the underlying purpose and the statute’s history as we are mindful that in the interpretation of statutes, the spirit and purpose of the act and the objects to be accomplished must be considered. The legislative intent is the great and controlling principle” (92 AD3d at 35 n 2 [internal quotation marks and brackets omitted], quoting *Matter of Meegan v Brown*, 16 NY3d 395, 403 [2011]).

for employment discrimination on employers in three instances: where the offending employee exercised managerial or supervisory responsibility, where the employer knew of the offending employee's discriminatory conduct and either acquiesced in such conduct or failed to take immediate and appropriate corrective action, and where the employer should have known of the offending employees' discriminatory conduct and failed to exercise reasonable diligence to prevent it (Administrative Code § 8-107 [13] [b] [1]-[3]). In the first two instances, an employer's demonstration of certain factors detailed in subdivision (13) (d) "shall be considered in mitigation of the amount of civil penalties to be imposed by the commission . . . or in mitigation of civil penalties or punitive damages which may be imposed pursuant to chapter four or five"; only in the last instance can the demonstration of those factors create an actual shield to liability (*id.* § 8-107 [13] [e]; *see also Zakrzewska*, 14 NY3d at 479-480). In all instances, were an employer to adopt and implement fully the best practices for preventing and detecting discrimination as promulgated by the Commission, the employer would be immune from punitive damages (Administrative Code § 8-107 [13] [f]).²

That interrelated set of provisions demonstrates the Council contemplated precisely what the plain language of section 8-502 calls for: automatically charging punitive damages to the jury upon a finding of liability (unless the employer proved the immunity provided by section 8-107 [13] [f]), regardless of whether an employer or employee engaged in intentional discrimination or discriminated with malice or reckless indifference to the individual's rights.

Absent an automatic charge, the provisions' assumption that punitive damages are available to be mitigated in any employment discrimination case, but can only be eliminated in a subset of cases, cannot make sense. In addition, using either

2. Recognizing the strict aspects of that regime, the City Council noted that the new scheme

"would make the City's law unique among civil rights laws in that the standards are designed not only to deter discriminatory conduct by holding employers accountable but, of equal significance, they are designed to provide employers with an incentive to implement policies and procedures that reduce, and internally resolve, discrimination claims . . .

"Employers could mitigate their liability for civil penalties or punitive damages or liability for the act of an employee or agent" (1991 Report, Section-by-Section Analysis at 19-20).

the federal or the majority's standard for awarding punitive damages would reduce subdivisions (13) (d), (e), and (f) to mere surplusage. No employer who engaged in discrimination with willful or wanton negligence, or recklessly, or displayed a conscious disregard of the rights of others—the test advocated by the majority—could hope to avail itself of those defenses.

The majority, like the Second Circuit, disputes the relevance of these provisions because, “even if [Ms.] Chauca were correct that the mitigation and avoidance provisions establish the presumption that punitive damages are always available in cases of imputed liability, this would not answer the question of the punitive damages standard for liability based on an employer's own actions” (*Chauca v Abraham*, 841 F3d 86, 91 n 3 [2016]; *see also* majority op at 332 [“that section applies only to employers' vicarious liability once the punitive damages standard has been met and cannot be read to address the standard itself”]). The consequence of their argument, however, is that employers would be automatically subject to punitive damages when they are merely vicariously liable for discrimination pursuant to section 8-107 (13), but unlikely to face them when directly liable under section 8-107 (1). That is, under the majority's interpretation, if an employer had an outright policy of discrimination, punitive damages would be assessed under the higher common-law standard, but if the employer was only vicariously liable for an employee's discriminatory conduct, punitive damages would automatically attach, subject to possible mitigation. That perverse result cannot have been the City Council's intention.

Finally, as reflected in section 8-107 (13) (e), the NYCHRL often treats punitive damages under chapter 5 in the same breath as civil penalties under chapter 1. In the latter case, the Commission may “vindicate the public interest” by imposing a considerable fine without first proving the discrimination was “willful, wanton or malicious” (Administrative Code § 8-126 [a]). If punitive damages are to function as the private cause of action analogue to the Commission's civil penalties, they must be awarded, similarly, without a showing of enhanced culpability.³ Thus, structural features of the NYCHRL militate in favor of interpreting it to require an automatic

3. Statements made by one of the law's co-sponsors at its signing indicate chapter 5 was intended to allow private plaintiffs to vindicate the public interest in the absence of robust enforcement by the Commission (Statement by Stanley Michel at Public Hearing on Local Laws, June 18, 1991 [describ-

(n. cont'd)

charge. Taken together with the plain meaning of section 8-502, those features make that interpretation more plausible than the majority's.

The interpretation is all the more plausible for accomplishing the purposes of the NYCHRL in a familiar and easily administrable way. The method is familiar because other statutes that, like the NYCHRL, are intended to encourage civil actions by private attorneys general automatically award damages in excess of compensatory damages. For instance, treble damages are automatic under the federal antitrust laws and the Racketeer Influenced and Corrupt Organizations Act, simply on a finding of liability; indeed, intent is not an element of civil violations of the antitrust laws, whereas it is a necessary element of title VII. The method is easily administrable because it forgoes instructing a jury in the niceties of the common-law standard for *when* punitive damages should be awarded, and instead charges them only with calculating an appropriate *amount*. The New York Pattern Jury Instructions, which already bifurcate the guidance for determining whether punitive damages should be awarded and the guidance for deciding the amount of the award, contain a list of factors relevant to that calculation. It would be a simple matter to charge each jury, rather than only those that satisfy the majority's test, to consider that list, the specific mitigating factors elaborated in section 8-107 (13) (d), and the standard language regarding proportionality to the harm, to compensatory damages, and to the defendant's financial condition.⁴ In refusing to countenance the efficacy of this approach, the majority must mean that it disagrees with the policy judgment made by the City Council—that it believes entitling additional successful plaintiffs to awards that exceed their actual damages is a bad idea.

Although the preceding interpretation is in derogation of the “well-established principle of statutory construction that words of technical or special meaning are used by the legislature, ‘not

ing the private right of action as “the teeth” of the revisions and “so important in these times when we don’t have enough staff and the problems with the budget in getting . . . (t)he government to enforce this legislation”)).

4. Indeed, juries’ and appellate courts’ recourse to those standard factors may partially explain the City Council’s decision to authorize “punitive” rather treble or some hitherto unknown form of damages. In other words, the City Council drew on the body of law governing the amount of punitive damages, even as it departed from the body governing the standard for awarding those damages in the first place.

loosely, but with regard for their established legal significance,’ ” such departures are permitted when “unmistakably intended” (majority op at 330-331, quoting *People v Wainwright*, 237 NY 407, 412 [1924]; *Wainwright*, 237 NY at 412). As the foregoing paragraphs demonstrate, in drafting the NYCHRL, the City Council—whose purpose was the private vindication of both individual and societal human rights—unmistakably intended for “punitive damages” to mean damages any jury may consider awarding in excess of the award required to make a plaintiff whole. Just as the presumption in favor of interpreting “state and local civil rights statutes . . . consistently with federal precedent” may yield to section 8-130, so too can our general practice of following the established common-law meaning of a phrase (*cf. McGrath v Toys “R” Us, Inc.*, 3 NY3d 421, 429 [2004], *superseded by statute as stated in Williams*, 61 AD3d at 74).

Alternatively, one could understand the NYCHRL not as departing from the common-law standard for when punitive damages may be awarded, but as making a legislative finding that—in line with the “Restoration Act principle that the discrimination violations are per se ‘serious injuries’ ”—employment discrimination per se satisfies that standard (*Williams*, 61 AD3d at 77-78 [quoting the 2005 Report’s finding that discriminatory acts “cause serious injury, to both the persons directly involved and the social fabric of the City as a whole, which will not be tolerated” (2005 NY City Legis Ann at 537)]). *Home Ins. Co. v American Home Prods. Corp.*’s description of the harms for which punitive damages may be awarded tracks the outrage toward discrimination and its injurious effects on society expressed in sections 8-101 and 8-401 and in the revisions’ repeated calls to combat discriminatory conduct with law enforcement-like methods (*see e.g.* 75 NY2d 196, 203 [1990] [referring to punitive damages as a “hybrid between a display of ethical indignation and the imposition of a criminal fine”]). All NYCHRL suits are, like punitive damages, “intended not only to ‘punish the tortfeasor’ but also to ‘deter future reprehensible conduct’ ” (*see* majority op at 331, quoting *Ross v Louise Wise Servs., Inc.*, 8 NY3d 478, 489 [2007]). In drafting section 8-502, the City Council determined juries should have a regular opportunity to consider whether to punish and deter an act that “menace[s] the institutions and foundation of a free democratic state”: discriminating against an employee because

of, inter alia, her gender, race, or sexual orientation (Administrative Code § 8-101). It has determined that firing a woman because of her pregnancy is “reprehensible” conduct evidencing “a high degree of moral culpability which manifests a conscious disregard of the rights of others” (*Home Ins. Co.*, 75 NY2d at 203 [internal quotation marks and citation omitted]; Administrative Code § 8-101). The majority disagrees.

III.

I believe the above interpretation is compelled by the statutory language and the legislative history. Suppose that I am wrong.

As long as the preceding interpretation is even “reasonably possible,” it becomes incumbent on the courts to adopt it over the one offered by the majority (*Albunio*, 16 NY3d at 477-478; see Administrative Code § 8-130 [c]).

As an initial matter, there is no reason to exempt an interpretation imported from our common law from the same scrutiny as one imported from federal or state statutes. Although the 1991 and 2005 revisions had focused on preventing the rote application of statutory law, the three cases cited in the construction provision (as well as the 2016 legislative history, which draws on them at some length) suggest that the City Council sought to free the NYCHRL from the strictures of statutory and decisional law. The 2016 committee report described the most recent revisions as requiring courts to apply the liberal construction provision “in every case and with respect to every issue” and to understand that “legal doctrine might need to be revised to comport with the requirements of § 8-130” (2016 Report at 8-9, 13). “[T]here are no provisions of the law or judge-made doctrines that stand outside the liberal construction requirements” (*id.* at 10 [emphasis added]). The cases themselves consider it “beyond dispute that the City HRL now explicitly requires an independent liberal construction in all circumstances” (*Bennett*, 92 AD3d at 34 [internal quotation marks omitted]); section 8-130 is intended to “allow independent development of the local law ‘in all its dimensions’ ” (*Williams*, 61 AD3d at 74, quoting Craig Gurian, *A Return to Eyes on the Prize: Litigating under the Restored New York City Human Rights Law*, 33 Fordham Urb LJ 255, 280

[2006] [describing the construction provision as “a continuing shield and sword for the City Human Rights Law”]).⁵

The present case illustrates the merits of the City Council’s decision to slip the bonds of the common law. The idea that there is a static common law is an even greater “fallacy” than the idea that there is a “fixed body of ‘federal law’ ” (see Gurian Testimony at 6). The common law may, like the state and federal civil rights laws, be transformed over time. As the discordant parade of increasingly severe cases cited by the majority makes clear, our common-law standard has suffered exactly that fate in the 27 years since *Home Ins.* (and may now, in many instances, fall below the floor established by title VII) (see majority op at 331-332; see also *Marinaccio v Town of Clarence*, 20 NY3d 506 [2013]; *Dupree v Giugliano*, 20 NY3d 921 [2012]; *Ross*, 8 NY3d 478)—a fact the majority recognizes in walling off its decision from today’s punitive damages jurisprudence (majority op at 334 n 2).⁶ Indeed, any invocation of “the” common-law standard glosses over the reality that our courts’ application of punitive damages is “confusing” and “far from uniform,” varies—perhaps with good reason—by whether an action sounds in tort or contract, and is, in short, hardly standard (John M. Leventhal & Thomas A. Dickerson, *Punitive Damages: Public Wrong or Egregious Conduct? A Survey of New York Law*, 76 Alb L Rev 961, 961, 1008 [2013]). Although the majority employs the version of that standard extant at the time the 1991 revisions introduced punitive damages into the NYCHRL, a better way to protect against the drafters’ fear that the law would be “automatically ratcheted down” would be to adopt the reading of it supported in part II (see Gurian Testimony at 3).

5. Gurian’s article, although separate from the legislative history, is an “extensive analysis of the purposes of the Local Civil Rights Restoration Act, written by one of the Act’s principal authors” that was used extensively in *Williams* and has thus been ratified by section 8-130 (c) (*Williams*, 61 AD3d at 68 n 6, quoting *Ochei v Coler/Goldwater Mem. Hosp.*, 450 F Supp 2d 275, 283 n 1 [SD NY 2006]).

6. Although the majority purports to reject the title VII standard for punitive damages in favor of New York’s common-law standard, in footnote 2 it cautions: “This holding does not affect the common-law standard for punitive damages in any context beyond the NYCHRL.” Unless footnote 2 is, like one’s appendix or wisdom teeth, vestigial and purposeless, it must mean that the standard in the majority’s opinion is not New York’s common-law standard, but something different that the majority does not wish to creep into the common-law standard, and would instead cabin to NYCHRL cases.

That reading is the one that best serves the purpose of the successive revisions to the NYCHRL, which must be construed in the manner most favorable to discrimination plaintiffs (and, thus, to the commonweal). As we have seen, that purpose is to be “maximally protective of civil rights in all circumstances” by “‘meld[ing] the broadest vision of social justice with the strongest law enforcement deterrent’” (Local Law 35 § 1; 2016 Report at 11, quoting *Williams*, 61 AD3d at 68). If, as amici explain, punitive damages are the only effective deterrent because employers carry insurance against compensatory damages and attorney’s fees, but cannot obtain it for punitive damages as a matter of New York’s public policy, then only by automatically imposing those damages with allowances for mitigating factors and immunity for full compliance with Commission policies can the NYCHRL achieve its “very specific vision” of “no tolerance for discrimination in public life” (2016 Report at 8; *Home Ins. Co.*, 75 NY2d at 200).

In fact, the 2005 Restoration Act modeled an amendment to section 8-502 strikingly similar to the one Ms. Chauca proposes today. Rejecting this Court’s decision to authorize attorney’s fees only in the same narrow circumstances as the federal statute, that act updated the NYCHRL with a bespoke definition of “prevailing” that awarded fees to considerably more plaintiffs and thereby encouraged more rigorous enforcement (*see* Administrative Code § 8-502 [g]; 2005 Report). That update, like all of the substantive 2005 amendments, was meant to “illustrate” desirable changes to the law (*Williams*, 61 AD3d at 74). The expanded construction provision was intended, in the same vein, to “obviate the need for wholesale textual revision of the myriad specific substantive provisions of the law” by the legislature and “accelerate the process by which other doctrines inconsistent with the commands of [the] Restoration Act are abandoned” (2016 Report at 9, 11; 2005 Report). Abandoning not only the title VII but also the common-law standard for punitive damages fulfills that goal as well as the law’s express purpose.

Because the mandates of the NYCHRL are as clear as they are uniquely broad and remedial, and because discrimination is “a profound evil that New York City, as a matter of fundamental public policy, seeks to eliminate,” I would answer the certified question consistent with this dissent (*Bennett*, 92 AD3d at 38). It would be far better to have the City Council tell us we have gone a bit too far than to have it admonish us a fourth

time for standing in the way of its efforts to end discrimination.

Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY and FEINMAN concur; Judge WILSON dissents in an opinion.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in accordance with the opinion herein.

[89 NE3d 1207, 67 NYS3d 526]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARIO
ARJUNE, Appellant.

Argued October 12, 2017; decided November 20, 2017

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 13, 2016. The Appellate Division denied defendant's application for a writ of error coram nobis seeking to reinstate his appeal from a judgment of the Supreme Court, Queens County (Michael B. Aloise, J.), which was dismissed for failure to timely perfect, on the ground of ineffective assistance of trial counsel. The judgment had convicted defendant, upon a jury verdict, of tampering with physical evidence and criminal possession of a weapon in the fourth degree.

People v Arjune, 138 AD3d 877, affirmed.

HEADNOTE

Crimes — Appeal — Application to Reinstate Appeal — Writ of Error Coram Nobis

Defendant's application for a writ of error coram nobis seeking to reinstate his appeal, which was dismissed for failure to timely perfect it, on the ground that his trial counsel was ineffective for failing to assist him in obtaining poor person relief or to take any action when served with the motion to dismiss four years after the notice of appeal was timely filed by trial counsel, was properly denied. Defendant bore the burden of demonstrating that he was denied meaningful assistance—that counsel's actions in allegedly failing to assist defendant in obtaining poor person relief were not consistent with those of a reasonably competent attorney. He failed to meet that burden, both in terms of his specific claim that counsel did not advise him of his right to seek poor person relief in connection with his appeal and the more general claim that counsel did not consult with him regarding an appeal. With respect to the claim that counsel failed to respond to the dismissal motion, there is no rule that trial counsel has a constitutional responsibility in connection with an appeal for an indefinite period of time extending for years after the notice of appeal is filed. The holding in *People v Syville* (15 NY3d 391 [2010]) that coram nobis may be used to assert a claim that appellate rights were extinguished by ineffective legal assistance is a narrow one, and in order to obtain exceptional relief beyond the time permitted under CPL 460.30, a defendant must show that he or she exercised due diligence. Apart from defendant's affidavit stating that he did not recall receiving anything in writing about taking an appeal or discussing an appeal with counsel, defendant submitted no nonhearsay proof regarding whether he was made aware of his right to appeal or whether his attorney discussed the taking of an appeal with him prior to filing the notice of appeal. Nor did defendant attempt to

demonstrate what steps he took to discover the omission and explain why he waited years to obtain coram nobis relief, apart from his unsupported claim that he was not aware of his right to appeal.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Habeas Corpus and Postconviction Relief §§ 48, 108, 179, 187, 194, 196–197, 202, 204, 212, 224, 228; AM JUR 2d Trial §§ 1653–1654.

CARMODY-WAIT 2d Postjudgment Motions §§ 205:6, 205:24; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:98, 207:100, 207:247.

McKINNEY'S, CPL 460.30.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7–11.10, 21.3, 27.5, 28.9.

NY JUR 2d Criminal Law: Procedure §§ 827, 959, 3469, 3483, 3639, 3761.

ANNOTATION REFERENCE

Right to writ of coram nobis as affected by intentional or negligent failure to bring facts to attention of court. 58 ALR 1286.

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Query: "coram nobis" & ineffect! /5 counsel! & poor!

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Jenin Younes of counsel), for appellant. Appellant's petition for a writ of error coram nobis should have been granted because trial counsel, ignorant of his professional responsibilities, failed to protect his cognitively limited, barely literate, incarcerated client's fundamental right to a first-tier appeal of his felony trial conviction by (a) failing to explain his entitlement to poor person relief and how to seek it, and (b) failing to take any action when counsel was served with the People's motion to dismiss the appeal. (People v Pride, 3 NY2d 545; People v Crimmins, 36 NY2d 230; People v Montgomery, 24 NY2d 130; People v Harrison, 85 NY2d 794; People v Borum, 8 NY2d 177; People v Ventura, 17 NY3d 675; Evitts v Lucey, 469 US 387; Jones v Barnes, 463 US 745; Swenson v Bosler, 386 US 258; Douglas v California, 372 US 353.)

Richard A. Brown, District Attorney, Kew Gardens (William H. Branigan, John M. Castellano and Joseph N. Ferdenzi of counsel), for respondent. The Appellate Division properly denied coram nobis relief because appellant's factual allegations were contradicted by the record and his own motion, because he was well aware of his right to appeal and to apply for poor person relief, and because, in any event, he never established his indigence. (People v Perez, 23 NY3d 89; People v West, 100 NY2d 23; Griffin v Illinois, 351 US 12; Roe v Flores-Ortega, 528 US 470; Matter of 303 W. 42nd St. Corp. v Klein, 46 NY2d 686; People v Continental Cas. Co., 301 NY 79; Matter of Lucinda G., 122 Misc 2d 416; People v Velasquez, 1 NY3d 44; Strickland v Washington, 466 US 668; Campusano v United States, 442 F3d 770.)

Sidley Austin LLP, New York City (Eamon P. Joyce, Ariel Atlas and Zachary Payne of counsel), Richard D. Willstatter, Amicus Curiae Committee National Association of Criminal Defense Lawyers and Amicus Curiae Committee New York State Association of Criminal Defense Lawyers, White Plains, and Robert S. Dean, Amicus Curiae Committee Chief Defenders Association of New York, New York City, for National Association of Criminal Defense Lawyers and others, amici curiae. I. This Court should hold that counsel who, like Mario Arjune's counsel, abandon their clients rather than perfecting their appeals or apprising them of their right to substitute counsel are ineffective. (Douglas v California, 372 US 353; Evitts v Lucey, 469 US 387; Roe v Flores-Ortega, 528 US 470; People v Syville, 15 NY3d 391; Bostick v Stevenson, 589 F3d 160; Campusano v United States, 442 F3d 770; People v Clark, 28 NY3d 556; People v Gonzalez, 47 NY2d 606; People v Stultz, 2 NY3d 277; People v Borrell, 12 NY3d 365.) II. Requiring an attorney who notices an appeal to assist his or her client in obtaining substitute counsel for the appeal both ensures that the guarantee of effective assistance is fulfilled and is administratively workable. (Roe v Flores-Ortega, 528 US 470; Maples v Thomas, 565 US 266.)

OPINION OF THE COURT

STEIN, J.

In *People v Syville* (15 NY3d 391 [2010]), we held that, in rare circumstances, a defendant may seek coram nobis relief

despite failing to move for an extension of time to file a notice of appeal within the one-year grace period provided by CPL 460.30. Specifically, we concluded that *coram nobis* may be available for a defendant who demonstrated that he or she timely requested that trial counsel file a notice of appeal, the attorney failed to comply, and the omission could not reasonably have been discovered within the one-year time limit (*see id.* at 400-401). Defendant now asks us to expand *Syville* to situations in which retained trial counsel filed a timely notice of appeal but allegedly failed to advise the defendant of his or her right to poor person relief, or to take any action when served with a motion to dismiss the appeal years after the notice of appeal was filed. Because defendant has not met his burden of proving that counsel was ineffective, we decline to expand *Syville* under the circumstances presented here.

I.

Defendant, an English-speaking immigrant from Suriname, asserts that he is minimally literate and has cognitive limitations, which admittedly did not prevent him from maintaining employment in construction, managing independent living skills, taking his elderly mother to doctor appointments and ensuring that she took her medication, and helping his girlfriend's teenage child complete her homework. Defendant immigrated to the United States in 2006. In 2008, he was charged with attempted murder in the second degree, assault in the first degree, tampering with physical evidence, and possession of a weapon in the fourth degree. The charges arose out of an incident in which defendant used a boxcutter to stab another man in the chest, stomach and leg, and then hid the boxcutter—which was covered in blood—in a ceiling tile in the bathroom of the restaurant where the stabbing took place. Defendant retained counsel, who asserted a justification defense at the ensuing jury trial. Counsel was able to obtain defendant's acquittal on the attempted murder and first-degree assault charges. Defendant was convicted, however, of tampering with physical evidence and criminal possession of a weapon in the fourth degree. He was sentenced to an aggregate term of 1 to 3 years in prison.

At sentencing, the court clerk stated, “[l]et the record reflect the defendant is being handed a notice of appeal.” The People

have provided us with the standard “Notice of Defendant of His Right to Appeal” that is handed to all Queens County defendants.¹ Counsel filed a notice of appeal on defendant’s behalf the day after sentencing.

Defendant was released from prison in March 2010, four months after being sentenced. He did not retain an attorney, move for poor person relief or attempt to obtain assistance in perfecting the appeal. In October 2013, approximately four years after the notice of appeal was filed, the People moved in the Appellate Division to dismiss the appeal as abandoned. As required by CPL 470.60, the People sent a copy of the motion to dismiss both to defendant at his last known residence and to counsel. Neither defendant nor counsel responded, and the Appellate Division dismissed the appeal in December 2013.

One year later, in December 2014, defendant was remanded to the custody of Immigration and Customs Enforcement for deportation and was released on bond. Defendant’s immigration attorney referred him to an appellate indigent defense provider, who moved to reinstate defendant’s appeal in April 2015. Although the People filed a response taking no position on the motion, the Appellate Division denied it.² In October 2015, nearly six years after the notice of appeal was filed, defendant moved for a writ of error coram nobis, claiming that he was denied the effective assistance of counsel in perfecting his appeal.

In connection with his coram nobis application, defendant submitted an affidavit in which he stated, without proof, that counsel did not speak with him during or after his trial about an appeal, about the fact that his conviction could subject him to deportation, or about poor person relief. He averred that he did not know that a notice of appeal was filed and that he would have pursued the appeal if he knew about the deporta-

1. The form states:

“You have a right to appeal to the Appellate Division, Second Department, within thirty [30] days and, in addition, upon proof of your financial inability to retain counsel and to pay the cost and expenses of the appeal, you have the right to apply to the Appellate Division, Second Department, for the assignment of counsel and for leave to prosecute the appeal as a poor person and to dispense with printing.

“The Appellate Division, Second Department, is located at 45 Monroe Place, Brooklyn, New York 11201.”

2. The Appellate Division’s denials of defendant’s motion to reinstate and his subsequent motion for reconsideration are not before us, and we have no occasion to consider the merits thereof.

tion consequences of his conviction and his right to an attorney.³ Trial counsel also submitted an affirmation in which he stated that he was retained to represent defendant at trial and filed a notice of appeal on defendant's behalf but, *after* he did so, he did not remember speaking to defendant about how to perfect the appeal. Counsel indicated that he believed his representation, as retained trial counsel, ended after the filing of the notice of appeal because "[i]t was understood that [he] was trial and not appellate counsel." Counsel also stated that he had no recollection of receiving the People's motion to dismiss the appeal.

The Appellate Division denied the *coram nobis* motion, without opinion (138 AD3d 877 [2d Dept 2016]), and a Judge of this Court granted defendant leave to appeal (27 NY3d 1148 [2016]).

II.

Despite trial counsel's having secured an acquittal on the charges of attempted murder and first-degree assault, as well as a sentence that resulted in defendant being released from prison four months after his trial ended, defendant now claims that counsel was ineffective. Defendant argues that, due to his purported cognitive limitations, he was ill-equipped to obtain poor person relief in connection with the process of appealing his conviction, to oppose the dismissal of his appeal or to perfect it without any guidance from an attorney. Defendant and Judge Rivera, in dissent, cite the rules of all four Appellate Division Departments, which were in effect at the time of his conviction, requiring trial counsel to inform his or her client, in writing, of the right to appeal and provide basic information necessary to pursue the appeal, including the right to seek poor person relief and how to do so if the client is indigent (*see* 22 NYCRR 606.5 [b]; 671.3 [a]; 821.2 [a]; former 1022.11 [a]). Defendant and Judge Rivera, in dissent, maintain that the existence of such directives—as well as bar association standards mandating that counsel assist in procuring poor person relief and take steps to ensure that an appeal is not unwittingly forfeited—establishes defendant's entitlement to a writ of error *coram nobis* based upon his unsupported claims that counsel failed to assist him in obtaining poor person relief or to re-

3. Although he now claims, without direct evidentiary support, that his parents paid counsel to represent him at trial, defendant indicated in his affidavit that he retained counsel.

spond to the People’s motion to dismiss four years after the notice of appeal was filed.

This argument is undermined by this Court’s holdings, in two cases, that defendants are not “constitutionally entitled to appointment of counsel to assist in preparing a poor person application” (*People v Perez*, 23 NY3d 89, 99 [2014]; see *People v West*, 100 NY2d 23, 28 [2003], *cert denied* 540 US 1019 [2003]). That is, we expressly rejected the argument that “an application for poor person relief is a critical stage of the proceeding to which [a defendant’s] Sixth Amendment and due process rights to counsel attach” (*West*, 100 NY2d at 28). *Perez* and *West* involved review of Appellate Division dismissals of appeals for failure to perfect. We explained that, while our “state’s processes must provide the criminal appellant with the minimal safeguards necessary to make an adequate and effective appeal” (*West*, 100 NY2d at 28), “it is not unconstitutional to require a defendant to take some minimal initiative to assure himself adequate representation on appeal” (*Perez*, 23 NY3d at 100).⁴ Notably, in both *West* and *Perez*, the Court concluded that written notices similar to the one provided to defendant at sentencing here “[c]learly . . . informed [the defendants] of [their] right to appeal and more specifically, how to apply for poor person relief,” and thus “belied” any claims that delays in perfecting their appeal should not be counted against them (*West*, 100 NY2d at 27; see *Perez*, 23 NY3d at 99).

Given this legal backdrop—i.e., the Court’s holdings in *West* and *Perez* that a defendant is not constitutionally entitled to the assistance of counsel in seeking poor person relief as long as he or she is given written notice that is similar to the one defendant received here—defendant has a heavy burden to demonstrate entitlement to a writ of error coram nobis premised on ineffective assistance of counsel for failing to assist in procuring poor person relief. Although the dissenters

4. We reasoned that “the concerns underlying a due process right to counsel on direct appeal are not present in the mechanism by which an indigent defendant seeks poor person relief. An appellant need only advise the appellate court of income, its source(s), and a list of property owned and its value. This personal information is uniquely available to the appellant—the assistance of counsel is not necessary to uncover or develop it. Consequently, the need for careful advocacy to ensure substantial legal and factual arguments are not passed over is not implicated” (*People v West*, 100 NY2d 23, 28-29 [2003]).

fail to recognize the distinction, we emphasize that defendant does not challenge the dismissal of his appeal by the Appellate Division for failure to perfect, as in *Perez* and *West*; nor does this appeal involve the Appellate Division's resolution of a motion to extend the time to appeal under court rules (*cf. People v Zanghi*, 159 AD2d 1030 [1990]). Rather, this appeal is from the denial of a coram nobis motion. Therefore, defendant bore the burden of demonstrating that he was denied meaningful assistance—that counsel's actions in allegedly failing to assist defendant in obtaining poor person relief were not “consistent with those of a reasonably competent . . . attorney” (*People v Borrell*, 12 NY3d 365, 368 [2009]). He failed to meet that burden here, both in terms of his specific claim that counsel did not advise him of his right to seek poor person relief in connection with his appeal and the more general claim, advanced by both Judge Rivera and Judge Wilson in dissent, that counsel did not consult with him regarding an appeal.

With respect to the other prong of defendant's coram nobis motion (based on failure to respond to the dismissal motion four years after the notice of appeal was filed) defendant and Judge Rivera, in her dissent, essentially seek a rule that *trial* counsel has a constitutional responsibility in connection with an appeal for an indefinite period of time extending for years after the notice of appeal is filed. Neither defendant nor that dissent cite any legal support for the imposition of such a rule. Moreover, the cases that defendant cites concerning ineffectiveness of counsel and entitlement to coram nobis relief—including *Syville*—do not support imposing either such an open-ended obligation on behalf of trial counsel or a rule that counsel is ineffective for failing to assist a defendant in obtaining poor person relief.

III.

The federal rule on ineffectiveness of counsel when an attorney completely fails to file a notice of appeal was enunciated in *Roe v Flores-Ortega* (528 US 470 [2000]).⁵ In that case, the Supreme Court declined to hold that a trial attorney's performance was deficient per se for failing to file a notice of appeal whenever a client did not clearly instruct otherwise (*see id.* at 478). The Court concluded that such a rule would “effectively

5. *Roe v Flores-Ortega* (528 US 470 [2000]) is distinguishable because, here, counsel did file a notice of appeal. Nonetheless, *Roe* is instructive.

impose[] an obligation on counsel in all cases either (1) to file a notice of appeal, or (2) to discuss the possibility of an appeal with the defendant, ascertain his wishes, and act accordingly” (*id.*). The Court recognized that filing a notice of appeal is a “purely ministerial task that imposes no great burden on counsel” (*id.* at 474), and that counsel’s failure to file a notice when asked to do so works a “forfeiture of a proceeding itself,” depriving a defendant of “an appeal altogether” (*id.* at 483). Nevertheless, the Supreme Court rejected a per se rule because holding “as a *constitutional* matter, that in every case counsel’s failure to consult with the defendant about an appeal is necessarily unreasonable, and therefore deficient[,] . . . would be inconsistent with both . . . *Strickland*⁶ and common sense” (*id.* at 479). The Court further explained that “detailed rules for counsel’s conduct have no place in a *Strickland* inquiry”—i.e., in an ineffective assistance of counsel inquiry under the federal standard (*id.* at 480 [internal quotation marks and citation omitted]).

Thus, the Supreme Court held that—although the better practice is to routinely consult with a client—an attorney has a *constitutional* obligation to consult with a client regarding taking an appeal only when “there is reason to think either (1) that a rational defendant would want to appeal (for example, because there are nonfrivolous grounds for appeal), or (2) that this particular defendant reasonably demonstrated to counsel that he was interested in appealing” (*id.* at 480). The Court expressly defined “consult” as “advising the defendant about the advantages and disadvantages of taking an appeal, and making a reasonable effort to discover the defendant’s wishes” (*id.* at 478). That definition must be read in the context of the Court’s hypothetical indicating that such consultation would not be required when “a sentencing court’s instructions to a defendant about his appeal rights in a particular case are so clear and informative as to substitute for counsel’s duty to consult . . . [because,] [i]n some cases, counsel might then reasonably decide that he need not repeat that information” (*id.* at 479-480).⁷ The acknowledgment in *Roe* that the sentencing court may satisfy trial counsel’s duty necessarily implies that

6. *Strickland v Washington* (466 US 668 [1984]).

7. We note that Judge Rivera’s conclusion that this statement in *Roe* (528 US at 479-480) is misleading (Judge Rivera, dissenting op at 370-371) is more properly directed at the United States Supreme Court. The same is true for the dissent’s conclusion (Judge Rivera, dissenting op at 368) that the

(n. cont’d)

the Court's definition of "consult" cannot logically be read to extend *trial counsel's* duty to consult with the defendant regarding the merits with a view toward deciding whether to perfect the appeal. Nor does *Roe* address whether such consultation is required when, as here, a notice of appeal was filed.

Syville itself—which relied on *Roe*—is an expansion of CPL 460.30, which "permits the Appellate Division to excuse a defendant's failure to file a timely notice of appeal from a criminal conviction if the application is made within one year of the date the notice was due" (15 NY3d at 394). This Court cited *Roe* for the propositions that: (1) "[w]hen defense counsel disregards a client's timely request to file a notice of appeal, the attorney acts in a manner that is professionally unreasonable" (*id.* at 397 [internal quotation marks and citation omitted]); and (2) "to establish a constitutional violation in this context, a defendant need not identify potentially meritorious issues that would be raised on appeal; the defendant need only demonstrate that, as a result of counsel's deficient performance, appellate rights were extinguished" (*id.* at 398). Our narrow holding in *Syville* was that "the coram nobis procedure is available to afford further relief to defendants who did not move within the one-year grace period because they were unaware during that year that their attorneys had not complied with their requests to file notices of appeal" (*id.* at 394).

Roe Court essentially contradicted *Strickland* when quoting it for the proposition that

"[p]revailing norms of practice as reflected in American Bar Association standards and the like . . . are only guides,' and imposing 'specific guidelines' on counsel is 'not appropriate.' And, while States are free to impose whatever specific rules they see fit to ensure that criminal defendants are well represented, we have held that the Federal Constitution imposes one general requirement: that counsel make objectively reasonable choices" (*Roe*, 528 US at 479 [citation omitted], quoting *Strickland* 466 US at 688).

That said, nothing in this decision should be read to minimize the importance of these standards or state rules, to prohibit the adoption of such rules either administratively or by the legislature, or to contradict our prior decision that a writ of error coram nobis may lie when the violation of court rules results in a complete deprivation of counsel on a People's appeal (see *People v Brun*, 15 NY3d 875, 876-877 [2010]). Rather, we simply conclude that it cannot be said, "as a constitutional matter, that in every case counsel's failure to [comply with every aspect of such directives] is necessarily unreasonable, and therefore deficient" (*Roe*, 528 US at 479).

Syville was grounded in the principle that “[t]he Due Process Clause prohibits a defendant from being denied the right to appeal as a consequence of the violation of another constitutional right—the right to the effective assistance of counsel on direct appeal” (*id.* at 398). Thus, we recognized that a limited exception to the one-year time limit imposed in CPL 460.30 was necessary when counsel failed to comply with a request to file a notice of appeal. We noted, however, that “it will be the *rare case* where this exception must be utilized,” explaining that, “in most cases strict enforcement of the CPL 460.30 time limit is constitutionally permissible because attorneys usually accede to their clients’ requests to file notices of appeal and, when they fail to do so, most defendants are in a position to discover the omission within the statutory grace period” (*id.* at 400 n 2 [emphasis added]).

Subsequently, in *People v Andrews* (23 NY3d 605 [2014]), we reiterated that “the holding of *Syville*—that coram nobis may be used to assert a claim that appellate rights were extinguished by ineffective legal assistance—was *a narrow one*,” noting that “[o]nly defendants who ‘could not reasonably have . . . discovered’ the omission during that period are entitled to utilize the coram nobis procedure” (*id.* at 614, quoting *Syville*, 15 NY3d at 399, 400 n 2 [emphasis added]). We further emphasized that *the burden is on the defendant seeking coram nobis relief*, stating that “*Syville* conditions coram nobis relief on a defendant’s ability to demonstrate that appellate rights were lost as a result of ineffective assistance” (*Andrews*, 23 NY3d at 615).⁸ Thus, “perfunctory claims” that a defendant requested his or her lawyer file a notice of appeal or that the defendant was unable to discover counsel’s failure to file a notice are insufficient, particularly where, as in the case currently before us, the sentencing “court’s usual practice [was] to provide defendants with written notice of the right to appeal” (*id.* at 615-616).

Finally, in *People v Rosario* (26 NY3d 597 [2015]), the Court answered a question expressly left open in *Syville*, holding that “[i]n order to obtain exceptional relief beyond the time permit-

8. The fundamental flaw in both dissenters’ reasoning is that they fail to recognize that defendant bore the burden here; they simply accept all facts alleged by defendant as true and afford him every possible favorable inference as if we were considering a motion to dismiss a civil complaint (see *Leon v Martinez*, 84 NY2d 83, 87 [1994]), as opposed to an application for a writ of error coram nobis (see *People v Andrews*, 23 NY3d 605, 615-616 [2014]).

ted under CPL 460.30, a defendant must show that he exercised due diligence” (*id.* at 604). We noted in *Rosario* that the defendants (like defendant here)

“claim[ed] that counsel did not advise them of the right to appeal and had [they] known about their right to appeal, they would have requested one. However, in both appeals, the only evidence proffered in support of the contention that [the] defendants were not apprised of their appellate rights [was] self-serving affidavits” (*id.* at 603).

Moreover, the *Rosario* defendants failed to “make any showing that they took steps toward discovering the omission or explain why years passed before they sought coram nobis relief” (*id.* at 604). In other words, *Rosario* establishes that it is not sufficient for purposes of showing due diligence for a defendant merely to make an unsupported claim that he or she never knew of the right to appeal; nor are the People required to rebut such unsubstantiated allegations.

The Court also determined in that case that the records, taken as a whole, demonstrated that the defendants were aware of their right to appeal, noting that “[b]oth the oral and written waivers in these cases are contrary to defendants’ claims that they were unaware of their right to appeal” (*id.* at 604). In so determining, the Court rejected the position of the dissenters in *Rosario*, who would have reversed on the ground that a defendant is entitled to coram nobis relief under *Roe* when the record does not demonstrate that counsel consulted with defendant about the appeal, including giving the attorney’s “professional judgment on the merits of an appeal” (*id.* at 605). Thus, the *Rosario* majority also implicitly rejected any notion that a defendant’s unsupported affidavit is sufficient to establish entitlement to coram nobis relief whenever the record does not otherwise clearly demonstrate that trial counsel consulted with defendant on the merits of an appeal.

IV.

Here, apart from his affidavit stating that he did not recall receiving anything in writing about taking an appeal or discussing an appeal with counsel, defendant submitted no nonhearsay proof regarding whether he was made aware of his right to appeal or whether his attorney discussed the taking of an appeal with him prior to filing the notice of appeal. Indeed, defendant never even denied that the form handed to him at

sentencing—while counsel presumably stood next to him—was the standard form handed to every defendant. He averred only that he did “not remember getting anything in writing about an appeal.” Nor did defendant establish that he was unable to understand the form, including its instruction on how to obtain poor person relief, particularly given the fact that he was previously capable of retaining trial counsel.

Further, even if the receipt of the standard form was not sufficient under *Perez* and *West*, defendant failed to meet his burden of demonstrating that he was unaware of his appellate rights, how to seek poor person relief, or how to otherwise perfect the appeal, or that counsel failed to comply with the relevant court rules. Trial counsel’s carefully worded affirmation does not support defendant’s claims that he *never* discussed appealing, did not consult with defendant after sentencing, or failed to inform defendant that he would need either a different lawyer for an appeal or to apply for poor person relief; counsel’s affirmation indicates merely that, “*after filing the notice of appeal*,” counsel had no contact with defendant or his family. The affirmation did not outline counsel’s standard practice—presumably in an attempt to distinguish *Andrews* (see 23 NY3d at 615) and *Rosario* (26 NY3d at 604)—or address whether he consulted with defendant *before* filing the notice of appeal. Defendant has made no effort to present evidence of what conversations, if any, took place during this gap beyond a statement that, “[a]s far as [he] remember[ed], [counsel] did not talk to [him] about an appeal during or after [his] trial.”

Defendant did submit an affirmation from his immigration attorney about his lack of understanding of his right to appeal. However, that affirmation consists largely of hearsay, which parrots the claims asserted in defendant’s own affidavit, and therefore also fails to satisfy defendant’s burden on this coram nobis application. The affirmation of his current attorney—which recounts a conversation that she had with defendant’s mother in which the mother allegedly stated that she and her husband paid defense counsel to represent defendant and that she did not remember defense counsel mentioning an appeal—similarly reflects a lack of firsthand knowledge of the relevant facts. Notably, while both of defendant’s parents submitted their own sworn affidavits recounting defendant’s background, neither parent was willing to *swear* that trial counsel failed to discuss an appeal with them or to inform them that he was not

acting as appellate counsel. In any event, current counsel's claim is contradicted by defendant's own affidavit stating that *he* "paid [counsel] to represent [him] at [his] trial."

Thus, as in *Rosario*, we are asked to expand *Syville* to hold that a defendant is entitled to coram nobis relief based on an otherwise unsupported affidavit claiming that counsel did not consult with the defendant regarding an appeal and, had counsel done so, the defendant would have appealed. Indeed, although we rejected such an expansion of *Syville* in *Rosario*, we are now asked to go even further and hold that such unsubstantiated claims entitle a defendant to coram nobis relief, not only when a notice of appeal is not filed, but also when trial counsel files a notice of appeal, but allegedly fails to assist a defendant in applying for poor person relief—a stage of the proceedings in which we have held that counsel is not required to assist a defendant when he or she has received instructions on how to do so (*see Perez*, 23 NY3d at 99; *West*, 100 NY2d at 28)—or to respond to a motion to dismiss years after filing a notice of appeal. Such a holding would represent a significant expansion of *Syville*, a case that, as we have repeatedly emphasized, recognized only a narrow exception to the one-year deadline imposed by CPL 460.30 for filing a notice of appeal that is, itself, to be used rarely.

Moreover, defendant has not shown that it was impossible to discover the alleged omission with reasonable diligence, even in spite of his alleged cognitive limitations. In *Rosario*, even where the defendants claimed that they were never aware of the right to appeal—as defendant claims here—they were nonetheless required to demonstrate what steps they took to discover the omission and explain why they waited years to obtain coram nobis relief (*see Rosario*, 26 NY3d at 603-604). Here, defendant has not even attempted to make such a showing, apart from his unsupported claim that he was not aware of his right to appeal. In fact, the record suggests that the reason defendant waited years to pursue further relief was that he was not interested in appealing his conviction and relatively short sentence until his status as a convicted felon led to further consequences. That is, "[t]he facts permit an inference that th[is] defendant[] did not simply neglect [his] appellate rights, but consciously chose not to exercise them until [he] acquired a reason to do so" (*Perez*, 23 NY3d at 101).

In light of the foregoing, we decline defendant's invitation to expand *Syville* and, instead, hold that coram nobis is unavail-

able under the circumstances presented here. Beyond some evidence of his cognitive limitations, defendant has provided only an unsupported affidavit indicating merely that he was unaware of the right to appeal, and he has failed to show due diligence as required by *Rosario*. He has, therefore, failed to “demonstrate that appellate rights were lost as a result of ineffective assistance” (*Andrews*, 23 NY3d at 615). Inasmuch as defendant’s papers were insufficient on their face to meet his burden on this coram nobis application, the Appellate Division was within its authority to so hold. Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). A lawyer failed to live up to prevailing professional standards, depriving his client of the fundamental right to appeal. In so doing, he violated the United States Supreme Court’s holding from *Roe v Flores-Ortega* (528 US 470 [2000]), under which lawyers must make objectively reasonable choices about pursuing appeals on their clients’ behalf. The majority today nevertheless holds that counsel was not ineffective, a decision that runs afoul of United States Supreme Court precedent and state jurisprudence, and deprives defendant of fundamental due process rights.

The facts of this case are stark. After completing the “purely ministerial task” (*id.* at 477) of filing a one-page notice of appeal on defendant’s behalf, counsel had no contact with defendant or his family. Counsel failed to comply with the Appellate Division Department’s own rules, which dictate that counsel must advise a defendant in writing of the right to apply for poor person relief if indigent and submit the application on defendant’s behalf if defendant so requests. The record demonstrates that counsel’s representation falls below applicable professional standards adopted by the American Bar Association, New York State Bar Association, and National Legal Aid and Defender Association. As a consequence of counsel’s failures, the Appellate Division dismissed defendant’s appeal for failure to timely perfect, and thereafter denied his motions to reinstate as well as the instant petition for a writ of error coram nobis. Notwithstanding these facts, the majority concludes that counsel was not ineffective and that defendant is to blame for his own dire situation. I cannot agree. As we have made clear, “there is no justification for making the defendant suffer for his attorney’s failing” (*People v Montgomery*, 24 NY2d 130, 132 [1969]). Under well established statutory and case law, Appellate Division rules, and prevailing profes-

sional standards applicable then and now, counsel could not desert his client. Defendant's coram nobis petition should be granted and his appeal reinstated. Therefore, I dissent.

I.

Defendant was a 22-year-old construction worker with no criminal history when he was arrested on charges arising from a fight at a local restaurant, where he had stopped for dinner after work. Defendant maintained that he acted in self-defense when a group of seven men surrounded and attacked him, and that he fought back after one of the men tried to cut him. After using a knife to defend himself, defendant felt frightened and impulsively hid it in the restaurant before waiting for the police to arrive. A jury acquitted defendant of attempted murder and assault, but convicted him of fourth-degree criminal weapon possession and tampering with evidence.

At the sentencing hearing, neither the judge nor defendant's retained counsel mentioned defendant's appellate rights. In rebutting defendant's assertions that he never received notice of an appeal nor information about his rights, the People offered only a court clerk's statement from the close of the proceeding: "Let the record reflect the defendant is being handed a notice of appeal. Paperwork to follow." The record before us does not contain this notice, only a document the People assert is the standard notice given to all Queens County defendants.

The day after sentencing, counsel filed a notice of appeal. Counsel admits he took no further steps to perfect the appeal and that he has no recollection of any post-sentencing contact with defendant or defendant's family. As he explained, "in [his] view, as retained counsel, [his] representation of [defendant] ended with the trial, sentenc[ing] and filing of the notice of appeal." According to counsel, "[i]t was understood that [he] was trial and not appellate counsel."

After defendant's release from prison, he was placed in deportation proceedings based on his conviction.¹ The appellate indigent defense counsel representing defendant in the immigration proceeding learned that, approximately four years earlier, the Appellate Division had granted the People's unop-

1. Since defendant is a lawful permanent resident, his conviction constitutes the sole ground for separating him from his family and removing him from this country.

posed motion to dismiss defendant's appeal for failure to timely perfect.

Appellate counsel moved to reinstate the appeal. The supporting affidavit from defendant averred that defendant was unaware of his appellate rights and believed the case finished when he was released from prison. It stated that defendant did not remember receiving any notice of appeal, and that if he had known he could obtain a public defender he would have requested one to pursue his appeal. In appellate counsel's own affirmation, she described a conversation with defendant's mother in which the mother stated that she and her husband had paid for trial defense counsel but exhausted their finances and could not afford an attorney for an appeal. The mother also did not remember counsel mentioning an appeal, and, consequently, she too believed the conviction was "the end."

Appellate counsel also submitted a psychologist's evaluation in which an expert concluded that defendant has severe cognitive limitations. The expert explained that defendant's verbal intellectual functioning is in the "Extremely Low" range, his nonverbal cognitive functioning in the "Borderline" range, and that defendant has low, if any, literacy. The expert remarked that defendant's impulsive actions in the underlying incident—hiding the weapon while waiting for police—"would be consistent with a concrete and simplistic thinking style."²

The People took no position on the motion to reinstate the appeal. Nevertheless, the Appellate Division denied it. Appellate counsel then made a motion to reconsider "in light of the substantial rights at stake in this case," noting that "[defendant] will be deported as a result of a conviction that he has been unable to appeal through no fault of his own." The People opposed defendant's motion to reconsider on the basis that defendant had "failed to meet his burden of showing that the Court misapplied relevant law or overlooked relevant facts."³ Again, the Appellate Division denied the motion.

2. The People never refute that defendant has cognitive limitations, as the majority implies when referring to them as "purported" limitations (majority op at 352). Moreover, it is unclear what the majority would hold sufficient evidence of such a disability for a writ of error coram nobis, if not an uncontradicted expert opinion (*see* majority op at 361).

3. The People did not go so far as to make conclusions on the merits of defendant's motion, as the majority here does. Indeed, the People included a footnote in their affirmation in opposition to defendant's motion to reargue stating "[a]s before, the People take no position on defendant's argument on the merits of the motion that defendant seeks to reargue."

Appellate counsel subsequently filed a petition for a writ of error coram nobis in the Appellate Division, alleging defense counsel was ineffective for failing to protect defendant's appellate rights. Counsel argued that defendant had a fifth-grade education and cognitive limitations, that trial counsel had done nothing after filing the notice of appeal, and that defendant's constitutional rights were violated as a result of trial counsel's failure to take basic steps to ensure defendant was able to perfect his appeal. The Appellate Division denied the petition without opinion (*People v Arjune*, 138 AD3d 877 [2d Dept 2016]).

II.

The right to appeal is a fundamental right (*Montgomery*, 24 NY2d at 132). Under New York law, every defendant has a statutory right to a first-tier appeal (*People v West*, 100 NY2d 23 [2003]). It is the state's responsibility to "make that appeal more than a meaningless ritual" (*Evitts v Lucey*, 469 US 387, 394 [1985] [internal quotation marks omitted]) "by affording a right to counsel on appeal" (*People v Syville*, 15 NY3d 391, 397 [2010], citing *Evitts*, 469 US at 394). As this Court explained in *People v Syville*, "[i]t follows that '[a] first appeal as of right . . . is not adjudicated in accord with due process of law if the appellant does not have the effective assistance of an attorney'" (*Syville*, 15 NY3d at 397, quoting *Evitts*, 469 US at 396). Thus, it also follows that where counsel's failures have deprived a defendant of this right to appeal under the normal procedural course, defendant may seek reinstatement of the appeal by writ of error coram nobis.

III.

Counsel's representation is measured against governing constitutional doctrine, statutory mandates, and basic rules of criminal practice, all of which aim to protect the client's appellate rights. Where, as here, counsel's representation is deficient for failing to comply with these authorities, counsel must be deemed ineffective.

A.

In *Roe v Flores-Ortega*, the United States Supreme Court stated that where defendant claims counsel was ineffective for failing to file a notice of appeal, courts must determine "whether counsel in fact consulted with the defendant about an

appeal” (528 US 470, 478 [2000]). The Court further expounded that “consult” means “advising the defendant about the advantages and disadvantages of taking an appeal, and making a reasonable effort to discover the defendant’s wishes” (*id.*). If counsel has failed to consult with a client, courts must ask whether such failure “itself constitutes deficient performance” (*id.*).

The Court rejected a bright-line rule that counsel must always consult with defendant regarding an appeal, instead holding that the Federal Constitution mandates counsel make objectively reasonable choices, which must be assessed on a case-by-case basis. Yet, as the Court unanimously held, only in rare cases would counsel be effective absent client consultation. According to the *Roe* majority, “courts evaluating the reasonableness of counsel’s performance . . . will find, in the vast majority of cases, that counsel had a duty to consult with the defendant about an appeal” (*id.* at 481), and the four concurring justices stated counsel “almost always” has this duty (*id.* at 488 [Breyer, J., concurring]; *id.* at 488 [Souter, J., concurring in part and dissenting in part, joined by Ginsberg and Stevens, JJ.]).

Further, as stated by the Court, apart from the federal constitution’s mandates, “[s]tates are free to impose whatever specific rules they see fit to ensure that criminal defendants are well represented” (*id.* at 479). New York has imposed just such rules. If defense counsel ignores them, and defendant is thereby foreclosed from pursuing a direct appeal as of right, counsel has not complied with either the federal “objectively reasonable” or New York’s less-stringent meaningful representation requirement.⁴

4. See *People v Honghirun*, 29 NY3d 284, 289 (2017) (“The difference between the federal and state standards is that ‘[o]ur state standard . . . offers greater protection than the federal test’ because, ‘under our State Constitution, even in the absence of a reasonable probability of a different outcome, inadequacy of counsel will still warrant reversal whenever a defendant is deprived of a fair trial’”), quoting *People v Caban*, 5 NY3d 143, 155-156 [2005]; *People v Stultz*, 2 NY3d 277, 283-284 (2004) (“From time to time, we have referred to the *Strickland* standard and measured counsel’s performance under it, but we have never applied it with such stringency as to require a defendant to show that, but for counsel’s ineffectiveness, the outcome would probably have been different”); *People v Benevento*, 91 NY2d 708, 714 (1998) (New York’s claim of ineffectiveness is “ultimately concerned with the fairness of the process as a whole rather than its particular impact on the outcome of the case”); *People v Baldi*, 54 NY2d 137 (1981).

B.

New York's four Appellate Division Departments have long-standing rules that "it shall be the duty of the counsel for the defendant, immediately after the pronouncement of sentence," to advise defendant in writing of the right to appeal, the time limitations involved, how to institute an appeal and obtain a transcript of trial testimony, and of the right to poor person relief (22 NYCRR 671.3 [a]; *West*, 100 NY2d at 26 ["the Appellate Divisions in 1964 promulgated rules that require assigned or retained counsel 'immediately after the pronouncement of sentence' to advise a defendant in writing of the right to appeal and the time limitations involved" (citations omitted)]).

The Second Department, the Court that denied defendant coram nobis relief, requires "written notice to [the] client advising [the client] of the right to appeal," which shall "also set forth . . . the appellant's right, upon proof of [the client's] financial inability," to apply for "the following relief": "the assignment of counsel," "leave to prosecute the appeal as a poor person and to dispense with printing," and a copy of the trial transcript "without charge" (22 NYCRR 671.3 [b] [3]). In addition, "counsel shall also request the written instructions of [the] client," and upon written notice of a desire to appeal or to apply for poor person relief, "counsel shall proceed promptly to do so" (22 NYCRR 671.3 [b] [4]). The Second Department is not alone in requiring that counsel ensure a client's indigency is no barrier to pursuing an appeal. The Fourth Department also mandates that counsel submit the application for poor person relief upon the client's request (22 NYCRR 1015.7 [a]).⁵

The majority ignores the significance of counsel's violation of these rules, minimizing the Division Department standards as a basis for measuring the quality of counsel's representation. Rather than deny that the conduct here is deficient, we should recognize that defendant has been denied meaningful representation as a direct result of counsel's inaction. Apart from the injustice suffered by defendant, the holding here risks disincentivizing compliance with the rules. Instead, we should be conveying their centrality to criminal legal practice.

5. The other Appellate Division Departments are even more protective: counsel's duty to file the notice of appeal is not conditioned on a written request (*see* 22 NYCRR 606.5 [First Department]; 821.2 [Third Department]; 1015.7 [Fourth Department]).

C.

In addition to considering rules promulgated by the states, the Supreme Court looks to “the legal profession’s maintenance of standards sufficient to justify the law’s presumption that counsel will fulfill the role in the adversary process that the [Sixth] Amendment envisions,” since the Amendment “refers simply to ‘counsel,’ [without] specifying [the] particular requirements of effective assistance” (*Strickland v Washington*, 466 US 668, 688 [1984]). Promoted by the bodies charged with supervising the practice of law, professional standards seek to lessen the institutional and structural obstacles that prevent defendants who want to appeal their criminal convictions from doing so. As relevant here, these standards address a “representation gap” between when the notice of appeal is filed and when the appeal is perfected. As the ABA commentary explains, “[t]his is a critical stage in a criminal prosecution, and no defendant should lack legal counsel during this period” (ABA Standards for Criminal Justice, Criminal Appeals, Transition from Trial Court to Appellate Court, standard 21-2.2 [a]). Furthermore, “[the ABA] standard, in stressing the continuing responsibility of the trial attorney, seeks to avoid the problem of a hiatus in legal representation during a critical period” (*id.*).

The relevant New York State Bar Association standards state that “representation at the trial court stage means, at a minimum,” not only “advising the client of the right to seek appointment of counsel and a free copy of the transcript” but also “applying for appointment of counsel and a free copy of the transcript if the client requests” (NY St Bar Assn, Revised Standards for Providing Mandated Representation § I-7 [j] [iii], [iv] [2015]). The National Legal Aid and Defender Association similarly instructs trial counsel to “inform the defendant of [the] right to appeal,” and “the action that must be taken to perfect an appeal” (Performance Guidelines for Criminal Defense Representation, guideline 9.2 [a], [b] [2011]). If the defendant wants to file an appeal but is unable to do so without the assistance of counsel, the attorney should file the notice and “take such other steps as are necessary to preserve the defendant’s right to appeal” (*id.*).

The American Bar Association makes clear that counsel cannot simply walk away from a client. Its standards specify that trial counsel should explain the “meaning and consequences of the court’s judgment and defendant’s right of appeal,” and “take

whatever steps are necessary to protect the defendant's rights of appeal" (ABA Standards for Criminal Justice, Defense Function, standard 4-8.2 [a], [b] [1993]). Counsel must also "continue to represent a sentenced defendant until a decision has been made whether to appeal and, if an appeal is instituted, to serve the defendant at least until new counsel is substituted," unless the court allows counsel to withdraw (ABA Standards for Criminal Justice, Criminal Appeals, Transition from Trial Court to Appellate Court, standard 21-2.2 [a] [1978]).

The majority cites to *Roe* for the proposition that professional standards are mere guides that the Supreme Court meant to have limited relevance when analyzing whether defense counsel was ineffective (majority op at 354 n 5). This interpretation of *Roe* is incorrect. The Supreme Court's reference to the ABA standards in that case as guides must be understood in context. While the Court did not render its holding based on ABA standards, it went on to conclude that it would be the rare case in which counsel's constitutional duty could be met absent compliance with those very same standards.

The majority's misplaced focus on "guides" also takes that word out of context in light of other Supreme Court precedent. The Supreme Court has continuously treated professional standards as essential to the Court's effective assistance analysis. In *Strickland*, the Court held that "[t]he proper measure of attorney performance remains simply reasonableness under prevailing professional norms" (466 US at 688). In *Padilla v Kentucky*, the Supreme Court held that "[t]he first prong [of an ineffective assistance of counsel analysis]—constitutional deficiency—is necessarily linked to the practice and expectations of the legal community" (559 US 356, 366 [2010]). Citing rules promulgated by the National Legal Aid and Defender Association, the Department of Justice, and the American Bar Association, the Court held:

"[T]hese standards may be valuable measures of the prevailing professional norms of effective representation, especially as these standards have been adapted to deal with the intersection of modern criminal prosecutions and immigration law.

"The weight of prevailing professional norms supports the view that counsel must advise her client regarding the risk of deportation" (*Padilla*, 559 US at 367-368; see also *Chaidez v United States*, 568

US 342, 352 [2013] [“a court begins by evaluating the reasonableness of an attorney’s conduct in light of professional norms”]).

In New York, we similarly ask whether “attorney’s conduct f[a]ll[s] below established professional norms” (*People v Baret*, 23 NY3d 777, 783 [2014]). Thus, when evaluating an attorney’s representation, professional norms are at the center of the analysis. *Roe* is not to the contrary, as the majority implies, nor establishes that counsel here was other than ineffective.

IV.

In the case before us, counsel was ineffective and failed to provide meaningful representation to defendant, resulting in the loss of defendant’s only appeal as of right. His representation fell below the federal standard discussed in *Roe*, as he did not make “objectively reasonable choices” related to defendant’s appellate rights (*Roe*, 528 US at 479). Counsel failed to consult with defendant after sentencing about the right to appeal, and certainly did not “mak[e] a reasonable effort to discover the defendant’s wishes” (*id.* at 478), since he had no contact with defendant or his family.

Counsel also violated his state-based duty when he broke the relevant Division Department rules. We have held that lack of compliance with Department rules that deprives a defendant of appellate counsel constitutes per se ineffective assistance of trial counsel (*see People v Brun*, 15 NY3d 875 [2010] [defendant entitled to coram nobis relief where trial counsel failed to comply with Second Department’s rule, thereby denying defendant representation upon People’s appeal]; *see also People v Zanghi*, 159 AD2d 1030, 1030 [4th Dept 1990] [holding that, where a defendant claimed lack of oral consultation with counsel regarding right to appeal, the court “need not determine the truth of defendant’s allegations because counsel failed to comply with our rule (22 NYCRR) 1022.11 (a)” to inform defendants of appellate rights in writing: “(w)e remind counsel of the obligation under that rule”]).

The People imply that counsel may have consulted with defendant before sentencing, and the majority claims that counsel’s “carefully worded” affirmation should be read as confirmation that there was consultation (majority op at 359). The affirmation, however, is revealing more for what it omits than for what it includes, and does not support an inference of effective representation. This “carefully worded” document

says nothing about whether counsel's usual practice includes informing defendants about their right to appeal or how to request appellate indigent representation. While the People's motion to dismiss defendant's appeal and the court's order granting that motion were both sent to counsel's business address, counsel states he has no recollection of receiving the motion to dismiss the appeal and "carefully" makes no mention of whether he received the order. It is clear that he did not respond to either, nor even took action to inform defendant or confirm that defendant had chosen not to pursue an appeal.⁶

Additionally, the majority argues that a sentencing court's instructions may be "so clear and informative as to substitute for counsel's duty to consult," and in some cases "counsel might then reasonably decide that he need not repeat that information" (majority op at 355, citing *Roe*, 528 US at 479-480). Nevertheless, the burden is on counsel, not the court, to ensure that defendant thoroughly understands the right to appeal and how to pursue it. While counsel may account for court-given information when analyzing what additional instruction defendants need, the responsibility of getting a defendant to that crucial state of understanding remains at all times with the lawyer. After all, unlike the court, counsel has the ability to discuss candidly defendant's options regarding an appeal.

"There is no substitute for the single-minded advocacy of appellate counsel" (*People v Emmett*, 25 NY2d 354, 356 [1969] [holding unacceptable an appellate tribunal reviewing a case without waiting for defense counsel to "make his own appraisal of that record or to submit a brief"])). Courts and defense counsel have different roles and relationships with defendants.

6. The majority asserts that I have ignored that defendant bears a heavy burden to establish counsel denied him meaningful assistance (majority op at 353-354). Notwithstanding the majority's claim, it is obvious from my references to the applicable legal mandates, and to the defendant's submissions in support of his petition for coram nobis relief, that my disagreement is not a difference of opinion as to the burden of production or proof. My disagreement is what to make of the record before us. Unlike the majority I do not consider defendant's claims "perfunctory" (majority op at 357). Defendant does not rely solely on his own unsupported statements that his attorney failed him. Instead, he establishes by his counsel's own admissions that counsel did nothing other than file a notice of appeal and that he did not do more because he was not appellate counsel. Moreover, counsel has never asserted that he fulfilled his duties under the Appellate Division rules. This is powerful evidence in support of defendant's petition. If counsel's admission of his own failures is not enough, then no defendant, with or without cognitive limitations, can meet the standard adopted by the majority.

While courts purport neutrality, defense counsel's purpose is to advocate, a task that encompasses a wide array of responsibilities with the duty of loyalty at their core. Neither instructions from the court nor a standard form could supplant the trust and dependence inherent in such a relationship.

Here, the court did not discuss the right to appeal with defendant, and thus there was no information for counsel to build upon when ensuring defendant thoroughly understood his rights. The People and the majority rely on the form provided by the court clerk at the end of sentencing, but that document is not in the record and thus we cannot confirm its contents. Assuming the People's submission to this Court represents the form handed to defendant at the end of the original sentencing proceeding, it was wholly inadequate to advise him of his right to appeal.

For instructions regarding appeals and poor person relief, our case law has recognized the utility of notices—oral or written—providing clear, robust guidance, along with “ample notice” of rights (*West*, 100 NY2d at 28). In *West*, where we upheld a form as providing adequate notice, the form instructed defendants to write to the Appellate Division requesting assigned counsel and described what a defendant must include in that letter. The notice given to defendants in *West* states:

“If you are without funds, after the notice of appeal has been filed, you must write to the Appellate Division requesting that counsel be assigned to you for the purpose of appeal. Send this letter to the Appellate Division, First Department, 27 Madison Avenue, New York, New York 10010. . . . [R]equest that you be granted permission to appeal upon the original record. You should mention you are without funds with which to retain counsel or to purchase a transcript of the proceedings. State fully your financial circumstances, explaining why you cannot afford to hire an attorney for an appeal or purchase a transcript of the proceedings. You must write this letter yourself” (*id.* at 27).⁷

In contrast, the standard notice the People rely on here lacks the clarity of the notice cited in *West*. The form simply states:

7. Notwithstanding the court's approval of the notice in *West*, reliance on that notice to educate defendants on their appellate rights may place such a burden on the exercise of those rights as to be unconstitutional. Such would be the case here, as a written notice handed over at sentencing without counsel's guidance would be of little use to defendant who is barely literate.

“You have a right to appeal to the Appellate Division, Second Department, within thirty (30) days and, in addition, upon proof of your financial inability to retain counsel and to pay the cost and expenses of the appeal, you have the right to apply to the Appellate Division, Second Department, for the assignment of counsel and for leave to prosecute the appeal as a poor person and to dispense with printing.

“The Appellate Division, Second Department, is located at 25 Monroe Place, Brooklyn, New York 11201.”

This notice neither informs defendant of how to establish proof of financial inability nor how to retain counsel or obtain a transcript utilizing poor person relief.

V.

It is noteworthy that the National Association of Criminal Defense Lawyers (NACDL), the nationwide professional bar association for public defenders and private criminal defense lawyers, submitted a brief in this case advocating for a rule by which “a lawyer who will not perfect the appeal . . . must advise [the] client about how to obtain appellate counsel to do so and assist [the] client in preparing the necessary papers” (brief for NACDL, *amicus curiae* at 22). As the NACDL argues, “[t]o do otherwise presents an egregious risk to criminal defendants’ fundamental right to counsel in their appeals as of right and undermines exactly what the ABA Standards are designed to prevent—‘a hiatus in legal representation during a critical period’” (*id.* [citation omitted]). Such a rule would provide “criminal defense attorneys, prosecutors, and judges with a precise guidepost to determine the point at which the duties of counsel end” (*id.* at 24-25) and would place a “minimal burden on criminal defense attorneys,” since “[for lawyers] experienced with the criminal justice system, providing advice about these subjects and preparing the necessary papers is easily and quickly accomplished” (*id.* at 23).

On the other hand, the approach adopted by the majority today:

“place[s] an immense burden on defendants, especially uneducated, non-English-speaking defendants, who must (i) come to understand the right to appellate counsel, (ii) then understand that to receive appellate counsel requires papers demon-

strating one's indigence and requesting the appointment of counsel, and (iii) then prepare such papers despite potential deficiencies in language and legal knowledge" (*id.* at 23-24).

Defendant's case evidences this point, and highlights the vulnerability of many who find themselves in such a position. Defendant was a novice to the criminal justice system: this was his first and remains his only criminal offense. In addition, he has a fifth-grade education, a cognitive impairment, and is barely literate.⁸

Unsurprisingly, other jurisdictions, both state and federal, have instituted protections similar to those of the ABA. "[M]ost of the [federal] courts of appeals require counsel who represented a defendant at trial to continue representation after the defendant is convicted, unless relieved by order of the court of appeals" (1 Lissa Griffin, Federal Criminal Appeals § 1:18 [Mar. 2017]).⁹ A rule that ensures seamless representation from conviction to resolution of defendant's first-tier appeal as of right does not, as the majority claims, demand that trial counsel be responsible for an "indefinite period" after filing the notice of appeal (majority op at 354). To the contrary, the rule assures the transition between trial and appeal progresses efficiently, effectively, and expeditiously.

In contrast, the majority's holding widens the gap in representation and increases the chances of a defendant's loss of the

8. The Court has previously noted that those familiar with the system are less well placed to claim ignorance of the rules and procedures than those who have never navigated its intricacies (*West*, 100 NY2d at 27 [in which "(w)hile doing nothing in state court to pursue his appeal, defendant repeatedly attempted to bypass the state appellate process by filing petitions seeking federal habeas corpus relief"]).

9. (*See* 2d Cir Local Rule 4.1 [a] [when a defendant in a criminal case seeks to appeal, "defendant's counsel, whether retained or appointed, is responsible for representing the defendant unless relieved by this court"]; 6th Cir Local Rule 12 [c] [1] ["Trial counsel in criminal cases must continue representation of the defendant on appeal unless relieved by the court"]; 8th Cir Local Rule 27B [a] ["Defendant's trial counsel, whether retained or appointed, shall represent the defendant on appeal, unless the Court of Appeals grants permission to withdraw"]; 10th Cir Local Rule 46.3 [A] ["Trial counsel must continue to represent the defendant until either the time for appeal has elapsed and no appeal has been taken or this court has relieved counsel of that duty"]; 11th Cir Local Rules Addendum Four [d] [2] ["If a party was represented in the district court by counsel appointed under the Act, such counsel shall be mindful of the obligation and responsibility to continue representation on appeal until either successor counsel is appointed under the Act or counsel is relieved by order of this court"].)

right to appeal. The majority's approach also runs counter to sister federal and state jurisdictions, and the overwhelming consensus of the profession that criminal defendants and the justice system are best served by ensuring representation throughout the criminal appellate process. Other jurisdictions have found this type of rule workable, and, as discussed, the NACDL, whose members will be held to this high standard, champions the duty be imposed on defense counsel. The majority's decision today is an unfortunate step in the wrong direction.

VI.

The applicable legal standards forbid counsel from creating a gap in representation. Attorneys may not abandon defendants to navigate the criminal justice system alone without first and foremost ensuring that they understand their appellate rights and the steps necessary to exercise them, and, where necessary, assisting them in perfecting their appeals by obtaining substitute counsel. This rule ensures seamless representation from conviction to resolution of defendant's first-tier appeal as of right.

Here, counsel failed to provide meaningful representation. I would reverse and grant defendant's petition for a writ of error coram nobis, and remit to the Appellate Division so that defendant may pursue his appeal represented by competent appellate counsel.

WILSON, J. (dissenting). I join Judge Rivera's dissent but write separately to emphasize that the majority's decision violates *Roe v Flores-Ortega* (528 US 470, 483 [2000]). As in that case, "[t]oday's case is unusual in that counsel's alleged deficient performance arguably led not to a judicial proceeding of disputed reliability, but rather to the forfeiture of a proceeding itself" (*id.* at 483).

Criminal defendants have a Sixth Amendment right to "consult" with their attorney "when there is reason to think . . . that a rational defendant would want to appeal" (*id.* at 480). The Supreme Court "employ[ed] the term 'consult' to convey a specific meaning—advising the defendant about the advantages and disadvantages of taking an appeal, and making a reasonable effort to discover the defendant's wishes" (*id.* at 478). The *Flores-Ortega* majority expected that "courts evaluating the reasonableness of counsel's performance using

the inquiry we have described will find, in the *vast majority* of cases, that counsel had a duty to consult with the defendant about an appeal (*id.* at 481 [emphasis added]).*

Mr. Arjune's case is among that vast majority. Mr. Arjune, a lawful permanent resident with cognitive impairments who defended himself against a group of attackers with a drywall knife that he carried for work, made the mistake of hiding the knife in fright. The day after his conviction, his trial counsel filed a notice of appeal and then walked away from all further obligation to or communication with Mr. Arjune. When he, and not Mr. Arjune, received in the mail the People's motion to dismiss the appeal for failure to timely perfect, he made no attempt even to contact Mr. Arjune or Mr. Arjune's parents, who had paid for his trial representation of their son. His actions left Mr. Arjune ignorant of his appellate rights and bereft of meaningful counsel.

Even if we assume that Mr. Arjune was handed a court-issued form notice of appeal, with "paperwork to follow," *Flores-Ortega* contemplated and rejected such a scenario as insufficient to avoid constitutional violation. The Supreme Court considered a circumstance in which "a sentencing court's instructions to a defendant about his appeal rights in a particular case are so clear and informative as to substitute for counsel's duty to consult. In some cases, counsel might then reasonably decide that he need not repeat that information" (*id.* at 479-480). That hypothetical situation differs materially from the one before us. Leaving aside that Mr. Arjune does not recall receiving the written notice, that the notice he may have received is not in the record, and that he is borderline illiterate (which his trial counsel surely knew), the sample of the type of form the People say he likely received is not remotely sufficient "to substitute for counsel's duty to consult" (*id.*). Remember, "consult" means "advising the defendant about the advantages and disadvantages of taking an appeal"; no one contends the standard form does so. *Flores-Ortega's* example, coupled with its holding, strongly suggests the Supreme Court of the United States would have unanimously reinstated Mr. Arjune's appeal.

* The concurring justices preferred a still more stringent inquiry, but agreed attorneys must "almost always" consult with their clients and can "hardly ever" leave a defendant uncounseled about his appeal rights (*Flores-Ortega*, 528 US at 488 [Breyer, J., concurring]; *id.* at 494 [Ginsburg, J., concurring]).

In short, at the conclusion of his trial, Mr. Arjune was denied the protections of the Constitution. Today, he—like all other defendants whose trial counsel believe that they may leave their clients unadvised and unrepresented in considering whether, when, and how to appeal—is denied them again by this Court despite the imperatives of justice and the dictates of the Supreme Court.

Chief Judge DiFIORE and Judges FAHEY, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion, in which Judge WILSON concurs in a separate dissenting opinion.

Order affirmed.

[89 NE3d 1227, 67 NYS3d 547]

In the Matter of WORLD TRADE CENTER LOWER MANHATTAN DISASTER SITE LITIGATION.

STANISLAW FALTYNOWICZ et al., Appellants, and STATE OF NEW YORK, Intervenor-Appellant, v BATTERY PARK CITY AUTHORITY et al., Respondents.

SANTIAGO ALVEAR, Appellant, and STATE OF NEW YORK, Intervenor-Appellant, v BATTERY PARK CITY AUTHORITY, Respondent.

PETER CURLEY et al., Appellants, and STATE OF NEW YORK, Intervenor-Appellant, v BATTERY PARK CITY AUTHORITY, Respondent.

Argued and submitted October 17, 2017; decided November 21, 2017

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Before New York State’s capacity-to-sue doctrine may be applied to determine whether a State-created public benefit corporation has the capacity to challenge a State statute, must it first be determined whether the public benefit corporation ‘should be treated like the State,’ *see Clark-Fitzpatrick, Inc. v. Long Island R.R. Co.*, 516 N.E.2d 190, 192 (N.Y. 1987), based on a ‘particularized inquiry into the nature of the instrumentality and the statute claimed to be applicable to it,’ *see John Grace & Co. v. State Univ. Constr. Fund*, 375 N.E.2d 377, 379 (N.Y. 1978), and if so, what considerations are relevant to that inquiry?; and (2) Does the ‘serious injustice’ standard articulated in *Gallewski v. H. Hentz & Co.*, 93 N.E.2d 620 (N.Y. 1950), or the less stringent ‘reasonableness’ standard articulated in *Robinson v. Robins Dry Dock & Repair Co.*, 144 N.E. 579 (N.Y. 1924), govern the merits of a due process challenge under the New York State Constitution to a claim-revival statute?” The second certified question was reformulated by the New York State Court of Appeals to read: “Under *Robinson* and *Gallewski*, what standard of review governs the merits of a New York State Due Process Clause challenge to a claim-revival statute?”

HEADNOTES**Parties — Capacity to Sue — Public Benefit Corporations**

1. New York's general rule that state entities lack capacity to challenge the constitutionality of a state statute applies to public benefit corporations, and courts need not engage in a "particularized inquiry" to determine whether a particular public benefit corporation should first be treated like the State. Entities created by legislative enactment have neither an inherent nor a common-law right to sue. Rather, their right to sue, if it exists at all, must be derived from the relevant enabling legislation or some other concrete statutory predicate. Municipal corporate bodies are merely subdivisions of the State, created by the State for the convenient carrying out of the State's governmental powers and responsibilities as agents. The capacity rule reflects the manifest improbability that the legislature would breathe constitutional rights into a public entity and then equip it with authority to police state legislation on the basis of those rights. It also reflects sound principles of judicial restraint, the extreme reluctance of courts to intrude in the political relationships between the legislature, the State and its governmental subdivisions. Although public benefit corporations have been described as enjoying an existence separate and apart from the State, its agencies and political subdivisions, those properties do not bring public benefit corporations outside of the scope of the capacity rule. The features that arguably render public benefit corporations something more than mere subdivisions, such as the separation of their administrative and fiscal functions from the State, do not diminish the considerations supporting the rule.

Statutes — Validity of Statute — Claim-Revival Statutes — Due Process

2. A claim-revival statute will satisfy the Due Process Clause of the New York State Constitution (NY Const, art I, § 6) if it was enacted as a reasonable response in order to remedy an injustice. A more heightened standard would be too strict. In the context of a claim-revival statute, there is no principled way for a court to test whether a particular injustice is "serious" or whether a particular class of plaintiffs is blameless; such moral determinations are left to the elected branches of government. While the Court of Appeals has traditionally expressed an aversion to retroactive legislation, of which claim-revival statutes are one species, modern cases reflect a less rigid view of the legislature's right to pass such legislation. Nonetheless, there must first be a judicial determination that the revival statute was a reasonable measure to address an injustice.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Constitutional Law §§ 149, 390; AM JUR 2d Municipal Corporations, Counties, and Other Political Subdivisions §§ 731, 733, 736; AM JUR 2d Parties §§ 26, 345–346, 368.

CARMODY-WAIT 2d Limitation of Actions §§ 13:6, 13:8–13:9; CARMODY-WAIT 2d Parties §§ 19:3, 19:13; CARMODY-WAIT 2d Actions By and Against Public Bodies and Public Officers §§ 144:1, 144:4, 144:7.

McKINNEY'S, NY Const, art I, § 6.

NY JUR 2d Constitutional Law §§ 52, 57; NY JUR 2d Declaratory Judgments and Agreed Case §§ 186–187; NY JUR 2d Limitations and Laches §§ 9, 11–12; NY JUR 2d Parties §§ 7–9.

SIEGEL, NY PRAC §§ 38, 187.

ANNOTATION REFERENCES

Power of legislature to revive a right of action barred by limitation or to revive an action which has abated by lapse of time. 133 ALR 384.

Interest necessary to maintenance of declaratory determination of validity of statute or ordinance. 174 ALR 549.

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POINTS OF COUNSEL

Gregory J. Cannata & Associates, LLP, New York City (*Gregory J. Cannata* of counsel), and *Robert A. Grochow, P.C.*, for Stanislaw Faltynowicz and others, appellants. Jimmy Nolan's Law (L 2009, ch 440, codified at General Municipal Law § 50-i [4]) does not violate Battery Park City Authority's due process rights under the New York State Constitution. (*Robinson v Robins Dry Dock & Repair Co.*, 238 NY 271; *Gallewski v Hentz & Co.*, 301 NY 164; *Matter of McCann v Walsh Constr. Co.*, 282 App Div 444, 306 NY 904; *Hymowitz v Eli Lilly & Co.*, 73 NY2d 487; *Barrett v Wojtowicz*, 66 AD2d 604.)

Eric T. Schneiderman, Attorney General, New York City (*Andrew W. Amend, Barbara D. Underwood, Steven C. Wu* and *Eric Del Pozo* of counsel), for intervenor-appellant. I. A New York public benefit corporation cannot assert a state due process challenge to a law that defines its powers and responsibilities. (*Matter of Ruffino v Rosen & Sons*, 142 AD2d 177, 74 NY2d 861; *Black Riv. Regulating Dist. v Adirondack League Club*, 307 NY 475; *Ruotolo v State of New York*, 83 NY2d 248; *Bernardine v City of New York*, 294 NY 361; *Trenton v New Jersey*, 262 US 182; *City of New York v State of New York*, 86 NY2d 286; *Matter of County of Cayuga v McHugh*, 4 NY2d 609; *Matter of County of Chemung v Shah*, 28 NY3d 244; *Village of Herkimer v Axelrod*, 58 NY2d 1069; *Matter of Jeter v Ellenville Cent. School Dist.*, 41 NY2d 283.) II. A claim-revival statute

satisfies New York's Due Process Clause if it has a reasonable justification, as Jimmy Nolan's Law (L 2009, ch 440, codified at General Municipal Law § 50-i [4]) does. (*Robinson v Robins Dry Dock & Repair Co.*, 238 NY 271; *Brothers v Florence*, 95 NY2d 290; *Chase Securities Corp. v Donaldson*, 325 US 304; *Gallewski v Hentz & Co.*, 301 NY 164; *Hymowitz v Eli Lilly & Co.*, 73 NY2d 487; *Ruotolo v State of New York*, 83 NY2d 248; *Jackson v State of New York*, 261 NY 134; *Wrought Iron Bridge Co. of Canton, Stark County, Ohio v Town of Attica*, 119 NY 204; *Schiavone v City of New York*, 92 NY2d 308; *Turner v New York City Tr. Auth.*, 257 AD2d 421.)

Boies Schiller Flexner LLP, New York City (*Luke Nikas* and *Nathan A. Holcomb* of counsel), and *Napoli Shkolnik PLLC*, New York City (*Paul J. Napoli* and *Christopher R. LoPalo* of counsel), for Santiago Alvear and others, appellants. I. The Court should hold that public benefit corporations lack the capacity to challenge a state statute. (*Black Riv. Regulating Dist. v Adirondack League Club*, 307 NY 475; *City of New York v State of New York*, 86 NY2d 286; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *John Grace & Co. v State Univ. Constr. Fund*, 44 NY2d 84.) II. This Court should reaffirm its decision in *Robinson v Robins Dry Dock & Repair Co.* (238 NY 271 [1924]), and hold that its "reasonableness" standard governs the merits of a due process challenge to a claim-revival statute under the New York State Constitution. (*Gallewski v Hentz & Co.*, 301 NY 164; *Hymowitz v Eli Lilly & Co.*, 73 NY2d 487.)

Daniel S. Connolly, New York City, and *Wilson Elser Moskowitz Edelman & Dicker, LLP*, White Plains (*John M. Flannery* and *Eliza M. Scheibel* of counsel), for respondents. I. Battery Park City Authority has capacity to challenge Jimmy Nolan's Law (L 2009, ch 440, codified at General Municipal Law § 50-i [4]) on due process grounds. (*John Grace & Co. v State Univ. Constr. Fund*, 44 NY2d 84; *Schulz v State of New York*, 84 NY2d 231; *Matter of Plumbing, Heating, Piping & A.C. Contrs. Assn. v New York State Thruway Auth.*, 5 NY2d 420; *Collins v Manhattan & Bronx Surface Tr. Operating Auth.*, 62 NY2d 361; *Bordeleau v State of New York*, 18 NY3d 305; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *People v Miller*, 70 NY2d 903; *Matter of New York Post Corp. v Moses*, 10 NY2d 199; *Matter of Dormitory Auth. of State of N.Y. [Span Elec. Corp.]*, 18 NY2d 114; *Capital Dist. Regional Off-Track Betting Corp. v Levitt*, 65 AD2d 842.) II. Regardless of whether

a “serious injustice” or “reasonableness” standard is applied, Jimmy Nolan’s Law (L 2009, ch 440, codified at General Municipal Law § 50-i [4]) is unconstitutional as applied to Battery Park City Authority. (*Hopkins v Lincoln Trust Co.*, 233 NY 213; *Gallewski v Hentz & Co.*, 301 NY 164; *Robinson v Robins Dry Dock & Repair Co.*, 238 NY 271; *Matter of McCann v Walsh Constr. Co.*, 282 App Div 444, 306 NY 904; *Hymowitz v Eli Lilly & Co.*, 73 NY2d 487; *Barrett v Wojtowicz*, 66 AD2d 604; *Methodist Hosp. of Brooklyn v State Ins. Fund*, 64 NY2d 365; *Ruotolo v State of New York*, 83 NY2d 248; *Jackson v State of New York*, 261 NY 134; *Santangelo v State of New York*, 193 AD2d 25.)

OPINION OF THE COURT

FEINMAN, J.

This matter comes to us from an order of the United States Court of Appeals for the Second Circuit certifying the following questions pursuant to rule 500.27 of this Court (Rules of Ct of Appeals [22 NYCRR] § 500.27):

“(1) Before New York State’s capacity-to-sue doctrine may be applied to determine whether a State-created public benefit corporation has the capacity to challenge a State statute, must it first be determined whether the public benefit corporation ‘should be treated like the State,’ [(*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 387 [1987])], based on a ‘particularized inquiry into the nature of the instrumentality and the statute claimed to be applicable to it,’ [(*John Grace & Co. v State Univ. Constr. Fund*, 44 NY2d 84, 88 [1978])], and if so, what considerations are relevant to that inquiry?; and

“(2) Does the ‘serious injustice’ standard articulated in [*Gallewski v Hentz & Co.* (301 NY 164, 174 [1950])], or the less stringent ‘reasonableness’ standard articulated in [*Robinson v Robins Dry Dock & Repair Co.* (238 NY 271 [1924])], govern the merits of a due process challenge under the New York State Constitution to a claim-revival statute?” (*In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 846 F3d 58, 70 [2d Cir 2017].)

We accepted the certified questions on February 9, 2017 (*see* 28 NY3d 1159 [2017]).

I.

Plaintiffs in the consolidated appeal before the Second Circuit are workers who participated in cleanup operations in New York City following the September 11, 2001 terrorist attacks. The defendant is Battery Park City Authority (BPCA). BPCA was established by the State Legislature as a public benefit corporation to redevelop blighted areas in lower Manhattan and to expand the supply of safe and sanitary housing for low-income families (*see* Public Authorities Law §§ 1971, 1973 [1]). Plaintiffs initially brought claims between 2006 and 2009 alleging that they developed a host of illnesses as a result of their exposure to harmful toxins at BPCA-owned properties in the course of their cleanup duties.¹ However, in July 2009, the District Court dismissed plaintiffs' claims, together with hundreds of other similar claims against BPCA, on the grounds that the plaintiffs did not serve BPCA with timely notices of claim (*see* General Municipal Law § 50-e; Public Authorities Law § 1984).

The legislature responded to these dismissals by enacting Jimmy Nolan's Law, which became effective September 16, 2009 (*see* L 2009, ch 440). The law amended the General Municipal Law to provide, in relevant part:

“Notwithstanding any other provision of law to the contrary, including . . . section fifty-e of this article . . . any cause of action against a public corporation for personal injuries suffered by a participant in World Trade Center rescue, recovery or cleanup operations as a result of such participation which is barred as of the effective date of this subdivision because the applicable period of limitation has expired is hereby revived, and a claim thereon may be filed and served and prosecuted provided such claim is filed and served within one year of the effective date of this subdivision” (General Municipal Law § 50-i [4] [a], as added by L 2009, ch 440, § 2).

The effect of the law was to revive the plaintiffs' time-barred causes of action for one year after its enactment.

1. Though asserted in Federal District Court, New York law furnished the substantive law governing these claims (*see* Air Transportation Safety and System Stabilization Act, Pub L 107-42, § 408 [b] [2], 115 US Stat 241 [Sept. 22, 2001]; *In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 846 F3d at 62 n 2).

Many of the 9/11 cleanup workers whose claims had previously been dismissed, including plaintiffs, served new notices of claim on BPCA within the one-year revival period prescribed by Jimmy Nolan's Law. BPCA moved for summary judgment on the grounds that Jimmy Nolan's Law was unconstitutional under the Due Process Clause of the State Constitution (*see* NY Const, art I, § 6). Upon due notice, the Attorney General intervened to defend the constitutionality of the law.

The District Court granted summary judgment in favor of BPCA and held that Jimmy Nolan's Law was unconstitutional as applied (*see In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 66 F Supp 3d 466 [SD NY 2014]). As a threshold matter, the court recognized our "traditional rule that 'municipalities and other local governmental corporate entities and their officers lack capacity to mount constitutional challenges to acts of the State and State legislation'" (*id.* at 471, quoting *City of New York v State of New York*, 86 NY2d 286, 289 [1995]). Nevertheless, the court cited a line of cases stating that "a 'particularized inquiry is necessary to determine whether—for the specific purpose at issue—the public benefit corporation should be treated like the State'" (*id.*, quoting *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 387 [1987]) and concluded that "BPCA is an entity independent of the State and has capacity to challenge the constitutionality of the Legislature's acts" (*id.* at 473). On the merits, the court found the law unconstitutional on the grounds that it was not passed in response to "exceptional" circumstances or a "serious injustice" (*id.* at 476, citing *Gallewski v Hentz & Co.*, 301 NY 164 [1950]).

Plaintiffs appealed to the Second Circuit. After discerning an "absence of authoritative guidance" on both the capacity issue and the proper standard of review in evaluating the constitutionality of claim-revival statutes (846 F3d at 69), the Second Circuit certified the questions set out above.

II.

The first question essentially asks us to decide whether our general rule—that state entities lack capacity to challenge the constitutionality of a state statute—is any less applicable to public benefit corporations than it is to other types of governmental entities, such as municipalities. We hold that it is not, and that no "particularized inquiry" is necessary to determine whether public benefit corporations should be treated like the State for purposes of capacity.

A.

[1] Capacity “concerns a litigant’s power to appear and bring its grievance before the court” (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148, 155 [1994]). Entities created by legislative enactment, such as the BPCA, “have neither an inherent nor a common-law right to sue” (*id.* at 155-156). “Rather, their right to sue, if it exists at all, must be derived from the relevant enabling legislation or some other concrete statutory predicate” (*id.* at 156). Capacity should not be confused with standing, which relates to whether a party has suffered an “injury in fact” conferring a “concrete interest in prosecuting the action” (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 772-773 [1991]), and which “go[es] to the jurisdiction of the court” (*City of New York*, 86 NY2d at 292). Capacity, unlike standing, does not concern the injury a party suffered, but whether the legislature invested that party with authority to seek relief in court. As such, capacity is a question of legislative intent and substantive state law.

Generally, “municipalities and other local governmental corporate entities and their officers lack capacity to mount constitutional challenges to acts of the State and State legislation” (*id.* at 289). During the more than 80 years predating our *City of New York* decision, our courts characterized this prohibition somewhat inconsistently, referring to it, at various times (and sometimes simultaneously), as a lack of capacity (*see County of Albany v Hooker*, 204 NY 1 [1912]), a lack of standing (*see Village of Herkimer v Axelrod*, 58 NY2d 1069 [1983]; *Black Riv. Regulating Dist. v Adirondack League Club*, 307 NY 475, 489 [1954]; *Matter of Town of Moreau v County of Saratoga*, 142 AD2d 864 [3d Dept 1988]; *City of Buffalo v State Bd. of Equalization & Assessment*, 26 AD2d 213 [3d Dept 1966]) or a substantive determination that the state acts complained of were not unconstitutional at all (*see Matter of County of Cayuga v McHugh*, 4 NY2d 609, 616 [1958]; *Black Riv.*, 307 NY at 489-490; *Matter of Bowen v State Commn. of Correction*, 104 AD2d 238 [3d Dept 1984]; *City of Utica v County of Oneida*, 187 Misc 960, 965-966 [Sup Ct, Oneida County 1946], *appeal dismissed* 70 NYS2d 582 [4th Dept 1947]). However, in *City of New York* (86 NY2d 286), we definitively stated the rule in terms of capacity, as opposed to standing or substantive constitutional law. It has remained a capacity rule ever since (*see Matter of County of Chemung v Shah*, 28 NY3d 244, 262 [2016]; *Matter of County of Nassau v State of New York*, 100 AD3d 1052 [3d Dept 2012],

lv dismissed and denied 20 NY3d 1092 [2013]; *Matter of New York Blue Line Council, Inc. v Adirondack Park Agency*, 86 AD3d 756, 758-759 [3d Dept 2011], *lv denied sub nom. Matter of Clinton County v Adirondack Park Agency*, 18 NY3d 806 [2012]; *Gulotta v State of New York*, 228 AD2d 555 [2d Dept 1996], *appeal dismissed* 88 NY2d 1053 [1996], *lv denied* 89 NY2d 811 [1997]).²

In *City of New York*, we rejected claims by the City of New York, Board of Education of the City, Mayor and Chancellor of the City School District that the State’s statutory scheme for funding public education denied school children their constitutional rights under the Education Article of the State Constitution, the Equal Protection Clauses of the Federal and State Constitutions and title VI of the Civil Rights Act of 1964 (*see City of New York*, 86 NY2d at 289). We observed that “municipal corporate bodies . . . are merely subdivisions of the State, created by the State for the convenient carrying out of the State’s governmental powers and responsibilities as agents” and held that the municipal plaintiffs therefore lacked capacity to bring their claims (*id.* at 289-290).

Our capacity rule reflects a self-evident proposition about legislative intent: the “manifest improbability” (*id.* at 293) that the legislature would breathe constitutional rights into a public entity and then equip it with authority to police state legislation on the basis of those rights. It also reflects sound principles of judicial restraint, “the extreme reluctance of courts to intrude in the political relationships between the Legislature, the State and its governmental subdivisions” (*id.* at 296). “[T]he Legislature, within constitutional limitations, may by legislative fiat diminish, modify or recall any power delegated” to its political subdivisions (*Matter of County of Cayuga v McHugh*, 4 NY2d 609, 614-615 [1958]). “[T]he entire subject being one of governmental and public policy, . . . the wrong, if any, created and existing by the acts of the legislature, must be corrected by the legislature, or by an action where the people, as distinguished from a municipal corporate body, are before the court” (*City of New York*, 86 NY2d at 294, quoting *Hooker*, 204 NY at 18-19). Hence, with few exceptions, this capacity bar closes the courthouse doors to internal political disputes between the State and its subdivisions.

2. In line with these precedents, all parties agree that the relevant bar to BPCA’s challenge to Jimmy Nolan’s Law, if it exists at all, is a capacity bar. None of the parties have asked us to reconfigure the rule as one of standing.

The capacity rule is not absolute. A political subdivision with “express statutory authorization” to bring a constitutional challenge would not be found wanting in capacity (*id.* at 291; *accord Hooker*, 204 NY at 9), though a generic grant of authority to “sue or be sued” will be insufficient (*City of New York*, 86 NY2d at 293).³ Even in the absence of explicit authority, the assertion of some constitutional rights may, by their nature, present special circumstances to which the general rule must yield (*see id.* at 291-292). To date, we have identified a limited number of situations presenting such special circumstances, such as where a public entity is “vested with an entitlement to a specific fund by a statute” and the challenged statute adversely affects its interest in the fund (*Matter of Town of Moreau*, 142 AD2d at 865; *accord City of New York*, 86 NY2d at 291-292; *County of Rensselaer v Regan*, 173 AD2d 37 [3d Dept 1991], *affd* 80 NY2d 988 [1992]), where a state statute impinges on a municipality’s home rule powers under the State Constitution (*see Town of Black Brook v State of New York*, 41 NY2d 486 [1977]), or where a public entity asserts that if it is obliged to comply with a statute it “will by that very compliance be forced to violate a constitutional proscription” (*City of New York*, 86 NY2d at 292, quoting *Matter of Jeter v Ellenville Cent. School Dist.*, 41 NY2d 283, 287 [1977]).⁴

3. We disagree with the assertion in Judge Wilson’s concurrence that capacity is a “binary,” all-or-nothing proposition (Wilson, J., concurring op at 406). To the contrary, we have recognized that “[c]apacity is examined with a view towards the relief sought” (*Excess Line Assn. of N.Y. [ELANY] v Waldorf & Assoc.*, 30 NY3d 119, 123 [2017]), which means that the same party may have capacity to bring one kind of claim but not another (*see Matter of Graziano v County of Albany*, 3 NY3d 475, 479-481 [2004]; *Silver v Pataki*, 96 NY2d 532, 537-538 [2001]).

4. Our capacity rule is ultimately derived from a line of analogous federal cases sometimes referred to as the “Hunter cases” (*see Hunter v Pittsburgh*, 207 US 161 [1907]; *see also Williams v Mayor of Baltimore*, 289 US 36 [1933]; *Trenton v New Jersey*, 262 US 182 [1923]). Other state and federal courts, including the Supreme Court of the United States, have identified some possible additional exceptions to the Hunter cases (*see e.g. Gomillion v Lightfoot*, 364 US 339, 342-345 [1960] [equal protection challenges to race-based redistricting]; *Branson Sch. Dist. RE-82 v Romer*, 161 F3d 619, 628-629 [10th Cir 1998] [Supremacy Clause challenge], *cert denied* 526 US 1068 [1999]; *Rogers v Brockette*, 588 F2d 1057, 1067-1071 [5th Cir 1979] [Supremacy Clause challenge]; *Star-Kist Foods, Inc. v County of Los Angeles*, 42 Cal 3d 1, 719 P2d 987 [1986 in bank] [Dormant Commerce Clause challenge], *cert denied* 480 US 930 [1987]; *but see Indian Oasis-Baboquivari Unified Sch. Dist. No. 40 of Pima County, Ariz. v Kirk*, 91 F3d 1240, 1242-1243 [9th Cir 1996] [rejecting Supremacy Clause challenge], *appeal dismissed* 109 F3d 634

(n. cont’d)

We stress that the exceptions we have recognized to date are narrow. Under the general rule, we have barred public entities from challenging a wide variety of state actions, such as, e.g., the allocation of state funds amongst various localities (see *City of New York*, 86 NY2d 286; *Hooker*, 204 NY 1), the modification of a village-operated hospital's operating certificate (see *Village of Herkimer*, 58 NY2d 1069), the closure of a local jail by the State (see *Matter of County of Cayuga*, 4 NY2d at 616), special exemptions from local real estate tax assessments (see *City of Buffalo*, 26 AD2d 213), laws mandating that counties make certain expenditures (see *Gulotta*, 228 AD2d 555), state land use regulations (see *New York Blue Line Council*, 86 AD3d at 758-759) and state laws requiring electronic voting systems to be installed at polling places in lieu of lever-operated machines (see *County of Nassau*, 100 AD3d 1052).

B.

BPCA contends that public benefit corporations like itself are not fully governmental in nature. Therefore, BPCA argues, a court must conduct a "particularized inquiry" (*John Grace & Co. v State Univ. Constr. Fund*, 44 NY2d 84, 88 [1978]) to determine whether a particular public benefit corporation should be treated like the State before the capacity rule can be applied. For the reasons that follow, we disagree.

There are three types of public corporations: municipal corporations, district corporations and public benefit corporations (see General Construction Law § 65 [b]). A public benefit corporation is "a corporation organized to construct or operate a public improvement wholly or partly within the state, the profits from which inure to the benefit of this or other states, or to the people thereof" (*id.* § 66 [4]). Devised in the early twentieth century as "a new vehicle for funding public works projects" that "insulate[d] the State from the burden of long-term debt" (*Schulz v State of New York*, 84 NY2d 231, 244 [1994]), public benefit corporations are able to issue debt for which the State itself is not liable (see NY Const, art X, § 5). In addition, "[a]lthough created by the State and subject to dissolution by the State, these public corporations are independent and autonomous, deliberately designed to be able to function with a freedom and flexibility not permitted to an ordinary

[9th Cir 1997 en banc]). We have not yet considered whether analogous exceptions exist for purposes of New York's capacity rule. In any event, they are not relevant here.

State board, department or commission” (*Matter of Plumbing, Heating, Piping & A.C. Contrs. Assn. v New York State Thruway Auth.*, 5 NY2d 420, 423 [1959]). We have therefore understood the primary utility of public benefit corporations as twofold: to “protect the State from liability” and to “enable public projects to be carried on free from restrictions otherwise applicable” (*id.* at 423). In this context, we have sometimes described public benefit corporations as “enjoying an existence separate and apart from the State, its agencies and political subdivisions” (*Schulz*, 84 NY2d at 246 n 4 [collecting cases]).

These properties, however, do not bring public benefit corporations outside of the scope of our capacity rule. It is true that much of our analysis in *City of New York* rested on the “historical fact” that municipalities are “mere[] subdivisions” having no “right to contest the actions of their principal or creator” (*City of New York*, 86 NY2d at 289-291). However, our capacity rule is not a stilted axiom governing the position of the parts to the whole, or the relationship between the State as principal and its subdivisions as agents. Rather, as discussed above, it is nothing more than a commonsense presumption of legislative intent, informed by practical concerns about judicial overreach. The features that arguably render public benefit corporations something more than mere subdivisions, namely, the separation of “their administrative and fiscal functions from the State” (*Collins v Manhattan & Bronx Surface Tr. Operating Auth.*, 62 NY2d 361, 368 [1984]), do not diminish the considerations we have already mentioned that support this rule.

BPCA cites to a line of cases from this Court rejecting a *per se* rule that public benefit corporations are identified with the State. In those cases, we held that “[t]he mere fact that” a public benefit corporation

“is an instrumentality of the State, and as such, engages in operations which are fundamentally governmental in nature does not inflexibly mandate a conclusion that it is the State or one of its agencies . . . Instead, a particularized inquiry into the nature of the instrumentality and the statute claimed to be applicable to it is required” (*John Grace & Co.*, 44 NY2d at 88).

Under the particular circumstances presented in those cases, we held that a public benefit corporation would be treated like the State for purposes of immunity from punitive damages (see *Clark-Fitzpatrick, Inc.*, 70 NY2d 382), but not for purposes of contract bidding requirements under the State Finance Law (see *Matter of Plumbing, Heating, Piping & A.C. Contrs. Assn.*, 5 NY2d 420), sovereign immunity (*Matter of Dormitory Auth. of State of N.Y. [Span Elec. Corp.]*, 18 NY2d 114 [1966]), statutes providing for equitable relief to certain public contractors (see *John Grace & Co.*, 44 NY2d 84) or a provision of the Penal Law punishing the submission of false instruments to the State (see *People v Miller*, 70 NY2d 903 [1987]).

However, applying this line of cases here would strip them of their context. The issue in each of these cases was whether a statute or common-law rule defining the State's rights or responsibilities vis-à-vis private parties could be extended to a public benefit corporation. Given the primary function of a public benefit corporation "to resemble in many respects a private business corporation . . . as a means of expanding government operations into areas generally carried on by private enterprise" (*Collins*, 62 NY2d at 368, 371 [internal quotation marks omitted]), we understood that a public benefit corporation's *outward-facing* relations with private parties—such as employees, customers and other business counterparts—would not necessarily be subject to the same laws that might apply when one does business with the government. Hence, in most of these cases, our overriding aim was to give maximum effect to the legislature's intent; we closely analyzed the public benefit corporation's enabling act, or the statute claimed to be applicable to it, in order to determine whether the corporation was intended to assume the guise of a private person in its legal relations with the general public (see *Clark-Fitzpatrick, Inc.*, 70 NY2d at 386-388; *John Grace & Co.*, 44 NY2d at 89; *Matter of Dormitory Auth.*, 18 NY2d at 117-118; *Matter of Plumbing, Heating, Piping & A.C. Contrs. Assn.*, 5 NY2d at 423-424). As for *Miller*, we were specifically concerned that the statute at issue, if made applicable to statements given to public benefit corporations, could impose criminal penalties without "fair warning" to the public (70 NY2d at 907, citing *People v Nelson*, 69 NY2d 302 [1987]). None of the foregoing considerations apply where, as here, a court is called

upon to evaluate a public benefit corporation's *inward-facing* relations with other state bodies.⁵

C.

The parties dispute the significance of two particular cases for our decision today. Plaintiffs and the Attorney General contend that this case falls within our ruling in *Black Riv. Regulating Dist. v Adirondack League Club* (307 NY 475 [1954]), where we held that the plaintiff, a river regulating district, could not maintain an action seeking a declaration that an act of the legislature was unconstitutional. By contrast, BPCA argues that our holding in *Patterson v Carey* (41 NY2d 714 [1977]) implicitly recognized that public corporations, under some circumstances, had capacity to bring such actions.

We agree with the plaintiffs and the Attorney General that our holding in *Black Riv.* precludes BPCA's proposed particularized inquiry approach. In that case, the Black River Regulating District (the District), a public corporation, sought a declaration that the Stokes Act (L 1950, ch 803), which prohibited "any river regulating board" from constructing certain reservoirs, was unconstitutional (*Black Riv.*, 307 NY at 483-485). We rejected the District's attempted challenge. We observed that the District's "only purpose," to construct reservoirs, was "a State purpose" and the District therefore had "no special character different from that of the State" (*id.* at 489). We also noted that the powers of the District to carry out these state purposes "are within the State's absolute discretion" to alter, impair or destroy (*id.* at 487). "[P]olitical power conferred by the Legislature," we explained, "confers no vested right against the government itself. . . . [T]he power conferred by the Legislature is akin to that of a public trust [and may] be exercised not for the benefit or at the will of the trustee but for the common good" (*id.* at 488).

5. BPCA argues that this case, too, involves a public benefit corporation's relationship with private third parties—the plaintiffs—and therefore falls within the "particularized inquiry" line of cases. This argument is unavailing. We are not distinguishing the "particularized inquiry" cases on the grounds that they only involved disputes between public benefit corporations and private parties—clearly, not all of them did (*see e.g. Miller*, 70 NY2d 903). Rather, the distinction is that, in those cases, the right, privilege or duty of the State claimed to be applicable to the public benefit corporation was one that regulated the State's legal relations with private parties, as opposed to a rule, such as our capacity rule, that only governs intrastate relations.

The District also argued that it could sue in order to vindicate the rights of its bondholders, whose bonds, it claimed, would be impaired if the Stokes Act were not struck down (*see Black Riv. Regulating Dist. v Adirondack League Club*, 282 App Div 161, 168-170 [4th Dept 1953], *revd* 307 NY 475 [1954]). We rejected this contention; the mere fact that the District could issue certificates of indebtedness, we held, “does not confer upon [the District] an independent status by which they have standing . . . to test the validity of the Stokes Act” (*Black Riv.*, 307 NY at 489).

The precise holding in *Black Riv.*, as we phrased it at the time, was that the plaintiffs lacked “standing” (or “status”) to seek a declaration that the Stokes Act was unconstitutional (*id.* at 489-490).⁶ However, it is clear that there was no real issue of “standing” in that case; the defendant was a private landowner subject to a condemnation proceeding by the District, a proceeding that would have been unlawful unless the District obtained the declaration it sought that the Stokes Act was unconstitutional (*see Black Riv. Regulating Dist. v Adirondack League Club*, 201 Misc 808, 811 [Sup Ct, Oneida County 1952], *revd* 282 App Div 161 [1953], *revd* 307 NY 475 [1954]). Rather, in holding that the District did not have “status” to sue (*Black Riv.*, 307 NY at 490), the Court was contemplating what we now recognize as capacity rather than standing (*see City of New York*, 86 NY2d at 291, citing *Black Riv.*, 307 NY 475).

We find unpersuasive BPCA’s attempt to distinguish *Black Riv.* BPCA argues that the District was only established as a “public corporation,” not a “public benefit corporation.” The Special Term in *Black Riv.* described the District’s enabling statute as follows:

“Section 431 provides that bodies corporate may be created ‘to construct, maintain and operate reservoirs within such districts, subject to the provisions of this act, for the purpose of regulating the flow of streams, when required by the public welfare, including public health and safety. Such river regulating districts are declared to be public corporations and shall have perpetual existence and the power to acquire and hold such real estate

6. Separately, the Court held that the law was constitutional on the merits (*see id.*).

and other property as may be necessary, to sue and be sued, to incur contract liabilities, to exercise the right of eminent domain and of assessment and taxation and to do all acts and exercise all powers authorized by and subject to the provision of this article. Such powers shall be exercised by and in the name of the board of the district' " (*Black Riv.*, 201 Misc at 813).

Therefore, it is clear that the District, in substance, if not in form, was a public benefit corporation (*see* General Construction Law § 66 [4]; *see also* *Northern Elec. Power Co., L.P. v Hudson Riv.-Black Riv. Regulating Dist.*, 122 AD3d 1185, 1186 [3d Dept 2014] [describing the Black River Regulating District as a "public benefit corporation"]). We note that the District would not qualify as either a municipal corporation or a district corporation (*see* General Construction Law § 66 [2], [3]), the only other types of public corporations (*see id.* § 65 [b]).

BPCA argues that, even if *Black Riv.* involved a public benefit corporation, our analysis was consistent with BPCA's proposed "particularized inquiry" test. According to this argument, the Court conducted such a particularized inquiry when it specifically identified the District's purposes "to construct reservoirs" as "a State purpose" (307 NY at 489). Although the District lacked power to sue in that particular case, BPCA argues that this does not necessarily foreclose challenges by other public benefit corporations with different purposes and under different circumstances. We do not read *Black Riv.* so narrowly. There was nothing special about reservoir construction that compelled us to rule as we did; rather, it was enough that the District's *raison d'être* was to carry out its activities "for the common good" (*id.* at 488). BPCA's attempt to harmonize its approach with *Black Riv.* fails because our description of the District's purposes in that case would apply with equal force to any other public benefit corporation, for the "true beneficiary" of any New York public benefit corporation is the State of New York and its people (*Matter of New York Post Corp. v Moses*, 10 NY2d 199, 204 [1961]).

BPCA's reliance on *Patterson* (41 NY2d 714) is misplaced. In that case, we considered an action by the members of the Board of the Jones Beach State Parkway Authority and the institutional trustee for the Authority's bondholders for a judgment declaring a state statute unconstitutional. However, as relevant here, we said only that "[w]e do agree with the Special

Term . . . that the governmental plaintiffs, as well as the institutional representative of the bondholders, have sufficient standing to maintain this action” (*id.* at 719 n). The Special Term’s ruling, in turn, suggests that the issue in *Patterson* (unlike in *Black Riv.*) was standing as traditionally defined, rather than capacity (*see Patterson v Carey*, 83 Misc 2d 372, 376 [Sup Ct, Albany County 1975] [“The individual plaintiffs as members of the Authority have the requisite standing to obtain a declaratory judgment . . . There can be no doubt that plaintiffs have a ‘personal stake in the outcome’ of this litigation” (citing *Board of Educ. of Cent. School Dist. No. 1 v Allen*, 20 NY2d 109 [1967], *affd* 392 US 236 [1968]; *Baker v Carr*, 369 US 186 [1962])], *affd* 52 AD2d 171 [3d Dept 1976], *affd as mod* 41 NY2d 714 [1977]).⁷

D.

We therefore hold that, under the capacity rule, public benefit corporations have no greater stature to challenge the constitutionality of state statutes than do municipal corporations or other local governmental entities. Of course, our holding today does not mean that public benefit corporations can never raise such constitutional challenges; like municipalities, they may avail themselves of an exception to the general rule (*see City of New York*, 86 NY2d at 291-292). However, courts need not engage in a “particularized inquiry” to determine whether a public benefit corporation should first be treated like the State. Unlike in other contexts, for purposes of our capacity bar, every public benefit corporation is the State.

III.

The second question, as originally certified, asks which of two purportedly inconsistent standards of review—the “reasonable[ness]” standard adopted in *Robinson v Robins Dry Dock & Repair Co.* (238 NY 271, 280 [1924]) or the “serious injustice” standard adopted in *Gallewski v Hentz & Co.* (301 NY 164, 174 [1950])—governs the constitutionality of a claim-revival statute under the Due Process Clause of the New York Constitution.

7. The Special Term appeared to be relying on the United States Supreme Court’s suggestion in *Allen*, on writ of certiorari from this Court, that local public officials who took an oath to support the United States Constitution had a “personal stake in the outcome” of the litigation (*Allen*, 392 US at 241 n 5), thus satisfying the standing requirements articulated in *Baker* (*see Baker*, 369 US at 204).

We do not read these cases to be in substantial disagreement; however, this case presents an opportunity for this Court to reconcile them and articulate a uniform standard of review. Therefore, in accordance with the certification of the Second Circuit (see *In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 846 F3d at 70 [“we do not bind the Court of Appeals to the particular questions stated”]), we reformulate the second certified question as follows: “Under *Robinson* and *Gallewski*, what standard of review governs the merits of a New York State Due Process Clause challenge to a claim-revival statute?”

A.

At the outset, we note that the development of our law on claim-revival statutes has differed from the development of the federal rule.

Claim-revival statutes generally pose no issue under the Fourteenth Amendment to the United States Constitution (see *Plaut v Spendthrift Farm, Inc.*, 514 US 211, 229 [1995] [statutes of limitations “can be extended, without violating the Due Process Clause, after the cause of the action arose and even after the statute itself has expired”]). The United States Supreme Court articulated the rule in *Chase Securities Corp. v Donaldson*:

“[W]here lapse of time has not invested a party with title to real or personal property, a state legislature, consistently with the Fourteenth Amendment, may repeal or extend a statute of limitations, even after right of action is barred thereby, restore to the plaintiff his remedy, and divest the defendant of the statutory bar” (325 US 304, 311-312 [1945]).

Unlike the federal rule, our state standard has not turned on this formal distinction between claim-revival statutes that intrude upon a “vested” property interest and those that do not. Rather, as we illustrate below, our cases have taken a more functionalist approach, weighing the defendant’s interests in the availability of a statute of limitations defense with the need to correct an injustice. Each time we have spoken on this topic, we described circumstances that would be sufficient for a claim-revival statute to satisfy the State Due Process Clause,

with specific reference to the facts then before us. Each of these cases merits our close attention.⁸

B.

The first case in which we directly addressed the constitutionality of a claim-revival statute was *Robinson* (238 NY 271), where a plaintiff brought a wrongful death action against defendants for the death of her husband. At the time, there was a two-year statute of limitations for such actions; the action was brought in December 1920, more than two years after the victim's death. During the two years following her husband's death, the plaintiff applied for, and received, a workers' compensation award, which by law was her exclusive remedy against the defendants. However, these benefits were cut off approximately two years after her husband's death when the United States Supreme Court struck down the applicable New York workers' compensation provision as unconstitutional (see *Knickerbocker Ice Co. v Stewart*, 253 US 149 [1920]). In response, the legislature amended the law in 1923 to allow such plaintiffs to commence an action, even if otherwise time-barred, within one year after the statute took effect.

The Court expressly declined to either adopt or reject the federal rule that the legislature had "general power to revive a cause of action for personal debts or a cause of action for tort," and decided that the case could be resolved on narrower grounds (*Robinson*, 238 NY at 276-277; cf. *Campbell v Holt*, 115 US 620 [1885]). While the Court acknowledged the possibility that, in some cases, a claim-revival statute would be unconstitutional, it declared that "both instinct and reason revolt at the proposition that redress for a wrong must be denied" where the enforcement of a statute of limitations would be "contrary to all prevailing ideas of justice" (*id.* at 279). In support of this proposition, the Court quoted at length from two decisions by then-Chief Justice Holmes of the Supreme Judicial Court of Massachusetts, both of which were highly skeptical of striking down claim-revival statutes on constitutional grounds, but which did not outright embrace the proposition that such statutes were always constitutional (see *id.* at 277-279, citing *Danforth v Groton Water Co.*, 178 Mass 472, 59

8. Although the parties disagree as to what the standard of review is, all parties agree that it should reflect our existing case law in some sense. Neither the plaintiffs nor the Attorney General have asked us to adopt the federal standard in this case.

NE 1033 [1901]; *Dunbar v Boston & P.R. Corp.*, 181 Mass 383, 63 NE 916 [1902]). In particular, the Court cited with approval Justice Holmes' observation that

“the prevailing judgment of the profession has revolted at the attempt to place immunities which exist only by reason of some slight technical defect on absolutely the same footing as those which stand on fundamental grounds. . . . [M]ultitudes of cases have recognized the power of the Legislature to call a liability into being where there was none before, if the circumstances were such as to appeal with some strength to the prevailing views of justice and if the obstacle in the way of the creation seemed small” (*id.* at 278, quoting *Danforth*, 178 Mass at 476-477, 59 NE at 1033-1034).

Ultimately, the Court upheld the claim-revival statute at bar on the grounds that there was “no arbitrary deprivation by the Legislature” and that the statute “was reasonable” in response to a situation that “call[ed] for remedy” (*id.* at 279-280).

The next case to revisit the *Robinson* doctrine was *Gallewski* (301 NY 164), an action by the administrator of the estate of Fritz B. Gutmann, a citizen and resident of the Netherlands. On May 10, 1940, the Netherlands was invaded by Nazi Germany. German authorities arrested Gutmann and deported him to a concentration camp; it was later learned that he was murdered there. Between May 14 and May 22, 1940, only days after the invasion, his New York brokerage firm executed a series of unauthorized securities transactions on his account. It was not until the liberation of the Netherlands in 1945 that a curator was appointed under Dutch law to administer Gutmann's assets. After the unauthorized transactions were discovered in 1946, the administrator of Gutmann's estate filed suit in 1948, but because the suit commenced more than six years after the cause of action accrued, it was barred by the statute of limitations. However, after the commencement of the action, the legislature amended the law to toll the statute of limitations for citizens of Axis-occupied countries during the period of such occupation (*see* L 1949, ch 326). The statute operated retroactively so as to revive claims, such as the plaintiff's, that had already been time-barred at the time of enactment (*see Gallewski*, 301 NY 170-171).

Addressing the constitutionality of the statute, the Court held that it would “treat the case within the limits of our deci-

sion in the *Robinson* case,” which “must be read, at the very least, as holding that a revival statute is not necessarily and per se void as a taking of ‘property’ without due process of law” (*id.* at 173, 174). The Court explained that *Robinson* “may be read, we think, as holding that the Legislature may constitutionally revive a personal cause of action where the circumstances are exceptional and are such as to satisfy the court that serious injustice would result to plaintiffs not guilty of any fault if the intention of the Legislature were not effectuated” (*id.* at 174). Unlike the “inclusive and categorical rule” adopted by federal courts, *Robinson* “leave[s] the court free to approach each revival statute on its individual merits, in the light of its own peculiar circumstances and setting” (*id.*). Applying the rule to the facts, the Court upheld the statute on the grounds that, “as in the *Robinson* case, the ‘extension of the time to bring . . . action was reasonable’ ” (*id.* at 175, quoting *Robinson*, 238 NY at 280). As with *Robinson*, the *Gallewski* Court expressly declined to either adopt or reject the federal standard (*see id.* at 173).

We next addressed the topic in 1954, when we affirmed, without opinion, a decision of the Appellate Division upholding amendments to the Workers’ Compensation Law reviving claims for caisson disease (*see Matter of McCann v Walsh Constr. Co.*, 282 App Div 444 [3d Dept 1953], *affd without op* 306 NY 904 [1954]). The claimant in that case was exposed to compressed air as he worked on the construction of the Queens Midtown Tunnel, his last exposure being in 1938. He did not develop caisson disease symptoms until 1950. The law in effect in 1938 provided that an employee who contracted an occupational disease and then left his employer was not entitled to compensation unless the disease was contracted “within the twelve months previous to the date of disablement” (L 1931, ch 344). In 1946, the legislature “recognized that it was unjust to apply this general rule to a disease like caisson disease which was of a slow-starting or insidious nature,” and therefore amended the law to exclude “compressed air illness” from this time limitation (L 1946, ch 642) (*McCann*, 282 App Div at 446-447). In 1947, the legislature also amended the then-governing statute of limitations so that claims for slow-starting diseases could be commenced “within ninety days after disablement and after knowledge that the disease is or was due to the nature of the employment” (L 1947, chs 77, 624). These statutes retroactively revived the claimant’s previously time-barred

claims. The claimant sued within days of the onset of his first symptoms in 1950.

The Appellate Division recited *Gallewski's* holding that the legislature may revive a cause of action in response to a "serious injustice" (*McCann*, 282 App Div at 449, quoting *Gallewski*, 301 NY at 174). The *Gallewski* standard, according to the Court, "follow[ed]" *Robinson (id.)*. Applying this standard, the Appellate Division easily found the law constitutional:

"This is a classic instance of the granting of legislative relief in a situation where the arbitrary application of the Statute of Limitations would work injustice. As the Legislature recognized, in the case of a disease of an insidious character, the effects of which might be latent or long delayed, the right to compensation might be barred by the operation of the Statute of Limitations even before the claimant was aware of the fact that he had the disease. In these circumstances, the Legislature did no more than to comply with the simple demands of justice in relieving innocent claimants of the effect of the statutory time limitations which would otherwise bar their right to compensation" (*id.* at 450).

The last of our cases addressing the constitutionality of claim-revival statutes was *Hymowitz v Eli Lilly & Co.* (73 NY2d 487 [1989]). Numerous plaintiffs brought suit against defendant drug manufacturers, alleging that they were injured by the drug diethylstilbestrol (DES) taken by their mothers while pregnant. As the Court recognized, "due to the latent nature of DES injuries, many claims were barred by the Statute of Limitations before the injury was discovered" (*id.* at 503). The applicable statute of limitations period accrued on the plaintiffs' exposure to the drug; it was not until 1986 that the legislature addressed this problem and statutorily instituted a discovery rule for "the latent effects of exposure to any substance" (L 1986, ch 692, § 2). The same statute also revived for one year causes of action for exposure to DES that had previously been time-barred (*id.* § 4).

The *Hymowitz* Court suggested a possible inconsistency between the *Robinson* and *Gallewski* tests (*see Hymowitz*, 73 NY2d at 514). The Court held, however, that it "need not light upon a precise test here," since the statute at issue would pass muster even under the purportedly stricter *Gallewski* standard:

“The latent nature of DES injuries is well known, and it is clear that in the past the exposure rule prevented the bringing of timely actions for recovery. Thus we believe that exceptional circumstances are presented, that an injustice has been rectified, and that the requirements of *Gallewski v Hentz & Co.* (*supra*) have been met” (*id.*).

C.

The Second Circuit, in certifying this question, apparently read *Robinson* to hold that a statute will satisfy the State Constitution so long as it is “a ‘reasonable’ exercise of the Legislature’s power” (*In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 846 F3d at 68, quoting *Robinson*, 238 NY at 280). Our holding in *Robinson* was slightly more demanding than pure “reasonable[ness]”: *Robinson* held that the Due Process Clause of the State Constitution is “satisfied if there was an apparent injustice which ‘calls for [a] remedy,’ and which is ‘reasonable’ and not ‘arbitrary’ ” (*Hymowitz*, 73 NY2d at 514, quoting *Robinson*, 238 NY at 279-280).

A close reading of *Gallewski* reveals that it did not overrule or narrow *Robinson*. To the contrary, it expressly reaffirmed the *Robinson* standard (see 301 NY at 175 [“Here, as in the *Robinson* case, the ‘extension of the time to bring . . . action was reasonable’ ”]). By elaborating that “[*Robinson*] may be read . . . as holding that the Legislature may constitutionally revive a personal cause of action where the circumstances are exceptional and . . . serious injustice would result to plaintiffs not guilty of any fault” (*id.* at 174), the Court was describing the particular circumstances of the case before it, providing additional color on *Robinson* and concluding that the extraordinary events of World War II more than satisfied the test. Any purported dichotomy between *Robinson*’s and *Gallewski*’s holdings is illusory.

The salient facts in each of *Robinson*, *Gallewski*, *McCann* and *Hymowitz* fall into the same pattern. First, there existed an identifiable injustice that moved the legislature to act. In *Robinson*, it was the plaintiffs’ exclusive reliance on a provision of the workers’ compensation law that was struck down by the United States Supreme Court (see 238 NY at 279); in *Gallewski*, it was the occupation of the plaintiffs’ countries of residence during World War II (see 301 NY at 175); in *Hymowitz* and *McCann*, it was latent injuries caused by harmful exposure, which

the plaintiffs were not able to attribute to an action or omission of the defendant until the statutory period to bring a claim had already expired (*see Hymowitz*, 73 NY2d at 514-515; *McCann*, 282 App Div at 445-446). Second, in each case, the legislature's revival of the plaintiff's claims for a limited period of time was reasonable in light of that injustice.

[2] A more heightened standard would be too strict. In the context of a claim-revival statute, there is no principled way for a court to test whether a particular injustice is "serious" or whether a particular class of plaintiffs is blameless; such moral determinations are left to the elected branches of government. While we have traditionally expressed an "aversion to retroactive legislation" (*Matter of Hodes v Axelrod*, 70 NY2d 364, 370-371 [1987]), of which claim-revival statutes are one species (*see Matter of Decker v Pouvaillsmith Corp.*, 252 NY 1, 5-6 [1929]), "we have noted that the modern cases reflect a less rigid view of the Legislature's right to pass such legislation" (*Hodes*, 70 NY2d at 371; *see also Usery v Turner Elkhorn Mining Co.*, 428 US 1, 15 [1976] ["legislative Acts adjusting the burdens and benefit of economic life come to the Court with a presumption of constitutionality"]). Nonetheless, there must first be a judicial determination that the revival statute was a reasonable measure to address an injustice.

D.

We now arrive at our answer to the second certified question, as reformulated herein. The cases we have just discussed all express one and the same rule: a claim-revival statute will satisfy the Due Process Clause of the State Constitution if it was enacted as a reasonable response in order to remedy an injustice.

IV.

Accordingly, the first certified question should be answered in the negative and the second certified question, as reformulated, should be answered in accordance with this opinion.

RIVERA, J. (concurring). We have accepted the following two certified questions from the Second Circuit.

"(1) Before New York State's capacity-to-sue doctrine may be applied to determine whether a State-created public benefit corporation has the capacity

to challenge a State statute, must it first be determined whether the public benefit corporation ‘should be treated like the State,’ [(*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 387 [1987])], based on a ‘particularized inquiry into the nature of the instrumentality and the statute claimed to be applicable to it,’ [(*John Grace & Co. v State Univ. Constr. Fund*, 44 NY2d 84, 88 [1978])], and if so, what considerations are relevant to that inquiry?; and

“(2) Does the ‘serious injustice’ standard articulated in [*Gallewski v Hentz & Co.* (301 NY 164, 174 [1950])], or the less stringent ‘reasonableness’ standard articulated in [*Robinson v Robins Dry Dock & Repair Co.* (238 NY 271 [1924])], govern the merits of a due process challenge under the New York State Constitution to a claim-revival statute?” (*In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 846 F3d 58, 70 [2d Cir 2017]).

I write separately to expand on the majority’s answer to the first certified question, and to explain why, in our answer to the second question, we should expressly adopt the federal rule, according to which claim-revival statutes do not raise due process concerns unless “lapse of time has . . . []vested a party with title to real or personal property” (*Chase Securities Corp. v Donaldson*, 325 US 304, 311 [1945]).

A. First Certified Question: Exceptions to the General
No-Capacity Rule

With respect to the first certified question, I agree with the majority’s comprehensive and well-reasoned analysis explaining that a public benefit corporation, like a municipal or local government entity, lacks capacity to sue unless the circumstances of the case support an exception to that rule. We have recognized exceptions to the capacity to sue bar where there is

“(1) an express statutory authorization to bring such a suit; (2) where the State legislation adversely affects a municipality’s proprietary interest in a specific fund of moneys; (3) where the State statute impinges upon ‘Home Rule’ powers of a municipality constitutionally guaranteed under article IX of the State Constitution; [or] (4) where the municipal

challengers assert that if they are obliged to comply with the State statute they will by that very compliance be forced to violate a constitutional proscription” (*City of New York v State of New York*, 86 NY2d 286, 291-292 [1995] [internal quotation marks and citations omitted]).

We have never stated that this list is exhaustive. While no “particularized inquiry” is necessary to determine whether a public benefit corporation should be treated like the State (because “for purposes of our capacity bar, every public benefit corporation is the State” [majority op at 393]), when a public benefit corporation seeks to sue the State, a court must determine whether its suit fits into one of the previously identified exceptions or some other exception deemed appropriate under the particular facts of the case. To reach that determination, a court must consider the common thread in the existing exceptions, which recognize the constitutional protections afforded state-created entities, as well as their legislative grant of authority. These exceptions are intended to ensure that state-created entities are not thwarted in achieving their constitutionally- and statutorily-mandated purposes within our democratic system of government.

The legislature may, of course, redefine, unchallenged, the powers and authority of a public benefit corporation (*Black Riv. Regulating Dist. v Adirondack League Club*, 307 NY 475, 487 [1954]), even dissolve the corporation. What it cannot do is prevent the corporation from exercising its authority to fulfill its statutorily-mandated purpose in compliance with the constitution and its enabling statutes.

To determine what a public benefit corporation may do, courts must scrutinize the public benefit corporation’s laws, purpose, and the constitutional and statutory scheme into which it fits. As “[g]overnmental entities . . . [are] artificial creatures of statute, . . . [they] have neither an inherent nor a common-law right to sue” (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148, 155-156 [1994]). Any capacity to challenge a state statute, then, “must be derived from the relevant enabling legislation or some other concrete statutory predicate” or, as relevant, our constitutional framework (*id.* at 156). Courts should therefore attend to the nature and purpose of the public benefit corporation seeking to bring suit, examining “the legislative [and constitutional] scheme” that encompasses it, with special attention to the public bene-

fit corporation's "power[s] and responsibilit[ies]" (*Matter of City of New York v City Civ. Serv. Commn.*, 60 NY2d 436, 441 [1983]). Courts should look to the public benefit corporation's (i) organic legislation, (ii) other legislation, if any, that the corporation is charged with implementing, (iii) the public benefit corporation's "functional responsibilit[ies]" (*Community Bd.* 7, 84 NY2d at 156, quoting *Matter of City of New York v City Civ. Serv. Commn.*, 60 NY2d at 445), (iv) indicia of legislative intent, and (v), as relevant or implicated, the State Constitution.

B. Second Certified Question: Claim-Revival Statutes Do Not Deprive a Party of a Non-Vested Due Process Right

The second certified question asks what standard governs the constitutionality of claim-revival statutes under our State Due Process Clause. The majority reformulates this question to focus narrowly on our prior decisions in *Robinson v Robins Dry Dock & Repair Co.* (238 NY 271 [1924]) and *Gallewski v Hentz & Co.* (301 NY 164 [1950]) (see majority op at 393-394). I have no disagreement with the majority's analysis of these cases. However, I would go beyond harmonizing our holdings in prior claim-revival cases and take the opportunity this question presents to state expressly that a claim-revival statute is constitutional unless it deprives a party of a vested property interest.*

The United States Supreme Court has determined that "where lapse of time has not invested a party with title to real or personal property, a state legislature, consistently with the

* As a general rule, the Court considers only those arguments raised by the parties or which arise by necessity in our analysis of the questions explicitly presented. These limitations are grounded in prudential concerns closely connected with the consideration of concrete cases and controversies. However, here we are not deciding the appeal of a case, subject to our usual jurisdictional and reviewability limitations. Instead, we are presented with a certified question from the Second Circuit, which it has invited us to reformulate as we deem appropriate. Thus, this case does not raise the usual prudential concerns that arise when we pronounce on issues not properly developed below or by the parties.

Moreover, the argument I advance here is hardly novel or in need of greater prior elaboration. As the majority's comprehensive discussion of our case law makes abundantly clear, the constitutionality of claim-revival statutes has been before us on several earlier occasions, and each time this Court has discussed the Supreme Court's Fourteenth Amendment analysis. I do no more here. We are in no way disadvantaged by deciding the applicability of the federal rule now, when it is obvious the Court is already well familiar with the issues, our constitutional standards, and the federal analysis.

Fourteenth Amendment, may repeal or extend a statute of limitations, even after right of action is barred thereby, restore to the plaintiff [the] remedy, and divest the defendant of the statutory bar” (*Chase Securities Corp. v Donaldson*, 325 US 304, 311-312 [1945]). This “long[-standing] statement of the law of the Fourteenth Amendment” reflects the truism that statutes of limitations are not born of technical legal principles that underlie judicial decisionmaking, but instead are creatures of the legislature and represent policy judgments solely within the purview of elected officials (*id.* at 312). As the Supreme Court has explained:

“Statutes of limitation find their justification in necessity and convenience rather than in logic. They represent expedients, rather than principles. They are practical and pragmatic devices to spare the courts from litigation of stale claims, and the citizen from being put to his defense after memories have faded, witnesses have died or disappeared, and evidence has been lost. They are by definition arbitrary, and their operation does not discriminate between the just and the unjust claim, or the voidable and unavoidable delay. They have come into the law not through the judicial process but through legislation. They represent a public policy about the privilege to litigate. Their shelter has never been regarded as what now is called a ‘fundamental’ right or what used to be called a ‘natural’ right of the individual. [A party] may, of course, have the protection of the policy while it exists, but the history of pleas of limitation shows them to be good only by legislative grace and to be subject to a relatively large degree of legislative control” (*id.* at 314 [citation omitted]).

Thus, the Court has explained that “[t]he Fourteenth Amendment does not make an act of state legislation void merely because it has some retrospective operation. What it does forbid is the taking of life, liberty or property without due process of law . . . [and], certainly it cannot be said that lifting the bar of a statute of limitation so as to restore a remedy lost through mere lapse of time is *per se* an offense against the Fourteenth Amendment” (*id.* at 315-316 [emphasis added]).

Even under our more expansive State Due Process Clause (see e.g. *People v LaValle*, 3 NY3d 88, 127 [2004] [gathering

cases]), we are still concerned with an actual deprivation of life, liberty or property (*see* NY Const, art I, § 6 [“No person shall be deprived of life, liberty or property without due process of law”]). No such deprivation is at issue where a defendant seeks merely to cut short the time during which a plaintiff may sue. A defendant has no separate vested right in the timing of a lawsuit or the final date upon which a plaintiff may seek relief. Defendant may find it objectionable that the State Legislature saw fit to provide plaintiffs more time to pursue their remedy, but because the legislature did not violate any fundamental right of the defendant in doing so, defendant has no grounds to legally challenge the claim-revival statute.

Adopting the federal standard, which recognizes the legislature’s authority to revive claims where defendant is not deprived of a vested interest, is logically, historically, and jurisprudentially sound. Besides, it would seem to operate functionally the same as the rule announced by the majority today—that a claim-revival statute does not violate due process so long as it constitutes “a reasonable response in order to remedy an injustice” (majority op at 400). That rule would appear to be no barrier to enactment of claim-revival laws. The standard is easily met. It is not difficult to establish that a statute is “a reasonable response.” Indeed, every time this Court has considered the issue in the past it has upheld the legislature’s claim-revival statute as a proper response to the problem the legislature sought to address (*see Robinson*, 238 NY at 280; *Gallewski*, 301 NY at 174-175; *Matter of McCann v Walsh Constr. Co.*, 282 App Div 444, 450 [3d Dept 1953], *affd without op* 306 NY 904 [1954]; *Hymowitz v Eli Lilly & Co.*, 73 NY2d 487, 514 [1989]; *see also In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 846 F3d at 69 [noting that “neither party has cited to us, nor have we found, any case in which any New York state court has struck down any statute reviving expired claims”]).

Certainly the judiciary is not the proper body to make the hard policy decisions behind these statutes. Instead, and appropriate to its position in our democratic system of government, the judiciary will defer to the legislative determination of what constitutes an injustice precisely because “there is no principled way for a court to test whether a particular injustice is ‘serious’ or whether a particular class of plaintiffs is blameless; [and] such moral determinations are left to the elected branches of government” (majority op at 400).

Just as has been true every other time the Court has considered the constitutionality of a claim-revival statute, the rule announced by the majority will result in a finding that the statute does not deprive the defendant of due process. Rather than have a court attempt to balance policy considerations that are in fact consigned to the legislature, I would resolve the question directly and recognize the obvious: unless it impinges on a separate vested property right and not merely the hope of avoiding litigation, a claim-revival statute does not violate due process, because defendant has no fundamental right to a statute of limitations in perpetuity.

WILSON, J. (concurring). I subscribe fully to the Court's answer to the second certified question. I write separately because I do not view the first certified question as involving an issue of "capacity," even though a few of our decisions describe it that way. Nor do I view it as a question of when a public benefit corporation should be treated as if it were the State. The question, as I see it, is whether and under what circumstances a public benefit corporation can challenge a legislative act as unconstitutional. That is not a question of capacity, which has a firm and long-standing legal meaning relating to the binary ability to sue and be sued (or not), but of the power of a legislatively-created entity to challenge an action of its creator. The answer to that question is derived from the structure of government and the roles of the coordinate branches. We have most often articulated that doctrine not as one of capacity, but of "standing" or "power," which comes closer to describing the forces at work here.

The general presumption that legislatively created entities cannot challenge acts of the legislature derives from "the supreme power of the Legislature over its creatures" (*Black Riv. Regulating Dist. v Adirondack League Club*, 307 NY 475, 488 [1954] ["political power conferred by the Legislature confers no vested right as against the government itself"]). That presumption is rooted in the structure of government; legislatively-created entities, such as public benefit corporations, are subservient political entities. An entity's power is given by the legislature, and "[h]ow long it shall exist or how it may be modified or altered belongs exclusively to the people to determine" (*id.* at 488). Accordingly, it is the rare case when the entity may challenge an act of the legislature. Admittedly, our decisions have not always been clear in terminology; from time to time, we have muddled the waters. The appropriate re-

sponse today, as requested by the United States Court of Appeals for the Second Circuit, is to clear away the mud.

I.

“There is a difference between capacity to sue, which is the right to come into court, and a cause of action, which is the right to relief in court. Incapacity to sue exists when there is some legal disability, such as infancy or lunacy or a want of title in the plaintiff to the character in which he sues. The plaintiff was duly appointed receiver and has a legal capacity to sue as such, and, hence, could bring the defendants into court by the service of a summons upon them even if he had no cause of action against them. On the other hand, an infant has no capacity to sue, and, hence, could not lawfully cause the defendants to be brought into court even if he had a good cause of action against them. Incapacity to sue is not the same as insufficiency of facts to sue upon” (*Ward v Petrie*, 157 NY 301, 311 [1898]).

Capacity is defined as “the satisfaction of a legal qualification, such as legal age or soundness of mind, that determines one’s ability to sue or be sued” (Black’s Law Dictionary [10th ed 2014], capacity). Capacity concerns “a litigant’s power to appear and bring its grievance before the court” (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148, 155 [1994]). “Capacity may depend on a litigant’s status or . . . on authority to sue or be sued” (*Silver v Pataki*, 96 NY2d 532, 537 [2001]). The capacity of governmental entities to sue can be either express or implied (*see* 84 NY2d at 155-156 [“Being artificial creatures of statute, (governmental) entities have neither an inherent nor a common-law right to sue. Rather, their right to sue, if it exists at all, must be derived from the relevant enabling legislation or some other concrete statutory predicate”]). Thus, where the power to sue is expressly granted, an entity has capacity to sue or be sued; no further inquiry is required.

Here, there is no question that the Battery Park City Authority (BPCA) has the capacity to sue and be sued. Its enabling legislation specifically grants it that power, unlike the community board in *Community Bd. 7*, which lacked any express statutory authority to sue or be sued (*compare* Public Authorities Law § 1974 [1] [expressly providing that the BPCA “shall

have power” “(t)o sue and be sued”], *with Community Bd.* 7 at 157 [“neither New York City Charter § 2800 nor the relevant ULURP provisions expressly authorize community boards to bring suit”]). Indeed, if the BPCA lacked legal capacity, this lawsuit would not exist, and Jimmy Nolan’s Law—which extended the statute of limitations for actions against a public corporation—would have been futile.

Whether a natural person or artificial entity may sue or be sued is a question of capacity. Whether a governmental entity may sue to challenge a governmental action could properly be thought of as one of general justiciability, but equally could be expressed as one of standing, which is the way most of our decisions have framed it. Standing has two components: a jurisdictional component, so that if a party suffers no injury, it may not sue; and a prudential component, involving “rules of self-restraint,” which includes the determination that a party is well-situated to bring an action on its own or on behalf of another (*see Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 773 [1991] [explaining the “prudential limitations” of standing include “a general prohibition on one litigant raising the legal rights of another; a ban on adjudication of generalized grievances more appropriately addressed by the representative branches; and the requirement that the interest or injury asserted fall within the zone of interests protected by the statute invoked”]). We have cautioned that “the concept of capacity is often confused with the concept of standing, but the two legal doctrines are not interchangeable,” and that “[t]he concept of a lack of capacity . . . has also occasionally been intermingled with the analytically distinct concept of a failure to state a cause of action” (*Community Bd.* 7, 84 NY2d at 154-155), yet we sometimes have failed to heed our own warnings.

In the context of challenges brought by legislatively-created entities to actions of the legislature, we have usually described the issue as one of “power,” “standing,” or “status,” rather than “capacity.” The occasional imprecise introduction of the word “capacity” is traceable to a quirk of jurisdiction evident in *County of Albany v Hooker* (204 NY 1 [1912]), which was adopted many years later in *City of New York v State of New York* (86 NY2d 286, 289 [1995]). In *Hooker*, the Appellate Division certified a question for appeal, casting it as: “Has the county of Albany legal capacity to bring this action?” Explaining that our court’s “jurisdiction is restricted to a review of that question,” we painstakingly noted that the “Revised

Statutes of 1829 . . . provided: ‘Each county, as a body corporate, has capacity . . . To sue and be sued in the manner prescribed by law’; and the Constitution of 1846 “provided that ‘All corporations shall have the right to sue, and shall be subject to be sued in all courts, in like cases, as natural persons.’ And such provision was continued in the Constitution of 1894”; and finally, that by statute, “A county is a municipal corporation.” (204 NY at 9-11.) After emphasizing the capacity of counties to sue and be sued, *Hooker* held that “the action cannot be maintained by the plaintiff, and the wrong, if any, created and existing by the acts of the legislature, must be corrected by the legislature” (*id.* at 18). *Hooker* rested on the proposition that counties, like “the several towns[,] are political divisions, organized for the convenient exercise of the political power of the state; and are no more corporations than the judicial, or the senate and assembly districts” (*id.*, quoting *Lorillard v Town of Monroe*, 11 NY 392, 394 [1854]).¹

Most of the decisions cited by the majority do not express the underlying issue as one of capacity. In *Matter of County of Cayuga v McHugh* (4 NY2d 609 [1958]), Cayuga County sued the State Commission of Correction. We did not mention capacity; instead, we reached the merits and held that the Commission’s action was not arbitrary (*id.* at 613). In *Town of Black Brook v State of New York* (41 NY2d 486, 489 [1977]), there is likewise no mention of the town’s capacity to sue; we determined that the town had “standing” to pursue its claim against the State. In *Village of Herkimer v Axelrod* (58 NY2d 1069, 1071 [1983]), we held that a municipal hospital lacked “standing” to sue the State Department of Health; again, there is no mention of the hospital’s lack of capacity.

As the majority notes, the case most closely analogous to the present matter, *Black Riv.*, speaks only in terms of “status,”

1. Although it might be tempting to read *Hooker* as suggesting that counties have capacity to sue in their proprietary role but not in their governmental role, that reading is unsatisfactory, because counties can be sued in their governmental role, and can sue private citizens while acting in their governmental role. *Hooker* must be understood in its jurisdictional posture, where this Court, constrained to answer the question posed by the Appellate Division without the ability to reformulate it to remove the word “capacity,” “assumed that by the question submitted it is intended that this court shall determine whether the county has capacity to maintain the *particular action* stated in the complaint” (204 NY at 9 [emphasis added]). That emendation, though restating the word “capacity,” emphasizes that the court’s rule is claim-specific, meaning it is not one of capacity, but of standing, justiciability or existence of a cause of action.

“standing” or “power,” not capacity.² The majority concludes that *Black Riv.*, despite discussing standing and not capacity, was really about capacity and involved “no real issue of ‘standing,’” because the District’s condemnation proceeding against a private landowner would have been unlawful unless the District obtained a declaration that the Stokes Act was unconstitutional. To the contrary, the District clearly had the power to sue and be sued—else it could not have brought a condemnation proceeding irrespective of the Stokes Act’s constitutionality. Moreover, our detailed rationale does not mention the inability of the District to sue or be sued, but rather the District’s lack of standing to challenge an act of the legislature, which is supreme over it: “Inherent in the grant of legislative power is the plenary power to alter or revoke. . . . The interests of the plaintiffs then are only those of the State and the State cannot challenge its own acts” (307 NY at 489). The District had no injury-in-fact from the Stokes Act, because the District itself could be eliminated or altered by legislative command.

The Appellate Division cases cited by the majority are largely in accord with our prior decisions, treating the issue as one of standing. *Matter of Town of Moreau v County of Saratoga* (142 AD2d 864 [3d Dept 1988]), *County of Rensselaer v Regan* (173 AD2d 37 [3d Dept 1991], *affd* 80 NY2d 988 [1992]), and *City of Buffalo v State Bd. of Equalization & Assessment* (26 AD2d 213 [3d Dept 1966]) discuss the issue in terms of standing only, not capacity. The two Appellate Division cases cited by the majority that do characterize the issue as one of capacity, *Matter of New York Blue Line Council, Inc. v Adirondack Park Agency* (86 AD3d 756 [3d Dept 2011]) and *Matter of County of Nassau v State of New York* (100 AD3d 1052 [3d Dept 2012]), were decided after *City of New York*, and repeat the wayward “capacity” language therein.

What the relevant cases have in common—and as to this, I believe the majority and I agree—is that the restriction on governmental entities challenging legislative action derives

2. In *Black Riv.*, the Black River Regulating District challenged the Stokes Act as unconstitutional. We held that

“the plaintiffs are without power to challenge the validity of the act or the Constitution . . .

“The issuance of certificates of indebtedness does not confer upon plaintiffs an independent status by which they have standing, either as a body politic or as individuals, to test the validity of the Stokes Act” (307 NY at 489).

from the intrinsic structure of our government and separation of powers concerns. The legislative branch has the power to create entities (including public benefit corporations) to carry out its functions; the legislature also has the power to change, affect, and even eliminate those entities entirely. Because it is within the legislature's plenary power to do so, the courts generally have no role in determining the wisdom of legislative enactments regarding those entities. Judicial restrictions based on the separation of powers usually implicate justiciability, not capacity (see *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233, 239 [1984]; *Matter of Korn v Gulotta*, 72 NY2d 363, 381 [1988]; see also *Jiggetts v Grinker*, 75 NY2d 411, 415 [1990] ["policy choices . . . are matters for the executive and legislative branches of government and the place to question their wisdom lies not in the courts but elsewhere"]). Indeed, the issue here is as much one of justiciability as of standing: in the ordinary case, the judiciary would not interfere in a legislative decision to eliminate, modify or impair an entity of its own creation. It is not our function to second-guess the wisdom of legislation that adversely affects only a legislatively-created entity. The majority explains that the rationale for the so-called "capacity bar" reflects concerns of "judicial restraint" and "governmental and public policy," and that the "capacity bar closes the courthouse doors to internal political disputes between the State and its subdivisions." Those principles, by their own words, implicate standing and justiciability, not capacity.

II.

I would tackle the certified question in stages. First, as the majority notes, we need to reformulate the question asked by the United States Court of Appeals for the Second Circuit, because the issue is much more specific than when a public benefit corporation should be treated like the State. Second, under the majority's test or mine, there is a "particularized inquiry," in the sense of an examination of facts particular to the entity's ability to sue and be sued (capacity) and its injury-in-fact and prudential concerns (standing and justiciability to me; capacity to the majority), but those are not the "particularized inquiry" of *John Grace & Co. v State Univ. Constr. Fund* (44 NY2d 84, 88 [1978]). Third, the Second Circuit has invited us to indicate how this particular case should be resolved, and I would accept that invitation.

A.

The cases identified by the Second Circuit in the first certified question, *John Grace & Co. and Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.* (70 NY2d 382 [1987]), are not germane to the question of whether a public benefit corporation can challenge a legislative act as unconstitutional. I agree with the majority on this. *Clark-Fitzpatrick* holds that punitive damages are not available against public benefit corporations, and *John Grace & Co.* holds that a statute giving contractors relief from fuel cost spikes during the energy crisis did not apply to contracts with public authorities, but was limited to contracts with the State itself. Those cases do not relate to the power of public benefit corporations to sue or be sued, or under what circumstances they might be able to challenge an act of the State. I would reformulate the certified question to ask whether and under what circumstances a public benefit corporation can challenge a statute as unconstitutional.

B.

Putting aside the labels of “standing,” “status,” “power,” or “capacity” used in our decisions and the decisions of the lower courts, the case law can be distilled into the following propositions. First, the general rule is that a legislatively-created artificial entity cannot challenge an action of the legislature, because that entity is a creature of the legislature, the legislature is vested with lawmaking authority, and the legislature may abolish or alter its creatures at will (*see Black Riv.* at 487 [“The number and nature of (the regulating district’s) powers are within the State’s absolute discretion and any alteration, impairment or destruction of those powers by the Legislature presents no question of constitutionality”]). In that sense, those subordinate legislative creations have no cognizable injury resulting from legislative action, because our system of government vests the lawmaking power in the legislature, not to be challenged by subordinate entities, whether those are municipalities, public authorities, public benefit corporations, or otherwise. Second, there are circumstances in which the general rule can be overcome. Those fall into two basic categories: (A) when the State Constitution grants a right specific to the subordinate governmental unit, that unit may challenge legislative action as violative of the specific constitutional grant to it (*see e.g. Town of Black Brook v State of New York*, 41 NY2d 486, 489 [1977] [“When, indeed,

a local government's claim is based on one of the protections of article IX (the Municipal Home Rule Law), the principle underlying the otherwise general rule prohibiting it from questioning legislative action affecting its powers is no longer applicable"); and (B) when the challenged legislative action impairs the rights of a third party, and the subordinate governmental unit is both affected and in a good position to bring the claim when compared to other potential litigants, that unit may challenge the legislative action (*see e.g. Patterson v Carey*, 41 NY2d 714, 724 [1977] [allowing the Jones Beach Parkway Authority to challenge section 153-c of the Public Authorities Law as violating the portions of the New York Constitution setting forth the Comptroller's powers]).

In category (A), the traditional concerns of standing are satisfied: the injury to the subordinate entity is direct and the right constitutionally guaranteed to it. In category (B), the concerns animating prudential standing come into play: there must be some actual injury to the subordinate governmental entity, but that alone is not sufficient; the courts must determine as a matter of prudence whether it is appropriate for the entity to bring the suit, taking into account the strong presumption that legislatively-created entities cannot challenge legislative actions (*see Black Riv.* at 488 ["The concept of the supreme power of the Legislature over its creatures has been respected and followed in many decisions"]) and the "general prohibition on one litigant raising the legal rights of another" (*Society of Plastics*, 77 NY2d at 773). Generally, if the third parties are the better-suited litigants, then the entity would not have standing to sue. However, sometimes the entity will be the better-suited litigant, and standing doctrine allows suit in those instances. In this regard, the inquiry is necessarily case-specific, and could be characterized as "particularized." Even the consideration of the applicability of the majority's four exceptions drawn from *City of New York* is case-specific—as is each of our prior decisions and of the decisions of the lower courts. Those same factors would figure into the determination if the issue was framed as one of justiciability rather than standing: a claim by a legislatively-created entity purporting to challenge a statute should not be justiciable if there is no specific constitutional guarantee to that entity and the only injury is to the entity itself, or the injury is to some third party who is better suited to bring the claim on its own behalf.

Our case that best encompasses the above structure is *Patterson v Carey* (41 NY2d 714 [1977]). The Jones Beach Parkway

Authority raised the parkway toll from 10¢ to 25¢, and the State enacted legislation repealing the toll. The Jones Beach Parkway Authority and the trustee for bondholders sued the State, challenging the legislation as unconstitutional. Although the decision does not expressly delineate between plaintiffs and claims, the structure of the decision does so quite clearly. As to the claims that the legislation unconstitutionally impaired the Authority's finances and with it, the value of the bonds, we were silent as to the impairment of the Authority's finances, focusing exclusively on the bondholders' rights when finding the statute unconstitutional (*see id.* at 720-722). In contrast, when addressing the claim that the legislation's restriction on the State Comptroller's procedures for auditing the Authority encroached on the Comptroller's constitutional authority, we focused exclusively on the Authority's claim (*see id.* at 723-725). Implicitly, we determined that the Authority did not have standing to pursue the claims relating to impairment of its finances, though the bondholders did, and the Authority had sufficient standing to challenge the statute's restriction of the Comptroller's auditing powers, because the Authority was affected by the restrictions and well-suited to challenge them. The majority, too, understands *Patterson* as a decision about standing, not capacity.

The four exceptions set out in *City of New York* are an application of the above principles in the context of municipal corporations, which—unlike public benefit corporations—have constitutional protections running directly to them. For that reason, however unlikely it is that a county, city, town or village would be able to challenge a legislative action, the possibility that a public benefit corporation would be able to do so is substantially more remote.

C.

Unlike the majority, I would accept the Second Circuit's invitation to provide "specific guidance . . . as to the appropriate result of the inquiry in this particular case" (*In re World Trade Ctr. Lower Manhattan Disaster Site Litig.*, 846 F3d 58, 70 [2d Cir 2017], *certified question accepted* 28 NY3d 1159 [2017]). It is uncommon for the Second Circuit to suggest that we provide guidance as to the proper disposition of a case before it, but in this case, the Second Circuit's suggestion makes eminent sense. The legislature made a choice, in the wake of an unprecedented terrorist attack, to extend the statute of lim-

itations for claims brought by first responders. The questions here purely concern New York public policy surrounding relief efforts in the wake of that attack—including what future first responders might expect from the legislature; the structure of New York State government; and the power of the New York State Legislature. Those are not in any sense federal questions, and relate powerfully to New York’s status as a sovereign state. As implicitly recognized by the Second Circuit’s invitation, New York State has an overriding interest in deciding the lawfulness of Jimmy Nolan’s Law, which indisputably complies with the Due Process Clause of the Fourteenth Amendment.

I cannot speak for the majority. Whether thought of as “capacity,” “justiciability” or “standing,” I believe the clear result here is that the BPCA may not challenge the constitutionality of Jimmy Nolan’s Law. No constitutional protection runs directly to the BPCA entitling it to avoid claim-revival statutes, the BPCA does not seek to vindicate the constitutional rights of others and, even if it did, there is no showing that it would be better situated to vindicate those rights than the third parties would be.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey and Garcia concur, Judge Rivera in a concurring opinion; Judge Wilson concurs in a separate concurring opinion.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this Court’s Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, first certified question answered in the negative and second certified question, as reformulated, answered in accordance with the opinion herein.

[90 NE3d 1253, 68 NYS3d 382]

In the Matter of THE FRIENDS OF P.S. 163, INC., et al., Appellants, v JEWISH HOME LIFECARE, MANHATTAN et al., Respondents, et al., Respondents.

In the Matter of DAISY WRIGHT et al., Appellants, v NEW YORK STATE DEPARTMENT OF HEALTH, et al., Respondents, et al., Respondents.

Argued November 16, 2017; decided December 12, 2017

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 19, 2017. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Joan B. Lobis, J.; op 51 Misc 3d 1225[A], 2015 NY Slip Op 51997[U] [2015]), entered in two CPLR article 78 proceedings, which had granted the petitions seeking to annul a findings statement issued by respondent New York State Department of Health (DOH) approving respondent Jewish Home Lifecare, Manhattan's application to construct a 20-story nursing home facility in Manhattan, and remitted the matter to DOH for preparation of an amended final environmental impact statement to reconsider the findings on the issues of noise and hazardous materials; (2) denied the petitions; (3) reinstated the findings statement; and (4) dismissed the proceedings. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as reversed by this Court, properly made?"

Matter of Friends of P.S. 163, Inc. v Jewish Home Lifecare, Manhattan, 146 AD3d 576, affirmed.

HEADNOTE

Environmental Conservation — Environmental Impact Statement — Hard Look at Areas of Environmental Concern

Petitioners' CPLR article 78 proceedings challenging respondent Department of Health's State Environmental Quality Review Act (SEQRA) assessment of an application to construct a residential facility on a vacant lot next door to an elementary school and apartment buildings were properly dismissed, as respondent took the requisite hard look at the relevant areas of environmental concern and made a reasoned elaboration of the basis for its determination. Not every conceivable environmental impact, mitigating measure or alternative must be identified and addressed before a final

environmental impact statement will satisfy the substantive requirements of SEQRA. Nothing in the law requires an agency to reach a particular result on any issue, or permits the courts to second-guess the agency's choice. Respondent's conclusions as to the potential risk posed by soil-based lead contamination and potential lead dust migration were based on federal and state standards on which the agency was legally allowed to rely. Respondent imposed a battery of construction protocols to monitor and contain airborne dust, and reasonably concluded that those mitigation measures were sufficient to ensure that airborne lead levels remained within acceptable limits, and explained its assessment fully. In assessing both the dangers of construction noise and the most appropriate mitigation measures, respondent acted within its considerable latitude in evaluating environmental effects and choosing among alternatives. The fact that petitioners would have preferred different or additional mitigation measures presented a difference of opinion about the best way to address the environmental impacts that the agency, not the courts, must consider and resolve.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Pollution Control §§ 83, 85, 90, 94, 96, 98, 101, 103, 107–108, 110–112, 132–133.
CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:1338, 145:1341, 145:1373–145:1374, 145:1383, 145:1405.
McKINNEY'S, CPLR art 78.
NY JUR 2d Article 78 and Related Proceedings § 235; NY JUR 2d Buildings § 73; NY JUR 2d Environmental Rights and Remedies §§ 126–128, 131–133, 137, 188.
SIEGEL, NY PRAC § 567.

ANNOTATION REFERENCE

Validity, construction, and application of statutes requiring assessment of environmental information prior to grants of entitlements for private land use.

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POINTS OF COUNSEL

Orrick, Herrington & Sutcliffe LLP, New York City (*Matthew R. Shahabian, J. Peter Coll, Jr. and Rene Kathawala* of counsel), for Friends of P.S. 163, Inc., and others, appellants in the first above-entitled proceeding. I. The New York State

Department of Health's approval of Jewish Home Lifecare, Manhattan's application was substantively arbitrary and capricious under the State Environmental Quality Review Act. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Town of Henrietta v Department of Envtl. Conservation of State of N.Y.*, 76 AD2d 215; *Matter of County of Orange v Village of Kiryas Joel*, 11 Misc 3d 1056[A], 2005 NY Slip Op 52270[U]; *Matter of Chinese Staff & Workers' Assn. v Burden*, 88 AD3d 425, 19 NY3d 922; *Akpan v Koch*, 75 NY2d 561; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Matter of Landmark West! v Burden*, 3 Misc 3d 1102[A], 2004 NY Slip Op 50331[U]; *Matter of City of Buffalo v New York State Dept. of Envtl. Conservation*, 184 Misc 2d 243; *Develop Don't Destroy [Brooklyn], Inc. v Empire State Dev. Corp.*, 33 Misc 3d 330, 94 AD3d 508, 19 NY3d 806; *Matter of Chatham Towers Inc. v Bloomberg*, 6 Misc 3d 814.) II. The New York State Department of Health violated the State Environmental Quality Review Act's procedural requirements. (*Matter of King v Saratoga County Bd. of Supervisors*, 89 NY2d 341; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Matter of Dawley v Whitetail 414, LLC*, 130 AD3d 1570; *Webster Assoc. v Town of Webster*, 59 NY2d 220; *Glen Head- Glenwood Landing Civic Council v Town of Oyster Bay*, 88 AD2d 484; *Matter of Schenectady Chems. v Flacke*, 83 AD2d 460; *Vitiello v City of Yonkers*, 255 AD2d 506; *Matter of Bronx Comm. for Toxic Free Schs. v New York City Sch. Constr. Auth.*, 20 NY3d 148; *Chinese Staff & Workers Assn. v City of New York*, 68 NY2d 359.) III. Jewish Home Lifecare, Manhattan lacked standing to appeal an order directed at the New York State Department of Health from which the Department did not appeal. (*Hecht v City of New York*, 60 NY2d 57; *Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 5 NY3d 452; *Matter of Chalian v Malone*, 307 AD2d 619; *D'Ambrosio v City of New York*, 55 NY2d 454; *State of New York v Philip Morris Inc.*, 61 AD3d 575.) IV. The Appellate Division violated petitioners' due process rights. (*Norstar Bank of Upstate NY v Office Control Sys.*, 78 NY2d 1110; *Wausau Ins. Cos. v Feldman*, 213 AD2d 179; *Mathews v Eldridge*, 424 US 319.)

John R. Low-Beer, Brooklyn, and *Joel R. Kupferman*, New York Environmental Law and Justice Project, New York City, for Daisy Wright and others, appellants, in the second above-entitled proceeding. I. The Appellate Division erred in applying the "arbitrary and capricious" standard of review too strictly

and in not enforcing the State Environmental Quality Review Act's requirement of a "hard look" at environmental impacts and mitigation. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of King v Saratoga County Bd. of Supervisors*, 89 NY2d 341; *Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359; *Matter of County of Orange v Village of Kiryas Joel*, 44 AD3d 765; *Matter of Doremus v Town of Oyster Bay*, 274 AD2d 390; *Sun Co. v City of Syracuse Indus. Dev. Agency*, 209 AD2d 34; *Matter of Save the Pine Bush v Common Council of City of Albany*, 188 AD2d 969; *Matter of Save the Pine Bush v Planning Bd. of City of Albany*, 130 AD2d 1; *Matter of Bronx Comm. for Toxic Free Schools v New York City School Constr. Auth.*, 86 AD3d 401, 20 NY3d 148; *Regents of Univ. of Cal. v Bakke*, 438 US 265.) II. The New York State Department of Health failed to take a hard look at the impacts of lead dust on schoolchildren and neighbors. (*Matter of Bronx Comm. for Toxic Free Schs. v New York City Sch. Constr. Auth.*, 20 NY3d 148; *Develop Don't Destroy [Brooklyn], Inc. v Empire State Dev. Corp.*, 33 Misc 3d 330; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of S.P.A.C.E. v Hurley*, 291 AD2d 563; *Matter of West Branch Conservation Assn. v Planning Bd. of Town of Clarkstown*, 207 AD2d 837.)

Eric T. Schneiderman, Attorney General, New York City (Ester Murdukhayeva, Barbara D. Underwood and Steven C. Wu of counsel), for New York State Department of Health and others, respondents in the first and second above-entitled proceedings. I. The New York State Department of Health reasonably evaluated the risk posed by hazardous materials. (*Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.*, 291 AD2d 40; *Matter of Spitzer v Farrell*, 100 NY2d 186; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of City of Buffalo v New York State Dept. of Envtl. Conservation*, 184 Misc 2d 243; *Matter of Long Is. Pine Barrens Socy. v Town Bd. of Town of Riverhead*, 290 AD2d 448; *Sun Co. v City of Syracuse Indus. Dev. Agency*, 209 AD2d 34.) II. The New York State Department of Health reasonably evaluated the risk posed by construction noise. (*Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.*, 291 AD2d 40; *Matter of Brander v Town of Warren Town Bd.*, 18 Misc 3d 477; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Webster Assoc. v Town of Webster*, 59 NY2d 220; *Matter of Bergami v Town Bd. of the Town of Rotterdam*, 97 AD3d 1018.) III. The Friends of P.S. 163, Inc. and parent petitioners' remaining arguments are meritless. (*Hecht*

v City of New York, 60 NY2d 57; *Mixon v TBV, Inc.*, 76 AD3d 144; *Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 5 NY3d 452; *Matter of Chalian v Malone*, 307 AD2d 619; *Matter of George Joey S.*, 194 AD2d 328; *Matter of Norse Energy Corp. USA v Town of Dryden*, 108 AD3d 25; *Community Planning Bd. No. 2 of Borough of Manhattan v Board of Standards & Appeals*, 43 AD2d 670; *Matter of Kendall v Jablonski*, 84 AD2d 586; *Patron v Patron*, 40 NY2d 582; *Norstar Bank of Upstate NY v Office Control Sys.*, 78 NY2d 1110.)

Greenberg Traurig, LLP, New York City (Henry M. Greenberg of counsel), for Jewish Home Lifecare, Manhattan, respondent in the first and second above-entitled proceedings. I. The New York State Department of Health complied with the State Environmental Quality Review Act by identifying construction noise and lead dust as areas of environmental concern, taking a “hard look” at them, and making a reasoned elaboration of the basis for its determination. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Akpan v Koch*, 75 NY2d 561; *Matter of Save the Pine Bush, Inc. v Common Council of City of Albany*, 13 NY3d 297; *Matter of Neville v Koch*, 79 NY2d 416; *Matter of Town of Dryden v Tompkins County Bd. of Representatives*, 78 NY2d 331; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Brooklyn Bridge Park Legal Defense Fund, Inc. v New York State Urban Dev. Corp.*, 50 AD3d 1029, 10 NY3d 714; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.*, 291 AD2d 40; *Matter of Schodack Concerned Citizens v Town Bd. of Town of Schodack*, 148 AD2d 130.) II. The New York State Department of Health appropriately addressed in the findings statement post-final environmental impact statement misrepresentations regarding central air conditioning. (*Matter of North Fork Envtl. Council v Janoski*, 196 AD2d 590; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Vermont Yankee Nuclear Power Corp. v Natural Resources Defense Council, Inc.*, 435 US 519; *Aldrich v Pattison*, 107 AD2d 258; *Matter of Neville v Koch*, 79 NY2d 416.) III. Jewish Home Lifecare, Manhattan’s right to appeal Supreme Court’s decision was not divested because the New York State Department of Health respondents did not appeal. (*Hecht v City of New York*, 60 NY2d 57; *Oxenhorn v Fleet Trust Co.*, 94 NY2d 110; *Cover v Cohen*, 61 NY2d 261; *Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of*

Stds. & Appeals, 5 NY3d 452; *Matter of Chalian v Malone*, 307 AD2d 619.) IV. The Friends of P.S. 163, Inc. and the P.S. 163 School Leadership Team's due process claim regarding the Attorney General's amicus brief is unreviewable and lacks merit. (*Kasachkoff v City of New York*, 67 NY2d 645; *Mathews v Eldridge*, 424 US 319; *Matter of Abramson v Commissioner of Educ. of State of N. Y.*, 1 AD2d 366; *Matter of Avella v City of New York*, 27 NY3d 1059; *Matter of Norse Energy Corp. USA v Town of Dryden*, 108 AD3d 25.)

Akerman LLP, New York City (*Richard G. Leland* and *Nathan T. Horst* of counsel), for The Real Estate Board of New York, Inc., amicus curiae. I. Appellants' appeal would transform the State Environmental Quality Review Act review into a "battle of the experts." (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Coalition Against Lincoln W., Inc. v Weinshall*, 21 AD3d 215, 5 NY3d 715; *Mobil Oil Corp. v City of Syracuse Indus. Dev. Agency*, 224 AD2d 15, 89 NY2d 860; *Matter of Chu v New York State Urban Dev. Corp.*, 47 AD3d 542; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.*, 291 AD2d 40, 98 NY2d 608; *Akpan v Koch*, 152 AD2d 113; *Matter of Brooklyn Bridge Park Legal Defense Fund, Inc. v New York State Urban Dev. Corp.*, 50 AD3d 1029.) II. Appellants' arguments are meritless because agencies may rely on the methodologies and standards set forth in the City Environmental Review Technical Manual and other regulatory standards and guides. (*Matter of Board of Mgrs. of the Plaza Condominium v New York City Dept. of Transp.*, 131 AD3d 419; *Matter of Chinese Staff & Workers' Assn. v Burden*, 88 AD3d 425, 19 NY3d 922; *Matter of Coalition Against Lincoln W., Inc. v Weinshall*, 21 AD3d 215; *Matter of Spitzer v Farrell*, 100 NY2d 186.) III. The First Department's well-reasoned decision should stand because it was consistent with established New York law and practice.

Sive, Paget & Riesel, P.C., New York City (*Michael Bogin* and *Jonathan Kalmuss-Katz* of counsel), for CaringKind and others, amici curiae. I. In comparing the project's impacts to a vacant lot as opposed to an as-of-right development, respondents exceeded the requirements of the State Environmental Quality Review Act. (*Akpan v Koch*, 75 NY2d 561; *Herald Sq. S. Civic Assn. v Consolidated Edison Co. of N.Y.*, 307 AD2d 213; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Citizens for Preserv. of Windsor Terrace v Smith*, 122 AD2d 827; *Matter of City Club of N.Y., Inc. v Hudson Riv.*

Park Trust, Inc., 142 AD3d 803; *Matter of Committee to Preserve Brighton Beach & Manhattan Beach v Council of City of N.Y.*, 214 AD2d 335; *Matter of Prospect Park E. Network v New York State Homes & Community Renewal*, 125 AD3d 435; *Matter of Croton Watershed Clean Water Coalition Inc. v Planning Bd. of Town of Southeast*, 5 Misc 3d 1010[A], 2004 NY Slip Op 51312[U].) II. The project serves a critical community need. (*Aldrich v Pattison*, 107 AD2d 258.)

Hughes Hubbard & Reed LLP, New York City (George A. Tsougarakis and Taylor K. Reynolds of counsel), for Services & Advocacy for Gay, Lesbian, Bisexual & Transgender Elders and another, amici curiae. The project serves a critical community need for the historically underserved lesbian, gay, bisexual and transgender population. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Akpan v Koch*, 75 NY2d 561; *Matter of Town of Henrietta v Department of Env'tl. Conservation of State of N.Y.*, 76 AD2d 215.)

Zachary W. Carter, Corporation Counsel, New York City (Amy McCamphill, Richard Dearing and Susan Amron of counsel), for City of New York, amicus curiae. I. Environmental reviews conducted in accordance with the City Environmental Quality Review Technical Manual meet the hard look standard of the State Environmental Quality Review Act. (*Matter of Board of Mgrs. of the Plaza Condominium v New York City Dept. of Transp.*, 131 AD3d 419; *Matter of Chinese Staff & Workers' Assn. v Burden*, 88 AD3d 425; *Matter of Coalition Against Lincoln W., Inc. v Weinshall*, 21 AD3d 215; *Matter of Fisher v Giuliani*, 280 AD2d 13; *Hand v Hospital for Special Surgery*, 34 Misc 3d 1212[A], 2012 NY Slip Op 50060[U]; *Matter of Save Coney Is., Inc. v City of New York*, 27 Misc 3d 1221[A], 2010 NY Slip Op 50839[U]; *Matter of Chinese Staff & Workers Assn. v Bloomberg*, 26 Misc 3d 979; *Matter of Collier Realty LLC v Bloomberg*, 24 Misc 3d 1071; *Matter of Neighborhood in the Nineties, Inc. v City of New York*, 24 Misc 3d 1239[A], 2009 NY Slip Op 51812[U]; *Matter of Powell v City of New York*, 16 Misc 3d 1113[A], 2007 NY Slip Op 51409[U].) II. An aggrieved party which does not file an appeal is not barred from participating in another party's properly-filed appeal. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Matter of Avella v City of New York*, 27 NY3d 1059.)

Adele Bartlett and James A. Caras, Office of the Manhattan Borough President Gale A. Brewer, New York City, for Gale A.

Brewer and others, amici curiae. The decision of the Appellate Division must be reversed and the order of the Supreme Court reinstated. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Action for Rational Tr. v West Side Highway Project By Bridwell*, 536 F Supp 1225; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893.)

Mobilization for Justice, New York City (Kevin Cremin, Nahid Sorooshyari and Jeanette Zelhof of counsel), for Cardozo Bet Tzedek Legal Services and another, amici curiae. I. This Court should review the New York State Department of Health's (DOH) evaluation of Jewish Home Lifecare, Manhattan's construction plan with scrutiny because the DOH regularly fails to properly review plans by the long-term care industry, putting thousands of individuals with disabilities at risk. II. The New York State Department of Health's approval of Jewish Home Lifecare, Manhattan's construction plan is an example of how DOH advances the interests of the long-term care industry at the expense of those it is supposed to serve. (*Olmstead v L. C.*, 527 US 581.)

Rachel Spector, New York Lawyers for the Public Interest, New York City, for American Academy of Pediatrics, New York Chapters 2 & 3, and others, amici curiae. I. By neglecting to analyze specific impacts on sensitive receptors, the New York State Department of Health failed to satisfy the "hard look" standard. (*Aldrich v Pattison*, 107 AD2d 258; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Chinese Staff & Workers' Assn. v Burden*, 88 AD3d 425, 19 NY3d 922; *Matter of Golten Mar. Co. v New York State Dept. of Envtl. Conservation*, 193 AD2d 742; *Purchase Envtl. Protective Assn. v Strati*, 163 AD2d 596; *Matter of Desmond-Americana v Jorling*, 153 AD2d 4, 75 NY2d 709; *Matter of Save the Pine Bush v Planning Bd. of City of Albany*, 130 AD2d 1; *H.O.M.E.S. v New York State Urban Dev. Corp.*, 69 AD2d 222; *Matter of Town of Henrietta v Department of Envtl. Conservation of State of N.Y.*, 76 AD2d 215.) II. Upholding the Appellate Division's ruling would frustrate the State Environmental Quality Review Act's purpose of protecting communities' environment and health. (*Williamsburg Around the Bridge Block Assn. v Giuliani*, 223 AD2d 64; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d

400.) III. The New York State Department of Health failed to support its decisions and findings with evidence in the environmental impact statement, as required by the State Environmental Quality Review Act. (*Bliek v Town of Webster*, 104 Misc 2d 852; *Matter of Town of Henrietta v Department of Env'tl. Conservation of State of N.Y.*, 76 AD2d 215; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.*, 253 AD2d 342; *Matter of Save the Pine Bush v City of Albany*, 70 NY2d 193; *Matter of Chinese Staff & Workers' Assn. v Burden*, 88 AD3d 425; *Matter of Bronx Comm. for Toxic Free Schs. v New York City Sch. Constr. Auth.*, 20 NY3d 148; *Matter of WEOK Broadcasting Corp. v Planning Bd. of Town of Lloyd*, 79 NY2d 373; *Matter of Rye Town/King Civic Assn. v Town of Rye*, 82 AD2d 474.)

OPINION OF THE COURT

RIVERA, J.

Petitioners in these two CPLR article 78 proceedings challenge a New York State Environmental Quality Review Act (SEQRA) assessment by the New York State Department of Health (DOH) of Jewish Home Lifecare's (JHL) application to construct a new residential facility in New York City. Petitioners are, respectively, parents of students attending a public elementary school next door to the proposed construction site and tenants living in apartment buildings surrounding the site.

We reject petitioners' arguments and hold that DOH complied with its SEQRA responsibilities. It identified and assessed relevant environmental hazards, and, as the agency deemed necessary, imposed mitigation measures to protect public health and safety. Therefore, we affirm the order of the Appellate Division.

I. Statutory and Regulatory SEQRA Process

In New York State, "SEQRA makes environmental protection a concern of every agency" (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400, 414 [1986], citing ECL 8-0103 [8], and 6 NYCRR 617.1 [b]). Any construction project that requires state agency approval, such as the construction of a nursing home (*see* Public Health Law § 2802), "which may have a significant effect on the environment," must go through a full SEQRA assessment to make sure that it is undertaken in a way that minimizes damage to the environment and public

health (*see* ECL 8-0109 [1], [2]). To that end, the agency must prepare an environmental impact statement (EIS) that complies with both the substantive and procedural requirements of SEQRA and all other applicable regulations (*see* ECL 8-0109 [2]; 6 NYCRR parts 617-618). This “insures that agency decision-makers—enlightened by public comment where appropriate—will identify and focus attention on any environmental impact of proposed action, that they will balance those consequences against other relevant social and economic considerations, minimize adverse environmental effects to the maximum extent practicable, and then articulate the bases for their choices” (*Matter of Jackson*, 67 NY2d at 414-415).

After the agency initially determines that it must prepare an EIS, SEQRA review proceeds through several steps. First, the project sponsor or the lead state agency on the project may conduct an optional “scoping session,” exploring the method to be used in assessing the project’s environmental impact (*see* 6 NYCRR 617.8).¹ Next, the lead agency must prepare or cause to be prepared a draft environmental impact statement (DEIS), to be filed with the Department of Environmental Conservation, which surveys the relevant environmental risks posed by the proposed project (ECL 8-0109; 6 NYCRR 617.12 [b] [6]). After the DEIS has been finished and publicly reviewed, the agency prepares and files a final environmental impact statement (FEIS) (ECL 8-0109 [6]). The DEIS and FEIS must analyze the “environmental impact and any unavoidable adverse environmental effects” of the project under review, as well as “alternatives to the proposed action . . . , including a ‘no-action alternative’ . . . and mitigation measures” (*Matter of Jackson*, 67 NY2d at 416 [citations omitted]). Finally, before approving the project, the agency must “make an explicit finding that the requirements of [SEQRA] have been met and that[,] consistent with social, economic[,] and other essential considerations, to the maximum extent practicable, adverse environmental effects revealed in the environmental impact statement process will be minimized or avoided” (ECL 8-0109 [8]). By administrative regulation, such finding must be contained in a written findings statement, which considers the conclusions reached in the FEIS, weighs and balances the relevant environmental impacts, and “provide[s] a rationale for the agency’s decision” (6 NYCRR 617.11 [c], [d]).

1. The “lead agency” is the agency “having principal responsibility for carrying out or approving [the] action [under review]” (ECL 8-0111 [6]).

Opportunity for public participation and engagement is an essential and mandatory part of the SEQRA process. At each step, the agency must provide for public comment, usually through a written public comment period (*see* 6 NYCRR 617.8 [e]; 617.9 [a] [2]-[5]; 617.11 [a], [b]; *see generally* *Matter of Jackson*, 67 NY2d at 415-416 [summarizing SEQRA process, including public comment requirements]). The agency is further authorized to hold optional public hearings at its discretion (*see* ECL 8-0109 [5]; 6 NYCRR 617.8 [e]; 617.9 [a] [4]).

II. Department of Health's SEQRA Review of JHL's Construction Project

In the appeal before us, JHL applied to DOH for permission to construct a new 414-bed residence for the elderly and disabled on a vacant lot on West 97th Street in New York City, to replace JHL's existing, outdated facility several blocks away. JHL submitted an environmental assessment statement to DOH, triggering the SEQRA review process. DOH assumed the SEQRA lead agency role, and subsequently issued a notice of intent to prepare a DEIS. As provided in DOH's final scoping document, the DEIS analyzed, among other environmental matters, the potential impact on public health of exposure to hazardous materials, including soil-based lead and airborne lead dust, as well as the effects of construction noise. To address these and other concerns, the agency developed a remedial action plan (RAP) and construction health and safety plan (CHASP), which outlined measures to protect workers and the surrounding community during the construction.

With respect to hazardous materials, the DEIS incorporated the results of two separate environmental site assessments, conducted by different experts. The first, a phase I assessment, found "[n]o evidence of recognized environmental conditions" and recommended no further action. Nevertheless, the agency proceeded to a phase II assessment, which collected and analyzed subsurface soil and groundwater samples from the footprint and immediate vicinity of the proposed facility. This report concluded that lead levels at the site were no higher than those typically found in urban fill, and were below the Department of Environmental Conservation's Restricted Residential Use Soil Cleanup Objectives, which provides a remediation standard for contaminated land (ECL 27-1415; 6 NYCRR subpart 375-6).

Based on these reports, DOH concluded that any risks posed by lead could be appropriately mitigated. The DEIS noted that,

although lead presented a health hazard, especially to children, there would be no long-term public exposure to lead in the soil, because the excavated leaded dirt would be removed or covered by the new facility, and thus did not constitute a soil-lead hazard as defined by the United States Environmental Protection Agency (EPA).

DOH further considered the risk of airborne lead dust migrating from the construction site. Since New York State does not have an airborne lead risk standard, DOH relied on the National Ambient Air Quality Standard (NAAQS), a federal standard established by the EPA pursuant to the Clean Air Act (42 USC §§ 7408-7409; 40 CFR part 50). The NAAQS sets forth an acceptable lead dust level for “sensitive populations” including children and the elderly. To ensure airborne lead dust remains within the NAAQS limits, DOH imposed monitoring and containment measures, including sprinkling/wetting soil with water, requiring tarp covers on haul-trucks, inspecting vehicles before site exit, and cleaning trucks as necessary to prevent dust dispersion. DOH also required proper disposal of soil in accordance with hazardous waste removal standards, real-time monitoring of dust levels, and the installation of a vapor barrier surrounding the cellar and sidewalls, along with contingency plans in case of additional contamination, including work-cessation if measured airborne particulate matter passed a certain threshold. DOH concluded in the DEIS that the construction would not cause significant environmental or public health risks from lead dust because these mitigation measures would keep airborne dust below the NAAQS limits, ensuring that acceptable levels would be “rarely (if ever)” exceeded.

DOH similarly assessed construction noise, and initially concluded that it would not significantly impact P.S. 163 students, relying, in part, on criteria set forth in the New York City Environmental Quality Review Technical Manual (City Manual)—the technical manual developed by the City for use by its agencies. Nevertheless, DOH conducted an analysis of the potential noise impact on P.S. 163 because the school was a “highly sensitive location.”

For its noise study, DOH adopted the Computer Aided Noise Abatement model, and employed assumptions that exceeded the worst-case scenario baselines referenced in the City Manual. Based on this study, DOH concluded that interior noise levels in the classrooms facing the site would, during the noisi-

est stages of construction, occasionally exceed the City Manual's target of 45 dBA. Actual noise would be lower, though, based on mitigation measures to be employed by JHL, including moving noisy equipment away from P.S. 163, installing a 10-foot-high sound barrier, and using less noisy electrical equipment. DOH concluded that these measures were sufficient because the external absolute noise levels would be equivalent to those on a heavily trafficked city street, and the excess noise would be sporadic over a less-than-two-year period.

After holding two public hearings following the publication of the DEIS, DOH issued the FEIS, reflecting consideration of points raised during the public hearing process, and responding in detail to public comments. As relevant here, DOH maintained that it had properly considered the risk of children's exposure to lead dust during construction and that the mitigation measures it required were sufficient.² DOH rejected requests that the construction site be enclosed in a tent during excavation to contain airborne particles, concluding that it was unnecessary, as compliance with the RAP and CHASP would adequately control dust levels, which would be continuously monitored using standard technology to ensure that they remained within acceptable levels.

As for construction noise, DOH decided, in response to public comments, to impose additional mitigation measures to further abate the impact on P.S. 163 students. These included requiring JHL to install interior acoustic windows in classrooms facing the site, to provide window air conditioners for classrooms lacking them so that windows could be closed throughout the construction, and to use a 16-foot rather than 10-foot sound barrier. DOH also prohibited noisy work during annual school testing periods and required JHL to assign a construction manager to respond to noise issues. DOH concluded that these measures would keep the noise in classrooms below 45 dBA most of the time. Although interior noise might occasionally reach the low-50s dBA, when construction was at its most intense, DOH concluded that this level would not have adverse health effects on children, as it is roughly equivalent to the background noise in an office.

2. DOH further noted that the Department of Environmental Conservation had also determined, based on the AKRF soil-sample analysis, that the site did not pose a significant threat to public health and that there was no reason to require lead contamination remediation.

In light of the reduction in noise to acceptable levels from these mitigation measures, DOH rejected as unnecessary a request from petitioners that JHL install central air conditioning as an alternative noise reduction tactic. After DOH filed the FEIS, DOH received additional comments from the P.S. 163 Parent Teacher Association, again requesting the installation of central air. In response, JHL alleged that installing central air conditioning at \$8-10 million was cost prohibitive and would delay construction. In support of its claims, JHL relied on an email from the City School Construction Authority. The State Dormitory Authority subsequently advised DOH that it was not feasible to install central air conditioning, noting potential added costs and delays if it became necessary for JHL to undertake asbestos abatement as part of the installation.

DOH eventually issued a findings statement that incorporated these arguments, reviewed the FEIS, and discussed the relevant environmental impacts identified and assessed during the SEQRA process. The findings statement also explicitly provided that, “consistent with social, economic and other essential factors, and considering the available reasonable alternatives,” the project “avoids or minimize[s] adverse environmental impacts to the maximum extent practicable . . . by incorporating, as conditions to [DOH’s] decision, those mitigation measures [which were] identified as practicable,” and provided a rationale for that determination.

III. Proceedings Below

Petitioners filed their respective article 78 petitions seeking to annul, vacate and set aside DOH’s determination as arbitrary, capricious, and erroneous. Petitioners alleged that DOH relied on flawed assessment methodologies and failed to adequately mitigate the environmental dangers associated with the construction. Supreme Court partly agreed, vacated and annulled DOH’s approval of JHL’s application, and remitted the matter to DOH to prepare an amended FEIS. The court held that although DOH followed proper SEQRA procedures, it failed to adequately consider all relevant mitigation measures—in particular the use of a tent and the installation of central air conditioning.

The Appellate Division reversed, with one Justice dissenting, reinstated the findings statement, and dismissed the petitions (146 AD3d 576 [2017]). The Court rejected petitioners’ SEQRA

claims as well as their challenge to JHL's standing to appeal Supreme Court's order. The Court concluded that Supreme Court had improperly "substituted its analysis for the expertise of the lead agency simply because the agency rejected what the court considered to be better measures" (*id.* at 581 [internal quotation marks omitted]). The Appellate Division subsequently granted petitioners leave to appeal.

IV. Petitioners' Lead, Noise, and Procedural Claims

Judicial review of SEQRA findings "is limited to whether the determination was made in accordance with lawful procedure and whether, substantively, the determination 'was affected by an error of law or was arbitrary and capricious or an abuse of discretion'" (*Akpan v Koch*, 75 NY2d 561, 570 [1990], quoting CPLR 7803 [3]). This review is deferential for "it is not the role of the courts to weigh the desirability of any action or choose among alternatives, but to assure that the agency itself has satisfied SEQRA, procedurally and substantively" (*Matter of Jackson*, 67 NY2d at 416). Courts review an agency's substantive obligations "in light of a rule of reason" (*id.* at 417). Importantly:

"Not every conceivable environmental impact, mitigating measure or alternative must be identified and addressed before a FEIS will satisfy the substantive requirements of SEQRA. The degree of detail with which each factor must be discussed obviously will vary with the circumstances and nature of the proposal. . . . [T]he Legislature in SEQRA has left the agencies with considerable latitude in evaluating environmental effects and choosing among alternatives. Nothing in the law requires an agency to reach a particular result on any issue, or permits the courts to second-guess the agency's choice" (*id.* at 417 [internal quotation marks and citations omitted]).

In short, we "'review the record to determine whether the agency identified the relevant areas of environmental concern, took a 'hard look' at them, and made a 'reasoned elaboration' of the basis for its determination'" (*Akpan*, 75 NY2d at 570 [citations omitted]).

On appeal to this Court, petitioners raise several substantive and procedural issues. They challenge DOH's lead hazard findings, reasserting their arguments below that DOH adopted a

flawed methodology to measure the prevalence of lead at the construction site, failed to fully assess or mitigate the impact of airborne lead dust, and never looked specifically at the danger lead dust posed to children, the elderly, or the infirm. The parent petitioners additionally challenge DOH's construction noise findings, asserting that DOH's noise mitigation measures do not adequately protect P.S. 163 students. These petitioners also assert procedural challenges, namely that JHL lacked standing to appeal and that the Appellate Division erroneously granted DOH's motion to file an amicus brief while rejecting the petitioners' motion to file a brief in response.

We disagree with petitioners' lead claims, and, based on the record here, we conclude that DOH took the requisite hard look at the potential risk posed by soil-based lead contamination and potential lead dust migration. Petitioners' claims that DOH's soil-sample evidence was insufficient and resulted in unsupported conclusions about the risk posed by lead at the construction site are without merit. DOH relied on 38 soil samples, taken and analyzed according to a technically sound methodology by expert consultants. DOH weighed and resolved the disagreement voiced by the petitioners' experts regarding the consultants' methods and opinions. DOH's conclusions are based on federal and state standards, including accepted EPA standards, on which the agency was legally allowed to rely. Petitioners may have preferred DOH to adopt a different standard, but we cannot say DOH's determination "was affected by an error of law or was arbitrary and capricious or an abuse of discretion" (*Akpan*, 75 NY2d at 570 [internal quotation marks omitted]).

Petitioners' challenge to DOH's assessment of lead dust is similarly unavailing. As the record establishes, DOH relied on detailed investigations by experts, and employed appropriate government standards in assessing the risk of airborne lead. The DEIS, FEIS, and findings statement all explicitly acknowledged and evaluated the risk that construction would disturb leaded soil, creating airborne lead dust. In assessing how acute a danger the lead dust posed, DOH directly relied on the federal NAAQS for lead exposure, which was a rational choice, particularly as this standard was specifically formulated to protect sensitive populations, like schoolchildren.

Preventing the migration and inhalation of lead dust was one of the environmental risks the agency specifically set out to measure and mitigate in the RAP and CHASP that it

adopted. In recognition of the risk, DOH imposed a battery of construction protocols to monitor and contain airborne dust. DOH reasonably concluded that these mitigation measures were sufficient to ensure that airborne lead levels remained within acceptable NAAQS limits, and explained its assessment fully in the DEIS and FEIS.

Petitioners allege that these measures are insufficient, but their argument is unpersuasive. They complain that DOH relied on outdated standards, did not conduct a proper “pathway assessment” to determine how lead dust might affect sensitive populations (including, in particular, the children at P.S. 163), and, in any case, did not do enough to minimize lead exposure. In fact, as the record clearly shows, DOH relied on appropriate standards and considered precisely the harm petitioners identify. Petitioners allege that DOH should have more fully considered the use of a sealed tent during construction as a possible mitigation measure.³ However, DOH acted squarely within its statutory authority to choose among alternatives when it rejected the tent and adopted the measures it chose instead (*see Matter of Jackson*, 67 NY2d at 417).

Nor do the worker protection measures that DOH required for construction crews suggest that the dust mitigation measures it adopted were unreasonable, as petitioners argue. The former are designed to protect workers during periods of direct exposure through potential physical contact with hazardous materials at the construction site, while the latter are aimed at protecting students and residents in the surrounding area from airborne particulate matter. DOH reasonably concluded that the different situation of these two groups warranted different mitigation measures.

We find petitioners’ noise claims similarly unpersuasive. DOH conducted a detailed analysis of construction noise, employing assumptions based on reasonable worst-case scenarios. In assessing both the dangers of construction noise and the most appropriate mitigation measures, DOH acted within its “considerable latitude in evaluating environmental effects and choosing among alternatives” (*id.*). The fact that petitioners would have preferred different or additional mitiga-

3. As DOH notes, the use of a sealed tent is unusual, generally limited to long-term remediation projects, and, for this reason, its use is not contemplated by the City Manual.

tion measures presents a difference of opinion about the best way to address the environmental impacts that the agency, not the courts, must consider and resolve. In fact, the agency considered the opinions of petitioners' experts and determined that the lower noise levels for which they advocated were "not often achieved in densely-populated urban locations such as New York City." DOH also considered that its levels did not exceed the City Manual's recommendation. We conclude, based on all this information, that DOH did not act unreasonably in deciding that the noise levels it sought to maintain were within a permissible range.

Petitioner's procedural challenges are either without merit or unreviewable (*see* CPLR 5501, 5511).

In sum, DOH took the requisite "hard look" at [relevant areas of environmental concern] and made a 'reasoned elaboration' of the basis for its determination" (*Akpan*, 75 NY2d at 570 [citations omitted]). Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

Chief Judge DiFiore and Judges Stein, Fahey, Garcia, Wilson and Feinman concur.

Order affirmed, with costs, and certified question not answered as unnecessary.

[90 NE3d 818, 68 NYS3d 19]

EILEEN BRANSTEN, Justice of the Supreme Court of the State of New York, et al., Respondents, v STATE OF NEW YORK, Appellant.

Argued October 11, 2017; decided November 21, 2017

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Supreme Court, New York County (Carol Robinson Edmead, J.), entered May 1, 2015. The judgment (1) granted plaintiffs' motion for summary judgment to the extent of declaring "that L. 2011, c. 491, § 2 and the amended Civil Service Law § 167.8, including the regulations adopted thereunder, are unconstitutional as applied to the Judges and Justices of the Unified Court system because these statutes diminish compensation of all such Judges and Justices"; and (2) denied defendant's cross motion for summary judgment dismissing the complaint. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department (117 AD3d 455 [2014]), entered May 6, 2014. The Appellate Division order affirmed, insofar as appealed from, an order of that Supreme Court (40 Misc 3d 512 [2013]), which had denied defendant's motion to dismiss the complaint as against the named defendants.

Bransten v State of New York, 2015 NY Slip Op 30422(U), reversed.

HEADNOTES

Judges — Judicial Salaries — Judicial Compensation Clause — Reduction of State's Contribution to Health Insurance Benefits — Judicial Compensation Protected from Direct Diminution

1. Civil Service Law § 167 (8), which authorizes a reduction of respondent New York State's contribution to health insurance benefits for its employees, does not violate the Judicial Compensation Clause of the New York State Constitution (NY Const, art VI, § 25 [a]), as respondent's contribution is not judicial compensation protected from direct diminution by the Compensation Clause. The purpose of the Compensation Clause is to promote judicial independence and to ensure that the pay of prospective judges, who choose to leave their practices or other legal positions for the bench, will not diminish. Protected judicial "compensation," as that term is used in the Compensation Clause, refers to a judge's salary and any additional monies that serve as a permanent remuneration for costs necessarily incurred in fulfillment of a judge's judicial obligations. The health care contribution is not part of a judicial salary or a permanent remuneration for expenses necessarily

incurred in fulfillment of judicial obligations. Nor does respondent's expansion of the class of benefits available to its employees, including judges, provide a clear indication that the legislature intended for its contribution towards premiums to be treated as a permanent addition to a judicial salary, whether as part of a judge's pay or as a fixed amount in lieu of expenses. While the reduction in respondent's contributions to the costs of health insurance premiums would increase a participating judge's share of the cost associated with the chosen health care plan, such an increase is not the equivalent of a direct reduction in judicial compensation. It is a cost that is voluntarily assumed by the participating judges, and affects salary only indirectly as the judge must make up the difference.

Judges — Judicial Salaries — Judicial Compensation Clause — Reduction of State's Contribution to Health Insurance Benefits — Disadvantageous Treatment of Judiciary

2. Civil Service Law § 167 (8), which authorizes a reduction of respondent New York State's contribution to health insurance benefits for its employees, does not violate the Judicial Compensation Clause of the New York State Constitution (NY Const, art VI, § 25 [a]), as the reductions in contributions do not have the effect of singling out the judiciary for disadvantageous treatment. The history, context, statutory purpose, and statutory language, taken together, indicate that the category of state employees is the appropriate class against which the asserted discrimination must be measured. When plaintiffs filed their action, the vast majority of state employees also saw respondent's contribution to their health care premiums diminish. Thus, the law imposes the new financial obligation on all participating state employees, and does not treat judges differently than nearly every other state employee. The new policy does adversely affect judges, as it imposes a substantial cost on judges with no benefit. The benefit enjoyed by the vast majority of other state employees, however—protection from layoffs for unionized employees who accepted the reduction in premiums as part of the collective bargaining process—is a benefit already enjoyed by state judges as part of protecting their judicial independence. Furthermore, managerial and confidential employees are in the same position. Under these circumstances, where similarly situated employees receive the same treatment, excluding judges would be tantamount to offering a special judicial exemption from the commonly shared burden. The primary goal of the Compensation Clause—protecting the independence of the judiciary—is not implicated when respondent contributes a smaller percentage towards all employees' health care premiums.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Judges § 57.

CARMODY-WAIT 2d Officers of Court §§ 3:33, 3:38.

McKINNEY'S, Civil Service Law § 167 (8); NY Const, art VI, § 25 (a).

NY JUR 2d Civil Servants and Other Public Officers and Employees § 408; NY JUR 2d Courts and Judges §§ 300, 303.

ANNOTATION REFERENCE

See ALR Index under Judges.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Judith N. Vale, Barbara D. Underwood and Steven C. Wu of counsel), for appellant. The changes to the State's premium contributions do not improperly diminish protected judicial compensation. (*United States v Will*, 449 US 200; *Matter of Maron v Silver*, 14 NY3d 230; *United States v Hatter*, 532 US 557; *Robinson v Sullivan*, 905 F2d 1199; *Matter of State of New York v Rashid*, 16 NY3d 1; *McBryde v United States*, 299 F3d 1357; *Suttlehan v Town of New Windsor*, 31 Misc 3d 290, 100 AD3d 623; *Matter of Lippman v Board of Educ. of Sewanhaka Cent. High School Dist.*, 66 NY2d 313; *People ex rel. Bockes v Wemple*, 115 NY 302; *Roe v Board of Trustees of Vil. of Bellport*, 65 AD3d 1211.)

Stroock & Stroock & Lavan LLP, New York City (Alan M. Klinger and Dina Kolker of counsel), for respondents. I. Any reduction in contribution to plaintiffs' health insurance benefits is per se unconstitutional. (*Matter of Catanise v Town of Fayette*, 148 AD2d 210; *Roe v Board of Trustees of Vil. of Bellport*, 65 AD3d 1211; *People v Carroll*, 3 NY2d 686; *Matter of Endemann*, 201 Misc 1077; *Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *People ex rel. Makin v Wilkins*, 22 AD2d 497; *Matter of Thomas v Bethlehem Steel Corp.*, 95 AD2d 118; *People v McNair*, 78 Misc 2d 341; *Matter of Gordon v Monaghan*, 309 NY 336; *Matter of Mahon v Board of Educ.*, 68 App Div 154.) II. Even if an indirect diminution in judicial compensation, Civil Service Law § 167 (8) violates the Compensation Clause of the New York Constitution. (*Matter of Maron v Silver*, 14 NY3d 230; *Larabee v Governor of State of N.Y.*, 65 AD3d 74; *United States v Hatter*, 532 US 557; *United States v Will*, 449 US 200.)

OPINION OF THE COURT

Per Curiam.

The issue presented on this appeal is whether Civil Service Law § 167 (8), as amended, authorizing a reduction of the

State's contribution to health insurance benefits for state employees, including members of the state judiciary, violates the Judicial Compensation Clause of the State Constitution (NY Const, art VI, § 25 [a]). We conclude the State's contribution is not judicial compensation protected from direct diminution by the Compensation Clause, and the reductions in contributions do not have the effect of singling out the judiciary for disadvantageous treatment. Therefore, plaintiffs' constitutional challenge fails.

I. Statutory and Regulatory Background

State employees, including members of the judiciary, are eligible to participate in health insurance plans that are paid, in part, by the State's contributions towards insurance premiums (Civil Service Law §§ 161, 167; *see* Governor's Mem, Bill Jacket, L 1956, ch 461 at 3). Participation is optional and the choice of which insurance to purchase is within the sole discretion of employees.

In 2011, facing a budget crisis, the legislature negotiated with state-employee unions to avoid layoffs in exchange for a percentage reduction to the State's premium contributions, as well as salary freezes and unpaid furloughs. Thereafter, the legislature amended Civil Service Law § 167 (8) to authorize the Civil Service Commission to make these reductions for nearly all state employees and retirees. These changes also applied to unrepresented state employees and retirees not involved in negotiations, including approximately 1,200 judges,¹ and over 12,000 "managerial" or "confidential" employees. At the time, the changes did not apply to members of unions who had not agreed to modify their collective bargaining agreement, but those employees were subject to layoffs (4 NYCRR 73.12).² The implementing regulations, effective October 1, 2011, provided for a two to six percentage point reduction in the State's health care contributions, depending on the employee's salary grade (4 NYCRR 73.3 [b]). Judges are not assigned salary grades, but all Supreme Court Justices receive a salary above "salary grade 10," and therefore the State reduced its

1. For ease of discussion, both judges and justices of the Unified Court System are referred to here as "judges."

2. The managerial and confidential employees constitute approximately six percent of the State's 189,000 employees, and the union members who had not adopted the agreement were approximately two percent. At oral argument, the State asserted that the change to contributions now applies to all employees.

premium contribution from 90% to 84% for judges who elect to enroll in the State's health insurance plan, and for judges who retired after January 1, 2012. The regulations also reduced the State's contribution for employees who elected to participate in the state plan and retired between January 1, 1983 and January 1, 2012 from 90% to 88% of the cost of coverage (4 NYCRR 73.3 [b]).

II. Plaintiffs' Action

Plaintiffs are 13 named current and retired Justices of Supreme Court, the Association of Justices of the Supreme Court of the State of New York, and the Supreme Court Justices Association of the City of New York. Plaintiffs filed suit against the State seeking a declaratory judgment that the statute that authorizes the reduction in contributions towards health insurance premiums, Civil Service Law § 167 (8), violates the Compensation Clause of the New York State Constitution, and appropriate injunctive relief.

Supreme Court denied the State's motion to dismiss for failure to state a claim pursuant to CPLR 3211 (a) (7). On the State's appeal from this interlocutory order, the Appellate Division affirmed, holding that compensation includes health insurance benefits, and that the decrease in the State's contribution level discriminates against judges because, unlike public-sector unionized employees, judges cannot collectively bargain to obtain compensation for the reduction in the State's contributions (*Bransten v State of New York*, 117 AD3d 455 [1st Dept 2014]).

The parties subsequently cross-moved for summary judgment. Supreme Court denied the State's motion and granted the plaintiffs' to the extent of declaring Civil Service Law § 167 (8) and its implementing regulations unconstitutional as applied to members of the judiciary (*Bransten v State of New York*, 2015 NY Slip Op 30422[U] [Sup Ct, NY County 2015]). The State appealed to this Court as of right directly from Supreme Court's judgment pursuant to CPLR 5601 (b) (2).³

III. Judicial Compensation Clause Salutory Purpose

Article VI, § 25 (a) of the New York State Constitution provides that the compensation of state sitting and retired

3. Contrary to Judge Wilson's contention, this appeal is properly before us (Wilson, J., concurring op at 459-460). *Rent Stabilization Assn. of N.Y. City v Higgins* (83 NY2d 156, 168 [1993]) does not suggest otherwise, as there the appeal involved more issues than just the constitutional validity of a statute.

judges: “shall be established by law and shall not be diminished during the term of office for which [a judge] was elected or appointed.” The term “compensation” is not defined in the Constitution, but its meaning is inextricably tied to the purpose of the Compensation Clause, which is “to promote judicial independence” and, relatedly, to “ensure that the pay of prospective judges, who choose to leave their practices or other legal positions for the bench, will not diminish” (*Matter of Maron v Silver*, 14 NY3d 230, 250 [2010], citing *United States v Will*, 449 US 200, 221 [1980]).

Historically, the focus of the Compensation Clause has been to protect against the danger of external control over judicial pay as a means by which to exert influence over the judiciary. “[T]he Legislature was precluded from diminishing salaries in recognition of the risk that salary manipulation might be used as a tool to retaliate for unpopular judicial decisions” (*Matter of Maron*, 14 NY3d at 252). As with the similar prohibition contained in the Federal Compensation Clause, the anti-diminution language was intended to protect judges from the corruptive force of financial uncertainty, in order to maintain an able and independent judiciary, free of coercion from the other branches (*see* US Const, art III, § 1 [judges’ compensation “shall not be diminished during their Continuance in Office”]; *Matter of Maron*, 14 NY3d at 250 [purpose of state clause is same as federal clause: to promote judicial independence]; *Will*, 449 US at 218-220 [framers of Federal Constitution made certain the compensation of judges was protected from one of the evils that brought about the Revolution]; *United States v Hatter*, 532 US 557, 568-569 [2001] [founders recognized importance of protecting judiciary from financial dependence on legislature]).

To that end, and as this Court explained in *Matter of Maron*, the legislature may not enact laws that directly diminish judicial compensation or accomplish the same result by singling out judges for disadvantageous treatment that indirectly diminishes their pay (14 NY3d at 252-254; *see also Hatter*, 532 US at 571). Thus, plaintiffs may establish a Compensation Clause violation here by demonstrating that the State’s reduced contribution to their health insurance premiums: (1) is a direct diminishment of their compensation; or (2) is an indirect diminishment that targets judges for disadvantageous treatment.

IV. Prohibition on Direct Diminution in Judicial Compensation

Under our case law, protected judicial “compensation,” as that term is used in the Compensation Clause, refers to a judge’s salary and any additional monies that serve as a permanent remuneration for costs necessarily incurred in fulfillment of a judge’s judicial obligations. So, for example, in *People ex rel. Bockes v Wemple* (115 NY 302, 309-310 [1889]), the Court held that the legislature had increased judicial compensation by providing a fixed amount “‘in lieu’ of expenses . . . to compensate [the judge] further for what [the] office entailed . . . in the way of duties and work.” The Court further explained that “the intention of the legislature was to make a permanent addition to the stated salary, which should be beyond the power of subsequent legislatures to affect” (*id.* at 310). Similarly, in *Gilbert v Board of Supervisors of County of Kings* (136 NY 180, 185 [1892]), the Court recognized that “the word compensation . . . was understood to mean the salary of the judge as such, and the allowance for expenses.” Notably, the Court distinguished between compensation within the meaning of the Constitution—what the Court described as the salary set for judges in their role as sitting judges—and a discretionary allowance set by a municipality or board for a judge’s local service as a Commissioner of Jurors (*see id.* at 185-186; *see also Bockes* at 309-310). From these cases the two essential characteristics of constitutionally-protected judicial compensation can be gleaned: the remunerative purpose and the permanence of the legislative allotment.⁴

4. Justice Dillon notes the 1894 Constitution is “the document that is of the most historical importance to this matter” (Dillon, J., concurring op at 449). Consistently throughout this document, “compensation” is used to describe a quantifiable sum, while salary is used more specifically to describe payment for labor. For example, article I, § 7, states that “just compensation” is required for a taking of private property, which will be an “amount” to be paid to the landowner. When compensation is discussed in relation to various officeholders, the term either refers to salary or to salary plus remuneration for costs necessarily incurred in fulfillment of the officeholders’ obligations: the governor shall receive a set salary and have a residence provided (art IV, § 4), legislators shall receive salary plus a sum for the amount of miles they travel to and from session, and in some circumstances an additional per diem allowance (art III, § 6). Tellingly, the 1894 Constitution set the “salary” of the Lieutenant Governor, before clarifying that the officeholder “shall not receive or be entitled to any other compensation, fee or perquisite, for any duty or service he may be required to perform by the Constitution or by law” (art IV, § 8). A “perquisite” is defined by Black’s as “[a] privilege or benefit given in addition to one’s salary or regular wages” (10th ed 2014) (*see also* Black’s

(n. cont’d)

[1] The health care contribution at issue here exhibits neither of these characteristics. It is not part of a judicial salary or a permanent remuneration for expenses necessarily incurred in fulfillment of judicial obligations. Nevertheless, plaintiffs argue that compensation means anything of value provided by an employer and includes health care benefits, as they “are an integrated part of the compensation package provided to State employees and Judges.” While plaintiffs are correct that the State pays a percentage of premiums for those employees who choose to participate in a state subsidized health care plan, that fact does not transform the State’s contribution into judicial compensation within the meaning of our State Constitution. This Court has previously recognized that compensation for constitutional purposes has a unique and historical purpose (*see Bockes*, 115 NY at 306-307; *Gilbert*, 136 NY at 184-185).

Indeed, plaintiffs are unable to point to anywhere in the legislative schema where the State’s contribution is referred to as “compensation.” In fact, chapter 567 of the Laws of 2010, which created the Special Commission on Judicial Compensation, states that the Commission’s purpose was to “examine, evaluate and make recommendations with respect to adequate levels of compensation *and non-salary benefits* for judges and justices of the state-paid courts of the unified court system” (L 2010, ch 567, § 1 [a] [emphasis added]). This suggests that, contrary to plaintiffs’ argument, judges’ health care benefits are distinct from judicial compensation.

Nor does the State’s expansion of the class of benefits available to its employees, including judges, provide clear indication that the legislature intended for its contribution towards premiums to be treated as a permanent addition to a judicial salary, whether as part of a judge’s pay or as a fixed amount in lieu of expenses. In fact, since the legislature created a centralized state health insurance fund in 1956 (*see Civil Service Law* § 167 [6]), the State has, on occasion, adjusted the costs and benefits afforded to state employees who have opted into the program by, for example, increasing employees’ annual deductibles or changing the amounts employees must pay for out-of-

Law Dictionary [1st ed 1891]; Bouvier’s Law Dictionary 2574 [1914]). The rule against superfluities suggests that, contrary to Justice Dillon’s conclusion, “compensation,” while undoubtedly a broader term than “salary,” was not used so broadly as to include privileges or benefits (*see Hibbs v Winn*, 542 US 88, 101 [2004]).

network services. Notably, the State's contribution to employee health insurance premiums have been changed before, dropping from 100% in 1967 to 90% in 1983 (Civil Service Law § 167 [1] [a]; see also L 1983, ch 14). Plaintiffs concede that the State is not required to keep pace with increasing health care costs, which undermines their argument that maintaining the level of state subsidy is necessary to avoid constitutionally impermissible diminution of judicial compensation. Tellingly, "[t]he whole matter" of choosing a health plan—or whether to participate in one at all—is left to the employee (*cf. Gilbert*, 136 NY at 185 [additional payment for serving as County Commissioner of Jurors is not compensation for constitutional purposes where the whole matter was left to the discretion of the County's Board of Supervisors]).

Plaintiffs' approach also lacks a standard by which to distinguish between constitutionally protected compensation and any amount of monies provided directly to judges or as a discount for other costs. For plaintiffs, compensation would include even those items that have an indisputably indirect impact on salary, as, for example, parking privileges, discounts in a cafeteria, or even free coffee and bagels in a communal kitchen. As these examples illustrate, adopting plaintiffs' position renders meaningless "compensation" as a constitutional term of art. It would also leave us without any standard by which to guide future decisions.

Significantly, the challenged percentage reduction in the State's contribution does not jeopardize judicial independence—the essential evil that the Compensation Clause is intended to address (see *Matter of Maron*, 14 NY3d at 252). Granted, health care benefits may be valuable to an employee, but the percentage reduction to the State's contribution is not equivalent to the base salary upon which a judge subsists, and which, if tampered with, "amounts to a power over [a person's] will" (*Will*, 449 US at 218; *Hatter*, 532 US at 568, quoting Alexander Hamilton, Federalist No. 79 at 472 [C. Rossiter ed 1961]; see also *Matter of Maron*, 14 NY3d at 252).⁵ Simply put, the Compensation Clause uses proscriptive language to ensure

5. We do not opine on whether the "wide array of permutations" listed by Justice Dillon are compensation for constitutional purposes (Dillon, J., concurring op at 452). Our opinion is confined to the question before us: whether a reduction in the percentage of the State's contributions to the costs of health insurance premiums constitutes a diminution in judicial compensation.

that a judge will not hesitate to make a decision for fear that the outcome puts the judge's livelihood in jeopardy.

While the reduction in the State's contributions to the costs of health insurance premiums would increase a participating judge's share of the cost associated with the chosen health care plan, such an increase is not the equivalent of a direct reduction in judicial compensation. It is a cost that is voluntarily assumed by the participating judges, and affects salary only indirectly as the judge must make up the difference.

V. Indirect Effect of Discrimination against Judges

Plaintiffs argue that even if the reduction in state contributions towards judges' health care premiums does not reflect a direct diminution of their compensation, the amendment to section 167 (8) nevertheless indirectly diminishes their compensation and unconstitutionally discriminates against judges, and is therefore still unconstitutional under the United States Supreme Court's *Hatter* framework. The plaintiffs maintain that the amendment to section 167 (8) treats judges worse than other state employees who were able to negotiate benefits in exchange for the premium contribution reductions, or even opt out from the reduction entirely. They argue the legislation is similar to a law struck down as violative of the Federal Compensation Clause in *Hatter*.

As we have done in the past, we apply the analysis of *Hatter*—that a cost increase that indirectly affects judicial compensation is not unconstitutional, so long as the increase does not target judges for disadvantageous treatment—and we conclude that the state law is not the type of legislatively targeted discrimination impermissible under our Judicial Compensation Clause (*Matter of Maron*, 14 NY3d at 255-256 [applying *Hatter* to freeze on judicial salaries challenged in companion case *Chief Judge of State v Governor of State*]). In *Hatter*, the Supreme Court interpreted the Federal Compensation Clause, with its similar purpose and language to the state clause, when evaluating Medicare and Social Security taxes collected from federal judges. The Court concluded the Medicare tax was constitutional because it was a general tax burden borne by all citizens, and no compelling reason existed why judges should not share in such a nondiscriminatory tax. As the Court explained,

“the likelihood that a nondiscriminatory tax represents a disguised legislative effort to influence the judicial will is virtually nonexistent. Hence, the potential threats to judicial independence that underlie the Constitution’s compensation guarantee cannot justify a special judicial exemption from a commonly shared tax, not even as a preventive measure to counter those threats” (*Hatter*, 532 US at 571).

In contrast, the *Hatter* Court identified four features of the Social Security tax that taken together lead to the conclusion that it discriminated against judges in a manner the Compensation Clause forbids (*id.* at 572-573). First, the *Hatter* Court considered the class of affected persons that judges should be compared against and determined the proper class consisted of those to whom the law applied, namely all federal employees. Second, the Court considered whether the law imposed the same financial obligation on all members of that class, or whether it treated judges differently from other federal employees. The Court found the law imposed a new financial obligation upon sitting judges that it did not impose on any other group of federal employees. Third, the Court determined that the law adversely affected judges as it imposed a substantial cost on judges with little or no expectation of substantial benefit for most of them (*see id.*). Finally, the Court examined whether there was a sound justification for the statutory distinction between judges and other federal employees. The Court noted that Congress did not explain its rationale, and the government’s position—that the disparate tax treatment of judges was instituted to make the judicial retirement system contributory like the system for other federal employees—was illogical inasmuch as judges have life-tenure (*see id.* at 573-574).⁶ “Taken together,” the Court concluded,

“these four characteristics reveal a law that is special—in its manner of singling out judges for

6. The Court further observed that the “‘equaliz[ation]’ in question takes place not by offering all current federal employees (including judges) the same opportunities but by employing a statutory disadvantage which offsets a constitutionally guaranteed advantage” (*Hatter*, 532 US at 574). “Hence, to accept the ‘justification’ offered here is to permit, through similar reasoning, taxes which have the effect of weakening or eliminating those constitutional guarantees necessary to secure judicial independence, at least insofar as similar guarantees are not enjoyed by others” (*id.*).

disadvantageous treatment, in its justification as necessary to offset advantages related to constitutionally protected features of the judicial office, and in the degree of permissible legislative discretion that would have to underlie any determination that the legislation has ‘equalized’ rather than gone too far” (*id.* at 576).

[2] Applying the *Hatter* factors here, first, the “history, context, statutory purpose, and statutory language, taken together, indicate that the category of [state] employees is the appropriate class against which we must measure the asserted discrimination” (*see Hatter*, 532 US at 572 [internal quotation marks omitted]). Second, when plaintiffs filed this action, the vast majority of state employees also saw the State’s contribution to their health care premiums diminish. Thus, the law imposes the new financial obligation on all participating state employees, and does not treat judges differently than nearly every other state employee (*cf. Hatter*, 532 US at 573). Third, the new policy does adversely affect judges, as it imposes a substantial cost on judges with no benefit. The benefit enjoyed by the vast majority of other state employees, however—protection from layoffs for unionized employees who accepted the reduction in premiums as part of the collective bargaining process—is a benefit already enjoyed by state judges as part of protecting their judicial independence. Furthermore, the “managerial” and “confidential” employees are in the same position, suggesting that the increased contributions operate more like the non-discriminatory Medicare tax in *Hatter*. Under these circumstances, where similarly situated employees receive the same treatment, excluding judges would be tantamount to offering “a special judicial exemption” from the commonly shared burden (*id.* at 571).⁷ The fourth factor is not relevant here, as the distinction in contributions is based on salary grade, not judicial office (*see id.* at 573-574). Taking these four factors

7. In *Hatter*, Congress imposed a different financial burden on federal judges that it did not impose on nearly any other federal employees, and the government stated that the purpose for the disparate treatment of federal judges was to compensate for a constitutional guarantee intended to ensure judicial independence. Here, by contrast, the State did not treat judges differently when reducing its premium contributions because it wanted to “equalize” the fact that state judges are not subject to layoffs. Rather, the State did not treat judges differently from other state employees at all, except insofar as the judges were not offered a benefit to which they were already constitutionally entitled and therefore could not be offered.

together, the adjustment of the State's contribution to its employees' health care premiums does not "reveal a law that is special" in how it disadvantages judges (*id.* at 576). As such, plaintiffs have failed to establish a violation of the Compensation Clause based on discriminatory treatment.

VI. Conclusion

The primary goal of the Compensation Clause—protecting the independence of the judiciary—is not implicated when the State contributes a smaller percentage towards all employees' health care premiums. A contribution to health care premiums, which varies from year to year, is not compensation within the context of the Compensation Clause. Moreover, even though the reduction indirectly diminishes judicial compensation, the legislature has not singled out judges for disadvantageous treatment. Where, as here, the reduction applies to all state employees, there is not even a suggestion that judges are being targeted. As such, the change in state contributions does not jeopardize the independence of the judiciary or "represent[] a disguised legislative effort to influence the judicial will" (*Hatter*, 532 US at 571).

Accordingly, the judgment should be reversed, without costs, plaintiffs' motion for summary judgment denied, and judgment granted in favor of defendant declaring Civil Service Law § 167 (8) does not violate the Compensation Clause of the New York State Constitution (NY Const, art VI, § 25 [a]).

DILLON, J. (concurring). Contributions by the State of New York toward the cost of health care insurance premiums provided to the judges and justices of the Unified Court System are part of the paid "compensation" that falls within the protective provisions of the State Constitution, article VI, § 25 (a) (the Compensation Clause). For reasons set forth below, the Compensation Clause would be irrelevant to the State's health care insurance contributions if the controlling constitutional language merely guaranteed that no judicial "salary" be diminished during jurists' terms in office. However, the presence of the broader term "compensation" in the Compensation Clause casts a wider net that includes more than mere salary.

I.

The bench and bar are frequently called upon to interpret the precise meaning of words and phrases in constitutions,

statutes, contracts, wills, and other legal documents. Such issues are parsed by examining words and phrases in accordance with plain language, the drafters' intent, the contexts in which words and phrases are applied, common usages and understandings, the parties' reasonable expectations, and the affordance of meaning that is consistent with the whole of the document being examined. These concepts are not alien to the interpretation of provisions in our State Constitution. We have held that the Compensation Clause is to be construed in a manner "to give its provisions practical effect" (*Ginsberg v Purcell*, 51 NY2d 272, 276 [1980]; see also *Pfingst v State of New York*, 57 AD2d 163, 165 [1977]). The Compensation Clause is to be given "a fair and liberal construction, not only according to its letter, but also according to its spirit and the general purposes of its enactment" (*Pfingst v State of New York*, 57 AD2d at 165; see *People ex rel. McClelland v Roberts*, 148 NY 360 [1896]).

The New York State Constitution has had a rich and evolving history. Constitutional conventions were convened in 1776-1777, 1821, 1846, 1867-1868, 1894, 1915, 1938, 1967, and a Constitutional Commission was established for 1872-1873 (see Albany Law School, Schaffer Law Library's Guide on the New York State Constitution, available at <https://www.albanylaw.edu/media/user/librarypdfs/guides/nyconsti.pdf>). The recommended Constitutions were adopted only for the years 1777, 1821, 1846, 1894 and 1938 (see Historical Society of the New York Courts, New York State Constitutions, available at <https://www.nycourts.gov/history/legal-history-new-york/history-new-york-courts-constitutions.html>). Along the way, there were many years where voters approved ad hoc amendments to the then-existing Constitutions including, as relevant here, 1925 and 1961.

The first Constitution to address the issue of compensation for state officeholders was that of 1821.¹ It provided in articles I and III that "compensation" be paid to members of the State Legislature and to the governor (see 1821 NY Const, art I, § 9; art III, § 4), but curiously made no reference to judicial pay. The Constitution of 1846 addressed judicial remuneration for the first time, entitling the state legislators, Governor, Lieutenant Governor, and justices to "compensation" in exchange for the performance of their duties (see 1846 NY Const, art III, § 6; art IV, §§ 4, 8; art VI, § 7).

1. The 1821 Constitution is sometimes also referred to in literature as the Constitution of 1822, the year of its effective date.

The Constitution of 1894 was the first to use divergent nomenclature to describe the remuneration of state officeholders. Under a heading of "Compensation," members of the legislature were entitled to a "salary" of \$1,500 per year plus reimbursement of travel expenses at a defined rate of \$1 for each 10 miles (*see* 1894 NY Const, art III, § 6). Under another heading also titled "compensation," the Governor was entitled to a "salary" of \$10,000 per year plus a furnished residence (*see* 1894 NY Const, art IV, § 4). A separate paragraph regarding the lieutenant governor was titled "Salary," which was set at the sum of \$5,000, but as to that officeholder, the text prohibited receipt of "any other compensation, fee or perquisite" for the performance of state duties (*see* 1894 Const, art IV, § 8). Whereas legislators and the executives were each expressly entitled to "salaries," judges and justices were instead entitled to "compensation," without elaboration, and with the only reference to their "salary" being that such money be financed for the county and surrogate courts by the counties in which they sat (*see* 1894 NY Const, art VI, §§ 12, 15). The 1894 Constitution provided a guarantee that judicial compensation not be diminished during any term of office (*see* 1894 NY Const, art VI, § 12).

A 1925 amendment to the 1894 Constitution continued the word "compensation" to describe judicial remuneration, and continued the guarantee that compensation not be diminished during terms in office (*see* NY Organization of St Jud System, Amend 4 [1925]).

The 1938 Constitution continued the header of "Compensation" for the state legislators, the Governor, and for the first time the Lieutenant Governor. It was specifically defined for those officeholders within the definitional texts as "salary" and travel expenses for legislators, "salary" and a residence for the governor, and straight "salary" for the lieutenant governor (*see* 1938 NY Const, art III, § 6; art IV, §§ 3, 6). However, the judiciary article continued to scrupulously avoid use of the word "salary," and instead referred only to "compensation" that was to be paid without diminishment to the remainder of the judicial terms (*see* 1938 NY Const, art VI, § 19). The same language was unmolested by a 1961 constitutional amendment that reorganized the courts of the State, and represents the language that is still controlling today (*see* 1962 Laws of NY at 4025; 1961 Laws of NY at 2708-2734).

A review of the various Constitutions and amendments establishes that since 1894, legislative and executive remuner-

ation has been expressed as including “salary” and, where applicable, certain defined perquisites and benefits. In contrast, judicial remuneration has been expressed solely and strictly as “compensation.” The specific language of the Compensation Clause today provides that the “compensation” of state judges and justices “shall be established by law and shall not be diminished during the term of office for which he or she was elected or appointed” (NY Const, art VI, § 25 [a]).

The 1894 Constitution is the document that is of the most historical importance to this matter as it reflects the first instance when the drafters of the New York Constitutions expressly differentiated between the “salary” and other benefits payable to legislators and executives, and the “compensation” payable to members of the judiciary. There appear to be no available original or secondary source materials that explain the difference in terminology. The reason for differentiating between salary and compensation in 1894 is not disclosed in the Journal of the Constitutional Convention of the State of New York (1894), the Report of the Debate and Proceeding of the Convention, or in the Documents of the Convention volumes 1-2 (see New York State Library, Documents from the 1894 NY Constitutional Convention). Not even Charles Z. Lincoln’s *The Constitutional History of New York*,² which is perhaps the most authoritative study of the State’s early constitutional history, provides any explanation or insight into the contrasting terminology. Cases decided prior to 1894 on matters involving judicial compensation, such as *People ex rel. Bockes v Wemple* (115 NY 302 [1889]), *Gilbert v Board of Supervisors of County of Kings* (136 NY 180 [1892]), and *People ex rel. Follett v Fitch* (145 NY 261 [1895] [interpreting a pre-1894 statute]), are of limited value as they predate the significant language changes adopted in the Constitution of 1894. Yet, there can be no question that for the last 123 years, the distinction between “salary” and “compensation” has conspicuously existed in the New York Constitution. Absent convention debate or reports reflecting the specific intent of the drafters on this issue, our interpretation of the meaning of such nomenclature must necessarily rest upon the words themselves and their common usage (see *Anderson v Regan*, 53 NY2d 356, 362 [1981]; *Matter of Rahill v Bronstein*, 32 NY2d 417, 420-421 [1973]; *People v Carroll*, 3 NY2d 686, 689 [1958]).

2. Charles Z. Lincoln, *The Constitutional History of New York*, vols I-V (Lawyers Co-operative Publishing Company 1905-1906).

Words matter. “Salary” and “compensation,” while related, are not one and the same. Tellingly, the Constitution of 1894 referred to legislative and gubernatorial “Compensation” as a mere title header to the description and obligations of those branches of state government (*see* 1894 NY Const, art III, § 6; art IV, § 4). The texts within the legislative and executive articles of the 1894 Constitution, underneath their headers, then defined those officeholders’ remuneration as “salary” and in the specific case of the legislators and Governor, reimbursements and perquisites. The straight \$5,000 “salary” of the lieutenant governor was plainly described as such in the absence of other perquisites or benefits, and without reference to any complicating reference to payable compensation (*see* 1894 NY Const, art IV, § 8). Clearly the Constitution of 1894 employed the word “compensation” as a broad umbrella term, and used the word “salary” as one component thereof, perhaps the largest, fitting under the compensation umbrella. Therefore, where article VI, § 12 of that Constitution described judicial remuneration solely in terms of “compensation” without any reference to “salary,” the drafters purposely chose to cloak the judiciary under that umbrella, without limiting judicial remuneration to any narrower term or definition. The reason for doing so might be self-evident and central to this appeal; namely, that only remuneration for the judicial branch of government was described in the same sentence as subject to non-diminution during any terms of judicial office (*see* 1894 NY Const, art VI, § 12).³ By implication and reasonable construction, the drafters of the Constitution of 1894 were seeking to provide members of the judiciary with broad protections, such that the non-diminution of compensation be expansive and extend to all forms of emoluments that judges and justices could traditionally expect to receive at that time.

For these reasons, the linguistic differential between legislators’ and executives’ “salaries,” perquisites and benefits, as distinguished from jurists’ “compensation,” from 1894 forward, demonstrates that salary and compensation are not synonymous terms.

3. The Constitution of 1821 had protected the Governor’s compensation from diminishment during any term in office (*see* 1821 NY Const, art III, § 4), but that provision was dropped in subsequent Constitutions.

II.

State-sponsored health care coverage was not specifically mentioned in the Constitution of 1894 or its 1938 successor. The issue has “called into life a being the development of which could not have been foreseen completely by the most gifted of [constitutional] begetters” (see *Missouri v Holland*, 252 US 416, 433 [1920]). Litigation over the meaning of judicial “compensation” has been sparse. Three cases from the late 1800s that appear instructive on their faces address issues of judicial compensation: *People ex rel. Bockes v Wemple* (115 NY 302 [1889]), *Gilbert v Board of Supervisors of County of Kings* (136 NY 180 [1892]), and *People ex rel. Follett v Fitch* (145 NY 261 [1895]). However each of these reported cases involve constitutional analysis, or in the case of *Follett*, a statute, that became outdated with the subsequent adoption of the Constitution of 1894 containing the distinction between “salary” and “compensation.” Nevertheless, to the extent arguably relevant, *Bockes*, while dusty, actually supports the conclusion that the Compensation Clause is intended to protect more than mere salary.

In 1889, this Court faced the question of whether judicial compensation was limited to a \$6,000 annual payment, or included an additional \$1,200 annual payment authorized in lieu of job-related expense reimbursements (see *People ex rel. Bockes v Wemple*, 115 NY at 306). At that time, Justices of the Supreme Court were entitled to compensation to the end of their elected terms in office, even if a term ended after a justice reached the mandatory retirement age of 70. The legal questions posed were twofold: (1) whether the Justice’s post-retirement compensation was to be paid at the rate of \$6,000 per year or \$7,200 per year, and (2) whether a payment of only \$6,000 represented a diminution otherwise prohibited by the then-existing Constitution. This Court held that the \$7,200 total amount that had been paid to the justice prior to retirement remained intact, and a continuing debt of the State, until the expiration of the official term in office to which that justice had been elected (see *People ex rel. Bockes v Wemple*, 115 NY at 311). The Court described the \$1,200 payment “as much a part of the compensation to the justice as though his salary, *eo nomine*, had been increased to compensate him further for what his office entailed upon him in the way of duties and work” (*People ex rel. Bockes v Wemple*, 115 NY at 309-310). In other words, the precedent establishes that the Compensation Clause is not limited to the mere and strict “salary” that is

scheduled and adjusted from time to time by the legislature, but more broadly includes, at least in the instance of *Bockes*, the “in lieu of” payment that substituted for the reimbursement of itemized job-related expenses.⁴

Here, the majority maintains that *Bockes* limits judicial compensation only to remuneration that is directly related to the performance of official duties and work. In fact, *Bockes* did not address whether other forms of remuneration or benefits, which did not exist until decades later, could equally qualify as compensation. Today, almost 13 decades after this Court decided *Bockes*, judicial compensation bears little resemblance to its nineteenth century predecessor. Indeed, judicial compensation is complicated by a wide array of permutations including tax-advantaged 401(k) plans, flex spending medical and childcare accounts, deferred compensation options, the reimbursement of itemized job-related expenses, pension contributions and accounts, and as solely relevant here, state-sponsored health care coverage paid for mostly by the State and partially by the participating members of the judiciary.

III.

Turning attention more specifically to health care insurance contributions, authority is scant in New York and throughout the nation as to whether states’ contributions toward the

4. *Bockes* was not without its limits. The Board of Supervisors for Kings County voluntarily paid the justices in that county an additional \$6,000 annual allowance for drawing local jurors. This Court held in 1892 that the reference in the Compensation Clause to “compensation to be established by law” did not extend to additional allowances that municipalities might, in their discretion, add to remuneration for special local services (see *Gilbert v Board of Supervisors of Kings County*, 136 NY at 185-186). The Court’s reasoning reached a result that was both practical and consistent with the State’s constitutional obligations (*id.* at 186). Judicial compensation extending beyond the jurists’ age-related retirement was enough of a hot-button issue in the 1890s that it prompted an amendment to the Constitution in 1894. The 1894 amendment eliminated the post-retirement payment of compensation for jurists elected after January 1, 1894 (see 1894 NY Const, art VI, § 12). Similarly, in *People ex rel. Follett v Fitch* (145 NY 261 [1895]), this Court addressed the constitutionality of 1882 legislation that required payment by the City of New York of up to \$500 per year for Supreme Court Justices residing outside the city but assigned to a General Term within the city, as reimbursement for expenses and disbursements (L 1882, ch 410, § 1109, as amended L 1883, ch 104). This additional sum was held to be not guaranteed and not subject to the Compensation Clause, as job-related expenses and disbursements were already subsumed by the then-existing \$1,200 annual payments made by the State in lieu of itemized expenses (see *People ex rel. Follett v Fitch*, 145 NY at 266).

expense is protected by judicial Compensation Clauses. In New Jersey, where the Compensation Clause prohibits the diminution of judicial “salaries” during the terms of judicial appointment (*see* NJ Const, art VI, § 6, para 6), the New Jersey Supreme Court held under facts similar to those present here that an increase in jurists’ percentage contributions toward health care premiums, and toward pensions for that matter, was unconstitutional (*see DePascale v State*, 211 NJ 40, 62, 47 A3d 690, 703-704 [2012]; *accord Hudson v Johnstone*, 660 P2d 1180, 1182 [Alaska 1983] [unconstitutionality of Alaska’s increase in judges’ paycheck deduction toward the state’s retirement system]; *Stiftel v Carper*, 378 A2d 124, 132 [Del Ch 1977], *affd* 384 A2d 2 [Del 1977] [same, as to Delaware]). In contrast, the Court of Appeals of Michigan has held that a city’s elimination of payments for judges’ health care coverage and lesser fringe benefits did not violate that state’s statutory judicial compensation protections (*see Garian v City of Highland Park*, 176 Mich App 379, 382, 439 NW2d 368, 369-370 [1989]). Michigan’s non-diminution statute is similar to New Jersey’s Compensation Clause in that its guarantees are directed at judicial “salaries,” and not at “compensation” (*see* Mich Comp Laws § 600.8202 [5]).

New York’s Compensation Clause, unlike the language employed in New Jersey and Michigan, is not protective of “salaries,” which is a narrow and targeted term, but of “compensation,” which is broader and more inclusive. This Court used the terms “pay,” “salary,” and “compensation” interchangeably in *Bockes*, *Gilbert*, and/or *Follett*, but in those cases, it was not called upon to define any distinctions between the nomenclature, because doing so would have made no difference to the narrow decisions the Court was called upon in those instances to render.

The interpretation of the “compensation” terminology used in the New York Constitution arose in a 2009 Appellate Division decision addressing the question of whether the elimination of paid health care benefits to a village justice during his term in office violated the State’s Compensation Clause. While not binding here, the Second Department held that the mid-term elimination of the justice’s paid health benefits was an encroachment on the compensation protections afforded by article VI, § 25 (a) of the New York Constitution (*see Roe v Board of Trustees of Vil. of Bellport*, 65 AD3d 1211, 1212 [2009]). During the same year, the First Department viewed

judicial “compensation [as] consisting of the pay scale *and benefits*” (*Larabee v Governor of State of N.Y.*, 65 AD3d 74, 85 [2009] [emphasis added], *affd as mod* 14 NY3d 230 [2010], *rearg dismissed* 16 NY3d 736 [2011]).

Interestingly, the record evidences that New York State employees may opt out of the health care coverage offered by the State, and receive in exchange an “incentive payment” that is pro-rated in biweekly paychecks as taxable income (record at R89, R109, R117). If incentive payments are treated by the federal government as taxable income, the State’s contributions toward the cost of the health care insurance coverage that is not waived by other employees should be construed as compensation as well.

Health care insurance coverage has been defined as part of compensation, outside the scope of the Compensation Clause, in a variety of decisions from the Second, Third, and Fourth Departments, and in state and federal statutes. The appellate decisions include, from the Fourth Department, *Matter of Board of Educ. of Dundee Cent. School Dist. (Coleman)* (96 AD3d 1536, 1539 [2012] [“a contribution toward an employee’s health insurance is a form of compensation”]). The Third Department has separately opined that “[i]t is generally undisputed that health insurance benefits are a form of compensation ‘encompassed within the definition of terms and conditions of employment’ ” (*Matter of Police Assn. of City of Mount Vernon v New York State Pub. Empl. Relations Bd.*, 126 AD2d 824, 825 [1987], quoting *Matter of Town of Haverstraw v Newman*, 75 AD2d 874, 874-875 [1980]). Indeed, in *Matter of Town of Haverstraw*, the Second Department declared that “[t]here is no reason to distinguish legal insurance from health insurance or group life insurance. All are a form of compensation and, as such, are encompassed within the definition of terms and conditions of employment” (*id.* at 874-875).

Likewise, Judiciary Law § 34, which apportions the cost of judicial remuneration between the State and counties, defines compensation as including “the employer’s share of the premium for the coverage . . . under the health insurance plan created by article eleven of the civil service law.” Under Tax Law § 24-a (b) (3), a “‘[q]ualified production expenditure’ means . . . all salaries, wages, fees, and other compensation including related benefits.” A “living wage” under Administrative Code of the City of New York § 6-134 (b) (9) is defined as

“an hourly compensation package that is no less than the sum of the living wage rate and the health benefits supplement rate for each hour worked . . . The portion of the hourly compensation package consisting of the health benefits supplement rate may be provided in the form of cash wages, health benefits or any combination of the two.”

Under a federal statute, the Board of the Tennessee Valley Authority must “approve all compensation (including salary or any other pay, bonuses, benefits, incentives, and any other form of remuneration) of all managers and technical personnel that report directly to the chief executive officer” (16 USC § 831a [g] [1] [G]). In another federal statute, the Senior Executive Service of the United States “shall be administered so as to . . . (1) provide for a compensation system, including salaries, benefits, and incentives, and for other conditions of employment, designed to attract and retain highly competent senior executives” (5 USC § 3131). Title 5 of the United States Code, which sets forth federal employees’ compensation rights, “govern[s] all incidents of employee compensation, including basic salaries; salary increases; overtime, holiday and sick pay; life and health insurance benefits; retirement benefits; travel and subsistence allowances; and compensation for injury and unemployment” (*Kizas v Webster*, 707 F2d 525, 536 [1983]).

The State’s contributions toward the health care insurance premiums of judges and justices are not quantified in the record in actual dollars, but as percentages of the total costs only. The State’s contributions are likely the single largest emolument that the participating members of the judiciary receive beyond scheduled salaries themselves. While the State’s health care contribution may not approach, in relation to salary, the \$6,000:\$1,200 ratio that this Court protected as additional compensation in *Bockes*, it is undeniably significant given the high costs of health care premiums today. We need not concern ourselves about whether the definition of compensation may or may not impact negligible issues such as parking privileges or cafeteria discounts. Only the State’s contributions toward health care insurance premiums are at issue here, the significance of which cannot reasonably be compared to the lesser job-related perquisites which are outside the scope of this appeal.

Notably, the precursors to the current New York Constitution broadly defined judicial remuneration as compensation rather than as salary, at a time when employer-provided health care

insurance did not exist. What did exist, as discussed in *Bockes*, were job-related out-of-pocket expenses that were initially reimbursed by the State on an itemized basis, then covered by an annual \$1,200 “in lieu of” payment, and which later reverted to the itemized reimbursement practice that is in effect today. Clearly, there has always been an understanding, expectation, and practice that in one form or another, judicial compensation included reimbursements for expenses incurred on the job, even though no such entitlement is specifically referenced in any state constitution or amendment thereto. Now, nearly two decades into the twenty-first century, the burgeoning cost of health care is undisputed. The State now routinely offers employees health care policies and routinely makes contributions toward their costs, reflecting a new and additional understanding, expectation and practice. These contributions, whether 90%, 88% or 84%, are significant for the employees who receive them and the employer who pays them, in both percentage and actual dollar terms.

When attorneys in private practice or employed in other capacities consider whether to seek a full-time judgeship by appointment or election, a prime consideration for many is the financial affordability of the career change. In some instances, the new jurist will incur a reduction in annual compensation by choosing a career on the bench. Similarly, current full-time judges and justices in New York assess their financial situations when deciding whether to seek reappointment or reelection, or to choose higher remuneration in the private sector. Still other members of the judiciary consider when and whether to retire from the bench, with or without the intention of remaining in the legal profession in some other form or fashion, and will factor into their calculation the financial impact of the decision. Prospective, current, or retiring jurists examining the financial ramifications of these career decisions will logically and necessarily consider the total compensation package they would expect to receive during a term in office or in retirement. Health care expenses for the jurist, and for covered dependents in many instances, are a significant sum of money as they are to employees in any profession, and constitute an integral part of the calculation which must be made in deciding the affordability of entering, remaining in, or retiring from public service in the judiciary.

In sum, the State’s contribution toward the health care insurance premiums of the participating members of the judi-

ciary should be acknowledged as part of compensation within the protective cocoon of the Compensation Clause because, for reasons noted, doing so gives “practical effect” to the terms and wording of the Compensation Clause (*see Ginsberg v Purcell*, 51 NY2d at 276). It is a significant element of judicial remuneration and has been treated as such, as a practical matter, by both employer and employees, and in statutes and cases, no less so than the annual \$1,200 “in lieu of” allowance that was protected by *Bockes*.

V.

The judgment appealed from should nevertheless be reversed.

Any direct reduction of compensation to members of the state judiciary violates New York Constitution, article VI, § 25 (a) (*see Matter of Maron v Silver*, 14 NY3d 230, 252-254 [2010]). At first blush, the State’s reductions in health care insurance contributions embodied in Civil Service Law § 167 (8) would appear to be violative of the Constitution and warrant judgment in plaintiffs’ favor.

However, legislative enactments, such as Civil Service Law § 167 (8), are presumed to be constitutional, and those who challenge them “bear a heavy burden of proving unconstitutionality beyond a reasonable doubt” (*City of New York v State of New York*, 76 NY2d 479, 485 [1990]; *see Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489, 495 [1985]). On this record, plaintiffs have failed to satisfy their burden that the reduction in the State’s percentage contributions toward health care insurance premiums—from 90% to 84% for active jurists and from 90% to 88% for retirees—represents any net reduction of the value of the benefit to current and former members of the judicial branch. Plaintiffs’ claim is not that the State is paying less money per jurist overall, or less than it previously did for health care insurance premiums at the expense of individual members or retirees of the judiciary. Rather, plaintiffs’ claim is only that the State now contributes a lower percentage of those premiums. The record is silent on whether the actual costs to the State have increased or decreased. If, for instance, the State’s contributions toward health care insurance premiums increase in a relevant year by a dollar amount that exceeds the value of the State’s 6% reduction in contributions for jurists or the 2% reduction for retirees, the judiciary, rather than suffering a diminution of overall compensation, may arguably come

out “ahead” in the equation. In other words, the 6% or 2% contribution reductions toward premiums, as authorized by Civil Service Law § 167 (8), do not necessarily and mathematically reduce the value of the insurance payments provided by the State, like a see-saw, without additional evidence that insurance payments by the State have not independently risen by 6% or 2% or more, if at all. Absent a mathematical showing by plaintiffs that the State’s health care contributions, protected by the Compensation Clause, have been reduced in dollar terms for the insurance products provided, rather than in percentage terms, plaintiffs fail, as constrained by their allegations, to satisfy their burden of proof.

The record evidence also fails to address qualitative differences that may exist in state-sponsored health care insurance coverage from year to year. If, for instance, current or former members of the judiciary pay an additional percentage for their coverage, but the quality of that coverage improves by some measurement by the same or greater percentage, it cannot be said that their compensation has been diminished, because the additional expenditure merely purchases an improved health care product to the same degree. This Court does not know whether the percentage reduction in the State’s contributions has been accompanied by any increase or decrease in the quality of coverage, because plaintiffs have failed to address their burden of proof on the issue.

The foregoing is consistent with *Maron v Silver* (14 NY3d at 254), wherein we held that the Compensation Clause is not violated if inflation erodes the value of compensation. Absent a showing that the State’s health care contributions have lessened because of the 6% or 2% reductions at issue here, or proof that the substance of the insurance has meaningfully decreased, plaintiffs fail to meet their burden of overcoming the presumption of constitutionality that is attached to Civil Service Law § 167 (8).

By concluding that a direct diminution of judicial salary has not been mathematically established, in dollar terms, we do not reach the secondary question of whether the State’s reduced percentage contributions toward health care premiums for the judiciary and its retirees was accomplished in a discriminatory or nondiscriminatory manner as compared with other employees of the State (see *United States v Hatter*, 532 US 557, 571 [2001]).

Accordingly, the judgment should be reversed without prejudice to plaintiffs recommencing a new action, if they be so advised.

WILSON, J. (concurring). I agree with Justice Dillon that health care benefits are “compensation.” I write separately because this appeal fails for a simple reason or, if not, should not be here at all.

Plaintiffs sought a declaration that Civil Service Law § 167 (8) is unconstitutional. Their complaint does not seek a declaration that the regulations subsequently promulgated thereunder are unconstitutional. In moving for summary judgment, plaintiffs reiterated their request for a declaration that the statute was unconstitutional; they did not assert that the regulations were. However, the statute says only this: “The president, with the approval of the director of the budget, may extend the modified state cost of premium or subscription charges for employees or retirees not subject to an agreement referenced above and shall promulgate the necessary rules or regulations to implement this provision” (Civil Service Law § 167 [8]). It does not require any change or reduction, or any action at all. Civil Service Law § 167 (8) itself is decidedly constitutional.

The fact that the plaintiffs here are Supreme Court Justices should not entitle them to any laxer pleading standard than we afford other litigants. They did not seek a declaration that the regulations were unconstitutional, did not amend their complaint, and did not move to conform the pleadings to the proof. I would reverse on the ground that the statute itself does not affect compensation however compensation is defined, and strike the balance of Supreme Court’s order because plaintiffs did not seek any declaration as to the regulations.

If, for some reason, my simple analysis above is wrong, then we lack jurisdiction to hear the appeal. The alleged diminution in compensation arises not from the statute, but from the subsequent regulations, at 4 NYCRR 73.3 (b) and 73.12. Jurisdiction was asserted under CPLR 5601 (b) (2), which permits a direct appeal to the Court of Appeals from Supreme Court “where the only question involved on the appeal is the validity of a statutory provision of the state or of the United States.”

In similar circumstances, we have disallowed a direct appeal when plaintiffs sought to challenge the constitutionality of regulations (*Rent Stabilization Assn. of N.Y. City v Higgins*, 83

NY2d 156, 168 [1993] [“appellants sought a direct appeal to this Court, which we transferred to the Appellate Division on the ground that questions other than the constitutional validity of a statute were involved”]).

It is unclear why we have permitted a direct appeal from Supreme Court here, and passed on the constitutionality of the regulations. Whatever the reason, our decision today creates an amorphous jurisdictional portal, which may open for others in the future.

Judges RIVERA, FAHEY, GARCIA, PERADOTTO* and MULVEY* concur; Judge DILLON* concurs in result in an opinion, in which Judge WILSON concurs in a separate opinion; Chief Judge DiFIORE and Judges STEIN and FEINMAN taking no part.

Judgment reversed, without costs, plaintiffs’ motion for summary judgment denied, and judgment granted in favor of defendant declaring Civil Service Law § 167 (8) does not violate the Compensation Clause of the New York State Constitution (NY Const, art VI, § 25 [a]).

* Designated pursuant to NY Constitution, article VI, § 2.

[90 NE3d 800, 68 NYS3d 1]

In the Matter of JESSE FRIEDMAN, Appellant, v KATHLEEN M.
RICE, as Nassau County District Attorney, Respondent.

Argued October 18, 2017; decided November 21, 2017

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 9, 2015. The Appellate Division (1) reversed, on the law, a judgment (denominated order) of the Supreme Court, Nassau County (F. Dana Winslow, J.), entered in a proceeding pursuant to CPLR article 78 to compel the production of certain documents pursuant to the Freedom of Information Law (Public Officers Law art 6) and CPL 190.25 (4), which had granted the petition and directed the Nassau County District Attorney to disclose the subject documents, with certain redactions; (2) denied the petition; and (3) dismissed the proceeding on the merits.

Matter of Friedman v Rice, 134 AD3d 826, reversed.

HEADNOTES

Records — Freedom of Information Law — Judicial Review — Exhaustion of Administrative Remedies — Futility Exception

1. In a CPLR article 78 proceeding, petitioner's request for respondent District Attorney's entire case file concerning petitioner's prior sexual abuse prosecution was reviewable notwithstanding his failure to include that specific demand in his initial request for disclosure pursuant to the Freedom of Information Law (Public Officers Law art 6 [FOIL]), where requiring petitioner to restart the FOIL process would have been futile. Although petitioner's FOIL request sought documents provided by respondent to the review panel charged with reinvestigating petitioner's case, petitioner's request reasonably described, and therefore clearly sought, all documents that would be part of the reinvestigation called for by respondent. In any event, the general rule requiring a party to exhaust administrative remedies before seeking judicial review of an agency's determination need not be followed when resort to an administrative remedy would be futile. Respondent's letter denying petitioner's FOIL request clearly established that respondent's office would not release any documents to petitioner from the case file absent a court order, rendering futile any further attempts at administrative review. The goals of the exhaustion rule would not be served by mechanical application of the rule to petitioner's case, as it would be an exercise in futility and a waste of administrative and judicial resources to require petitioner to request documents merely for respondent to restate the same bases for denial.

Records — Freedom of Information Law — Confidentiality Exemption

2. Sources and information may be withheld from disclosure under the Freedom of Information Law (Public Officers Law art 6 [FOIL]) pursuant to

the confidentiality exemption contained in Public Officers Law § 87 (2) (e) (iii) only upon a specific showing of an express promise of confidentiality to the source, or a finding that, under the circumstances of the particular case, the confidentiality of the source or information can be reasonably inferred. The exemption allows an agency to withhold documents “compiled for law enforcement purposes and which, if disclosed, would . . . identify a confidential source or disclose confidential information relating to a criminal investigation” (Public Officers Law § 87 [2] [e] [iii]). In amending the statute, the legislature discarded the broad protections from disclosure found in the previous version of FOIL and adopted discrete, limited exceptions, reaffirming the law’s general policy of public access to government documents. To adopt a rule that categorically permits the withholding of statements of nontestifying witnesses without regard to the specific facts and circumstances of the case would essentially reinstate the previously discarded nondisclosure presumption, clearly in contravention of the statute’s purpose and settled case law. In addition, such an interpretation of section 87 (2) (e) (iii) cannot be reconciled with the statutory language, as it effectively excises the word “confidential” from the statutory exemption. The legislature used the word “confidential” to delineate the type of statements and sources not subject to FOIL disclosure. Given that the legislature established a general policy of disclosure by enacting FOIL, courts cannot undermine that policy by exempting a large category of information from FOIL in a manner inconsistent with the plain language of the statute.

Records — Freedom of Information Law — Confidentiality Exemption — Statements of Nontestifying Witnesses

3. The Appellate Division, in determining that respondent District Attorney properly denied petitioner’s Freedom of Information Law (Public Officers Law art 6 [FOIL]) request for respondent’s case file concerning petitioner’s prior sexual abuse prosecution, applied an incorrect standard interpreting Public Officers Law § 87 (2) (e) (iii) to exempt from FOIL disclosure statements of nontestifying witnesses as presumptively confidential. Disclosure under FOIL can only be refused pursuant to section 87 (2) (e) (iii) if the agency presents a particularized and specific justification for denying access based on an express promise of confidentiality to the source, or by establishing that, under the circumstances of the particular case, the confidentiality of the source or information can be reasonably inferred. In determining whether information obtained in the course of a criminal investigation should be treated as confidential or whether a source spoke on the assumption that the source’s identity or statements would remain confidential, courts may consider, as they deem relevant, such factors as the nature of the crime, the source of the information in relation to the crime, and the content of the statements or information. Where the content of a statement or information and the circumstances surrounding its compilation by law enforcement convince a court that its confidentiality can be reasonably inferred, it may be withheld or released with appropriate redactions pursuant to section 87 (2) (e) (iii). Otherwise, absent an explicit assurance of confidentiality, it may not be withheld or redacted under that FOIL exemption.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Freedom of Information Acts §§ 69, 71, 73, 265,
468, 475, 478.

CARMODY-WAIT 2d Proceeding Against a Body or Officer
§§ 145:642, 145:648, 142:652, 145:657.

McKINNEY'S, Public Officers Law art 6; § 87 (2) (e) (iii).

NY JUR 2d Records and Recording §§ 29, 42, 52, 68, 69.

ANNOTATION REFERENCE

See ALR Index under Freedom of Information Acts; Records and Recording.

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"district attorney"

POINTS OF COUNSEL

Law Office of Ronald L. Kuby, New York City (Ronald L. Kuby and John P. O'Brien of counsel), for appellant. I. The Second Department's order unjustifiably exempts a broad new category of documents from the Freedom of Information Law. (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Miracle Mile Assoc. v Yudelson*, 68 AD2d 176; *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Matter of Exoneration Initiative v New York City Police Dept.*, 114 AD3d 436; *Matter of Gomez v Fischer*, 74 AD3d 1399; *Brown v Town of Amherst*, 195 AD2d 979; *Matter of Carnevale v City of Albany*, 68 AD3d 1290; *Matter of John H. v Goord*, 27 AD3d 798; *Matter of Johnson v New York City Police Dept.*, 257 AD2d 343; *Matter of Moore v Santucci*, 151 AD2d 677.) II. The Second Department erroneously disturbed Supreme Court's factual finding that appellant had made a particularized and compelling need for the minutes of the grand juries. (*People v Di Napoli*, 27 NY2d 229; *Ostroy v Six Sq., LLC*, 29 Misc 3d 470; *Matter of Druker*, 2012 NY Slip Op 31298[U]; *People v Driscoll*, 165 Misc 2d 245.) III. This Court should affirm Supreme Court's finding of "good cause" pursuant to Civil Rights Law § 50-b, although the Second Department did not consider this claim. (*Matter of Tonia E.-A. v Kathleen K.*, 12 Misc 3d 828; *Doe v Riback*, 7 Misc 3d 341; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738.)

Madeline Singas, District Attorney, Mineola (Judith R. Sternberg, Tammy J. Smiley, Daniel Bresnahan and W. Thomas Hughes of counsel), for respondent. I. The District Attorney ap-

propriately responded to the Freedom of Information Law (FOIL) request; that part of the petition that requested disclosure of the prosecution's "entire case file" was not included in the FOIL request, was not administratively reviewed, was not the proper subject of a CPLR article 78 proceeding, and was rightly dismissed by the Appellate Division. (*Matter of Leshner v Hynes*, 19 NY3d 57; *Matter of Whitley v New York County Dist. Attorney's Off.*, 101 AD3d 455; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738; *Doe v Lake Grove Sch.*, 107 AD3d 841; *Matter of Carty v New York City Police Dept.*, 41 AD3d 150; *Matter of Taylor v New York City Police Dept. FOIL Unit*, 25 AD3d 347.) II. The statements made by the child sex-crimes victims to law enforcement officials were confidential and exempt from disclosure under the Freedom of Information Law and Civil Rights Law, and they were properly withheld. (*Matter of John P. v Whalen*, 54 NY2d 89; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738; *People v Belliard*, 20 NY3d 381; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *Doe v Pataki*, 120 F3d 1263; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Bellamy v New York City Police Dept.*, 59 AD3d 353; *Matter of Moore v Santucci*, 151 AD2d 677.) III. Petitioner failed to establish a compelling and particularized need for grand jury minutes; the Supreme Court erred in ordering wholesale disclosure of minutes it never saw. (*People v Robinson*, 98 NY2d 755; *People v Fetcho*, 91 NY2d 765; *Matter of Lungen v Kane*, 88 NY2d 861; *Matter of District Attorney of Suffolk County*, 58 NY2d 436; *Matter of Aiani v Donovan*, 98 AD3d 972; *Ruggiero v Fahey*, 103 AD2d 65; *People v Marante*, 237 AD2d 130; *People v Bonelli*, 36 Misc 3d 625; *People v Robinson*, 87 AD2d 877; *People v Di Napoli*, 27 NY2d 229.)

Davis Wright Tremaine LLP, New York City (Jeremy A. Chase, Victor A. Kowner and Laura R. Handman of counsel), and *Reporters Committee for Freedom of the Press*, Washington, D.C. (Bruce D. Brown, Katie Townsend and Adam A. Marshall of counsel), for Reporters Committee for Freedom of the Press and others, amici curiae. I. The Second Department erred in concluding that nontestifying witness statements are categorically and wholly exempt under the Freedom of Information Law. (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Matter of Hanig v State of N.Y. Dept. of*

Motor Vehs., 79 NY2d 106; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Markowitz v Serio*, 11 NY3d 43; *Matter of Johnson v Hynes*, 264 AD2d 777; *Matter of Miracle Mile Assoc. v Yudelson*, 68 AD2d 176; *Matter of Lesher v Hynes*, 19 NY3d 57.) II. Access to witness statements is crucially important for the press to keep the public informed about the activities of state and local government agencies, including law enforcement agencies. (*Matter of Carnevale v City of Albany*, 68 AD3d 1290.)

Center for Appellate Litigation, New York City (Ben A. Schatz of counsel), *Richard D. Willstatter*, *Amicus Curiae Committee*, *National Association of Criminal Defense Lawyers*, *White Plains* and *Brendan White*, *Amicus Curiae Committee*, *New York State Association of Criminal Defense Lawyers*, New York City, for *National Association of Criminal Defense Lawyers* and another, amici curiae. I. The Freedom of Information Law is an indispensable tool for criminal defendants who have been denied access to exculpatory evidence. (*Brady v Maryland*, 373 US 83; *People v Rosario*, 9 NY2d 286; *Hurrell-Harring v State of New York*, 15 NY3d 8; *People v Bryce*, 88 NY2d 124; *People v Jackson*, 78 NY2d 638; *United States v Olsen*, 737 F3d 625; *Collins v City of New York*, 923 F Supp 2d 462; *Taylor v State of New York*, 24 Misc 3d 931; *People v Negron*, 26 NY3d 262; *People v Taylor*, 116 AD3d 1074.) II. The Second Department's decision is inconsistent with the law and policy of this state. (*New York State Bridge Auth. v Moore*, 299 NY 410; *Matter of Spodek v New York State Commr. of Taxation & Fin.*, 85 NY2d 760; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Price v Price*, 69 NY2d 8; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Exoneration Initiative v New York City Police Dept.*, 114 AD3d 436; *Matter of Gomez v Fischer*, 74 AD3d 1399; *Hawkins v Kurlander*, 98 AD2d 14; *Matter of Harbatkin v New York City Dept. of Records & Info. Servs.*, 19 NY3d 373.)

Thomas P. Zugibe, *Morrie I. Kleinbart* and *Itamar J. Yeger*, for *District Attorneys Association of the State of New York*, amicus curiae. The reasons for the Freedom of Information statute, coupled with the District Attorney's quasi-judicial nature and functions, militate toward a blanket exemption for

district attorneys against Freedom of Information Law disclosure. (*United States v Lovasco*, 431 US 783; *Imbler v Pachtman*, 424 US 409; *Schloss v Bouse*, 876 F2d 287; *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Matter of Leshner v Hynes*, 19 NY3d 57; *People v Fielding*, 158 NY 542; *People v Adams*, 21 NY2d 397; *Matter of Dondi v Jones*, 40 NY2d 8; *Stump v Sparkman*, 435 US 349; *People v Adams*, 20 NY3d 608.)

OPINION OF THE COURT

RIVERA, J.

On this appeal we clarify the proper interpretation of section 87 (2) (e) (iii) of our State's Freedom of Information Law (Public Officers Law art 6 [FOIL]), under which a government agency may seek to exempt from public inspection those records, or a portion thereof, "compiled for law enforcement purposes and which, if disclosed, would . . . identify a confidential source or disclose confidential information relating to a criminal investigation" (Public Officers Law § 87 [2] [e] [iii]). We hold that a government agency may rely on this exemption only if the agency establishes (1) that an express promise of confidentiality was made to the source, or (2) that the circumstances of the particular case are such that the confidentiality of the source or information can be reasonably inferred.

Here, the Second Department applied the wrong standard when it held that the District Attorney of Nassau County properly denied petitioner Jesse Friedman's FOIL request for records relating to his conviction. The Court relied on its precedent that identifying information and statements gathered in the course of a police investigation from witnesses who do not testify at trial are presumptively confidential and, as such, are exempt from disclosure under FOIL. No other Appellate Division Department has adopted this interpretation of section 87 (2) (e) (iii). Rather, the other Departments have properly required some express or implied assurance of confidentiality to justify withholding information, including the names or identities of sources. The federal courts have required a similar showing under the federal Freedom of Information Act (FOIA).

We conclude that the Second Department misinterpreted section 87 (2) (e) (iii), and respondent's denial of petitioner's FOIL request must be analyzed under the proper standard as set forth in this opinion. Therefore, we now reverse the Appellate Division order and remit the matter to Supreme Court.

I.

This appeal is the latest in petitioner's efforts to overturn his decades-old child sex crime convictions. In this litigation, petitioner seeks information in the control of the Nassau County District Attorney's Office, including the victim statements and other information gathered during police interviews of child witnesses. Petitioner argues that this material is necessary to establish his claim of actual innocence. Before turning to the legal issues, we briefly summarize the events that led to petitioner's conviction and the procedural history of the matter before us.

A.

In 1987, then 18-year-old petitioner and his father were arrested on multiple counts of sexual abuse of several children between the ages of 8 and 12. According to the charges contained in the three indictments filed against petitioner, the abuse occurred over five years while the children attended an after-school computer class taught by petitioner's father at their family home. There was no forensic evidence of physical abuse and the prosecution relied heavily on the children's allegations made after questioning by the police, who employed tactics and interview techniques that the District Attorney concedes were "not ideal" and are no longer in use.

Petitioner's father pleaded guilty to numerous sex crimes in 1988 and died in prison in 1995. A few months after his father's plea, petitioner also pleaded guilty to various sex crimes, and was sentenced to multiple concurrent terms with a maximum range of 6 to 18 years of incarceration. Petitioner did not appeal, and, after serving 13 years of his sentence, was paroled in December 2001.

B.

Approximately one year after petitioner was paroled, the film "Capturing the Friedmans" was released. The movie suggested that the police had elicited witness statements using investigatory techniques that were unreliable or known to produce false testimony—including, in the case of one witness, hypnosis—and that petitioner was wrongfully convicted and actually innocent. The filmmaker had interviewed many of those involved in the original investigation, including detectives, attorneys, family members, and victims.

Based on new information petitioner learned from the film, he commenced the first of several state and federal court

proceedings. In 2004, petitioner moved unsuccessfully in state court to vacate his conviction. The Appellate Division denied him leave to appeal, and a Judge of this Court dismissed his application for leave to appeal (6 NY3d 894 [2006]). Petitioner subsequently petitioned for a writ of habeas corpus in federal court, claiming, among other things, that he would not have pleaded guilty if he had known the details of the flawed investigatory procedures used to build the case against him. Petitioner asserted that he only learned about these methods from the filmmaker, who provided access to his materials including unredacted tapes and complete transcripts of witness interviews.

The federal district court dismissed the habeas petition as untimely, and the Second Circuit affirmed, also concluding that the proceeding was time-barred (*see Friedman v Rehal*, 618 F3d 142, 152 [2d Cir 2010]). The court's opinion, however, included an extensive discussion highlighting the judges' concerns with the process leading to petitioner's conviction. The court noted that "[t]he magnitude of the allegations against petitioner must be viewed in the context of the late-1980's and early-1990's, a period in which allegations of outrageously bizarre and often ritualistic child abuse spread like wildfire across the country" (618 F3d at 155). This "[v]ast moral panic fueled a series of highly-questionable child sex abuse prosecutions," based largely "on memories that alleged victims 'recovered' through suggestive memory recovery tactics" and investigatory techniques that, "[t]he prevailing view" now holds, "are [in the vast majority of cases] false" (*id.* at 155-156). The court observed that between 1984 and 1995 "seventy-two individuals were convicted in nearly a dozen major child sex abuse and satanic ritual prosecutions," but "almost all th[ose] convictions have since been reversed" (*id.* at 156). The instant case was "merely one example" of that "significant national trend," as it featured many of the same allegations, investigatory techniques, and developmental patterns seen across the country (*id.* at 158). The court intended that its "lengthy discussion of the facts and circumstances that Friedman asserts led to his conviction" would "make the case that a further inquiry by a responsible prosecutor's office is justified despite a guilty plea entered under circumstances which clearly suggest that it was not voluntary" (*id.* at 161 [internal quotation marks omitted]). The court ultimately concluded that "[t]he record here suggests a reasonable likelihood that Jesse Friedman was

wrongfully convicted” (*id.* at 159-160 [internal quotation marks omitted]).¹

C.

After the Second Circuit issued its decision, then-Nassau County District Attorney Kathleen M. Rice announced she would reopen the case and convene a “Friedman Case Review Panel” to oversee the reinvestigation. Senior prosecutors in the Nassau County District Attorney’s Office, who were not involved in the original case nor part of the prior administration that prosecuted petitioner, worked alongside an “Advisory Panel” of criminal justice and wrongful conviction experts. The reinvestigation was conducted by the “Review Team” of prosecutors, which had access to the District Attorney’s entire case file as well as the grand jury minutes. The Advisory Panel advised the Review Team on “process issues,” counseling the prosecutors on how best to conduct a reinvestigation and generally auditing whether the Review Team was operating in good faith. The Advisory Panel did not itself conduct the reinvestigation or weigh the credibility of witnesses, and it had access only to those documents, some redacted, provided to it by the District Attorney’s Office.

In the Review Team’s final report, it concluded that petitioner “was not wrongfully convicted” and that none of the Second Circuit’s principal concerns were substantiated by the evidence. It distinguished the case from the moral panic cases of the 1980s and 1990s on the grounds that the allegations in the Friedman prosecution were plausible, the children involved were older, and petitioner had pleaded guilty. The Advisory Panel prefaced the report with its own statement that “the conclusions expressed in the Review Team’s Report are reasonable and supported by the evidence it cites.”

In 2012, before completion of the report but after the District Attorney announced the appointment of the Advisory Panel, petitioner filed a FOIL request for all documents provided by the Nassau County District Attorney to the “Friedman Case Review Panel” and for all records concerning whether Advisory

1. Judge Raggi concurred in the judgment and joined all but the part of the court’s opinion that recounted petitioner’s assertions of the circumstances that led to his conviction and the conclusion the court drew as to his innocence. However, she agreed that “the facts alleged are disturbing and may well warrant further inquiry by a responsible prosecutor’s office” (618 F3d at 161 [Raggi, J., concurring in part]).

Panel members were “members of the general public for purposes of [FOIL] and Civil Rights Law § 50-b.” By letter, the Nassau County District Attorney’s Office denied the request based on multiple grounds: (1) Public Officers Law § 87 (2) (e) (iii), which, the letter claimed, exempted all “statements of witnesses compiled for law enforcement purposes, unless the witnesses have testified at trial”; (2) Civil Rights Law § 50-b (1) (as applied to FOIL through Public Officers Law § 87 [2] [a]), which exempts from disclosure any document which “tends to identify” the victim of a sex crime; (3) Public Officers Law § 87 (2) (e) (i), which the District Attorney claimed exempted from disclosure information that would interfere with an ongoing criminal investigation;² and (4) Public Officers Law § 87 (2) (g), which exempted most inter- and intra-agency materials.³ The letter also informed petitioner that the District Attorney did not believe a compelling and particularized basis existed for disclosing the grand jury transcripts, but that petitioner could move for their release on those grounds in state court.

On his administrative appeal from the denial of his FOIL request, petitioner argued that courts had rejected the type of blanket exemptions claimed by the District Attorney. The FOIL Appeals Officer nevertheless upheld the asserted exemptions as sufficiently particular.

D.

Petitioner subsequently commenced this proceeding pursuant to CPLR article 78 against respondent, Kathleen M. Rice, in her official capacity as the Nassau County District Attorney,⁴ seeking disclosure of his entire case file and the grand jury minutes.⁵ The District Attorney responded that the court lacked jurisdiction and sought dismissal of the petition, asserting that

2. The “ongoing investigation” in this case was the District Attorney’s reinvestigation.

3. Notably, the District Attorney did not invoke Public Officers Law § 87 (2) (b), which exempts “records or portions thereof that . . . if disclosed would constitute an unwarranted invasion of personal privacy” within the meaning of Public Officers Law § 89 (2).

4. Rice stepped down as District Attorney in 2015 and was succeeded by Madeline Singas as acting District Attorney. Singas was elected Nassau County District Attorney in 2016.

5. Additionally, in June 2014, petitioner commenced a defamation action against the District Attorney and two Information Officers employed by her office, which Supreme Court dismissed in 2015. Also in June 2014, petitioner filed a motion, pursuant to Criminal Procedure Law § 440.10, to vacate his judgment of conviction and dismiss the underlying indictments. Supreme

(n. cont’d)

petitioner had not yet exhausted his administrative remedies since he had only requested documents shared with the Advisory Panel rather than his entire case file. As to what had been shared with the Advisory Panel, the District Attorney reasserted that the material was exempt from disclosure under FOIL and Civil Rights Law § 50-b (1).

By this time, the reinvestigation was complete and the Review Team had elected to disclose inter- and intra-agency communications, rendering moot two of the prior four FOIL grounds for withholding disclosure. The District Attorney nevertheless maintained that the remaining documents were exempt, relying on Civil Rights Law § 50-b (1) and the confidentiality exemption contained in Public Officers Law § 87 (2) (e) (iii).⁶ As for the grand jury minutes, the District Attorney argued that petitioner had failed to demonstrate a particularized and compelling need for their release, as required under Criminal Procedure Law § 190.25 (4) (a).

Supreme Court granted the petition and directed the District Attorney to provide petitioner with all documents and records in his case file, as well as the grand jury minutes, with the names of three witnesses redacted.⁷ Pursuant to CPLR 5519 (a), Supreme Court's judgment was stayed pending respondent's appeal.

Thereafter, the Appellate Division reversed, denied the petition, and dismissed the proceeding, with one Justice dissenting (134 AD3d 826 [2d Dept 2015]). The Court held that petitioner did not need to exhaust his administrative remedies, since it

Court denied the motion to overturn the conviction but granted, on consent, his request for a hearing on actual innocence. That hearing has been stayed pending the resolution of this appeal.

6. The District Attorney further claimed that all four FOIL exemptions had been properly invoked at the time of petitioner's request.

7. Those witnesses had contacted the court in response to petitioner's notice of his request for access to his case file, as required by Civil Rights Law § 50-b (2) (b). That provision states that petitioners seeking the disclosure of documents tending to identify the victim of a sex offense should "appl[y] to a court having jurisdiction over the alleged offense, demonstrate[] to the satisfaction of the court that good cause exists for disclosure to that person[,] and make "[s]uch application . . . upon notice to the victim or other person legally responsible for the care of the victim [as well as] the public officer or employee charged with the duty of prosecuting the offense." Petitioner did not complain about the redaction of the names of witnesses who, in response to the notice, objected to the disclosure of their identities, but he reserved the right to do so. Supreme Court thus clarified that its redaction order was given on consent of the parties.

was clear from the District Attorney's response to the initial FOIL request that further administrative proceedings would have been futile. On the merits, the Court concluded that the case file was appropriately withheld under section 87 (2) (e) (iii), which, according to Second Department precedent, exempted from FOIL disclosure the statements of nontestifying witnesses as presumptively confidential. The Court further held that petitioner did not demonstrate a compelling and particularized need for the grand jury minutes.⁸

As discussed in her thoroughly-written opinion, the dissenting Justice would have modified the judgment to direct the specific disclosure of the redacted materials provided to the Advisory Panel, as well as the case file, investigatory notes, and grand jury minutes, subject to the redaction of the names of the witnesses who had objected to the disclosure of their identities (134 AD3d at 831-832 [Barros, J., dissenting]). According to the dissent, the District Attorney failed to support the withholding of the documents under section 87 (2) (e) (iii). The dissent identified a split between the Second Department's interpretation, which applies this exemption to all witness statements obtained in the course of preparing for trial unless used in open court, and decisions of the First, Third, and Fourth Departments, as well as the federal courts, which only recognize the exemption where the government can show an express promise of confidentiality or circumstances from which confidentiality can be inferred (*see id.* at 832-836). We granted petitioner leave to appeal (27 NY3d 903 [2016]).

II.

Petitioner argues that the Second Department's interpretation of FOIL impermissibly creates a blanket exemption for all nontestifying witnesses and thus misinterprets the statute and undermines its purpose. He claims that the Second Department deviates from the interpretation of this provision adopted by every other Department and the federal courts. Petitioner also asserts that he established a compelling and particularized need for the grand jury minutes and that he should be permitted access to the witness statements in his case file in accordance with Civil Rights Law § 50-b (2) (b).

We conclude that the Second Department applied an incorrect standard in determining the applicability of FOIL's

8. The parties agree that no court reviewed the grand jury minutes.

confidentiality exemption to petitioner's request. Under section 87 (2) (e) (iii), sources and information may be withheld only upon a specific showing of an express promise of confidentiality to the source, or a finding that, under the circumstances of the particular case, the confidentiality of the source or information can be reasonably inferred.

A. Exhaustion

[1] As a threshold matter, we reject respondent's argument that petitioner's claim for his entire case file is unreviewable because he did not include that specific demand in his FOIL request. Petitioner's FOIL request sought "the documents provided by the Nassau County District Attorney to the entity known as the 'Friedman Case Review Panel.'" That language tracks the District Attorney's earlier press release that four experts had been appointed to a "Friedman Case Review Panel" who would "join prosecutors in review of" petitioner's case, to "work alongside" her office and "oversee the investigation." Here, taken in context and under the circumstances, petitioner's request reasonably described, and therefore clearly sought, all documents that would be part of the reinvestigation process called for by the District Attorney (*see* Public Officers Law § 89 [3]).

Even if that were not the case, under the particular circumstances presented here, petitioner does not have to restart the FOIL process anew. The general rule requiring a party to exhaust administrative remedies before seeking judicial review of an agency's determination "need not be followed . . . when resort to an administrative remedy would be futile" (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52, 57 [1978]). As every judge who has considered the matter properly concluded, the District Attorney's letter denying petitioner's FOIL request clearly established that respondent's office would not release any documents to petitioner from the Friedman case file absent a court order, rendering futile any further attempts at administrative review. The letter informed petitioner that the information he requested was only being shared with the Advisory Panel because its members had sworn an oath of confidentiality and were operating "as an extension of [the prosecutor's] office." As a general matter, the letter went on, the documents he sought were "not available to the general public," were "confidential under Civil Rights Law § 50-b," and so were "not available to you or others who seek them under FOIL." As a

member of the general public—which is, as we have long maintained, the status of anyone seeking documents under FOIL (see *Matter of John P. v Whalen*, 54 NY2d 89, 99 [1981] [“one who seeks access to records under the Freedom of Information Law (does so) as a member of the public”])—petitioner was never going to receive access to any of the documents he wanted from the District Attorney’s office. In other words, since the District Attorney did not grant the Advisory Panel access to the entire unredacted case file, it follows that she similarly would have denied access to petitioner. Indeed, the District Attorney’s unwavering position throughout this litigation has been that all information sought by petitioner should be subject to a blanket exemption from disclosure. Thus, even assuming any ambiguity in petitioner’s FOIL request, an additional request for information provided specifically to the Review Team that was not disclosed to the Advisory Panel would have been futile.⁹

“The exhaustion rule . . . is not an inflexible one,” and should be applied where it “furthers the salutary goals of relieving the courts of the burden of deciding questions entrusted to an agency, preventing premature judicial interference [with the work of the agency,] and affording the agency the opportunity, in advance of possible judicial review, to prepare a record reflective of its ‘expertise and judgment’ ” (*Watergate II Apts.*, 46 NY2d at 57 [citations omitted]).

Those goals would not be served by mechanical application of the rule to petitioner’s case. Under the facts presented here, it

9. The dissent and respondent imply that the original case file may contain material that was not shared with the Advisory Panel and does not fit within a FOIL exemption invoked by the District Attorney in her original denial (dissenting op at 484-485). However, by the District Attorney’s own admission, the Advisory Panel only had access to certain materials in the case file because of its special status. It stands to reason that any documents that would have been reachable under FOIL—that is, that the public, with its less privileged status, might have been able to request—would also have been available to the Advisory Panel.

Moreover, at no point in this litigation has respondent ever indicated what additional case file material might be protected, what additional FOIL grounds respondent would have invoked to prevent their release, or even *that* respondent would have invoked other FOIL exemptions at all. In fact, contrary to the dissent’s assertion, all the material disclosed as part of the Conviction Integrity Review had initially been withheld under a FOIL exemption invoked in the District Attorney’s first denial letter.

would be an exercise in futility and a waste of administrative and judicial resources to require petitioner to request documents merely for respondent to restate the same bases for denial.

B. FOIL Exemption Section 87 (2) (e) (iii)

The purpose of FOIL is “[t]o promote open government and public accountability” (*Matter of Gould v New York City Police Dept.*, 89 NY2d 267, 274 [1996]). The law’s “premise [is] that the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government” (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). One of FOIL’s salient features is its capacity to expose “abuses on the part of government; in short, ‘to hold the governors accountable to the governed’ ” (*id.*, quoting *NLRB v Robbins Tire & Rubber Co.*, 437 US 214, 242 [1978]). In furtherance of the legislature’s policy of disclosure, “FOIL provides the public with broad ‘access to the records of government’ [and] [a]n agency must ‘make available for public inspection and copying all records’ unless it can claim a specific exemption to disclosure” (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007], quoting Public Officers Law §§ 84, 87 [2]; 89 [3]). These “exemptions are to be narrowly interpreted so that the public is granted maximum access to the records of government” (*id.* at 462).

“Thus, the agency does not have carte blanche to withhold any information it pleases. Rather it is required to articulate particularized and specific justification . . . to exempt its records from disclosure. Only where the material requested falls squarely within the ambit of one of these statutory exemptions may disclosure be withheld” (*Matter of Fink*, 47 NY2d at 571 [citation omitted]).

[2] As relevant to this appeal, an agency may withhold documents “compiled for law enforcement purposes and which, if disclosed, would . . . identify a confidential source or disclose confidential information relating to a criminal investigation” (Public Officers Law § 87 [2] [e] [iii]). The Second Department categorically held below that “witness statements and other documents containing information provided to law enforcement officials during [a] criminal investigation by witnesses who did not testify at trial [are] exempt from disclosure under [section] 87 (2) (e) (iii)” (134 AD3d at 828). In so holding, the Second Department purported to follow its prior departmental case

law that “the statements of nontestifying witnesses are confidential, and that [this] ‘cloak of confidentiality’ is removed ‘once the statements have been used in open court’ ” (*id.* at 828-829, quoting *Matter of Moore v Santucci*, 151 AD2d 677, 679 [2d Dept 1989]).

This precedent refers back to Second Department decisions that were decided under a former and no longer valid FOIL provision. *Matter of Knight v Gold* (53 AD2d 694 [2d Dept 1976]), the foundation for *Matter of Moore v Santucci* (151 AD2d 677 [2d Dept 1989]), relied on below, was based on a prior version of FOIL which broadly exempted all information that was “part of investigatory files compiled for law enforcement purposes” (former Public Officers Law § 88 [7] [d] [L 1974, ch 579, § 3]). Of particular note, this prior version of FOIL made no reference to confidential sources or confidential information. That is to say, under the plain language of that statute, “investigatory files compiled for law enforcement purposes,” including witness statements, could be withheld from disclosure irrespective of the confidential nature of the information or its source. That section of the statute was amended in 1977, and replaced with the enumerated categories set forth today in Public Officers Law § 87 (2) (e) (i)-(iv), including the exemption at issue here. The legislature thus discarded the broad protections from disclosure found in the previous version of FOIL and adopted discrete, limited exemptions, reaffirming the law’s general policy of public access to government documents (*cf.* *Matter of Lesher v Hynes*, 19 NY3d 57, 64-65 [2012] [describing Congress’ 1974 amendments to FOIA, which replaced a generic exemption from disclosure for information compiled for law enforcement purposes with six specific exemptions, and noting that the New York Legislature’s 1977 amendments to FOIL “followed suit”]).

The amendments were widely understood at the time to “reverse[] the presumption” of the old law, according to which “records [were] deniable unless they f[ell] within one of nine limited categories of records” that could be disclosed (Mario M. Cuomo, Secretary of State, News Release, July 27, 1977, Bill Jacket, L 1977, ch 933 [internal quotation marks omitted]). Instead, the amendments “state[d] that all records . . . are accessible unless specifically listed as deniable” (*id.* [internal quotation marks omitted]). Members of law enforcement objected to the bill for this very reason, observing that it replaced a presumption of nondisclosure and broad protections

for all materials gathered in the course of law enforcement investigations with a presumption of disclosure and a narrow set of exemptions for only certain kinds of law enforcement materials, which could be invoked at only certain times (*see e.g.* William G. Connelie, Superintendent, New York State Police, Mem re: 1977 NY Senate Bill S16-A, July 29, 1977 at 5-6, Bill Jacket, L 1977, ch 933). The Second Department’s jurisprudence thus lacks historical and textual foundation.¹⁰

Nevertheless, respondent advocates for a blanket rule that categorically permits the withholding of statements of nontestifying witnesses without regard to the specific facts and circumstances of the subject case.¹¹ In so doing, respondent misconstrues section 87 (2) (e) (iii) and FOIL’s purpose by applying the exemption expansively rather than narrowly. Respondent’s proposed rule thus constricts the broad access to which the public is entitled under the law. As our Court has stated, FOIL “established a general policy [in favor of] disclosure” (*Matter of Fink*, 47 NY2d at 571) and so “exemptions [to FOIL] are to be narrowly interpreted so that the public is granted maximum access to the records of government” (*Data Tree*, 9 NY3d at 462, citing *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246, 252 [1987]). The rule advocated by respondent would essentially reinstate the previously discarded nondisclosure presumption, clearly in contravention of the statute’s purpose and settled case law.

In addition, such an interpretation of section 87 (2) (e) (iii) cannot be reconciled with the statutory language, as it effectively excises the word “confidential” from the statutory exemption. This we cannot do, because “[i]n the construction of a statute, meaning and effect should be given to all its language, if possible, and words are not to be rejected as superfluous when it is practicable to give each a distinct and

10. The Court’s interpretation here is also inconsistent with the Second Department’s reading of Public Officers Law § 89 (2) (b) (v), another FOIL confidentiality exemption, which generally protects the “disclosure of information of a personal nature reported in confidence to an agency and not relevant to the ordinary work of such agency.” There, that Court construed confidentiality to attach only to information gathered from “individuals [who] received an express or implied promise of confidentiality” (*Matter of Prall v New York City Dept. of Corr.*, 129 AD3d 734, 736 [2d Dept 2015]).

11. To the extent respondent’s argument may be interpreted as limited solely to witness statements, we note that section 87 (2) (e) (iii) also applies to “confidential information” without regard to source. In accordance with the statute’s plain text, the rule we elaborate here applies to sources and information alike.

separate meaning” (McKinney’s Cons Laws of NY, Book 1, Statutes § 231; *see also* McKinney’s Cons Laws of NY, Book 1, Statutes § 98 [“effect and meaning must, if possible, be given to the entire statute and every part and word thereof”]; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 587 [1998]). If the legislature intended for the exemption to apply to the statements of all witnesses, or even just those who do not testify at trial, it would simply have stated as much. It did not, and instead used the word “confidential” to delineate the type of statements and sources not subject to FOIL disclosure. Given that “the Legislature established a general policy of disclosure by enacting the Freedom of Information Law” (*Matter of Fink*, 47 NY2d at 571), we cannot undermine that policy by exempting a large category of information from FOIL in a manner inconsistent with the plain language of the statute.

Were we to construe the law otherwise, we would be creating an unjustified and impermissible precondition on disclosure. Under respondent’s proposed rule, the only witness statements accessible under FOIL are statements that have already been made public in open court. In practice, this restricts access to witness statements under FOIL to statements that have already been disclosed at a trial. Nowhere does section 87 (2) (e) (iii), however, so much as mention the need for prior public disclosure, whether at a trial or any other judicial proceeding, as a disclosure precondition. The legislature did not limit disclosure under FOIL to information released through post-hoc publication, and we decline to impose such a limitation ourselves.

Respondent alleges that its proposed categorical exemption is essential to encourage the cooperation of individuals who might otherwise refrain from disclosing confidential information if they knew that they could be identified as the source. This circular reasoning is unpersuasive since the law by its terms protects confidential sources (*see* Public Officers Law § 87 [2] [e] [iii] [exempting “confidential source(s)” from disclosure under FOIL]).

Moreover, a blanket exemption for any statement made to law enforcement on the ground that it is inherently confidential admits of absurd results. There is no basis to assume that every person who communicates with law enforcement in the course of a criminal investigation expects that their name and each and every statement they make will be held in confidence. So interpreted, the exemption would cover even an innocuous

statement to a police officer or a comment that “relates,” but is obviously insignificant, to a criminal investigation. Consider, for example, a nontestifying witness who avers merely that “I did not see anything,” or a witness who merely corroborates undisputed and uncontroversial facts. Respondent concedes that statements of such nature are not “confidential” under any accepted understanding of the term, yet, the rule for which respondent advocates would seem to place those statements under a “cloak of confidentiality.”

Unsurprisingly, respondent’s interpretation of section 87 (2) (e) (iii) is an outlier. Every other Appellate Division Department, in reliance on the current version of FOIL, has concluded that “defendants are not entitled to a blanket exemption from disclosure” (*Brown v Town of Amherst*, 195 AD2d 979, 980 [4th Dept 1993]). The majority rule for New York courts has been that “[s]tatements by a witness must be disclosed absent a showing that [the witness] was a confidential informant or requested or was promised anonymity” (*Matter of Gomez v Fischer*, 74 AD3d 1399, 1401 [3d Dept 2010] [citations omitted]; see also *Matter of Exoneration Initiative v New York City Police Dept.*, 114 AD3d 436, 440 [1st Dept 2014]). Indeed, in *Matter of Exoneration Initiative*, the First Department stated explicitly that information about an unnamed informant does not fall within section 87 (2) (e) (iii) “in the absence of any evidence that th[e] person received an express or implied promise of confidentiality” (114 AD3d at 440; see also *Matter of John H. v Goord*, 27 AD3d 798, 800 [3d Dept 2006] [overruling a claimed FOIL confidentiality exemption where an in camera review persuaded the court that “the specific records at issue . . . (did not) contain any suggestion that the participating witnesses qualif[ied] as confidential source(s), and . . . d[id] not reveal any source or disclose any information which would be deemed confidential,” while withholding disclosure under a separate FOIL exemption “inasmuch as disclosure could endanger the life or safety of a person” (internal quotation marks and citations omitted)]).¹²

A blanket exemption for witness identifications and statements would also be contrary to the interpretation of 5 USC

12. *Hawkins v Kurlander* (98 AD2d 14 [4th Dept 1983]), relied on by the Second Department for the proposition that “[t]he rule holding that . . . statements [of nontestifying witnesses] are inherently confidential is sound, as it encourages private citizens to furnish controversial information to law enforcement officials” (*Matter of Friedman*, 134 AD3d at 829 [internal quotation marks omitted]), is not to the contrary. In that case the witnesses had

(n. cont’d)

§ 552 (b) (7) (D), the FOIA counterpart to section 87 (2) (e) (iii).¹³ As we have observed, “[f]ederal case law and legislative history . . . are instructive” when interpreting a FOIL provision “patterned after the Federal analogue” (*Matter of Leshner v Hynes*, 19 NY3d at 64, quoting *Matter of Fink*, 47 NY2d at 572 n).

The United States Supreme Court has explained that the FOIA confidentiality exemption (5 USC § 552 [b] [7] [D]) ap-

been given explicit assurances of confidentiality (*see Hawkins*, 98 AD2d at 17 [“For a court to hold that a promise of confidentiality can be breached merely because the investigation did not lead to criminal charges would raise a red flag for future witnesses who might well decline to reveal confidences to the District Attorney because of the risk of public disclosure”]). The federal case cited in *Hawkins*, and on which the Second Department majority also relied, supports the rule we adopt here (*see Pope v United States*, 599 F2d 1383, 1387 [5th Cir 1979] [upholding a decision to withhold witness statements from disclosure under FOIA’s confidentiality exemption not because the witnesses did not testify but because “(t)he substance of the three documents and the circumstances under which the information was given to the (agency) convince us that there was an implied assurance of confidentiality associated with these communications”]).

13. The federal statute exempts from disclosure information from confidential sources, while the New York law protects confidential sources and information (*compare* 5 USC § 552 [b] [7] [D] [exempting from disclosure “records or information compiled for law enforcement purposes, but only to the extent that the production of such law enforcement records or information . . . could reasonably be expected to disclose the identity of a confidential source, including a State, local, or foreign agency or authority or any private institution which furnished information on a confidential basis, and, in the case of a record or information compiled by criminal law enforcement authority in the course of a criminal investigation or by an agency conducting a lawful national security intelligence investigation, information furnished by a confidential source”], and *Department of Justice v Landano*, 508 US 165, 172 [1993] [“Under Exemption 7(D), the question is not whether the requested document is of the type that the agency usually treats as confidential, but whether the particular source spoke with an understanding that the communication would remain confidential” (emphasis omitted)], with Public Officers Law § 87 [2] [e] [iii] [exempting from disclosure “records . . . compiled for law enforcement purposes and which, if disclosed, would . . . identify a confidential source or disclose confidential information relating to a criminal investigation”]). The difference in language between the FOIA and FOIL provisions does not diminish the usefulness of comparison with the federal analogue. Even though the federal statute does not by its terms apply to “confidential information,” federal courts have sometimes interpreted the statute to cover the same kind of “confidential information” protected in New York on a similar theory (*see e.g. Pope*, 599 F2d at 1386-1387 [withholding witness statements alleging attorney misconduct as confidential because “disclosure of (the documents’) contents would inevitably reveal their source” and “from the content and other circumstances” surrounding the documents, the court concluded the information was provided on an inferred “assurance of confidentiality”]).

plies only where there is “an express assurance of confidentiality or in circumstances from which such an assurance could be reasonably inferred” (*Department of Justice v Landano*, 508 US 165, 172 [1993] [internal quotation marks omitted]; see also *Church of Scientology Intl. v United States Dept. of Justice*, 30 F3d 224, 238 [1st Cir 1994] [applying *Landano* and rejecting several alleged FOIA confidentiality exemptions on the grounds that the government failed to establish that the documents withheld came from a source that had received an express promise of confidentiality, or that the circumstances warranted implying confidentiality]; *Davin v United States Dept. of Justice*, 60 F3d 1043 [3d Cir 1995] [same]; *Halpern v Federal Bur. of Investigation*, 181 F3d 279, 298-300 [2d Cir 1999] [applying *Landano* and finding no express promise of confidentiality, but finding that the circumstances supported some implicit confidentiality with respect to some of the requested information]). The Supreme Court has also precisely rejected respondent’s argument here—that all law enforcement sources are inherently confidential. Instead, the Court has held that whether a source is confidential should be determined under a “particularized approach,” which may include consideration of “the character of the crime” and “the source’s relation to the crime” (508 US at 180, 179). This reasoning applies with equal force to FOIL. Ultimately, a determination of confidentiality should turn on an evaluation of the facts and circumstances surrounding the particular source or requested information.

III.

The legislature’s policy of broad public access, as expressed in FOIL, dictates that the exemption for confidential sources and information be narrowly circumscribed. Therefore disclosure under FOIL can only be refused pursuant to section 87 (2) (e) (iii) if the agency presents a “particularized and specific justification for denying access” (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]), based on an express promise of confidentiality to the source, or by establishing that, under the circumstances of the particular case, the confidentiality of the source or information can be reasonably inferred.

[3] Application of this rule is case and information specific, and depends on the particular facts and circumstances. In determining whether information obtained in the course of a criminal investigation should be treated as confidential or

whether a source spoke on the assumption that the source's identity or statements would remain confidential, courts may consider, as they deem relevant, such factors as the nature of the crime, the source of the information in relation to the crime, and the content of the statements or information. Where the content of a statement or information and the circumstances surrounding its compilation by law enforcement convince a court that its confidentiality can be reasonably inferred, it may be withheld or released with appropriate redactions pursuant to section 87 (2) (e) (iii). Otherwise, absent an explicit assurance of confidentiality, it may not be withheld or redacted under that FOIL exemption.¹⁴

Here, because the Second Department majority misconstrued the FOIL exemption asserted by respondent, the order below must be reversed and the matter remitted for consideration under the correct standard. The People remain free, on remittal, to present evidence that the documents previously withheld are exempt under section 87 (2) (e) (iii) in accordance with the standard articulated in this opinion. Since the Appellate Division did not reach petitioner's Civil Rights Law argument and Supreme Court did not review the grand jury minutes in determining whether petitioner met his burden to justify access to the minutes, we decline to reach those questions. Instead, we consider it prudent under the unique circumstances of this case to remit them, along with the FOIL matter, to Supreme Court for its consideration of all these claims.

14. Of course other statutory exemptions may apply. The legislature has enacted specific provisions to protect witnesses and the accused from "unwarranted invasion[s] of [their] personal privacy" (Public Officers Law § 87 [2] [b]) and, in some circumstances, the disclosure of their identity (*see e.g.* Civil Rights Law § 50-b). The FOIL provision at issue here, though, was not primarily designed to protect victims, witnesses, or accused persons. As its text and legislative history make clear, this exemption is designed to balance the public's right to information with the need to maintain the integrity of police investigations involving confidential information and sources.

Contrary to the dissent's contention, our rule does not lead to the conclusion that "witness statements made in connection with [child sex offense prosecutions will be] routinely discoverable under FOIL" (dissenting op at 486). As we have explained, each FOIL request must be analyzed on its own terms, based on the specific facts and circumstances it presents. For the same reason, a court analyzing whether an agency's invocation of section 87 (2) (e) (iii) is justified should not place "additional weight on the nature of the crime" as a categorical rule (dissenting op at 486), but must consider the specific facts and circumstances of each particular case.

IV.

We recognize that petitioner seeks these documents to support his claim of actual innocence and that our decision does not answer whether respondent may deny disclosure. We are also acutely aware that petitioner filed his FOIL request years ago and it remains unresolved, despite the legislature's intention to provide public access to government documents within a reasonable time frame. It is our intention that enunciation of the proper standard and our remittal to Supreme Court should facilitate the timely adjudication of petitioner's claims.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

WHALEN, J. (dissenting in part). I agree with the majority opinion insofar as it holds that the Appellate Division read the confidentiality exemption of FOIL (Public Officers Law § 87 [2] [e] [iii]) too broadly; that witness statements should be protected from disclosure pursuant to that exemption only where a witness was promised confidentiality or the circumstances were such that the confidentiality of the information provided could reasonably be inferred; and that this proceeding should be remitted for Supreme Court to determine the applicability of the confidentiality exemption to the material sought in petitioner's initial FOIL request under the proper standard. I further agree with the majority that upon remittal, the Civil Rights Law § 50-b issues raised by the parties may be considered, and petitioner's request for disclosure of the grand jury minutes should likewise be determined following an in camera review of the minutes. I respectfully dissent, however, from the majority's conclusion that petitioner was not required to exhaust his administrative remedies with respect to his request for his "entire case file," i.e., documents outside the scope of his initial FOIL request. I also write separately because I do not fully agree with the majority's discussion of how an agency can meet its burden of establishing that information was intended to be confidential for purposes of the FOIL confidentiality exemption in a case like this one that involves allegations of sexual offenses committed against children.

I.

Beginning with the exhaustion issue, I cannot agree with the majority that this record reflects that it would have been futile

for petitioner to seek his entire case file from the District Attorney through the FOIL process (*see Town of Oyster Bay v Kirkland*, 19 NY3d 1035, 1038-1039 [2012], *cert denied* 568 US 1213 [2013]; *cf. Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52, 57 [1978]).¹ It is not a fair interpretation of the District Attorney's FOIL denial letter to say that it "clearly established that [the District Attorney] would not release any documents . . . absent a court order" (majority op at 473). Petitioner asserts that his failure to request the "entire case file" originally resulted from a lack of information regarding the distinction between the Review Team and the Advisory Panel, and that is the only explanation given for the request's expansion from the original FOIL request to the CPLR article 78 petition. Even accepting, for the sake of argument, the premise that petitioner may have been unaware (through no fault of his own) of the difference between the Review Team and the Advisory Panel (*cf. Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186, 196 [2007] ["hindsight cannot be used to determine whether administrative steps were futile"]), it is evident that the District Attorney did not view petitioner's FOIL request as one for "all documents that would be part of the reinvestigation process" (majority op at 473) or "the entire case file" as stated in petitioner's article 78 petition, and did not respond as though all such documents had been requested.² Indeed, as the District Attorney points out in her brief, some items that are presumably in the case file³ are plainly not within the FOIL exemptions she invoked in the denial letter, and have since been made public with the final

1. Because the District Attorney preserved her exhaustion argument below, it is properly before us as an alternative ground for an affirmance of the Appellate Division's order in part (*see generally Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539, 545-546 [1983]).

2. The majority presumes that the Advisory Panel had access to documents from the case file otherwise reachable under FOIL (majority op at 474 n 9). But it does not follow from the fact that "the Advisory Panel only had access to certain materials in the case file because of its special status" that it necessarily received and considered every remaining piece of disclosable material in the entire case file. In any event, we need not speculate, as the sole issue is what material the Advisory Panel actually received, and whether that material is disclosable under FOIL. Any remaining items not disclosed to that panel are not the proper subject of this proceeding.

3. The entire case file is not part of the record before us, and there is no basis to question the District Attorney's assertion that it was not before Supreme Court either.

Conviction Integrity Review report.⁴ It is likely that there may be documents in petitioner's case file that are subject to as-yet-uninvoked FOIL exemptions, and the District Attorney has not yet been afforded the requisite opportunity to make a record with respect to any such documents (*see Matter of Carty v New York City Police Dept.*, 41 AD3d 150, 150 [1st Dept 2007]; *see generally Matter of Yarbough v Franco*, 95 NY2d 342, 347 [2000]; *Watergate II Apts.*, 46 NY2d at 57). The majority faults the District Attorney because she has never "indicated what additional case file material might be protected, what additional FOIL grounds respondent would have invoked to prevent their release, or even that respondent would have invoked other FOIL exemptions at all" (majority op at 474 n 9 [emphasis omitted]). This is precisely because the request for the "entire case file" was unexhausted, and as a result the District Attorney was never given the opportunity to do so. Accordingly, I would affirm the Appellate Division order to the extent that it denied so much of the petition as sought disclosure under FOIL of documents other than those provided by the District Attorney to the Advisory Panel (*see* 134 AD3d 826, 831 [2015]; *see generally Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738, 749 [2001]).

II.

Turning to the confidentiality exemption, I agree with the majority that the Appellate Division's analysis—which held the exemption applicable to any statement made by a witness who did not testify at a trial (*see* 134 AD3d at 828-829)—had its roots in a materially different version of FOIL (*see Matter of Moore v Santucci*, 151 AD2d 677, 679 [2d Dept 1989], citing *Matter of Knight v Gold*, 53 AD2d 694, 694 [2d Dept 1976], *lv dismissed* 43 NY2d 841 [1978]; *see generally Matter of Leshner v Hynes*, 19 NY3d 57, 64-66 [2012]), and is irreconcilable with the principle that FOIL exemptions must be narrowly construed (*see Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462-463 [2007]; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]). I also agree that the exemption should apply to witness statements only where a witness is promised confidentiality or the confidentiality of the information provided by the witness can be reasonably inferred,

4. The majority's claim that the District Attorney *withheld* those items under FOIL (majority op at 474 n 9) presupposes that she viewed them as within the scope of petitioner's request.

consistent with federal case law⁵ and with Appellate Division cases from outside the Second Department (see e.g. *Department of Justice v Landano*, 508 US 165, 172 [1993]; *Matter of Exoneration Initiative v New York City Police Dept.*, 114 AD3d 436, 440 [1st Dept 2014]; *Matter of Carnevale v City of Albany*, 68 AD3d 1290, 1292 [3d Dept 2009]).

While I generally agree with the majority's identification of factors to consider in evaluating whether confidentiality should be inferred (majority op at 481-482), I would place additional weight on the nature of the crime in proceedings involving sensitive matters such as alleged sexual offenses committed against children. The United States Supreme Court noted in *Landano* that the character of the crime being investigated may constitute a "generic circumstance[]" from which "an implied assurance of confidentiality [to witnesses] fairly can be inferred" (508 US at 179). As a matter of common sense, a witness who provides a statement alleging that he or she saw a sexual offense committed against a child does so with the reasonable expectation that the statement will be kept confidential "except to the extent . . . necessary for law enforcement purposes" (*Landano*, 508 US at 174). The inference of confidentiality is even stronger when the statement is given by a child, and stronger still when the child witness is also the victim of the alleged sexual offense. Where an agency establishes that material requested under FOIL consists of statements made by children concerning the investigation of a claim of sexual abuse, the confidentiality exemption should apply in the absence of circumstances that demonstrate that confidentiality was not intended. Notably, child sex offense prosecutions often end in plea bargains for the very purpose of protecting victims from having to testify publicly. That purpose would be subverted if witness statements made in connection with those prosecutions were routinely discoverable under FOIL and thus available not only to former defendants like petitioner seeking to establish their actual innocence but equally to any member of the public regardless of the purpose for which the statements are sought (see *Matter of Gould v New York City Police Dept.*, 89 NY2d 267, 274 [1996]; *Matter of John P. v Whalen*, 54 NY2d 89, 99 [1981]; *Matter of Bellamy v New York City Police Dept.*,

5. Federal cases interpreting the Freedom of Information Act are instructive when interpreting section 87 (2) (e) of FOIL, which was patterned after its federal counterpart (see *Matter of Madeiros v New York State Educ. Dept.*, 30 NY3d 67, 76 [Oct. 17, 2017]; *Leshner*, 19 NY3d at 64).

59 AD3d 353, 355 [1st Dept 2009])). Nonetheless, because there has not yet been an analysis of the confidentiality of the witness statements here under the proper standard, I agree with the majority that a remittal for that purpose is in order. I would therefore modify the Appellate Division order by reinstating so much of the petition as sought disclosure of the materials provided to the Advisory Panel and the grand jury minutes, and I would remit the matter to Supreme Court for further proceedings in accordance with this opinion.

Judges STEIN, FAHEY, FEINMAN and PETERS* concur; Judge WHALEN* dissents in part in an opinion, in which Judge GARCIA concurs; Chief Judge DiFIORE and Judge WILSON taking no part.

Order reversed, with costs, and matter remitted to Supreme Court, Nassau County, for further proceedings in accordance with the opinion herein.

* Designated pursuant to NY Constitution, article VI, § 2.

[90 NE3d 1262, 68 NYS3d 391]

GEOFFREY DESROSIERS, Individually and on Behalf of Other Persons Similarly Situated, Respondent, v PERRY ELLIS MENSWEAR, LLC, et al., Appellants.

CHRISTOPHER VASQUEZ, Individually and on Behalf of Other Persons Similarly Situated, Respondent, v NATIONAL SECURITIES CORPORATION, Appellant, et al., Defendant.

Argued November 14, 2017; decided December 12, 2017

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 10, 2016. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Eileen A. Rakower, J.), which, insofar as appealed from, had denied plaintiff's cross motion to notify the putative class of the discontinuance of the action pursuant to CPLR 908; and (2) remanded the matter to Supreme Court to fashion an appropriate notification under the statute. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 12, 2016. The Appellate Division affirmed that portion of an order of the Supreme Court, New York County (Shirley Werner Kornreich, J.; op 48 Misc 3d 597 [2015]), which had granted plaintiff's motion to compel notice of the impending dismissal of the complaint to putative class members pursuant to CPLR 908, reserving judgment on the manner and substance of such notice. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Desrosiers v Perry Ellis Menswear, LLC, 139 AD3d 473, affirmed.

Vasquez v National Sec. Corp., 139 AD3d 503, affirmed.

HEADNOTE

Actions — Class Actions — Notice of Dismissal, Discontinuance or Compromise — Notice to Putative Class Members

CPLR 908, which provides that "[a] class action shall not be dismissed, discontinued, or compromised without the approval of the court," and that

“[n]otice of the proposed dismissal, discontinuance, or compromise shall be given to all members of the class in such manner as the court directs,” applies to class actions that are settled or dismissed before the class has been certified. The text of CPLR 908 is ambiguous with respect to this issue, as the statute refers to a “class action” instead of “certified class action” or “maintained as a class action,” and to “all members of the class” instead of “all members of the certified class” or “all members of the class who would be bound” by the proposed termination. CPLR 908 has not been amended since it was originally enacted in 1975, and the only previous appellate-level decision to address the issue as it pertains to CPLR 908 concluded that CPLR 908 applied to settlements reached before certification (*Avena v Ford Motor Co.*, 85 AD2d 149 [1st Dept 1982]). For 35 years *Avena* has been New York’s sole appellate judicial interpretation of whether notice to putative class members before certification is required by CPLR 908. Under those circumstances, and in light of the legislative history, the legislature’s refusal to amend CPLR 908 in the decades since *Avena* was decided indicates that the *Avena* decision correctly ascertained the legislature’s intent. Any practical difficulties and policy concerns that may arise from *Avena*’s interpretation of CPLR 908 are best addressed by the legislature, especially considering that there are also policy reasons in favor of applying CPLR 908 in the pre-certification context, such as ensuring that the settlement between the named plaintiff and the defendant is free from collusion and that absent putative class members will not be prejudiced.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Federal Courts §§ 1700, 1729, 1738, 1742–1745,
1751–1754, 1767, 1795; AM JUR 2d Parties §§ 94, 99.
CARMODY-WAIT 2d Parties §§ 19:336, 19:349–19:350.
McKINNEY’S, CPLR 908.
NY JUR 2d Parties §§ 301, 312–313.
SIEGEL, NY PRAC §§ 139–143, 147.

ANNOTATION REFERENCE

See ALR Index under Civil Procedure Rules; Class Actions; Compromise and Settlement; Dismissal, Discontinuance, and Nonsuit; Notice of Knowledge.

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POINTS OF COUNSEL

Bluerock Legal, P.A., Miami, Florida (*Frank H. Henry*, of the Florida bar, admitted pro hac vice, of counsel), and *Nicoll Davis & Spinella, LLP*, New York City (*Steven C. DePalma* of

counsel), for appellants in the first above-entitled action. I. The lawsuit that was dismissed by the Supreme Court was not a class action. (*O'Hara v Del Bello*, 47 NY2d 363; *Shah v Wilco Sys., Inc.*, 27 AD3d 169.) II. The Supreme Court was correct in denying Geoffrey Desrosiers' motion seeking class relief. (*Shah v Wilco Sys., Inc.*, 27 AD3d 169; *Meraner v Albany Med. Ctr.*, 211 AD2d 867; *Powlowski v Wullich*, 102 AD2d 575; *Avena v Ford Motor Co.*, 107 Misc 2d 444, 85 AD2d 149.) III. The Supreme Court was correct because the rights of potential class members were not impacted by the dismissal of this lawsuit and the Appellate Division should be reversed. (*Avena v Ford Motor Co.*, 85 AD2d 149.)

Virginia & Ambinder, LLP, New York City (*LaDonna M. Lusher* and *Jack L. Newhouse* of counsel), and *Leeds Brown Law, P.C.*, Carle Place (*Jeffrey K. Brown* of counsel), for respondent in the first above-entitled action. I. Notice under CPLR 908 is mandatory. (*Avena v Ford Motor Co.*, 85 AD2d 149; *Astill v Kumquat Props., LLC*, 2013 NY Slip Op 32964[U], 125 AD3d 522; *Borden v 400 E. 55th St.*, 2012 NY Slip Op 33712[U]; *Diakonikolas v New Horizons Worldwide Inc.*, 2011 NY Slip Op 33098[U]; *Matter of Beekman Hill Assn. v Chin*, 274 AD2d 161; *Putnam v Otsego Mut. Fire Ins. Co.*, 45 AD2d 556.) II. CPLR 908 notice is not conditioned on plaintiff-respondent timely moving for class certification. (*Huebner v Caldwell & Cook*, 139 Misc 2d 288; *O'Hara v Del Bello*, 47 NY2d 363; *Shah v Wilco Sys., Inc.*, 27 AD3d 169; *Galdamez v Biordi Constr. Corp.*, 50 AD3d 357; *Rodriguez v Metropolitan Cable Communications*, 79 AD3d 841; *Chavarria v Crest Hollow Country Club at Woodbury, Inc.*, 109 AD3d 634.) III. CPLR 908's notice requirement protects absent class members and the integrity of class actions. (*Pludeman v Northern Leasing Sys., Inc.*, 2005 NY Slip Op 30270[U]; *American Pipe & Constr. Co. v Utah*, 414 US 538; *Brinckerhoff v Bostwick*, 99 NY 185; *Paru v Mutual of Am. Life Ins. Co.*, 52 AD3d 346; *Yollin v Holland Am. Cruises*, 97 AD2d 720; *Independent Invs. Protective League v Options Clearing Corp.*, 107 Misc 2d 43; *Sonnenschein v Evans*, 21 NY2d 563; *City of Rochester v Chiarella*, 65 NY2d 92; *Wendt v Fischer*, 243 NY 439.) IV. Defendants' calculated tactics demonstrate why CPLR 908 notice is mandatory. (*Weinstein v Jenny Craig Operations, Inc.*, 41 Misc 3d 1220[A], 2013 NY Slip Op 51783[U]; *Pruitt v Rockefeller Ctr. Props.*, 167 AD2d 14; *Sonnenschein v Evans*, 21 NY2d 563; *Brinckerhoff v Bostwick*, 99 NY 185; *Diakonikolas v New Horizons Worldwide Inc.*, 2011 NY Slip Op 33098[U]; *Astill v Kumquat Props., LLC*, 2013 NY

Slip Op 32964[U]; *Matter of Colt Indus. Shareholder Litig.*, 155 AD2d 154; *Jackson v National Grange Mut. Liab. Co.*, 299 NY 333.)

Baker & Hostetler LLP, New York City (*Daniel J. Buzzetta*, *Amy J. Traub* and *Erica Barrow* of counsel), for appellant in the second above-entitled action. I. The Appellate Division erred by requiring notice in a case that is not a class action. (*O'Hara v Del Bello*, 47 NY2d 363; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Klein v Robert's Am. Gourmet Food, Inc.*, 28 AD3d 63; *American Pipe & Constr. Co. v Utah*, 414 US 538; *Paru v Mutual of Am. Life Ins. Co.*, 52 AD3d 346.) II. *Avena v Ford Motor Co.* (85 AD2d 149 [1982]) should be overturned because it ignores that individual resolutions do not bind the alleged class through issue or claim preclusion. (*Shelton v Fargo, Inc.*, 582 F2d 1298; *Brinckerhoff v Bostwick*, 99 NY 185; *Astil v Kumquat Props., LLC*, 125 AD3d 522; *Diakonikolas v New Horizons Worldwide Inc.*, 2011 NY Slip Op 33098[U]; *Borden v 400 E. 55th St.*, 2012 NY Slip Op 33712[U]; *Abramovitz v Paragon Sporting Goods Co.*, 202 AD2d 206; *Canestaro v Raymour & Flanigan Furniture Co.*, 42 Misc 3d 1210[A], 2013 NY Slip Op 52270[U].)

Virginia Ambinder, LLP, New York City (*LaDonna M. Lusher*, *Lloyd R. Ambinder* and *Jack L. Newhouse* of counsel), and *Leeds Brown Law, P.C.*, Carle Place (*Jeffrey K. Brown*, *Daniel Markowitz* and *Michael A. Tompkins* of counsel), for respondent in the second above-entitled action. I. Notice of this action's proposed dismissal to putative class members is required. (*Moore v Metropolitan Life Ins. Co.*, 33 NY2d 304; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Weinstein v Jenny Craig Operations, Inc.*, 41 Misc 3d 1220[A], 2013 NY Slip Op 51783[U]; *Pruitt v Rockefeller Ctr. Props.*, 167 AD2d 14; *Avena v Ford Motor Co.*, 85 AD2d 149; *Matter of Beekman Hill Assn. v Chin*, 274 AD2d 161; *Independent Invs. Protective League v Options Clearing Corp.*, 107 Misc 2d 43; *People v Giordano*, 87 NY2d 441.) II. The authority relied on by defendant-appellant is inapplicable. (*O'Hara v Del Bello*, 47 NY2d 363; *Galdamez v Biordi Constr. Corp.*, 50 AD3d 357; *Rodriguez v Metropolitan Cable Communications*, 79 AD3d 841; *Chavarria v Crest Hollow Country Club at Woodbury, Inc.*, 109 AD3d 634; *Abramovitz v Paragon Sporting Goods Co.*, 202 AD2d 206; *Canestaro v Raymour & Flanigan Furniture Co.*, 42 Misc 3d 1210[A], 2013 NY Slip Op 52270[U].) III. The trial court approved the settle-

ment and ordered the action dismissed after CPLR 908 notice is issued. (*Matter of Colt Indus. Shareholder Litig.*, 155 AD2d 154.) IV. Defendant-appellant offers arguments beyond the scope of this appeal. (*Price v Price*, 69 NY2d 8; *Penguin Group [USA] Inc. v American Buddha*, 16 NY3d 295; *Solicitor for Affairs of His Majesty's Treasury v Bankers Trust Co.*, 304 NY 282; *Mohrmann v Kob*, 291 NY 181; *Bowlby v McQuail*, 240 NY 684; *Slater v Gallman*, 38 NY2d 1; *Price v New York City Bd. of Educ.*, 16 Misc 3d 543.)

OPINION OF THE COURT

FAHEY, J.

CPLR 908 provides that “[a] class action shall not be dismissed, discontinued, or compromised without the approval of the court,” and that “[n]otice of the proposed dismissal, discontinuance, or compromise shall be given to all members of the class in such manner as the court directs.” On this appeal, we must determine whether CPLR 908 applies only to certified class actions, or also to class actions that are settled or dismissed before the class has been certified. We conclude that CPLR 908 applies in the pre-certification context. As a result, notice to putative class members of a proposed dismissal, discontinuance, or compromise must be given.

I.

Plaintiff Geoffrey Desrosiers worked as an unpaid intern for Perry Ellis Menswear, LLC in 2012. In February 2015, he commenced a class action against defendants Perry Ellis Menswear and an affiliated entity (collectively, Perry Ellis), alleging that Perry Ellis improperly classified employees as interns. He sought wages on behalf of himself and similarly-situated individuals.

In March 2015, Perry Ellis sent an offer of compromise to Desrosiers, which he accepted. On May 18, 2015, Perry Ellis moved to dismiss the complaint. By that date, the time within which Desrosiers was required to move for class certification pursuant to CPLR 902 had expired. Desrosiers did not oppose dismissal of the complaint, but he filed a cross motion seeking leave to provide notice of the proposed dismissal to putative class members pursuant to CPLR 908. Perry Ellis opposed the cross motion, arguing that notice to putative class members was inappropriate because Desrosiers had not moved for class certification within the required time. Supreme Court dis-

missed the complaint but denied the cross motion to provide notice to putative class members.

On appeal, the Appellate Division reversed the order insofar as appealed from by Desrosiers (*Desrosiers v Perry Ellis Menswear, LLC*, 139 AD3d 473 [1st Dept 2016]). The Court concluded that CPLR 908 “is not rendered inoperable simply because the time for the individual plaintiff to move for class certification has expired,” and that notice to putative class members is “particularly important under the present circumstances, where the limitations period could run on the putative class members’ cases following discontinuance of the individual plaintiff’s action” (*id.* at 474).

Plaintiff Christopher Vasquez was employed by defendant National Securities Corporation (NSC) as a financial products salesperson in 2007 and 2008. In June 2014, he filed a class action against NSC on behalf of himself and all similarly-situated individuals who worked for NSC after June 2008. Vasquez alleged that the compensation paid by NSC fell below the required minimum wage, and he sought wage and overtime compensation for himself and similarly-situated individuals.

The parties agreed to postpone a motion for class certification in order to complete pre-certification discovery. In February 2015, before Vasquez had moved for class certification, NSC made a settlement offer, which Vasquez accepted the following month. NSC thereafter moved to dismiss the complaint. Vasquez cross-moved to provide notice of the proposed dismissal to putative class members pursuant to CPLR 908. NSC opposed the cross motion, asserting that CPLR 908 applies only to certified class actions.

Supreme Court granted the cross motion to provide notice to putative class members and granted NSC’s motion to dismiss the complaint, but directed that the action would not be marked disposed until after notice had been issued (*Vasquez v National Sec. Corp.*, 48 Misc 3d 597, 601-602 [Sup Ct, NY County 2015]). On appeal, the Appellate Division affirmed (*Vasquez v National Sec. Corp.*, 139 AD3d 503 [1st Dept 2016]). Adhering to its 1982 decision in *Avena v Ford Motor Co.* (85 AD2d 149 [1st Dept 1982]), the First Department reasoned that “[t]he legislature, presumably aware of the law as stated in *Avena*, has not amended CPLR 908” (*Vasquez*, 139 AD3d at 503).

In each case, the Appellate Division granted the defendant leave to appeal to this Court, certifying the question whether its order was properly made. We now affirm in both cases.

II.

“In matters of statutory interpretation, our primary consideration is to discern and give effect to the Legislature’s intention” (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]). “The statutory text is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]; see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]).

The text of CPLR 908 is ambiguous with respect to this issue. Defendants argue that the statute’s reference to a “class action” means a “certified class action,” but the legislature did not use those words, or a phrase such as “maintained as a class action,” which appears in CPLR 905 and 909. Plaintiffs assert that an action is a “class action” within the meaning of the statute from the moment the complaint containing class allegations is filed, but the statutory text does not make that clear.

Similarly, the statute’s instruction that notice of a proposed dismissal, discontinuance, or compromise must be provided to “all members of the class” is inconclusive. Defendants contend that there are no “members of the class” until class certification is granted pursuant to CPLR 902 and the class is defined pursuant to CPLR 903. Yet the legislature did not state that notice should be provided to “all members of the certified class,” or “all members of the class who would be bound” by the proposed termination, or some other phrase that would have made the legislature’s intent clear. In the context of these ambiguities, we turn to other principles of statutory interpretation and sources beyond the statutory text itself to discern the intent of the legislature (see *Albany Law School*, 19 NY3d at 120; *Matter of Shannon*, 25 NY3d 345, 351 [2015]).

CPLR article 9 was enacted in 1975, replacing former CPLR 1005. The Governor’s Approval Memorandum stated that the legislation would “enable individuals injured by the same pattern of conduct by another to pool their resources and collectively seek relief” where their individual damages “may not be sufficient to justify the costs of litigation” (Governor’s Approval

Mem, Bill Jacket, L 1975, ch 207, 1975 NY Legis Ann at 426, 1975 McKinney's Session Laws of NY at 1748). With respect to CPLR 908, which the legislature has not amended since it was originally enacted in 1975, the State Consumer Protection Board observed that the purpose of that statute "is to safeguard the class against a 'quickie' settlement that primarily benefits the named plaintiff or his or her attorney, without substantially aiding the class" (Mem from St Consumer Protection Bd, May 29, 1975 at 7, Bill Jacket, L 1975, ch 207).

The New York State Bar Association's Banking Law, Business Law, and CPLR Committees, which opposed the bill, recommended that CPLR 908 be amended such that its notice provisions would apply only to certified class actions (*see* Letter from NY St Bar Assn Banking Law, Business Law, and CPLR Comms at 5, Bill Jacket, L 1975, ch 207). Those committees "agree[d] that any settlement or withdrawal of an action commenced as a class action should be subject to court approval," but expressed the view that "if the dismissal, discontinuance or compromise is effected prior to the determination that a class action is proper, the court should be permitted to dispense with notice to class members" (*id.*).

In addition, CPLR article 9 was "modeled on similar federal law," specifically, Federal Rules of Civil Procedure rule 23 (Governor's Approval Mem, Bill Jacket, L 1975, ch 207; *see* Siegel, NY Prac § 139 at 247 [5th ed 2011]). At the time, rule 23 (e) was virtually indistinguishable from the current text of CPLR 908; it provided that "[a] class action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to all members of the class in such manner as the court directs" (former Fed Rules Civ Pro rule 23 [e]).

The majority of federal circuit courts of appeal to address the issue concluded that the prior version of rule 23 (e) also applied in the pre-certification context, but that notice to putative class members before certification was discretionary, after consideration of factors such as potential collusion and the publicity the class action had received (*see e.g. Doe v Lexington-Fayette Urban County Govt.*, 407 F3d 755, 761-763 [6th Cir 2005], *cert denied* 546 US 1094 [2006]; *Crawford v F. Hoffman-La Roche Ltd.*, 267 F3d 760, 764-765 [8th Cir 2001]; *Diaz v Trust Territory of Pac. Is.*, 876 F2d 1401, 1408-1409 [9th Cir 1989]; *Glidden v Chromalloy Am. Corp.*, 808 F2d 621, 626-

628 [7th Cir 1986]).¹ Conversely, the United States Court of Appeals for the Fourth Circuit concluded that the prior version of the rule mandated notice to class members only in certified class actions (see *Shelton v Pargo, Inc.*, 582 F2d 1298, 1314-1316 [4th Cir 1978]).² Thus, faced with virtually identical language in the former version of Federal Rules of Civil Procedure rule 23 (e), most federal circuit courts of appeal to consider the issue concluded that rule 23 (e) applied even before a class had been certified.³

In New York, the only appellate-level decision to address this issue as it pertains to CPLR 908 (other than the two decisions on appeal here) is *Avena v Ford Motor Co.* (85 AD2d 149 [1st Dept 1982]). In that case, the named plaintiffs settled with the defendant before class certification, and the settlement was without prejudice to putative class members (see *id.* at 151). The trial court refused to approve the settlement without first providing notice to the putative class members (see *id.*). The Appellate Division affirmed that determination, concluding that CPLR 908 applied to settlements reached before certification. The First Department reasoned that the “potential for abuse by private settlement at this stage is . . . obvious and

1. Although these federal courts held that notice to putative class members before certification was discretionary under the former version of rule 23 (e), the parties do not ask us to read discretion into CPLR 908, nor could we based on the text of that statute. CPLR 908 states that notice “shall” be provided, but that the *manner* of notice will be “as the court directs.” The only question on this appeal is whether mandatory notice is required only after certification or also before certification. For similar reasons, we reject plaintiffs’ contention that the Appellate Division ordered notice in an exercise of its discretion, and therefore that its orders are reviewable by this Court only for an abuse of discretion as a matter of law. These appeals present an issue of law.

2. The Fourth Circuit shared the concern that pre-certification settlements between the named plaintiff and the defendant might involve collusion. The circuit court instructed district courts to examine proposed settlements for collusion or prejudice to absent putative class members and, if such collusion or prejudice existed, to hold a certification hearing and give notice to members of the class in the event that certification was granted (see *Shelton*, 582 F2d at 1315-1316).

3. Other circuit courts of appeal did not directly address this issue before the 2003 amendment to rule 23 (e) (see e.g. *Rice v Ford Motor Co.*, 88 F3d 914, 919 n 8 [11th Cir 1996] [“In this Circuit, the applicability of Rule 23 (e) to proposed classes prior to their certification is an open question”]). Many federal district courts also considered this issue (see *generally* Annotation, *Notice of Proposed Dismissal or Compromise of Class Action to Absent Putative Class Members in Uncertified Class Action under Rule 23 [e] of Federal Rules of Civil Procedure*, 68 ALR Fed 290).

recognized” (*id.* at 152), and that the named plaintiffs had a fiduciary obligation to disclose relevant facts to putative class members (*see id.* at 153, 156).

This Court has never overruled *Avena* or addressed this particular issue, and no other department of the Appellate Division has expressed a contrary view. Consequently, for 35 years *Avena* has been New York’s sole appellate judicial interpretation of whether notice to putative class members before certification is required by CPLR 908.

Generally, “we have often been reluctant to ascribe persuasive significance to legislative inaction” (*Boreali v Axelrod*, 71 NY2d 1, 13 [1987]; *see Clark v Cuomo*, 66 NY2d 185, 190-191 [1985]). We have distinguished, however, “instances in which the legislative inactivity has continued in the face of a prevailing statutory construction” (*Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84, 90 [1976]). Thus, “[w]hen the Legislature, with presumed knowledge of the judicial construction of a statute, [forgoes] specific invitations and requests to amend its provisions to effect a different result, we have construed that to be some manifestation of legislative approbation of the judicial interpretation, albeit of the lower courts” (*Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662, 667 [1988]). Stated another way, “it is a recognized principle that where a statute has been interpreted by the courts, the continued use of the same language by the Legislature subsequent to the judicial interpretation is indicative that the legislative intent has been correctly ascertained” (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]). “The underlying concern, of course, is that public policy determined by the Legislature is not to be altered by a court by reason of its notion of what the public policy ought to be” (*id.* at 158).

Granted, the persuasive significance of legislative inaction in this context carries more weight where the legislature has amended the statute after the judicial interpretation but its amendments “do not alter the judicial interpretation” (*id.* at 157), or when the judicial interpretation stems from a decision of this Court or “unanimous judgment of the intermediate appellate courts” (*Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327, 334 [1988]). Nevertheless, the fact that the legislature has not amended CPLR 908 in the decades since *Avena* has been decided is particularly persuasive evidence that the Court correctly interpreted the legislature’s intent as it existed when

CPLR 908 was enacted in light of developments occurring in the years after *Avena* was decided.

Specifically, in 2003, Federal Rules of Civil Procedure rule 23 (e) was amended to clarify that the district court must approve any settlement, voluntary dismissal, or compromise involving a “certified class,” and that the court must provide notice of such to “all class members who would be bound” by the proposal (Fed Rules Civ Pro rule 23 [e] [1]). Thus, under the current federal rule, mandatory approval and notice of a proposed settlement is now required only for certified classes.

That same year, the New York City Bar Association’s Council on Judicial Administration recommended several changes to CPLR article 9, including amendments to CPLR 908. The Council opined that, unlike the updated federal rule, CPLR 908 should continue to require judicial approval of settlement at the pre-certification stage, but that notice to putative class members before certification should be discretionary, not mandatory, and should be provided when necessary to protect members of the putative class (*see* NY City Bar Assn, Council on Judicial Administration, *State Class Actions: Three Proposed Amendments to Article 9 of the Civil Practice Law and Rules*, 58 Rec of Assn of Bar of City of NY at 316 [2003], available at <http://www.nycbar.org/pdf/report/Art9.draft.082703.MWord.pdf> [last accessed Dec. 7, 2017]). Various committees of the City Bar made the same recommendation in 2015 (*see* NY City Bar Assn, State Courts of Superior Jurisdiction Committee, Council on Judicial Administration, and Litigation Committee, *Proposed Amendments to Article 9 of the Civil Practice Law and Rules to Reform and Modernize the Administration of Class Actions in NYS Courts*, Nov. 5, 2015, available at <http://www2.nycbar.org/pdf/report/uploads/20072985-ClassActionsProposedAmendsArt9CPLRJudicialAdminLitigationStateCourtsReportFINAL11515.pdf> [last accessed Dec. 7, 2017]). Notwithstanding these repeated proposals, and the legislature’s awareness of this issue (*see* 2016 NY Assembly Bill A9573; *cf. Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 287 [2009]), the legislature has left CPLR 908 untouched from its original version as enacted in 1975.

Thus, despite criticisms of the *Avena* decision (*see e.g.* Joseph M. McLaughlin, 1982 Supp Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR 908:1 [1976 ed], 2005 Pocket Part at 248-249), the 2003 amendment of the federal rule upon which CPLR 908 was modeled to address this situation, and

specific and repeated calls to the legislature to amend the statute, the legislature has not amended CPLR 908, either to state that *Avena* was not a correct interpretation of its original intent or to express its revised, present intent. Under these circumstances, and in light of the legislative history discussed above, we conclude that the legislature's refusal to amend CPLR 908 in the decades since *Avena* was decided indicates that the *Avena* decision correctly ascertained the legislature's intent (see *Alonzo M.*, 72 NY2d at 667; *Knight-Ridder*, 70 NY2d at 157).

Any practical difficulties and policy concerns that may arise from *Avena*'s interpretation of CPLR 908 are best addressed by the legislature (see *Knight-Ridder*, 70 NY2d at 158), especially considering that there are also policy reasons in favor of applying CPLR 908 in the pre-certification context, such as ensuring that the settlement between the named plaintiff and the defendant is free from collusion and that absent putative class members will not be prejudiced (see *Avena*, 85 AD2d at 152-155; see also *Diaz*, 876 F2d at 1409; *Glidden*, 808 F2d at 627; Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C908:2 at 224-225). The balancing of these concerns is for the legislature, not this Court, to resolve.

Accordingly, in both *Desrosiers* and *Vasquez*, the orders of the Appellate Division should be affirmed, with costs, and the certified questions answered in the affirmative.

STEIN, J. (dissenting). The majority finds ambiguity in CPLR 908 where none exists and, in my view, places undue weight on the First Department's holding in *Avena v Ford Motor Co.* (85 AD2d 149 [1st Dept 1982]). Even a cursory reading of the analysis in *Avena* reveals that it is not grounded in the unambiguous statutory text. We are not bound by the result in that case or by subsequent legislative inaction, and the passage of time does not alter that conclusion. Instead, it is within the province of this Court of last resort to interpret the statute as a matter of law, guided by our principles of statutory interpretation.

In that regard, the requirement in CPLR 908 that notice be provided "to all members of the class" is expressly limited to a "class action." In each of the actions here, plaintiffs did not comply with the requirements under article 9 of the CPLR that are necessary to transform the *purported* class action into an *actual* class action, with members of a class bound by the dis-

position of the litigation. Thus, there is no class action here, and no basis under the statutory scheme to mandate CPLR 908 notice to putative members of an undefined class that an individual claim—of which they had received no prior notice and in which they had taken no part—is being settled, but the settlement is not binding on them. For these reasons, I respectfully dissent.

I.

“It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature, and where the statutory language is clear and unambiguous, the court should . . . give effect to the plain meaning of the words used” (*Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976] [citations omitted]). Therefore, “the starting point in any case of interpretation must always be the language itself” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]), considering the various statutory sections together with reference to each other (see *Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012]). We are also guided by the principle that “resort must be had to the natural signification of the words employed, and if they have a definite meaning, which involves no absurdity or contradiction, there is no room for construction and courts have no right to add to or take away from that meaning” (*Majewski*, 91 NY2d at 583 [internal quotation marks and citation omitted]).

Article 9 of the CPLR begins with CPLR 901, which specifies the prerequisites that must be satisfied for one or more members of a designated class to sue or be sued as representative parties on behalf of the other members of that class. CPLR 902 requires the plaintiff “in an action brought as a class action” to “move for an order to determine whether it is to be so maintained” within 60 days after expiration of the time in which a defendant must serve responsive pleadings. Thereafter, “[t]he action may be maintained as a class action only if the court finds that the prerequisites under section 901 have been satisfied” (CPLR 902). In determining whether the action “may proceed as a class action,” the court must consider certain factors, including the interests of the members of the purported class, the impracticability or inefficiency of proceeding separately, any pending litigation, the desirability of concentrating the litigation, and class action management difficulties

that may arise (*see* CPLR 902 [1]-[5]). If the court allows the action to proceed as a class action, the order “permitting [the] class action” must describe the class (CPLR 903; *see also* 907).

Once the prerequisites of sections 901 and 902 have been met, reasonable notice of the commencement of the class action must be given to the certified class “in such manner as the court directs,” except in the case of class actions brought primarily for equitable relief, in which case, the court has discretion to determine whether notice is necessary and appropriate (CPLR 904 [a], [b]; *see also* Vincent C. Alexander, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR 904). Any judgment in a class action must describe the class, and such a judgment is binding only upon “those whom the court finds to be members of the class” (CPLR 905; *see also* 909).

CPLR 908—the provision at issue here—prescribes that a “class action shall not be dismissed, discontinued, or compromised without the approval of the court. Notice of the proposed dismissal, discontinuance, or compromise shall be given to all members of the class in such manner as the court directs.” The question before us is whether this provision requires notice to putative class members if the action is settled or dismissed *prior* to class certification. In my view, it does not.

CPLR 908 must be considered in the context of the statutory scheme set forth in the entirety of article 9. Inasmuch as “[an] action may be maintained as a class action *only if* the court finds that the prerequisites under section 901 have been satisfied” upon a motion brought within the specified time period pursuant to CPLR 902 (emphasis added), it follows that a purported class action is not actually “a class action” until so adjudicated by the court; concomitantly, prior to class certification, there are no “members of the class” to whom notice could be provided. Thus, there is no statutory basis for applying the CPLR 908 notice requirement when, as here, the litigation is resolved during the pre-certification phase without prejudice to the rights of putative class members.

There is nothing talismanic about styling a complaint as a class action. Indeed, any plaintiff may merely allege that a claim is being brought “on behalf of all others similarly situated.” However, under article 9 of the CPLR, the court, not a would-be class representative, has the power to determine whether an action “brought as a class action” may be maintained as such, and may do so only upon a showing that the

prerequisites set forth in CPLR 901 have been satisfied (CPLR 902).¹ Logically, the converse of that proposition must also be true—i.e., if the court has not made an affirmative finding that the CPLR 901 prerequisites have been met, the action may not be maintained as a class action. Here, the fact that plaintiffs did not comply with CPLR 902 and did not obtain orders adjudicating their actions as class actions is fatal to their argument that notice of their settlements to purported class members is required.

This Court's holding in *O'Hara v Del Bello* (47 NY2d 363 [1979]) is instructive. In that case, the petitioner commenced a proceeding on behalf of himself and others similarly situated who were denied payment of authorized and approved travel vouchers by their employer. Supreme Court granted the petitioner summary judgment, directing the respondents to pay all properly submitted travel vouchers, including those to be submitted in the future. This Court ultimately affirmed the award of summary judgment to the petitioner, but modified the judgment to limit relief to only the named petitioner. We held that, "[i]nasmuch as there was a failure to comply with the procedural and substantive provisions of CPLR article 9 with respect to class action[s] . . . there [was] no basis for granting relief other than to the individual party who brought the proceeding" (*O'Hara*, 47 NY2d at 368). The Court reasoned that "[t]he explicit design of article 9 . . . is that a determination [pursuant to CPLR 902] as to the appropriateness of class

1. Contrary to the majority's reasoning, CPLR 908 is not ambiguous because it uses the phrase "class action" instead of "maintained as a class action." These phrases are used interchangeably throughout CPLR article 9 to refer to an action that has been adjudicated a class action by the court pursuant to the mechanism set forth in CPLR 902. The phrase "class action" is repeatedly used throughout article 9 in instances, like CPLR 908, where it is readily apparent that the intent of the legislature is to refer to an actual "class action," not merely a purported class action (see CPLR 903 ["(t)he order permitting a class action shall describe the class"], 904 [certification notice requirement referring to "class actions"], 907 [permitting certain court orders in the "conduct of class actions"]). The majority also posits that CPLR 908 is ambiguous because the phrases "class action" and "all members of the class" do not also include the word "certified." This reasoning is unsound. Insofar as "[t]he language is certain and definite, intelligible and has an unequivocal meaning" (*People ex rel. New York Cent. & Hudson Riv. R.R. Co. v Woodbury*, 208 NY 421, 424 [1913]), within the context of the statutory scheme (see *Bloomberg*, 19 NY3d at 721), there is no occasion to engage in "conjecture about or to add to or to subtract from [the] words" used by the legislature (McKinney's Cons Laws of NY, Book 1, Statutes § 76, Comment).

action relief shall be promptly made at the outset of the litigation” (*id.*). The Court emphasized that

“[t]o countenance making the determination as to the identity of the beneficiaries on whose behalf the litigation had been prosecuted or defended after its outcome is known would be to open the possibility both of conferring a gratuitous benefit on persons who have not been parties and were not at any time exposed to the risk of an adverse adjudication and further of substantially enlarging the liability of the loser beyond anything contemplated during the contest and resolution of the issues on their merits” (*id.* at 369).

The majority now construes CPLR 908, contrary to its plain language, to permit the results this Court cautioned against in *O’Hara*. Plaintiffs in both actions failed to make timely CPLR 902 motions for an order to certify the class. Instead, they accepted settlement offers, allowed the deadline for certification to pass, and declined to oppose defendants’ motions to dismiss, but nonetheless subsequently asked the court to direct notice to putative class members under CPLR 908. As in *O’Hara*, by virtue of plaintiffs’ failure to comply with CPLR article 9—and particularly CPLR 902—there is no basis to impose the notice requirements of CPLR 908, which only apply to class actions, not purported class actions.

Directing such notice under these circumstances would lack practical significance. Indeed, the notice would essentially inform putative class members that an individual claim—of which they received no prior notice—was being resolved by an agreement that was not binding on them. Moreover, as defendants point out, because no class had been certified under CPLR 902, it is unclear to whom notice was purportedly required. Not only would this uncertainty create administrative difficulties that would entail the expenditure of time and resources by both the court and the parties,² the ultimate purpose of the notice appears, at most, to be to allow plaintiffs’ counsel to

2. Although plaintiffs minimize the significance of this burden, mandating notice of pre-certification dismissals requires that the court and the parties attempt to define both the group of individuals to whom notice should be provided in the absence of a defined class, as well as the content of that notice, all concerning the resolution of individual claims that do not bind the notice recipients in any way. While, in some cases, it may be easy to identify

(n. cont’d)

identify more clients at the expense of the court and defendants.³

II.

In concluding that CPLR 908 should be applied to actions that were never adjudicated to be class actions, the majority places great weight on the fact that lower courts have been bound to follow *Avena* (85 AD2d 149 [1st Dept 1982]) because this Court has not yet overruled that case, and no other Appellate Division Department has had the occasion to express a contrary view. However, the interpretation of the plain language of CPLR 908 is now squarely before us, and inaction on the part of other appellate courts—or the legislature—in the wake of *Avena* is no hindrance to our adherence to the statutory text.

In my view, the First Department's decision in *Avena* was flawed and continued reliance on it is misguided. It is evident, simply from the manner in which the First Department framed its inquiry, that the Court departed from the statutory text, contrary to longstanding fundamental rules of construction (see *Majewski*, 91 NY2d at 583). Instead of starting with the text of CPLR 908 itself—which by its plain terms applies only to “class

the putative class members, in others, it may be difficult and time-consuming, as well as expensive, to identify and provide notice to them.

3. Any claimed virtue of plaintiffs' position that notice is required to protect putative class members is a distraction. If plaintiffs desired to obtain relief on behalf of the putative class members, they could have followed the proper procedure to certify the class. Instead, they settled their individual claims. Moreover, while it could reasonably be argued that mandating notice here amounts to no more than solicitation on behalf of plaintiffs' counsel, it is worth noting that directing notice prior to certification could, under some circumstances, actually inure to the detriment of a plaintiff's attorney. For example, a plaintiff's attorney could quickly conclude that a putative class action has little merit, and would not wish to bear the cost of notifying putative class members in a class that could not, for instance, be certified due to lack of typicality or predominance. Therefore, knowing that the majority's rule may impose the costs of notice even if no class is ever certified (see CPLR 904 [d] [presumptively placing the costs of notice on the plaintiff]), members of the plaintiffs' bar may be less likely to commence some class actions in the first place. Relatedly, the majority's rule may also discourage settlement. If a plaintiff's attorney determines that there are deficiencies with either the named plaintiff's claim or the class claim, or both, the attorney would have an incentive to litigate and lose the class certification motion rather than to stipulate to a dismissal, because the stipulation of dismissal would require notice, whereas (presumably, although the majority is unclear about this), no notice would be required in the event that the court denied class certification.

actions”—the *Avena* court began its analysis by inquiring whether an action that merely “purports to be a class action” should nevertheless “*be deemed* ‘a class action’ ” to which CPLR 908 would apply (*Avena*, 85 AD2d at 152 [emphasis added]). Further, noting that the defendant in *Avena* did not dispute the applicability of CPLR 908, the First Department broadly stated, without citation, that “[t]he fiduciary obligations of the named plaintiffs *in instituting [a class] action* are generally recognized and not disputed” (85 AD2d at 152 [emphasis added]). It was solely on this basis that the First Department concluded “that CPLR 908 should apply to even a without prejudice (to the class) settlement and discontinuance of a purported class action before certification or denial of certification” (*id.*).

However, it is questionable whether a would-be class representative has fiduciary responsibilities in the pre-certification stage in light of the absence of the would-be representative’s authority to bind putative class members (*see* CPLR 905; *cf. Standard Fire Ins. Co. v Knowles*, 568 US 588, 593 [2013]). Because there is no res judicata impact upon *putative* class members (*see Rodden v Axelrod*, 79 AD2d 29, 32 [3d Dept 1981]), their ability to bring their own claims is unimpaired and they are, therefore, not impacted by the resolution of the named plaintiff’s individual claim.⁴ Under these circumstances, it is difficult to understand why the *Avena* court would invoke fiduciary considerations in the pre-certification context and hold that CPLR 908 should apply to even a settlement that is without prejudice to the putative class. While the majority glosses over whether it actually agrees with *Avena*, it adopts the rule of that case, following the novel theory espoused by the First Department, without question. I would not acquiesce to the reasoning in *Avena*; instead, I would interpret the statute before us, which inexorably leads me to conclude that CPLR 908 notice is not required prior to certification.

Further, contrary to the majority’s reasoning here, the legislature’s failure to amend CPLR 908 after *Avena* was decided does not compel the conclusion that *Avena* correctly ascertained the legislature’s intent (*see Matter of New York*

4. To the extent the *Avena* court expressed concern about the prospect of disingenuous plaintiffs using a frivolous class action claim as leverage in settlement negotiations, it bears noting that there are other mechanisms in place to prevent such abuse, including, of course, early certification (as required under article 9 of the CPLR) and sanctions.

State Assn. of Life Underwriters v New York State Banking Dept., 83 NY2d 353, 363 [1994]; see also *People v Ocasio*, 28 NY3d 178, 183 n 2 [2016] [legislative “inaction is susceptible to varying interpretations”]).⁵ Despite acknowledging that this case does not present one of the scenarios in which legislative inaction may nonetheless carry some significance (cf. *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]; *Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327, 334 [1988]), the majority relies on the length of time that has passed since *Avena* was decided. Although *Avena* may enjoy a distinguished patina owing to the passage of time, the decision has not withstood any meaningful consideration by other appellate courts. To the contrary, the case has been followed by only a handful of lower courts (see e.g. *Astill v Kumquat Props., LLC*, 2013 NY Slip Op 32964[U] [Sup Ct, NY County 2013]; *Diakonikolas v New Horizons Worldwide Inc.*, 2011 NY Slip Op 33098[U] [Sup Ct, NY County 2011]), which were bound to do so. Moreover, as Supreme Court observed here, the “wisdom” of the rule announced in *Avena* “has been questioned by many, including the CPLR commentary.” (*Vasquez v National Sec. Corp.*, 48 Misc 3d 597, 599 [2015].) Thus, the existence of *Avena* is no bar to this Court adopting a more reasoned approach based on the express language of CPLR 908.

Finally, to the extent the majority relies on certain federal cases construing the pre-2003 version of rule 23 (e) of the Federal Rules of Civil Procedure, each of those cases held that notice to putative class members prior to certification was *discretionary*, based on various considerations not included in the rule itself (see *Diaz v Trust Territory of Pac. Is.*, 876 F2d 1401, 1408, 1411 [9th Cir 1989] [adopting the “majority approach” and holding that “(n)otice to the class of pre-certification dismissal is not . . . required in all circum-

5. Similarly, the memorandum of the consumer protection board and the bar association letter cited by the majority lack persuasive force (see majority op at 495). To the extent the memorandum indicates that the purpose of CPLR 908 is to safeguard against a settlement benefitting only the named plaintiff or plaintiff’s counsel to the detriment of the class (see Mem from St Consumer Protection Bd, May 29, 1975 at 7, Bill Jacket, L 1975, ch 207), this concern is implicated only when the disposition would bind the class, i.e., after certification. For its part, the bar association advanced its interpretation of CPLR 908 within the context of its advocacy for a discretionary notice regime (see Letter from NY St Bar Assn Banking Law, Business Law, and CPLR Comms at 5, Bill Jacket, L 1975, ch 207 [“the court should be permitted to dispense with notice to class members”]). The legislature clearly rejected that approach.

stances”). Those cases do not address the dispositive issue in this case, which is—as the majority acknowledges—whether notice is *mandatory* under CPLR 908. Although there may be policy considerations that support the discretionary rule crafted by various federal courts—which was ultimately rejected by Congress (Fed Rules Civ Pro rule 23 [e])—our role here is to interpret the plain language of CPLR 908.

For the reasons stated herein, I would hold that the plain language of CPLR 908, taken in context, does not require notice to putative class members if the action is resolved prior to class certification.

Chief Judge DiFIORE and Judges RIVERA and FEINMAN concur; Judge STEIN dissents in an opinion, in which Judges GARCIA and WILSON concur.

In each case: Order affirmed, with costs, and certified question answered in the affirmative.

[91 NE3d 1186, 69 NYS3d 207]

GLOBAL REINSURANCE CORPORATION OF AMERICA, Successor in Interest to CONSTITUTION REINSURANCE CORPORATION, Respondent, v CENTURY INDEMNITY COMPANY, Successor in Interest to CCI INSURANCE COMPANY, Successor in Interest to INSURANCE COMPANY OF NORTH AMERICA, Appellant.

Argued November 15, 2017; decided December 14, 2017

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Does the decision of the New York Court of Appeals in *Excess Insurance Co. v. Factory Mutual Insurance Co.*, 3 N.Y.3d 577 (2004), impose either a rule of construction, or a strong presumption, that a per occurrence liability cap in a reinsurance contract limits the total reinsurance available under the contract to the amount of the cap regardless of whether the underlying policy is understood to cover expenses such as, for instance, defense costs?”

HEADNOTE

Insurance — Reinsurance — Limitation on Liability Clause — Cap on Third-Party Defense Costs

New York law imposes neither a rule of construction nor a presumption that a limitation on liability clause necessarily caps all obligations owed by a reinsurer, such as defense costs, without regard for the specific language employed therein. *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.* (3 NY3d 577 [2004]) did not say that third-party defense costs under any facultative reinsurance contract are unambiguously or presumptively capped by the liability limits in the certificate. *Excess* did not supersede the standard rules of contract interpretation otherwise applicable to facultative reinsurance contracts. Like any contract, a facultative reinsurance contract that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms. Ambiguity is ascertained by reading the terms of the agreement, not in isolation, but as a whole. If a contract is reasonably susceptible of only one meaning, a court is not free to alter the contract to reflect its own personal notions of fairness and equity. Courts are not permitted to disregard the precise terminology that the parties used and assume, based on their own familiar notions of economic efficiency, that any clause bearing the generic marker of a “limitation on liability” or “reinsurance accepted” clause was intended to be cost-inclusive.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Insurance §§ 1812, 1813, 1822.
COUCH ON INSURANCE (3d ed) §§ 9:13, 9:15, 9:16, 9:24,
9:28, 9:29.
NY JUR 2d Insurance §§ 2375, 2377, 2383.

ANNOTATION REFERENCE

See ALR Index under Contracts; Reinsurance.

FIND SIMILAR CASES ON THOMSON REUTERS WESTLAW®

Path: Home > Cases > New York State & Federal Cases
> New York Official Reports
Query: reinsur! /s limit! /3 liability /s cap

POINTS OF COUNSEL

O'Melveny & Myers LLP, Washington, D.C. (*Jonathan D. Hacker*, of the District of Columbia bar, admitted pro hac vice, of counsel), and New York City (*Anton Metlitsky* and *Jennifer B. Sokoler* of counsel), and *White and Williams LLP*, Philadelphia, Pennsylvania (*Daryn E. Rush* and *Ellen K. Burrows*, of the Pennsylvania bar, admitted pro hac vice, of counsel), for appellant. I. The Global Reinsurance Corporation reinsurance certificates are concurrent with the underlying Century Indemnity Company policies and thus Global must share proportionally in defense costs outside indemnity limits. (*Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.*, 3 NY3d 577; *Morgan Stanley Group Inc. v New England Ins. Co.*, 225 F3d 270; *Beardslee v Inflection Energy, LLC*, 25 NY3d 150; *Fox Film Corp. v Springer*, 273 NY 434; *Sumitomo Mar. & Fire Ins. Co.—U.S. Branch v Cologne Reins. Co. of Am.*, 75 NY2d 295; *TIG Premier Ins. Co. v Hartford Acc. & Indem. Co.*, 35 F Supp 2d 348; *Union Carbide Corp. v Affiliated FM Ins. Co.*, 68 AD3d 534, 16 NY3d 419; *Commercial Union Ins. Co. v Swiss Reins. Am. Corp.*, 413 F3d 121; *Aetna Cas. & Sur. Co. v Home Ins. Co.*, 882 F Supp 1328; *Bovis Lend Lease LMB, Inc. v Great Am. Ins. Co.*, 53 AD3d 140.) II. *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.* (3 NY3d 577 [2004]) does not override the follow form provision's presumption of concurrence as to defense costs. (*J. A. Preston Corp. v Fabrication Enters.*, 68 NY2d 397.) III. This Court should not follow *Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.* (590 F Supp 187 [SD NY 1984]) and *Unigard Sec. Ins.*

Co., Inc. v North Riv. Ins. Co. (4 F3d 1049 [2d Cir 1993]). IV. The Court should reformulate the question presented, and confirm that the presumption of concurrence applies and has not been rebutted here.

Kellogg, Hansen, Todd, Figel & Frederick, P.L.L.C., Washington, D.C. (*David C. Frederick, Jeremy S. Newman and Amelia I. P. Frenkel*, of the District of Columbia bar, admitted pro hac vice, of counsel, and *Ariela Migdal* of counsel), and *Pitchford Law Group, LLC*, New York City (*David L. Pitchford* of counsel), for respondent. I. Under New York law, courts give full effect to the limits on reinsurance contained in the certificates. (*MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Matter of Viking Pump, Inc.*, 27 NY3d 244; *Gulf Ins. Co. v Transatlantic Reins. Co.*, 69 AD3d 71; *Chimart Assoc. v Paul*, 66 NY2d 570; *British Intl. Ins. Co. Ltd. v Seguros La Republica, S.A.*, 342 F3d 78; *Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.*, 4 F3d 1049; *Loblaw, Inc. v Employers' Liab. Assur. Corp.*, 85 AD2d 880; *Suffolk County Water Auth. v Village of Greenport*, 21 AD3d 947; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470.) II. *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.* (3 NY3d 577 [2004]), *Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.* (590 F Supp 187 [SD NY 1984]), and *Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.* (4 F3d 1049 [2d Cir 1993]) confirm that a liability cap in a facultative reinsurance contract limits the total reinsurance available, regardless of whether the underlying policy covers expenses. (*Allendale Mut. Ins. Co. v Excess Ins. Co., Ltd.*, 992 F Supp 271; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *American Employers' Ins. Co. v Swiss Reins. Am. Corp.*, 413 F3d 129; *North Riv. Ins. Co. v CIGNA Reins. Co.*, 52 F3d 1194.) III. Policy reasons support upholding the plain language of reinsurance contracts that impose caps on liability. (*Chimart Assoc. v Paul*, 66 NY2d 570; *United States Fid. & Guar. Co. v American Re-Ins. Co.*, 20 NY3d 407.) IV. The Court should affirm that liability caps in reinsurance contracts are enforced as written. (*Excess Ins. Co. v Factory Mut. Ins. Co.*, 2 AD3d 150.)

Sidley Austin LLP, New York City (*James D. Arden* of counsel) and Chicago, Illinois (*William Sneed and Daniel R. Thies* of counsel), for Continental Casualty Company and others, amici curiae. I. New York law disfavors blanket rules that override the intent of the contracting parties. (*Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.*, 3 NY3d 577; *Ministers & Mis-*

sionaries Benefit Bd. v Snow, 26 NY3d 466; *State Farm Fire & Cas. Co. v LiMauro*, 65 NY2d 369; *Matter of Viking Pump, Inc.*, 27 NY3d 244; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208.) II. Reading *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.* (3 NY3d 577 [2004]) to impose a blanket rule is particularly inappropriate and harmful. (*Travelers Cas. & Sur. Co. v Ace Am. Reins. Co.*, 392 F Supp 2d 659; *United Fire & Cas. Co. v Arkwright Mut. Ins. Co.*, 53 F Supp 2d 632; *Aetna Cas. & Sur. Co. v Home Ins. Co.*, 882 F Supp 1328; *Commercial Union Ins. Co. v Swiss Reins. Am. Corp.*, 413 F3d 121; *Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.*, 903 F2d 910; *TIG Premier Ins. Co. v Hartford Acc. & Indem. Co.*, 35 F Supp 2d 348; *Union Carbide Corp. v Affiliated FM Ins. Co.*, 16 NY3d 419; *Wisconsin Local Govt. Prop. Ins. Fund v Lexington Ins. Co.*, 100 F Supp 3d 687, 840 F3d 411; *Lexington Ins. Co. v Western Pa. Hosp.*, 423 F3d 318; *Juntunen v Sea-Con Servs., Inc.*, 879 F2d 154.)

Chaffetz Lindsey LLP, New York City (Steven C. Schwartz and Gretta L. Walters of counsel), for Aon Benfield U.S. and others, amici curiae. I. A “rule of construction” imposing an absolute cap on reinsurance recoveries would frustrate the purpose, and contradict the terms, of facultative reinsurance contracts. (*Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.*, 903 F2d 910; *Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.*, 4 F3d 1049; *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.*, 3 NY3d 577; *TIG Premier Ins. Co. v Hartford Acc. & Indem. Co.*, 35 F Supp 2d 348; *India.Com, Inc. v Dalal*, 412 F3d 315.) II. Reading *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.* (3 NY3d 577 [2004]) to impose a “rule of construction” that caps reinsurance recoveries would violate public policy. III. *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.* (3 NY3d 577 [2004]) imposed neither a “rule of construction” nor a “strong presumption” regarding caps on facultative reinsurance contracts. (*Great N. Ins. Co. v Mount Vernon Fire Ins. Co.*, 92 NY2d 682; *World Trade Ctr. Props., L.L.C. v Hartford Fire Ins. Co.*, 345 F3d 154; *London Assur. Corp. v Thompson*, 170 NY 94; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London*, 96 NY2d 583; *Christiania Gen. Ins. Corp. of N.Y. v Great Am. Ins. Co.*, 979 F2d 268; *Lend Lease [US] Constr. LMB Inc. v Zurich Am. Ins. Co.*, 28 NY3d 675; *Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170; *Matter of Covert*, 97 NY2d 68.)

OPINION OF THE COURT

FEINMAN, J.

The narrow issue before us pertains to the scope of our prior ruling in *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.* (3 NY3d

577 [2004]). Pursuant to rule 500.27 of this Court (22 NYCRR 500.27), the United States Court of Appeals for the Second Circuit has certified the following question to us:

“Does the decision of the New York Court of Appeals in [*Excess*] impose either a rule of construction, or a strong presumption, that a per occurrence liability cap in a reinsurance contract limits the total reinsurance available under the contract to the amount of the cap regardless of whether the underlying policy is understood to cover expenses such as, for instance, defense costs?” (*Global Reins. Corp. of Am. v Century Indem. Co.*, 843 F3d 120, 128 [2d Cir 2016]).¹

We now answer the certified question in the negative. Under New York law generally, and in *Excess* in particular, there is neither a rule of construction nor a presumption that a per occurrence liability limitation in a reinsurance contract caps all obligations of the reinsurer, such as payments made to reimburse the reinsured’s defense costs.

I.

Reinsurance is the insurance of one insurer by another (*see Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94, 105-106 [1996]). “When entering into a reinsurance contract, an insurance company agrees to pay a particular premium to a reinsurer in return for reimbursement of a portion of its potential financial exposure under certain direct insurance policies it has issued to its customers” (*Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London*, 96 NY2d 583, 587 [2001]). “Through this indemnity relationship, the reinsured seeks to ‘cede’ or spread its risk of loss among one or more reinsurers” (*id.*). Through this process, reinsurance permits the cedent insurer to “minimize its exposure to cata-

1. The parties are Global Reinsurance Corporation of America formerly known as Constitution Reinsurance Corporation, a reinsurance company, and Century Indemnity Company formerly known as Insurance Company of North America, an insurance company that reinsured some of its policies with Global. The underlying facts and procedural posture of this dispute are set forth in the opinion and order of the United States District Court for the Southern District of New York, filed August 15, 2014 (2014 WL 4054260, 2014 US Dist LEXIS 113793 [SD NY, Aug. 15, 2014, No. 13 Civ 06577(LGS)]) and the order of the Second Circuit, filed December 8, 2016, certifying this question (843 F3d 120).

strophic loss,” “reduce the amount of the legally required reserves held for the protection of policyholders,” and “increase [its] ability to underwrite other policies or make other investments” (*Matter of Midland Ins. Co.*, 79 NY2d 253, 258 [1992]).

There are two types of reinsurance: treaty and facultative. Under a reinsurance treaty, the cedent transfers to the reinsurer its risk under an entire line of business spanning multiple insurance policies (*see Travelers*, 96 NY2d at 587-588; *Sumitomo Mar. & Fire Ins. Co.—U.S. Branch v Cologne Reins. Co. of Am.*, 75 NY2d 295, 301 [1990]). By contrast, in facultative reinsurance, the reinsurer agrees to indemnify the cedent for all or a portion of the cedent’s risk under a single policy in the event of loss (*see* 1A Couch on Insurance § 9:3 [3d ed 2016]; *Travelers*, 96 NY2d at 587). In other words, “[f]acultative reinsurance is policy-specific” (*Travelers*, 96 NY2d at 587). For purposes of this certified question, we are concerned only with facultative reinsurance.²

The coverage provided under a facultative reinsurance contract is “memorialized in a certificate” (Barry R. Ostrager & Mary Kay Vyskocil, *Modern Reinsurance Law and Practice* § 1:03 [3d ed 2014]; *accord* William Hoffman, *Facultative Reinsurance Contract Formation, Documentation, and Integration*, 38 Tort Trial & Ins Prac LJ 763, 809 [Spring 2003] [“By a certificate, the reinsurer attests that the facultative reinsurance placement is complete and the contract in effect”]). These certificates are usually “standard forms” (*North Riv. Ins. Co. v CIGNA Reins. Co.*, 52 F3d 1194, 1199 [3d Cir 1995]), “short and concise, using terms of art rather than lengthy, legalistic explications to define the obligations of the parties” (Ostrager & Vyskocil § 2:02; *see Sumitomo*, 75 NY2d at 302).

Typically, the facultative reinsurer is obligated to indemnify the cedent up to a stated upper limit (*see Travelers*, 96 NY2d at 588). For example, one of the certificates relevant to the underlying dispute, which the parties refer to as “Certificate X,” reads:

“Item 1—Type of Insurance

“Blanket General Liability, excluding Automobile Liability as original.

2. The question did not explicitly limit itself to “facultative” reinsurance. However, because the question is premised on what “the underlying policy . . . cover[s]” (*Global Reins.*, 843 F3d at 128), we understand it to be a question solely about facultative reinsurance, rather than one about reinsurance treaties, which do not have a single “underlying policy.”

“Item 2—Policy Limits and Application

“\$1,000,000. each occurrence as original.

“Item 3—[Cedent] Company Retention

“The first \$500,000. of liability as shown in Item #2 above.

“Item 4—Reinsurance Accepted

“\$250,000. part of \$500,000. each occurrence as original excess of the [cedent] Company’s retention as shown in Item #3 above.

“Item 5—Basis

“Excess of Loss” (*Global Reins.*, 843 F3d at 123).

Certificate X reinsures an underlying insurance policy of \$1 million per occurrence, with the cedent retaining the first \$500,000 of such liability, and the reinsurer assuming up to \$250,000 in excess thereof.

An underlying third-party liability insurance policy will often require the insurer to either pay the insured’s costs in defending covered claims, or to provide legal counsel and defend the claim itself (*see e.g. Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 309-310 [1984]). These expenses are distinct from indemnity payments for actual losses (*see id.* at 310 [“Though policy coverage is often denominated as ‘liability insurance,’ where the insurer has made promises to defend ‘it is clear that (the coverage) is, in fact, ‘litigation insurance’ as well”], quoting *International Paper Co. v Continental Cas. Co.*, 35 NY2d 322, 326 [1974]).

One recurring issue in reinsurance disputes is whether these defense costs, insofar as they are reinsured by a facultative reinsurance policy, count towards the limit in the reinsurance accepted clause (\$250,000 in the example above). Here, Global averred that, as of the filing of its motion for summary judgment, Century billed it \$327,149 under Certificate X, consisting of \$82,627 in loss and \$244,522 in expense. Global argued that, under the reinsurance accepted clause, its obligation to Century for both loss and expense payments under Certificate X is capped at \$250,000 (*see Global Reins.*, 843 F3d at 123). Century argued that this \$250,000 limit applied only to losses and that Global must also pay all expenses, even if losses and expenses combined would exceed \$250,000 (*id.*).

This brings us to the question certified by the Second Circuit: whether our 2004 decision in *Excess* (3 NY3d 577) imposed “ei-

ther a rule of construction, or a strong presumption, that a per occurrence liability cap in a reinsurance contract limits the total reinsurance available under the contract to the amount of the cap regardless of whether the underlying policy is understood to cover expenses such as, for instance, defense costs” (*Global Reins.*, 843 F3d at 128). As the Second Circuit noted:

“If *Excess* imposes a clear rule (or a presumption) with respect to these reinsurance policies, the rule would guide our interpretation of this and substantially similar policies. If, on the other hand, the standard rules of contract interpretation apply, we would construe each reinsurance policy solely in light of its language and, to the extent helpful, specific context” (*id.*).

We now turn to that decision.

II.

Our opinion in *Excess* addressed whether a reinsurer’s obligation to pay loss adjustment expenses³ arising from a “follow-the-settlements” clause was subject to the stated indemnification limit in the reinsurance policy. Factory Mutual Insurance Company issued a property insurance policy to Bull Data Systems Inc., covering the risk of loss or damage to Bull Data’s personal computer inventory (*see Excess*, 3 NY3d at 579). Factory, in turn, reinsured the Bull Data policy with various reinsurers, including the respondents in that case (*see id.* at 579-580). The respondents issued a facultative reinsurance certificate to Factory that read, in relevant part:

“INTEREST: Goods and/or Merchandise incidental to the Assured’s business consisting principally of personal computers and/or as original.

“LIMIT: US\$ 7,000,000 any one occurrence p/o US\$ 13,500,000 any one occurrence excess of US\$ 25,000,000 any one occurrence

“CONDITIONS: As original and subject to the same valuation, clauses and conditions as contained in the original policy or policies but only to cover risks

3. Loss adjustment expenses are “the expense incurred by the insurer to investigate and settle a claim” (*CSX Corp. v North Riv. Ins. Co.*, 2009 WL 10671267, *8, 2009 US Dist LEXIS 133311, *27 [MD Fla, Sept. 25, 2009, No. 3:08-CV-00531-J-25MCR]).

of All Risks of Physical Loss or Damage but excluding Inventory Shortage. Including Strikes, Riots, Civil Commotions and Malicious Damage risks if and as original. Premium payable as in original. Reinsurers agree to follow the settlements of the Reassured in all respects and to bear their proportion of any expenses incurred, whether legal or otherwise, in the investigation and defence of any claim hereunder. Service of Suit Clause (U.S.A.). Insolvency Clause” (*id.* at 580).

A fire destroyed the warehouse where Bull Data’s inventory was stored and, suspecting arson, Factory disputed coverage (*see id.* at 580-581). Though Factory ultimately settled the claim, it incurred approximately \$35 million in loss adjustment expenses in the litigation against Bull Data (*see id.*). Factory then sought \$12 million from the respondents, representing \$7 million for the Bull Data settlement and an additional \$5 million representing the reinsurers’ proportional share of loss adjustment expenses (*see id.*). Factory argued that the reinsurers’ undertaking to bear their proportion of expenses pursuant to the follow-the-settlements clause was “separate and apart from the indemnification cap on the policy,” while the reinsurers countered that their aggregate liability, expenses and all, was capped at \$7 million (*id.* at 582-583).

We held that the reinsurers were entitled to summary judgment on the issue. “Once the reinsurers have paid the maximum amount stated in the policy, they have no further obligation to pay Factory Mutual any costs related to loss adjustment expenses” (*id.* at 583). Having interpreted the “LIMIT” clause to impose an expense-inclusive \$7 million cap, we then rejected Factory’s contention that the reinsurers’ obligation to indemnify it for loss adjustment expenses could supersede that clause (*see id.*).

Although *Excess* did not say that third-party defense costs under any facultative reinsurance contract are unambiguously or presumptively capped by the liability limits in the certificate, some courts have nonetheless read our decision that way (*see Utica Mut. Ins. Co. v Munich Reins. Am., Inc.*, 594 Fed Appx 700, 704 [2d Cir 2014] [summary order] [(T)he Court of Appeals arguably . . . suggested that a limit of liability, standing alone, is presumptively expense-inclusive because it serves to cap a reinsurer’s total exposure (for losses and expenses) at a specific, negotiated amount” (emphasis omitted)]; *Century In-*

dem. Co. v OneBeacon Ins. Co., 173 A3d 784, 797, 2017 PA Super 328 [Oct. 17, 2017] [describing “the presumption created by the *Excess* Court that defense costs are capped by the liability limits unless they are explicitly excluded elsewhere in the certificate”]; *Utica Mut. Ins. Co. v Clearwater Ins. Co.*, 2014 WL 6610915, *3, 2014 US Dist LEXIS 162645, *8 [ND NY, Nov. 20, 2014, No. 6:13-CV-1178 (GLS/TWD)] [stating that, under *Excess*, “a facultative reinsurance certificate’s stated limit provides an overall cap on the reinsurer’s liability unless it expressly states that expenses are excluded from the certificate’s limit”], *reconsideration denied* 2015 WL 4496374, 2015 US Dist LEXIS 95826 [ND NY, July 23, 2015, No. 6:13-CV-1178 (GLS/TWD)]. We now dispel any intimation that *Excess* established such a rule.

It is basic that principles of law “‘are not established by what was said, but by what was decided, and what was said is not evidence of what was decided, unless it relates directly to the question presented for decision’” (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 160 n 6 [1987], quoting *People ex rel. Metropolitan St. Ry. Co. v State Bd. of Tax Commrs.*, 174 NY 417, 447 [1903]; accord *Art Masters Assoc. v United Parcel Serv.*, 77 NY2d 200, 208 n 6 [1990]). Accordingly, the Court’s holding comprises only those “statements of law which address issues which were presented to the [Court] for determination” (*Village of Kiryas Joel v County of Orange*, 144 AD3d 895, 900 [2d Dept 2016]).

The *Excess* Court was simply not faced with the question presently before the Second Circuit: whether there is a blanket “presumption” or “rule of construction” that a limitation-on-liability clause applies to all payments by a reinsurer whatsoever. The only issue before the Court was whether that certificate’s phrase “LIMIT: US\$ 7,000,000,” in context, established that the reinsurers’ aggregate liability for both settlement costs and loss adjustment expenses was capped at \$7 million. Each party seized on unique turns of phrase in the certificate to argue that they were entitled to judgment as a matter of law. Critically, we did not read the limit clause in isolation, but in light of the entire agreement as an integrated whole, “giv[ing] meaning to every sentence, clause and word” thereof (*Travelers*, 96 NY2d at 594, citing *Northville Indus. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 89 NY2d 621, 632-633 [1997]). This is precisely what we have done in other insurance and reinsurance cases, both before *Excess* and since (see *United*

States Fid. & Guar. Co. v American Re-Ins. Co., 20 NY3d 407, 419-420 [2013]; *Union Carbide Corp. v Affiliated FM Ins. Co.*, 16 NY3d 419, 424-425 [2011]; *Travelers*, 96 NY2d at 594).

In addition, the loss adjustment expenses were incurred in litigation between the insurer and its policyholder; they were not costs (such as third-party defense costs) that the insurer was obligated to pay under the terms of the underlying policy itself. Whether a similar (or even identical) limitation clause would apply to third-party defense costs, in a certificate reinsuring a liability insurance policy, was never at issue. Consequently, the *Excess* Court did not pass on whether a follow-form clause such as the one in that case, “subject[ing]” the reinsurance “to the same valuation, clauses and conditions as contained in the original policy,” would require the reinsurers to cover third-party defense costs in excess of such a limit.

III.

We hold definitively that *Excess* did not supersede the “standard rules of contract interpretation” (*Global Reins.*, 843 F3d at 128) otherwise applicable to facultative reinsurance contracts. “[S]tare decisis does not spring full-grown from a ‘precedent’ but from precedents which reflect principle and doctrine rationally evolved” (*People v Hobson*, 39 NY2d 479, 488 [1976]). We therefore read *Excess* in harmony with the traditional rules of contract interpretation reiterated numerous times by this Court.

Reinsurance contracts are governed by the same principles that govern contracts generally (see *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576, 584 [1992] [in reinsurance dispute, “there is no sound reason to depart” from “general contract law principle(s)”]; *British Intl. Ins. Co. Ltd. v Seguros La Republica, S.A.*, 342 F3d 78, 82 [2d Cir 2003]; *Christiania Gen. Ins. Corp. of N.Y. v Great Am. Ins. Co.*, 979 F2d 268, 274 [2d Cir 1992]). “Reinsurance, like any other contract, depends upon the intention of the parties, to be gathered from the words used, taking into account, when the meaning is doubtful, the surrounding circumstances” (*London Assur. Corp. v Thompson*, 170 NY 94, 99 [1902]). The agreement should be “read as a whole, and every part will be interpreted with reference to the whole” (*Beal Sav. Bank v Sommer*, 8 NY3d 318, 324-325 [2007], quoting *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352, 358 [2003]). Particularly where an agreement is “negotiated between sophisticated, counseled business people

negotiating at arm's length . . . , courts should be extremely reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include" (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004] [citations and internal quotation marks omitted]). Courts should be mindful that the certificate, while serving as written confirmation of a contract, might not in and of itself constitute the fully integrated agreement (*see Sumitomo*, 75 NY2d at 302 [(I)ssuance . . . of a formal certificate of reinsurance" is "technically unnecessary for a binding agreement"]; *Union Carbide Corp.*, 16 NY3d at 425 [where excess insurance policy incorporates underlying policy, the underlying policy is not considered extrinsic evidence]).

Like any contract, a facultative reinsurance contract "that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms" (*Marin v Constitution Realty, LLC*, 28 NY3d 666, 673 [2017], quoting *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Ambiguity is ascertained by reading the terms of the agreement, not in isolation, but "as a whole" (*Ellington v EMI Music, Inc.*, 24 NY3d 239, 244 [2014]). If a contract "is reasonably susceptible of only one meaning, a court is not free to alter the contract to reflect its personal notions of fairness and equity" (*Selective Ins. Co. of Am. v County of Rensselaer*, 26 NY3d 649, 655 [2016], quoting *Greenfield*, 98 NY2d at 569-570). Rather than "adopting a blanket rule, based on policy concerns," the court must "look to the language of the policy" above all else (*Matter of Viking Pump, Inc.*, 27 NY3d 244, 257 [2016]). Our cases in the insurance context confirm that even modest variations on the face of a written agreement can alter the meaning of a critical term (*see e.g. id.* at 258-259 [distinguishing *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208 (2002)]; *Selective Ins. Co.*, 26 NY3d at 656 and n [distinguishing *Appalachian Ins. Co. v General Elec. Co.*, 8 NY3d 162, 173 (2007)]).

The foregoing principles do not permit a court to disregard the precise terminology that the parties used and simply assume, based on its own familiar notions of economic efficiency, that any clause bearing the generic marker of a "limitation on liability" or "reinsurance accepted" clause was intended to be cost-inclusive. Therefore, New York law does not impose either a rule, or a presumption, that a limitation on liability clause necessarily caps all obligations owed by a reinsurer, such as defense costs, without regard for the specific language employed therein.

IV.

“[I]t is important to emphasize that we are called upon to decide a narrow issue” (*Ehrenfeld v Bin Mahfouz*, 9 NY3d 501, 507 [2007]), namely, whether *Excess* imposes “either a rule of construction, or a strong presumption, that a per occurrence liability cap in a reinsurance contract limits the total reinsurance available under the contract,” including defense costs (*Global Reins.*, 843 F3d at 128). For the foregoing reasons, we hold that it does not.

Accordingly, the certified question should be answered in the negative.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Wilson concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[91 NE3d 1194, 69 NYS3d 215]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v OTIS
BOONE, Appellant.

Argued April 25, 2017; reargued October 17, 2017; decided December 14, 2017

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 24, 2015. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Kings County (Vincent M. Del Giudice, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (two counts), and sentenced him to consecutive determinate terms of imprisonment of 10 years and 15 years, respectively, followed by periods of postrelease supervision. The modification consisted of reducing the determinate terms of imprisonment from 10 years and 15 years to five years and 10 years, respectively. The Appellate Division affirmed the judgment as modified.

People v Boone, 129 AD3d 1099, reversed.

HEADNOTE

Crimes — Identification of Defendant — Cross-Racial Identification — Jury Instruction on Cross-Race Effect

In a case in which a witness's identification of the defendant is at issue, and the identifying witness and defendant appear to be of different races, a trial court is required to give, upon request, during final instructions, a jury charge on the cross-race effect. Accordingly, in a robbery prosecution in which defendant, a black man, was identified in lineups by the victims, who were both white men, the trial court erred in denying defendant's request that the jury be instructed on cross-racial identification. The likelihood of misidentification is higher when an identification is cross-racial, as people generally have significantly greater difficulty accurately identifying members of other races than members of their own race. Expert testimony on the cross-race effect is not a precondition of a jury charge on the subject. A juror may have a tentative belief, based on his or her ordinary experiences, that cross-racial identifications are often inaccurate, but most jurors will have no knowledge of the research demonstrating the cross-race effect. Expert testimony explaining the studies to the jury is therefore admissible, because it would help to clarify an issue calling for professional or technical knowledge possessed by the expert and beyond the ken of the typical juror, but does not render a charge regarding the cross-race effect superfluous. Moreover, a cross-racial identification charge should not be predicated on whether defense counsel cross-examined the People's witnesses about their identification, since some mistaken eyewitnesses, at least by the time they testify at trial, exude supreme confidence in their identifications.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Evidence § 1399; AM JUR 2d Expert and Opinion Evidence §§ 275, 277; AM JUR 2d Trial §§ 1060, 1179.

CARMODY-WAIT 2d Particular Types of Evidence §§ 194:186, 194:214; CARMODY-WAIT 2d Charge and Instruction to Jury §§ 200:34–200:35.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 7.5.

NY JUR 2d Criminal Law: Procedure §§ 932, 2265, 2817.

ANNOTATION REFERENCE

Necessity of, and prejudicial effect of omitting, cautionary instruction to jury as to reliability of, or factors to be considered in evaluating, eyewitness identification testimony—state cases. 23 ALR4th 1089.

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Query: “cross-racial identification” & “instruction”

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (*Paul Skip Laisure* and *Leila Hull* of counsel), for appellant. When the People’s evidence for each robbery rested entirely on a single Caucasian witness’s cross-racial identification of an African-American suspect, the court denied appellant a fair trial by refusing to give a cross-racial identification charge, as provided for in New York’s model charge. (*United States v Wade*, 388 US 218; *Cupp v Naughten*, 414 US 141; *People v Marshall*, 26 NY3d 495; *People v Santiago*, 17 NY3d 661; *People v Riley*, 70 NY2d 523; *Jackson v Fogg*, 589 F2d 108; *Young v Conway*, 698 F3d 69; *United States v Jernigan*, 492 F3d 1050; *United States v Rodriguez-Felix*, 450 F3d 1117; *United States v Hannigan*, 27 F3d 890.)

Eric Gonzalez, Acting District Attorney, Brooklyn (*Seth M. Lieberman* and *Leonard Joblove* of counsel), for respondent. Defendant’s claim—that the trial court erred in not providing the Criminal Jury Instructions cross-racial identification charge—is unpreserved. Furthermore, defendant abandoned any claim that the court erred in declining to charge the jury

on cross-racial identification. Moreover, defendant's claim is meritless. (*People v Whalen*, 59 NY2d 273; *People v Knight*, 87 NY2d 873; *People v Walls*, 91 NY2d 987; *People v Nicholson*, 26 NY3d 813; *People v Robinson*, 88 NY2d 1001; *People v Gross*, 26 NY3d 689; *People v Norstrand*, 35 Misc 3d 367; *People v Radcliffe*, 196 Misc 2d 381; *People v Slaughter*, 78 NY2d 485; *People v Peque*, 22 NY3d 168.)

David C. Schopp, Legal Aid Bureau of Buffalo, Inc., Buffalo (*Kristin M. Preve* and *Timothy P. Murphy* of counsel), for Legal Aid Bureau of Buffalo, Inc., amicus curiae. Appellant was deprived of his state and federal constitutional rights to due process by the trial court's erroneous refusal to grant trial counsel's timely and sufficiently specific request for a cross-racial identification jury instruction. (*Holmes v South Carolina*, 547 US 319; *Crane v Kentucky*, 476 US 683; *People v Dippio*, 27 NY3d 127; *Chambers v Mississippi*, 410 US 284; *People v Powell*, 27 NY3d 523; *People v Primo*, 96 NY2d 351; *People v Whalen*, 59 NY2d 273; *People v Knight*, 87 NY2d 873; *People v Taylor*, 9 NY3d 129; *Payne v Tennessee*, 501 US 808.)

Simpson Thacher & Bartlett LLP, New York City (*Mark J. Stein*, *Uzezi Abugo* and *Veronica R. Jordan-Davis* of counsel), *Joel B. Rudin*, Amicus Curiae Committee for National Association of Criminal Defense Lawyers, New York City, and *Brooklyn Defender Services*, Brooklyn (*Lisa Schreibersdorf* and *Susanah Karlsson* of counsel), for Brooklyn Defender Services and others, amici curiae. I. There is substantial scholarly authority establishing that cross-racial identifications are less reliable and more prone to inaccuracy than other identifications. II. Failure to instruct the jury on the issue of cross-racial identification risks erroneous convictions due to jurors' lack of awareness of the issue and potentially deprives defendants of their right to a fair trial. III. A defendant's right to call an expert on the issue of a cross-racial identification does not cure the prejudice resulting from the absence of a jury instruction. (*Ake v Oklahoma*, 470 US 68; *People v LeGrand*, 8 NY3d 449; *People v Nazario*, 20 Misc 3d 1143[A], 2008 NY Slip Op 51834[U].) IV. Cross-examination is an ineffective way to introduce pertinent information on own-race identification bias, and a rule requiring it to receive an instruction would almost certainly alienate jurors in the process. V. New York should implement a mandatory cross-racial jury instruction that reflects widely-accepted science. (*People v Perez*, 77 NY2d 928.)

Kramer Levin Naftalis & Frankel LLP, New York City (*David S. Frankel, Jennifer M. Klein and Aaron L. Webman* of counsel), and *The Innocence Project, Inc.*, New York City (*Barry C. Scheck and Karen A. Newirth* of counsel), for The Innocence Project, Inc., amicus curiae. I. DNA exonerations show that erroneous cross-racial eyewitness identifications—often testified to with great confidence or even complete certainty—have contributed to wrongful convictions and lengthy periods of wrongful incarceration. (*People v Santiago*, 17 NY3d 661; *People v Abney*, 13 NY3d 251; *Perry v New Hampshire*, 565 US 228; *Stovall v Denno*, 388 US 293.) II. As the Massachusetts Supreme Judicial Court has recognized, requiring trial courts to instruct the jury on the risk of mistaken cross-racial eyewitness identifications provides an important, and easily implemented, safeguard against wrongful convictions. (*People v Washington*, 56 AD3d 258.) III. This Court should adopt the rule established in Massachusetts and require judges to instruct jurors on the cross-race effect unless the parties agree otherwise.

Gibson, Dunn & Crutcher LLP, New York City (*Caitlin J. Halligan and Kathryn M. Cherry* of counsel), and *Bracewell LLP*, New York City (*Paul Shechtman* of counsel), for Daniel R. Alonso and others, amici curiae. I. Overwhelming scientific evidence shows the need for a cross-race effect instruction. (*People v Abney*, 13 NY3d 251; *People v Santiago*, 17 NY3d 661; *People v Young*, 7 NY3d 40; *People v Pegeise*, 195 AD2d 337; *People v Rodriguez*, 79 NY2d 445.) II. The cross-race effect is an appropriate subject for a jury instruction. (*Cool v United States*, 409 US 100; *Crawford v United States*, 212 US 183; *People v Dixon*, 231 NY 111; *People v Hovey*, 92 NY 554.) III. This Court should require a cross-race effect instruction whenever the defendant requests it. (*People v Radcliffe*, 191 Misc 2d 545; *People v Ingrassia*, 118 AD2d 587; *People v Gonzalez*, 68 NY2d 424.)

Wilmer Cutler Pickering Hale and Dorr, LLP, Washington, D.C. (*Daniel S. Volchok*, of counsel), and New York City (*Alan Schoenfeld* of counsel), for American Psychological Association, amicus curiae. I. Courts should instruct juries on the established-but-often-unrecognized reality that eyewitness identifications, particularly cross-race identifications, are frequently inaccurate. (*United States v Wade*, 388 US 218; *Watkins v Sowders*, 449 US 341; *United States v Telfaire*, 469 F2d 552; *United States v Stevens*, 935 F2d 1380.) II. Eyewitness-identification research is reliable.

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Debo P. Adegbile*, *Jenny R.A. Pelaez* and *Kevin J. Holt* of counsel) and Boston, Massachusetts (*Christopher D. Dodge* of counsel), for National Association for the Advancement of Colored People and another, amici curiae. I. This case presents an opportunity for the Court to fulfill its critical and historical role of “creating constitutional and procedural safeguards designed to maintain the integrity of the judicial system and to protect criminal defendants.” (*People v P.J. Video*, 68 NY2d 296; *City of Mesquite v Aladdin’s Castle, Inc.*, 455 US 283; *California v Greenwood*, 486 US 35; *People v Scott*, 79 NY2d 474; *Carmel v Lunney*, 70 NY2d 169; *People v Harris*, 77 NY2d 434; *People v Settles*, 46 NY2d 154; *Patterson v Illinois*, 487 US 285; *People v Vilardi*, 76 NY2d 67; *United States v Bagley*, 473 US 667.) II. The Court should act to ameliorate the inadequacies of the New York criminal justice system’s protections of defendants of color from the risk of wrongful convictions due to mistaken eyewitness identifications. (*People v Santiago*, 17 NY3d 661; *People v Marshall*, 26 NY3d 495; *People v LeGrand*, 8 NY3d 449; *United States v Rodriguez-Felix*, 450 F3d 1117; *Young v Conway*, 698 F3d 69; *Floyd v City of New York*, 959 F Supp 2d 540; *People v Cahill*, 2 NY3d 14; *Turner v Murray*, 476 US 28; *United States v Wade*, 388 US 218.) III. The Court should ameliorate the risk of wrongful convictions due to erroneous cross-racial identifications by requiring a presumptive cross-racial jury instruction. (*People v Owens*, 69 NY2d 585; *People v Odell*, 230 NY 481; *United States v Brownlee*, 454 F3d 131; *United States v Smith*, 621 F Supp 2d 1207; *United States v Lester*, 254 F Supp 2d 602; *People v Scott*, 79 NY2d 474.)

Sherrilyn Ifill, NAACP Legal Defense & Educational Fund, Inc., New York City (*Marne L. Lenox*, *Janai S. Nelson*, *Christina A. Swarns* and *Jin Hee Lee* of counsel) and Washington, D.C. (*Angel S. Harris* of counsel) for NAACP Legal Defense & Educational Fund, Inc., amicus curiae. I. A cross-race identification jury instruction is necessary to ameliorate the over-incarceration of African Americans and other people of color. (*United States v Wade*, 388 US 218; *Floyd v City of New York*, 959 F Supp 2d 540; *Davis v City of New York*, 902 F Supp 2d 405.) II. A cross-race identification jury instruction should be required in all identification cases unless the parties agree to forgo it. (*Watkins v Sowders*, 449 US 341; *United States v Downing*, 753 F2d 1224; *United States v Langford*, 802 F2d 1176.)

OPINION OF THE COURT

FAHEY, J.

In light of the near consensus among cognitive and social psychologists that people have significantly greater difficulty in accurately identifying members of a different race than in accurately identifying members of their own race, the risk of wrongful convictions involving cross-racial identifications demands a new approach. We hold that when identification is an issue in a criminal case and the identifying witness and defendant appear to be of different races, upon request, a party is entitled to a charge on cross-racial identification.

I.

On February 16, 2011, a white man in his 20s was walking in Brooklyn when he was approached by a stranger, a short-haired black man. The stranger asked to know the time, and the young man retrieved his cell phone. The stranger snatched the cell phone and fled. The victim gave chase, until the robber pulled out a knife and told him to stay where he was. The victim described his attacker as an African-American man, about six feet tall, weighing about 170 pounds, and wearing a baseball cap and a hooded sweatshirt.

Ten days later, a white teenager was walking in the same neighborhood of Brooklyn, sending a text message from his cell phone, when a man behind him asked the time. The teenager looked back over his shoulder and observed a stranger, a black man, wearing a winter coat and a hat with flaps that covered his ears and the top of his head. The teenager looked at his cell phone and told the stranger the time. The stranger then grabbed the phone. The teenager did not immediately let go, and the robber stabbed him. The robber then took the phone and fled. Before the victim was taken to the hospital, he described the perpetrator to the police as an African-American man, about 18 years old and approximately six feet, two inches tall, and he gave an estimated weight.

Defendant Otis Boone, a black man who was short-haired, 19 years old, and 6 feet tall, and weighed about 170 pounds, was suspected of committing the crimes. On March 14, 2011, defendant was placed in two six-person lineups and the victims separately identified him. The teenager was initially unsure whether defendant was his attacker, but identified him after he spoke the words “What time is it?” Defendant and the fillers in the lineups all wore hats.

Neither cell phone was recovered, and no physical evidence linked defendant to the crimes.

II.

Defendant was charged with two counts of robbery in the first degree and other crimes.

At defendant's jury trial in July 2012, during the charge conference, defense counsel requested that the jury be instructed on cross-racial identification. Supreme Court denied the request, on the basis that there had been no expert testimony or cross-examination concerning "a lack of reliability of cross-racial identification." The trial court gave the jury an expanded charge on eyewitness identification, based on the pertinent Criminal Jury Instruction (*see* CJI2d[NY] Identification [One Witness]), omitting the part of the pattern instruction addressing cross-racial identification.

The jury found defendant guilty of both robbery counts. On appeal from the judgment of conviction and sentence, defendant argued that Supreme Court denied him a fair trial by refusing to charge the jury on the inaccuracy of cross-racial identification.

The Appellate Division modified the judgment, as to the sentence, and affirmed as modified, holding that Supreme Court had not erred in declining to instruct the jury on cross-racial identification (129 AD3d 1099 [2d Dept 2015]). The Appellate Division reasoned that defendant had not "placed the issue in evidence during the trial" (*id.* at 1099-1100).

A Judge of this Court granted defendant leave to appeal from the Appellate Division order (26 NY3d 1086 [2015]), and we now reverse.

III.

Mistaken eyewitness identifications are "the single greatest cause of wrongful convictions in this country" (*State v Delgado*, 188 NJ 48, 60, 902 A2d 888, 895 [2006], citing *State v Dubose*, 285 Wis 2d 143, 162-163, 699 NW2d 582, 592 [2005]), "responsible for more . . . wrongful convictions than all other causes combined" (Gary L. Wells et al., *Eyewitness Identification Procedures: Recommendations for Lineups and Photospreads*, 22 L & Hum Behav 603, 605 [1998]). Inaccurate identifications, especially misidentifications by a single eyewitness, play a role in the vast majority of post-conviction DNA-based

exonerations in the United States. Indeed, a recent report by the National Academy of Sciences concluded that “at least one mistaken eyewitness identification was present in almost three-quarters” of DNA exonerations (Identifying the Culprit: Assessing Eyewitness Identification 11 [2014]). According to amicus The Innocence Project, about 70% of DNA exonerations nationally involve eyewitness misidentification (Innocence Project, DNA Exonerations in the United States, <https://www.innocenceproject.org/dna-exonerations-in-the-united-states> [last accessed Dec. 1, 2017], cached at [http://www.nycourts.gov/reporter/webdocs/DNA Exonerations in the United States - Innocence Project.pdf](http://www.nycourts.gov/reporter/webdocs/DNA%20Exonerations%20in%20the%20United%20States%20-%20Innocence%20Project.pdf)). This Court has noted in recent years the prevalence of eyewitness misidentifications in wrongful convictions and the danger they pose to the truth-seeking function and integrity of our justice system (see *People v Marshall*, 26 NY3d 495, 502 [2015]; *People v Santiago*, 17 NY3d 661, 669 [2011]; see also e.g. *People v Riley*, 70 NY2d 523, 531 [1987]; *People v Caserta*, 19 NY2d 18, 21 [1966]).

Social scientists have found that the likelihood of misidentification is higher when an identification is cross-racial. Generally, people have significantly greater difficulty accurately identifying members of other races than members of their own race. According to a meta-analysis of 39 psychological studies of the phenomenon, participants were “1.56 times more likely to falsely identify a novel other-race face when compared with performance on own-race faces” (Christian A. Meissner & John C. Brigham, *Thirty Years of Investigating the Own-Race Bias in Memory for Faces: A Meta-Analytic Review*, 7 Psychol. Pub Pol’y, & L 3, 15 [2001]). The phenomenon is known as the cross-race effect or own-race bias.

Our trial level courts have recognized the general scientific acceptance of the cross-race effect (see e.g. *People v Norstrand*, 35 Misc 3d 367 [Sup Ct, Monroe County 2011]; *People v Williams*, 14 Misc 3d 571 [Sup Ct, Kings County 2006]; *People v Radcliffe*, 196 Misc 2d 381 [Sup Ct, Bronx County 2003], *affd* 23 AD3d 301 [1st Dept 2005]). This Court too has had occasion to observe the significance of the effect. In *People v Abney* (13 NY3d 251 [2009]), we held that a trial court erred in refusing, without the benefit of a *Frye* hearing, to allow an expert witness to testify on cross-racial identification and other factors affecting accuracy of identification (see *id.* at 268; see also *People v LeGrand*, 8 NY3d 449, 454 [2007]).

The cross-race effect is “generally accepted” by experts in the fields of cognitive and social psychology (Identifying the Culprit

at 96), a point that the People do not dispute. Indeed, in a survey of psychologists with expertise in eyewitness identification, 90% of the experts believed that empirical evidence of the cross-race effect was sufficiently reliable to be presented in court (see John C. Brigham et al., *The Influence of Race on Eyewitness Memory* in 2 Rod C.L. Lindsay et al., *Handbook of Eyewitness Psychology* 258 [2014], citing Saul M. Kassin et al., *On the “General Acceptance” of Eyewitness Testimony Research: A New Survey of the Experts*, 56 *Am Psychologist* 405 [2001]). The phenomenon has been described as “[o]ne of the best documented examples of face recognition errors” (Steven G. Young et al., *Perception and Motivation in Face Recognition: A Critical Review of Theories of the Cross-Race Effect*, 16 *Personality & Soc Psychol Rev* 116, 116 [2012]).

There is, however, a significant disparity between what the psychological research shows and what uninstructed jurors believe. One study showed that only 47% of jurors were familiar with the cross-race effect (see Tanja R. Benton et al., *Eyewitness Memory is Still Not Common Sense: Comparing Jurors, Judges and Law Enforcement to Eyewitness Experts*, 20 *Applied Cognitive Psychol* 115 [2006]). A survey of over 1,000 jurors in Washington, D.C., cited by amicus the American Psychological Association, found that “[a] large plurality of the survey respondents (48%) thought cross-race and same-race identifications are of equal reliability, and many of the other [survey] respondents either did not know or thought a cross-racial identification would be more reliable (11%). Only 36% of the survey respondents understand that a cross-racial identification may be less reliable” (Richard S. Schmechel et al., *Beyond the Ken? Testing Jurors’ Understanding of Eyewitness Reliability Evidence*, 46 *Jurimetrics J* 177, 200 [2006]). These findings demonstrate that, while the cross-race effect is a matter of common sense and experience for some jurors, it is by no means a universal belief shared by all. The need for a charge on the cross-race effect is evident. The question becomes how this instruction is best given.

IV.

As to each crime of which he was convicted, defendant, who is black, was found guilty entirely on the basis of the testimony of a single white witness identifying defendant as the person who had robbed him. Nevertheless, Supreme Court refused to

give the requested charge instructing the jury on the relative inaccuracy of cross-racial identifications. One of Supreme Court's reasons for refusing to give the charge was that such an instruction should not be given if there has been no expert testimony on the subject. We reject this rationale and hold that Supreme Court erred in relying on it. For this reason and because the error was not harmless, we reverse.

Expert testimony on the cross-race effect is not a precondition of a jury charge on the subject. Indeed, the People do not contend that it is, but instead insist, at least in this appeal, that expert testimony on the cross-race effect is a preferable substitute for a jury charge and one that renders the charge superfluous. We disagree.

The decision to grant a request for expert testimony on the subject of cross-racial identification remains within the trial court's discretion (*see LeGrand*, 8 NY3d at 455-456; *People v Young*, 7 NY3d 40, 44 [2006]; *People v Lee*, 96 NY2d 157, 160 [2001]). However, expert testimony is not necessary to establish the right to the charge.

A psychological principle such as the cross-race effect may lend itself to expert testimony. "Despite the fact that jurors may be familiar from their own experience with factors relevant to the reliability of eyewitness observation and identification, it cannot be said that psychological studies regarding the accuracy of an identification are within the ken of the typical juror" (*Lee*, 96 NY2d at 162; *see also Santiago*, 17 NY3d at 672; *Abney*, 13 NY3d at 268; *LeGrand*, 8 NY3d at 458). Contrary to the People's position, this does not mean that the cross-race effect cannot be expressed in a jury charge.

We have recognized that the same psychological principle may be the subject of expert testimony and a jury charge. For example, the pattern jury instructions ask jurors to consider "[f]or what period of time . . . the witness actually observe[d] the perpetrator" (CJI2d[NY] Identification [One Witness]; CJI2d[NY] Identification [Witness Plus]), because exposure time, the amount of time a witness has to view a perpetrator, affects that person's ability to identify someone accurately as the perpetrator. Yet, we have held that a trial court abused its discretion in refusing to hold a *Frye* hearing with regard to an expert's proposed testimony on the effect of exposure time,

among other factors (see *Abney*, 13 NY3d at 268; see also *Santiago*, 17 NY3d at 672).¹

Similarly, as noted above, a juror may have a tentative belief, based on his or her ordinary experiences, that cross-racial identifications are often inaccurate, but most jurors will have no knowledge of the research demonstrating the cross-race effect. Expert testimony explaining the studies to the jury is admissible, because “it would help to clarify an issue calling for professional or technical knowledge, possessed by the expert and beyond the ken of the typical juror” (*De Long v County of Erie*, 60 NY2d 296, 307 [1983]), with the decision to admit subject to the trial court’s discretion (see *LeGrand*, 8 NY3d at 455-456). Such expert testimony does not render a charge regarding the cross-race effect superfluous.

In short, the absence of expert testimony on cross-racial identification does not preclude the charge.

V.

Supreme Court also erred in assuming that a cross-racial identification charge should be predicated on whether defense counsel cross-examined the People’s witnesses about their identifications. An eyewitness is often utterly confident about an identification, expressing the identification or recollection of identification with subjective certainty, and hence entirely unshakable on cross-examination.

“[A]s scholars have cautioned, most eyewitnesses think they are telling the truth even when their testimony is inaccurate, and because the eyewitness is testifying honestly (i.e., sincerely), he or she will not display the demeanor of the dishonest or biased witness. Instead, some mistaken eyewitnesses, at least by the time they testify at trial, exude supreme confidence in their identifications” (*State v Henderson*, 208 NJ 208, 236, 27 A3d 872, 889 [2011] [internal quotation marks, brackets and citation omitted]; see Jules Epstein, *The Great Engine That Couldn’t: Science, Mistaken Identifications, and the Limits of Cross-Examination*, 36 Stetson L Rev 727, 772 [2007]).

1. For these reasons, our requirement of a jury charge on cross-racial identification, far from “threaten[ing] the viability of expert testimony on the cross-race effect” (concurring op at 546), is fully consistent with the admission of expert testimony on the science establishing the cross-race effect.

Honesty and accuracy are entirely different categories by which jurors evaluate testimony. It is the fact of a cross-racial identification that should be the basis of the court's charge, not the nature of the questions asked on the examination.

Amici former judges and prosecutors observe that cross-examination that is "aimed at establishing that a witness may have difficulty identifying members of another race may offend the witness and the jury, without any benefit to the examiner" (brief of former judges and prosecutors as amici curiae at 8, citing Epstein at 775). The amici note that

"[a]s a society, we do not discuss racial issues easily. Some jurors may deny the existence of the cross-race effect in the misguided belief that it is merely a racist myth . . . while others may believe in the reality of this effect but be reluctant to discuss it in deliberations for fear of being seen as bigots. That, however, makes an instruction all the more essential" (brief of former judges and prosecutors at 15 [internal quotation marks, citations and brackets omitted]).

As with whether to seek expert testimony, cross-examination should be a decision that counsel makes within the context of an individual case.

VI.

High courts in other states have recently considered the significance of the cross-race effect and three have required that trial courts, in appropriate cases, instruct juries regarding the phenomenon.

In 2011, in *State v Henderson* (208 NJ 208, 27 A3d 872), the Supreme Court of New Jersey held that a cross-racial identification charge (to be drafted by the state Criminal Practice Committee and Committee on Model Criminal Jury Charges) must be given "whenever cross-racial identification is in issue at trial" (208 NJ at 299, 27 A3d at 926).² The high court adopted the findings of a Special Master, appointed to evaluate scien-

2. Earlier, the Supreme Court of New Jersey had held in *State v Cromedy* (158 NJ 112, 727 A2d 457 [1999]) that a charge regarding the relative inaccuracy of cross-racial identification "should be given only when . . . identification is a critical issue in the case, and an eyewitness's cross-racial identification is not corroborated by other evidence giving it independent reliability" (*Cromedy*, 158 NJ at 132, 727 A2d at 467).

tific and other evidence about eyewitness identifications, who had heard testimony by seven experts and issued an extensive report. The court

“anticipate[d] . . . that with enhanced jury instructions, there will be less need for expert testimony. Jury charges offer a number of advantages: they are focused and concise, authoritative (in that juries hear them from the trial judge, not a witness called by one side), and cost-free; they avoid possible confusion to jurors created by dueling experts; and they eliminate the risk of an expert invading the jury’s role or opining on an eyewitness’ credibility” (208 NJ at 298, 27 A3d at 925).

The following year, the Supreme Court of Hawaii held that trial courts in criminal cases “must give the jury a specific eyewitness identification instruction whenever identification evidence is a central issue in the case, and it is requested by the defendant” (*State v Cabagbag*, 127 Haw 302, 304, 277 P3d 1027, 1029 [2012]), including an instruction that one factor to be considered in evaluating identification testimony is the cross-racial nature of an identification (*see* 127 Haw at 314, 277 P3d at 1039).

In *Commonwealth v Bastaldo* (472 Mass 16, 32 NE3d 873 [2015]),³ the Supreme Judicial Court of Massachusetts, relying on the Report and Recommendations of the Supreme Judicial Court Study Group on Eyewitness Evidence, held that in light of the fact that “[t]he existence of the ‘cross-race effect’ . . . has reached a near consensus in the relevant scientific community and has been recognized by courts and scholars alike” (472 Mass at 23, 32 NE3d at 880-881), an instruction on the inaccuracy of cross-racial identification must be given, unless the parties agree that there was no cross-racial identification.

“[I]n criminal trials that commence after the issuance of this opinion, the following instruction should be included when giving the model eyewitness identification instruction, unless all parties agree to its omission:

3. In *Commonwealth v Gomes* (470 Mass 352, 22 NE3d 897 [2015]), the same court had included an instruction on cross-racial identification in a provisional model jury instruction that the court required to be given, where appropriate, in trials commencing after the issuance of that opinion (*see* 470 Mass at 382, 22 NE3d at 921-922 [appendix]).

“‘If the witness and the person identified appear to be of different races, you should consider that people may have greater difficulty in accurately identifying someone of a different race than someone of their own race’” (472 Mass at 27, 32 NE3d at 883).

Defendant urges this Court to require that a jury charge on the cross-race effect be given in all cases unless both parties agree that no cross-racial identification has occurred, or, alternatively, when requested by defense counsel.

VII.

In February 2011, the New York State Justice Task Force⁴ published Recommendations for Improving Eyewitness Identifications. Under the heading of Pattern Jury Instructions, the Justice Task Force endorsed the substance of the existing pattern Criminal Jury Instructions regarding eyewitness identification (*see* CJI2d[NY] Identification [One Witness]; CJI2d[NY] Identification [Witness Plus]), and further recommended “that the jury instructions be revised to include an instruction on cross-racial identifications in cases in which cross-racial identification is an issue” (New York State Justice Task Force, *Recommendations for Improving Eyewitness Identifications* at 5). The Justice Task Force suggested the following instruction:

“If you think it is appropriate to do so, you may consider whether the fact that the defendant is of a different race than the witness has affected the accuracy of the witness’ original perception or the accuracy of a later identification. You should consider that some people may have greater difficulty in accurately identifying members of a different race than in identifying members of their own race” (*id.*).

The Task Force added that “[t]his instruction should be given in cases in which cross-racial identification is an issue, regardless of whether an expert testifies on the topic of cross-racial identification” (*id.*).

In the same year, the authors of the Criminal Jury Instructions amended the pattern jury instructions for identification, so as to include the following model charge on cross-racial identification:

4. The Justice Task Force was created in 2009 to address wrongful convictions in our state and make recommendations for changes to the criminal justice system to safeguard against such convictions.

“You may consider whether there is a difference in race between the defendant and the witness who identified the defendant, and if so, whether that difference affected the accuracy of the witness’s identification. Ordinary human experience indicates that some people have greater difficulty in accurately identifying members of a different race than they do in identifying members of their own race. With respect to this issue, you may consider the nature and extent of the witness’s contacts with members of the defendant’s race and whether such contacts, or lack thereof, affected the accuracy of the witness’s identification.” (CJI2d[NY] Identification [One Witness]; CJI2d[NY] Identification [Witness Plus].)⁵

We note that, unlike the Massachusetts Supreme Judicial Court, our Justice Task Force does not suggest that the instruction should always be given unless the parties agree to its omission. Neither do the authors of the Criminal Jury Instructions.

VIII.

In light of our discussion of the cross-race effect, which has been accepted by a near consensus in the relevant scientific community of cognitive and social psychologists, and recognizing the very significant part that inaccurate identifications play in wrongful convictions, we reach the following holding: in a case in which a witness’s identification of the defendant is at issue, and the identifying witness and defendant appear to be of different races, a trial court is required to give, upon request, during final instructions, a jury charge on the cross-race effect, instructing (1) that the jury should consider whether there is a difference in race between the defendant and the witness who identified the defendant, and (2) that, if so, the jury should consider (a) that some people have greater difficulty in accurately identifying members of a different race than in accurately identifying members of their own race and (b) whether

5. The CJI drafters noted that “[b]oth the American Bar Association and the New York State Justice Task Force have recommended that, if in issue, there should be a charge on cross-racial identification. . . . Both the ABA and the Task Force recommend that an instruction be given regardless of whether an expert testifies on the topic of cross-racial identification” (CJI2d[NY] Identification [One Witness] n 7; CJI2d[NY] Identification [Witness Plus] n 6).

the difference in race affected the accuracy of the witness's identification. The instruction would not be required when there is no dispute about the identity of the perpetrator nor would it be obligatory when no party asks for the charge.⁶

IX.

The People rely on *People v Whalen* (59 NY2d 273 [1983]) and *People v Knight* (87 NY2d 873 [1995]) for the proposition that a trial court's determination whether to give an identification charge is always "a matter for the Trial Judge's discretion" (*Knight*, 87 NY2d at 874; see *Whalen*, 59 NY2d at 279), provided that the trial court conveys to the jury that the People have to establish the perpetrator's identity beyond a reasonable doubt (see *Whalen*, 59 NY2d at 279; *Knight*, 87 NY2d at 874).

In *Whalen*, which did not involve the cross-race effect, defendant asked for "an expansive charge on identification testimony that would emphasize its unreliability and the close scrutiny that should be given to such evidence," and the trial court "declined to grant the request, instead delivering a minimal instruction that the prosecutor had the burden of proving identification beyond a reasonable doubt" (59 NY2d at 277-278). The Court of Appeals, while reversing on other grounds, ruled that there was no error in the trial court's refusal. "A Judge who gives a general instruction on weighing witnesses' credibility and who states that identification must be proven beyond a reasonable doubt has made an accurate statement of the law" (*id.* at 279). Although the disposition of the case did not make such analysis necessary, the Court

6. Contrary to the concurrence, we do not require trial courts "to give a cross-racial identification charge without regard for the facts and circumstances of each case" (concurring op at 544). A trial judge may decide as a matter of law that identification is not at issue where "there is no risk of misidentification" (*People v Boyer*, 6 NY3d 427, 431-432 [2006]). However, a trial judge may not decide the purely factual question of whether a crime was so "prolonged" and a witness's exposure to the perpetrator so extended that the witness would have adequately learned the perpetrator's features so as to be able to recognize him accurately. It is the jury's task "to examine and evaluate the many factors upon which the accuracy of [identification] testimony turns including, among others, the . . . opportunity and capacity to observe and remember the physical characteristics of the perpetrator at the time of the crime" (*People v Ruffino*, 110 AD2d 198, 202 [2d Dept 1985]; see also *Perry v New Hampshire*, 565 US 228, 245-247 [2012]). A judge should not engage in a weight analysis as to the quantitative degree of risk of misidentification at this threshold stage.

expressly insisted “that the better practice is to grant a defendant’s request and give the expanded charge” (*id.*).

Inasmuch as Supreme Court in the case before us today gave the jury an expanded charge on eyewitness identification, albeit omitting the requested cross-racial identification instruction, we have no occasion to decide under what circumstances it would be error not to give the expanded charge (or any component thereof other than a charge on the cross-race effect). Neither the parties nor the amici in this case contend that trial courts have ignored or discounted the “better practice” that we urged trial courts to adopt in *Whalen* in 1983. We assume that, when identification is in issue and an expanded charge on identification is requested, trial courts, exercising their discretion, regularly give an instruction based on the pattern charges CJI2d(NY) Identification (One Witness) or CJI2d(NY) Identification (Witness Plus), telling the jury to examine and evaluate the various factors upon which the accuracy of identification depends.

The *Whalen* Court stressed its concern with “[t]he potential for inaccuracy in visual identification evidence” (*Whalen*, 59 NY2d at 278), and that concern underpins our decision here. Moreover, no charge on cross-racial identification was at issue in *Whalen* or *Knight*. These precedents do not directly conflict with our decision today, and we leave in place their approach to eyewitness identification charges *in general*: whether to give the charge is discretionary, but it is better practice to grant defendant’s request for such a charge.

In the matter of the cross-race effect, however, the recent developments in the understanding of wrongful convictions and cross-racial eyewitness identifications described above demand a new approach. Whether a jury charge on the cross-race effect is appropriate in an individual case is therefore not subject to the approach set out in *Whalen* and *Knight*.

X.

The People’s remaining arguments, including that defendant did not preserve or abandoned his request for a cross-racial identification charge and that any error was harmless, are without merit.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

GARCIA, J. (concurring in result). Eyewitness identifications present powerful and highly probative evidence of a defendant's guilt, and accordingly, mistaken eyewitness identifications pose a serious danger both "to defendants and [to] the integrity of our justice system" (*People v Marshall*, 26 NY3d 495, 502 [2015] [citations omitted]; see also *United States v Wade*, 388 US 218, 228 [1967]). That said, "much eyewitness identification testimony is reliable and is, and should be, routinely accepted by juries" (*Young v Conway*, 698 F3d 69, 80 [2d Cir 2012]; see also *People v Santiago*, 17 NY3d 661, 671 [2011]). Our trial courts are entrusted to employ various safeguards—including pretrial review of identification procedures, expert testimony, and jury instructions—to shield jurors from unreliable evidence and to guide them in assessing the accuracy of an identification. Having presided over the proceedings, and having heard the evidence and the arguments, the trial court is best situated to appropriately assist the jury in assessing the accuracy of an identification. We have therefore held that, as with most jury instructions, a defendant's request for a particular charge on eyewitness identification testimony is "a matter for the Trial Judge's discretion" (*People v Knight*, 87 NY2d 873, 874 [1995]).

Critical to the sound exercise of that discretion is clear guidance regarding its parameters. Today, the majority advances a new rule that purports to "require[]" a cross-racial identification charge upon request, while vaguely suggesting that the trial court retains some undefined discretion to deny the charge where, for instance, identification is not "at issue" (majority op at 535-536). This illusion of discretion does a disservice to trial judges, who are tasked with implementing the majority's apparently mandatory rule while facing the harsh remedy of automatic error.

Under the circumstances of this case, I agree that the trial court abused its discretion in denying defendant's request for a cross-racial identification charge. I write separately because I would reaffirm, in no uncertain terms, the long-standing principle that the decision to deliver a cross-racial identification charge—like any other identification charge—remains in the sound discretion of the trial court.

I.

Defendant Otis Boone was charged with two counts of robbery in the first degree based on two separate incidents. The victim of the first robbery alleged that the assailant approached

him on the street, grabbed his cell phone, and fled. The victim began chasing the assailant, but stopped when the assailant turned around and wielded a knife. The robbery lasted approximately one minute. Shortly thereafter, the victim canvassed the area with police officers and reviewed approximately two hundred mugshots, but he did not recognize the assailant.

The second victim similarly alleged that the assailant approached him on the street and attempted to grab his cell phone. When the victim held onto the phone, the assailant stabbed him in the back and fled. The second robbery lasted less than one minute. While on the way to the hospital, police officers stopped the ambulance to show the victim an individual who matched his earlier description. The victim told officers that the individual was not the assailant.

The two victims subsequently identified defendant in separate lineups. Defendant was arrested and eventually proceeded to trial.

After the close of the evidence, during the charge conference, defense counsel requested a cross-racial identification charge, noting that “identifications were made by white males of a black male.” The trial court declined defendant’s request, stating:

“I am familiar with the [*People v LeGrand* (8 NY3d 449 [2007])] case and its progeny, but there was no testimony before this jury regarding any cross-racial identification issues. There is no evidence before this jury regarding the, we say, a lack of reliability of cross-racial identification. There was no expert testimony to that effect.”

During summation, defense counsel argued that the victims had mistakenly identified defendant.

The jury convicted defendant of two counts of robbery in the first degree. The Appellate Division unanimously modified by reducing defendant’s sentence, but otherwise affirmed the judgment of conviction (129 AD3d 1099 [2d Dept 2015]). A Judge of this Court granted defendant leave to appeal (26 NY3d 1086 [2015]). On appeal, defendant contends that the trial court deprived him of a fair trial by denying his request for a cross-racial identification charge.

II.

A number of safeguards are “built into our adversary system” to “caution juries against placing undue weight on eyewitness

testimony of questionable reliability” (*Perry v New Hampshire*, 565 US 228, 245 [2012]). For instance, defendants are entitled to challenge eyewitness identifications in advance of trial pursuant to a “statutory scheme” designed to “ensure[] that . . . identifications are not the product of undue suggestiveness, and lessen[] the possibility of misidentification” (*People v Boyer*, 6 NY3d 427, 431 [2006]; see also CPL 710.30). If an identification procedure is deemed unduly suggestive, the trial court must ensure that any subsequent identification rests on the witness’s independent recollection, rather than a prior tainted procedure (*Wade*, 388 US at 239-242).

Trial courts also assess the threshold admissibility of identification evidence and may, in their discretion, “exclude relevant evidence if its probative value is outweighed by the prospect of trial delay, undue prejudice to the opposing party, confusing the issues or misleading the jury” (*People v Primo*, 96 NY2d 351, 355 [2001] [citations omitted]). In addition, defendants are entitled to “the effective assistance of an attorney, who can expose the flaws in the eyewitness’ testimony during cross-examination and focus the jury’s attention on the fallibility of such testimony during opening and closing arguments” (*Perry*, 565 US at 246).

Trial courts may also offer the jury “guidance regarding how to assess the reliability of an identification” (*People v LeGrand*, 8 NY3d 449, 454 [2007]). For instance, trial courts are “encouraged . . . in appropriate cases” to admit “expert testimony on the subject of eyewitness recognition memory” (*Santiago*, 17 NY3d at 669 [internal quotation marks omitted], citing *People v Drake*, 7 NY3d 28, 31 [2006]). Trial courts may further “address the dangers of unreliable eyewitness identification testimony by giving a jury charge appropriate to the circumstances of the case” (*Young*, 698 F3d at 79-80 [citation and internal quotation marks omitted]). Each of these measures serves to protect criminal defendants against the dangers associated with unreliable eyewitness identification evidence.

III.

Equipped with these safeguards, our trial courts are entrusted to police the admission of identification evidence and, where appropriate, to educate the jury on how to properly scrutinize the reliability of eyewitness testimony. Trial courts are best situated to strike the proper balance, giving due consideration to both “the importance [and] the fallibility of eyewitness identifications” (*Perry*, 565 US at 245).

A.

In particular, the responsibility of assessing whether and how to “communicate to jurors the factors that may affect the validity of eyewitness testimony and support a more sensitive discrimination of . . . eyewitness testimony in individual cases” belongs in the hands of our trial courts (Identifying the Culprit: Assessing Eyewitness Identification 43 [The National Academies Press 2014]). As a general matter, “tailoring jury instructions to ensure that the case is submitted to the jury in a full and fair manner is a quintessential task of the trial court” (*United States v McKnight*, 665 F3d 786, 792 [7th Cir 2011]; *see also Young*, 698 F3d at 79-80). In connection with its “non-delegable judicial responsibility” to supervise deliberations (*People v Bayes*, 78 NY2d 546, 551 [1991]), the trial court maintains exclusive control over jury instructions—a “critical judicial function” (*People v Brown*, 104 AD3d 864, 865 [2d Dept 2013]; *see also CPL* 300.10). “The judicial officer who presides over the entire trial proceedings, observes the witnesses, hears the substance and tone of counsels’ arguments and both watches and assesses the jury’s reactions is in the best position to determine the need for, and the scope of, any cautionary instructions with respect to the evidence” (*McKnight*, 665 F3d at 792).

In addition, while the cross-race effect itself has reached general scientific acceptance (*see majority op* at 528-529), studies concerning “the effectiveness of jury instructions on assessment of eyewitness identification evidence” have yielded “mixed” findings (Identifying the Culprit at 43). Trial courts therefore employ a critical gatekeeping role in shielding the jury from instructions that are misleading, irrelevant, or otherwise unwarranted. At minimum, “[m]ore research is warranted” in order to “better understand” how best to inform jurors of the complexities of eyewitness identifications (Identifying the Culprit at 43), counseling in favor of a measured approach that allows trial courts to accommodate ongoing scientific developments regarding identification evidence, the cross-race effect, and juror comprehension.¹

1. The majority asserts that the cross-race effect is “a matter of common sense and experience,” yet simultaneously contends that there is a “significant disparity between what the psychological research shows and what uninstructed jurors believe” (*majority op* at 529). This confusion further reinforces the notion that trial courts should retain the latitude to assess

(n. cont’d)

B.

For more than 30 years, we have reaffirmed the principle that whether a particular identification charge “is appropriate in an individual case” is “a matter for the Trial Judge’s discretion” (*People v Knight*, 87 NY2d 873, 874 [1995]), even if the science underlying the requested charge “is well known to the legal community” (*People v Whalen*, 59 NY2d 273, 278 [1983] [citations omitted]).

In *People v Whalen*, the defendant asserted a mistaken identity defense at trial and “requested an expansive charge on identification testimony that would emphasize its unreliability and the close scrutiny that should be given to such evidence” (*Whalen*, 59 NY2d at 277-278). The trial court declined the defendant’s request, “instead delivering a minimal instruction that the prosecutor had the burden of proving identification beyond a reasonable doubt” (*id.* at 278). The defendant later challenged his conviction, arguing that “the court’s refusal to give the expansive identification instruction was error” (*id.*). This Court rejected the defendant’s claim. While noting that “[t]he potential for inaccuracy in visual identification evidence is well known to the legal community”—and suggesting that the “better practice” is to “give the expanded charge”—the Court nonetheless determined that “no error occurred” (*id.* at 278-279 [citations omitted]).

More than a decade later, in *People v Knight*, the Court again concluded that whether an expanded identification charge “is appropriate in an individual case” is “a matter for the Trial Judge’s discretion” (*Knight*, 87 NY2d at 874). There, as in *Whalen*, the defendant had asserted a mistaken identity defense at trial and, on appeal, argued that the trial court erred in failing to give an expanded identification charge (*id.*). The Court rejected the defendant’s challenge, reasoning that “[t]he court’s charge was a correct statement of the law” and that there was “little possibility that the failure to expand the charge on identification infected the trial with error” (*id.* at 874-875 [citations omitted]).

As the majority notes, there is no indication that “trial courts have ignored or discounted the ‘better practice’ that we urged trial courts to adopt” when exercising their discretion (majority op at 537, citing *Whalen*). Accordingly, until today, both *Whalen* and *Knight* remained good law.

how to advise jurors to properly scrutinize eyewitness identification evidence.

IV.

Proclaiming that cross-racial identification issues nonetheless “demand[] a new approach,” the majority dictates that trial courts are now “*required* to give, upon request, during final instructions, a jury charge on the cross-race effect” (majority op at 526, 535 [emphasis added]). But the majority hedges. Seemingly aware of the countless implications accompanying a mandatory charge, the majority provides that trial courts may deny the charge where (1) the identifying witness and defendant do not “appear to be of different races,” or (2) the witness’s identification of the defendant is not “at issue” (majority op at 535).

On paper, those purported caveats remain undefined and unexplained. In practice, they are meaningless. As a result, trial courts will now be “*required* to give” a prescribed “jury charge on the cross-race effect” (majority op at 535 [emphasis added]), regardless of whether cross-racial identification issues are implicated at trial. Not only is this approach unprecedented—we do not mandate any other charge relating to identification evidence—it inhibits our trial courts in a manner that may frustrate jury deliberations.

A.

With regard to the first exception, the majority states that the charge is required only where the identifying witness and defendant “appear to be” of different races, yet instructs that “*the jury* should consider whether there is a difference in race between the defendant and the witness who identified the defendant” (majority op at 535 [emphasis added]). To the extent that determination is for the trial court, the majority gives no guidance to those judges tasked with implementing this new cross-racial assessment. To the extent the majority leaves that determination to the jury, the charge effectively becomes mandatory: it will be required even where, as a factual matter, an identification was not cross-racial.

The second, and more vague, threshold determination requires the trial court to consider whether the witness’s identification of the defendant is “at issue.” To the extent the majority implies that the trial judge may, based on all the facts and circumstances, decide as a threshold matter that identity is not “at issue”—and deny the charge on that basis—that is simply discretion by another name, contorted into a “mandatory” rule imbued with discretionary exceptions, and carrying

the threat of per se error. But the majority provides no clear guidance as to how that threshold determination should be made.

In a footnote, the majority borrows language from *People v Boyer*, apparently crafting a “confirmatory identification” exception where the trial court determines that “there is no risk of misidentification” (majority op at 536 n 6, citing *People v Boyer*, 6 NY3d 427, 431-432 [2006]). That “confirmatory identification” exception applies where “the protagonists are known to one another” or where “the witness knows defendant so well as to be impervious to police suggestion” (*People v Rodriguez*, 79 NY2d 445, 452 [1992]; see also *Boyer*, 6 NY3d at 431-432, citing *Rodriguez*, 79 NY2d at 453). It can apply, for instance, to a “store clerk” who has “seen a customer ‘four dozen’ times” (*Rodriguez*, 79 NY2d at 450), or to a lookout’s “relatively brief” but “intense” viewing of a perpetrator (*People v Breland*, 83 NY2d 286, 295 [1994]).

But that is emphatically *not* what the majority intends: “a trial judge may *not* decide the purely factual question of whether a crime was so ‘prolonged’ and a witness’s exposure to the perpetrator so extended that the witness would have adequately learned the perpetrator’s features so as to be able to recognize him accurately” (majority op at 536 n 6 [emphasis added]). Seemingly, a perfunctory claim that identity is “at issue” is adequate to warrant the charge, even where there is no genuine “risk of misidentification,” or even where the defendant is not asserting a genuine misidentification defense. Under that rule, trial courts are required to give a cross-racial identification charge without regard for the facts and circumstances of each case—including where “the witness is so familiar with the defendant” that the identification is merely “confirmatory” (*Rodriguez*, 79 NY2d at 450).² The charge is then required where a complainant is victimized by a close friend or family member, including in trials involving domestic violence or child abuse. It is also required in cases of prolonged kidnapping or unlawful imprisonment, where the victim’s extended exposure to the perpetrator effectively eliminates any risk of misidentification. These fact-intensive, discretionary determinations are properly resolved as a threshold matter by

2. Even defendant and his amici acknowledge that a cross-racial identification charge is unwarranted in the context of confirmatory identifications (see brief of former judges and prosecutors as amici curiae at 10 n 3 [noting that a mandatory rule should “exclude ‘confirmatory identifications’ ”], citing *People v Rodriguez*, 79 NY2d 445, 449-450 [1992]).

trial judges, who are best-situated to assess the particular circumstances and needs of each case (*see e.g. People v Petty*, 7 NY3d 277, 284 [2006] [trial court determines whether any reasonable view of the evidence supports a justification defense charge]; *People v Gonzalez*, 68 NY2d 424, 430 [1986] [trial court makes threshold determination as to whether missing witness charge is warranted]).

Handed only those nebulous caveats, our trial courts are left with one option: administer the charge, upon request, in each and every case. Consequently, the majority's rule effectively eliminates any trial court discretion, mandating a cross-racial identification charge in every criminal trial where it is requested.

In stripping trial courts of their discretion, the majority's rule presumes that our trial courts are incapable of performing their "quintessential task[s]" (*McKnight*, 665 F3d at 792). It also overcorrects: the rule requires a cross-racial identification charge to be given even where it is likely to confuse, distract, or mislead the jury. Mandating the charge—even in cases where it is misleading, irrelevant, or otherwise unwarranted—creates a substantial risk of juror confusion and serves only to hinder, rather than aid, the jury's critical fact-finding function. In this way, the majority's overinclusive, mandatory-on-request approach needlessly undermines the reliability of valid identification evidence to the detriment of both victims and jurors.

B.

A mandatory rule also fundamentally undermines the central holding of *Whalen* and *Knight*: that whether to give a particular identification charge is "a matter for the Trial Judge's discretion" (*Knight*, 87 NY2d at 874).³ This monumental shift in our law not only erodes the critical authority of our trial courts, it may also alter the legal landscape in a number of predictable and unforeseeable ways.

It is unclear, for instance, whether the majority's reasoning extends to similar jury charges, thereby mandating the introduction of other scientific principles by instruction regard-

3. The majority purports to "leave in place" the holding of *Whalen* and *Knight* (majority op at 537). Despite that assurance, the majority's approach—explicitly eliminating any trial court discretion—runs afoul of their central holding: that whether to give an expanded identification charge is "a matter for the Trial Judge's discretion" (*Knight*, 87 NY2d at 874). As the cross-racial identification charge is a "component thereof," the majority's holding "directly conflict[s]" with *Whalen* and *Knight* (majority op at 537).

less of whether those principles are implicated at trial. The majority's rule also threatens the viability of expert testimony on the cross-race effect, which is permissible only where the topic is "beyond the ken of the average juror" (*People v Abney*, 13 NY3d 251, 268 [2009])—not where it is "a matter of common sense and experience" (majority op at 529). A mandatory rule also spawns retroactivity issues, which carry serious and sweeping implications. These ramifications, among others, highlight both the weight and breadth of such a sharp divergence from recent precedent.

C.

Recognizing these concerns, in 2011, the New York State Justice Task Force promulgated its "Recommendations for Improving Eyewitness Identifications." In lieu of mandating a cross-racial identification charge, the Task Force recommended that the instruction should be included only "in cases in which cross-racial identification is an issue" (New York State Justice Task Force, *Recommendations for Improving Eyewitness Identifications* at 5). The ABA Criminal Justice Section similarly declined to recommend a "mandate that judges give a cross-racial jury instruction," and instead provided that "trial judges should have the discretion to give an instruction . . . in certain cases where there is a heightened risk of misidentification" (ABA Criminal Justice Section, Report to the House of Delegates at 3, 16 [2008]). The authors of the Criminal Jury Instructions went even further, noting that a cross-racial identification charge should only be given "if placed in issue by the evidence" (see CJI2d[NY] Identification [One Witness]; CJI2d[NY] Identification [Witness Plus]). And while a few jurisdictions have mandated the charge "whenever cross-racial identification is in issue at trial" (e.g. *State v Henderson*, 208 NJ 208, 299, 27 A3d 872, 926 [2011]; see also *Commonwealth v Bastaldo*, 472 Mass 16, 22-23, 32 NE3d 873, 880 [2015]; *State v Cabagbag*, 127 Haw 302, 313-314, 277 P3d 1027, 1038-1039 [2012]), many more have opted to preserve the discretion of trial courts to assess whether—and how—to communicate to jurors the factors that may support a more sensitive evaluation of eyewitness testimony (e.g. *State v Allen*, 176 Wash 2d 611, 624-625, 294 P3d 679, 686 [2013]; *Wallace v State*, 306 Ga App 118, 120-121, 701 SE2d 554, 557 [2010]; see also *United States v King*, 751 F3d 1268, 1275-1276 [11th Cir 2014]; *United States v Washam*, 468 Fed Appx 568, 572 [6th Cir 2012]; *United States*

v Suggs, 230 Fed Appx 175, 184-185 [3d Cir 2007]; *United States v Strode*, 229 F3d 1161 [9th Cir 2000] [table; text at 2000 WL 890740, *2, 2000 US App LEXIS 15766, *6-8 (2000)].

D.

Despite its forceful new dictate, the majority curiously invokes the trial court's "discretion" in holding that expert testimony is not a precondition for a cross-racial identification charge (majority op at 530-531). Consistent with the trial court's broad discretion over jury instructions, I agree that expert evidence is not required before the court may charge the jury on cross-racial identification issues. While expert testimony may be an appropriate vehicle for educating jurors on the cross-race effect, the decision to admit or exclude expert evidence concerning eyewitness identification issues—like the decision to instruct the jury on those issues—is a discretionary one (*People v Young*, 7 NY3d 40, 44 [2006]) that is untethered to the court's decision to admit or exclude a particular jury charge.

The rule set out by the majority provides conflicting signals to our trial courts. On the one hand, it suggests some undefined discretion in considering a defendant's request for a cross-racial identification charge. But the majority's refusal to define that discretion—or even to use the word—signals a mandatory rule, complete with harsh consequences for the trial judge who does not realize it. That confusion benefits no one.

As a result, the majority's approach will function as it was apparently intended: a mandatory charge. This unprecedented approach is overinclusive, may be harmful to jurors, and suggests a lack of confidence in our state's trial judges. It will also spur ramifications far beyond this case.

I do not share the majority's doubts in our trial courts' ability to appropriately tailor their jury instructions. I remain confident that our trial courts are well-equipped to discharge their gatekeeping role in a manner that promotes fairness and provides effective guidance to jurors.

Chief Judge DiFiore and Judges Rivera, Feinman and Tom* concur; Judge Garcia concurs in result in an opinion, in which Judge Stein concurs; Judge Wilson taking no part.

Order reversed and a new trial ordered.

* Designated pursuant to NY Constitution, article VI, § 2.

[91 NE3d 1215, 69 NYS3d 236]

In the Matter of LISA T., Respondent, v KING E.T., Appellant.

Argued November 16, 2017; decided December 19, 2017

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 28, 2017. The Appellate Division affirmed (1) an order of the Family Court of Bronx County (John J. Kelley, J.) which, insofar as appealed from, had found that respondent willfully violated two temporary orders of protection; and (2) an order of that court which had issued a one-year order of protection against respondent. The following question was certified by the Appellate Division: “Was the order of this Court, which affirmed the order of the Family Court, properly made?”

Matter of Lisa T. v King E.T., 147 AD3d 670, affirmed.

HEADNOTES**Husband and Wife and Other Domestic Relationships — Order of Protection — Final Order of Protection Issued Where Related Family Offense Petition Dismissed**

1. Family Court had jurisdiction to sustain the petition alleging that respondent husband had willfully violated two temporary orders of protection and issue a final order of protection notwithstanding its dismissal of the related family offense petition filed against respondent. Family Court Act §§ 846 and 846-a unequivocally grant Family Court jurisdiction and authority to prosecute contempt of its orders, including temporary orders of protection. Further, the statutory text explicitly authorizes the court to enter a new order of protection if a respondent is found to have willfully violated a temporary order of protection (*see* Family Ct Act § 846-a). While section 812 provides Family Court with concurrent jurisdiction over only specified family offenses, and the violation of a temporary order of protection does not necessarily involve a family offense, Family Court Act § 115 (c) states that “[t]he family court has such other jurisdiction as is provided by law.” Family Court Act §§ 846 and 846-a contain no language tying Family Court’s authority to impose specific penalties for the willful violation of a temporary order of protection to the court’s determination of whether or not the family offense petition should be sustained. Thus, the jurisdiction exercised by Family Court here was consistent both with the statutory text and with the purpose of Family Court Act article 8. Allowing Family Court to retain jurisdiction over violations of temporary court orders entered during the pendency of a family offense proceeding reinforces the goal of protecting victims and preventing domestic violence.

Husband and Wife and Other Domestic Relationships — Order of Protection — Willful Violation — Requisite Knowledge

2. The lower courts did not err as a matter of law by concluding that respondent had the requisite knowledge to support a finding that he violated a

temporary order of protection issued in relation to petitioner's family offense petition under the following circumstances: several successive extensions of the temporary orders of protection were served on respondent, there were no differences between the terms of the challenged order and the most recent prior order, respondent's attorney was present in court when the order was issued, and each temporary order contained a conspicuous written warning to respondent that a failure to appear in court on the next scheduled date could result in an extension of the order of protection and that the order would therefore remain in force and effect.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Domestic Abuse and Violence §§ 11, 15, 30, 31, 43, 61.

CARMODY-WAIT 2d Courts and Their Jurisdiction § 2:222;
CARMODY-WAIT 2d Criminal Proceedings in General;
Jurisdiction and Venue § 172:25.

McKINNEY'S, Family Court Act §§ 115 (c); 812, 846, 846-a.
NEW YORK FAMILY COURT PRACTICE 2d §§ 12:2, 12:11,
12:16, 12:19.

NY JUR 2d Domestic Relations §§ 1728, 1765, 1772, 1773,
1776.

ANNOTATION REFERENCE

See ALR Index under Abuse of Persons; Jurisdiction;
Protective Orders.

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POINTS OF COUNSEL

Law Offices of Richard L. Herzfeld, P.C., New York City (Richard L. Herzfeld of counsel), for appellant. I. Petitioner failed to prove a violation of the temporary order of protection. (*Matter of Rivera v Quinones-Rivera*, 15 AD3d 583; *Matter of Bah v Bah*, 112 AD3d 921; *Matter of Tina T. v Steven U.*, 243 AD2d 863; *Mayfair Nursing Home v Neidhardt*, 173 AD2d 794; *People v McCowan*, 85 NY2d 985; *Matter of B.H. Children [Robert H.]*, 29 Misc 3d 161; *Matter of McGregor v Bacchus*, 54 AD3d 678.) II. Absent proof of a family offense for the underlying petition or violations of the temporary orders of protection, the court lacked jurisdiction to impose a final order of protec-

tion. (*Matter of Silver v Silver*, 36 NY2d 324; *Matter of Autar v Karim-Singh*, 144 AD3d 676; *Matter of Mary C. v Anthony C.*, 61 AD3d 682; *Matter of Steinhilper v Decker*, 35 AD3d 1101; *Financial Indus. Regulatory Auth., Inc. v Fiero*, 10 NY3d 12.)

Law Offices of Randall S. Carmel, P.C., Jericho (*Randall S. Carmel* of counsel), for respondent. I. The appellant violated the temporary orders of protection, dated November 20, 2013, and April 3, 2014, where he had actual notice of the terms of each order and willfully contacted the respondent in manners that were expressly prohibited by the temporary orders of protection. (*Matter of Andrews v Mouzon*, 80 AD3d 761; *Matter of Rolon v Medina*, 56 AD3d 676; *Matter of Winslow v Lott*, 272 AD2d 406; *Matter of Janice M. v Terrance J.*, 96 AD3d 482; *Matter of Melind M. v Joseph P.*, 95 AD3d 553; *Matter of Everett C. v Oneida P.*, 61 AD3d 489; *Matter of Lynn TT. v Joseph O.*, 129 AD3d 1129.) II. The Family Court appropriately issued a final order of protection against the appellant based on the appellant's violation of temporary orders of protection even though the Family Court found that the appellant's offensive conduct did not constitute family offenses. (*Matter of Molloy v Molloy*, 137 AD3d 47; *Anita W. v Rohan W.*, 13 Misc 3d 1224[A], 2006 NY Slip Op 51965[U]; *Matter of Anderson v Anderson*, 25 AD2d 512; *Kuenen v Kuenen*, 122 AD2d 616; *Matter of Mary C. v Anthony C.*, 61 AD3d 682; *Matter of Steinhilper v Decker*, 35 AD3d 1101; *Matter of Rachel L. v Abraham L.*, 37 AD3d 720; *Matter of V.C. v H.C.*, 257 AD2d 27.)

OPINION OF THE COURT

STEIN, J.

Petitioner Lisa T. filed a family offense petition against respondent King E.T., who is her husband and the father of her child. Petitioner requested and received a temporary order of protection, ex parte, at her first appearance in Family Court. The temporary order of protection directed respondent to refrain from all communications with petitioner except those relating to visitation arrangements and emergencies regarding the child. It is undisputed that respondent was served with, and had knowledge of, this order. Throughout a series of subsequent court appearances concerning the family offense petition—at which respondent was present with one exception—the temporary order of protection was extended. While the family offense proceeding remained pending, petitioner filed two violation petitions, later consolidated into a single pe-

tition, alleging that respondent had contacted her in contravention of the temporary orders of protection.

Family Court held a combined hearing on the family offense and consolidated violation petitions. As relevant here, Family Court determined that petitioner had presented insufficient evidence to sustain the family offense petition, but that she had proved respondent's willful violations of two temporary orders through email communications unrelated to the child's visitation or any emergency. Accordingly, Family Court dismissed the family offense petition, but sustained the violation petition and issued a one-year final order of protection precluding respondent from, among other things, communicating with petitioner except as necessary to make arrangements for respondent's visitation with the child.

Upon respondent's appeal, the Appellate Division affirmed, with one Justice dissenting (147 AD3d 670 [1st Dept 2017]). The dissenting Justice would have held that Family Court lacked jurisdiction to issue a final order of protection because the family offense petition had been dismissed (147 AD3d at 675). Thereafter, the Appellate Division certified to this Court the question of whether its order was properly made.

Respondent first argues that Family Court lacked jurisdiction to enter a final order of protection upon its finding that he violated the temporary orders of protection, absent a determination that either the conduct alleged in the original family offense petition or the conduct that comprised the violation of the temporary orders of protection constituted the commission of a family offense. We reject respondent's proposed limitation on Family Court's jurisdiction, inasmuch as it contradicts the plain language of the relevant Family Court Act provisions.

It is well established that "Family Court is a court of limited jurisdiction, constrained to exercise only those powers granted to it by the State Constitution or by statute" (*Matter of H.M. v E.T.*, 14 NY3d 521, 526 [2010]; see *Matter of Johna M.S. v Russell E.S.*, 10 NY3d 364, 366 [2008]). In accordance with the Constitution (NY Const, art VI, § 13), the Family Court Act provides that court with concurrent jurisdiction (shared with the criminal courts) over "family offenses" (Family Ct Act § 812 [1]). The statutory procedures concerning family offenses are set forth in article 8 of the Family Court Act, and section 812 enumerates the crimes which, if committed between persons in specified relationships, constitute family offenses (*see id.*). A family offense proceeding is commenced by the filing of a peti-

tion alleging the commission of a family offense between parties with the requisite familial relationship, and the petition typically seeks an order of protection (*see id.* § 821). We have explained that “[t]he purpose of [article 8 is] to remove in the first instance from the criminal courts a limited class of offenses arising in the family milieu, in order to permit a more ameliorative and mediative role by the Family Court” (*People v Williams*, 24 NY2d 274, 278 [1969]).

Upon the filing of a family offense petition, the court may, for good cause shown, issue a temporary order of protection in favor of the petitioner and against the respondent (*see* Family Ct Act §§ 821-a [2] [b]; 828). A temporary order of protection “is not a finding of wrongdoing” (*id.* § 828 [2]). Nevertheless, it is an order of the court and, pursuant to Family Court Act § 846, in the event of a violation, a new petition may be filed alleging “that the respondent has failed to obey a lawful order” of the court. Family Court may hear the violation petition itself and either “take such action as is authorized under this article; or . . . determine whether such violation constitutes contempt of court, and transfer the allegations of criminal conduct constituting such violation to the district attorney for prosecution . . . ; or . . . transfer the entire proceeding to the criminal court” (*id.* § 846 [b] [ii] [A]-[C]). When Family Court retains jurisdiction over a violation petition, section 846-a—entitled “Powers on failure to obey order”—sets forth the dispositions available to the court upon a finding of a willful violation. Specifically, “[i]f a respondent is brought before the court for failure to obey *any lawful order issued under this article* or an order of protection or *temporary order of protection issued pursuant to this act*,” and it is proved that the respondent willfully violated such an order, the court may, among other things, “modify an existing order or temporary order of protection to add reasonable conditions of behavior to the existing order, *make a new order of protection* in accordance with section [842] of this part, . . . [or] may commit the respondent to jail for a term not to exceed six months” (*id.* § 846-a [emphasis added]).

[1] It is fundamental that, because “the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; *see People v Golo*, 26 NY3d 358, 361 [2015]). Family Court Act §§ 846 and 846-a unequivocally grant Family Court jurisdic-

tion and authority to prosecute contempt of its orders, including temporary orders of protection (*see People v Wood*, 95 NY2d 509, 514 [2000]). Further, the statutory text explicitly authorizes the court to enter a new order of protection if a respondent is found to have willfully violated a temporary order of protection (*see Family Ct Act* § 846-a).

Nevertheless, respondent argues, and the dissent agrees, that the court's authority to enter a new order of protection under Family Court Act § 846-a upon the violation of a temporary order of protection may not be exercised where the original family offense petition has been dismissed and the conduct underlying the violation does not constitute a family offense. Respondent maintains that dismissal of the family offense petition deprives the court of further jurisdiction. We disagree. While section 812 provides Family Court with concurrent jurisdiction over only specified family offenses, and the violation of a temporary order of protection does not necessarily involve a family offense, section 115 (c) of the Family Court Act states that "[t]he family court has such other jurisdiction as is provided by law." The plain language of sections 846 and 846-a supply the essential statutory jurisdiction here.

Family Court Act §§ 846 and 846-a contain no language tying Family Court's authority to impose specific penalties for the willful violation of a temporary order of protection to the court's determination of whether or not the family offense petition, itself, should be sustained (*see generally People v Finnegan*, 85 NY2d 53, 58 [1995] [courts should not read words into a statute and "courts are not to legislate under the guise of interpretation"]; McKinney's Cons Laws of NY, Book 1, Statutes § 74). Significantly, there is no basis in the statutory text upon which we may draw any distinction between Family Court's jurisdiction over violations of final orders of protection entered after a finding of a family offense, on the one hand, and violations of temporary orders of protection entered during the pendency of the family offense proceeding, on the other. Further, the statutory scheme makes clear that conduct constituting a violation of the order of protection need not necessarily constitute a separate family offense in order for the court to have jurisdiction over the violation. Indeed, section 846-a contains no such requirement.

The dissent contends that the reference in Family Court Act § 846-a to section 842—which, in turn, references section 841—implicitly incorporates a limitation that a final order of protec-

tion may be entered only after a finding that a family offense was committed (*see* dissenting op at 560). Section 842 sets forth the terms, conditions, and durations of orders of protection entered pursuant to article 8. Notably, while section 842 references orders issued pursuant to section 841—which governs the disposition of family offense petitions—section 846-a does not contain any such reference to section 841. Thus, on its face, section 846-a incorporates only that which is set forth in section 842 with regard to the terms and conditions of the order of protection entered upon a finding of a violation. This is evidenced by the fact that section 846-a expressly includes violations of temporary orders without drawing any distinction between temporary and final orders; the inclusion of temporary orders would be nonsensical if section 846-a applied only to those orders of protection entered upon a disposition under section 841 (*see Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95, 104 [2001] [“meaning and effect should be given to every word of a statute”]). Contrary to the dissent’s assertion, our reading gives effect to, and does not render superfluous, the reference to Family Court Act § 842 found in section 846-a, whereas the dissent’s reading strains the plain language of that statutory provision.¹

To be sure, where the court concludes that the allegations of the petition charging respondent with a family offense are not established, it must dismiss the family offense petition (*see* Family Ct Act § 841 [a]). However, this does not compel the conclusion that a pending petition alleging the violation of a temporary order of protection must also be dismissed. As noted, the family offense and violation petitions are authorized by different statutory provisions (*see id.* §§ 821, 846, 846-a). Once Family Court obtains jurisdiction over the parties by virtue of a petition facially alleging a family offense, the court may issue a temporary order of protection (*see* Family Ct Act §§ 821-a [2] [b]; 828). A violation of that temporary order of protection is a separate matter over which sections 846 and 846-a give Family

1. The dissent posits that Family Court may enter an order of protection upon a violation petition if the underlying conduct constitutes a new family offense, but that the court otherwise may not utilize such a sanction for a mere violation. Significantly, no such distinction can be found in the plain language of the relevant statutes. Section 846-a does not require the court to make a finding as to whether a new family offense has occurred as a prerequisite to finding and sanctioning a violation of a temporary order of protection (*see* Family Ct Act § 846-a). Moreover, the plain language of section 841 does not address family offense findings made on violation petitions.

Court authority to act, including the authority to issue a final order of protection.²

The jurisdiction exercised by Family Court here is consistent both with the statutory text and with the purpose of article 8 of the Family Court Act. Allowing Family Court to retain jurisdiction over violations of temporary court orders entered during the pendency of a family offense proceeding reinforces the goal of protecting victims and preventing domestic violence. Although, in some circumstances, the primary harm resulting from a violation of a temporary order of protection may be directed at the court whose authority has been thwarted, there is generally also harm to the person who has been contacted in violation of the order.³

Further, permitting Family Court to enter an order of protection is consistent with the dispositions available should the matter proceed, instead, to criminal court (*see generally* Penal Law §§ 215.50 [3]; 215.51; CPL 530.12 [5]; 530.13 [4]). Thus, the statutory language permitting the entry of an order of protection upon a violation of a temporary order is consonant with the legislative goal of achieving resolution of intra-family disputes in Family Court without the need to resort to the criminal forum, where harsher sanctions—such as lengthier incarceration periods—may be imposed for criminal contempt (*see Williams*, 24 NY2d at 278).⁴

2. The dissent's reference to Judiciary Law § 753 is inapt. Insofar as Family Court Act §§ 846 and 846-a specifically provide for punishments and remedies for violations of temporary and final orders of protection issued pursuant to article 8, resort to the Judiciary Law is unwarranted and inappropriate (*see* Family Ct Act § 156 [the Judiciary Law shall apply “unless a specific punishment or other remedy for such violation is provided in this act or any other law”]; Merrill Sobie, Practice Commentaries, McKinney's Cons Laws of NY, Book 29A, Family Ct Act § 156 at 123 [2008 ed] [“The court is always bound by a specific section of a substantive Family Court Act article as opposed to Section 156. In other words, this section is the default option, available only in the relatively rare event that a different remedy has not been legislated”]).

3. For example, a protected party may have reasonable safety fears insofar as a respondent's violation of an order of protection reflects an inability or unwillingness to abide by the court's authority and refrain from prohibited contact. Moreover, such conduct may give the court reason to believe that extended limitation of the contact between the parties is the appropriate sanction for violating the court's prior order of protection.

4. Notably, the act of disobeying the order in and of itself—regardless of whether it amounts to a family offense—constitutes criminal contempt in the second degree (*see* Penal Law § 215.50 [3] [criminalizing “(i)ntentional dis-

(n. cont'd)

The dissent postulates that it was not the intention of the legislature to permit Family Court to enter orders of protection as a sanction for violations of temporary orders of protection when it enacted the 2013 amendments to article 8 of the Family Court Act. This is mere speculation, at best, insofar as the amendments were unquestionably intended to strengthen Family Court's authority and ability to prevent domestic violence and the escalation of conflicts among family members (*see* Senate Introductor's Mem in Support, Bill Jacket, L 2013, ch 1 at 9). Our plain reading of the statute is consistent with that stated legislative intent. In any event, the best evidence of the legislative intent is the plain language of the text chosen by the legislature which, as already discussed, unambiguously authorizes the imposition of orders of protection for violations of temporary orders of protection (*see Majewski*, 91 NY2d at 583). If, however, the wording of the statute has created an "unintended consequence," as the dissent suggests, it is the prerogative of the legislature, not this Court, to correct it (*Golo*, 26 NY3d at 362).

[2] We further reject respondent's challenge to Family Court's finding that he violated the temporary order of protection issued on November 20, 2013. Several successive extensions of the temporary orders of protection were served on respondent, there were no differences between the terms of the challenged order and the most recent prior order, respondent's attorney was present in court when the order in question was issued, and each temporary order contained a conspicuous written warning to respondent that a failure to appear in court on the next scheduled date may result in an extension of the order of protection and that the order would therefore remain in force and effect. Under these circumstances, the courts below did not err as a matter of law by concluding that respondent had the requisite knowledge to support a finding that he violated the order in question (*see generally McCain v Dinkins*, 84 NY2d 216, 226 [1994]; *Matter of McCormick v Axelrod*, 59 NY2d 574, 583 [1983], *amended* 60 NY2d 652 [1983]; *People ex*

obedience or resistance to the lawful process or other mandate of a court"). Furthermore, to the extent the dissent claims that it is "inconceivable" that violations of article 8 temporary orders of protection would be prosecuted in criminal court if Family Court lacked authority to issue an order of protection as a violation sanction (dissenting op at 562 n 3), this claim is both unsupported and, significantly, minimizes the seriousness of a respondent's demonstrated willingness to repeatedly ignore temporary orders of protection by directing disparaging and potentially harassing communications to the protected party.

rel. Stearns v Marr, 181 NY 463, 470 [1905]). Respondent's remaining contentions lack merit.

For the foregoing reasons, we hold that Family Court properly found that respondent willfully violated two temporary orders of protection issued during the pendency of the family offense proceeding and that the court acted within its jurisdiction to enter an order of protection upon those findings. Accordingly, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the affirmative.

WILSON, J. (dissenting). I would reverse the Appellate Division order. Family Court dismissed the family offense petition, concluding that no family offense had been committed and the alleged violation of the temporary order of protection was not a family offense. In such a circumstance, Family Court lacks the authority to issue a final order of protection as a sanction for violation of a temporary order of protection.

King E.T. and Lisa T. were married and have a son. The couple's relationship disintegrated rapidly. Family Court noted that "for nearly all of [their son's] young life, the parties have been embroiled in a multitude of bitter legal disputes: first in New Jersey, and now in New York. In fact, in New York alone, the parties have filed 24 family offense, custody, and violation petitions since December 2012." When King E.T. obtained an ex parte order from a New Jersey court requiring Lisa T. to deliver their son to him within 24 hours, Lisa T. did not immediately comply. King E.T. sent emails to Lisa T. accusing her of lying, not responding, and neglecting their son. Based on those emails, Lisa T. filed the underlying family offense petition in New York against King E.T., alleging that he committed several designated family offenses—including aggravated harassment in the second degree, harassment in the first or second degree, menacing in the second or third degree and stalking. She obtained a series of temporary orders of protection—the first of which was issued ex parte—which were extended upon the same terms at each successive court appearance. As the majority notes, those preprinted form temporary protective orders contained an additional provision broadly barring King E.T. from communicating with Lisa T., but permitting him to contact her concerning "visitation arrangements."

Lisa T. filed a violation petition alleging that King E.T. failed to obey the temporary order of the court by sending her ad-

ditional emails unrelated to emergency matters or visitation. She did not file a new family offense petition in connection with the conduct at issue. After a hearing on both petitions, Family Court determined that the original emails forming the basis for Lisa T.'s complaint did not constitute a family offense, and dismissed the family offense petition. The court characterized Lisa T.'s testimony as "vague, at times unresponsive, and . . . wholly unconvincing." However, Family Court found that two subsequent emails sent by King E.T. to Lisa T., which were the subject of the violation petition, violated the provision of the temporary order of protection as to the permissible content of emails. The first, which Family Court concluded "started out with a legitimate purpose," also reflected King E.T.'s concern that Lisa T. was abusing their son. The second email was in part insulting as to Lisa T.'s parenting skills, while also demanding that their son maintain his telephone visitation with King E.T. at the appointed times. Concluding that those two emails violated the provision of the temporary order of protection as to the permissible content of emails, Family Court entered an order of protection barring King E.T. from any communication with Lisa T. "except as necessary to arrange visitation" and from "assault, stalking, harassment, aggravated harassment, menacing, reckless endangerment, strangulation, criminal obstruction of breathing or circulation, disorderly conduct, criminal mischief, sexual abuse, sexual misconduct, forcible touching, intimidation, threats, identity theft, grand larceny, coercion or any criminal offense against" Lisa T. Thus, even though Family Court determined that King E.T. committed no family offense, it issued an order of protection of the kind that issues only upon proof of a family offense.

The majority correctly notes that Family Court "is a court of limited jurisdiction, constrained to exercise only those powers granted to it by the State Constitution or by statute" (majority op at 551). The majority also notes that Family Court's jurisdiction, which is concurrent with the criminal court, extends only to statutorily-defined family offenses, and that here, the Family Court determined that King E.T. had not committed a family offense. However, the Family Court does have the authority to issue sanctions for violations of its own temporary orders of protection in a separate proceeding. In holding that "[t]he plain language of sections 846 and 846-a supply the essential statutory jurisdiction here" (majority op at 553), the majority has, in fact, contravened the plain language of the Family Court

Act and confused the court's statutory jurisdiction to issue an order of protection with its authority to impose a specific sanction for a violation of a court order.

As the majority notes, “[a] temporary order of protection ‘is not a finding of wrongdoing,’ ” (majority op at 552, quoting Family Ct Act § 828 [2]), and therefore may issue even if the alleged family offense is determined to be baseless. Committing a designated family offense is the equivalent of committing the offenses defined in the Penal Law (*see* Family Ct Act § 812; CPL 530.11 [criminal contempt is not a family offense]). Violating a temporary order of protection by conduct that does not constitute a family offense is an affront to the court's authority, and is subject to sanction. It is a fundamentally different matter from offending conduct that constitutes a new family offense. The majority appears to recognize the incongruity of issuing an order of protection as a sanction for disobeying a court order based on nonthreatening speech set forth in an email, acknowledging that such a result may be an “unintended consequence” (majority op at 556). However, the plain language of the Family Court Act shows that the intended consequence is precisely the opposite of what the majority holds today.

Section 846-a, which specifies Family Court's “[p]owers on failure to obey order[s],” provides:

“If a respondent is brought before the court for failure to obey any lawful order issued under this article or an order of protection or temporary order of protection issued pursuant to this act . . . and if, after hearing, the court is satisfied by competent proof that the respondent has willfully failed to obey any such order, the court may modify an existing order or temporary order of protection to add reasonable conditions of behavior to the existing order, make a new order of protection *in accordance with section [842] of this part*, may order the forfeiture of bail in a manner consistent with article [540] of the criminal procedure law if bail has been ordered pursuant to this act, may order the respondent to pay the petitioner's reasonable and necessary counsel fees in connection with the violation petition where the court finds that the violation of its order was willful, and may commit the respondent to jail for a term not to exceed six months” (§ 846-a [emphasis added]).

If the majority's interpretation were correct, the italicized language would be utterly superfluous; we construe statutes to give "effect and meaning . . . to the entire statute and every part and word thereof" (*Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105, 115 [2007]).

Section 846-a provides the Family Court with various remedies when faced with a violation of any lawful order issued under article 8, or an order of protection or—as here—a temporary order of protection. However, the statutory language is quite clear that among the remedies, only "mak[ing] a new order of protection" is subject to the qualifier, "in accordance with section [842]." Section 842 itself begins with a limiting construction confining its reach to "order[s] of protection under section [841] of this part."

Section 841, in turn, sets forth the orders of disposition that Family Court may issue, and includes an order of protection as one such option. The others listed are, "dismissing the petition, if the allegations of the petition are not established," suspending judgment, probation, and directing restitution. Thus, implementing section 846-a's requirement that, if Family Court intends to make a new order of protection as a sanction, it must do so in compliance with section 842, which in turn incorporates section 841 (d), means that Family Court cannot issue a new order of protection unless there has been a family offense. If, as here, there has been no family offense, the court may redress the offense to its authority by bail forfeiture, attorney's fees or jail time.

I agree with the majority that the Family Court Act provides that the violation of the temporary order of protection is a separate matter, distinct from the dismissal of the petition in which a family offense was alleged. Clearly, if the violation of the temporary order of protection provided a basis for a new family offense petition or prosecution in the criminal court for new crimes, a different path would have been taken to seek measures available for the protection of the petitioner. This fact supports the legislative determination that a new order of protection can issue only when a family offense has been proved. The Family Court Act provides one set of remedies for family offenses, and another for violations of court orders. In response to a proper petition alleging a family offense, the court may (i) dismiss the petition; (ii) suspend judgment; (iii) order probation, which may include education programming or drug and alcohol counseling; (iv) make an order of protection;

or (v) order payment of restitution (Family Ct Act § 841). In contrast, a civil finding of contempt may result in jail time or fines, attorney's fees, or bail forfeiture (*see* Judiciary Law § 753; Family Ct Act § 846-a). By disregarding the meaning of sections 842 and 841 in its reading of section 846-a, the majority is undoing this clearly intended separation.

When Family Court determines that the defendant has not committed a family offense, issuance of an order of protection to vindicate the court's authority is inappropriate. Instead, Family Court should utilize its contempt powers provided by the remaining sanctions under 846-a (bail forfeiture, attorney's fees or jail time).¹ The Judiciary Law addresses the "[p]ower of courts to punish for civil contempts" and provides that "[a] court of record [such as Family Court] has power to punish, by fine and imprisonment, or either" (Judiciary Law § 753 [A]).

Embroided in an ugly custody battle, King E.T. sent two intemperate and perhaps baseless emails. Family Court held that his conduct did not constitute a family offense,² yet subjected him to a one-year order of protection forbidding, *inter alia*, strangulation, sexual abuse and identity theft. The majority obliquely addresses this odd result, writing: "[a]lthough, in some circumstances, the primary harm resulting from a violation of a temporary order of protection may be directed at the court whose authority has been thwarted, there is generally also harm to the person who has been contacted in violation of the order" (majority op at 555). The dismissal of Lisa T.'s family offense petition means that Family Court found that she suffered no legally-defined injury—at least none within Family Court's jurisdiction. The instant violation petition failed to allege any family offense occurred. The cognizable injury here is not to Lisa T., but solely to the court's authority. The majority's

1. Section 156 of the Family Court Act provides:

"The provisions of the judiciary law relating to civil and criminal contempts shall apply to the family court in any proceeding in which it has jurisdiction under this act or any other law, and a violation of an order of the family court in any such proceeding which directs a party, person, association, agency, institution, partnership or corporation to do an act or refrain from doing an act shall be punishable under such provisions of the judiciary law, unless a specific punishment or other remedy for such violation is provided in this act or any other law."

2. Indeed, Family Court observed that mere speech cannot be penalized unless the words themselves "present[] a clear and present danger of some serious substantive evil" (*see People v Golb*, 23 NY3d 455, 467 [2014]; *People v Dietze*, 75 NY2d 47, 52 [1989]).

interpretation is not just incompatible with the statutory language, but also with the wrong sought to be addressed through a contempt finding. The issuance of an order of protection entails substantial legal consequences unrelated to any affront to the court (*see e.g. Matter of Veronica P. v Radcliff A.*, 24 NY3d 668 [2015]).³

Finally, before 2013, while the Judiciary Law would have allowed the Family Court to do so, section 846-a did not authorize any sanctions for violations of temporary orders of protection. It is beyond dispute, then, that before the 2013 amendment, Family Court could not have entered an order of protection as a sanction for the violation of a temporary order. When, in 2013, the legislature amended section 846-a to include the words, “or temporary order of protection,” it did so to ensure that a violation of a temporary order of protection would allow the court to “revoke [a] license [to carry a firearm] and . . . arrange for the immediate surrender” of any firearms held in possession by the party that violated the temporary order of protection (Family Ct Act § 846-a; *see* Letter to the Legislature from Counsel to the Governor, Jan. 14, 2013, Bill Jacket, L 2013, ch 1 at 5-6). There is no suggestion whatsoever in the legislative history that the amendment was enacted to permit Family Court to do what it did here: enter an order of protection as if King E.T. had been adjudged guilty of a family offense, when he was not. Family Court has sufficient tools to address contempt; the legislature did not, by amending section 846-a, enhance those; and we should not do so here by eliding statutory language and conflating injury to litigants with injury to the authority of the courts.

For the above reasons, I dissent.

3. The majority’s argument that, were Family Court unable to issue an order of protection as a sanction even when no family offense has been proved, a defendant might wind up in criminal court, is a bugaboo. Since 1994, the legislature has made it evident that very serious domestic violence offenses should be prosecuted in criminal court. To this end, the legislature has reserved certain grave offenses for criminal court’s jurisdiction by excluding them from the definition of family offense. Here, petitioner’s allegations of family offenses fell within the concurrent jurisdiction of the two courts, and Lisa T. elected to proceed to Family Court, seeking an order of protection in connection with the family offense petition. Where the Family Court found upon a dispositional hearing that no family offense occurred in the matter, it is inconceivable that the statutory limitation on the ability to issue a final order of protection under these circumstances would prompt the Family Court to transfer the contempt violation to criminal court.

Judges RIVERA, FAHEY, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion, in which Chief Judge DiFIORE concurs.

Order affirmed, without costs, and certified question answered in the affirmative.

[91 NE3d 1226, 69 NYS3d 247]

In the Matter of JOSEPH A. TERRANOVA, JR., Appellant, v LEHR CONSTRUCTION Co. et al., Respondents. WORKERS' COMPENSATION BOARD, Respondent.

Argued November 15, 2017; decided December 19, 2017

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 19, 2016. The Appellate Division affirmed a decision of the Workers' Compensation Board which had denied claimant's application for administrative review, determined that the Workers' Compensation Law Judge's decision filed on June 11, 2014, remained in effect, and ruled that claimant was not entitled to ongoing payments for litigation expenses associated with a schedule loss of use award.

Matter of Terranova v Lehr Constr. Co., 139 AD3d 1309, reversed.

HEADNOTE

Workers' Compensation — Third-Party Action — Apportionment of Litigation Expenses Where Third-Party Settlement Consummated before Award

In a workers' compensation proceeding in which claimant was found to have suffered a 10% schedule loss of use of his leg entitling him to certain benefits after settlement of his action against a third-party contractor, respondent Workers' Compensation Board erred in finding that claimant, who had received some workers' compensation payments but was litigating the extent of his schedule loss of use at the time of the settlement, was not entitled to post-settlement apportionment of litigation expenses. Workers' Compensation Law § 29 was enacted to ensure that insurance carriers pay their equitable share of litigation expenses incurred by injured workers who obtain recoveries from third-party tortfeasors. In the event that a claimant recovers in a third-party action, the compensation carrier is granted a lien on the amount of the recovery proceeds equal to the amount of past compensation it has paid, with interest. The lien, however, is subordinate to a deduction for costs and attorney's fees. Should the employee secure a recovery from a third party, he or she may apply to the court for an order apportioning the reasonable and necessary expenditures incurred in effecting such recovery. Respondent Board misinterpreted prior cases as requiring that litigation costs apportioned against all schedule loss of use awards be either assigned at the time of the third-party settlement or not at all. A court must determine whether an award is quantified at the time a third-party suit is resolved, such that the litigation expenses associated with that suit can be equitably apportioned in the allocation between claimant and carrier. When the present value of the loss of use or other benefits is not finalized at the time of

the claimant's recovery in the third-party matter, the carrier must pay its fair share once the present value is determined.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Workers' Compensation §§ 351, 442, 624, 627.
CARMODY-WAIT 2d Parties §§ 19:168–19:169.
McKINNEY'S, Workers' Compensation Law § 29.
NY JUR 2d Workers' Compensation §§ 135, 143–144.

ANNOTATION REFERENCE

Workmen's compensation: attorney's fee or other expenses of litigation incurred by employee in action against third party tortfeasor as charge against employer's distributive share. 74 ALR3d 854.

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POINTS OF COUNSEL

Grey & Grey, L.L.P., Farmingdale (*Robert E. Grey* of counsel), for appellant. I. The Appellate Division's decision that claimant appellant was not entitled to an equitable apportionment of his third-party litigation costs pursuant to *Burns v Varriale* (9 NY3d 207 [2007]) was erroneous as a matter of law. (*Matter of Kelly v State Ins. Fund*, 60 NY2d 131; *Matter of Stenson v New York State Dept. of Transp.*, 84 AD3d 22; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.*, 121 AD2d 810; *Matter of McKee v Sithe Independence Power Partners*, 281 AD2d 891; *Matter of Schmidt v Falls Dodge, Inc.*, 19 NY3d 178.) II. The Appellate Division's decision was contrary to public policy and the efficient administration of the judicial system. (*Matter of Kelly v State Ins. Fund*, 60 NY2d 131; *Burns v Varriale*, 9 NY3d 207.)

Eric T. Schneiderman, Attorney General, Albany (*Patrick A. Woods*, *Barbara D. Underwood* and *Andrea Oser* of counsel), for New York State Workers' Compensation Board, respondent. The Workers' Compensation Board adhered to guidance in *Burns v Varriale* (9 NY3d 207 [2007]), *Matter of Kelly v State Ins. Fund* (60 NY2d 131 [1983]), and *Matter of Stenson v New York State Dept. of Transp.* (84 AD3d 22 [2011]).

Weiss, Wexler & Wornow, P.C., New York City (*J. Evan Perigo* and *Darryl Wornow* of counsel), for New Hampshire Insurance Company, respondent. I. The Workers' Compensation Board did not err by apportioning the third-party action litigation costs under *Matter of Kelly v State Ins. Fund* (60 NY2d 131 [1983]) because the appellant agreed that *Kelly* applied and his schedule loss award was based on an opinion that was (1) in the Board file when the third-party action settled and (2) supported by all other available medical evidence. (*Matter of Bissell v Town of Amherst*, 18 NY3d 697; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.*, 129 Misc 2d 377, 121 AD2d 810; *Burns v Varriale*, 9 NY3d 207; *Matter of Stenson v New York State Dept. of Transp.*, 84 AD3d 22; *Hallock v State of New York*, 64 NY2d 224; *Matter of Frutiger*, 29 NY2d 143.) II. The Court should find that applying *Matter of Kelly v State Ins. Fund* (60 NY2d 131 [1983]) in this case will result in neither inequity to claimants nor in inefficiency in judicial administration and that, rather, the result here was the product of the appellant agreeing that the respondent could take a credit based on a lump-sum payment.

Edward H. Gersowitz, New York State Trial Lawyers Association, New York City, for New York State Trial Lawyers Association, amicus curiae. The Appellate Division erred in upholding the Workers' Compensation Board's incorrect interpretation and application of Workers' Compensation Law § 29 (1) and prior decisions issued by this Court that are relevant to this case. (*Matter of Stenson v New York State Dept. of Transp.*, 84 AD3d 22; *Burns v Varriale*, 9 NY3d 207.)

Kirk & Teff, LLP, Kingston (*Justin S. Teff* of counsel), for Injured Workers' Bar Association, amicus curiae. The Appellate Division erred as a matter of law in holding that reimbursement for third-party litigation expenses pursuant to *Burns v Varriale* (9 NY3d 207 [2007]) is never available in cases involving schedule loss of use awards. (*Matter of Stenson v New York State Dept. of Transp.*, 84 AD3d 22.)

OPINION OF THE COURT

WILSON, J.

When an injured worker obtains a recovery from a third-party tortfeasor, both the worker and the employer's insurance carrier may benefit. Section 29 of the Workers' Compensation Law was enacted to ensure that insurance carriers pay their

equitable share of litigation expenses incurred by injured workers who obtain such recoveries. Here, the wooden application of our precedents to circumstances not contemplated therein has created a rule incompatible with that legislation. Equitable apportionment should not turn solely on the label given to a claimant's award, whether that label is "schedule loss of use" or otherwise, but must take into account the certainty of the award at the time a third-party matter is resolved.

Joseph Terranova, a foreman employed by the Lehr Construction Company, injured his right knee on a raised floor tile at a job site. He sought both workers' compensation benefits from Lehr's carrier, the New Hampshire Insurance Company (NHIC), and damages from the third-party contractor responsible for the defective tile. At the time of Mr. Terranova's settlement with the third party—to which NHIC consented in a letter—he had received \$21,495.99 in workers' compensation payments and was litigating the extent of his schedule loss of use before a Workers' Compensation Law judge. Proceedings before that judge continued after the third-party settlement and ultimately resulted in a finding that Mr. Terranova suffered a 10% schedule loss of use of the right leg that entitled him to 28.8 weeks of benefits, or an additional \$9,960. Despite Mr. Terranova's arguments to the contrary, the judge—as well as the Board and the Appellate Division—concluded that because his ultimate award was of a type we had indicated had an ascertainable present value, he was not entitled to the post-settlement apportionment of the litigation expenses contemplated for other types of awards in *Burns v Varriale* (9 NY3d 207 [2007]).

As we have previously explained,

"Section 29 of the Workers' Compensation Law governs the rights and obligations of employees, their dependents, and compensation carriers with respect to actions arising out of injuries caused by third-party tort-feasors. A claimant has the first right to bring a third-party action, and, while undertaking such an action, may continue to receive compensation benefits (Workers' Compensation Law, § 29, subd 1). In the event that a claimant recovers in a third-party action, the compensation carrier is granted a lien on the amount of the recovery proceeds equal to the amount of past compensation it has paid, with interest (*id.*). The

lien, however, is subordinate to a deduction for costs and attorney's fees (*id.*). The statute was amended in 1975 (see L 1975, ch 190) to also provide: 'Should the employee or his dependents secure a recovery from [a third party], whether by judgment, settlement or otherwise, such employee or dependents may apply on notice to such lienor to the court in which the third party action was instituted, or to a court of competent jurisdiction if no action was instituted, for an order apportioning the reasonable and necessary expenditures, including attorney's fees, incurred in effecting such recovery. Such expenditures shall be equitably apportioned by the court between the employee or his dependents and the lienor' (Workers' Compensation Law, § 29, subd 1) . . .

"The impetus for amending the law to provide for allocation of litigation costs between the employee and the carrier . . . was the desire to stem the inequity to the claimant, arising when a carrier benefits from an employee's recovery while assuming none of the costs incurred in obtaining the recovery, and to ensure that the claimant receives a full measure of the recovery proceeds in excess of the amount of statutory benefits otherwise due the claimant. It was determined that these interests would be most effectively served by equitably apportioning litigation costs. This concept was purposely adopted to avoid 'rigid statutory formulas' and to implement a 'practical and flexible' approach towards ensuring that a compensation carrier assumes its fair share of the costs of litigation (*see* Memorandum of NY Law Rev Comm, *op. cit.*, p 1553; *see, also, Becker v Huss Co.*, 43 NY2d 527, 543, *supra*). It is evident that the determination of what constitutes equitable apportionment of costs has been left to the courts" (*Matter of Kelly v State Ins. Fund*, 60 NY2d 131, 135-138 [1983]).

Twice previously we have been called upon to fashion a method for the equitable apportionment of legal expenses between claimants and carriers. In *Matter of Kelly*, we held that the legislative purpose underlying the 1975 amendments was best served by "an allocation formula that takes into consideration the full benefit a carrier receives from an employee's

recovery in a third-party action” (*id.* at 138). That “full benefit” includes not only the past benefits paid (which the carrier may recoup via its lien) but also the present value of estimated future benefits (which the carrier will no longer have to pay out) (*id.* at 135). In *Kelly*, the petitioner received death benefits after her husband’s untimely demise in a construction accident. Because death benefits are awarded at a fixed weekly rate until a spouse dies or remarries, the future value of those benefits could be ascertained with the aid of actuarial tables, reduced to its present value, subjected to a percent cost of litigation multiplier, and used to, among other things, reduce a carrier’s lien or calculate its holiday period. In short, in *Kelly* as in the host of cases that followed its approach, when “the value of future compensation payments that a carrier has been relieved of paying due to a third-party recovery is not so speculative that it would be improper to estimate and to assess litigation costs against this benefit to the carrier,” those costs should be apportioned at the time of any third-party settlement (*id.* at 139).

In *Burns v Varriale*, we confronted the case of a claimant entitled to speculative benefits for a nonschedule permanent partial disability (9 NY3d 207 [2007]). Because the value of the benefits associated with such a disability typically fluctuates with, *inter alia*, the claimant’s income, we held that “it cannot be quantified or reliably predicted” and that it would thus “not be appropriate for a court to apportion attorney’s fees based on such benefit” at the time of the third-party settlement (*id.* at 215). That unpredictability must not, however, result in a permanent windfall for the carrier. Instead, “the carrier should be required to periodically pay its equitable share of attorney’s fees and costs” based on “actual, nonspeculative” benefits as those once-speculative benefits accrue (*id.* at 217). We expected that pay-as-you-go process would apply in cases where “a claimant does not receive benefits for death, total disability[,] or schedule loss of use” (*id.* at 215 [emphasis omitted]).

Neither *Kelly* nor *Burns* contemplated the sequence involved here, in which a third-party settlement was consummated *before* an award was determined. Here, although the Board ultimately recognized the inequity of its initial determination, it first misinterpreted *Kelly* and *Burns* as requiring that litigation costs apportioned against all schedule loss of use awards be either assigned at the time of the third-party settlement or not at all. The Appellate Division, believing the result was dictated by *Burns* and *Kelly*, affirmed.

In *Burns*, we noted that “if a claimant does not receive benefits for death, total disability or schedule loss of use, the carrier’s future benefit cannot be quantified by actuarial or other reliable means” (9 NY3d at 215 [emphasis omitted]). The Board and Appellate Division mistakenly concluded that the inverse of that statement is true, but it is not. If a claimant does receive benefits for death, total disability or schedule loss of use, the carrier’s future benefit sometimes can—but sometimes cannot—be quantified by actuarial or other reliable means at the time a third-party settlement is reached.

Whether a particular type of award can be reliably quantified at some point in time does not end the inquiry; rather, a court must determine whether the award is quantified at the time a third-party suit is resolved, such that the litigation expenses associated with that suit can be equitably apportioned in the allocation between claimant and carrier. Once awarded by the Board, schedule loss of use benefits “are easily ascertainable because such awards are paid out over a specific number of weeks at a set rate (or in a lump sum)” and litigation costs can be fairly apportioned thereto (*Burns*, 9 NY3d at 216). When that loss of use has been determined prior to the resolution of the third-party action, those costs can be awarded when the judgment or settlement is obtained. When, as here, the present value of the loss of use or other benefits is not finalized at the time of the claimant’s recovery in the third-party matter, the carrier must pay its fair share once the present value is determined. We emphasize once again: *Kelly*, *Burns*, and Workers’ Compensation Law § 29 require carriers to bear their fair share of the litigation expenses.

NHIC also argues that Mr. Terranova contracted away any further rights to an equitable apportionment. By letter agreement, the parties stated that the “lien reimbursement reflects a reduction of the carrier’s lien [p]ursuant to *Kelly* v[] State Insurance Funds [sic] and all parties reserve all their [r]ights to *Burns* v[] Varriale.” The plain language of that agreement conditions Mr. Terranova’s rights to equitable allocation of his expenses associated with his workers’ compensation claim on our decision in this appeal: the proper interpretation of *Burns*. Indeed, NHIC’s argument to the contrary is belied by Mr. Terranova’s rejection of NHIC’s initial tender of a proposed agreement by which Mr. Terranova would “forego any and all claims pursuant to *Burns*,” as well as counsel’s admission at argument that the carrier knew that Mr. Terranova’s counsel meant

to reserve those rights through the language actually adopted. Were there any ambiguities, they would “be resolved against the carrier” (*Matter of Brisson v County of Onondaga*, 6 NY3d 273, 279 [2006] [internal quotation marks and citation omitted]; see also *Matter of Stenson v New York State Dept. of Transp.*, 84 AD3d 22, 26, 27-28 [2011]). As the Board and the Appellate Division implicitly concluded when deciding the case by applying our decisional law, the consent letter does nothing more than call for the application of section 29 as interpreted, at the legislature’s direction, by the courts.

Therefore, the order of the Appellate Division should be reversed, with costs, and case remitted to the Appellate Division with directions to remand the matter to the Workers’ Compensation Board for further proceedings in accordance with this opinion.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey and Garcia concur; Judge Feinman taking no part.

Order reversed, with costs, and case remitted to the Appellate Division, Third Department, with directions to remand the matter to the Workers’ Compensation Board for further proceedings in accordance with the opinion herein.

[92 NE3d 743, 69 NYS3d 520]

NOMURA HOME EQUITY LOAN, INC., SERIES 2006-FM2, by HSBC BANK USA, NATIONAL ASSOCIATION, Solely in its Capacity as Trustee, Respondent, v NOMURA CREDIT & CAPITAL, INC., Appellant.

NOMURA HOME EQUITY LOAN, INC., SERIES 2007-3, by HSBC BANK USA, NATIONAL ASSOCIATION, Solely in its Capacity as Trustee, Respondent, v NOMURA CREDIT & CAPITAL, INC., Appellant.

NOMURA ASSET ACCEPTANCE CORPORATION MORTGAGE PASS-THROUGH CERTIFICATES, SERIES 2006-AF2, by HSBC BANK USA, NATIONAL ASSOCIATION, as Trustee, Respondent, v NOMURA CREDIT & CAPITAL, INC., Appellant.

NOMURA HOME EQUITY LOAN, INC., HOME EQUITY LOAN TRUST, SERIES 2007-2, by HSBC BANK USA, NATIONAL ASSOCIATION, as Trustee, Respondent, v NOMURA CREDIT & CAPITAL, INC., Appellant.

Argued March 22, 2017; reargued November 14, 2017; decided December 12, 2017

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 13, 2015. The Appellate Division order, insofar as appealed from, modified, on the law, orders of the Supreme Court, New York County (Marcy S. Friedman, J.), in each of the four above-entitled actions. In the first above-entitled action (involving the Series 2006-FM2 trust) that Supreme Court (op 2014 NY Slip Op 33937[U] [2014]) had granted defendant's motion to dismiss the complaint only to the extent of dismissing the third and fourth causes of action based on breach of the No Untrue Statement provision in the parties' agreement and otherwise denied defendant's motion to dismiss. The Appellate Division's modification consisted of denying the motion to dismiss as to the third cause of action. In the second above-entitled action (involving the Series 2007-3 trust), that Supreme Court (op 2014 NY Slip Op 33936[U] [2014]) had granted defendant's motion to dismiss the complaint only to the extent of dismissing the third and fourth causes of action based on breach of the No Untrue State-

ment provision in the parties' agreement and otherwise denied defendant's motion to dismiss. The Appellate Division's modification consisted of denying defendant's motion as to the third cause of action. In the third above-entitled action (involving the Series 2006-AF2 trust), that Supreme Court (op 2014 NY Slip Op 33609[U] [2014]) had, to the extent cross-appealed from as limited by the briefs, (1) limited the relief available under the first cause of action to specific performance of the repurchase protocol or, if the loans could not be repurchased, to damages consistent with its terms; (2) limited the first cause of action to the alleged breaches of the Mortgage Representations; (3) granted defendant's motion to dismiss to the extent of dismissing the second cause of action; and (4) denied the motion to the extent it sought to dismiss the third cause of action. The Appellate Division's modification consisted of permitting plaintiff to seek damages on the first cause of action for breach of the No Untrue Statement provision (section 7 of the mortgage loan purchase agreement [MLPA]) and for failure to give prompt written notice after discovering material breaches of the representations and warranties in section 8 of the MLPA. In the fourth above-entitled action (involving the Series 2007-2 trust), that Supreme Court (op 2014 NY Slip Op 32604[U] [2014]) had, to the extent cross-appealed from as limited by the briefs, (1) limited the relief available under the first cause of action to specific performance of the repurchase protocol or, if the loans could not be repurchased, to damages consistent with its terms; (2) limited the first cause of action to the alleged breaches of the Mortgage Representations; (3) granted defendant's motion to dismiss to the extent of dismissing the second cause of action; and (4) denied the motion to the extent it sought to dismiss the third cause of action. The Appellate Division's modification consisted of permitting plaintiff to seek damages on the first cause of action for breach of the No Untrue Statement provision (section 7 of the MLPA) and for failure to give prompt written notice after discovering material breaches of the representations and warranties in section 8 of the MLPA. The following question was certified by the Appellate Division: "Was the order of this Court, which modified, on the law, the orders of the Supreme Court, New York County, properly made?"

Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc., 133 AD3d 96, modified.

HEADNOTE**Contracts — Breach or Performance of Contract — Residential Mortgage-Backed Securities — Claim for General Contract Damages Based on Breach of Representations and Warranties**

Defendant sponsor of residential mortgage-backed securities transactions was entitled to dismissal of plaintiffs' claims for general contract damages based on defendant's alleged breach of its representation that the loan purchase and service agreements contained no untrue statements, where plaintiffs' claims were grounded in alleged breaches of mortgage loan-specific representations and warranties for which the sole remedy fashioned by the parties was cure or repurchase. Contract terms providing for a "sole remedy" are sufficiently clear to establish that no other remedy was contemplated by the parties at the time the contract was formed, for purposes of that portion of the transaction, especially when entered into at arm's length by sophisticated contracting parties. The complaints affirmatively pleaded that the claims based on alleged breaches of the no untrue statement provision were grounded in misrepresentations and omissions with respect to the mortgage loans. Plaintiffs could not subvert the exclusive remedies limitation of liability by simply re-characterizing their claims. Reading each contract as a harmonious and integrated whole and honoring the exclusive remedy that the sophisticated parties fashioned, the sole remedy provision applied to preclude plaintiffs from seeking general contract damages.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Contracts §§ 394, 702; AM JUR 2d Securities Regulation—State §§ 160, 162, 180.

NY JUR 2d Contracts §§ 265, 429; NY JUR 2d Investment Securities §§ 142, 160.

ANNOTATION REFERENCE

See ALR Index under Bonds and Securities; Contracts.

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Query: mortgage-backed /2 security & damage & "exclusive remedy"

POINTS OF COUNSEL

Shearman & Sterling LLP, New York City (*Joseph J. Frank*, *Agnès Dunogué* and *Matthew L. Craner* of counsel), for appellant. I. Under New York law, a court cannot and should not render meaningless a contractual limitation on remedies. (*Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Chelsea, LLC v Seventh Chelsea Assoc.*, 304 AD2d 498; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Ronnen v Ajax Elec. Motor*

Corp., 88 NY2d 582; *Mom's Bagels of N.Y. v Sid Greenebaum Inc.*, 164 AD2d 820; *AMBAC Assur. Corp. v EMC Mtge. LLC*, 39 Misc 3d 1240[A], 2013 NY Slip Op 50954[U], 121 AD3d 514; *Maxine Co., Inc. v Brink's Global Servs. USA, Inc.*, 94 AD3d 53; *Jade Realty LLC v Citigroup Commercial Mtge. Trust 2005-EMG*, 83 AD3d 567; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *RM 14 FK Corp. v Bank One Trust Co., N.A.*, 37 AD3d 272.) II. Plaintiff's contention that it is entitled to damages for alleged "aggregate," "transaction-wide" loan breaches—while conceding it is entitled only to cure or repurchase for individual loan breaches—is unavailing. III. The Appellate Division erred in allowing the trustee to avoid the sole remedy to which it agreed as a party if it recasts its loan breach claims as alleged violations of the No Untrue Statement Provision of a separate agreement. (*Ambac Assur. Corp. v EMC Mtge. LLC*, 121 AD3d 514; *Bank of Tokyo-Mitsubishi, Ltd., N.Y. Branch v Kvaerner a.s.*, 243 AD2d 1.)

Holwell Shuster & Goldberg LLP, New York City (*Michael S. Shuster*, *Daniel M. Sullivan* and *Adam T. Kirgis* of counsel), and *Kasowitz Benson Torres LLP*, New York City (*Christopher P. Johnson*, *Zachary W. Mazin* and *Uri A. Itkin* of counsel), for respondents. I. The trustee properly pleaded claims for breach of the No Untrue Statement representation. (*Telerent Leasing Corp. v Progressive Med. Imaging PLC*, 918 F Supp 2d 666; *Schneider v Chertoff*, 450 F3d 944; *McMahan & Co. v Warehouse Entertainment, Inc.*, 900 F2d 576; *Innophos, Inc. v Rhodia, S.A.*, 10 NY3d 25.) II. By its terms, the Sole Remedy Clause does not apply to breaches of the No Untrue Statement Provision. (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Greenfield v Philles Records*, 98 NY2d 562; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *Chatterjee Fund Mgt. v Dimensional Media Assoc.*, 260 AD2d 159; *AMBAC Assur. Corp. v EMC Mtge. LLC*, 39 Misc 3d 1240[A], 2013 NY Slip Op 50954[U]; *Matter of Western Union Tel. Co. [American Communications Assn., C. I. O.]*, 299 NY 177; *Utica Mut. Ins. Co. v Prudential Prop. & Cas. Ins. Co.*, 64 NY2d 1049.) III. Limiting the Sole Remedy Clause to its terms does not render it meaningless. (*National Conversion Corp. v Cedar Bldg. Corp.*, 23 NY2d 621; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430.)

Paul Hastings LLP, New York City (*Shahzeb Lari* of counsel) and Los Angeles, California (*Timothy D. Reynolds*, of the California bar, admitted pro hac vice, of counsel), for Securities

Industry and Financial Markets Association, amicus curiae. I. The Appellate Division's order is contrary to black-letter New York law. (*Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Moore v Microsoft Corp.*, 293 AD2d 587; *Chelsea, LLC v Seventh Chelsea Assoc.*, 304 AD2d 498; *Baidu, Inc. v Register.com, Inc.*, 760 F Supp 2d 312; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Peluso v Tauscher Cronacher Professional Engrs.*, 270 AD2d 325; *RM 14 FK Corp. v Bank One Trust Co., N.A.*, 37 AD3d 272; *Ambac Assur. Corp. v EMC Mtge. LLC*, 121 AD3d 514; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 121 AD3d 535; *ACE Sec. Corp. Home Equity Loan Trust, Series 2007-HE3 v DB Structured Prods., Inc.*, 5 F Supp 3d 543.) II. Affirmance of the Appellate Division's order would upset the carefully structured allocation of risk in residential mortgage-backed securities contracts. (*Morgan Stanley Mtge. Loan Trust 2006-13ARX v Morgan Stanley Mtge. Capital Holdings LLC*, 143 AD3d 1; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Scott v Palermo*, 233 AD2d 869; *American Tel. & Tel. Co. v New York City Human Resources Admin.*, 833 F Supp 962; *Laidlaw Transp. v Helena Chem. Co.*, 255 AD2d 869; *Xerox Corp. v Graphic Mgt. Servs. Inc.*, 959 F Supp 2d 311; *Eisen v Carlisle & Jacquelin*, 479 F2d 1005; *Holy Props. v Cole Prods.*, 87 NY2d 130; *J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220.)

Murphy & McGonigle, P.C., New York City (*James K. Goldfarb* of counsel) and Washington, D.C. (*Daniel T. Brown*, of the District of Columbia bar, admitted pro hac vice, of counsel), and *Baker Botts L.L.P.*, Washington, D.C. (*Michael L. Calhoon*, of the District of Columbia bar, admitted pro hac vice, and *Vernon Cassin*, of counsel), and New York City (*Douglas W. Henkin* and *John Perry* of counsel), for Sand Canyon Corporation, amicus curiae. I. Even if raised for the first time on appeal, the issue is one of pure law that the Court should consider to provide certainty and predictability to the interpretation of contracts critical to the residential mortgage securitization market and New York's economy. (*Misicki v Caradonna*, 12 NY3d 511; *Telaro v Telaro*, 25 NY2d 433; *Matter of Rivera v Smith*, 63 NY2d 501; *American Sugar Ref. Co. of N.Y. v Waterfront Commn. of N.Y. Harbor*, 55 NY2d 11.) II. Under the governing contracts' plain language, representations and warranties contained in section 7 of the mortgage loan purchase agreements were not transferred to the trustee. (*MBIA Ins. Corp. v Merrill Lynch*, 81 AD3d 419; *Valassis Communications*

v Weimer, 304 AD2d 448; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Realtime Data, LLC v Melone*, 104 AD3d 748; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Robertson v Ongley Elec. Co.*, 146 NY 20; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581.) III. The governing contracts' plain language squares with the legal and regulatory framework in which securitization transactions operate. (*Retirement Bd. of the Policemen's Annuity & Benefit Fund of the City of Chicago v Bank of N.Y. Mellon*, 775 F3d 154; *Dupuis v Federal Home Loan Mtge. Corp.*, 879 F Supp 139; *Midfirst Bank, SSB v C.W. Haynes & Co., Inc.*, 893 F Supp 1304; *In re Lehman Bros. Mtge.-Backed Sec. Litig.*, 650 F3d 167; *Public Employees' Retirement Sys. of Mississippi v Merrill Lynch & Co. Inc.*, 714 F Supp 2d 475; *In re Morgan Stanley Info. Fund Sec. Litig.*, 592 F3d 347; *Federal Hous. Fin. Agency v Nomura Holding Am., Inc.*, 104 F Supp 3d 441.)

OPINION OF THE COURT

STEIN, J.

In these appeals stemming from four residential mortgage-backed securities (RMBS) transactions, we are asked to decide whether claims for general contract damages based on alleged breaches of a “no untrue statement” provision can withstand a motion to dismiss based on a contract provision mandating cure or repurchase as the sole remedy for breaches of mortgage loan-specific representations and warranties. We hold that, inasmuch as the claims for general contract damages at issue here are grounded in alleged breaches of the mortgage loan-specific representations and warranties to which the limited remedy fashioned by the sophisticated parties applies, plaintiffs' claims for general contract damages should be dismissed.

I.

In each of the RMBS transactions at issue, defendant Nomura Credit & Capital, Inc. selected and sold a pool of mortgage loans through an affiliated limited-purpose company to a securitization trust in exchange for money raised from investors. Defendant, as sponsor of the securitizations, acquired the mortgage loans from institutions that made the loans to individual borrowers, and then sold the pool of loans to an affiliated purchaser, known as a depositor, with the sale

of each loan pool occurring pursuant to its own mortgage loan purchase agreement (MLPA). In turn, the depositor placed each pool of loans into a separate trust, with plaintiff HSBC Bank USA, National Association (HSBC) as the trustee, in accordance with four pooling and service agreements (PSAs).

A forensic analysis of some of the underlying mortgage loans conducted by certain investors following the subsequent collapse of the housing market allegedly revealed that many of those loans did not conform to representations and warranties made by defendant. After providing notice of the breaches and an opportunity to cure, HSBC, as trustee of the securitization trusts, commenced this litigation by bringing an action on behalf of each trust.

HSBC asserted causes of action for breach of the MLPAs and PSAs, alleging that defendant breached the specific representations and warranties it made concerning the suitability of each of the mortgage loans contained in the loan pools. In addition, HSBC sought specific performance of the remedy that expressly applies to such breaches under the contracts, i.e., that defendant either cure the breaches or repurchase the loans.¹ HSBC also asserted claims seeking general contract damages for alleged breaches of representations made by defendant concerning the transaction as a whole, specifically the representation that the contracts and related documents contained no untrue statements; it is these claims that are before us.

Certain provisions of the MLPAs and PSAs form the core of the dispute between the parties.² Section 7 of the MLPAs is entitled “Representations, Warranties and Covenants of the Seller.” This section includes certain general representations and warranties made by defendant, including, for example, that: it is a corporation duly organized, validly existing and in good standing under the laws of Delaware; it has duly authorized the execution, delivery and performance of the agreement and will be bound by it; and the consummation of the transactions contemplated under the agreement are in the ordinary course of defendant’s business. Section 7 also includes the provision referred to by the parties as the “No Untrue Statement Provision,” which states that

1. Defendant does not challenge before us the lower court rulings pertaining to those causes of action.

2. The parties agree that, for purposes of these actions, the language in the MLPAs and PSAs for each transaction is identical.

“[t]his Agreement does not contain any untrue statement of material fact or omit to state a material fact necessary to make the statements contained herein not misleading. The written statements, reports and other documents prepared and furnished or to be prepared and furnished by the Seller pursuant to this Agreement or in connection with the transactions contemplated hereby taken in the aggregate do not contain any untrue statement of material fact or omit to state a material fact necessary to make the statements contained therein not misleading.”

Section 8 of each MLPA is entitled “Representations and Warranties of the Seller Relating to the Mortgage Loans” (hereinafter, Mortgage Representations). In section 8, defendant made specific representations and warranties about each mortgage loan, including that: information provided to the agencies that rated the certificates representing interests in the securitization trusts, including loan level detail, is true and correct according to the rating agency requirements; no fraud has taken place on the part of the mortgagor or any other party involved in the origination or servicing of the mortgage loan; the mortgage file contains an appraisal of the related mortgaged property which was made by a qualified appraiser pursuant to applicable law and professional standards prior to loan approval; and each mortgage loan is and will be a mortgage loan arising out of the originator’s practice in accordance with the originator’s underwriting guidelines.

Section 9 of the MLPAs is entitled “Repurchase Obligation for Defective Documentation and for Breach of Representation and Warranty.” That section provides that, upon a party’s discovery of any materially defective document or “a breach of any of the representations and warranties contained in Section 8 that materially and adversely affects the value of any Mortgage Loan or the interest therein of the Purchaser or the Purchaser’s assignee,” that party must give notice to defendant. Defendant then must cure the breach or, if that is not possible, repurchase the affected mortgage loan at a purchase price defined under the PSA. Significantly, section 9 (c) states that “[i]t is understood and agreed that the obligations of [defendant] set forth in this [s]ection 9 to cure or repurchase a defective Mortgage Loan . . . constitute the *sole remedies* of the Purchaser against [defendant] respecting a missing docu-

ment or a breach of the representations and warranties contained in [s]ection 8” (emphasis added). This language is referred to by the parties as the “Sole Remedy Provision.”

The PSAs are separate contracts, which refer to certain specific provisions of the MLPAs, but do not incorporate the MLPAs as a whole. Section 2.01 of the PSAs assigns to HSBC, as trustee, the depositor’s rights under the MLPAs “to the extent of the Mortgage Loans sold.”³ Under section 2.03 of each PSA, defendant made certain representations and warranties, including a statement that the Mortgage Representations “are true and correct.” Section 2.03 further provides a remedy for a breach of the section 8 representations and warranties that tracks the language of section 9 of the MLPAs—i.e., that defendant shall cure such breach in all material respects and, if such breach is not so cured, shall repurchase or replace the affected mortgage loans. Section 2.03 also states, in language that parallels section 9 (c) of the MLPAs, that defendant’s obligation to cure, repurchase or replace any mortgage loan to which a breach has occurred shall be the “sole remed[y] against [defendant] respecting such breach” available to the investors, depositor, or trustee. The PSAs do not include provisions comparable to the No Untrue Statement Provision in the MLPAs.

The particular causes of action at issue on this appeal allege that defendant breached the No Untrue Statement Provision in section 7 of the MLPAs by providing certain documents to the trusts—including the mortgage loan files, mortgage loan schedules, and prospectus supplements—that contained “widespread, pervasive and material misrepresentations and omissions with respect to the Mortgage Loans.” HSBC further claims that the results of the investigation of the mortgage loans, including a review of the loan files, “make clear that [defendant’s] breaches of the Mortgage Representations are systemic in nature and adversely affect the vast majority of the [m]ortgage [l]oans in the [t]rust.”

Defendant moved to dismiss the complaints pursuant to CPLR 3211 (a) (1) and (7), arguing that the MLPAs and PSAs both provide that the sole remedy for breaches of the Mortgage Representations is cure or repurchase. Supreme Court granted the motions to dismiss with respect to the causes of action and

3. Although defendant now argues before us that HSBC was assigned only limited rights and, thus, lacks standing to assert claims pursuant to the No Untrue Statement Provision in the MLPAs, that contention was not preserved for our review.

claims for general contract damages based on alleged breaches of the No Untrue Statement Provision of the MLPAs. The Appellate Division reinstated those claims, reasoning that, if the parties intended for the Sole Remedy Provision to “apply to both section 8 *and* section 7 breaches, they certainly could have included such language in the contracts” (133 AD3d 96, 108 [1st Dept 2015] [internal quotation marks and citation omitted]). The Appellate Division granted defendant leave to appeal to this Court, certifying the question of whether its order was properly made.

II.

It is fundamental that, “when parties set down their agreement in a clear, complete document, their writing should as a rule be enforced according to its terms” (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]; *see Reiss v Financial Performance Corp.*, 97 NY2d 195, 198 [2001]), and that courts should read a contract “as a harmonious and integrated whole” to determine and give effect to its purpose and intent (*Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352, 358 [2003]; *see W.W.W. Assoc.*, 77 NY2d at 162). Courts may not, through their interpretation of a contract, add or excise terms or distort the meaning of any particular words or phrases, thereby creating a new contract under the guise of interpreting the parties’ own agreements (*see ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 597 [2015]; *Matter of Westmoreland Coal Co.*, 100 NY2d at 358; *Reiss*, 97 NY2d at 199). In that regard, a contract must be construed in a manner which gives effect to each and every part, so as not to render any provision “meaningless or without force or effect” (*Ronnen v Ajax Elec. Motor Corp.*, 88 NY2d 582, 589 [1996]).

In accordance with these principles, courts must honor contractual provisions that limit liability or damages because those provisions represent the parties’ agreement on the allocation of the risk of economic loss in certain eventualities (*see Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430, 436 [1994] [the parties “may later regret their assumption of the risks of non-performance in this manner; but the courts let them lie on the bed they made”]; 11-58 Corbin on Contracts § 58.16 [2017] [(w)here a contract provides that damages for breach shall not be recoverable beyond a specified sum, it is obvious that the risk of loss beyond that sum is being assumed

by the promisee”]). Contract terms providing for a “sole remedy” are sufficiently clear to establish that no other remedy was contemplated by the parties at the time the contract was formed, for purposes of that portion of the transaction (see *J. D’Addario & Co., Inc. v Embassy Indus., Inc.*, 20 NY3d 113, 118 [2012]), “especially when entered into at arm’s length by sophisticated contracting parties” (*Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377, 384 [1983]).

When reviewing a defendant’s motion to dismiss a complaint for failure to state a cause of action, a court must “give the complaint a liberal construction, accept the allegations as true and provide plaintiffs with the benefit of every favorable inference” (*Roni LLC v Arfa*, 18 NY3d 846, 848 [2011]). Thus, here, we accept as true HSBC’s allegations of pervasive breaches of the representations made as to the mortgage loans and misleading omissions in the transaction documents, including the mortgage loan files, mortgage loan schedules, and prospectus supplements.⁴ Significantly, however, the complaints themselves affirmatively pleaded that the claims based on alleged breaches of the No Untrue Statement Provision were grounded in “misrepresentations and omissions with respect to the Mortgage Loans,” themselves. That is, HSBC claimed that it was defendant’s breaches of the Mortgage Representations—found in section 8 of the MLPAs, and expressly incorporated by reference in section 2.03 of each PSA—that were “systemic in nature.”

Indeed, HSBC alleged that certain appraisals included in the mortgage loan files were inflated and, thus, there was “strong reason to believe” that these appraisals did not conform to federal guidelines and professional standards, which would constitute a breach of the Mortgage Representation that each appraisal on file was so prepared prior to approval of the mortgage loan. Moreover, HSBC claimed that misrepresentations in the mortgage loan files and missing or incomplete loan files constituted breaches of section 8 Mortgage Representa-

4. The mortgage loan files contain, among other things, the borrower’s loan application, documents verifying the borrower’s income, assets, and employment, the borrower’s credit report, an appraisal of the property that secured the loan, and a statement of the property’s occupant status. The mortgage loan schedules, or mortgage loan data tapes, provide certain information about each mortgage loan, including the loan-to-value ratio, occupancy status, and borrower’s credit score. The prospectus supplements include information for potential investors concerning the offer of certificates representing interests in the securitization trusts.

tions, specifically those representations made by defendant that no fraud was involved in the origination or servicing of the mortgage loans and that each mortgage loan arose out of the originator's practice in accordance with its underwriting guidelines. The alleged deficiencies in the mortgage loan schedules were also grounded in violations of the Mortgage Representations—in particular, HSBC claimed that providing the purportedly flawed documents to the rating agencies violated defendant's representation that it had provided such rating agencies with only true and correct information. Similarly, HSBC averred that certain statements in the prospectus supplements constituted breaches of the Mortgage Representations concerning appraisals and underwriting guidelines.

Contrary to the dissenters' assertion that certain allegations of HSBC concerning misstatements in the Mortgage Loan Files (HSBC 2007-3 complaint ¶ 60 [enumerating certain alleged misrepresentations]) are not grounded in alleged breaches of the Mortgage Representations, we need only look to the next paragraph in the complaint to see that they are (*see* HSBC 2007-3 complaint ¶ 61 ["Misrepresentations, *such as those described above*, strongly suggest fraud by either or both the Mortgagor and the originator in the underwriting of the loan, *in breach of MLPA § 8(ii)*" (emphasis added)]). In addition, to find a breach of the No Untrue Statement Provision, Judge Feinman creates out of whole cloth a theory contrary to the allegations penned by HSBC (Feinman, J., dissenting op at 591-592; Rivera, J., dissenting op at 605 [joining that analysis]). For example, HSBC claimed that there was reason to believe that certain appraisals contained in the mortgage loan files were biased, in violation of a Mortgage Representation, namely MLPA § 8 (29) (*see* HSBC 2007-3 complaint ¶ 60). While the dissenters maintain that the mere presence of inflated property values, *if not based on biased appraisals*, could violate the No Untrue Statement Provision and not MLPA § 8 (29), they ignore the fact that, to prevail on the claims actually alleged, HSBC must show that the appraisals *were* biased. The dissenters' contention that HSBC is attempting to prove the opposite of what was actually alleged is not a "liberal" reading of the complaint; nor is that contention relevant to a determination of "whether the facts *as alleged* fit within any cognizable legal theory" (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994] [emphasis added]). Rather than twisting the complaint in an attempt to

read in theories that it does not support, the appropriate inquiry is whether “the instant complaint . . . , although inartfully drafted, adequately alleged for pleading survival purposes” a violation of the No Untrue Statement Provision that is not grounded in a violation of the Mortgage Representations (*id.* at 88). The approach of the dissenters strays far from this principle and actually contradicts HSBC’s allegations; that is, to succeed on a claim that section 7, but not 8, of the MLPA was violated, HSBC would be required to show both inflated property appraisals *and the absence* of the very bias that HSBC is, in fact, seeking to prove. In other words, the cause of action created by the dissenters cannot stand unless HSBC’s allegations fail.

The additional theories developed by Judge Feinman in his dissent and endorsed by Judge Rivera—concerning alleged misstatements of loan-to-value ratios and owner-occupancy status—suffer from a similar flaw (Feinman, J., dissenting op at 592; Rivera, J., dissenting op at 605). HSBC alleged in the complaints that these misstatements violated specific Mortgage Representations. Contrary to the dissenters’ assertion, at no time during the course of this litigation did HSBC itself ever suggest that its complaints alleged the theories that the dissenters now fashion. That is because these theories are untethered to HSBC’s claims “as alleged” and do not represent reasonable “inference[s]” that can be drawn from the actual language in the complaints (*see Leon*, 84 NY2d at 87).

Therefore, even accepting HSBC’s allegations as true and giving HSBC the benefit of every favorable inference, it is readily apparent from the face of the complaints that the alleged breaches of the No Untrue Statement Provision are, in fact, based upon alleged breaches of the Mortgage Representations. However, under both the MLPAs and the PSAs, the sole remedy for breaches of the Mortgage Representations is cure or repurchase. HSBC cannot “subvert this ‘exclusive remedies’ limitation” of liability by simply re-characterizing its claims (*Matter of Westmoreland Coal Co.*, 100 NY2d at 359). Rather, “[r]eading [each contract] as a harmonious and integrated whole” (*id.* at 358) and honoring “the exclusive remedy that the[se] [sophisticated] parties fashioned” (*J. D’Addario*, 20 NY3d at 119), we conclude that the Sole Remedy Provision applies, precluding HSBC from seeking general contract damages for the particular claims challenged on this appeal.

III.

HSBC argues, and Judge Rivera agrees, that there is a fundamental distinction between what HSBC describes as the “broad scope” of the No Untrue Statement Provision, on the one hand, and the more narrow applicability of the Mortgage Representations set forth in the MLPAs, on the other. That is, HSBC contends that the No Untrue Statement Provision encompasses transaction-wide documents, while the Mortgage Representations involve loan-specific representations. We reject that argument, inasmuch as there is no support in the governing agreements for the position of HSBC that the Sole Remedy Provision applies only to occasional mortgage loan-specific breaches, whereas pervasive (or “aggregate”) breaches are addressed under the No Untrue Statement Provision. Likewise, contrary to Judge Rivera’s assertion in her dissent, the agreements do not provide a carve-out from the Sole Remedy Provision where a certain threshold number of loan breaches are alleged. Nor do any terms in the No Untrue Statement Provision—or anywhere else in the agreements—nullify the Sole Remedy Provision for breaches of the section 8 Mortgage Representations by allowing a general contract damages claim where multiple, systemic breaches of those representations are alleged.

In arguing to the contrary, HSBC and Judge Rivera rely on language in the No Untrue Statement Provision that the materials prepared and furnished by defendant pursuant to the agreement, *taken in the aggregate*, do not contain any untrue statement of material fact. That reliance is misplaced. The “taken in the aggregate” language does not relieve HSBC from the Sole Remedy Provision; nor does it create the type of “loan pool-level” representations that HSBC claims are distinct from “loan-level” representations. Rather, the clause is a general provision stating that the documents, taken together, do not contain material misstatements and are not materially misleading. In any event, the Sole Remedy Provision, by its very terms, applies to all breaches of the section 8 Mortgage Representations, and HSBC is complaining only of breaches of those representations. Therefore, HSBC is expressly limited to the more specific Sole Remedy Provision negotiated by the parties, however many defective loans there may be (*see William Higgins & Sons v State of New York*, 20 NY2d 425, 428 [1967]).

Notably, defendant does not claim that all possible breaches of the general representations and warranties set forth in sec-

tion 7 of the MLPAs, including the No Untrue Statement Provision, are subject to the sole remedy of curing or repurchasing the defective loans. Nor does defendant assert that the Sole Remedy Provision would apply to limit the remedies available for breach of section 7 representations that are not based on the mortgage loans and their characteristics, such as, for example, a claim that defendant entered into the contract without proper corporate authority. Rather, defendant concedes that the Sole Remedy Provision would not apply to such breaches based upon the language to which the parties agreed (*cf. Ambac Assur. Corp. v EMC Mtge. LLC*, 121 AD3d 514 [1st Dept 2014]).⁵ However, as previously noted, there are no allegations in the complaints of a breach of the No Untrue Statement Provision in section 7 of the MLPAs to which the Sole Remedy Provision would not apply because all of the claims asserted under section 7 are also breaches of the loan-specific Mortgage Representations contained in section 8.

Finally, contrary to the contentions of HSBC and Judge Rivera, the additional language in section 13 of the MLPAs—providing that remedies are cumulative—does not remove HSBC’s complaints from the ambit of the Sole Remedy Provision. On its face, section 13 pertains solely to the grant of a security interest in the mortgage loans; it does not address remedies for the breach of representations and warranties. HSBC’s interpretation of this language as authorizing an award of general contract damages for the particular breaches asserted here would render the Sole Remedy Provision meaningless, even for disputes that fall squarely under the Mortgage Representations section of the MLPAs. In any event, the more specific Sole Remedy Provision that is narrowly related to breaches of the Mortgage Representations applies here because “[a] specific provision will not be set aside in favor of a catchall clause” (*William Higgins*, 20 NY2d at 428).

Accordingly, the Appellate Division order insofar as appealed from should be modified, without costs, in accordance with this opinion and, as so modified, affirmed, and the certified question answered in the negative.

FEINMAN, J. (dissenting in part). I concur with the majority insofar as it holds that breaches of representations and war-

5. Thus, contrary to Judge Rivera’s assertion, the No Untrue Statement Provision is not rendered “relatively meaningless” (Rivera, J., dissenting op at 604).

ranties that would otherwise be subject to the Sole Remedy Provision cannot escape this provision merely because they are systemic in nature. However, the majority missteps by assuming that every claimed breach of the No Untrue Statement Provision was simply a breach of section 8 which HSBC had “re-characteriz[ed]” as a breach of section 7 (majority op at 584). Rather, in the Series 2006-FM2 and Series 2007-3 complaints, HSBC does not merely allege “pervasive breach” of the section 8 representations—which the majority is right to reject—but also breaches that by their own terms fell outside of the scope of section 8 in the first place.¹

I.

“On a motion to dismiss under CPLR 3211, the pleading is to be given a liberal construction, the allegations contained within it are assumed to be true and the plaintiff is to be afforded every favorable inference” (*Simkin v Blank*, 19 NY3d 46, 52 [2012]).

In the Series 2006-FM2 and Series 2007-3 complaints, HSBC alleges that, “[i]n addition to the pervasive breaches of the [section 8] Mortgage Representations, the Investigation revealed that numerous documents assembled and furnished by Nomura to the Trust—including the Mortgage Loan Files, Mortgage Loan Schedule, and Prospectus Supplement—are rife with material misrepresentations and omissions” in violation of the No Untrue Statement Provision (2006-FM2/2007-3 complaints ¶ 64). Specifically, after an investigation of the loans, HSBC discovered a series of misstatements that fell within three broad categories. First, the Mortgage Loan Files contained inflated property appraisal values (*see id.* ¶ 45), resulting in the loan-to-value (LTV) and combined loan-to-value (CLTV) ratios in the Mortgage Loan Schedule and Prospectus Supplement being understated (*see id.* ¶¶ 50, 57). LTV/CLTV ratios “represent the size of the borrower’s obligation as compared to the value of the property securing the loan. . . . All else being equal, the lower the CLTV (or LTV), the lower the likelihood of default” (*id.* ¶¶ 47, 48). Second, the Mortgage Loan Files and Mortgage Loan Schedule falsely represented certain loans as being owner-occupied (*see id.* ¶¶ 53, 58). “Owner-occupancy is an important factor in analyzing the

1. The non-conclusory allegations in the Series 2006-AF2 and Series 2007-2 complaints were centered on a theory of “pervasive breach” of the section 8 representations themselves, which the majority properly rejects.

credit risk of a particular loan” (*id.* ¶ 51). HSBC’s forensic consultants determined whether a property was “owner-occupied” based on a series of tests, such as whether the borrower received the property tax bill for the property at that address, or whether the property was indicated as the borrower’s permanent residence in lien records (*see id.* ¶ 52). A property was deemed not “owner-occupied” if it failed two or more tests (*see id.* ¶ 53). Third, the Mortgage Loan Files contained “many misrepresentations of critical facts about borrowers, including misrepresentations of income and employment, understatement of existing debt obligations, misstatement of the occupancy status of the property, and misstatements of other basic facts in the Mortgage Loan Files” (*id.* ¶ 60).

The majority does not contest that these misstatements breached the clear, unambiguous terms of the No Untrue Statement Provision. That provision plainly covers untrue statements of material fact contained in “[t]he written statements, reports and other documents prepared and furnished or to be prepared and furnished by [defendant] pursuant to [the mortgage loan purchase agreement (MLPA)] or in connection with the transactions contemplated [thereby]” (MLPA § 7 [5]). Instead, the majority states that these misstatements also breached section 8 of the MLPA, to which the Sole Remedy Provision applies. Therefore, according to the majority, plaintiff cannot seek damages for these claims because allowing them to do so would render the Sole Remedy Provision a nullity, contrary to established canons of contractual interpretation.

If this were true, the majority’s result would be entirely correct. However, a straightforward reading of the relevant contractual language reveals that the Sole Remedy Provision applies only to specifically-enumerated representations contained in section 8, and these representations do not necessarily duplicate all of the false statements that defendant allegedly furnished HSBC.

II.

The Sole Remedy Provision does not say that the repurchase protocol is plaintiff’s sole remedy for misrepresentations “with respect to the Mortgage Loans” (majority op at 582). Rather, it says that the repurchase protocol is the sole remedy “respecting . . . a breach of the representations and warranties *contained in Section 8*” (MLPA § 9 [c] [emphasis added]). The sole remedy provision of the pooling and servicing agreement (PSA)

similarly says that the repurchase protocol is the sole remedy “respecting *such breach*,” that is, “a breach of a representation or warranty set forth in . . . Section 8 of the Mortgage Loan Purchase Agreement” (PSA § 2.03 [c] [emphasis added]). Unlike the MLPAs at issue in some other residential mortgage-backed securities (RMBS) cases, the Sole Remedy Provision does not simply encompass all material misstatements relating to an individual mortgage loan (*cf. Ambac Assur. Corp. v EMC Mtge. LLC*, 121 AD3d 514, 518 [1st Dept 2014] [MLPA “provide(d) that the repurchase protocol is the ‘sole and exclusive remedy’ ‘under this Agreement or otherwise respecting a breach of representations or warranties hereunder with respect to the Mortgage Loans’ ”]; *HSBC Bank USA, N.A. v Merrill Lynch Mtge. Lending, Inc.*, 2016 NY Slip Op 32257[U], *3, *5 [Sup Ct, NY County, Nov. 3, 2016] [containing a “virtually identical” sole remedy provision to the one in *Ambac*]). Rather, by its express terms, the sole remedy provision is limited to misrepresentations that breach at least one of the specifically-listed representations in section 8 of the MLPA.

Section 8, in turn, does not purport to include every conceivable representation concerning the mortgage loans that an investor might find important. Indeed, the Mortgage Loan Schedule, which contained many of the alleged misstatements concerning LTV/CLTV ratios and owner-occupancy statements, was provided to investors “to buttress” these representations (2006-FM2/2007-3 complaints ¶ 35). To the extent relevant to the Series 2006-FM2 and Series 2007-3 complaints, section 8 reads as follows:

“The Seller hereby represents and warrants to the Purchaser that as to each Mortgage Loan as of the Closing Date:

“1. Information provided to the Rating Agencies, including the loan level detail, is true and correct according to the Rating Agency requirements;

“2. No fraud has taken place on the part of the Mortgagor or any other party involved in the origination or servicing of the Mortgage Loan; . . .

“8. Any and all requirements of any federal, state or local law including, without limitation, usury, truth in lending, real estate settlement procedures, consumer credit protection, equal credit opportu-

nity, fair housing, predatory, fair lending or disclosure laws applicable to the origination and servicing of the Mortgage Loans have been complied with in all material respects, and the consummation of the transactions contemplated hereby will not involve the violation of any such laws; . . .

“14. There is no material default, breach, violation event or event of acceleration existing under the Mortgage or the Mortgage Note and no event which, with the passage of time or with notice and the expiration of any grace or cure period, would constitute a material default, breach, violation or event of acceleration, and the Seller has not, nor has its predecessors, waived any material default, breach, violation or event of acceleration; . . .

“29. The Mortgage File contains an appraisal of the related Mortgaged Property which was made prior to the approval of the Mortgage Loan by a qualified appraiser, duly appointed by the related originator and was made in accordance with the Financial Institutions Reform, Recovery, and Enforcement Act of 1989 and the Uniform Standards of Professional Appraisal Practice; . . .

“40. No Mortgage Loan was selected from the mortgage loans in the Seller’s portfolio in a manner so as to affect adversely the interests of the Purchaser; . . .

“42. Each Mortgage Loan is and will be a mortgage loan arising out of the originator’s practice in accordance with the originator’s underwriting guidelines;

“43. As of the Closing Date, the Seller has no knowledge of any fact that should lead it to expect that the Mortgage Loan will not be paid in full when due” (MLPA § 8; *see* 2006-FM2/2007-3 complaints ¶ 27).²

2. This numbering is based on the Series 2006-FM2 MLPA; the Series 2007-3 MLPA contains identical provisions, though the numbering is different. “Seller” refers to defendant, as the sponsor of the securitizations. The “Purchaser” is the depositor, whose interests under the MLPA—including

(n. cont’d)

Just as important as what section 8 says is what it does not say. Unlike some other MLPAs, section 8 does not contain a direct representation that the Mortgage Loan Files, Mortgage Loan Schedule or other loan-specific information sent to the purchaser is true and accurate (*cf. Morgan Stanley Mtge. Loan Trust 2006-14SL v Morgan Stanley Mtge. Capital Holdings LLC*, 2013 NY Slip Op 33623[U], *4-5 [Sup Ct, NY County, Aug. 16, 2013]; *Homeward Residential, Inc. v Sand Canyon Corp.*, 2014 WL 2510809, *2, 2014 US Dist LEXIS 77068, *4-5 [SD NY, May 28, 2014, No. 13 Civ 2107(AT)]). Nor does section 8 contain a representation as to the accuracy of the Prospectus Supplement (*cf. Ambac*, 121 AD3d at 518; *HSBC Bank USA*, 2016 NY Slip Op 32257[U], *5-6). Finally, section 8 does not warrant anything about the loan-level data alleged to have been misrepresented, such as owner-occupancy status or LTV and CLTV ratios (*cf. Blackrock Core Bond Portfolio v U.S. Bank N.A.*, 165 F Supp 3d 80, 85 [SD NY 2016] [“Among the representations and warranties of the seller in the MLPA are the following: . . . the mortgaged properties are lawfully occupied as the principal residences of the borrowers unless specifically identified otherwise; . . . (and) no loan has a loan to value ratio (‘LTV’) of more than 100%”]). In short, nothing in section 8 states that all of the loan-level information provided to plaintiff—such as the LTV/CLTV ratios, owner-occupancy and borrower-specific data set forth, as applicable, in the Mortgage Loan Files, Mortgage Loan Schedule and Prospectus Supplement—is true. It is section 7, and section 7 alone, that furnishes such a warranty.

It is true that, as the majority explains, a breach of section 8 can be *inferred* from the presence of such a misstatement. However, that does not make it the same breach. HSBC alleged, for instance, that, based on the inflated property appraisals, there was “strong reason” to believe that the appraisals were “biased and not independent” and therefore did not conform either to federal guidelines or to the Uniform Standards of Professional Appraisal Practice, breaching MLPA § 8 (29) (2006-FM2/2007-3 complaints ¶ 45). But this is just an inference; the mere presence of those inflated property values does not categorically mean that the appraiser was biased or not independent. Those misstatements can breach section 7

the benefit of the representations and warranties therein—were transferred to plaintiff, as trustee (*see* PSA § 2.01).

(which prohibits the furnishing of such misstatements) without breaching section 8 (which prohibits the inclusion in the Mortgage Loan Files of nonconforming appraisals), and the first breach is not duplicative of the second.

The majority does not apparently dispute the observation “that the mere presence of inflated property values, if not based on biased appraisals, could violate the No Untrue Statement Provision and not MLPA § 8 (29)” (majority op at 583 [emphasis omitted]). However, the majority suggests that HSBC pleaded itself out of what would otherwise be a valid claim under the No Untrue Statement Provision; i.e., that, to prevail on the claims “actually alleged,” HSBC must show that the appraisals *were* nonconforming (*id.* at 583). But the claimed breach of MLPA § 8 (29) is not the furnishing of inaccurate appraisals to HSBC; it is the bias and non-independence of the appraisers responsible for them, for which the misstatements in the loan files are but one piece of evidence. HSBC’s failure to prevail on its additional claim that the appraisals were nonconforming would not defeat its well-pleaded claim that the inaccuracies in the appraisals themselves violated the No Untrue Statement Provision.

In a similar vein, HSBC infers that the misstated CLTV and owner-occupancy figures indicated a deviation from underwriting standards established in the industry, breaching MLPA § 8 (42) (*see* 2006-FM2/2007-3 complaint ¶¶ 57, 58), and that other misstatements in the Mortgage Loan Files “strongly suggest fraud by either or both the Mortgagor and the originator in the underwriting of the loan,” in breach of MLPA § 8 (2) (*id.* ¶ 61). But again, the very presence of those misstatements in the written documents furnished to the trust is a breach of section 7, even if they are the predicate from which a different breach of section 8 (such as non-conformity with applicable underwriting guidelines, or the presence of fraud) can be inferred. Indeed, from the pleadings, it appears that some of the misstated CLTV ratios did not rise to the level of a breach of appraisal and underwriting guidelines. In the Series 2006-FM2 loan pool, there were allegedly 1,751 mortgage loans with “materially understated” CLTV ratios, even though only 1,463 of them were so inaccurate that they “warrant[ed] the conclusion that serious errors occurred in the appraisal process” in violation of MLPA § 8 (42) (2006-FM2 complaint ¶¶ 50, 57).

In addition, plaintiff alleges that, inasmuch as the understated LTV/CLTV ratios and inaccurate owner-occupancy statements were provided to the rating agencies through their inclusion in the Mortgage Loan Schedule and (as to the LTV/CLTV ratios) the Prospectus Supplement, defendant violated MLPA § 8 (1) (*see* 2006-FM2/2007-3 complaints ¶¶ 50, 53). But the delivery of such false statements to the rating agencies prior to closing is an entirely separate act from its delivery to the trust, and the mechanism by which the trust is harmed in each case is different. While the Mortgage Loan Schedule is provided to investors to support the section 8 representations, it is provided to the rating agencies as a basis for the rating assigned to the RMBS, which ultimately influences the price at which they are sold (*see id.* ¶ 35).³

3. The majority's concern that this reading of HSBC's pleadings is "untethered" from the parties' contentions during the course of this litigation is unfounded. The complaints explicitly pleaded that defendant made false statements, not only in MLPA § 8, but in the documents furnished to the trust themselves:

"D. Breaches of the No Untrue Statement Covenant"

"64. In Section 7(5) of the MLPA, Nomura represented that '[t]he written statements, reports and other documents prepared and furnished or to be prepared and furnished pursuant to this Agreement or in connection with the transactions contemplated hereby taken in the aggregate do not contain any untrue statement of material fact or omit to state a material fact necessary to make the statements contained therein not misleading.' *In addition to the pervasive breaches of the [section 8] Mortgage Representations*, the Investigation revealed that numerous documents assembled and furnished by Nomura to the Trust—including the Mortgage Loan Files, Mortgage Loan Schedule, and Prospectus Supplement—are rife with material misrepresentations, misstatements and omissions" (2006-FM2 complaint ¶ 64 [emphasis added]; *accord* 2007-3 complaint ¶ 64).

This "[i]n addition to" language alerts us that HSBC is not *merely* grounding its No Untrue Statement Provision claims on a theory of "pervasive breach" of section 8, but also on the misstatements furnished to it in the accompanying documentation, which misstatements are described elsewhere in the pleadings (*see* 2006-FM2/2007-3 complaints ¶¶ 45, 50, 53, 57, 58, 60 [describing loan-level inaccuracies]; *see also id.* ¶¶ 5, 47, 50, 60 [explaining that the data alleged to have been misrepresented are contained in the Mortgage Loan Files, Mortgage Loan Schedule and Prospectus Supplement]; ¶ 35 ["The No Untrue Statement Covenant applies to, among many other things, the Mortgage Loan Files and the Mortgage Loan Schedule, both of which were critical components of the Securitization"]).

This argument was considered by Supreme Court insofar as its dismissal orders incorporated its earlier decision in *Nomura Asset Acceptance Corp. Alternative Loan Trust v Nomura Credit & Capital, Inc.* (2014 NY Slip Op

(n. cont'd)

“Historically, we have been ‘extremely reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include’” (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 597 [2015], quoting *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]). A contractual provision limiting certain enumerated remedies should not be expanded to preclude other remedies not enumerated (see *Biotronik A.G. v Conor Medsystems Ireland, Ltd.*, 22 NY3d 799, 805 [2014]). Under the well-settled canon of *expressio unius est exclusio alterius* (see *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549, 560 [2014]; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396, 403-404 [1984]; *Woodmere Academy v Steinberg*, 41 NY2d 746, 750 [1977]), and in the absence of any broader language like that in *Ambac* (121 AD3d at 518), the sole remedy clause applies to

31671[U] [Sup Ct, NY County, June 26, 2014]; see *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 2014 NY Slip Op 33937[U], *1 [Sup Ct, NY County, July 17, 2014] [dismissing the third cause of action “(o)n the authority and reasoning relied on” in *Nomura Asset Acceptance Corp. Alternative Loan Trust*]; *Nomura Home Equity Loan, Inc., Series 2007-3 v Nomura Credit & Capital, Inc.*, 2014 NY Slip Op 33936[U] [Sup Ct, NY County, July 17, 2014] [same]).

“The complaint does not allege any breach of the No Untrue Statement provision that was not also a breach of the Mortgage Representations to which the sole remedy provisions apply. Rather, the complaint pleads that pervasive breaches of the Mortgage Representations breached the No Untrue Statement Provision. *The only other alleged breach of the No Untrue Statement provision is that ‘the Mortgage Loan Schedule did not contain true and accurate loan-level information regarding the Mortgage Loans.’* As described in the complaint, however, the Mortgage Loan Schedule ‘identifies and provides detailed information about the characteristics of each Mortgage Loan, including the loan-to-value ratio, occupancy status, and borrower’s credit score.’ The statements in the Mortgage Loan Schedule about the characteristics of the mortgage loans thus duplicate the Mortgage Representations about the characteristics of the loans” (*Nomura Asset Acceptance Corp. Alternative Loan Trust, Series 2006-S4*, 2014 NY Slip Op 31671[U], *18-19 [emphasis added and citations omitted]).

As explained above, however, this reasoning was based on a flawed reading of the MLPAs at issue here, as statements concerning LTV ratios, occupancy status and credit score do not necessarily “duplicate” section 8.

HSBC raised this point in its brief before this Court (see brief for respondent at 18-19) and at oral argument, citing specifically to paragraph 64 of the 2006-FM2/2007-3 complaints (reproduced above) when asked where HSBC alleged a breach of section 7 that was not also a breach of section 8.

every claim arising under a specific subsection of section 8, but not to those that merely fall within that section's penumbras.

The majority's holding puts similarly-situated plaintiffs in an unenviable dilemma. If they plead too little, they may not be able to make out a breach of section 8 or avail themselves of the repurchase protocol, as "bare legal conclusions" are not entitled to consideration (*Connaughton v Chipotle Mexican Grill, Inc.*, 29 NY3d 137, 141 [2017]). If they plead too much, they will have boxed themselves out of an otherwise valid claim under the No Untrue Statement Provision, though the claim could be supported by a reasonable view of the facts. Even though HSBC may have been furnished with misstatements that breached section 7 but not section 8, and even though HSBC affirmatively pleaded that these misstatements violated section 7, the majority's holding today leaves it without a remedy for those misstatements. As a matter of doctrine, this position is untenable.

Accordingly, HSBC adequately pleaded breaches of the No Untrue Statement Provision that do not duplicate breaches of section 8, and which should therefore survive defendant's motion to dismiss (*see Campaign for Fiscal Equity v State of New York*, 86 NY2d 307, 318 [1995] ["If we determine that plaintiffs are entitled to relief on any reasonable view of the facts stated, our inquiry is complete and we must declare the complaint legally sufficient"]; *accord Aristy-Farer v State of New York*, 29 NY3d 501, 509 [2017]).

III.

I would therefore modify so much of the order of the Appellate Division as denied defendant's motions to dismiss the third cause of action under the Series 2006-FM2 and Series 2007-3 complaints, to permit those claims to proceed solely to the extent that they are not based on statements contained in specific subsections of section 8. I am otherwise in agreement with the majority opinion.

RIVERA, J. (dissenting). Plaintiff, HSBC Bank USA, National Association, as trustee of four residential mortgage loan securitization trusts, sued defendant, Nomura Credit & Capital, Inc., for misrepresentations regarding business practices and certain securitization transactions. Liberally reading those claims, as we must (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582, 591 [2005]), plaintiff

sufficiently sets forth allegations that defendant mischaracterized the securitization process in violation of a clause in section 7 of the governing mortgage loan purchase agreements (MLPA), which the parties call the “No Untrue Statement Provision.” These allegations are independent and distinct from claims based on specific characteristics and idiosyncracies of any particular individual mortgage loan, which would be subject to the “Sole Remedy Provision” contained in section 8 of the MLPA and foreclose plaintiff’s claims for general damages under the No Untrue Statement Provision. Contrary to the majority, I conclude that plaintiff’s complaints sufficiently plead cognizable claims for damages based on breaches of section 7.

I.

These appeals from four orders involving separate securitizations are yet another installment in a series of lawsuits spawned by the financial crisis that began in 2007.¹ Like many of the lawsuits prior, this involves claims of widespread misrepresentations and bad business practices in the residential mortgage-backed securities (RMBS) industry, behavior that resulted in huge financial losses (*see e.g. Oddo Asset Mgt. v Barclays Bank PLC*, 19 NY3d 584 [2012]; *Bank of N.Y. Mellon v WMC Mtge., LLC*, 151 AD3d 72 [1st Dept 2017]; *Loreley Fin. [Jersey] No. 3, Ltd. v Morgan Stanley & Co. Inc.*, 146 AD3d 683 [1st Dept 2017]; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts. Corp.*, 143 AD3d 15 [1st Dept 2016]; *U.S. Bank N.A. v GreenPoint Mtge. Funding, Inc.*, 147 AD3d 79 [1st Dept 2016]; *Morgan Stanley Mtge. Loan Trust 2006-13ARX v Morgan Stanley Mtge. Capital Holdings LLC*, 143 AD3d 1 [1st Dept 2016]; *IKB Intl. S.A. v Morgan Stanley*, 142 AD3d 447 [1st Dept 2016]; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581 [2015]; *Bank of N.Y. Mellon v WMC Mtge., LLC*, 136 AD3d 1 [1st Dept 2015], *affd* 28 NY3d 1039 [2016]; *Ambac Assur. Corp. v EMC Mtge. LLC*, 121 AD3d 514 [1st Dept 2014]; *CIFG Assur. N. Am., Inc. v Goldman, Sachs & Co.*, 106 AD3d 437 [1st Dept

1. This consolidated appeal involves four separate actions commenced by HSBC on behalf of four separate mortgage loan trusts known as Series 2006-FM2, Series 2007-3, Series 2006-AF2, and Series 2007-2. The trusts were managed by plaintiffs-respondents HSBC on behalf of Nomura Home Equity Loan, Inc. and Nomura Asset Acceptance Corporation. Trusts Series 2006-FM2, Series 2007-3, and Series 2007-2 belong to Nomura Home Equity, and trust Series 2006-AF2 belongs to Nomura Asset Acceptance Corporation.

2013]; *MBIA Ins. Corp. v Credit Suisse Sec. [USA] LLC*, 103 AD3d 486 [1st Dept 2013]; *MBIA Ins. Corp. v Countrywide Home Loans, Inc.*, 87 AD3d 287 [1st Dept 2011]). As in numerous RMBS cases, plaintiff alleges misconduct across various, sophisticated investment and banking entities, both domestic and international (*see e.g. Morgan Stanley Mtge. Loan Trust 2006-13ARX v Morgan Stanley Mtge. Capital Holdings LLC*, 143 AD3d 1, 8-9 [1st Dept 2016] [(“W)e have recognized that allegations of serious and pervasive misrepresentations regarding the level of risk in an investment with widespread, massive failures will support a claim for contractual gross negligence. In yet other contexts, we have recognized that this type of alleged conduct in substantially similar investments would even support a claim of fraud” (citations omitted))]).

The instant appeals involve the securitization of RMBS by defendant. Securitization is a method by which several mortgage loans are transferred into a trust that issues debt securities to investors. As underlying mortgages are paid off by their respective borrowers, the proceeds are used to make payments on the debt securities issued to investors in accordance with a priority scheme provided for in the securitization documents. The process begins with banks lending to individual borrowers. Next, a “sponsor” reviews the loan origination files (including borrowers’ applications), selects and acquires loans, and sells those loans to an entity known as the “depositor.” The sale agreement between the sponsor and the depositor is known as a mortgage loan purchase agreement (MLPA). The depositor transfers (or “deposits”) the loans into a trust—which is controlled by a “trustee” for the benefit of its security holders—in exchange for debt securities in the trust. The agreement governing the depositor’s transfer of the loans to the trust in exchange for debt securities is the “pooling and service agreement” or “PSA,” which is entered into between, among other parties, the sponsor, depositor and trustee. Ultimately, the depositor sells the debt securities (known as certificates) to investors (the certificate holders) (*Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 133 AD3d 96, 99 [1st Dept 2015]; *Ace Sec. Corp. Home Equity Loan Trust, Series 2007-HE3 ex rel. HSBC Bank USA, N.A. v DB Structured Prods., Inc.*, 5 F Supp 3d 543, 547-548 [SD NY 2014]).

Investors, as certificate holders, thereby receive distributions of principal and interest income collected on the mortgage loans held by the trust. Securitization thus enables financial

diversification and transfer of risk from mortgage lenders to investors. By pooling loans, securitization can make for an attractive investment. However, investors rely on the sponsor's warranties and representations—as the entity responsible for assessing and selecting the loans to be included in the trust—to ensure that the loan pools are as they purport to be.² Indeed, the purpose of securitization is to convert loans, with their attendant individualized risks, into tradeable securities. Plaintiff's complaints must be considered in the context of this market reality.

II.

Defendant is the sponsor of four mortgage loan trusts in these appeals. Plaintiff is the trustee of each of those trusts and, under each applicable PSA, the assignee of the depositor's rights under the MLPA “to the extent of the Mortgage Loans sold” in connection with the applicable trust. Plaintiff sued defendant for breaches of the MLPA and PSA associated with each trust, including causes of action for damages for breach of section 7 of the MLPAs. Defendant moved to dismiss the complaints pursuant to CPLR 3211 (a) (1) and (7). Supreme Court granted defendant's motions to dismiss with respect to the causes of action for damages under section 7 of the MLPA (see *Nomura Home Equity Loan, Inc., Series 2007-3 v Nomura Credit & Capital, Inc.*, 2014 NY Slip Op 33936[U] [Sup Ct, NY County, July 17, 2014]; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 2014 NY Slip Op 33937[U] [Sup Ct, NY County, July 17, 2014]; *Nomura Asset Acceptance Corp. v Nomura Credit & Capital, Inc.*, 2014 NY Slip Op 33609[U] [Sup Ct, NY County, July 18, 2014] [trial order]; *Nomura Home Equity Loan Trust, Inc. v Nomura Credit & Capital, Inc.*, 2014 NY Slip Op 32604[U] [Sup Ct, NY County, July 18, 2014] [trial order]). In a consolidated appeal, the Appellate Division modified and affirmed as modified, holding that the motion court erred in disallowing the section 7 claims (see *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 133 AD3d 96 [1st Dept 2015]). I

2. “Secondary market purchasers also demand contractual protections to mitigate the [high-risk loans] problem.” “[I]nstitutional investors usually have to make snap judgments whether to invest without time for any substantive due diligence; most simply rely on lenders, underwriters, and rating agencies” (Kathleen C. Engel & Patricia A. McCoy, *Turning a Blind Eye: Wall Street Finance of Predatory Lending*, 75 Fordham L Rev 2039, 2061, 2068 [2007] [citation omitted]).

disagree with the majority that those claims should be dismissed.

These appeals involve the interplay of the following sections of the securitization agreements. Section 7 (5) of the MLPA, the No Untrue Statement Provision, assures investors that

“[t]his Agreement does not contain any untrue statement of material fact or omit to state a material fact necessary to make the statements contained herein not misleading. The written statements, reports and other documents prepared and furnished or to be prepared and furnished by [Nomura] pursuant to this Agreement or in connection with the transactions contemplated hereby taken in the aggregate do not contain any untrue statement of material fact or omit to state a material fact necessary to make the statements contained therein not misleading.”

Section 8 of the MLPA contains 62 representations and warranties, each of which is made “as to each Mortgage Loan.” These include the requirement that Nomura provide rating agencies with correct information (MLPA § 8 [1]), a warranty against a default on an underlying mortgage (MLPA § 8 [14]), and a representation that each mortgage loan was subject to an independent appraisal before it was approved (MLPA § 8 [29]).

Section 9 of the MLPA prescribes remedies in the event of “a breach of any of the representations and warranties contained in Section 8 that materially and adversely affects the value of any Mortgage Loan or the interest therein of the Purchaser or the Purchaser’s assignee, transferee or designee” (MLPA § 9 [a]). Under this section, unless defendant can cure the defect within a contractually prescribed period of time, defendant must either repurchase the affected mortgage loan or remove and substitute that mortgage loan from the trust (*see id.*). Further, “the obligations of [defendant] set forth in this Section 9 to cure or repurchase a defective Mortgage Loan . . . constitute the sole remedies . . . against [defendant] respecting a missing document or a breach of the representations and warranties contained in Section 8” (*id.* § 9 [c]). However, MLPA section 13 states that “[a]ll rights and remedies . . . under this Agreement are distinct from, and cumulative with, any other rights or remedies under this Agreement or afforded by law or equity and all such rights and remedies may be exercised concurrently, independently or successively” (MLPA § 13).

Section 2.03 (b) of the PSA contains customary transaction-wide representations similar to those contained in section 7 of the MLPA (none of which are implicated in this case). Unlike section 7, however, PSA § 2.03 (b) does not contain a No Untrue Statement Provision. Instead, section 2.03 (b) of the PSA provides that in the event that a party discovers a breach of the loan-specific representations and warranties set forth in section 8 of the MLPA, or of certain transaction-wide representations in PSA § 2.03 (b), and the breach “materially and adversely affects the interests of the Certificateholders in any Mortgage Loan,” defendant must either repurchase or substitute the affected mortgage loan. As in section 9 of the MLPA, this repurchase-or-substitution covenant “shall constitute the sole remedies . . . respecting such breach.” (PSA § 2.03 [c].)

Unlike section 8 of the MLPA and section 2.03 (b) of the PSA, which specifically limit remedies for claims arising from violations of the warranties within those provisions, section 7 has no such limitations on its remedy or scope. It clearly covers any and all misrepresentations related to the entire agreement, meaning the entire transaction. Thus, as is undisputed by the parties, where there is a breach of the representations and warranties of section 8 concerning an individual mortgage loan, plaintiff is limited to the sole remedy of cure or repurchase. Yet that remedy is not exclusive of other available remedies for different breaches of the securitization agreement.

III.

A. Applicable Legal Standards on Defendant’s Motion to Dismiss

In assessing the adequacy of a “motion to dismiss pursuant to CPLR 3211, the pleading is to be afforded a liberal construction. We accept the facts as alleged in the complaint as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994] [citation omitted]; see also *AG Capital*, 5 NY3d at 591; *Rushaid v Pictet & Cie*, 28 NY3d 316, 327 [2016]). “Unlike on a motion for summary judgment, where the court ‘searches the record and assesses the sufficiency of the parties’ evidence,’ on a motion to dismiss the court ‘merely examines the adequacy of the pleadings’” (*Davis v Boenheim*, 24 NY3d 262, 268 [2014], quoting *State of New York v Barclays Bank of N.Y.*, 151

AD2d 19, 21 [3d Dept 1989], *affd* 76 NY2d 533 [1990]). Whether the plaintiff “can ultimately establish its allegations is not part of the calculus in determining a motion to dismiss” (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]), and therefore a plaintiff opposing a motion to dismiss need not prove entitlement to recovery.

The moving party carries a heavy burden in a CPLR 3211 (a) (1) claim, as it cannot prevail unless “the documentary evidence conclusively refutes plaintiff’s . . . allegations” (*AG Capital*, 5 NY3d at 591 [reversing grant of motion to dismiss]; *see also J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324, 334-335 [2013]), “conclusively establish[ing] a defense to the asserted claims as a matter of law” (*Carlson v American Intl. Group, Inc.*, 30 NY3d 288, 301 [2017] [holding defendants failed to show plaintiff had not “manifest(ed) any cause of action cognizable at law” or submitted “documentary evidence (to) conclusively establish() a defense to the asserted claims as a matter of law” to satisfy CPLR 3211 (a) (1) (citations omitted)]). Further, in assessing motions pursuant to CPLR 3211 (a) (7), “any deficiencies in the complaint may be amplified by supplemental pleadings and other evidence” (*AG Capital*, 5 NY3d at 591 [citation omitted]), as “the criterion is whether the proponent of the pleading has a cause of action, not whether he has stated one” (*Carlson*, 30 NY3d at 298, quoting *Leon*, 84 NY2d at 88). Courts should deny motions to dismiss in breach-of-contract claims as premature when factual development may impact their resolution (*see e.g. J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324 [2013] [reversing dismissal of a breach-of-contract claim because application of defense depended on the facts]).

Here, plaintiff alleges various breaches of the securitization agreements. Under our well-established rules of contract interpretation, courts look to the plain language of contracts when interpreting their meaning (*see Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430 [1994]; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). A contract should be read as a fully integrated whole, with no provision rendered meaningless (*see Matter of Bombay Realty Corp. v Magna Carta*, 100 NY2d 124, 127 [2003] [“All parts of a contract must be read in harmony to determine its meaning”]; *Ronnen v Ajax Elec. Motor Corp.*, 88 NY2d 582, 589 [1996] [“We have long and consistently ruled against any construction which would render a contractual provision meaningless or without force or ef-

fect”)). “[W]here two seemingly conflicting contract provisions reasonably can be reconciled, a court is required to do so and to give both effect” (*Meehan v County of Suffolk*, 144 AD3d 642, 644 [2d Dept 2016] [emphasis omitted]; accord *National Conversion Corp. v Cedar Bldg. Corp.*, 23 NY2d 621, 625 [1969] [“All parts of an agreement are to be reconciled, if possible, in order to avoid inconsistency”])).

B. Plaintiff’s MLPA § 7 Transaction-Wide Misrepresentation
Claims

Plaintiff asserts that it sufficiently alleges a violation of the No Untrue Statements Provision of section 7 in connection with all four securitizations. It further claims that due to the violations, it may seek damages sounding in breach of contract. The majority rejects this view of the complaints and instead adopts defendant’s argument that plaintiff’s claims amount to violations of section 8, rather than section 7. As such, plaintiff would be limited to the sole remedies of repurchase or cure (majority op at 582-583). I disagree. Plaintiff’s allegations of transaction-wide misrepresentations concerning the respective loan pools are not mere duplicative recitations of breaches of section 8 warranties and representations. Instead, plaintiff’s section 7 claims concern defendant’s characterizations, through its statements and documentation, of the securitizations as suitable investment opportunities, the reliability of defendant’s business practices, and the nature and quality overall of the loan pools. The misrepresentations alleged by plaintiff as violations of the No Untrue Statement Provision go to the core of the securitizations.

For example, plaintiff alleges transaction-wide misrepresentations and misleading omissions in certain documents furnished by defendant as part of the securitization. These included false statements about defendant’s business operations, loan underwriting, and quality control procedures contained in the Prospectus Supplement, as well as misrepresentations of the loan pool’s overall characteristics, owner-occupancy status, and borrower credit scores in the Mortgage Loan Schedule. Section 7, which assures the investor that the furnished documents contain no untrue statements and that the transactions in the aggregate are not misleading, applies to these documents and the statements contained therein.

Further in support of its claims, plaintiff alleged that the defects in the mortgage loans were so pervasive in nature,

numbering in the thousands and constituting between 45% and 83% of the samples reviewed, that these defects impaired plaintiff's interests in the loan pool as an entirety, in breach of the No Untrue Statement Provision. For example, plaintiff alleges that "revelations regarding [defendant's] mortgage loan securitization practices indicate," "given the thousands of breaches identified to date and the losses suffered by the Trust," that these "breaches pervade the entire Trust." One complaint alleges:

"The massive number of defective loans that Nomura sold to the Trust far exceeds anything contemplated by the agreements. A handful of breaches (and a handful of cures, substitutions, and/or repurchases) in a pool of 2,717 mortgage loans is perhaps to be expected. Some 1,600 separate breaches, many of which Nomura discovered prior to closing, are not."

In contrast, section 8 representations and warranties do not assure the absence of systemic problems with the securitization. Nor do some small number of individual defective loans destabilize the loan pools or exponentially enhance the investors' risks, as plaintiff alleges occurred with these securitizations.

Moreover, sections 8 and 9 of the MLPA are both written in the singular and refer exclusively to breaches of the representations and warranties contained in section 8. Section 8 states that the representations and warranties therein apply "as to each Mortgage Loan," while section 9 (c) limits the sole remedies of cure and repurchase of "a defective Mortgage Loan . . . respecting a missing document or breach of the representations and warranties contained in section 8." Section 2.03 of the PSA also provides that the sole remedy is limited to section 8 violations and not to breaches of any other provision: section 2.03 (c) refers back to the breach of any representation or warranty in section 8 "that materially and adversely affects the interests of the Certificateholders in any Mortgage Loan." Additionally, section 13 of the MLPA states that "[a]ll rights and remedies of the [depositor] under this Agreement are distinct from, and cumulative with, any other rights or remedies under this Agreement or afforded by law or equity" (MLPA § 13). This provides for aggregation, and the parties must have anticipated potential claims based on combined misrepresentations and loan defects. If the parties meant the sole remedy

clause to apply to transaction-wide misrepresentations they would have said so. They did not, and, as a consequence, these sophisticated parties are bound to the language of the contract and their bargained for allocation of risk (*Metropolitan Life Ins.*, 84 NY2d at 436).

Contrary to the majority's assertion, this interpretation of the interplay among the PSA and sections 7 and 8 of the MLPA does not render the Sole Remedy Clause meaningless or superfluous. The limited remedy contained in that clause is available on an ad hoc, loan-specific basis. The flaw in the majority's analysis is laid bare by the fact that plaintiff cannot claim a systemic problem with the securitization loan pool by pointing to any particular loan's failure, which of course is necessary to constitute a breach of the warranties and representations in section 8. Inversely, the fact that widespread loan defects may serve as evidence of plaintiff's transaction-based claims is of no consequence at the pleading stage, where the inquiry is solely whether plaintiff has alleged facts supporting any cognizable theory for relief. Notably, although the majority's approach would permit claims under section 8, it would render the No Untrue Statement Provision relatively meaningless and perversely incentivize the very abusive business practices that led to the financial crash.

Ultimately, if the risk of the loans in the pool had been correctly calculated, then it would make sense for defendant to repurchase or replace loans that violate the warranties, as this would be a small number. Yet, this scheme does not address large-scale breaches where defendant intentionally manipulated the risk assessment by waiving in non-conforming loans. Interpreting section 7 to encompass transaction-wide claims furthers the purpose of the securitization because investors would not buy in if they could not rely on defendant's business practices to adequately document and assess risk.

As plaintiff asserts:

"Given its unique vantage point as the securitization sponsor with control over which loans were selected for securitization and with access to the underwriting information pertaining to each such loan, Nomura was the *only* transaction party that was in a position to accept the risks associated with defects in the Mortgage Loans, including defects in the underwriting process itself. Moreover, it was

market practice for responsible parties—such as the securitization sponsor—to accept those risks, and Nomura did so.”

Without assurances as to the characteristics and quality of the individual loans, the overall market strength of the loan pools, and the nature of the practices governing the securitization process, investors would not purchase the debt securities: because “investors were unable to conduct loan-by-loan due diligence before purchasing the Certificates,” if Nomura had not warranted the pools, “the Securitization would not have been consummated as investors had no other means to independently verify the quality of the Mortgage Loan collateral.”

C. Plaintiff’s Other MLPA § 7 Claims

I join section II of Judge Feinman’s dissent and agree with his comprehensive analysis of the section 7 claims that are not subject to the Sole Remedy Provision. Even under the majority’s interpretation of the MLPA and PSA, several of the loan-level claims alleged by plaintiff fall outside the scope of the Sole Remedy Provision. Specifically, plaintiff alleges that, “[i]n addition to the pervasive breaches of the [section 8] Mortgage Representations, the Investigation revealed that numerous documents assembled and furnished by [defendant] to the Trust—including the Mortgage Loan Files, Mortgage Loan Schedule, and Prospectus Supplement—are rife with material misrepresentations, misstatements and omissions” in violation of the No Untrue Statement Provision. Additionally, plaintiff asserts that the Mortgage Loan Files contained “many misrepresentations of critical facts about borrowers including misrepresentations of income and employment, understatement of existing debt obligations, misstatement of the occupancy status of the property, and misstatements of other basic facts in the Mortgage Loan Files.”

Contrary to the majority’s narrow interpretation of the complaint (majority op at 582-583), such claims may be read as asserting breaches of section 7 that do not necessarily breach the representations and warranties contained in section 8. Neither law nor logic support the majority’s contention that the assertion of this category of section 7 claims would render it impossible for plaintiff to establish a claim based on a section 8 breach (majority op at 583). As Judge Feinman explains in detail, plaintiff alleges statements that are untrue but that may not breach a section 8 representation as well (Feinman,

J., dissenting op at 588-595).³ These are sophisticated parties, who would not have included section 7 if it merely repeated the representations of section 8, nor, by the majority's reading, foreclosed a claim based on an untrue statement in order to preserve a claim under section 8. The majority's antagonistic interpretation is contrary to our pleading rules and ignores that the parties could not have set forth every potential untrue statement in section 8's warranties.

It is impossible at the pleading stage to determine whether plaintiff will prove these section 7 claims. Nevertheless, on a motion to dismiss the question is not whether plaintiff will ultimately prevail but whether plaintiff has alleged a cognizable claim (*Carlson*, 30 NY3d 288). "If [the court] find[s] that the plaintiff is entitled to a recovery upon any reasonable view of the stated facts, [its] judicial inquiry is complete and [it] must declare the plaintiff's complaint to be legally sufficient" (*219 Broadway Corp. v Alexander's, Inc.*, 46 NY2d 506, 509 [1979]; see also *Davis v Boenheim*, 24 NY3d 262, 268 [2014]). Therefore, affording the pleading a liberal construction, accepting the facts alleged as true, and according plaintiff the benefit of every possible favorable inference, plaintiff has sufficiently asserted a claim for relief based on alleged untrue statements contained in various documents submitted to the trust. Since defendant failed to "conclusively establish[] a defense to the asserted claims as a matter of law" (*Carlson*, 30 NY3d at 298 [citation omitted]), it was error to dismiss plaintiff's causes of action for damages based on alleged breaches of section 7 that are distinct from breaches of section 8.

IV.

For the reasons I have discussed, plaintiff's claims for relief from violations of the No Untrue Statement Provision are properly pleaded. The Appellate Division order should be affirmed, and the certified question answered in the affirmative.

3. For example, as Judge Feinman discusses (Feinman, J., dissenting op at 591-592), the plaintiff claims there was "strong reason" to believe that the property appraisals were "biased and not independent" because the appraisals were inflated. While the mere inclusion of inflated property values would breach section 7, only if the appraiser were actually biased or not independent would section 8 (which prohibits the inclusion of biased appraisals in the Mortgage Loan Files) be breached.

Judges FAHEY, WILSON, CENTRA* and BALKIN* concur; Judge FEINMAN dissents in part in an opinion, in which Judge RIVERA concurs in part in a separate dissenting opinion; Chief Judge DiFIORE and Judge GARCIA taking no part.

Order, insofar as appealed from, modified, without costs, in accordance with the opinion herein and, as so modified, affirmed and certified question answered in the negative.

* Designated pursuant to NY Constitution, article VI, § 2.

[92 NE3d 766, 69 NYS3d 543]

B.F. et al., Respondents, v REPRODUCTIVE MEDICINE ASSOCIATES
OF NEW YORK, LLP, et al., Appellants.

MARIE DENNEHY et al., Respondents, v ALAN B. COPPERMAN,
M.D., et al., Appellants.

Argued November 15, 2017; decided December 14, 2017

SUMMARY

APPEALS, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 17, 2015. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (Joan B. Lobis, J.), insofar as appealed from by defendants as limited by the briefs, as had denied defendants' motions to dismiss the second cause of action against them sounding in medical malpractice and to strike the demand for punitive damages. The following question was certified by the Appellate Division for both appeals: "Was the order of the Supreme Court, which was modified in part and otherwise affirmed by this Court, properly made?"

APPEALS, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 17, 2015. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (Joan B. Lobis, J.; op 2013 NY Slip Op 33289[U] [2013]), insofar as appealed from by defendants as limited by the briefs, as had denied defendants' motions to dismiss the first, second, third, fifth and sixth causes of action. The following question was certified by the Appellate Division for both appeals: "Was the order of this Court, which modified in part and otherwise affirmed the order of the Supreme Court, properly made?"

B.F. v Reproductive Medicine Assoc. of N.Y., LLP, 136 AD3d 73, affirmed.

Dennehy v Copperman, 134 AD3d 543, affirmed.

HEADNOTE

Limitation of Actions — Medical Malpractice — When Cause of Action for Extraordinary Expenses Claim Accrues

The cause of action permitting parents to recover the extraordinary expenses incurred to care for a disabled infant who, but for a physician's negligent

failure to detect or advise on the risks of impairment, would not have been born, accrues upon the birth of the child. The action's gravamen is that, but for the defendants' negligence, the parents would not have conceived or given birth to a child requiring extraordinary expenses for treatment and care. Plaintiffs in both actions here alleged that, by failing to take steps to detect that the egg donor that they had selected was a carrier for fragile X and therefore that the embryos may have had the fragile X trait, defendants left the parents in an uninformed state as to whether to avert pregnancy or birth—and the associated costs resulting from birth. Given the nature of those allegations, it follows that until the alleged misconduct results in the birth of a child, there can be no extraordinary expenses claim. Moreover, the legally cognizable injury is that the parents will incur extraordinary expenses to care for and treat the child, which arise as a consequence of the birth, not just the conception. The date of birth appropriately balances the competing statute of limitations policy concerns—it gives parents a reasonable opportunity to bring suit while at the same time limiting claims in a manner that provides certainty and predictability to medical professionals engaged in fertility treatment and prenatal care. CPLR 214-a—which provides that a medical malpractice action must be commenced within 2½ years of “the act, omission or failure complained of”—does not bar that outcome. Although, in the wake of CPLR 214-a and its companions providing for accrual upon the discovery of malpractice in certain situations, the legislature has exclusive authority to determine when the discovery rather than the traditional rule should apply, nothing in the legislative history suggests an intent to constrict judicial authority to otherwise define when a cause of action accrues, or to mandate that the limitations period should commence prior to accrual.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d Limitation of Actions §§ 405–406; AM JUR 2d Physicians, Surgeons, and Other Healers §§ 298, 300; AM JUR 2d Prenatal Injuries; Wrongful Life, Birth, or Conception §§ 63–64, 117.
- CARMODY-WAIT 2d Limitation of Actions §§ 13:65, 13:175, 13:316–13:318.
- DOBBS LAW OF TORTS §§ 242, 369.
- McKINNEY'S, CPLR 214–a.
- NY JUR 2d Limitations and Laches §§ 236–237; NY JUR 2d Malpractice §§ 103, 247, 414.
- NEW YORK LAW OF TORTS §§ 13:11–13:12, 13:17, 13:25, 19:29.
- SIEGEL, NY PRAC §§ 35, 42.

ANNOTATION REFERENCES

When statute of limitations commences to run against actions against physicians, surgeons, or dentists for malpractice. 144 ALR 209.

When statute of limitations commences to run against malpractice action against physician, surgeon, dentist, or similar practitioner. 80 ALR2d 368.

Tort liability for wrongfully causing one to be born. 83 ALR3d 15.

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POINTS OF COUNSEL

Mauro Lilling Naparty LLP, Woodbury (*Caryn L. Lilling* and *Katherine Herr Solomon* of counsel), and *Peter C. Kopff, LLC*, for Reproductive Medicine Associates of New York, LLP, appellant in the first above-entitled action, and for Reproductive Medicine Associates of New York, LLP, and another, appellants in the second above-entitled action. The Appellate Division improperly created a third exception to the medical malpractice statute of limitations, which amounts to a discovery rule. (*Plummer v New York City Health & Hosps. Corp.*, 98 NY2d 263; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Railroad Telegraphers v Railway Express Agency, Inc.*, 321 US 342; *Wood v Carpenter*, 101 US 135; *Walton v Strong Mem. Hosp.*, 25 NY3d 554; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217; *Rizk v Cohen*, 73 NY2d 98; *Matter of Steinhardt v Johns-Manville Corp.*, 54 NY2d 1008; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212; *LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207.)

Ledy-Gurren Bass D’Avanzo & Siff, LLP, New York City (*Nancy Ledy-Gurren* of counsel), and *Aaronson Rappaport Feinstein & Deutsch, LLP*, New York City (*Elliott J. Zucker* of counsel), for Alan B. Copperman, M.D., appellant in the first and second above-entitled actions. The Appellate Division usurped its authority in creating a new, statutorily-unauthorized exception to the medical malpractice statute of limitations. (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Walton v Strong Mem. Hosp.*, 25 NY3d 554; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217; *LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207; *Matter of Higby v Mahoney*, 48 NY2d 15; *Fleishman v Lilly & Co.*, 62 NY2d 888; *Helgans v Plurad*, 255 AD2d 554; *Goldsmith v Howmedica, Inc.*, 67 NY2d 120; *LaBello v Albany Med. Ctr. Hosp.*, 85 NY2d 701; *Jorge v New York City Health & Hosps. Corp.*, 164 AD2d 650.)

Lieff Cabraser Heimann & Bernstein, LLP, New York City

(Wendy R. Fleishman, Rachel J. Geman and Kelly K. McNabb of counsel), for respondents in the first above-entitled action. I. The First Department's order finding that the statute of limitations does not accrue in a wrongful birth action until the date of birth is in harmony with the statute and the case law. (*Graham County Soil & Water Conservation Dist. v United States ex rel. Wilson*, 545 US 409; *Bay Area Laundry & Dry Cleaning Pension Trust Fund v Ferbar Corp. of Cal.*, 522 US 192; *Reiter v Cooper*, 507 US 258; *LaBello v Albany Med. Ctr. Hosp.*, 85 NY2d 701; *O'Toole v Greenberg*, 64 NY2d 427; *Becker v Schwartz*, 46 NY2d 401; *Williams v State of New York*, 18 NY2d 481; *Alquijay v St. Luke's-Roosevelt Hosp. Ctr.*, 63 NY2d 978; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Rockefeller v Moront*, 81 NY2d 560.) II. The First Department's order dismissing plaintiffs' common-law causes of action should be reversed. (*Levin v Yeshiva Univ.*, 96 NY2d 484; *Annunziata v Quest Diagnostics Inc.*, 127 AD3d 630; *Weiner v Lenox Hill Hosp.*, 88 NY2d 784; *Bleiler v Bodnar*, 65 NY2d 65; *Rodriguez v Saal*, 43 AD3d 272; *Reid v Terwilliger*, 116 NY 530; *Goodstein Constr. Corp. v City of New York*, 80 NY2d 366; *Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256; *Channel Master Corp. v Aluminium Ltd. Sales*, 4 NY2d 403; *Bridgestone/Firestone, Inc. v Recovery Credit Servs., Inc.*, 98 F3d 13.)

Duffy & Duffy, PLLC, Uniondale (*James LiCalzi* of counsel), and *Pollack Pollack Isaac & DeCicco, LLP*, New York City (*Brian J. Isaac* of counsel), for respondents in the second above-entitled action. Because it is impossible for a wrongful birth claim to be properly alleged and pleaded in the absence of the birth of a live child, the trial court and the Appellate Division rightly held that the within cause of action accrued upon birth of a live child; defendants' claim that the Appellate Division's decision improperly skewed the law by extending the statute of limitations beyond that which the legislature authorized ignores black letter case law holding that a cause of action cannot accrue until a claim becomes enforceable, i.e., when all elements of the tort can be truthfully alleged in the complaint. (*Mayzel v Moretti*, 105 AD3d 816; *Foote v Albany Med. Ctr. Hosp.*, 16 NY3d 211; *Bani-Esraili v Lerman*, 69 NY2d 807; *Becker v Schwartz*, 46 NY2d 401; *Kronos, Inc. v AVX Corp.*, 81 NY2d 90; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132; *Britt v Legal Aid Socy.*, 95 NY2d 443; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *Ackerman v Price Waterhouse*, 84 NY2d 535.)

OPINION OF THE COURT

Chief Judge DiFiore.

In *Becker v Schwartz*, this Court recognized a new cause of action permitting parents to recover the extraordinary expenses incurred to care for a disabled infant who, but for a physician's negligent failure to detect or advise on the risks of impairment, would not have been born (46 NY2d 401, 410 [1978]). The issue in these related appeals is whether the statute of limitations for such an extraordinary expenses claim runs from the date of the alleged negligence or the date of birth. We hold that it is the latter.

I.

The salient allegations in both cases, which we must assume to be true in light of their procedural posture, are the same. Two couples—the Dennehy's and the Farbers—sought in vitro fertilization (IVF) treatment from defendant Dr. Alan Copperman at defendant Reproductive Medicine Associates of New York, LLP (RMA). The couple discussed the possibility of using an egg donor. Copperman informed each couple that RMA screened donor candidates for all known genetic conditions for which testing is available, but did not state which conditions were included in the screening. The couple then matched with an anonymous egg donor and, after consenting to the IVF procedure, the plaintiff mother was implanted with fertilized embryos using the donor eggs. Pregnancy was confirmed and the couple was discharged to their obstetrician/gynecologist. Each plaintiff mother later gave birth without complications—the Dennehy's had a single infant and the Farbers had twins. Following birth, Copperman learned that the egg donor had tested positive for the fragile X trait, a chromosomal abnormality that can result in intellectual disability and other deficits. He informed the couples within one year of the births, and testing later confirmed that the Dennehy's infant and one of the Farbers' twins had the full fragile X mutation.

The parents commenced separate lawsuits against Copperman and RMA.¹ As relevant here, the complaints allege, in essence, that defendants failed to timely screen the egg donor for the fragile X mutation or to notify plaintiffs that they did not screen for this trait. The parents contend these negligent acts

1. The Dennehy's complaint also named as a defendant Reproductive Medicine Associates-International, LLP.

or omissions caused them to consent to the IVF procedure and go forward with pregnancy, resulting in the parents incurring extraordinary expenses to care for and treat a child with a disability. Defendants moved to dismiss both complaints under CPLR 3211 (a) (5) and (7), contending, among other things, that the extraordinary expenses claim is time-barred by CPLR 214-a, which provides that a 2½-year statute of limitations for medical malpractice claims runs from “the act, omission or failure complained of or last treatment where there is continuous treatment for the same illness, injury or condition which gave rise to the said act, omission or failure” (CPLR 214-a). Defendants argued that the limitations period runs from the date of the alleged malpractice, which they identified as the date the embryo was implanted in the mother. Plaintiffs opposed the motions to dismiss, contending that the limitations period started on the date of birth. It is undisputed that if the statute of limitations runs from the date of malpractice, even assuming the continuous treatment toll extended the date to plaintiffs’ discharge to their obstetrician/gynecologist, the cause of action would be time-barred.

In each case, Supreme Court, among other things, denied the motion to dismiss with respect to the extraordinary expenses claim. The court held that the statute of limitations began to run upon the infant’s birth, which rendered both actions timely. The Appellate Division affirmed, insofar as relevant here (136 AD3d 73 [1st Dept 2015]; 134 AD3d 543 [1st Dept 2015]), and thereafter granted defendants leave to appeal, certifying the question whether the orders were properly made.² We now affirm.

II.

In negligence cases, the statute of limitations generally begins to run when a cause of action accrues (*see Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169, 175 [1986]). Absent legislative action to the contrary, courts have authority to determine when a common-law cause of action accrues (*see Fleishman v Lilly & Co.*, 62 NY2d 888, 891-892 [1984]; *see e.g. Ackerman v Price Waterhouse*, 84 NY2d 535, 541-542 [1994]).

In 1978, this Court recognized a new, narrow cause of action permitting parents to recover the extraordinary care and treat-

2. Since the Farber plaintiffs did not cross-appeal, their argument relating to the portion of the Appellate Division order dismissing five other causes of action is not before us (*see JFK Holding Co. LLC v City of New York*, 21 NY3d 722, 727 [2013]).

ment expenses “accruing as a consequence of the birth” of a child with a disability (*Becker*, 46 NY2d at 412). This claim, “founded essentially upon a theory of negligence or medical malpractice,” requires “a duty flowing from defendants to [plaintiffs] and that the breach of that duty was the proximate cause of the birth of their infants” (46 NY2d at 412). The claim is restricted to those instances in which the plaintiffs can demonstrate “that but for the defendants’ breach of their duty to advise plaintiffs, the latter would not have been required to assume these [extraordinary financial] obligations” (46 NY2d at 412-413). In other words, parents bringing this type of action may seek to recover *only* “‘the increased financial obligation arising from the extraordinary medical treatment rendered the child during minority’” (*Foote v Albany Med. Ctr. Hosp.*, 16 NY3d 211, 215 [2011], quoting *Bani-Esraili v Lerman*, 69 NY2d 807, 808 [1987]). No recovery is allowed for any consequent psychic or emotional damages (46 NY2d at 413), nor may parents recover the ordinary costs of raising a healthy child born by reason of so-called wrongful conception (see *O’Toole v Greenberg*, 64 NY2d 427, 432 [1985]). The extraordinary expenses claim belongs to the parents alone—the child cannot bring a claim for “wrongful life” (see *Becker*, 46 NY2d at 411). This is because, as a matter of public policy, an infant born in an impaired state suffers no legally cognizable injury in being born compared to not having been born at all (*id.*).

The question now before this Court is when this “extraordinary expenses” cause of action accrues—and consequently, when the statute of limitations begins to run.³ Defendants argue that the date of malpractice controls while plaintiffs contend that the cause of action accrues upon the date of birth.⁴ The parties agree that the cause of action is governed by the

3. This is an issue of first impression in our Court. In *Jorge v New York City Health & Hosps. Corp.*, the only issue before us was whether the continuous treatment doctrine tolled the plaintiff’s extraordinary expenses cause of action (79 NY2d 905, 906 [1992]). We did not consider when the cause of action accrued or whether the lawsuit was otherwise timely. In *Pahlad v Brustman*, we affirmed the holding of the courts below that defendants were not barred by equitable estoppel from asserting a statute of limitations defense, again without deciding when the limitations period began to run (8 NY3d 901, 902 [2007]). In *Pahlad*, both lower courts had held that the statute of limitations commenced at the time of the infant’s birth (see *Pahlad v Brustman*, 33 AD3d 518, 519 [1st Dept 2006], *affg* Sup Ct, Bronx County, Oct. 8, 2004, Manzanet-Daniels, J., index No. 26399/2003).

4. Neither party argues that the cause of action accrues on the date when the parents first incur financial costs related to the care and treatment of

(n. cont’d)

21½-year statute of limitations applicable to medical malpractice actions. Due to its unique features, we conclude that the cause of action accrues upon, and hence the limitations period runs from, the birth of the child.

A claim accrues “when all of the facts necessary to the cause of action have occurred so that the party would be entitled to obtain relief” (*Aetna*, 67 NY2d at 175; *see also Kronos, Inc. v AVX Corp.*, 81 NY2d 90, 94 [1993]). As a general rule, a “legal right to relief” in a tort action arises when an injury occurs (*Ackerman*, 84 NY2d at 541). To determine when a claim accrues, we must balance the competing policy considerations of putting to rest stale claims with ensuring “fairness to the claimant [who] shall not unreasonably be deprived of [the] right to assert [a] claim” (*Victorson v Bock Laundry Mach. Co.*, 37 NY2d 395, 403 [1975] [quotation marks and citation omitted]).

The action’s gravamen is that, but for defendants’ negligence, the parents would not have conceived or given birth to a child requiring extraordinary expenses for treatment and care. Plaintiffs allege that, by failing to take steps to detect that the egg donor was a carrier for fragile X and therefore that the embryo may have had the fragile X trait, defendants left the parents in an uninformed state as to whether to avert pregnancy or birth—and the associated costs resulting from birth. Given the nature of these allegations, it follows that until the alleged misconduct results in the birth of a child, there can be no extraordinary expenses claim. Moreover, we have stated that the “legally cognizable injury” is that the parents will incur extraordinary expenses to care for and treat the child (*Foote*, 16 NY3d at 215). These expenses arise “as a consequence of the birth” (*Becker*, 46 NY2d at 412), not just the conception. Prior to a live birth, it is impossible to ascertain whether parents will bear any extraordinary expenses.⁵ Due to these unique circumstances, the cause of action accrues upon the birth of an infant with a disability. This date appropriately balances the competing statute of limitations policy con-

their child or the date the malpractice or the child’s impaired state is discovered.

5. Contrary to the dissent’s assertion (dissenting op at 620), nothing in our analysis addresses much less restricts which treatment and care expenses qualify as extraordinary expenses or decides whether expenses incurred prior to accrual in anticipation of the special care the child will require could be covered.

cerns—it gives parents a reasonable opportunity to bring suit while at the same time limiting claims in a manner that provides certainty and predictability to medical professionals engaged in fertility treatment and prenatal care (see *MRI Broadway Rental v United States Min. Prods. Co.*, 92 NY2d 421, 428 [1998]; *Victorson*, 37 NY2d at 403).

We respectfully disagree with our dissenting colleague that *Goldsmith v Howmedica, Inc.* (67 NY2d 120 [1986]) requires a different result. *Goldsmith* is a classic medical malpractice case in which a plaintiff, who suffered a physical injury, sued a doctor for inserting a defective hip prosthetic, seeking pain and suffering and emotional distress damages, and other relief recoverable in a personal injury case (67 NY2d at 122). There, we reiterated the common-law rule that the “action accrues and the Statute of Limitations begins to run at the time of the commission of the alleged malpractice” (67 NY2d at 122). In contrast, the instant case involves a distinct cause of action for extraordinary expenses, which we determine—for the first time on this appeal—to accrue on the date of birth. Our holding that the limitations period also runs from the date of birth is consistent with the accrual-based statute of limitations rule followed in *Goldsmith*. There, we rejected plaintiffs’ argument that such a rule “effectively forecloses an action against the doctor before any injury has been suffered,” and, relying on our precedents, held that the injury in that type of case occurred on the date of negligence, not when the harmful effects were felt (67 NY2d at 123-124, see e.g. *Thornton v Roosevelt Hosp.*, 47 NY2d 780, 781 [1979]). Here, where the legally cognizable injury arises as a consequence of the birth, the limitations period likewise runs from that date.

III.

CPLR 214-a—which provides that a medical malpractice action must be commenced within 2½ years of “the act, omission or failure complained of”—does not bar this outcome. Prior to the enactment of CPLR 214-a in 1975, courts followed the common-law rule that the statute of limitations in a medical malpractice action begins to run on the date of the alleged malpractice (see *Davis v City of New York*, 38 NY2d 257, 259 [1975]). This comported with the associated common-law rule that a medical malpractice claim accrues on the date of the negligent act or omission. In 1969, this Court created an exception to the accrual-based rule, holding that “where a foreign

object has negligently been left in the patient's body, the Statute of Limitations will not begin to run until the patient could have reasonably discovered the malpractice" (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427, 431 [1969]). Following *Flanagan*, lower courts moved toward adopting a discovery rather than an accrual rule more broadly in medical malpractice cases (see *Walton v Strong Mem. Hosp.*, 25 NY3d 554, 561-562 [2015]).

The legislature expressed concern that these decisions had "a potential of bringing virtually all medical malpractice cases under the discovery rule" (Governor's Program Bill Mem at 4, Bill Jacket, L 1975, ch 109). To halt this trend, the legislature enacted CPLR 214-a, which codified the common-law rule, as applied in a case like *Goldsmith*, that the limitations period for medical malpractice begins to run at the time the cause of action accrues—the date of malpractice. This served to curtail further "judicial expansiveness towards a more plaintiff friendly discovery rule" (*LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207, 213 [1998] [emphasis added]; see also *Rodriguez v Manhattan Med. Group*, 77 NY2d 217, 221 [1990]). There is no question that, in the wake of CPLR 214-a and its companions, the legislature has exclusive authority to determine when the discovery rather than the traditional rule should apply (see e.g. CPLR 214-b [agent orange exposure]; CPLR 214-c [toxic torts]).⁶ However, nothing in the legislative history suggests an intent to constrict judicial authority to otherwise define when a cause of action accrues, or to mandate that the limitations period should commence *prior* to accrual. Following CPLR 214-a, we have continued to hold that the typical medical malpractice cause of action accrues at the time of the malpractice, consistent with the statute (see *Massie v Crawford*, 78 NY2d 516, 519 [1991]; *Nykorchuck v Henriques*, 78 NY2d 255, 258 [1991]). Indeed, we explained in *Massie* that CPLR 214-a established that "[a]n action for medical malpractice must be commenced within two years and six months of the date of accrual," citing our common-law precedents to show that a malpractice claim accrues on the date of the alleged malpractice (78 NY2d at 519).

6. Our holding today does not run afoul of that principle. As the dissent acknowledges (dissenting op at 624-625), the rule we adopt is not a "discovery" rule as the date the parents learn of the malpractice or the child's disability is irrelevant to the running of the limitations period.

Yet this is not the typical medical malpractice case. Three years after the legislature enacted CPLR 214-a, this Court recognized for the first time the extraordinary expenses claim, which, as explained above, cannot accrue until the live birth of the infant. Before *Becker* and prior to CPLR 214-a, we declined to recognize related causes of action for wrongful life (see *Williams v State of New York*, 18 NY2d 481 [1966]) and for medical malpractice damages on behalf of an infant who is stillborn (see *Endresz v Friedberg*, 24 NY2d 478 [1969]). The legislature could not have anticipated our holding in *Becker*.

This is not the first time that our Court has confronted a situation that falls outside the contours of CPLR 214-a, and reached a similar result. In *LaBello v Albany Med. Ctr. Hosp.*, we addressed when the limitations period starts for a child's medical malpractice claim for injuries suffered as a result of faulty prenatal care (85 NY2d 701, 704 [1995]). This differs from the parents' extraordinary expenses claim at issue here in that in *LaBello*, the child sought damages for her own injuries and the issue was whether the statute of limitations could begin to run before the injured party—there, the child—was alive and had the capacity to bring suit. We determined that the limitations period started to run at birth rather than at the time of the alleged malpractice, notwithstanding the language of CPLR 214-a (85 NY2d at 704). Although distinguishable in some respects, *LaBello* raised the same concern that “at the time the alleged malpractice was committed, plaintiff could not have alleged all the elements of the tort in the complaint,” explaining that the case “present[ed] one of those interstices between statutory and common-law precedential lines of authority” (85 NY2d at 706-707). Recognizing that “CPLR 214-a does not encompass and did not contemplate the circumstance at issue,” we held that this Court must “fill the gap by traditional interpretation and common-law development and application” (85 NY2d at 706). We then determined that due to the specific circumstances of that action, the statute must be interpreted in a manner that permitted the limitations period to run from the date of birth—i.e., the date the claim accrued—rather than from the malpractice date (85 NY2d at 704). Otherwise, the statute of limitations would run before the plaintiffs could bring the suit. In reaching that conclusion in *LaBello*, we did not adopt a new “exception” to CPLR 214-a akin to the discovery rule. Rather, we recognized that CPLR 214-a did “not encompass” an unanticipated situation, and

concluded that the legislature would not have intended the statute of limitations to begin to run before suit could be brought.

The case before us likewise requires similar interpretive measures. The circumstances here preclude the parents from bringing the lawsuit until the child is born, and thus the statute of limitations must run from the date of birth. This result best harmonizes the unique and unanticipated features of this cause of action with the principles animating CPLR 214-a. Thus, because plaintiffs' causes of action for extraordinary expenses accrued upon the birth of their children, the courts below properly determined that the claims were timely.

Accordingly, in each case, the order of the Appellate Division insofar as appealed from should be affirmed, with costs, and the certified question answered in the affirmative.

GARCIA, J. (dissenting). CPLR 214-a provides that a medical malpractice action "must be commenced" within 2½ years "of the act, omission or failure complained of" (CPLR 214-a). By its terms, CPLR 214-a's accrual-upon-act-or-omission rule admits of only two exceptions: the "continuous treatment" exception and the "foreign object" exception (*see* CPLR 214-a; *see also LaBello v Albany Med. Ctr. Hosp.*, 85 NY2d 701, 706 [1995]).

Today, the majority creates a third exception, holding that a medical malpractice "wrongful birth" action accrues not on the date of "the act, omission or failure complained of" (CPLR 214-a), but rather on the date of the child's birth. Though its interpretation contravenes the statutory language, the majority authorizes this deviation in the context of so-called "wrongful birth" actions because of the "unique features" associated with those claims (majority op at 615).

There is no "unique circumstances" exception in statutory interpretation. Accordingly, I dissent.

I.

The majority first contends that, "until the alleged misconduct results in the birth of a child, there can be no extraordinary expenses claim" (majority op at 615). Given this "unique feature[]," which purportedly "preclude[s] the parents from bringing the lawsuit until the child is born," the majority concludes that "the statute of limitations must run from the date of birth" (majority op at 615, 619). The premise of the majority's holding, however, is both tenuous and irrelevant.

A.

The majority's assumption that plaintiffs' medical malpractice claims require a live birth is novel—and problematic. As an initial matter, this Court has never stated that the “legally cognizable injury” in these actions is limited to the “costs resulting from birth” (majority op at 615). Indeed, in *Becker v Schwartz* (46 NY2d 401 [1978]), we explicitly declined to circumscribe the scope of recoverable damages: “There is now no occasion . . . to determine with particularity what items of expense or loss may properly be taken into account in computation of the damages recoverable” (*Becker*, 46 NY2d at 413). Nor does the “legally cognizable injury” in these medical malpractice actions arise solely “as a consequence of the birth” (majority op at 616). Rather, the injury occurs much sooner; as the majority notes, “[t]he action’s gravamen is that, but for defendants’ negligence, the parents would not have *conceived* . . . a child requiring extraordinary expenses” (majority op at 615 [emphasis added]).

Moreover, the majority’s assertion—that a live birth is a prerequisite for plaintiffs’ claims—will unfairly and arbitrarily restrict the scope of recoverable damages in these types of medical malpractice actions. Given modern medical technology, parents may discover a child’s disability in advance of the child’s birth and begin incurring expenses—purchasing specialized equipment, monitors, clothing, etc.—in preparation for the child’s arrival. Under the majority’s theory, however, these costs are not recoverable solely because they are incurred prior to the child’s birth.

Though the majority asserts that its holding does not restrict parents from recovering expenses incurred “in anticipation of” the child’s arrival (majority op at 615 and n 5), that suggestion is undermined by the majority’s fundamental holding that a parent’s “legally cognizable injury” does not occur until the child’s birth. Of course, under basic tort law principles, a plaintiff cannot recover for damages allegedly incurred *prior* to sustaining an injury; a plaintiff’s harm cannot proximately flow from an event that has not yet occurred (*see generally* Restatement [Second] of Torts § 902, Comment *a* [“Damages flow from an injury”]; *see also* *Ambassador Hotel Co., Ltd. v Wei-Chuan Inv.*, 189 F3d 1017, 1029 [9th Cir 1999] [noting that “events which occur after the injury has occurred cannot be said to have caused the injury”]). Moreover, even if pre-injury damages were somehow recoverable, the clear implication of

the majority's assertion is that a parent who accumulates pre-birth expenses may recover those costs if and only if the child is born alive. As a consequence, a plaintiff parent could recover pre-birth expenses if the child survives—even for only a minute—but not if the child is stillborn.

B.

Even assuming that plaintiffs' claims require a live birth, the majority's theory nonetheless fails because, in enacting CPLR 214-a, the legislature displaced the courts' "judicial authority" to implement "common-law rule[s]" of accrual (majority op at 617). While courts have the authority to interpret accrual dates "[a]bsent legislative action to the contrary" (majority op at 613), courts are not free to disregard a clear statutory prescription.

Contrary to the majority's claim, there is no indication that CPLR 214-a merely "codified the common-law rule" without "constrict[ing] judicial authority to otherwise define when a cause of action accrues" (majority op at 617). Rather, in enacting CPLR 214-a, the legislature specifically sought to "constrict[] judicial expansiveness towards a more plaintiff friendly . . . rule" (*LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207, 213 [1998] [citation omitted]). The legislature passed section 214-a "in response to the medical malpractice crisis," embodying a "clearly expressed legislative intent that . . . exception[s] to the general time of commission accrual rule not be broadened beyond [their] existing confines" (*Goldsmith v Howmedica, Inc.*, 67 NY2d 120, 123 [1986] [citations omitted]). In other words, the statute's two exceptions—"continuous treatment" and "foreign object"—are both narrow and exclusive; by codifying them, the legislature "limited the range of common-law development" (*LaBarbera*, 91 NY2d at 211).

We have therefore made clear that these exceptions should not be broadened beyond their terms, and new exceptions should not be created except by the legislature itself (*see id.* at 213; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217, 224 [1990]; *Goldsmith*, 67 NY2d at 123). "[E]fforts to enlarge the[se] exception[s]," we have said, would "undermine, if not contradict, the statute and the policy lines and precedents that have emerged to fix boundaries for this troublesome field" (*LaBarbera*, 91 NY2d at 213). "[T]he Legislature, having statutorily occupied the field, is more appropriately suited to effectuate any redefinition or expansion" of these exceptions if, in the legislature's determination, such a revision is warranted (*id.*).

Nor does the statute purport to preserve the “judicial authority” that the majority exercises. CPLR 214-a does not, for instance, provide that plaintiffs have 2½ years from “accrual” without defining “accrual” itself. Instead, the statute explicitly provides that plaintiffs’ malpractice claims “must be commenced” within 2½ years “of the act, omission or failure complained of” (CPLR 214-a). By implementing a judicially-crafted “date of birth” accrual rule, the majority contravenes the plain language of the statute and undermines clear legislative policy mandating a strict adherence to the statutory text.

II.

The majority also contends that the legislature “could not have anticipated our holding in *Becker*,” in which the Court first recognized a medical malpractice cause of action to recover the extraordinary expenses incurred by a prospective parent for the care and treatment of their child (majority op at 618). As a factual matter, this proposition is questionable: *Becker*’s companion case, *Park v Chessin*, was brought in 1972—three years before CPLR 214-a was enacted (see *Park v Chessin*, 60 AD2d 80, 83 [2d Dept 1977]). And *Becker* itself was filed in 1976—the year after section 214-a’s enactment—and was decided by this Court in 1978—just three years after its enactment. *Becker*’s holding was far from unforeseeable when, in 1975, the legislature enacted section 214-a.

In any event, *Becker* was decided nearly 40 years ago and, over the ensuing four decades, the legislature has unequivocally discredited the majority’s reasoning: it has repeatedly considered—and rejected—a number of proposals to deviate from CPLR 214-a (see 2016 NY Senate-Assembly Bill S911A, A285A). Though the legislature has statutorily modified accrual dates in other contexts (e.g. CPLR 214-b, 214-c), it has consistently declined to do so in the context of these medical malpractice claims, reasoning that “the harsh effect of CPLR 214-a in certain cases” is “outweighed by ‘the effect of potentially open-ended claims upon . . . defendants and society’” (*Helgans v Plurad*, 255 AD2d 554, 557 [2d Dept 1998], citing *Goldsmith v Howmedica, Inc.*, 67 NY2d 120, 124 [1986]; see also 2016 NY Senate-Assembly Bill S911A, A285A). Accordingly, even if *Becker* was unforeseen at the time of section 214-a’s enactment—an unlikely scenario—the legislature has repeatedly opted, over the span of several decades, not to modify the statutory accrual rule for these *Becker*-type claims.

If the legislature has chosen not to “ameliorate the statute’s effects” by altering the existing scheme, “this Court should not tread where the Legislature refuses to go” (*McCoy v Feinman*, 99 NY2d 295, 301 n 2 [2002]; *see also* CPLR 201 [“No court shall extend the time limited by law for commencement of an action”]).

III.

Since *Becker*, this Court and others have properly applied CPLR 214-a in the context of these medical malpractice actions, employing the date of the alleged malpractice—not the date of birth—as the applicable accrual date. In *Jorge v New York City Health & Hosps. Corp.*, for instance, we dismissed the plaintiff’s medical malpractice action as untimely, using the “alleged act of malpractice—the misreading of the father’s genetic test results” as the relevant date of accrual (79 NY2d 905, 906 [1992]). Several Appellate Division Departments have similarly concluded that a plaintiff parent’s cause of action does not “accrue upon the birth of the children but on the date of the alleged malpractice” (*Weed v Meyers*, 251 AD2d 1062, 1062 [4th Dept 1998]; *see also Scrofini v Sebollena*, 226 AD2d 523, 523 [2d Dept 1996]).

This Court has also rejected the majority’s theory that a cause of action cannot accrue before any “legally cognizable injury” has been suffered. In *Goldsmith v Howmedica*, for instance, the plaintiff received a total hip replacement and, eight years after the device was implanted, a component of the implant malfunctioned (67 NY2d 120, 122 [1986]). On appeal, the Court was asked to determine the applicable accrual date—either the “implantation of the prosthetic device,” or the date of “injury to the patient” (*id.*). Holding that “the cause of action accrues upon implantation,” not upon the date of injury, the Court determined that the plaintiff’s cause of action was barred by the applicable three-year statute of limitations (*id.* at 122, 124). The *Goldsmith* Court rejected the argument—accepted by the majority in this case—that “to require the bringing of an action within three years of the commission of the malpractice effectively forecloses an action against the doctor before any injury has been suffered” (*id.* at 123-124):

“The argument is not new. We have carefully considered it on numerous occasions. In each, we weighed the detriments of such a result against the

effect of potentially open-ended claims upon the repose of defendants and society, and held that the Statute of Limitations must run from the time of the act until the Legislature decrees otherwise” (*id.* at 124 [citations omitted]).

IV.

Our decision in *LaBello v Albany Med. Ctr. Hosp.* (85 NY2d 701 [1995])—a “distinguishable” case (majority op at 618)—does not justify the majority’s disregard of the operative statute. In *LaBello*, the Court considered an *infant’s* own cause of action, not the parents’ medical malpractice claim. The Court determined that the infant’s cause of action, seeking damages for allegedly faulty prenatal care, “accrue[d] on the earliest date the injured infant plaintiff could juridically assert the claim and sue for relief, that is, the date of being born alive” (*id.* at 703).

Applying CPLR 214-a to this “unenvisioned circumstance”—an unborn plaintiff—the Court reasoned that the statute “expresses and presumes physical existence and juridical capacity to sue” (*id.* at 706). Because the “plaintiff, having no legal existence, could not have legally uttered the complaint” prior to his birth, his cause of action could not accrue “before the infant acquired the recognized legal capacity to sue” (*id.* at 706, 707). In other words, since the infant plaintiff lacked the “cognizable status in a court of law to sue” until his birth, his statute of limitations did not begin to run until that time (*id.* at 707).

The barrier to suit present in *LaBello*—the plaintiff’s non-existence—is entirely inapplicable in this case. Here, plaintiffs are parents seeking damages in their own right, who had the requisite capacity to sue on the date of the alleged malpractice. Unlike an unborn infant, these plaintiffs had the “recognized legal capacity to sue” prior to the birth of their children (*LaBello*, 85 NY2d at 706). Because of this critical distinction, which formed the basis of *LaBello’s* holding, *LaBello* is entirely inapt.

V.

The majority’s goal is a laudable one: it allows more time for plaintiffs asserting claims due to alleged medical malpractice resulting in devastating and life-altering injuries to their minor children. But this well-intentioned effort contravenes the plain language of CPLR 214-a and implements an arbitrary “date of

birth” accrual rule that does not correspond to the date of the alleged injury, the date of plaintiff’s capacity to sue, or the date of the injury’s discovery. Accordingly, while the majority’s holding saves these plaintiffs’ claims, it will not save others.

The governing statute explicitly provides that plaintiffs’ limitations period runs from the date of the alleged malpractice, not the date of the child’s birth. Though that mandate may inflict hardship on plaintiffs, “the Statute of Limitations must run from the time of the act until the Legislature decrees otherwise” (*Goldsmith*, 67 NY2d at 124).

Judges RIVERA, STEIN, FAHEY and WILSON concur; Judge GARCIA dissents in an opinion; Judge FEINMAN taking no part.

In each case: Order insofar as appealed from affirmed, with costs, and certified question answered in the affirmative.

[92 NE3d 789, 69 NYS3d 566]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DWIGHT SMITH, Respondent.

Argued November 14, 2017; decided December 19, 2017

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 25, 2016. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (Steven L. Barrett, J. at pretrial proceedings; John W. Carter, J. at plea and sentencing), which had convicted defendant, upon his pleas of guilty, of manslaughter in the first degree and burglary in the first degree; (2) vacated the pleas; and (3) dismissed the indictment without prejudice to the People to re-present any appropriate charges to another grand jury.

People v Smith, 143 AD3d 31, modified.

HEADNOTES

Crimes — Right to Counsel — Violation of Right to Counsel on Motion to Compel DNA Test

1. The trial court denied defendant's right to counsel on the People's motion to compel defendant to submit to a buccal swab when the trial court—in defendant's absence—granted both the retained defense counsel's motion to be relieved from representing defendant for failure to pay his fee and the People's DNA discovery motion, which it granted based on the "putative consent" it inferred from retained counsel's silence. Later the same day that counsel was relieved, defendant appeared in court and the trial court proceeded to act in place of counsel throughout an extensive colloquy, telling defendant that there were no bases on which to challenge the DNA sample order. Defendant stated that he had not spoken with his attorney about the prosecution's motion and did not wish to consent to giving a sample, and his repeated requests for an attorney to advise him regarding the motion were denied. There was no express consent to the People's request for the DNA sample, either by defendant or by retained counsel. Nor was there any affirmative conduct or errant statement by defendant or counsel from which implied consent could be inferred. Instead, the court issued its order based only on retained counsel's failure to reply to the People's motion to compel the buccal swab, and under the circumstances that was not a proper basis for finding defendant's consent.

Crimes — Right to Counsel — Violation of Right to Counsel on Motion to Compel DNA Test — Remedy

2. Upon finding that the trial court denied defendant's right to counsel on the People's motion to compel defendant to submit to a buccal swab when the trial court—in defendant's absence—granted both the retained defense

counsel's motion to be relieved from representing defendant for failure to pay his fee and the People's DNA discovery motion, which it granted based on the "putative consent" it inferred from retained counsel's silence, the Appellate Division should not have dismissed the indictment in addition to vacating the pleas. Based on the nature and timing of the constitutional deprivation at issue, the dismissal of the indictment was not an appropriate corrective action. Under CPL 470.20, the Appellate Division may take "such corrective action as is necessary and appropriate both to rectify any injustice to the appellant resulting from the error or defect which is the subject of the reversal or modification and to protect the rights of the respondent." The violation of defendant's right to counsel, although serious, occurred post-indictment and did not retroactively infect the grand jury proceedings. Nevertheless, the violation resulted in defendant being denied the opportunity to confer with counsel regarding a potential challenge to the taking of inculpatory DNA evidence. That warranted the Appellate Division vacating defendant's pleas. Dismissal of the indictment, however, was not "necessary and appropriate" to rectify the injustice to the defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 790, 791; AM JUR 2d Criminal Law §§ 1073, 1074, 1081, 1083, 1095.
CARMODY-WAIT 2d Right to Counsel § 184:39.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.2.
MCKINNEY'S, CPL 470.20.
NY JUR 2d Criminal Law: Procedure §§ 434, 745, 797, 3747-3750.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; DNA.

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POINTS OF COUNSEL

Darcel D. Clark, District Attorney, Bronx (*Ramandeep Singh*, *Nancy D. Killian* and *Rafael Curbelo* of counsel), for appellant.
I. Defendant was represented by counsel when the order to compel DNA evidence was issued. Also, collection of the buccal swab was not a critical stage of the criminal proceeding. And thus, there was no Sixth Amendment violation. (*Hurrell-Harring v State of New York*, 15 NY3d 8; *United States v Wade*, 388 US 218; *People v Carracedo*, 89 NY2d 1059; *People v Wardlaw*, 6 NY3d 556; *People v Hilliard*, 73 NY2d 584; *People v*

Griffin, 20 NY3d 626; *People v Slaughter*, 78 NY2d 485.) II. The Appellate Division erred in granting defendant an unasked for and unwarranted remedy by dismissing the indictment, despite no evidence that the indictment was tainted by the alleged error. (*Hurrell-Harring v State of New York*, 15 NY3d 8; *People v Felder*, 47 NY2d 287; *People v Crimmins*, 36 NY2d 230; *People v Nelson*, 27 NY3d 361; *People v Nichols*, 123 AD3d 481; *People v Singleton*, 13 AD3d 116; *People v Edwards*, 41 AD2d 707; *People v Carracedo*, 214 AD2d 404, 89 NY2d 1059; *People v Dlugash*, 41 NY2d 725; *People v Hilliard*, 73 NY2d 584.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Matthew Bova* of counsel), for respondent. I. The court violated respondent's right to counsel by blocking counsel from participating in a critical discovery hearing. (*People v Jacobs*, 6 NY3d 188; *People v Wardlaw*, 6 NY3d 556; *People v Hilliard*, 73 NY2d 584; *Hurrell-Harring v State of New York*, 15 NY3d 8; *Gideon v Wainwright*, 372 US 335; *Rothgery v Gillespie County*, 554 US 191; *Powell v Alabama*, 287 US 45; *United States v Cronin*, 466 US 648; *People v Garcia*, 92 NY2d 726; *People v Harris*, 77 NY2d 434.) II. The court violated Dwight Smith's due process right to be present at all material stages of his prosecution, and his right to counsel of his choosing, when it considered and decided retained counsel's motion to be relieved in Mr. Smith's absence and without any inquiry of Mr. Smith. (*People v Rivera*, 23 NY3d 827; *Kentucky v Stincer*, 482 US 730; *People v Anderson*, 16 NY2d 282; *People v Spotford*, 85 NY2d 593; *People v Monroe*, 90 NY2d 982; *Snyder v Massachusetts*, 291 US 97; *People v O'Daniel*, 24 NY3d 134; *People v Arroyave*, 49 NY2d 264; *United States v Gonzalez-Lopez*, 548 US 140; *Wheat v United States*, 486 US 153.)

OPINION OF THE COURT

RIVERA, J.

The People appeal an order by the Appellate Division that reversed a judgment by Supreme Court, vacated defendant's pleas, and dismissed the defendant's indictment without prejudice, allowing the People to re-present any appropriate charges to another grand jury (*People v Smith*, 143 AD3d 31 [1st Dept 2016]). Contrary to the People's claim, the Appellate Division correctly determined that the trial court denied defendant's right to counsel on the People's motion to compel defendant to

submit to a buccal swab.¹ Nevertheless, the Appellate Division's order should be modified, because the indictment should not have been dismissed.

[1] Defendants have a constitutional right to counsel at every critical stage of the proceedings, meaning those stages that hold “significant consequences for the accused” (*Bell v Cone*, 535 US 685, 696 [2002]; see also *People v Settles*, 46 NY2d 154, 165 [1978]). Here, the People filed their motion to compel the DNA test and served the motion on retained counsel in court. As the Appellate Division found, the trial court—in defendant's absence²—subsequently granted both the retained defense counsel's motion to be relieved from representing defendant for failure to pay his fee and the People's DNA discovery motion, which it granted based on the “putative consent” it inferred from retained counsel's silence. Later the same day that counsel was relieved, defendant appeared in court. Knowing defendant was unrepresented, the court, rather than remain neutral, proceeded to act in place of counsel throughout an extensive colloquy, telling defendant that there were no bases on which to challenge the DNA sample order. In response to the court, defendant stated that he had not spoken with his attorney about the prosecution's motion and did not wish to consent to giving a sample. Notwithstanding defendant's entreaties, the court rejected his repeated requests for an attorney to advise him regarding the motion. Instead, the court told defendant an “attorney [was] not going to be able to help,” and that there was “no basis for fighting [the test].” When defendant said he did not “know the law,” the judge responded “I know the law.” On these facts, the Appellate Division correctly determined that “[t]he pretrial proceedings concerning the DNA test were ‘critical’ within the meaning of the law” (*Smith*, 143 AD3d at 35). Accordingly, defendant was deprived his right to counsel.³

We reject the dissent's conclusion that defendant was not denied counsel during a critical stage of the proceeding, as that

1. As defendant admits, he has no right to have counsel present during the physical administration of the buccal swab.

2. When the court officer informed the court that defendant had yet to be produced, retained counsel waived defendant's production in this matter.

3. This is not a case in which defendant asserts an ineffective assistance of counsel claim based on matters dehors the record, which would be properly addressed in a CPL 440.10 motion (*People v Jackson*, 29 NY3d 18, 24 [2017]). The colloquy between the court is on the record, and it is undisputed that defendant was unrepresented at that time.

determination is contrary to law and would require that we distort the factual record. As the People concede, there was no express consent to their request for the DNA sample, either by defendant or by retained counsel. Nor was there any affirmative conduct or errant statement by defendant or counsel from which implied consent could be inferred. Instead, as the People acknowledge, the court issued its order based only on retained counsel's failure to reply to the People's motion to compel the buccal swab. Under the circumstances here, that is not a proper basis for finding defendant's consent.⁴ Further, as the record unambiguously shows, shortly after the court granted retained counsel's request to withdraw—leaving defendant unrepresented—defendant appeared in court, expressly denied consent, and repeatedly stated he wanted counsel to assist him in responding to the People's motion.⁵ Yet, rather than appointing counsel, the court told defendant there was no basis to oppose the motion. Notwithstanding these facts, the dissent believes defendant was represented on the motion for the DNA sample; we do not.

The dissent also mistakenly ascribes to our narrow decision some previously-unannounced, broad rule. Here, we solely apply settled law to the facts before us. Where the court grants counsel's motion to be relieved from the case in defendant's absence but orders the taking of a DNA sample based on that counsel's inaction, and defendant at the first opportunity denies consent and requests assistance of counsel on that motion, the court may not deny the request and inform an unrepresented defendant that, in the court's opinion, there is no legal recourse. Thus, we conclude defendant was denied his right to counsel in violation of the Sixth Amendment and article I, § 6 of the New York State Constitution.

[2] The legality of the remedy for that error is subject to our review pursuant to CPL 470.35 (2) (c). Based on the nature

4. The fact that a court may generally treat counsel's failure to object as an affirmative decision not to challenge an adversary (dissenting op at 634) is irrelevant to the matter before us where the court's improper actions are independent of an order issued based on counsel's "putative" consent. The record here establishes that the court acknowledged defendant's objections and requests for an attorney, and yet sought to persuade defendant to acquiesce to the DNA test without benefit of counsel.

5. Contrary to the dissent's suggestion (dissenting op at 634), defendant has always maintained that he did not consent to the DNA test. In fact, the court engaged in a substantive colloquy because of defendant's refusal to consent, not in spite of his counsel's putative consent.

and timing of the constitutional deprivation at issue here, the dismissal of the indictment was not an appropriate corrective action. Under CPL 470.20, the Appellate Division may take “such corrective action as is necessary and appropriate both to rectify any injustice to the appellant resulting from the error or defect which is the subject of the reversal or modification and to protect the rights of the respondent.” The violation of defendant’s right to counsel, although serious, occurred post-indictment and did not retroactively infect the grand jury proceedings. Nevertheless, the violation resulted in defendant being denied the opportunity to confer with counsel regarding a potential challenge to the taking of inculpatory DNA evidence. This warranted the Appellate Division vacating defendant’s pleas. Dismissal of the indictment, however, was not “necessary and appropriate” to rectify the injustice to the defendant.

Accordingly, the order of the Appellate Division should be modified by reinstating the indictment and remitting the case to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

GARCIA, J. (dissenting). I agree that the better course in this case would have been for the trial court to adjourn the proceedings until new counsel was appointed. But I disagree with the majority’s conclusion that the court’s failure to do so amounted to an error of constitutional dimension. Because defendant was never unrepresented during a critical stage of the proceedings, defendant’s constitutional right-to-counsel argument—his only reviewable claim¹—must be rejected. Accordingly, I dissent.

I.

Defendant was indicted on a number of charges, including second-degree murder, in connection with a burglary during which one of the victims was shot and killed. The three surviving victims independently identified defendant from a photo array and stated that defendant was the “ring leader” during the crime. Defendant was arrested and retained his own counsel.

The Office of the Chief Medical Examiner of New York City retrieved low copy human DNA from evidence recovered from the crime scene, and the People later brought a motion to compel, seeking saliva samples from defendant and two code-

1. Defendant’s remaining claims, including his asserted statutory and due process violations, are beyond our review (*see* CPL 470.35 [2] [b]).

fendants. The next day, in court, with defendant present, the People served a copy of the motion on the defense. Defense counsel indicated that he would “discuss it with [his] client.” The court then asked: “If your client is not inclined to agree, would you put in your answer?” Defense counsel responded: “Yes, I will.” Defense counsel did not file papers or otherwise oppose the motion.

During a later appearance, before defendant had been produced, defense counsel “ma[d]e an application to be excused from th[e] case.” After a brief dialogue, including an off-the-record discussion, the court relieved defense counsel. At the close of the proceeding, the prosecutor stated: “We’re going to ask the card be held so we can go get a swab.”

Later that day, defendant appeared before the trial court without an attorney. The court informed defendant that his attorney had appeared “earlier today,” stating: “When I called the case at that time, I signed an order for a buccal swab. It’s for a swab of your cheek with a swab, Q-tip, for purposes of providing [a] DNA sample. I have signed that order.” The court then asked defendant if he would “mind doing [the swab] without your lawyer [here] in light of the fact that there has been an order signed by this Court indicating that you have to do that?” Defendant responded that he would “probably wait for [his] attorney.” A lengthy colloquy ensued, during which the court implored defendant to comply with the order. Defendant stated several times that he “want[ed] to wait for [his] attorney,” indicating that he “wasn’t aware of [the] buccal swab,” that he “didn’t have contact [for] two months,” and that he would “probably want to . . . oppose” the People’s motion to compel. The court stated that “[t]he motions are finished” and that defendant had “no basis” for opposing the signed order; the court was just “ask[ing]” defendant “to cooperate” and to do what the court had already “ordered [him] to do” in order to avoid harming defendant’s already “injured arm.” Ultimately, the court presented defendant with a copy of the signed order and he agreed to the swab.

Defendant’s new counsel later appeared on defendant’s behalf and informed the court that his predecessor had provided him with the case file. New counsel subsequently filed an omnibus motion but did not address the motion to compel DNA evidence. Defendant eventually pleaded guilty to first-degree manslaughter and first-degree burglary.

The Appellate Division, with two Justices dissenting, reversed defendant's convictions, vacated his guilty plea, and dismissed the indictment (*People v Smith*, 143 AD3d 31 [1st Dept 2016]). The Court determined that defendant's right to counsel had been violated, reasoning that "[t]he pretrial proceedings concerning the DNA test were 'critical'" (*id.* at 35) and that "[p]roceeding without counsel under the circumstances violated defendant's Sixth Amendment rights" (*id.* at 33). The Court further held that "[t]he deprivation of [defendant's] Sixth Amendment rights is of constitutional dimension and is not subject to a harmless error analysis," and that the "appropriate remedy under the circumstances is to vacate both pleas, and to dismiss the indictment" (*id.* at 36).

The two dissenting Justices disagreed, emphasizing the "salient fact" that, "prior to the time the defendant claims he was unconstitutionally without counsel, the motion to compel the saliva sample had already been considered by the court and a decision made" (*id.* at 37 [Kapnick, J., dissenting]). The dissent noted that "the colloquy that ensued between the court and defendant was not a 'critical stage' of the proceedings because the motion had already been decided and there was no indication that the court was reconsidering its ruling" (*id.*). The dissent further disagreed with the court's decision to dismiss the indictment because "the alleged violation"—which "occurred almost one year after defendant was indicted and during proceedings related to a discovery motion"—did not "taint or call the validity of the indictment into question" (*id.* at 38-39).

A Justice of the Appellate Division granted defendant's application for leave to appeal (28 NY3d 976 [2016]).

II.

The right to counsel attaches at arraignment and "guarantees a defendant the right to have counsel present at all 'critical' stages of the criminal proceedings" (*Montejo v Louisiana*, 556 US 778, 786 [2009] [citations omitted]). A "critical stage" includes "any stage of the prosecution, formal or informal, in court or out, where counsel's absence might derogate from the accused's right to a fair trial" (*United States v Wade*, 388 US 218, 226 [1967]). A "mere preparatory step," such as "systematized or scientific analyzing" of "fingerprints, blood sample[s], clothing, hair, and the like," does not constitute a "critical stage[] at which the accused has the right to the presence of

his counsel” since there is “minimal risk that his counsel’s absence at such stages might derogate from his right to a fair trial” (*id.* at 227-228).

A.

The parties do not dispute that the motion practice surrounding the buccal swab amounted to a critical stage of the proceeding, entitling defendant to the assistance of counsel. However, as the record confirms, all motion practice was complete while defendant was represented by his retained counsel. During that time, defendant’s retained attorney informed the court that he would oppose the People’s motion if defendant was “not inclined to agree” to the swab, and the court relied on that representation—and the defense’s failure to oppose the motion—in signing the order to compel. Defendant’s retained attorney was also aware of the decision on the motion; during defense counsel’s final appearance, the prosecutor stated in court that he intended to “go get a swab” that same day. The court later confirmed, on the record, that defendant’s retained attorney had “understood and accepted” that the court had “signed an order for a buccal swab”; “in fact, he consented” to it.

The majority concludes that there was no “proper basis” for finding consent because there was no “express” statement or other “affirmative conduct” that adequately conveyed the defense’s consent (majority op at 630). As an initial matter, defendant does not raise this argument on appeal, nor did he appeal from Supreme Court’s decision on the motion to compel. Rather, defendant concedes that his retained counsel consented to the motion, arguing that, “[h]ad the court appointed new counsel, he or she could have *withdrawn consent*” (emphasis added).

In any event, the majority’s claim of inadequate consent is undermined by the record. Defense counsel expressly stated, on the record, that he would oppose the motion if the defense did not consent; his subsequent failure to submit opposition papers, by itself, constitutes an adequate basis for the court to grant the People’s motion (*see People v Cole*, 73 NY2d 957, 958 [1989] [noting that the defendant’s motion was “conceded by the People when they failed to submit opposition papers”]). The court ultimately confirmed, on the record, that defense counsel had “consented” to the motion. On this record, defendant could not plausibly contend (and unsurprisingly, does not contend) that the People’s motion was not properly granted on consent.

Of course, a defendant may not retroactively unravel a signed order by simply revoking consent after the motion has already been decided. And to the extent defendant argues that he never consented to begin with—that he “wasn’t aware” of the People’s motion, that he “didn’t have contact [for] two months,” and that his counsel failed to effectively oppose the motion—those arguments amount to a classic claim of ineffective assistance of counsel. Defendant cannot now raise that claim, based on matters outside the record, under the guise of a constitutional right-to-counsel violation.

By crediting defendant’s self-serving claim that he never consented to the swab—and that “he had not spoken with his attorney about the prosecution’s motion”—the majority effectively presumes defense counsel’s ineffectiveness based solely on defendant’s unsubstantiated allegations regarding matters beyond the record (majority op at 629-630). But defendant’s bare assertions of inadequate representation on the motion—a pure claim of ineffectiveness—are “of the type where ‘it would be better, and in some cases essential, that an appellate attack on the effectiveness of counsel be bottomed on an evidentiary exploration by collateral or post-conviction proceeding brought under CPL 440.10’ ” (*People v Henderson*, 28 NY3d 63, 66 [2016], quoting *People v Brown*, 45 NY2d 852, 854 [1978]). Indeed, on this record, we are unable to discern whether or not defendant in fact consented to the motion—and communicated that consent to counsel—only to later regret his decision. If anything, defendant’s claim that he “wasn’t aware” of the motion is undermined by the record, as the People served the motion on defense counsel in defendant’s presence. And while “[t]he colloquy between the court [and defendant] is on the record” (majority op at 629 n 3 [emphasis added]), defendant’s allegations during that colloquy concern out-of-court matters relating to his attorney’s performance. Because those arguments of ineffectiveness are “based on matters outside the record,” they must be raised by a CPL 440.10 motion and, as such, are “beyond review on this appeal” (*Henderson*, 28 NY3d at 66).

In essence, the majority’s ruling allows a defendant to assert, on a direct appeal in a criminal case, unsubstantiated allegations of counsel’s deficient performance that—when styled as a “right to counsel” violation—will be fully credited without further inquiry. In doing so, the majority permits a defendant to end-run the long-standing requirement that, “unless it is clear from the record” that reversible error occurred, claims of

ineffective assistance must be brought under CPL 440.10 (*People v Evans*, 16 NY3d 571, 575 [2011]; see also *People v Campbell*, 30 NY3d 941, 942-943 [2017]; *Henderson*, 28 NY3d at 66; *People v Maracle*, 19 NY3d 925, 929 [2012]; *People v Haffiz*, 19 NY3d 883, 885 [2012]; *People v Ramos*, 63 NY2d 640, 643 [1984]; *Brown*, 45 NY2d at 853-854).

B.

With regard to the later proceeding, during which defendant was unrepresented, defendant argues—and the majority appears to agree²—that this proceeding also amounted to a critical stage and therefore defendant’s right to counsel was violated. Although the better course would have been for the trial court to adjourn the proceedings until new counsel was appointed, the court’s failure to do so did not amount to a violation of defendant’s constitutional right to counsel because the “proceeding” was not a critical stage within the meaning of the Sixth Amendment.

As the trial court made clear, at the time defendant’s counsel was relieved, the People’s motion had already been decided:

“THE COURT: . . . When I called the case at that time [‘earlier today’], I signed an order for a buccal swab . . . I have signed that order.

“Now, [defendant’s attorney] understood and accepted that; in fact, he consented.”

Once that order was signed, defendant’s “consent” was no longer required; the court was simply asking defendant to comply with the already-signed order:

“THE COURT: . . . [Y]ou mind doing that . . . in

2. The majority does not purport to endorse the Appellate Division’s conclusion that defense counsel’s allegedly deficient performance on the motion, by itself, constituted a right to counsel violation because defendant’s claims are properly understood to allege “nonrepresentation rather than ineffective representation” (143 AD3d at 35, citing *Hurrell-Harring v State of New York*, 15 NY3d 8, 22 [2010]). *Hurrell-Harring* involved a civil class action claim and reviewed the disposition of a motion to dismiss—a stage of the litigation where “[t]he allegations of the complaint must . . . be deemed true and construed in plaintiffs’ favor, affording them the benefit of every reasonable inference” (*Hurrell-Harring*, 15 NY3d at 20). In this case, the Appellate Division’s willingness to accept defendant’s “nonrepresentation” claim, based solely on his self-serving remarks, would represent a dramatic expansion of the constitutional right to counsel: it would permit a defendant’s allegations of ineffectiveness—pertaining to matters outside the record—to establish an automatic error of constitutional dimension.

light of the fact that there has been an order signed by this Court indicating that you have to do that?

. . .

“THE COURT: . . . The motions are finished. All I want to ask you is to cooperate. . . .

“I’m going to ask you to do what I ordered you to do

. . .

“THE COURT: . . . Only reason I’m asking as opposed to telling is because I don’t see any reason to get in a wrestling match downstairs, especially with the arm like you with an injured arm. . . .

“I’m going to tell the officer that they have to do it and force you to do it; but it’s going to be done . . . because I issued the order.”

Patently, the court’s colloquy with defendant had no significance with regard to the underlying motion. By definition, a proceeding cannot be “critical” within the meaning of the Sixth Amendment where, as here, it “was not only noncritical, but, as a matter of law, unnecessary” (*see People v Contreras*, 12 NY3d 268, 273 [2009]).

Nor was defendant entitled to have counsel present during the administration of the buccal swab—a purely ministerial task (*see United States v Wade*, 388 US 218, 227-228 [1967]; majority op at 629 n 1). Indeed, it was by sheer happenstance that the swab was not taken in lockup where, presumably, counsel would not have been present and there would have been no record of defendant’s effort to relitigate the already-decided motion.

III.

Defendant was represented by counsel for the duration of the motion practice on the DNA swab, and his claim of inadequate representation on that motion is beyond the scope of our review. The subsequent proceeding had no bearing on the already-decided motion and therefore cannot amount to a critical stage. I disagree with the majority’s conclusion that defendant’s unsupported claims of dissatisfaction with counsel somehow change that. I would reverse.

Chief Judge DiFIORE and Judges WILSON and FEINMAN concur; Judge GARCIA dissents in an opinion, in which Judges STEIN and FAHEY concur.

Order modified by reinstating the indictment and remitting the case to Supreme Court, Bronx County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[92 NE3d 778, 69 NYS3d 555]

In the Matter of PROMETHEUS REALTY CORP. et al., Respondents, v NEW YORK CITY WATER BOARD et al., Appellants.

Argued November 16, 2017; decided December 19, 2017

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 16, 2017. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol R. Edmead, J.; op 54 Misc 3d 745 [2016]), entered in a CPLR article 78 proceeding, which had (1) adjudged that the May 2016 resolution of the New York City Water Board approving a 2.1% rate increase to water rates and water and wastewater charges for fiscal year 2017 for users of the city water supply and wastewater system and a one-time bill credit for class 1 rate payers was ultra vires and exceeded the Board's statutory authority; (2) adjudged that the May 2016 resolution was arbitrary, capricious and an abuse of discretion; (3) annulled and vacated the rate increase and bill credit provided for in the resolution; (4) enjoined respondents from enforcing or implementing the rate increase and bill credit provided for in the resolution; and (5) adjudged that the fiscal year 2016 Water Board water and wastewater rate schedule shall remain in effect until further action by respondents. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of Supreme Court, properly made?"

Matter of Prometheus Realty Corp. v New York City Water Bd., 147 AD3d 519, reversed.

HEADNOTES

Municipal Corporations — Water and Sewer Rates — Water Rate Increase

1. Respondent New York City Water Board did not exceed its statutory authority in adopting a resolution implementing a water rate increase and issuing a water bill credit for certain property owners. A utility has unfettered discretion to fix rates as it will so long as invidious illicit discriminations are not practiced and differentials are not utterly arbitrary and unsupported by economic or public policy goals, as it reasonably conceives them. Respondent "may take into consideration the views and policies of any elected official or body, or other person" and ultimately "appl[ies] independent judgment in the best interest of the authority, its mission and the public" (Public Authorities Law § 2824 [1] [g]). The class of taxpayers receiving the bill

credit had been excluded for years from rate relief programs and had enjoyed other benefits only if individually eligible based on income or usage. The decision to allocate the relatively modest gain from the City's rent forbearance so as to be meaningful to that large category of ratepayer, without requiring a complex eligibility and application process that would entail administrative costs, was not irrational. The preexisting tax class classifications, singling out single-family households and owners of small apartment buildings, served that purpose. There was no burden on respondents to show that the beneficiaries of the one-time credit were, in terms of their personal finances, more needy in comparison with other landowners.

Municipal Corporations — Water and Sewer Rates — Water Rate Increase Notwithstanding Savings from Rental Forbearance

2. The 2.1% water rate increase adopted by respondent New York City Water Board was justified notwithstanding the savings resulting from the City's forbearance of rent collection from respondent Board. By using the rental forgiveness to dispense the same amount in one-time water bill credits, respondents did not re-create the funding gap it had identified in the original budget. Respondents' expert stated in his affidavit that the elimination of the one-time credit would not have removed the need for the rate increase because respondent Board set water rates to maintain revenue stability over at least a five-year forecast. The decision to preserve the original planned rate increase was not entirely irrational, particularly in light of the fact that respondent Board would have kept the rate increase at around 2% per year. Respondent was not obliged to set the lowest possible rate every year; it could balance rate-setting with other needs and goals. Therefore, respondents' actions fell short of being utterly arbitrary and unsupported by rational goals.

Municipal Corporations — Water and Sewer Rates — Water Rate Increase — Ultra Vires

3. Respondent New York City Water Board did not act ultra vires or levy a tax in adopting a resolution implementing a water rate increase and issuing a water bill credit for certain property owners. Any rate variance can be framed as a decrease in some ratepayers' charges at the expense of other ratepayers, but such a disparity does not amount to impermissible taxation where, as here, the rate increase was tied to a utility's forecast of the cost of furnishing a service.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Public Utilities §§ 63, 64, 73, 78, 79, 86, 90, 97, 134.

McKINNEY'S, Public Authorities Law § 2824 (1) (g).

NY JUR 2d Water §§ 480, 482, 649, 652, 655, 658, 659.

ANNOTATION REFERENCE

See ALR Index under Public Utilities; Rates and Charges.

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POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (*Melanie T. West, Richard Dearing and Devin Slack* of counsel), for appellants. The New York City Water Board had a rational basis for granting the one-time credit to tax class 1 property owners. (*Matter of Village of Scarsdale v Jorling*, 91 NY2d 507; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Big Apple Food Vendors’ Assn. v Street Vendor Review Panel*, 90 NY2d 402; *Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489; *Carey Transp. v Triborough Bridge & Tunnel Auth.*, 38 NY2d 545; *Heller v Doe*, 509 US 312; *Dandridge v Williams*, 397 US 471; *City of Chicago v Shalala*, 189 F3d 598.)

Herrick, Feinstein LLP, New York City (*Michael Berengarten and Jared D. Newman* of counsel), for respondents. I. This Court lacks subject matter jurisdiction because the issues presented have become moot. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Wisholek v Douglas*, 97 NY2d 740; *Koenig v Morin*, 43 NY2d 737; *Matter of Gold-Greenberger v Human Resources Admin. of City of N.Y.*, 77 NY2d 973; *Matter of Leake v Connelie*, 75 AD2d 912; *Matter of Rochdale Vil., Inc. v New York City Water Bd.*, 18 AD3d 664; *Matter of 770 Owners Corp./Allstate Realty Assoc. v City of N.Y. Dept. of Envtl. Protection*, 20 AD3d 572; *Matter of Pistilli Assoc. III, LLC v New York City Water Bd.*, 46 AD3d 905.) II. The credits and rate increase are arbitrary and capricious. (*Matter of Nestle Waters N. Am., Inc. v City of New York*, 121 AD3d 124; *Matter of Ador Realty, LLC v Division of Hous. & Community Renewal*, 25 AD3d 128; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Stone v Farr*, 135 AD3d 775; *Matter of Resto v State of N.Y., Dept. of Motor Vehs.*, 135 AD3d 772; *Matter of Malverne Volunteer Fire Dept. v New York State Off. of Fire Prevention & Control*, 96 AD3d 1062; *Matter of GH Ville v New York City Envtl. Control Bd.*, 194 Misc 2d 503; *Matter of Svenningsen v Passidomo*, 62 NY2d 967; *Matter of Sled Hill Cafe v Hostetter*, 22 NY2d 607; *Matter of Clubside, Inc. v Town Bd., Town of Wallkill*, 297 AD2d 734.) III. The New York City Water Board acted in excess of its authority by excising an

impermissible tax. (*Mason v Clifton Park Water Auth.*, 302 AD2d 818; *Matter of Holtzman v Goldman*, 71 NY2d 564; *Matter of Phillips v Town of Clifton Park Water Auth.*, 286 AD2d 834, 97 NY2d 613; *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158; *Albany Area Bldrs. Assn. v Town of Guilderland*, 141 AD2d 293, 74 NY2d 372; *Coconato v Town of Esopus*, 152 AD2d 39, 76 NY2d 701; *New York Tel. Co. v City of Amsterdam*, 200 AD2d 315; *Town Bd. of Town of Poughkeepsie v City of Poughkeepsie*, 22 AD2d 270; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489.)

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (Steven M. Edwards and Daniel P. Mach of counsel), and Lawrence Levine, Natural Resources Defense Council, New York City, for Natural Resources Defense Council and another, amici curiae. I. The governing statute gives the New York City Water Board discretion in setting rates. (*Giuliani v Hevesi*, 90 NY2d 27; *Perry Thompson Third Co. v City of New York*, 279 AD2d 108; *Matter of Village of Scarsdale v Jorling*, 91 NY2d 507; *Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Carey Transp. v Triborough Bridge & Tunnel Auth.*, 38 NY2d 545.) II. Utilities in this state and throughout the nation have broad discretion to set appropriate rates. (*Matter of New York Tel. Co. v Public Serv. Commn. of State of N.Y.*, 95 NY2d 40; *Matter of Energy Assn. of N.Y. State v Public Serv. Commn. of State of N.Y.*, 169 Misc 2d 924; *Matter of Abrams v Public Serv. Commn. of State of N.Y.*, 67 NY2d 205; *Matter of Natural Resources Defense Council, Inc. v New York State Dept. of Envtl. Conservation*, 25 NY3d 373.) III. This case should be decided on rational-basis review, not jurisdiction, to preserve the New York City Water Board's ability to implement flexible rates. (*Matter of Village of Scarsdale v Jorling*, 91 NY2d 507; *Matter of Phillips v Town of Clifton Park Water Auth.*, 286 AD2d 834; *Matter of Westmoreland Apt. Corp. v New York City Water Bd.*, 294 AD2d 587; *Matter of Fazio v Joy*, 58 NY2d 674; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of 125 Bar Corp. v State Liq. Auth. of State of N.Y.*, 24 NY2d 174; *Matter of Basel v Power*, 44 Misc 2d 127.)

OPINION OF THE COURT

FAHEY, J.

The New York City Water Board collects revenues to keep

the City's water and sewer systems financially self-sustaining. Since the early 1990s, to serve the goal of water conservation, the Water Board has been ushering in a transition from flat-rate fees based on property frontage to a metered rate proportional to actual water usage. To provide relief from increased charges to the owners of larger residential buildings, the Board soon introduced a temporary Frontage Transition Program, whereby owners of buildings containing six or more units were permitted to continue frontage-based billing. In addition, some owners of buildings containing four or more units have benefitted from a Multi-family Conservation Program, which set a fixed annual rate in return for owner investment in low-consumption plumbing fixtures and the like. Owners of smaller residential buildings than these did not enjoy similar benefits related to the transition to metered billing.

The Water Board leases the infrastructure of the water supply and wastewater systems from the City, pursuant to an agreement providing that rental payments are required "only to the extent requested by the City in each Fiscal Year." Historically, the rent was tied to what the City owed on its water- and sewer-related general obligation bonds, but in 2003 the metric whereby the rent was calculated was changed pursuant to the lease, and in time the rent began to exceed the City's debts on these general obligation bonds. The increased payments to the City coincided with a period of regular annual increases in water rates, including double-digit increases from 2007 to 2011. The City and the Board received complaints from ratepayers that the City was enjoying a windfall.

In early April 2016, the Water Board and the New York City Department of Environmental Protection (DEP), which acts as administrator and billing agent for the Board, published a rate proposal notice for fiscal year 2017, with a rate increase of 2.1%, to fund a \$76 million gap between projected needs and revenues. The Water Board and DEP also proposed the extension of a Home Water Assistance Program for low-income, senior, and disabled homeowners; the establishment of a new Multi-family Water Assistance Program for owners of affordable housing, providing a per-unit credit not to exceed \$250; and a rate freeze for account holders using less than 95 gallons of water per day.

At a press conference on April 25, 2016, the Mayor of the City of New York announced that the City would forbear collecting rents from the Water Board through fiscal year 2020,

resulting in a saving of \$122 million in fiscal year 2017. At the same time, the Mayor proposed that the Board issue a one-time bill credit of \$183 for the fiscal year to all account holders that owned properties identified by the City as belonging to tax class 1, a category to which almost 80% of the Water Board's account holders belong. The New York City Department of Finance defines a tax class 1 property as "[m]ost residential property of up to three units (family homes and small stores or offices with one or two apartments attached), and most condominiums that are not more than three stories." The Mayor further proposed that in fiscal years 2018-2020 the savings from the rent forbearance would be passed on to all account holders.

The Water Board accepted the Mayor's proposal and issued a revised notice for fiscal year 2017. On May 20, 2016, following public hearings, the Board adopted a resolution approving both the 2.1% rate increase and the bill credit, as well as the assistance programs and low-consumption rate freeze. The Board published a rate schedule effective July 1, 2016.

Petitioners—various landlords not eligible for the bill credit and a landlords' not-for-profit association—commenced this CPLR article 78 proceeding against the Water Board and DEP, challenging the resolution and rate schedule. They assert that the Water Board's determinations were irrational, arbitrary and capricious, and exceeded the Board's authority.

In reply, respondents submitted an affidavit of Steven W. Lawitts, Acting Commissioner of DEP and Acting Executive Director of the Water Board, explaining the rationale for the bill credit and simultaneous rate increase. The \$183 credit "was directed to class 1 properties in a manner similar to already established programs for multi-unit apartments, seniors, and low-income households." Lawitts added that elimination of the one-time credit would not obviate the need for a significant rate increase, because the Board, by long-standing practice, sets water rates to maintain rate stability over at least a five-year forecast, as is standard in the public water supply industry. He stated that even if the bill credit were eliminated and the rental forbearance dedicated to across-the-board rate mitigation, there would only be "a relatively small reduction" in the rate increase, from 2.1% to 1.9% in fiscal year 2017. Petitioners did not offer expert proof challenging the affidavit.

Supreme Court granted the petition on the basis that increasing the rates while simultaneously giving a bill credit

“amounts to an impermissible tax” (54 Misc 3d 745, 751 [Sup Ct, NY County 2016]). The court held that the resolution and rate schedule were “ultra vires and exceeded the Water Board’s statutory authority” (*id.* at 762, citing CPLR 7803 [2]) and “unreasonable, arbitrary, capricious and an abuse of discretion” (*id.*, citing CPLR 7803 [3]); vacated the resolution and rate schedule; enjoined respondents from implementing the rate increase or bill credit; and ordered that the fiscal year 2016 water and wastewater rate schedule remain in effect until further action by respondents.

The Appellate Division, with one Justice dissenting, affirmed Supreme Court’s judgment (147 AD3d 519 [1st Dept 2017]). The Court rejected the claim that the Water Board’s action was ultra vires, but upheld the lower court on the ground that there was no rational basis for adopting the one-time credit at the same time as a water rate increase (*see id.* at 521-522). The Appellate Division reasoned that tax class 1 owners were not “more needy than other ratepayers,” and that the one-time credit “does not in any manner take into consideration an owner’s ability to pay or customers’ need for this benefit, solely relying on the classification of the property for tax purposes” (*id.* at 523). The Appellate Division further stated that the credit lacked a rational basis because it could not be reconciled with the projected budget shortfall for the year in which the credit was given (*see id.*).

The dissent focused on the standard of review, noting petitioners’ “heavy burden of making a prima facie showing that the Water Board’s determination was purely arbitrary and without any reason, however insufficient, or support in the record” (*id.* at 532 [Kahn, J., dissenting]). The dissenting Justice would have held that “the Water Board’s approval of the credit furthers the economic and public policy goal of providing financial relief to the low and middle-income homeowners comprising many, if not most, of the class 1 property owners,” by “reduc[ing] the disproportionate share of the burden of payment of water bills that has been placed on class 1 property owners in recent years, largely due to recent Water Board programs . . . that provide credits only to ratepayers other than class 1 property owners” (*id.* at 532-534).

The Appellate Division granted respondents leave to appeal, certifying the question whether its order was properly made.

Following a mootness inquiry, we retained jurisdiction over the appeal.* We now reverse.

Our case law holds that a utility has “unfettered discretion to fix [rates] as it will so long as invidious illicit discriminations are not practiced and differentials are *not utterly arbitrary and unsupported by economic or public policy goals, as it reasonably conceives them*” (*Carey Transp. v Triborough Bridge & Tunnel Auth.*, 38 NY2d 545, 553 [1976] [emphasis added]). A petitioner’s task in demonstrating that the rate-setting agency’s determination is unreasonable is appropriately described as a “heavy burden” (see generally *Matter of Nazareth Home of the Franciscan Sisters v Novello*, 7 NY3d 538, 544 [2006]; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326, 331 [1995]).

It is clear from the governing statutes that water and sewer rates may be determined in accordance with public policy goals, and not only economic goals. The Water Board “may take into consideration the views and policies of any elected official or body, or other person” and ultimately “appl[ies] independent judgment in the best interest of the authority, its mission and the public” (Public Authorities Law § 2824 [1] [g]). Moreover, the statutory scheme gives the Board leeway to charge more than the bare minimum necessary for revenue recovery, by stating that the rates are to generate “revenues which, together with other revenues available to the board, if any, shall be *at least* sufficient at all times so that such system or systems shall be placed on a self-sustaining basis” (Public Authorities Law § 1045-g [4] [emphasis added]). In short, New York City’s “Water Board is granted broad authority to set rates for water usage” (*Matter of Village of Scarsdale v Jorling*, 91 NY2d 507, 515 [1998]).

[1] Here, we cannot say that respondents’ actions were “utterly arbitrary and unsupported by economic or public policy goals, as it reasonably conceives them” (*Carey Transp.*, 38 NY2d at 553). Notably, tax class 1 owners as a class had been excluded for years from rate relief programs such as the Frontage Transition Program, and had enjoyed other benefits only if individually eligible based on income or usage. The decision to allocate the relatively modest gain from the rent forbearance

* Respondents assured us that, pending appeal, they would not take any action to supersede the fiscal year 2016 rate schedule. Our adjudication of the merits will result in immediate and practical consequences to the parties.

so as to be meaningful to this very large category of ratepayer, without requiring a complex eligibility and application process that would entail administrative costs, was not irrational. The preexisting tax class classifications, singling out single-family households and owners of small apartment buildings, served this purpose.

Nor would respondents have been wholly irrational to conclude that a division among all account holders, yielding a smaller one-time credit, would have had a negligible impact for owners of large apartment buildings and may not have been passed on to tenants. Moreover, contrary to the Appellate Division's intimation, there was no burden on respondents to show that the beneficiaries of the one-time credit were, in terms of their personal finances, "more needy" in comparison with other landowners (147 AD3d at 523).

In short, the distinction between beneficiaries and others did not have to be drawn with surgical precision (*see generally Carey Transp.*, 38 NY2d at 554; *Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489, 495 [1985]), and must be upheld in the absence of invidious discriminations or a differential that is entirely unsupported by rational goals.

[2] A separate question is whether the rate increase was justified, given the rental forbearance. Petitioners contend that by using the \$122 million in rental forgiveness to dispense the same amount in credits, respondents re-created the funding gap it had identified in the original budget. This argument is undermined by Lawitts's affidavit. He states that elimination of the one-time credit would not remove the need for the rate increase, because the Water Board sets water rates to maintain revenue stability over at least a five-year forecast. The decision to preserve the original planned rate increase was not entirely irrational. This is particularly true in light of the fact that the Board would have kept the rate increase at around 2% per year. The Board is not obliged to set the lowest possible rate every year; it can balance rate-setting with other needs and goals. Applying the well-established deferential standard of review, we conclude that respondents' actions fell short of being utterly arbitrary and unsupported by rational goals.

[3] Finally, we agree with the Appellate Division in one significant respect: respondents did not act *ultra vires* or levy a tax. As respondents point out, "any rate variance can be framed as a decrease in some ratepayers' charges at the expense of

other ratepayers,” but such a disparity does not amount to impermissible taxation where, as here, the rate increase was tied to a utility’s forecast of the cost of furnishing a service (*see generally Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52, 58-59 [1978]).

Accordingly, the order of the Appellate Division should be reversed, with costs, the petition dismissed, and the certified question not answered as unnecessary.

RIVERA, J. (dissenting). We are called upon to consider the propriety of a New York City Water Board decision granting a water bill credit to one service class while simultaneously imposing a system-wide rate increase affecting all users. As a general matter, the Board has authority to issue credits, as well as to increase water bill rates, as it deems necessary and proper to further its statutorily-defined economic and public policy goals. The Board’s decisions, however, must be based on the exercise of independent judgment, and are subject to meaningful judicial review to ensure that they are not unreasonable, unsupported by evidence, or arbitrary and capricious. Our review is narrow, but we abdicate our role as the final check on administrative process if we merely rubber-stamp the Board’s decisions. I disagree with the majority that the Board’s action here survives our scrutiny, because there is no evidence before us that the Board acted rationally in approving the credit and rate increase.

The Board is an independent public entity with broad responsibility for regulating the provision of water to New York City residents. It is organized under our state’s Public Authorities Law as a public benefit corporation,¹ charged with acting “for the benefit of the people of the city and the state, [and] for the improvement of their health, welfare and prosperity” (Public Authorities Law §§ 1045-f [9]; 1046). It is composed of seven members, appointed by the Mayor, at least one of whom must have “experience in the science of water resource development” (*id.* § 1045-f [2]). The Board’s independence is assured by for-cause removal protection for its members, who serve defined two-year terms, are bound by various conflict-of-interest provisions, and enjoy statutorily-guaranteed reimbursement for ex-

1. According to its enabling statute, the Board is “a body corporate and politic, constituting a corporate municipal instrumentality of the state” (Public Authorities Law § 1045-f [1]). This unusual phrase seems to appear only in the public utility context, and does not serve to distinguish the Board from other public authorities.

penses incurred in the performance of their duties (*id.* § 1045-f [2]-[5]).

The Board helps ensure residents of New York City have continuous and plentiful access to clean water. It works in partnership with the City of New York and the New York City Municipal Water Finance Authority to finance and construct water projects (*id.* § 1045-i [1]), and it retains exclusive authority to set rates for the use of New York City’s water and sewerage system (*id.* §§ 1045-f [1]; 1045-j [9]; *see also Matter of Village of Scarsdale v Jorling*, 91 NY2d 507, 515 [1998] [“the Water Board . . . is the sole entity which may (set water rates) with regard to City users”]).

Although the Board has “broad authority to set rates for water usage” (*Matter of Village of Scarsdale*, 91 NY2d at 515), it must exercise informed judgment in doing so. Thus, its actions are cabined by its legislatively-defined public health mission, as well as notice and comment requirements that encourage public participation in the rate-setting process. Public Authorities Law § 1045-j sets forth specific, detailed procedures and limitations to which the Board must adhere as it sets New York City water rates. The rate schedule must be “at least sufficient at all times so as to provide funds in an amount sufficient together with other revenues available to the board” to cover the Board’s many expenses, which include servicing the water system’s debt, paying the City for maintaining and administering the water system, making capital improvements to the water system, accumulating needed financial reserves, and meeting responsibilities under any agreements the Board may enter into (Public Authorities Law § 1045-j [1]; *see also Matter of Village of Scarsdale*, 91 NY2d at 514-515; *Giuliani v Hevesi*, 90 NY2d 27, 34 [1997] [“The Board’s main function is to provide sufficient funds—through fixing and collecting water and sewer charges and other revenues—for the City to operate and maintain the Water System and for the Authority to service water and sewer debt”]). Before setting rates, the Board must hold public hearings, noticed according to statute, in every borough of New York City (Public Authorities Law § 1045-j [3], [9-a]). All affected users wishing to testify must be heard (*id.* § 1045-j [3]). The Board’s subsequent determination must be made in writing, made available for public inspection, and widely publicized before new rates may go into effect (*id.*).

We review the Board’s rate-setting under the standard applicable to all public benefit corporation rate-setting activities. As

a general matter, “in the operation of its facilities[, a rate-setting entity] may fix tolls and charges which in its judgment will best serve its economic goals and public policy goals” (*Carey Transp. v Triborough Bridge & Tunnel Auth.*, 38 NY2d 545, 550 [1976]). This can include treating different categories of users differently—so-called “economic differentiation”—so long as the classification adopted does “not involve[] any of the invidious discriminations condemned by statute or Constitution, or some utterly arbitrary discrimination not related to economic considerations or some accepted public goal” (*id.*). Rates need not be determined with “mathematical nicety” and will not be set aside simply “because in practice [they] result[] in some inequality” (*Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489, 495 [1985] [internal quotation marks omitted]).

All rates and rate classifications must nevertheless pass rational basis review (see *Matter of Murphy v New York State Div. of Hous. & Community Renewal*, 21 NY3d 649, 652 [2013]; *Elmwood-Utica Houses*, 65 NY2d at 495-496; see also *Carey Transp.*, 38 NY2d at 556 [subjecting the Triborough Bridge and Tunnel Authority’s rate classifications to rational basis review]). It is, admittedly, a “heavy burden” to show that a rate-setting methodology “is unreasonable and unsupported by any evidence” (*Matter of Nazareth Home of the Franciscan Sisters v Novello*, 7 NY3d 538, 544 [2006]). Still, courts must assess public authority rate determinations to ensure that they are not arbitrary or capricious. In reviewing an authority’s rate schedule, then, courts must scrutinize authority action to make certain that it complies with all applicable statutes, does not violate any protections imposed by statute or the Constitution, and has a rational basis (*Carey Transp.*, 38 NY2d at 550; *Elmwood-Utica Houses*, 65 NY2d at 495). It is axiomatic that an agency cannot have acted rationally if it fails to engage in a reasoned assessment of the facts and issues before pronouncing judgment.

The record of events in this case establishes that the Board’s decision to issue a one-time \$183 credit to class 1 property owners while simultaneously imposing a 2.1% rate increase is not a result of the exercise of independent judgment and was therefore irrational. The credit, payable only to owners of one-, two-, and three-family homes, re-created a budgetary shortfall that had been more than eliminated by the City’s forbearance

of \$122 million in Board-owed rental payments. The Board nevertheless kept its proposed 2.1% rate increase for fiscal year 2017, but changed its justification, claiming that the rate increase was necessary to close the gap the Board itself created with its credit. As the administrative procedural history of the Board's decision illustrates, this new rate schedule, to the extent it provided for the credit and rate increase, lacked a rational basis as required by law.

In the recent past, the Board has imposed relatively high rate increases, including a 14.5% increase in 2009. In accordance with Public Authorities Law § 1045-j (1), the revenue generated by these rates has been used to pay for maintenance, debt service on capital projects and improvements, and, pursuant to an agreement with the City of New York, annual lease payments to New York City for rental of the City's water system. The rate-setting process for fiscal year 2017 began with an April 8, 2016 Board meeting, at which the Board's members discussed a 2.1% rate increase, along with four specific proposals to extend and expand Board programs to provide rate relief and encourage water conservation among particular categories of users.² That same day, the Board issued public notice that its new rates and program changes would go into effect on July 1, 2016, and laid out a schedule of public hearings at which they would be discussed. The minutes from the April 8 Board meeting conclusively establish that the 2.1% rate increase was necessary to "fill the [projected] \$76 million funding gap" for the upcoming year. Those projections included a \$122 million rental payment to the City.

Approximately two weeks later, on April 25, 2016, the Mayor of the City of New York, acting within authority conferred on him by the agreement between the Board and the City for the lease of the water system, announced that he would not request any of the \$244 million rental payment due under the lease

2. The four class-based programs considered at the April 8 meeting included: (1) "[a] freeze of the minimum charge for meter-billed customers"; (2) "[a]n increase in the annual credit . . . and an expansion of program eligibility to include additional senior property owners" for the "Home Water Assistance Program"; (3) "a credit not to exceed \$250 per unit for qualified multi-family affordable housing properties"; and (4) "an extension of the grace period for [properties that were automatically enrolled in the Multi-family Conservation Program] . . . and a change in the charge for non-compliance."

and that this forbearance would apply through fiscal year 2020.³ In the same speech, the Mayor proposed that the uncollected rental payments go directly to a one-time \$183 credit on water and sewer bills for each of the approximately 664,000 account holders in class 1—one-, two-, and three-family homeowners. As the Mayor saw it, “[f]or decades the City has been using the water bill as a cash cow for the general treasury,” which, he believed was “not right.” This credit was intended “to give something back to so many hardworking homeowners all over this city who deserve a break.”

Two days after the Mayor’s announcement, on April 27, 2016, the Board issued a new notice for public hearings on its fiscal year 2017 rate schedule. This new announcement included the same 2.1% rate-hike proposed and discussed at the April 8 meeting, and was otherwise identical to the prior rate schedule notice, with a single exception. Without explanation, the new notice included a new Board project: an added proposal for “[a] bill credit based on the [fiscal year] 2017 elimination of the rental payment.” On May 20, 2016, over objections from various elected officials and certain users, the Board adopted the new rate schedule as proposed, including the “one-time bill credit of \$183 based on the elimination of the [fiscal year] 2017 rental payment for each water and sewer account identified by [the Department of Finance] as a Tax Class 1 property.”

Even under the most charitable reading of this chronology, only one conclusion is possible: the Board failed to adhere to its statutory requirements and did not engage in an independent assessment of the potential impact of the rent-forbearance on the Board’s legislatively-mandated economic and public policy goals. Yet that is exactly what the Board must do. Of course, the Board has broad authority to set rates that will cover debt service and ensure that the water system is self-sustaining (*see* Public Authorities Law §§ 1045-j [1]; 1045-g [4]). This requires that the Board consider costs, liabilities, future project expenses, and payment burdens on financially vulnerable service users, as well as prospective revenues. However, there is no record support here that the Board did any of these types of analyses. The Board’s two-day turnaround on the second notice of its proposed rate schedule and its immediate adoption of the Mayor’s proposed credit—down to the exact dollar, without any

3. The Mayor had announced earlier that, in fiscal year 2017, the City only planned to seek 50% of the rent it was owed.

suggestion of a Board plan for how to capitalize on the City's announced multi-year forbearance—shows no evidence that the Board gave this proposal the consideration that rate-setting requires, particularly where there is nothing to suggest that the Board had previously considered whether to provide class 1 homeowners with specific relief distinct from that provided to other classes of users. Such action does not entitle the Board's rate-setting decision to judicial deference, because the Board did not “apply . . . judgmental considerations based upon the expertise and experience of the agency” (*Matter of Catholic Med. Ctr. of Brooklyn & Queens v Department of Health of State of N.Y.*, 48 NY2d 967, 968-969 [1979]; see also *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326, 331 [1995] [“An administrative agency's exercise of its rule-making powers is accorded a high degree of judicial deference, especially when the agency acts in the area of its particular expertise”]; see generally 24 Carmody-Wait 2d § 145:35 [noting that New York courts defer to agency determinations that fall within the agency's area of expertise]).

The City argues that the Board was entitled to take the Mayor's proposal into account in reaching its rate-setting determination. Assuming the City and majority are correct that Public Authorities Law § 2824 (1) (g) entitles Board members to “take into consideration the views and policies of any elected official or body” (majority op at 646), the same statutory provision requires that Board members “ultimately apply independent judgment in the best interest of the authority, its mission and the public.” There is simply no record support for the proposition that the Board did so here.

The Mayor's forbearance of rental payments through 2020 to address what he identified as an unfair burden caused by the City's demand for rental payments directed to the general treasury, rather than solely to the City's water needs, is a laudable goal. It is not, however, the Board's prerogative to cure what the City perceives as inequities in the manner proposed by the Mayor unless the Board engages in its own considered assessment that leads it to conclude that, in furtherance of its own statutory mandate and goals, it should grant a credit of its own volition, in the same amount, to the same class of users.

As it has in the past, the Board acts within its authority and mission by setting rates and adopting programs that promote conservation, encourage modernization of the water system, and promote equity by providing financial relief to seniors and

low-income customers (*see* Public Authorities Law §§ 1045-j [1]; 1045-g; James C. Bonbright et al., *Principles of Public Utility Rates*, Chapter 8: Social Principles of Ratemaking [2d ed 1998]; brief of amici curiae Natural Resources Defense Council and the Public Utility Law Project of New York, Inc. at 19). Here, the Board provided no rational basis for how the credit fits within these goals, as it provided no analysis about how it reached the same conclusion as the Mayor—i.e. that a \$183 credit to a class of homeowners addressed a historically-unfair burden.

An agency's departure from a settled course of behavior may suggest the absence of informed reasoning or arbitrary decisionmaking (*see Motor Vehicle Mfrs. Assn. of United States, Inc. v State Farm Mut. Automobile Ins. Co.*, 463 US 29, 41-42 [1983]). Critically, the credit departs from the Board's prior programs of economic differentiation. Those rate-differentials and special programs had distinguished between users on the basis of financial need, as measured by specific defined criteria, or in the interest of implementing programs encouraging user behavior that furthered the Board's long-term conservation and modernization goals. Here, the Board did not even attempt to fit the credit into this framework.

The Board's additional explanations for the 2.1% increase are post hoc justifications that are not substantiated by the record. The Board seeks to apply the same analysis it relied on at the April 8 meeting, before the announcement of the rent forbearance, to support a rate hike that was no longer necessary. Yet, the record lacks any reasoning for reinstating a budgetary shortfall, since there was money available to close this fiscal gap. By statute, the Board must fix its fees and rates "in such amount at least sufficient at all times so as to provide funds in an amount sufficient together with other revenues available to the board" to pay its obligations, service water system debt, and generally "place[] [the water system] on a self-sustaining basis" (Public Authorities Law §§ 1045-j [1]; 1045-g [4]). This mandate does not, and cannot, include increasing a shortfall without explanation when funds are available to pay it down.

This is not to say that the Board, in furtherance of the public interest, cannot seek to provide customer relief through special programs. For example, in the past it has implemented a reduced, alternative rate schedule for certain multifamily dwellings and class 2 property owners with buildings contain-

ing six or more units (the Frontage Transition Program), offered bill credits to account holders participating in Department of Environmental Protection lead and copper monitoring programs, and passed on administrative savings to account holders who switch to e-billing. Similarly, the four proposals included in the Board's proposed fiscal year 2017 rate schedule focused on specific categories of users in need of assistance, targeting meter-billed customers, seniors with incomes below \$50,000, multifamily affordable housing properties, and account holders still in the process of transitioning to more efficient water usage. Certainly it is for the Board to determine how best to deploy resources to address the disparate circumstances of those who use its services. What it cannot do is change course from its original proposed rate schedule to reinstate a shortfall without first considering how using the forbearance as a credit to a class of homeowners comports with its own statutorily-defined economic and public policy goals.

While the Court may not substitute its judgment for that of the Board, we cannot ignore our responsibility to ensure the Board's rate increase is based on its independent rational judgment. As I see it, the record lacks any indicia that the Board exercised any judgment at all. I dissent.

Judges STEIN, GARCIA, WILSON and FEINMAN concur; Judge RIVERA dissents in an opinion, in which Chief Judge DiFIORE concurs.

Order reversed, with costs, petition dismissed, and certified question not answered as unnecessary.

[93 NE3d 882, 70 NYS3d 157]

KELLY FORMAN, Respondent, v MARK HENKIN, Appellant.

Argued January 2, 2018; decided February 13, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 17, 2015. The Appellate Division order, insofar as appealed from, modified, on the law and the facts, an order of the Supreme Court, New York County (Lucy Billings, J.; op 2014 NY Slip Op 30679[U] [2014]), which had, to the extent appealed from as limited by the briefs, granted defendant's motion to compel to the extent of directing plaintiff to produce all photographs of plaintiff privately posted on Facebook prior to the accident at issue that she intends to introduce at trial, all photographs of plaintiff privately posted on Facebook after the accident that do not show nudity or romantic encounters, and authorizations for defendant to obtain records from Facebook showing each time plaintiff posted a private message after the accident and the number of characters or words in those messages. The modification consisted of vacating those portions of the order directing plaintiff to produce photographs of herself posted to Facebook after the accident that she does not intend to introduce at trial, and authorizations related to plaintiff's private Facebook messages. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by this Court, properly made?"

Forman v Henkin, 134 AD3d 529, reversed.

HEADNOTES**Disclosure — Scope of Disclosure — Social Media Information**

1. The threshold inquiry for courts addressing disputes over the scope of social media discovery is not whether the materials sought are private but whether they are reasonably calculated to contain relevant information. There is no need for a specialized or heightened factual predicate to avoid improper "fishing expeditions." Courts should first consider the nature of the event giving rise to the litigation and the injuries claimed, as well as any other information specific to the case, to assess whether relevant material is likely to be found on a Facebook account. Second, balancing the potential utility of the information sought against any specific "privacy" or other concerns raised by the account holder, the court should issue an order tailored to the particular controversy that identifies the types of materials that must be disclosed while avoiding disclosure of nonrelevant materials. In a personal injury case it is appropriate to consider the nature of the underlying incident

and the injuries claimed and to craft a rule for discovering information specific to each. Temporal limitations may also be appropriate. To the extent the account may contain sensitive or embarrassing materials of marginal relevance, the account holder can seek protection from the court.

**Disclosure — Scope of Disclosure — Social Media Information
Depicting Post-Accident Activities and Limitations — Material
and Necessary to Litigation**

2. In a personal injury action in which defendant sought access to plaintiff's Facebook account, which purportedly contained photographs and written postings material to her allegations of cognitive deficits and loss of her active lifestyle following her fall from a horse owned by defendant, the Appellate Division erred in modifying Supreme Court's order to further restrict disclosure of plaintiff's Facebook account, limiting discovery to only those photographs plaintiff intended to introduce at trial. With respect to the items Supreme Court had ordered to be disclosed—all photographs of plaintiff privately posted on Facebook prior to the accident that she intended to introduce at trial, all photographs of plaintiff privately posted on Facebook after the accident that did not show nudity or romantic encounters, and authorizations for Facebook records showing each time plaintiff posted a private message after the accident and the number of characters or words in those messages—defendant met his threshold burden of showing that plaintiff's Facebook account was reasonably likely to yield relevant evidence. At her deposition, plaintiff indicated that, during the period prior to the accident, she posted "a lot" of photographs showing her active lifestyle. Likewise, given plaintiff's acknowledged tendency to post photographs representative of her activities on Facebook, there was a basis to infer that photographs she posted after the accident might be reflective of her post-accident activities and/or limitations. The request for those photographs was reasonably calculated to yield evidence relevant to plaintiff's assertion that she could no longer engage in the activities she enjoyed before the accident and that she had become reclusive. In addition, it was reasonably likely that the data revealing the timing and number of characters in posted messages would be relevant to plaintiff's claim that she suffered cognitive injuries that caused her to have difficulty writing and using the computer.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Computers and the Internet §§ 23, 51; AM JUR
2d Depositions and Discovery §§ 19–20, 22, 31, 73.

CARMODY-WAIT 2d Disclosure §§ 42:249–42:250, 42:252,
42:256, 42:258, 42:328.

NY JUR 2d Disclosure §§ 172, 178, 180, 217–218, 314–315.

SIEGEL, NY PRAC §§ 343–344, 353.

ANNOTATION REFERENCE

Expectation of Privacy in and Discovery of Social
Networking Web Site Postings and Communications. 88
ALR6th 319.

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POINTS OF COUNSEL

Wade Clark Mulcahy, LLP, New York City (*Michael A. Bono, Brian Gibbons* and *Christopher J. Soverow* of counsel), for appellant. I. Plaintiff’s Facebook records are material and necessary to the defense. (*DiMichel v South Buffalo Ry. Co.*, 80 NY2d 184; *Allen v Crowell-Collier Publ. Co.*, 21 NY2d 403; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *Hoenig v Westphal*, 52 NY2d 605; *Romano v Steelcase Inc.*, 30 Misc 3d 426; *Patterson v Turner Constr. Co.*, 88 AD3d 617; *Richards v Hertz Corp.*, 100 AD3d 728; *Kregg v Maldonado*, 98 AD3d 1289; *Johnson v Ingalls*, 95 AD3d 1398; *Fawcett v Altieri*, 38 Misc 3d 1022.) II. Mandatory in camera inspection is an unnecessary and unduly burdensome hurdle to disclosure. (*Spearin v Linmar, L.P.*, 129 AD3d 528; *Nieves v 30 Ellwood Realty LLC*, 39 Misc 3d 63; *Patterson v Turner Constr. Co.*, 88 AD3d 617; *Richards v Hertz Corp.*, 100 AD3d 728; *Gonzalez v City of New York*, 47 Misc 3d 1220[A], 2015 NY Slip Op 50712[U].)

Pollack Pollack Isaac & DeCicco, LLP, New York City (*Kenneth J. Gorman* and *Brian J. Isaac* of counsel), and *Siegel & Coonerty, LLP*, for respondent. The First Department’s decision comported with traditional discovery rules. (*Richards v Hertz Corp.*, 100 AD3d 728; *Kregg v Maldonado*, 98 AD3d 1289; *McCann v Harleysville Ins. Co. of N.Y.*, 78 AD3d 1524; *DiMichel v South Buffalo Ry. Co.*, 80 NY2d 184; *Hoenig v Westphal*, 52 NY2d 605; *Prink v Rockefeller Ctr.*, 48 NY2d 309; *Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952; *O’Neill v Oakgrove Constr.*, 71 NY2d 521, 72 NY2d 910; *Tapp v New York State Urban Dev. Corp.*, 102 AD3d 620; *Winchell v Lopiccolo*, 38 Misc 3d 458.)

Vincent P. Pozzuto, Defense Association of New York, Inc. (*Andrew Zajac, Rona L. Platt, Brendan T. Fitzpatrick* and *Amanda L. Nelson* of counsel), for Defense Association of New York, Inc., amicus curiae. The majority opinion of the Appellate Division runs afoul of New York’s established standard on discovery matters which promotes liberal disclosure. (*Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 27 NY3d 616; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *Cynthia B. v New Rochelle Hosp. Med. Ctr.*, 60 NY2d 452; *Reid v Soultz*, 138 AD3d 1091; *Patterson v Turner Constr. Co.*, 88 AD3d 617; *Johnson v Ingalls*, 95 AD3d 1398; *Hoenig v Westphal*,

52 NY2d 605; *Romano v Steelcase Inc.*, 30 Misc 3d 426; *Palma v Metro PCS Wireless, Inc.*, 18 F Supp 3d 1346; *Williams v New York City Hous. Auth.*, 22 AD3d 315.)

OPINION OF THE COURT

Chief Judge DiFiore.

In this personal injury action, we are asked to resolve a dispute concerning disclosure of materials from plaintiff's Facebook account.

Plaintiff alleges that she was injured when she fell from a horse owned by defendant, suffering spinal and traumatic brain injuries resulting in cognitive deficits, memory loss, difficulties with written and oral communication, and social isolation. At her deposition, plaintiff stated that she previously had a Facebook account on which she posted "a lot" of photographs showing her pre-accident active lifestyle but that she deactivated the account about six months after the accident and could not recall whether any post-accident photographs were posted. She maintained that she had become reclusive as a result of her injuries and also had difficulty using a computer and composing coherent messages. In that regard, plaintiff produced a document she wrote that contained misspelled words and faulty grammar in which she represented that she could no longer express herself the way she did before the accident. She contended, in particular, that a simple email could take hours to write because she had to go over written material several times to make sure it made sense.

Defendant sought an unlimited authorization to obtain plaintiff's entire "private" Facebook account, contending the photographs and written postings would be material and necessary to his defense of the action under CPLR 3101 (a). When plaintiff failed to provide the authorization (among other outstanding discovery), defendant moved to compel, asserting that the Facebook material sought was relevant to the scope of plaintiff's injuries and her credibility. In support of the motion, defendant noted that plaintiff alleged that she was quite active before the accident and had posted photographs on Facebook reflective of that fact, thus affording a basis to conclude her Facebook account would contain evidence relating to her activities. Specifically, defendant cited the claims that plaintiff can no longer cook, travel, participate in sports, horseback ride, go to the movies, attend the theater, or go boating, contending that photographs and messages she posted on Facebook would

likely be material to these allegations and her claim that the accident negatively impacted her ability to read, write, word-find, reason and use a computer.

Plaintiff opposed the motion arguing, as relevant here, that defendant failed to establish a basis for access to the “private” portion of her Facebook account because, among other things, the “public” portion contained only a single photograph that did not contradict plaintiff’s claims or deposition testimony. Plaintiff’s counsel did not affirm that she had reviewed plaintiff’s Facebook account, nor allege that any specific material located therein, although potentially relevant, was privileged or should be shielded from disclosure on privacy grounds. At oral argument on the motion, defendant reiterated that the Facebook material was reasonably likely to provide evidence relevant to plaintiff’s credibility, noting for example that the timestamps on Facebook messages would reveal the amount of time it takes plaintiff to write a post or respond to a message. Supreme Court inquired whether there is a way to produce data showing the timing and frequency of messages without revealing their contents and defendant acknowledged that it would be possible for plaintiff to turn over data of that type, although he continued to seek the content of messages she posted on Facebook.

Supreme Court granted the motion to compel to the limited extent of directing plaintiff to produce all photographs of herself privately posted on Facebook prior to the accident that she intends to introduce at trial, all photographs of herself privately posted on Facebook after the accident that do not depict nudity or romantic encounters, and an authorization for Facebook records showing each time plaintiff posted a private message after the accident and the number of characters or words in the messages (2014 NY Slip Op 30679[U] [2014]). Supreme Court did not order disclosure of the content of any of plaintiff’s written Facebook posts, whether authored before or after the accident.

Although defendant was denied much of the disclosure sought in the motion to compel, only plaintiff appealed to the Appellate Division.¹ On that appeal, the Court modified by limiting disclosure to photographs posted on Facebook that

1. Defendant’s failure to appeal Supreme Court’s order impacts the scope of his appeal in this Court. “Our review of [an] Appellate Division order is ‘limited to those parts of the [order] that have been appealed and that aggrieve the appealing party’” (*Hain v Jamison*, 28 NY3d 524, 534 n 3 [2016],

(n. cont’d)

plaintiff intended to introduce at trial (whether pre- or post-accident) and eliminating the authorization permitting defendant to obtain data relating to post-accident messages, and otherwise affirmed (134 AD3d 529 [2015]). Two Justices dissented, concluding defendant was entitled to broader access to plaintiff's Facebook account and calling for reconsideration of that Court's recent precedent addressing disclosure of social media information as unduly restrictive and inconsistent with New York's policy of open discovery. The Appellate Division granted defendant leave to appeal to this Court, asking whether its order was properly made. We reverse, reinstate Supreme Court's order and answer that question in the negative.

Disclosure in civil actions is generally governed by CPLR 3101 (a), which directs: "[t]here shall be full disclosure of all matter material and necessary in the prosecution or defense of an action, regardless of the burden of proof." We have emphasized that "[t]he words, 'material and necessary', are . . . to be interpreted liberally to require disclosure, upon request, of any facts bearing on the controversy which will assist preparation for trial by sharpening the issues and reducing delay and prolixity. The test is one of usefulness and reason" (*Allen v Crowell-Collier Publ. Co.*, 21 NY2d 403, 406 [1968]; *see also Andon v 302-304 Mott St. Assoc.*, 94 NY2d 740, 746 [2000]). A party seeking discovery must satisfy the threshold requirement that the request is reasonably calculated to yield information that is "material and necessary"—i.e., relevant—regardless of whether discovery is sought from another party (*see* CPLR 3101 [a] [1]) or a nonparty (CPLR 3101 [a] [4]; *see e.g. Matter of Kapon v Koch*, 23 NY3d 32 [2014]). The "statute embodies the policy determination that liberal discovery encourages fair and effective resolution of disputes on the merits, minimizing the possibility for ambush and unfair surprise" (*Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371, 376 [1991]).

The right to disclosure, although broad, is not unlimited. CPLR 3101 itself "establishes three categories of protected materials, also supported by policy considerations: privileged matter, absolutely immune from discovery (CPLR 3101 [b]); at-

quoting *Hecht v City of New York*, 60 NY2d 57, 61 [1983]). Because defendant did not cross-appeal and, thus, sought no affirmative relief from the Appellate Division, he is aggrieved by the Appellate Division order only to the extent it further limited Supreme Court's disclosure order.

torney's work product, also absolutely immune (CPLR 3101 [c]); and trial preparation materials, which are subject to disclosure only on a showing of substantial need and undue hardship" (*Spectrum* at 376-377). The burden of establishing a right to protection under these provisions is with the party asserting it—"the protection claimed must be narrowly construed; and its application must be consistent with the purposes underlying the immunity" (*id.* at 377).

In addition to these restrictions, this Court has recognized that "litigants are not without protection against unnecessarily onerous application of the discovery statutes. Under our discovery statutes and case law, competing interests must always be balanced; the need for discovery must be weighed against any special burden to be borne by the opposing party" (*Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952, 954 [1998] [citations and internal quotation marks omitted]; see CPLR 3103 [a]). Thus, when courts are called upon to resolve a dispute,² discovery requests "must be evaluated on a case-by-case basis with due regard for the strong policy supporting open disclosure . . . Absent an [error of law or an] abuse of discretion," this Court will not disturb such a determination (*Andon*, 94 NY2d at 747; see *Kavanagh*, 92 NY2d at 954).³

Here, we apply these general principles in the context of a dispute over disclosure of social media materials. Facebook is a

2. While courts have the authority to oversee disclosure, by design the process often can be managed by the parties without judicial intervention. If the party seeking disclosure makes a targeted demand for relevant, non-privileged materials (see CPLR 3120 [1] [i]; [2] [permitting a demand for items within the other party's "possession, custody or control," which "shall describe each item and category with reasonable particularity"]), counsel for the responding party—after examining any potentially responsive materials—should be able to identify and turn over items complying with the demand. Attorneys, while functioning as advocates for their clients' interests, are also officers of the court who are expected to make a bona fide effort to properly meet their obligations in the disclosure process. When the process is functioning as it should, there is little need for a court in the first instance to winnow the demand or exercise its in camera review power to cull through the universe of potentially responsive materials to determine which are subject to discovery.

3. Further, the Appellate Division has the power to exercise independent discretion—to substitute its discretion for that of Supreme Court, even when it concludes Supreme Court's order was merely improvident and not an abuse of discretion—and when it does so applying the proper legal principles, this Court will review the resulting Appellate Division order under the deferential "abuse of discretion" standard (see e.g. *Andon*; *Kavanagh*; see generally *Kapon*).

social networking website “where people can share information about their personal lives, including posting photographs and sharing information about what they are doing or thinking” (*Romano v Steelcase Inc.*, 30 Misc 3d 426, 429 [Sup Ct, Suffolk County 2010]). Users create unique personal profiles, make connections with new and old “friends” and may “set privacy levels to control with whom they share their information” (*id.* at 429-430). Portions of an account that are “public” can be accessed by anyone, regardless of whether the viewer has been accepted as a “friend” by the account holder—in fact, the viewer need not even be a fellow Facebook account holder (see Facebook, Help Center, *What audiences can I choose from when I share?*, https://www.facebook.com/help/211513702214269?helpref=faq_content [last accessed Jan. 15, 2018]). However, if portions of an account are “private,” this typically means that items are shared only with “friends” or a subset of “friends” identified by the account holder (*id.*). While Facebook—and sites like it—offer relatively new means of sharing information with others, there is nothing so novel about Facebook materials that precludes application of New York’s long-standing disclosure rules to resolve this dispute.

On appeal in this Court, invoking New York’s history of liberal discovery, defendant argues that the Appellate Division erred in employing a heightened threshold for production of social media records that depends on what the account holder has chosen to share on the public portion of the account. We agree. Although it is unclear precisely what standard the Appellate Division applied, it cited its prior decision in *Tapp v New York State Urban Dev. Corp.* (102 AD3d 620 [1st Dept 2013]), which stated: “To warrant discovery, defendants must establish a factual predicate for their request *by identifying relevant information in plaintiff’s Facebook account*—that is, information that ‘contradicts or conflicts with plaintiff’s alleged restrictions, disabilities, and losses, and other claims’” (*id.* at 620 [emphasis added]). Several courts applying this rule appear to have conditioned discovery of material on the “private” portion of a Facebook account on whether the party seeking disclosure demonstrated there was material in the “public” portion that tended to contradict the injured party’s allegations in some respect (see e.g. *Spearin v Linmar, L.P.*, 129 AD3d 528 [1st Dept 2015]; *Nieves v 30 Ellwood Realty LLC*, 39 Misc 3d 63 [App Term, 1st Dept 2013]; *Pereira v City of New York*, 40 Misc 3d 1210[A], 2013 NY Slip Op 51091[U] [Sup Ct, Queens

County 2013]; *Romano*, 30 Misc 3d 426). Plaintiff invoked this precedent when arguing, in opposition to the motion to compel, that defendant failed to meet the minimum threshold permitting discovery of any Facebook materials.

Before discovery has occurred—and unless the parties are already Facebook “friends”—the party seeking disclosure may view only the materials the account holder happens to have posted on the public portion of the account. Thus, a threshold rule requiring that party to “identify[] relevant information in [the] Facebook account” effectively permits disclosure only in limited circumstances, allowing the account holder to unilaterally obstruct disclosure merely by manipulating “privacy” settings or curating the materials on the public portion of the account.⁴ Under such an approach, disclosure turns on the extent to which some of the information sought is already accessible—and not, as it should, on whether it is “material and necessary in the prosecution or defense of an action” (*see* CPLR 3101 [a]).

New York discovery rules do not condition a party’s receipt of disclosure on a showing that the items the party seeks actually exist; rather, the request need only be appropriately tailored and reasonably calculated to yield relevant information. Indeed, as the name suggests, the purpose of discovery is to determine if material relevant to a claim or defense exists. In many if not most instances, a party seeking disclosure will not be able to demonstrate that items it has not yet obtained contain material evidence. Thus, we reject the notion that the account holder’s so-called “privacy” settings govern the scope of disclosure of social media materials.

That being said, we agree with other courts that have rejected the notion that commencement of a personal injury action renders a party’s entire Facebook account automatically

4. This rule has been appropriately criticized by other courts. As one federal court explained,

“[t]his approach can lead to results that are both too broad and too narrow. On the one hand, a plaintiff should not be required to turn over the private section of his or her Facebook profile (which may or may not contain relevant information) merely because the public section undermines the plaintiff’s claims. On the other hand, a plaintiff should be required to review the private section and produce any relevant information, regardless of what is reflected in the public section Furthermore, this approach improperly shields from discovery the information of Facebook users who do not share any information publicly” (*Giacchetto v Patchogue-Medford Union Free Sch. Dist.*, 293 FRD 112, 114 n 1 [ED NY 2013]).

discoverable (see e.g. *Kregg v Maldonado*, 98 AD3d 1289, 1290 [4th Dept 2012] [rejecting motion to compel disclosure of all social media accounts involving injured party without prejudice to narrowly-tailored request seeking only relevant information]; *Giacchetto*, 293 FRD at 115; *Kennedy v Contract Pharmacal Corp.*, 2013 WL 1966219, *2, 2013 US Dist LEXIS 67839, *3-4 [ED NY, May 13, 2013, No. CV 12-2664 (JFB) (ETB)]). Directing disclosure of a party's entire Facebook account is comparable to ordering discovery of every photograph or communication that party shared with any person on any topic prior to or since the incident giving rise to litigation—such an order would be likely to yield far more nonrelevant than relevant information. Even under our broad disclosure paradigm, litigants are protected from “unnecessarily onerous application of the discovery statutes” (*Kavanagh*, 92 NY2d at 954).

[1] Rather than applying a one-size-fits-all rule at either of these extremes, courts addressing disputes over the scope of social media discovery should employ our well-established rules—there is no need for a specialized or heightened factual predicate to avoid improper “fishing expeditions.” In the event that judicial intervention becomes necessary, courts should first consider the nature of the event giving rise to the litigation and the injuries claimed, as well as any other information specific to the case, to assess whether relevant material is likely to be found on the Facebook account. Second, balancing the potential utility of the information sought against any specific “privacy” or other concerns raised by the account holder, the court should issue an order tailored to the particular controversy that identifies the types of materials that must be disclosed while avoiding disclosure of nonrelevant materials. In a personal injury case such as this it is appropriate to consider the nature of the underlying incident and the injuries claimed and to craft a rule for discovering information specific to each. Temporal limitations may also be appropriate—for example, the court should consider whether photographs or messages posted years before an accident are likely to be germane to the litigation. Moreover, to the extent the account may contain sensitive or embarrassing materials of marginal relevance, the account holder can seek protection from the court (see CPLR 3103 [a]). Here, for example, Supreme Court exempted from disclosure any photographs of plaintiff depicting nudity or romantic encounters.

Plaintiff suggests that disclosure of social media materials necessarily constitutes an unjustified invasion of privacy. We

assume for purposes of resolving the narrow issue before us that some materials on a Facebook account may fairly be characterized as private.⁵ But even private materials may be subject to discovery if they are relevant. For example, medical records enjoy protection in many contexts under the physician-patient privilege (see CPLR 4504). But when a party commences an action, affirmatively placing a mental or physical condition in issue, certain privacy interests relating to relevant medical records—including the physician-patient privilege—are waived (see *Arons v Jutkowitz*, 9 NY3d 393, 409 [2007]; *Dillenbeck v Hess*, 73 NY2d 278, 287 [1989]). For purposes of disclosure, the threshold inquiry is not whether the materials sought are private but whether they are reasonably calculated to contain relevant information.

[2] Applying these principles here, the Appellate Division erred in modifying Supreme Court's order to further restrict disclosure of plaintiff's Facebook account, limiting discovery to only those photographs plaintiff intended to introduce at trial.⁶ With respect to the items Supreme Court ordered to be disclosed (the only portion of the discovery request we may consider), defendant more than met his threshold burden of showing that plaintiff's Facebook account was reasonably likely to yield relevant evidence. At her deposition, plaintiff indicated that, during the period prior to the accident, she posted "a lot" of photographs showing her active lifestyle. Likewise, given plaintiff's acknowledged tendency to post photographs representative of her activities on Facebook, there was a basis to infer that photographs she posted after the accident might be reflective of her post-accident activities and/or limitations. The

5. There is significant controversy on that question. Views range from the position taken by plaintiff that anything shielded by privacy settings is private, to the position taken by one commentator that "anything contained in a social media website is not 'private' . . . [S]ocial media exists to facilitate social behavior and is not intended to serve as a personal journal shielded from others or a database for storing thoughts and photos" (McPeak, *The Facebook Digital Footprint: Paving Fair and Consistent Pathways to Civil Discovery of Social Media Data*, 48 Wake Forest L Rev 887, 929 [2013]).

6. Because plaintiff would be unlikely to offer at trial any photographs tending to contradict her claimed injuries or her version of the facts surrounding the accident, by limiting disclosure in this fashion the Appellate Division effectively denied disclosure of any evidence potentially relevant to the defense. To the extent the order may also contravene CPLR 3101 (i), we note that neither party cited that provision in Supreme Court and we therefore have no occasion to further address its applicability, if any, to this dispute.

request for these photographs was reasonably calculated to yield evidence relevant to plaintiff's assertion that she could no longer engage in the activities she enjoyed before the accident and that she had become reclusive. It happens in this case that the order was naturally limited in temporal scope because plaintiff deactivated her Facebook account six months after the accident and Supreme Court further exercised its discretion to exclude photographs showing nudity or romantic encounters, if any, presumably to avoid undue embarrassment or invasion of privacy.

In addition, it was reasonably likely that the data revealing the timing and number of characters in posted messages would be relevant to plaintiff's claim that she suffered cognitive injuries that caused her to have difficulty writing and using the computer, particularly her claim that she is painstakingly slow in crafting messages. Because Supreme Court provided defendant no access to the content of any messages on the Facebook account (an aspect of the order we cannot review given defendant's failure to appeal to the Appellate Division), we have no occasion to further address whether defendant made a showing sufficient to obtain disclosure of such content and, if so, how the order could have been tailored, in light of the facts and circumstances of this case, to avoid discovery of nonrelevant materials.⁷

In sum, the Appellate Division erred in concluding that defendant had not met his threshold burden of showing that the materials from plaintiff's Facebook account that were ordered to be disclosed pursuant to Supreme Court's order were reasonably calculated to contain evidence "material and necessary" to the litigation. A remittal is not necessary here because, in opposition to the motion, plaintiff neither made a claim of statutory privilege, nor offered any other specific reason—beyond the general assertion that defendant did not meet his threshold burden—why any of those materials should be shielded from disclosure.

Accordingly, the Appellate Division order insofar as appealed from should be reversed, with costs, the Supreme Court order reinstated and the certified question answered in the negative.

7. At oral argument, Supreme Court indicated that, depending on what the data ordered to be disclosed revealed concerning the frequency of plaintiff's post-accident messages, defendant could possibly pursue a follow-up request for disclosure of the content. We express no views with respect to any such future application.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order insofar as appealed from reversed, with costs, order of Supreme Court, New York County, reinstated and certified question answered in the negative.

[94 NE3d 440, 70 NYS3d 877]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DENNIS
O'KANE, Respondent.

Argued January 10, 2018; decided February 8, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Albany County Court (Peter A. Lynch, J.), dated September 14, 2015. The order (1) reversed, on the law, a judgment of the Albany City Court (Gary F. Stiglmeier, J.), which had convicted defendant, upon a jury verdict, of aggravated harassment in the second degree (Penal Law § 240.30 [1]; two counts), aggravated harassment in the second degree (Penal Law § 240.30 [2]; two counts), stalking in the fourth degree (two counts), and criminal contempt in the second degree (six counts); and (2) remitted the matter to City Court for a new trial.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Consent to Verdict Sheet Annotations

In defendant's prosecution for engaging in harassing conduct against his landlord consisting of more than 300 different acts committed over 12 distinct time periods, trial counsel's consent to verdict sheet annotations beyond those automatically permitted by CPL 310.20 to assist the jury in distinguishing between the many similar allegations did not deprive defendant of meaningful representation. To establish ineffective assistance of counsel, a defendant must demonstrate the absence of strategic or other legitimate explanations for counsel's allegedly deficient conduct. Both common sense and defense counsel's summation demonstrated that trial counsel had a sound strategic reason for consenting to the annotations, which consisted of the addition of a date or date range and a short description of the alleged criminal conduct to each count on the verdict sheet: they encouraged the jury to think about each count and the relevant evidence independently, instead of concluding that defendant's egregious behavior warranted a conviction on every seemingly identical count. Counsel easily could have concluded that the additional annotations furthered the exact purpose behind CPL 310.20 (2) and that such benefit outweighed any risk that the annotations—which were drawn from the accusatory instrument already read to the jury, soberly described conduct her client did not dispute, and were accompanied by the trial court's clear instructions as to their limited purpose—would prejudice the jury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 1111–1116.

CARMODY-WAIT 2d Right to Counsel §§ 184:161–184:165, 184:271; CARMODY-WAIT 2d Jury Conduct and Deliberation § 201:11.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.6, 11.7.

McKINNEY'S, CPL 310.20 (2).

NY JUR 2d Criminal Law: Procedure §§ 872, 876, 948, 2881, 2882.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Verdicts.

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POINTS OF COUNSEL

P. David Soares, District Attorney, Albany (Christopher D. Horn and Vincent Stark of counsel), for appellant. I. The court's sua sponte decision based on an unpreserved and waived issue was error. (*People v Martin*, 50 NY2d 1029; *People v Hunter*, 17 NY3d 725; *People v Smocum*, 99 NY2d 418; *People v Starling*, 85 NY2d 509; *People v Rosado*, 96 AD3d 547; *People v Hartson*, 160 AD2d 1046; *Department of Social Servs. v Trustum C.D.*, 97 AD2d 831; *People v Thomas*, 120 AD2d 756; *People v Alt*, 50 AD3d 1164; *People v Sinha*, 84 AD3d 35, 19 NY3d 932.) II. County Court's sua sponte decision without briefing deprived the People of an opportunity to be heard and violated first principles of appellate practice and adversarial justice. (*Matter of Lewis*, 114 AD3d 203; *Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *McNeil v Wisconsin*, 501 US 171; *Greenlaw v United States*, 554 US 237; *Carducci v Regan*, 714 F2d 171; *United States v Burke*, 504 US 229; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164; *Burdett v Miller*, 957 F2d 1375; *Tom v Heckler*, 779 F2d 1250; *Misicki v Caradonna*, 12 NY3d 511.) III. The verdict sheet at issue was not in error; it follows that there was no ineffective assistance of counsel for consenting to it. (*People v Miller*, 18 NY3d 704; *People v Damiano*, 87 NY2d 477; *People v Angelo*, 88 NY2d 217; *People v Mezon*, 80 NY2d 155; *People v Lawrence*, 64 NY2d 200; *Horton v Smith*, 51 NY2d 798; *People v Brown*, 90 NY2d 872; *People v Robertson*, 185 AD2d 210; *People v Kelly*, 164 AD2d 767; *People v Sotomayer*, 173 AD2d 500.)

Paul R. Edwards, Albany, for respondent. I. New York requires appellate courts to consider the totality of the evidence, law, and circumstances of a case in evaluating counsel's effectiveness. (*People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Henry*, 95 NY2d 563; *People v Bank*, 28 NY3d 131; *People v Stultz*, 2 NY3d 277; *People v Ramsaran*, 141 AD3d 865; *People v Hobot*, 84 NY2d 1021; *People v Oathout*, 21 NY3d 127; *People v Flores*, 84 NY2d 184.) II. Albany County Court correctly applied this "totality of case" test in evaluating trial counsel's actions including consent to the improper verdict sheet. (*People v Miller*, 18 NY3d 704; *People v Washington*, 184 AD2d 451.)

OPINION OF THE COURT

WILSON, J.

The People contend that County Court erred in holding Dennis O'Kane's trial counsel was ineffective for consenting to verdict sheet annotations beyond those automatically permitted by CPL 310.20. Here, counsel's consent to the annotations did not deprive Mr. O'Kane of meaningful representation.

Based on Mr. O'Kane's escalating course of harassing conduct against his landlord, which continued even after she evicted him, City Court and Family Court entered serial no-contact orders of protection on the landlord's behalf. Mr. O'Kane repeatedly violated those orders. Eventually, the People charged him with four counts of aggravated harassment, two counts of stalking, and eight counts of criminal contempt. Those 14 counts were tried to a jury.

The trial court provided the jury with a four-page verdict sheet. To help the jurors distinguish between the many similar allegations covering more than 300 different acts committed over 12 distinct time periods, the court annotated each count on the verdict sheet with a date or date range and a short description of the alleged criminal conduct. For example, the third aggravated harassment charge included the annotation "Between June 26, 2011 and July 6, 2011 (emailing approximately 15 times)" and the fourth criminal contempt charge read "On July 12, 2012 (occurrence in small claims court)." The defense and the People agreed to those annotations. The jury returned a guilty verdict on 12 counts and acquitted defendant on two counts.

On appeal to County Court, Mr. O'Kane argued that his trial attorney was ineffective. He identified seven bases for this

claim and argued that they had the cumulative effect of depriving him of meaningful representation. Although counsel's consent to the annotated verdict sheet was not included among those bases, County Court held, sua sponte, that the annotations were "extraneous, and highly inflammatory, information" that "effectively marshalled and bolstered the People's proof." County Court concluded that Mr. O'Kane's attorney's consent to the annotations "evidence[d] ineffective assistance of counsel at its worst." County Court otherwise rejected defendant's challenges to the convictions. Accordingly, the court reversed the judgment, on the law, and remitted the matter for a new trial. A Judge of this Court granted the People leave to appeal.

CPL 310.20 permits trial courts to annotate verdict sheets containing two or more counts charging offenses set forth in the same article of the law with "the dates, names of complainants or specific statutory language . . . by which the counts may be distinguished" (CPL 310.20 [2]). Those annotations are intended to "enhance the ability of deliberating juries to distinguish between seemingly identical or substantially similar counts" (Governor's Approval Mem, Bill Jacket, L 1996, ch 630 at 7, 1996 NY Legis Ann at 452; *see also* Sponsor's Mem, Bill Jacket, L 1996, ch 630 at 6). If the court believes different or further annotations would be instructive, it may "furnish an expanded or supplemental verdict sheet" (*People v Damiano*, 87 NY2d 477, 482 [1996]), although it may do so "only . . . with the consent of the parties" (*id.* [internal quotation marks omitted], quoting CPL 310.30).

Here, defense counsel's consent to the parenthetical descriptions of the alleged criminal conduct did not deprive Mr. O'Kane of meaningful representation. "[T]o establish ineffective assistance, a defendant must demonstrate the absence of strategic or other legitimate explanations for counsel's allegedly deficient conduct" (*People v Caban*, 5 NY3d 143, 152 [2005] [internal quotation marks omitted]). Mr. O'Kane has not carried that burden.

There is no record support whatsoever for the contention that his attorney failed to understand the purpose of, or her prerogatives under, CPL 310.20. Following a conversation with the court and the People, trial counsel consented to the annotations. In evaluating the reasonableness of that consent, we are mindful that "it is trial counsel who are best positioned to assess the usefulness of such references in the deliberative process and/or the prejudice that may inure therefrom" (*Damiano*, 87 NY2d at 482-483).

Both common sense and defense counsel's summation demonstrate that trial counsel had a sound strategic reason for consenting to the annotations: they encouraged the jury to think about each count and the relevant evidence (restricted by date and type) independently, instead of concluding that Mr. O'Kane's egregious behavior warranted a conviction on every seemingly identical count. Counsel easily could have concluded that the additional annotations furthered the exact purpose behind the 1996 amendment and that such benefit outweighed any risk that the annotations—which were drawn from the accusatory instrument already read to the jury, soberly described conduct her client did not and does not now dispute, and were accompanied by the trial court's clear instructions as to their limited purpose—would prejudice the jury.

Defendant's remaining arguments are without merit.

Accordingly, the order of County Court should be reversed, and the case remitted to that court for consideration of the issues raised but not determined on the appeal to that court, if any.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order reversed and case remitted to County Court, Albany County, for consideration of issues raised but not determined on the appeal to that court, if any.

[94 NE3d 444, 70 NYS3d 881]

In the Matter of JAMES J. KELLY, Appellant, v THOMAS P. DINAPOLI, as State Comptroller, Respondent.

In the Matter of PAT SICA, Respondent, v THOMAS P. DINAPOLI, as State Comptroller, Appellant.

Argued January 2, 2018; decided February 13, 2018

SUMMARY

APPEAL, in the first above-entitled proceeding, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 24, 2016, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division, with two Justices dissenting, (1) confirmed respondent's determination denying petitioner's application for accidental disability retirement benefits; and (2) dismissed the petition.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 7, 2016, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division (1) annulled respondent's determination denying petitioner's application for accidental disability retirement benefits; and (2) remitted the matter to respondent for further proceedings not inconsistent with the Appellate Division's decision.

Matter of Kelly v DiNapoli, 137 AD3d 1470, affirmed.

Matter of Sica v DiNapoli, 141 AD3d 799, reversed.

HEADNOTES

Civil Service — Retirement and Pension Benefits — Accidental Disability Retirement — What Constitutes Accident

1. Substantial evidence supported respondent's determination that petitioner police officer, who had applied for accidental disability retirement benefits after being injured by a falling rafter as he attempted to rescue people who were trapped when a tree fell on their home during a hurricane, was not injured as the result of an "accident" because there was no precipitating accidental event which was not a risk of the work performed. Respondent could rationally have concluded based on the record that, when injured, petitioner was acting within the scope of his ordinary employment duties, considered in view of the particular employment in question, and that there was no sudden, unexpected event that was not an inherent risk of petitioner's

regular duties. The claimed accidental event was the rafter falling toward petitioner's colleague that petitioner reached up to brace as he attempted to extricate the trapped family members. Respondent concluded that, as a police officer, petitioner was expected to assist injured persons, and that responding to emergencies is among the ordinary duties of police officers. Respondent found that, on the night in question, petitioner was instructed to respond to life-threatening emergencies, including the directive to assist injured persons at "a house that had been caved in by a falling tree." While a different result would not have been unreasonable, there was substantial evidence in the record to support the determination that petitioner's actions in assisting the injured residents of the house during life-threatening conditions fell within his job duties, and that his injuries did not result from a sudden, unexpected event that was not a risk inherent in his duties as a police officer.

Civil Service — Retirement and Pension Benefits — Accidental Disability Retirement

2. Substantial evidence supported respondent's determination that petitioner firefighter, who had applied for accidental disability retirement benefits after he was injured when he was exposed to toxic fumes in a supermarket while responding to a 911 call indicating that an individual was having difficulty breathing, was not injured as the result of an "accident" because there was no precipitating accidental event which was not a risk of the work performed. Respondent could rationally have concluded based on the record that, when injured, petitioner was acting within the scope of his ordinary employment duties, considered in view of the particular employment in question, and that there was no sudden, unexpected event that was not an inherent risk of petitioner's regular duties. Respondent noted that, as a participant in an emergency medical response team, petitioner was fulfilling his regular duties as a firefighter in responding to the 911 call. Respondent further found that exposure to toxic chemicals was a risk for which petitioner had been trained, that he had responded to a gas leak in the past, and that his job duties specifically required "working with exposure to . . . fumes, explosives, toxic materials, chemicals and corrosives," the particular risk that caused his injury. Inasmuch as it is not unexpected that a firefighter whose job duties required him or her to respond to emergency medical calls would be exposed to toxic fumes in responding to a call for difficulty breathing, respondent rationally concluded that petitioner's injuries were the result of a risk inherent in his ordinary duties as a firefighter.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Pensions and Retirement Benefits §§ 265, 1111–1113, 1117, 1156.

CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:1032, 145:1089, 145:1132, 145:1149.

NY JUR 2d Pensions and Retirement Systems §§ 41, 126–127, 130–136, 187, 190, 287, 375, 397.

ANNOTATION REFERENCE

Determination whether peace officer's disability is service-connected for disability pension purposes. 12 ALR4th 1158.

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POINTS OF COUNSEL

Hinman Straub P.C., Albany (*Joseph M. Dougherty* of counsel), for appellant in the first above-entitled proceeding. I. The record evidence compels the conclusion that James J. Kelly's injury, sustained after blocking a rafter from falling onto a fellow officer, was accidental. (*Matter of McCambridge v McGuire*, 62 NY2d 563; *Matter of Pratt v Regan*, 68 NY2d 746; *Matter of Murphy v New York State Comptroller*, 92 AD3d 1022; *Matter of Starnella v Bratton*, 92 NY2d 836; *Matter of Scibilia v Regan*, 183 AD2d 1096, 80 NY2d 759; *Matter of Leuenberger v McCall*, 235 AD2d 906; *Matter of Cantone v McCall*, 289 AD2d 863.) II. The Appellate Division decision produces the absurd result that police officers disabled while heroically protecting the public will always receive less compensation than those injured while strolling down a sidewalk. (*Matter of Schoales v DiNapoli*, 132 AD3d 1184; *Matter of Lanzetta v DiNapoli*, 130 AD3d 1109; *Matter of Scofield v DiNapoli*, 125 AD3d 1086; *Matter of Dicioccio v DiNapoli*, 124 AD3d 1170; *Matter of Carpenter v DiNapoli*, 104 AD3d 1037; *Matter of Sansone v Levitt*, 67 AD2d 1044; *Matter of Bennett v DiNapoli*, 119 AD3d 1310; *Matter of Franks v New York State & Local Retirement Sys.*, 47 AD3d 1115.) III. The Hearing Officer's determination did not receive the proper weight. (*Matter of Miller v Axelrod*, 147 AD2d 969; *Matter of Simpson v Wolansky*, 38 NY2d 391.)

Eric T. Schneiderman, Attorney General, Albany (*William E. Storrs*, *Barbara D. Underwood*, *Andrea D. Oser* and *Peter H. Schiff* of counsel), for respondent in the first above-entitled proceeding. Because petitioner's exertion injuries resulted from a foreseeable risk inherent in his duties as a police officer, they were not the result of an "accident." (*Matter of Keller v Regan*, 212 AD2d 856; *Matter of Lichtenstein v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y.*, Art. II, 57 NY2d 1010; *Matter of McCambridge v McGuire*, 62 NY2d 563; *Matter of Starnella v Bratton*, 92 NY2d 836; *Matter of Menna v New York City Employees' Retirement Sys.*, 59 NY2d 696; *Matter of Valentin v Board of Trustees of N.Y. City Employees' Retirement Sys.*, 59 NY2d 702; *Matter of Schussler v Codd*, 59 NY2d 698; *Matter of Lenci v DiNapoli*, 92 AD3d 1078; *Matter of Fiducia v DiNapoli*, 111 AD3d 1018.)

Eric T. Schneiderman, Attorney General, Albany (William E. Storrs, Barbara D. Underwood, Andrea D. Oser and Peter H. Schiff of counsel), for appellant in the second above-entitled proceeding. Because petitioner's exposure to toxic fumes was a foreseeable risk inherent in his duties as a firefighter, his resulting injuries were not the result of an "accident." (*Matter of Keller v Regan*, 212 AD2d 856; *Matter of Lichtenstein v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, 57 NY2d 1010; *Matter of McCambridge v McGuire*, 62 NY2d 563; *Matter of Starnella v Bratton*, 92 NY2d 836; *Matter of Menna v New York City Employees' Retirement Sys.*, 59 NY2d 696; *Matter of Valentin v Board of Trustees of N.Y. City Employees' Retirement Sys.*, 59 NY2d 702; *Matter of Schussler v Codd*, 59 NY2d 698; *Matter of Schultz v DiNapoli*, 137 AD3d 1454; *Matter of Witts v DiNapoli*, 137 AD3d 1456; *Matter of Melendez v New York State Comptroller*, 54 AD3d 1128.)

Donald P. Henry, P.C., New York City (Donald P. Henry of counsel), for respondent in the second above-entitled proceeding. I. In the context of this record, respondent's injuries were not a foreseeable risk inherent in the duties he was performing. (Matter of McCambridge v McGuire, 62 NY2d 563; Matter of Lichtenstein v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II, 57 NY2d 1010; Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am., 6 AD2d 97, 7 NY2d 222; Matter of Echols v Regan, 161 AD2d 1024; Matter of Coon v New York State Comptroller, 30 AD3d 884, 7 NY3d 717; Matter of Melendez v New York State Comptroller, 54 AD3d 1128; Matter of Keller v Regan, 212 AD2d 856; Matter of Schussler v Codd, 59 NY2d 698; Matter of Rakowski v New York State & Local Retirement Sys., 215 AD2d 802.) II. This Court should affirm the Third Department precedents which consider life threatening circumstances when determining "unexpected" or "accidental" events. (Matter of Leuenberger v McCall, 235 AD2d 906; Matter of Cantone v McCall, 289 AD2d 863; Matter of McCambridge v McGuire, 62 NY2d 563; Matter of Huether v Regan, 155 AD2d 860; Matter of Vladick v McCall, 252 AD2d 729.) III. The legislature intended that a firefighter with a heart impairment be granted a presumption of accident unless rebutted by competent evidence. (Matter of Lichtenstein v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II, 57 NY2d 1010; Matter of De Leon v Levitt, 65 AD2d 646; Uniformed Firefighters Assn., Local 94, IAFF, AFL-CIO v Beekman, 52 NY2d 463; Matter of Bunnell v New York State Policemen's & Firemen's Retirement Sys., 50 AD2d 244;

Matter of Flynn v Regan, 178 AD2d 887; *Matter of Skae v Regan*, 208 AD2d 1028; *Matter of Di Laura v Regan*, 189 AD2d 994; *Matter of Bitchatchi v Board of Trustees of the N.Y. City Police Dept. Pension Fund, Art. II*, 20 NY3d 268; *Matter of Goldman v McGuire*, 64 NY2d 1041; *Matter of Warshawsky v DiNapoli*, 73 AD3d 1357.)

OPINION OF THE COURT

STEIN, J.

In these appeals, we are asked to determine whether petitioners, both first responders, established entitlement to accidental disability retirement benefits by demonstrating that they were incapacitated “as the natural and proximate result of an accident . . . sustained in . . . service” (Retirement and Social Security Law § 363 [a] [1]). Because petitioners did not demonstrate that their injuries were caused by sudden, unexpected events that were not risks inherent in their ordinary job duties, we conclude that neither petitioner established entitlement to the benefits sought. Therefore, we affirm in *Matter of Kelly v DiNapoli* and reverse in *Matter of Sica v DiNapoli*.

I.

Matter of Kelly

James J. Kelly was a Town of Orangetown police officer who was on duty when Hurricane Sandy struck the area. After he was directed by his supervisor to take cover and respond only to life-threatening calls, Kelly and another officer were dispatched to a residence on which a tree had fallen, trapping the residents inside. Upon arriving at the residence, Kelly observed that a tree had knocked down half of the roof, a rear wall and a side wall, that rain was pouring into the residence, that there were downed wires, and that the structure appeared to be “very unstable.”

Kelly called the fire department—to request that the department’s technical response unit perform the actual rescue—and sought ambulances and additional police personnel. Given the extreme conditions created by the hurricane, Kelly estimated that it would take approximately two hours for the technical response unit to arrive, and other officers were instructed not to respond. Therefore, he entered the unstable building in response to “blood-curdling screams” for help.

Upon entering the structure, Kelly saw that a resident “had been impaled and put through the floor into the basement.”

Kelly climbed on top of a pile of debris and started throwing debris out of the back of the house in order to rescue the people who were underneath the pile. He felt a pain in his shoulder, but ignored it in an attempt to free the residents. Shortly thereafter, a rafter that was dangling from the portion of the roof that was still intact began to fall, and Kelly reached up to brace the rafter, further injuring his shoulder and neck. Kelly explained that, if he had not braced the falling rafter, debris would have landed on the other officer who was assisting in digging out the family. Kelly and the other officer were able to rescue one of the residents and partially extricate another during the time that they were in the structure before the fire department arrived. Kelly then exited the residence and the fire department extricated the remaining resident.

Following a hearing on Kelly's application for accidental disability retirement benefits based upon the injuries he sustained during the rescue, a Hearing Officer determined that the injury-causing incident was an "accident" within the meaning of Retirement and Social Security Law § 363 because "[e]ntering that unstable structure was not within [petitioner's] regular and usual duties." Respondent Comptroller overruled the Hearing Officer's determination, concluding that Kelly failed to meet his burden of proving that his injury resulted from an "accident."

Kelly then commenced this CPLR article 78 proceeding, challenging respondent's determination. Upon transfer, the Appellate Division confirmed the determination and dismissed the proceeding, with two Justices dissenting (137 AD3d 1470 [3d Dept 2016]). The Court held that Kelly's injury resulted from a risk inherent in his employment as a police officer, whose duty it was to assist injured persons, and rejected any argument that Kelly's response was outside the scope of his job duties, noting that his supervisors had instructed him to respond to emergency calls involving life and limb (*see id.* at 1471-1472).

Petitioner appealed to this Court as of right.

Matter of Sica

Pat Sica, a firefighter with the City of Yonkers, was injured when responding to a medical emergency—a 911 call indicating that an individual was having difficulty breathing at a local supermarket. Sica and his other crew members found two unconscious individuals, one inside and one outside a walk-in freezer. Sica performed cardiopulmonary resuscitation for ap-

proximately 25 to 30 minutes on the individual inside the freezer and then assisted the other unconscious individual. Sica did not smell any odors or chemicals; nor did he see or hear anything indicating that chemicals might be involved in the incident. However, shortly after assisting the unconscious individuals, Sica began to feel nauseous and light-headed and was taken to the emergency room. It was later determined that he had been exposed to toxic gases, which were present in both the supermarket and the walk-in freezer as a result of the individuals cleaning the freezer.

Sica applied for accidental disability retirement benefits, claiming that he had suffered permanent injuries as a result of the incident. At the ensuing hearing, Sica acknowledged that his duties as a firefighter included responding to calls requesting emergency medical assistance, and that he had received training in handling chemical spills or leaks, as well as hazardous materials. The Hearing Officer concluded that the incident constituted an “accident,” because “the injury resulted from an unexpected and unforeseeable event, which arose during the performance of [Sica’s] routine employment duties.” Respondent Comptroller overruled the Hearing Officer’s determination, concluding that Sica failed to meet his burden of proving that his injury resulted from an accident sustained in service.

After Sica commenced the instant CPLR article 78 proceeding, upon transfer, the Appellate Division annulled respondent’s determination and remitted the matter to respondent to consider the issues raised by Sica regarding the application of the “Heart Presumption” contained in Retirement and Social Security Law § 363-a (141 AD3d 799, 801 [3d Dept 2016]). The Court concluded that Sica “was not responding to a fire that presented the inherent and foreseeable risk of inhaling toxic gases or smoke,” and that he “was neither aware that the air within the supermarket contained toxic chemical gases, nor did he have any information that could reasonably have led him to anticipate, expect[,] or foresee the precise hazard when responding to the medical emergency at the supermarket” (*id.* at 800 [citations omitted]).

This Court granted respondent leave to appeal.

II.

Retirement and Social Security Law § 363 (a) (1) provides that a member of the police and firefighters’ retirement system

“shall be entitled to an accidental disability retirement allowance if, at the time application therefor is filed, [the member] is . . .

“[p]hysically or mentally incapacitated for performance of duty as the natural and proximate result of an accident not caused by [the member’s] own willful negligence sustained in such service.”¹

This Court first defined “accident” in *Matter of Lichtenstein v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, “adopt[ing] the commonsense definition of a ‘sudden, fortuitous mischance, unexpected, out of the ordinary, and injurious in impact’ ” (57 NY2d 1010, 1012 [1982], quoting *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.*, 6 AD2d 97, 100 [1st Dept 1958], *affd* 7 NY2d 222 [1959]). Stated otherwise, “an injury which occurs without an unexpected event as the result of activity undertaken in the performance of ordinary employment duties, considered in view of the particular employment in question, is not an accidental injury” (*id.*). Two years later, the Court clarified in *Matter of McCambridge v McGuire* that it is “error . . . [to] focus[] on the petitioner’s job assignment, not on the precipitating cause of injury” (62 NY2d 563, 567 [1984]). Rather, a petitioner is

1. A member of the New York State Police and Fire Retirement System who qualifies for accidental disability retirement benefits receives a pension that is the equivalent of 75% of the member’s final average salary, less any benefits payable under the Workers’ Compensation Law (*see* Retirement and Social Security Law §§ 363 [e] [3]; 364 [a]). A member of the Retirement System who is disabled during the performance of duty, but not as the result of an accident, generally receives a pension constituting 50% of the member’s final average salary, which is not reduced by Workers’ Compensation benefits (*see* Retirement and Social Security Law § 363-c [b], [f], [i]). For police officers and firefighters, this statutory structure—which was finalized in 1998, with the “Legislature[s] . . . presumed . . . aware[ness] of the decisional and statute law in existence at the time of [the] enactment” (*Matter of Odunbaku v Odunbaku*, 28 NY3d 223, 229 [2016]), including this Court’s long-established definition of “accident”—can lead to incongruous results, as the dissent notes. We do not take issue with the dissent’s conclusion that the legislature should consider acting to address such results. However, we decline any suggestion that we should rewrite the statute ourselves, in a manner that would be inconsistent with the legislative policy choice to grant more generous disability benefits to police officers or firefighters injured by stepping into a pothole, or slipping on wet pavement or when getting up from a desk chair (*see Matter of Pratt v Regan*, 68 NY2d 746, 747-748 [1986]; *Matter of McCambridge v McGuire*, 62 NY2d 563, 568 [1984]), than to firefighters overcome by toxic fumes while fighting fires or officers injured while subduing a suspect with a gun (*see Matter of Huether v Regan*, 155 AD2d 860, 861 [3d Dept 1989], *lv denied* 75 NY2d 705 [1990]; *Matter of Cummings v Regan*, 107 AD2d 968, 969 [3d Dept 1985]).

entitled to accidental disability retirement benefits when the injury was caused by “a precipitating accidental event . . . which was not a risk of the work performed” (*id.* at 568). In defining “accident,” both *Lichtenstein* and *McCambridge* relied upon *Matter of Covell v New York State Employees’ Retirement Sys.* (84 AD2d 902 [3d Dept 1981], *lv denied* 55 NY2d 606 [1982]), which upheld the denial of benefits to a school custodian who slipped on oil that he regularly applied to a floor that he was dust mopping; the Court reasoned that “injuries . . . sustained during the performance of an employee’s regular duties and result[ing] from risks inherent in the task being performed” are not accidents (*id.* at 902).

Under *Lichtenstein* and *McCambridge*, an injury-causing event is accidental when it is sudden, unexpected and not a risk of the work performed, but the “focus[]” of the determination must be on “the precipitating cause of injury,” rather than on “the petitioner’s job assignment” (*McCambridge*, 62 NY2d at 567). Thus, in *Lichtenstein*, the Court upheld the denial of benefits where the petitioner, a police officer, was injured while leaning over the hood of a car to place a traffic ticket on the windshield (*see* 57 NY2d at 1012; *see also Matter of Valentin v Board of Trustees of N.Y. City Employees’ Retirement Sys.*, 59 NY2d 702 [1983], *affg for reasons stated below* 91 AD2d 916 [1st Dept 1983] [application denied where sanitation workers sustained disabling injuries while lifting heavy bags and trash cans]; *Matter of Schussler v Codd*, 59 NY2d 698 [1983] [police officer’s application denied where loss of hearing resulted from weekly practice sessions on pistol range]; *Matter of Menna v New York City Employees’ Retirement Sys.*, 59 NY2d 696 [1983], *affg for reasons stated below* 91 AD2d 537 [1st Dept 1982] [application denied where Housing Authority patrolman was injured while placing a spare tire into trunk of patrol car]). In contrast, in *McCambridge*, the Court held that the petitioners had demonstrated that their injuries were accidental as a matter of law² where they were injured (1) getting up from a desk when the officer on whom the petitioner was leaning suddenly

2. Petitioners in *McCambridge* were New York City police officers who sought benefits under the Administrative Code of the City of New York. The Board of Trustees that administered their pension fund denied “accident disability pensions by a 6-6 vote and awarded ordinary disability pensions” (*McCambridge*, 62 NY2d at 566). Under those circumstances, “the reviewing court may not set aside the Board of Trustees’ denial of accidental disability retirement resulting from such a tie vote unless ‘it can be determined *as a matter of law* on the record that the disability was the natural and proximate

(n. cont’d)

moved away, causing the petitioner to fall, and (2) after slipping and falling on wet pavement while getting into a patrol car on a rainy day (see 62 NY2d at 568, *rev'd* 94 AD2d 623, 632 [1st Dept 1983]).

Thereafter, applying the principles set forth in *McCambridge* and *Lichtenstein*, this Court concluded as a matter of law in *Matter of Pratt v Regan* that a firefighter “coming down hard upon the other foot in a pothole” after “[c]atching a heel on a running board and thus losing balance” was not only “sudden” but also an “unexpected event” *because* it was not “a risk of the work performed” (68 NY2d 746, 747-748 [1986]; see *Matter of Pastalove v Kelly*, 120 AD3d 419, 420-421 [1st Dept 2014]; *Matter of Sullivan v Regan*, 133 AD2d 993, 994 [3d Dept 1987]). In contrast, even when an incident “constituted a sudden, inopportune, fortuitous mischance,” we upheld a denial of benefits on the ground that the “event . . . was a risk inherent in [the] petitioner’s regular duties” and, therefore, could not be deemed “unexpected” (*Matter of Hambel v Regan*, 174 AD2d 891, 892-893 [3d Dept 1991], *aff’d for reasons stated below* 78 NY2d 1092 [1991] [siren sounding when officer was only 60 feet from it was sudden but not unexpected; rather it was a risk inherent in the officer’s regular duties]; see also *Matter of Kehoe v City of New York*, 81 NY2d 815, 817 [1993] [upholding a denial of benefits because “(n)o evidence was presented refuting respondent(s) . . . claim that petitioner’s injuries resulted solely from the performance of his usual duties as a sanitation worker”]). Similarly, in *Matter of Starnella v Bratton* (92 NY2d 836 [1998]), this Court concluded, as a matter of law, that a slip and fall on water in a bathroom constituted an accident because it was “no less a sudden and unexpected event” than the “slip[] and fall[] on wet pavement on a rainy day” at issue in *McCambridge*; however, the Court held that “[a] fall down the stairs as a result of one’s own misstep, without more, is not so out-of-the-ordinary or unexpected as to constitute an accidental injury as a matter of law” (*id.* at 839; see *Matter of Kenny v DiNapoli*, 11 NY3d 873, 874 [2008]; *Matter of Lassen v Hevesi*, 9 AD3d 780, 781 [3d Dept 2004]; cf. *Matter of Balduzzi v*

result of a service-related accident’ ” (*Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139, 145 [1997], quoting *Matter of Canfora v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, 60 NY2d 347, 352 [1983] [emphasis added]; see *Matter of Starnella v Bratton*, 92 NY2d 836, 838-839 [1998]; *McCambridge*, 62 NY2d at 568).

McCall, 220 AD2d 796, 797 [3d Dept 1995]). Critically, the Court reemphasized in *Starnella* that the dispositive question is whether injury was caused by “‘a precipitating accidental event . . . which was not a risk of the work performed’” (*id.* at 839, quoting *McCambridge*, 62 NY2d at 568 [emphasis added]).

III.

Continuing to apply the principles first set forth in *McCambridge* and *Lichtenstein*—and reiterated in our subsequent cases—we conclude that substantial evidence supports respondent’s determinations that neither petitioner in the cases before us was injured as the result of an “accident” because there were no “‘precipitating accidental event[s] . . . which w[ere] not a risk of the work performed’” (*Starnella*, 92 NY2d at 839, quoting *McCambridge*, 62 NY2d at 568). It is well settled that “‘[s]ubstantial evidence consists of proof within the whole record of such quality and quantity as to generate conviction in and persuade a fair and detached fact finder that, from that proof as a premise, a conclusion or ultimate fact may be extracted reasonably—probatively and logically’” (*Matter of Yoga Vida NYC, Inc. [Commissioner of Labor]*, 28 NY3d 1013, 1015 [2016], quoting *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176, 181 [1978]). The standard is not an exacting one; it “is less than a preponderance of the evidence . . . [and] demands only that a given inference is reasonable and plausible, not necessarily the most probable” (*Matter of Ridge Rd. Fire Dist. v Schiano*, 16 NY3d 494, 499 [2011] [internal quotation marks and citations omitted]). Ultimately, “[r]ationality is what is reviewed under . . . the substantial evidence rule” (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). Viewing the records as a whole, respondent’s determinations that petitioners did not meet their burden of proving that their incapacitation resulted from an accident sustained in service were rational.

[1] Specifically, respondent could rationally conclude based on the records that, when injured, petitioners were acting within the scope of their “ordinary employment duties, considered in view of the particular employment in question,” and that there was no sudden, unexpected event that was not an inherent risk of petitioners’ regular duties (*Lichtenstein*, 57 NY2d at 1012). In *Matter of Kelly*, the claimed accidental event was the rafter falling toward Kelly’s colleague as he attempted

to extricate the trapped family members. Respondent concluded that, as a police officer, Kelly was expected to assist injured persons, and that responding to emergencies is among the ordinary duties of police officers. Respondent found that, on the night in question, Kelly was instructed to respond to life-threatening emergencies, including the directive to assist injured persons at “a house that had been caved in by a falling tree.” It is not disputed that Kelly was acting within the scope of his job duties when he responded to that emergency call. In light of the foregoing, while a different result would not have been unreasonable, there is substantial evidence in the record to support the determination that Kelly’s actions in assisting the injured residents of the house during life-threatening conditions fell within his job duties, and that his injuries did not result from a sudden, unexpected event that was not a risk inherent in his duties as a police officer (*see Matter of Lenci v DiNapoli*, 92 AD3d 1078 [3d Dept 2012]).

[2] In *Matter of Sica*, the alleged accident was exposure to toxic fumes in the supermarket, leading to a disabling heart condition. Respondent noted that, as a participant in an emergency medical response team, Sica was fulfilling his regular duties as a firefighter in responding to the 911 call. Respondent further found that exposure to toxic chemicals was a risk for which Sica had been trained, that he had responded to a gas leak in the past, and that his job duties specifically required “working with exposure to . . . fumes, explosives, toxic materials, chemicals and corrosives,” the particular risk that caused Sica’s injury. Inasmuch as it is not unexpected that a firefighter whose job duties required him to respond to emergency medical calls would be exposed to toxic fumes in responding to a call for difficulty breathing, respondent rationally concluded that Sica’s injuries were the result of a risk inherent in his ordinary duties as a firefighter (*see Matter of Huether v Regan*, 155 AD2d 860, 861 [3d Dept 1989], *lv denied* 75 NY2d 705 [1990]).³

3. We note that the Appellate Division focused on whether evidence in the record supported a finding that, given his training, Sica “could [] or should have recognized the danger posed in the circumstances presented” because the problem with the air quality at the scene was readily observable (141 AD3d at 801; *see* 141 AD3d at 804 n 3 [McCarthy, J., dissenting]; *see e.g. Matter of Manning v DiNapoli*, 150 AD3d 1382, 1383 [3d Dept 2017] [requiring a petitioner to establish that a hazard was not “readily observable” to obtain benefits]; *Matter of Yurko v DiNapoli*, 122 AD3d 1047, 1048 [3d Dept

(n. cont’d)

In short, substantial evidence supports respondent's determinations that the precipitating causes of petitioners' injuries were not accidents because they did not consist of sudden, unexpected events that were not risks inherent in, respectively, Kelly's job as a police officer requiring him to assist injured persons as a first responder and Sica's job as a firefighter requiring him to provide emergency medical services. Kelly's remaining arguments lack merit and Sica's alternative arguments are not properly before us. Accordingly, the judgment in *Kelly* should be affirmed, with costs, and the judgment in *Sica* should be reversed, with costs, and the petition dismissed.

WILSON, J. (dissenting in *Matter of Kelly*, concurring in *Matter of Sica*). I concur with the majority in *Matter of Sica v DiNapoli*. Because the Comptroller's determination there was a reasonable exercise of his discretion, Mr. Sica is not entitled to accidental disability benefits. However, I dissent from the court's decision in *Matter of Kelly v DiNapoli*; under any standard, his injury should be deemed accidental. Moreover, the entire statutory scheme concerning accidental and performance of duty disability desperately needs legislative attention. Even a cursory survey of case law reveals gross, inexplicable inconsistencies, largely derived from the law itself. The legislative scheme is difficult to apply in the context of inherently hazardous employment, and the legislative history offers no guidance. The courts have added to the confusion, to the point that it is almost a guessing game when trying to decide how cases will be resolved.

While awaiting legislative action, courts should focus on: (i) whether the nature of the hazard is part of the bargained-for risks of the job and (ii) whether it is truly unexpected and out of the ordinary, or rather is part of the ordinary risks of daily life. If the hazard is outside both of those realms, accidental disability applies. In that regard, it is important to remember

2014] [same]; *Matter of DiGiacomo v DiNapoli*, 115 AD3d 1138 [3d Dept 2014] [same]). However, judicial "[r]eview is limited to a consideration of the statement of the factual basis for the determination and whether, in light of the agency's own standards, the findings, supported by substantial evidence, sustained the conclusions" (*Matter of Montauk Improvement v Proccacino*, 41 NY2d 913, 914 [1977]). Respondent did not consider whether Sica was, or should have been, aware of the toxic fumes that injured him (*cf. Kenny*, 11 NY3d at 874). In any event, the requirement that a petitioner demonstrate that a condition was not readily observable in order to demonstrate an "accident" is inconsistent with our prior case law (*see e.g. Starnella*, 92 NY2d at 839; *Pratt*, 68 NY2d at 747-748; *McCambridge*, 62 NY2d at 568).

that performance of duty injuries are compensable, but at a rate that is generally less favorable than accidental injuries. Although grey cases will always exist, the above taxonomy is straightforward and consistent with the policy objectives behind providing disability payments to injured employees.

I.

In *Sica*, I agree with the majority that the Comptroller's decision should be reinstated. The case turns on whether Mr. Sica—whose job involves both fighting fires and responding to medical emergencies—was acting as a firefighter or EMS worker, or whether the jobs are, in his case, inseparable. As a firefighter, job-related exposure to toxic fumes is to be expected, and firefighters receive relevant training (Mr. Sica testified as much) and are provided protective gear to don when appropriate. The same may not be true for an EMS worker who is not also a firefighter. The Comptroller's determination here—that Mr. Sica's training and experience as both a firefighter and EMS worker rendered his injury within the scope of his job, rather than an accident—is a factual determination that requires deference if supported by the record, which it is.

II.

I disagree, however, with the majority's decision as to Officer Kelly. While on duty during a hurricane when the police force generally was instructed to shelter in place, Officer Kelly was dispatched to a house partially collapsed by a tree. The tree had killed the father and trapped three family members, including young children, under debris. Consistent with protocol, Officer Kelly called for the fire department, EMS, and ambulances; however, the fire department and ambulances were reported to be two hours distant due to the hurricane. When Officers Kelly and Atchinson arrived, they heard screaming and saw that the house was partially collapsed, with water streaming through the roof. Although rescue in that situation is a job for firefighters, not police, fearing further injury to or death of the family because of the unavailability of the fire department, the officers attempted a rescue. During the rescue, a rafter suddenly gave way. To block it from falling on Officer Atchinson and the trapped girl, Officer Kelly blocked it with his forearm, saving them but permanently disabling himself. Although the Hearing Officer recommended approving his accidental disability request, the Comptroller denied it on the

ground that responding to emergencies is an ordinary duty of police officers.

The Comptroller's rationale is unsupportable as a matter of law, because it rests on the proposition that, because police officers have emergency response as part of their jobs, anything that happens to them as part of responding to an emergency is not an "accident." Instead, to determine whether an occurrence is an accident we ask whether, in the totality of the circumstances and in light of the employee's regular job duties, it was a "sudden, fortuitous mischance, unexpected, out of the ordinary, and injurious in impact" (*Matter of Lichtenstein v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, 57 NY2d 1010, 1012 [1982]). Here, the confluence of factors (hurricane, family trapped in damaged house, unavailability of fire and EMS, beam falling directly on Officer Atchinson and trapped girl) is well within that definition—certainly more so than a police detective getting up from a desk chair and twisting his knee, which we held to be accidental in *Matter of McCambridge v McGuire* (62 NY2d 563, 567 [1984]).

III.

Precedent offers little help in deciding this case. Although we have instructed courts to apply the above "commonsense" definition of accident, the oft-irreconcilable results seem anything but. A slip on a pool of water in the bathroom or on wet pavement is an accident (see *Matter of Starnella v Bratton*, 92 NY2d 836, 839 [1998]; *McCambridge*, 62 NY2d at 567), but a supervisor's fall on uneven pavement while searching for a prowler at night is not (see *Matter of Fischer v New York State Comptroller*, 46 AD3d 1006 [3d Dept 2007]). A trip-and-fall over a tangle of wires in a women's locker room while performing a security inspection is an accident (see *Matter of Flannelly v Board of Trustees of N.Y. City Police Pension Fund*, 278 AD2d 113, 113 [1st Dept 2000]), but a firefighter's fall through a hole under a burning mattress is not (see *Matter of Purcell v Di-Napoli*, 81 AD3d 1069, 1070 [3d Dept 2011]).

An officer injured when leaning over a car to place a ticket is not the victim of an accident (see *Lichtenstein*, 57 NY2d at 1012), but one who stumbles and falls when arising from his desk chair is (see *McCambridge*, 62 NY2d at 567). Injury to a police officer standing on a ladder to install a heavy bag at the police chief's request is accidental, because such work "is more

appropriately performed by individuals . . . such as contractors or building maintenance workers” (see *Matter of Brown v Hevesi*, 19 AD3d 858, 859 [3d Dept 2005]), yet a firefighter’s injury caused by standing on a box of toilet paper to reach a high shelf is not accidental (see *Matter of Weisensel v Hevesi*, 8 AD3d 880, 880 [3d Dept 2004]). If your superior officer gives you a choice between participating in a boxing match or a tug-of-war, pick the boxing match, because injury in the former, but not the latter, qualifies as accidental (see *Matter of Carr v Ward*, 119 AD2d 163, 165 [1st Dept 1986]; *Matter of Beachy v Regan*, 119 AD2d 967, 968-969 [3d Dept 1986]).

Potholes have proved particularly precarious (compare *Matter of Pratt v Regan*, 68 NY2d 746, 747-748 [1986] [“Catching a heel on a running board and thus losing balance may be a risk of the work performed, but coming down hard upon the other foot in a pothole is not. Thus, it was a sudden, unexpected event”], with *Matter of Coon v New York State Comptroller*, 30 AD3d 884, 885 [3d Dept 2006] [“Stepping into a pothole while directing traffic is clearly a risk of the work performed by police officers” and not accidental], and *Matter of O’Donnell v New York State & Local Retirement Sys.*, 249 AD2d 607, 607 [3d Dept 1998] [firefighter’s fall “into a hole on a torn-up sidewalk” was “result of . . . a risk inherent in the duties of a firefighter and did not constitute an accident”]). Animal feces, too, have caused quite a mess (compare *Matter of Fiducia v DiNapoli*, 111 AD3d 1018 [3d Dept 2013] [police officer’s slip down the stairs of an abandoned building occasioned by stepping on dog feces was not an accident], with *Matter of Bridgwood v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 204 AD2d 629 [2d Dept 1994] [firefighter’s slip on animal feces while dismounting from firefighting apparatus was an accident]).

Much of the problem is due to the structure and history of Retirement and Social Security Law § 363. In 1984, the legislature created performance of duty disability retirement benefits, and simultaneously eliminated accidental disability retirement benefits for persons hired after January 1, 1985 (L 1984, ch 661, § 1, codified at Retirement and Social Security Law § 363-c). Subsequently, the legislature reenacted accidental disability retirement benefits for police officers and firefighters, without explaining how the two tiers should interact or why those injured by means of an “accident”—particularly ones of the sort that occur in everyday life, such as

slipping, tripping and falling—should receive greater benefits than officers or firefighters injured when engaged in heroic efforts (see L 1998, ch 489, § 1, codified at Retirement and Social Security Law § 444 [c]). Currently, Retirement and Social Security Law § 363 awards greater disability benefits to officers who are injured due to “accidents” than to those injured in the performance of duty, absent any accident. The results often defy common sense: Officer Kelly would have received greater compensation if he had slipped when getting up from his chair, tripped over VCR cables in the police station, or backed into a spectator during a police-sponsored boxing match, than the majority now gives him for risking his life to save a family and his fellow officer during an unprecedented hurricane when no other help was available. Our case law consistently documents this absurd unfairness.

IV.

Ideally, the legislature would act to provide some clear rules. Given the legislative scheme as it exists, we ask two questions. First, whether persons in the employee’s line of work should reasonably expect to face the sort of hazard that injured the petitioner—i.e., was it part of the bargained-for risks of the job? Police officers and firefighters have inherently dangerous jobs, and certain risks are to be expected. A police officer shot by a suspect is not the victim of an accident, nor is one who is injured by a crash in a high-speed car chase, even though we conventionally call the latter an “accident.” Those are risks expected in the nature of the work, and officers contemplate and are compensated for such risks, by way of salary, benefits and performance-of-duty disability. In those cases, accidental disability should not apply. However, some risks *must be* outside the realm of the ordinary duties of police officers and firefighters, else first responders could never suffer an accident while responding to an emergency.

Second, if the risk is outside the bargained-for risks of the job, we ask whether it is sufficiently out of the ordinary risks of everyday life to constitute an accident. In this regard, the existing case law holds that “[a]n injury occurring as the result of the petitioner’s own misstep or inattention does not constitute an accident so as to qualify for benefits in accord with the provisions of this law” (*Matter of Meyer v New York State Comptroller*, 92 AD3d 1122, 1122-1123 [3d Dept 2012]; see also e.g. *Matter of Dilello v DiNapoli*, 83 AD3d 1361, 1362 [3d Dept

2011]; *Matter of Biondi v McCall*, 239 AD2d 837, 838 [3d Dept 1997]). Again the case law is full of oddities. In *Starnella*, we concluded that an on-duty police officer's fall down a flight of stairs "as a result of [his] own misstep," was "not so out-of-the-ordinary or unexpected as to constitute an accidental injury" (*Starnella*, 92 NY2d at 839), while it has been held that a firefighter whose foot gave way on a slippery substance that blended in with the roadway was injured in an accident, despite the commonplace nature of the incident (see *Matter of Sammon v DiNapoli*, 97 AD3d 952, 953 [3d Dept 2012]). If these cases are reconcilable, no explanation grounded in policy has been offered for the choices that courts have made. Until the legislature acts to address the standard, the test is whether the event precipitating the injury was so "unexpected, out of the ordinary" (*Lichtenstein* at 1012) as to constitute an accident.

Taken together, if the hazard falls outside of both the bargained-for risks of the job and everyday risks, the petitioner should be entitled to enhanced accidental benefits. Under this framework, Officer Kelly would receive accidental disability benefits. Applying step one, the hazard was outside of the bargained-for risks of his job. Officer Kelly is not a firefighter (if he were, the result would be different). Although police officers' duties include assisting injured persons and requesting medical assistance, entering collapsing buildings and fending off falling rafters during a hurricane when fire and EMS workers are not available is not an ordinary part of their jobs. Indeed, the uncontroverted record evidence is that Officer Kelly would not have been disciplined had he remained outside the house, leaving the family to whatever fate lay ahead. When other help is unavailable, officers may have no choice but to try to rescue people and I, for one, hope that they will feel and act as Officer Kelly did. But that is an extraordinary job hazard, not an ordinary one. As Officer Kelly testified, the protocol was to call for the fire department and maintain the perimeter until technical support arrived. He had no training in entering collapsing buildings, but he felt he "had no choice" but to try to save the family. On that day, Officer Kelly *took the place of* a firefighter, bearing risks of a job that was not his own.

Turning to step two, the hazard was certainly "out of the ordinary." In the ordinary course of our lives, we bend over; we rise from chairs; we walk down steps, some of which were previously visited by dogs; but we do not save lives by deflecting

burning beams in collapsing homes during a hurricane—we imagine that for superheroes.

In *Matter of Kelly v DiNapoli*: Judgment affirmed, with costs.

Chief Judge DiFIORE and Judges RIVERA, GARCIA and FEINMAN concur. Judge WILSON dissents in an opinion, in which Judge FAHEY concurs.

In *Matter of Sica v DiNapoli*: Judgment reversed, with costs, and petition dismissed.

Chief Judge DiFIORE and Judges RIVERA, GARCIA, FAHEY, WILSON and FEINMAN concur, Judge WILSON in a concurring opinion, in which Judge FAHEY concurs.

[94 NE3d 466, 70 NYS3d 904]

In the Matter of JONAS APONTE, Respondent, v SHOLA OLATOYE,
as Chairwoman of the New York City Housing Authority,
et al., Appellants.

Argued January 3, 2018; decided February 15, 2018

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 7, 2016. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, New York County (Cynthia S. Kern, J.; op 2014 NY Slip Op 33626[U] [2014]), which had denied the petition seeking to annul respondent New York City Housing Authority's (NYCHA) determination dismissing petitioner's remaining family member (RFM) grievance on the ground that he did not qualify as an RFM; and (2) remitted the matter to respondent NYCHA for further proceedings in accordance with the Appellate Division order.

Matter of Aponte v Olatoye, 138 AD3d 440, reversed.

HEADNOTE

Public Housing — Denial of Remaining Family Member Status — Failure to Obtain Permanent Permission to Reside in Apartment with Tenant

Respondent New York City Housing Authority's determination denying petitioner "remaining family member" (RFM) status with regard to his late mother's apartment, which he had moved into three years prior to her death in order to care for her through her advanced dementia, was not arbitrary and capricious, as petitioner did not have permanent permission to live with his mother in her one-bedroom apartment. The two requests that had been submitted for petitioner to be granted permanent permission were denied because his presence would have violated occupancy rules for overcrowding. A person lacking permanent permission to reside in an apartment is not eligible for RFM status. Respondent's rules do allow for a live-in home-care attendant as a temporary resident, even if the grant of permission would result in "overcrowding," and petitioner was, in effect, afforded temporary residency status. Although respondent could have adopted a policy that encourages people to care for elderly relatives by giving them a succession priority over others, it could not be said on the record that its adoption of a different policy, prioritizing children in need and persons facing homelessness when allocating its insufficient stock of public housing, was arbitrary or capricious.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Housing Laws and Urban Redevelopment
§§ 32–35.

CARMODY-WAIT 2d Summary Proceedings to Recover Possession of Real Property §§ 90:15, 90:64, 90:70, 90:167; CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:971, 145:980, 145:987.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 10:13, 11:9, 15:4, 38:31, 43:27.

NY JUR 2d Landlord and Tenant §§ 430, 434, 527, 628; NY JUR 2d Public Housing and Urban Renewal §§ 47-48; NY JUR 2d Real Property—Possessory and Related Actions § 140.

ANNOTATION REFERENCE

Construction and Application of Laws Governing Succession to Rent-Controlled Apartments. 16 ALR7th 6.

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POINTS OF COUNSEL

David Farber, General Counsel, New York City Housing Authority, New York City (Jane E. Lippman, Donna M. Murphy, Nancy M. Harnett and Seth E. Kramer of counsel), for appellants. I. The order should be reversed because New York City Housing Authority's determination that respondent does not qualify as a remaining family member is rational. (*Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Walker v Franco*, 275 AD2d 627; *Matter of 31171 Owners Corp. v New York City Dept. of Hous. Preserv. & Dev.*, 190 AD2d 441; *Matter of Montgomery v New York City Hous. Auth.*, 56 AD2d 778; *Matter of Gilmore v Hernandez*, 40 AD3d 410; *Matter of Nelson v Roberts*, 304 AD2d 20; *Matter of Henderson v Popolizio*, 76 NY2d 972; *Matter of Ortiz v Rhea*, 127 AD3d 665; *Matter of Banks v Rhea*, 133 AD3d 745; *Matter of Figueroa v Rhea*, 120 AD3d 814.) II. The order should be reversed because a caretaker's succession to an apartment is not a reasonable accommodation for a disabled tenant. (*Alexander v Choate*, 469 US 287; *Siniscallo v Town of Islip Hous. Auth.*, 865 F Supp 2d 307; *Wilson v Phoenix House*, 42 Misc 3d 677; *Salute v Stratford Greens Garden Apts.*, 136 F3d 293; *Hubbard v Samson Mgt. Corp.*, 994 F Supp 187; *McElwee v County of Orange*, 700 F3d 635; *Logan v Matveevskii*, 57 F Supp 3d 234; *Advocacy &*

Resource Ctr. v Town of Chazy, 62 F Supp 2d 686; *Matter of Chun Po So v Rhea*, 106 AD3d 487; *Matter of Lindsay Park Hous. Corp. v New York State Div. of Human Rights*, 56 AD3d 477.) III. The order should be reversed because New York City Housing Authority did not implicitly consent to respondent's permanent residence in Victoria Aponte's apartment. (*Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359; *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776; *Matter of Andrade v New York City Hous. Auth.*, 132 AD3d 598; *Matter of Dancil v New York City Hous. Auth.*, 123 AD3d 442; *Rosello v Rhea*, 89 AD3d 466; *Matter of Figueroa v Rhea*, 120 AD3d 814; *Matter of Gonzalez v New York City Hous. Auth.*, 112 AD3d 531; *Matter of Rahjou v Rhea*, 101 AD3d 422; *Matter of McFarlane v New York City Hous. Auth.*, 9 AD3d 289; *Matter of Gutierrez v Rhea*, 105 AD3d 481.)

MFY Legal Services, Inc., New York City (*Leah Goodridge, Michael Grinthal and Jeanette Zelhof* of counsel), for respondent. I. The Appellate Division's order should be affirmed because New York City Housing Authority's denial of Victoria Aponte's request for reasonable accommodation was an error of law for which no ground or justification was provided. (*Sinigallo v Town of Islip Hous. Auth.*, 865 F Supp 2d 307; *Mohamed v Marriott Intl., Inc.*, 905 F Supp 141; *San Pedro Hotel Co., Inc. v City of Los Angeles*, 159 F3d 470; *Gladstone, Realtors v Village of Bellwood*, 441 US 91; *Havens Realty Corp. v Coleman*, 455 US 363; *Stalker v Stewart Tenants Corp.*, 93 AD3d 550; *Barker v Riverside County Off. of Educ.*, 584 F3d 821; *Axelrod v 400 Owners Corp.*, 189 Misc 2d 461; *Dunn v Fishbein*, 123 AD2d 659; *Matter of Merrill v State Div. of Human Rights*, 45 AD2d 548.) II. The Appellate Division's order should be affirmed because New York City Housing Authority's determination that Jonas Aponte does not qualify as a remaining family member is arbitrary and capricious and bears no rational relation to the purported grounds for the denial. (*Matter of Heintz v Brown*, 80 NY2d 998; *Matter of Mankarios v New York City Taxi & Limousine Commn.*, 49 AD3d 316; *Motor Vehicle Mfrs. Assn. of United States, Inc. v State Farm Mut. Automobile Ins. Co.*, 463 US 29; *Matter of Scanlan v Buffalo Pub. School Sys.*, 90 NY2d 662; *Matter of Weill v New York City Dept. of Educ.*, 61 AD3d 407; *SEC v Chenery Corp.*, 332 US 194; *Burlington Truck Lines, Inc. v United States*, 371 US 156; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201.)

Legal Services NYC (Edward Josephson, Andrea Tan and Nathalia Varela of counsel), *Seymour W. James, Jr., The Legal Aid Society*, New York City (Judith Goldiner and Lucy Newman of counsel), and *Jennifer Levy, General Counsel, NYC Public Advocate*, New York City (Antwaun Gavins of counsel), for Letitia James and others, amici curiae. I. The New York City Housing Authority is required to make reasonable accommodations for tenants with disabilities even when such accommodations are not expressly requested. (*Shapiro v Cadman Towers, Inc.*, 51 F3d 328; *Bentley v Peace & Quiet Realty 2 LLC*, 367 F Supp 2d 341; *Sinisgallo v Town of Islip Hous. Auth.*, 865 F Supp 2d 307; *Astralis Condominium Assn. v Secretary, United States Dept. of Hous. & Urban Dev.*, 620 F3d 62; *Jankowski Lee & Assoc. v Cisneros*, 91 F3d 891; *Montano v Bonnie Brae Convalescent Hosp., Inc.*, 79 F Supp 3d 1120; *Hunt v Aimco Props., L.P.*, 814 F3d 1213; *Conneen v MBNA Am. Bank, N.A.*, 334 F3d 318; *McElwee v County of Orange*, 700 F3d 635; *Bultemeyer v Fort Wayne Community Schools*, 100 F3d 1281.) II. The New York City Housing Authority fails to consider additions to tenant households as reasonable accommodations within the framework of the Fair Housing Act and Americans with Disabilities Act. III. Requiring disabled tenants to live in overcrowded conditions as the price of adding a relative to their households is not a reasonable accommodation under federal or local law. (*PGA TOUR, Inc. v Martin*, 532 US 661; *Sutton v United Air Lines, Inc.*, 527 US 471; *McGary v City of Portland*, 386 F3d 1259.) IV. The New York City Housing Authority systematically fails to accommodate its disabled tenants. (*Blatch ex rel. Clay v Hernandez*, 360 F Supp 2d 595.) V. The New York City Housing Authority's failure to provide accommodations that promote aging in place is bad policy.

Susan Ann Silverstein, AARP Foundation Litigation, Washington, D.C., for AARP and another, amici curiae. Affirming the lower court's decision is consistent with public policy because informal caregivers delay institutionalization for aging Americans and save healthcare systems billions of dollars at great personal expense and sacrifice.

OPINION OF THE COURT

WILSON, J.

Jonas Aponte brought this CPLR article 78 proceeding challenging the New York City Housing Authority's (NYCHA) termination denying him "remaining family member" (RFM)

status with regard to his late mother's apartment. We now reverse the Appellate Division and reinstate Supreme Court's denial of Mr. Aponte's article 78 petition.

In 2009, Mr. Aponte moved into his mother's one-bedroom apartment in a NYCHA-owned public housing development, and dutifully cared for her through her advanced dementia until she died in 2012. Two requests were submitted for Mr. Aponte to be granted permanent permission to live with his mother in her apartment; both were denied. Neither of the Apontes ever made a written request for Mr. Aponte to reside in the apartment on a temporary basis.*

After his mother passed away, Mr. Aponte requested that he be allowed to lease her apartment as a "remaining family member." NYCHA denied his request, and a hearing officer subsequently agreed, finding that Mr. Aponte lacked permanent permission to reside in the apartment, and that management properly denied such permission because Mr. Aponte's presence would have violated occupancy rules for overcrowding. Overcrowding, which, among other circumstances is defined as when a single adult and an adult child live together in a one-bedroom apartment, under NYCHA rules, precludes a person from seeking permanent permission for residency in the apartment. A person lacking permanent permission to reside in an apartment is not eligible for RFM status. NYCHA adopted the hearing officer's decision in its final determination denying Mr. Aponte's grievance.

Thereafter, Mr. Aponte commenced this article 78 proceeding, arguing that NYCHA's decision was arbitrary and capricious, that he had a right to his mother's apartment, and that NYCHA's actions violated federal, state, and New York City antidiscrimination laws. "In reviewing an administrative agency determination, [courts] must ascertain whether there is a rational basis for the action in question or whether it is arbitrary and capricious" (*Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]).

* At oral argument, NYCHA's counsel explained that, in Ms. Aponte's case, NYCHA did not follow its procedures pertaining to disabled residents. Counsel represented that the building manager, knowing that Ms. Aponte suffered from severe dementia, required full-time care, and was seeking to have her son reside in her apartment to provide that care, should have ensured that a NYCHA representative directly communicated with the Apontes about the various options available to them under NYCHA's procedures, including the right to apply for temporary caregiver status for her son and to grieve an adverse decision. Counsel assured the Court that the breakdown here was atypical.

“Arbitrary action is without sound basis in reason and is generally taken without regard to the facts” (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). Moreover, “courts must defer to an administrative agency’s rational interpretation of its own regulations in its area of expertise” (*Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009]).

Under its rules, NYCHA could not have granted Mr. Aponte permanent permission to reside in his mother’s apartment, and thus could not have granted his request for RFM status (*Matter of Ortiz v Rhea*, 127 AD3d 665, 666 [1st Dept 2015] [(t)he only written consent petitioner ever acquired to occupy the apartment was as a temporary resident, which did not qualify her for RFM status”]; see also *Matter of Banks v Rhea*, 133 AD3d 745, 745 [2d Dept 2015] [petitioner not eligible as a remaining family member when record “established that the petitioner never obtained written permission for permanent residency from the housing manager”]). However, NYCHA’s rules contemplate that a tenant may require a live-in home-care attendant, either for the duration of a transient illness or the last stages of life, and its rules expressly allow for a live-in home-care attendant as a temporary resident, even if the grant of permission would result in “overcrowding,” without regard to whether the home-care attendant is related to the tenant. Mr. Aponte was, in effect, afforded temporary residency status. Essentially, Mr. Aponte is arguing that NYCHA’s policy is arbitrary and capricious because it does not allow him to bypass the 250,000-household waiting line as a reward for enduring an “overcrowded” living situation while caring for his mother. NYCHA could adopt the policy Mr. Aponte advocates, to encourage people to care for elderly relatives by giving them a succession priority over others, but we cannot say on the record before us that its adoption of a different policy, prioritizing children in need and persons facing homelessness when allocating its insufficient stock of public housing, is arbitrary or capricious.

Finally, to the extent Mr. Aponte argues that NYCHA violated federal, state and city antidiscrimination laws by refusing to provide a reasonable accommodation for his mother’s disability by denying him permanent residency permission, that issue is not properly before us, as it was not raised at the administrative hearing (see *Peckham*, 12 NY3d at 430). More-

over, Ms. Aponte's affidavits of income submitted to NYCHA affirmatively stated she did not wish any accommodation for dementia. Despite the urging of Mr. Aponte and amici, this appeal does not raise the question of whether and in what circumstance NYCHA might be required to do more than grant temporary residence in an overcrowded apartment to make a reasonable accommodation.

Accordingly, the Appellate Division order should be reversed, without costs, and the order of Supreme Court reinstated.

RIVERA, J. (concurring). I agree that the Appellate Division should be reversed because, on this record, petitioner Jonas Aponte failed to establish that the New York City Housing Authority (NYCHA) erred in denying him remaining family member status or that he was discriminated against due to his mother's disability. I write separately to address petitioner's associational discrimination claim, which I believe is properly before us, even if the claim ultimately fails on the merits. I also write to address NYCHA's apparent policy and practice of treating identically all disabled tenants who request a full-time caretaker, without first engaging in the interactive process required by law to determine the tenant's needs and what constitutes a reasonable accommodation under the particular circumstances of each case. This one-size-fits-all approach violates the agency's obligations under the Americans with Disabilities Act (42 USC § 12112), the New York State Human Rights Law (Executive Law § 296), and the New York City Human Rights Law (Administrative Code of City of NY § 8-107).

The facts that gave rise to this case disclose a striking and inexcusable breakdown in NYCHA's procedures for providing reasonable accommodations to people with disabilities. Petitioner's mother had advanced dementia. She repeatedly advised NYCHA that she needed her son to live with her as a full-time caretaker in order to accommodate her disability.¹

1. As the majority observes (majority op at 698-699), Ms. Aponte never checked the box on her 2011 affidavit of income specifically requesting an accommodation for her disability, and, indeed, checked a different box affirming that, although there was someone in her household with a disability, she was not requesting the Housing Authority provide her with an accommodation. However, this affidavit of income must be considered in context. On the very same affidavit, Ms. Aponte notified NYCHA that her son was a person living in the apartment and explained again that she suffered from a "mental or psychological disability," further indicating she had Alzheimer's disease and dementia. In light of the foregoing, her affidavit cannot be read as an express

Nevertheless, NYCHA failed to refer Ms. Aponte's case to NYCHA's Reasonable Accommodations Coordinator, failed to provide Ms. Aponte or her son with an explanation of the accommodation services available to Ms. Aponte, failed to engage Ms. Aponte or her son in an interactive process to determine the scope of Ms. Aponte's disability or what accommodations would allow her to enjoy equal use of her apartment, and failed even to expressly provide her son with temporary residency status, which NYCHA concedes he was entitled to as his mother's caretaker. Indeed, NYCHA denied Ms. Aponte's requests that petitioner be added to her household, even though she informed NYCHA that her disability—dementia—was cognitive, rendering it uncertain whether she could fully appreciate NYCHA's explanations for its denial.

Notwithstanding these facts and NYCHA's plain failures, NYCHA, admitting that its process could have been better, states that it nevertheless effectively accommodated Ms. Aponte's disability by awarding her son "de-facto temporary status." This post hoc, ad hoc rationalization merely obfuscates NYCHA's actual behavior. The agency did not even attempt to provide Ms. Aponte with the accommodation she requested. Mr. Aponte was only able to reside in his mother's apartment as her full-time caretaker because of mistakes or oversights by the agency's personnel. In other words, petitioner was able to care for his mother in her home because NYCHA violated its own rules. NYCHA's failure to follow its policies is not an acceptable approach to reasonable accommodation.

I agree that whether NYCHA failed to reasonably accommodate Ms. Aponte in violation of the law is not properly before us (majority op at 698). NYCHA's failure to accommodate Ms. Aponte's disability was not raised as part of the administrative hearing underlying this appeal, nor could petitioner have raised this claim on his mother's behalf (*see Matter of Rivera v New York City Hous. Auth.*, 60 AD3d 509 [1st Dept 2009], cit-

abandonment of her request that her son live with her because she could not care for herself. No magic words are necessary to place NYCHA on notice that a disabled tenant requests a reasonable accommodation; a tenant need not use the words "reasonable accommodation" or even reference applicable antidiscrimination laws (*see e.g.* Requesting Reasonable Accommodation, EEOC Enforcement Guidance: Reasonable Accommodation and Undue Hardship under the Americans with Disabilities Act [Oct. 17, 2002] [observing that requests for accommodation need not mention the ADA or use the words "reasonable accommodation"]). On this record, the repeated requests NYCHA received to add petitioner to his mother's household are properly framed as requests for a necessary disability accommodation.

ing *Willson v Association of Graduates of the U.S. Military Academy*, 946 F Supp 294, 296 [SD NY 1996]). However, petitioner has set forth a colorable claim for associational discrimination in his own right (see 42 USC § 12112 [b] [4]; Administrative Code of City of NY § 8-107 [20]; *Dunn v Fishbein*, 123 AD2d 659 [2d Dept 1986]; *Loeffler v Staten Is. Univ. Hosp.*, 582 F3d 268, 279-283 [2d Cir 2009, Wesley, J., concurring]).

Turning to the merits of his claim, petitioner has failed to establish how he was discriminated against based on his association with his disabled mother. Petitioner was, in fact, allowed to live with his mother and care for her until the time of her death. Under these circumstances, petitioner has not shown that the denial of permanent residency status was related to his association with his disabled mother. Further, the record does not establish that petitioner was adversely affected by the agency's failure to award him the temporary residency status to which he was entitled under NYCHA's own policy. Petitioner may well have experienced fear, upset, and uncertainty as he cared for his mother under the threat of imminent removal, but he has not established entitlement to the specific relief he now seeks, namely succession rights to his mother's apartment.

It bears noting that NYCHA goes too far, however, when it argues that no set of facts would have allowed petitioner to be added to his mother's household as an accommodation for her disability. This conclusion is unsubstantiated, since NYCHA never made any effort to determine what accommodation was warranted.² The law is clear that every decision about what constitutes a reasonable accommodation is fact-specific and fact-intensive (see *Noll v International Bus. Machs. Corp.*, 787 F3d 89, 94 [2d Cir 2015]). The Americans with Disabilities Act and the New York State Human Rights Law both clearly require this individualized consideration (see *Jacobsen v New*

2. As NYCHA conceded during oral argument, had Ms. Aponte established her need for essential medical equipment, she might have been entitled to a larger apartment as an accommodation for her disability, which would have removed one of the grounds for denying the request to add Mr. Aponte to her household. In a similar vein, amicus AARP suggests other scenarios in which a proper accommodation may be to grant caretakers the assurance of residency in a NYCHA apartment, lest the agency "risk consigning the aging resident to worse health outcomes and eventually an institution" (see brief for AARP and AARP Foundation as amici curiae supporting petitioner-respondent at 14-19 [quotation on 19]).

York City Health & Hosps. Corp., 22 NY3d 824, 836 [2014]; *Noll*, 787 F3d at 94), and the New York City Human Rights Law, as we have repeatedly held, goes even further (see *Chauca v Abraham*, 30 NY3d 325, 332-333 [2017]; *Jacobsen*, 22 NY3d at 837-838). Even assuming, arguendo, that NYCHA may rely on general presumptions and categorizations to guide its determinations, procedures to ease the agency's administrative burden cannot substitute for the individualized consideration required by law. It is one thing not to engage in the required interactive process in an individual case, quite another to foreclose the interactive process on a class-wide basis (see *Jacobsen*, 22 NY3d at 836-838 [observing that, although a judgment of discrimination on the basis of disability cannot be "solely based on the . . . failure to engage in an interactive process," reasonable accommodation requests "must (be) give(n) individualized consideration"])). In other words, NYCHA may rely on a policy that considers waiver of its overcrowding rules as a possible accommodation for full-time caretakers, but it cannot adopt that rule as its "default" position in all cases without any consideration of the individual tenant, or shift its burden by requiring the tenant to explain why its "default" accommodation is unreasonable.

As the Appellate Division observed, we will never know what accommodation Ms. Aponte may have needed and how NYCHA could have complied with its legal obligations to ensure her enjoyment of her apartment on an equal basis to nondisabled tenants. It appears Ms. Aponte received what she essentially wanted—the care of her son until the time of her death. However, this was not a result of NYCHA's reasonable accommodation of her disability. Our antidiscrimination laws make clear that the treatment NYCHA meted out to Ms. Aponte and her son was unacceptable. While in this specific case NYCHA did not technically violate its obligations under our federal, state, and local laws prohibiting discrimination on the basis of disability, the policies and rationalizations the agency has advanced in these proceedings raise profound concerns. Unless NYCHA changes its approach, it risks future cases in which it may not be so fortunate as to avoid liability based on the mistreatment of disabled persons and their full-time caretakers.

Chief Judge DiFiore and Judges Stein, Fahey, Garcia and Feinman concur; Judge Rivera concurs in result in an opinion.

Order reversed, without costs, and order of Supreme Court, New York County, reinstated.

[94 NE3d 456, 70 NYS3d 893]

DORMITORY AUTHORITY OF THE STATE OF NEW YORK et al.,
Respondents, v SAMSON CONSTRUCTION Co., Also Known as
SAMSON CONSTRUCTION Co., INC., Doing Business as SAM-
SON CONSTRUCTION COMPANY and Others, Defendant, and
PERKINS EASTMAN ARCHITECTS, P.C., Appellant. (And Other
Actions.)

Argued January 4, 2018; decided February 15, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 3, 2016. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Eileen Bransten, J.; op 2013 NY Slip Op 34183[U] [2013]), which, to the extent appealed from as limited by the briefs, had granted the part of defendant Perkins Eastman Architects, P.C.'s motion for summary judgment seeking dismissal of the fifth cause of action, for breach of contract, and had denied the part of the motion seeking dismissal of the sixth cause of action, for negligence. The modification consisted of denying the motion as to the fifth cause of action. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court, properly made?"

Dormitory Auth. of the State of N.Y. v Samson Constr. Co.,
137 AD3d 433, reversed.

HEADNOTES

Contracts — Breach or Performance of Contract — Intended Third-Party Beneficiary

1. Defendant architectural firm was entitled to summary judgment dismissing plaintiff City of New York's breach of contract and negligence claims based on the contract between defendant and plaintiff Dormitory Authority of the State of New York for construction of a forensic biology laboratory for use by plaintiff City's Office of the Chief Medical Examiner (OCME), where plaintiff City failed to raise an issue of fact concerning its status as a third-party beneficiary to the contract. A third party may sue as a beneficiary on a contract made for its benefit. However, an intent to benefit the third party must be shown, and, absent such intent, the third party is merely an incidental beneficiary with no right to enforce the particular contracts. A third party's right to enforce a contract has been sanctioned when the third party is the only one who could recover for the breach of contract or when it was otherwise clear from the language of the contract that there was an

intent to permit enforcement by the third party. With respect to construction contracts, express contractual language stating that the contracting parties intended to benefit a third party by permitting that third party to enforce a promisee's contract with another is generally required. Although the parties were aware that the laboratory was being built for OCME's use, plaintiff City was not the only entity that could recover under the contract, nor did the contract expressly name plaintiff City as an intended third-party beneficiary or authorize it to enforce any obligations thereunder.

Torts — Breach of Contract as Basis for Tort Action — Negligence Claim Duplicative of Breach of Contract Claim

2. In an action against defendant architectural firm alleging that it contributed to faulty excavation and foundation work on a construction project, defendant was entitled to summary judgment dismissing plaintiff Dormitory Authority of the State of New York's negligence claim as duplicative of its breach of contract cause of action. A simple breach of contract is not to be considered a tort unless a legal duty independent of the contract itself has been violated. Plaintiff's negligence allegations in the complaint were merely a restatement, albeit in slightly different language, of the implied contractual obligations asserted in the cause of action for breach of contract. The factual allegations set forth in each cause of action were identical, except that the negligence claim was framed in terms of defendant's failure to comply with professional standards of care. Moreover, despite the fact that the complaint sought an additional unspecified \$4 million in damages under the negligence cause of action, it failed to include a single allegation that contained any distinction between the damages applicable to either claim. Additionally, there was no injury alleged that a separate negligence claim would include that was not already encompassed in plaintiff's contract claim. Thus, plaintiff essentially sought enforcement of the bargain, and the action should have proceeded under a contract theory.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Contracts §§ 415, 420–422, 426, 427, 441, 702.
NY JUR 2d Actions § 24; NY JUR 2d Contracts §§ 305, 306,
417, 429, 434.
WILLISTON ON CONTRACTS (4th ed) §§ 37:10, 37:21.

ANNOTATION REFERENCE

See ALR Index under Building and Construction; Election of Remedies; Third-Party Beneficiaries.

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POINTS OF COUNSEL

Flemming Zulack Williamson Zauderer LLP, New York City
(*Mark C. Zauderer*, *Jason T. Cohen* and *Grant A. Shehigian* of

counsel), for appellant. I. The Dormitory Authority of the State of New York (DASNY) cannot assert a tort claim against Perkins Eastman Architects, P.C. that is duplicative of its breach of contract claim because Perkins did not owe an independent legal duty to DASNY and because DASNY's tort and contract damages are identical. (*Sommer v Federal Signal Corp.*, 79 NY2d 540; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Espinal v Melville Snow Contrs.*, 98 NY2d 136; *Miller v Continental Ins. Co.*, 40 NY2d 675; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Trustees of Columbia Univ. in City of N.Y. v Gwathmey Siegel & Assoc. Architects*, 192 AD2d 151; *Verizon N.Y., Inc. v Optical Communications Group, Inc.*, 91 AD3d 176; *Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282; *Bocre Leasing Corp. v General Motors Corp. [Allison Gas Turbine Div.]*, 84 NY2d 685; *Duane Reade v SL Green Operating Partnership, LP*, 30 AD3d 189.) II. The City of New York is not an intended third-party beneficiary of the contract between the Dormitory Authority of the State of New York and Perkins Eastman Architects, P.C. because (1) it is not the only party that can recover under the contract, and (2) the contract does not expressly confer intended beneficiary status upon the City. (*Port Chester Elec. Constr. Corp. v Atlas*, 40 NY2d 652; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38; *Bloomfield v Bloomfield*, 97 NY2d 188; *Matter of Greiff*, 92 NY2d 341; *Ferluckaj v Goldman Sachs & Co.*, 12 NY3d 316; *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 50 AD3d 503; *Board of Mgrs. of Riverview at Coll. Point Condominium III v Schorr Bros. Dev. Corp.*, 182 AD2d 664; *Lake Placid Club Attached Lodges v Elizabethtown Bldrs.*, 131 AD2d 159; *Belgrave Owners v OR Holding Corp.*, 233 AD2d 352; *Encore Lake Grove Homeowners Assn., Inc. v Cashin Assoc., P.C.*, 111 AD3d 881.)

Zachary W. Carter, Corporation Counsel, New York City (Benjamin Welikson, Kathy Chang Park, Richard Dearing and Devin Slack of counsel), for respondents. I. The City of New York raised a triable issue that it is an intended third-party beneficiary of the Dormitory Authority of the State of New York's contract with Perkins Eastman Architects, P.C. (*Lawrence v Fox*, 20 NY 268; *Seaver v Ransom*, 224 NY 233; *Mendel v Henry Phipps Plaza W., Inc.*, 6 NY3d 783; *Encore Lake Grove Homeowners Assn., Inc. v Cashin Assoc., P.C.*, 111 AD3d 881; *City School Dist. of City of Newburgh v Stubbins & Assoc.*, 85 NY2d 535; *Port Chester Elec. Constr. Corp. v Atlas*, 40 NY2d 652; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d

38; *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 50 AD3d 503; *Board of Mgrs. of Riverview at Coll. Point Condominium III v Schorr Bros. Dev. Corp.*, 182 AD2d 664; *Lake Placid Club Attached Lodges v Elizabethtown Bldrs.*, 131 AD2d 159.) II. Plaintiffs raised a triable issue that their claims lie in both tort and contract. (*Sears, Roebuck & Co. v Enco Assoc.*, 43 NY2d 389; *Town of Oyster Bay v Lizza Indus., Inc.*, 22 NY3d 1024; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Triangle Underwriters, Inc. v Honeywell, Inc.*, 604 F2d 737; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Trustees of Columbia Univ. in City of N.Y. v Gwathmey Siegel & Assoc. Architects*, 192 AD2d 151; *Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282; *Schiavone Constr. Co. v Elgood Mayo Corp.*, 81 AD2d 221.)

OPINION OF THE COURT

Chief Judge DiFiore.

The two questions on this appeal are whether plaintiff City of New York is an intended third-party beneficiary of the architectural services contract between plaintiff Dormitory Authority of the State of New York (DASNY) and defendant Perkins Eastman Architects, P.C. and whether DASNY's negligence claim against Perkins is duplicative of its breach of contract claim. We hold that summary judgment should have been granted in defendant Perkins' favor on both issues.

This action arose out of a construction project to build a forensic biology laboratory at 26th Street and First Avenue in Manhattan, adjacent to Bellevue Hospital, for use by the Office of the Chief Medical Examiner (OCME). The City (on behalf of OCME) and DASNY entered into a project management agreement, which provided that DASNY would finance and manage the design and construction of the laboratory (the project). DASNY was authorized to enter into contracts with the necessary contractors and consultants including, as relevant here, the architect, Perkins.

Pursuant to the contract between DASNY and Perkins (the Perkins contract), Perkins was to provide design, architectural, and engineering services for the project and supervise its construction. Perkins was also responsible for providing a site plan for the location of the laboratory in relation to the hospital. The contract further provides that Perkins would "indemnify and hold harmless" DASNY and the "Client" (that

is, OCME, and the NYC Police and Fire Departments) from any claims arising out of Perkins' negligent acts or omissions and that extra costs or expenses incurred by DASNY and the Client as a result of Perkins' "design errors or omissions shall be recoverable from [Perkins] and/or its Professional Liability Insurance carrier."

Pursuant to a separate contract, DASNY retained Samson Construction Co., which is not a party to this appeal, as the contractor to provide excavation and foundation work for the project. Significantly, the contract executed between DASNY and Samson provides that the client—i.e., the City—"is an intended third party beneficiary of the Contract for the purposes of recovering any damages caused by [Samson]." Although there are passing references to the client in the Perkins contract, no analogous language providing that the City is an intended third-party beneficiary appears there.

Work began on the foundation in May 2002, but the failure to properly install an excavation support system led to substantial damage and delays. In particular, this failure caused the adjacent C&D building on the Bellevue campus to "settle" by as much as eight inches, damaged other adjacent structures (including sidewalks, sewers and water mains), and required emergency repairs. These issues caused the project to be delayed by more than 18 months at an additional cost of \$37 million.

Plaintiffs commenced this action against Samson in August 2006. Perkins was added as a defendant in February 2007 through the filing of a supplemental summons and complaint, which contained two causes of action against Perkins—one alleging breach of contract and the other alleging negligence. The breach of contract claim alleges that Perkins breached the contract by:

"failing to provide adequate designs for the Project, by failing to properly supervise the subcontractors and subconsultants that it retained with regard to the Project, by failing to monitor the progress of the Work to ensure that it was being completed properly and in substantial compliance with the design recommendations, specifications and their intent, by failing to ascertain the actual field conditions, including the subsurface conditions at the Site and the foundations beneath [the C&]D Build-

ing and by failing to advise DASNY of the risks to the [C&]D Building posed by the installation of the [excavation support system] and taking precautions against such risks.”

The allegations set forth in the negligence cause of action are virtually identical in every respect, but with an introductory phrase that references Perkins’ failure “to comply with professional standards of care” instead of breach of contract. The damages for both claims are described as the “significant additional expenses” necessary to complete the project. Although the complaint’s ad damnum clause states a figure for Perkins’ negligence that is \$4 million higher than for its breach of contract, there is no basis given for the additional amount. During early discovery, plaintiffs produced a binder and provided testimony showing that the total cost of fixing the damage was approximately \$37 million, including repairs to the project site and the adjacent structures, with no distinction drawn between the two claims.

Perkins moved for summary judgment to dismiss the City’s breach of contract and negligence claims and to dismiss DASNY’s negligence claim as duplicative of its breach of contract claim. Supreme Court granted the motion in part, dismissing the City’s breach of contract and negligence claims (2013 NY Slip Op 34183[U] [2013]). The court held that the City was not an intended third-party beneficiary of the Perkins contract and that the City’s claim for simple negligence was therefore time-barred. The court allowed both of DASNY’s claims to proceed, finding that its negligence claim was not duplicative of its contract claim.

The Appellate Division modified by denying Perkins’ motion for summary judgment on the City’s breach of contract claim and, as so modified, affirmed (137 AD3d 433 [1st Dept 2016]). The Court held that the City had raised an issue of fact whether it was an intended third-party beneficiary of the parties’ contract. The Court also denied Perkins’ motion for summary judgment to dismiss DASNY’s negligence claim as duplicative of its breach of contract claim. The Court held there was an issue of fact whether Perkins assumed a duty of care to perform in accordance with professional standards that was independent of its contractual obligations.

One Justice dissented in part, and would have dismissed DASNY’s negligence claim as duplicative. The Appellate Division granted Perkins’ motion for leave to appeal to this Court,

certifying the following question: “Was the order of this Court, which modified the order of the Supreme Court, properly made?” We answer the certified question in the negative.

Intended Third-Party Beneficiary

“[A] third party may sue as a beneficiary on a contract made for [its] benefit. However, an intent to benefit the third party must be shown, and, absent such intent, the third party is merely an incidental beneficiary with no right to enforce the particular contracts” (*Port Chester Elec. Constr. Corp. v Atlas*, 40 NY2d 652, 655 [1976] [citations omitted]). We have previously sanctioned a third party’s right to enforce a contract in two situations: when the third party is the only one who could recover for the breach of contract or when it is otherwise clear from the language of the contract that there was “an intent to permit enforcement by the third party” (*Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38, 45 [1985]).

With respect to construction contracts, we have generally required express contractual language stating that the contracting parties intended to benefit a third party by permitting that third party “to enforce [a promisee’s] contract with another” (*Port Chester*, 40 NY2d at 656). In the absence of express language, “[s]uch third parties are generally considered mere incidental beneficiaries” (40 NY2d at 656). This rule reflects the particular nature of construction contracts and the fact that—as is the case here—there are often several contracts between various entities, with performance ultimately benefiting all of the entities involved.

[1] Here, the parties were aware that the laboratory was being built for OCME’s use. However, neither ground set out in *Fourth Ocean* exists for finding the City an intended third-party beneficiary (see 66 NY2d at 45). As to the first ground, the City is not the only entity that can recover under the Perkins contract; indeed, DASNY—the contracting party—has brought its own breach of contract claim. As to the second ground, the Perkins contract does not expressly name the City as an intended third-party beneficiary nor authorize the City to enforce any obligations thereunder; in contrast, the contract between DASNY and Samson expressly reserves third-party enforcement rights to the City. Notably, the Restatement uses a fact pattern that is nearly identical to this one to provide an illustration of an incidental (as opposed to intentional) third-party beneficiary—recognizing the fact that, although the per-

formance of a construction-related contract may benefit a third-party end user, that does not in itself establish enforcement rights in that third party (*see* Restatement [Second] of Contracts § 302, Comment *e*, Illustration 19). The City fails to raise an issue of fact concerning its status as a third-party beneficiary and Perkins' motion for summary judgment on this issue should have been granted.

Duplicative Negligence Claim

"It is a well-established principle that a simple breach of contract is not to be considered a tort unless a legal duty independent of the contract itself has been violated" (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 389 [1987]). Put another way, where the damages alleged "were clearly within the contemplation of the written agreement . . . [m]erely charging a breach of a 'duty of due care,' employing language familiar to tort law, does not, without more, transform a simple breach of contract into a tort claim" (70 NY2d at 390).

We have also recognized that "[a] legal duty independent of contractual obligations may be imposed by law as an incident to the parties' relationship" and that several types of defendants—including professionals—can be held liable in tort "for failure to exercise reasonable care, irrespective of their contractual duties" (*Sommer v Federal Signal Corp.*, 79 NY2d 540, 551 [1992]). In certain circumstances, this independent duty has been imposed based on the nature of the services performed and the defendant's relationship with its customer—specifically, where the defendant "perform[s] a service affected with a significant public interest [and where the] failure to perform the service carefully and competently can have catastrophic consequences" (79 NY2d at 553). To determine whether a tort claim lies, we have also evaluated the nature of the injury, how the injury occurred and the harm it caused (*see* 79 NY2d at 552). However, we have made clear that "where plaintiff is essentially seeking enforcement of the bargain, the action should proceed under a contract theory" (79 NY2d at 552).

[2] Here, the negligence allegations in the complaint are, as we held in *Clark-Fitzpatrick*, "merely a restatement, albeit in slightly different language, of the 'implied' contractual obligations asserted in the cause of action for breach of contract" (70 NY2d at 390). Indeed, as noted above, in this case, the factual allegations set forth in each cause of action are *identical*, except

that the negligence claim is framed in terms of Perkins' failure to comply with professional standards of care. Moreover, despite the fact that the complaint seeks an additional unspecified \$4 million in damages under the negligence cause of action, it fails to include a single allegation that contains any distinction between the damages applicable to either claim. The only damages alleged under either theory of recovery are the additional expenses required to complete the project, including the costs to repair the damage to adjacent structures. Significantly, in the contract itself, the parties contemplated Perkins' responsibility for additional costs or expenses incurred by DASNY or the client (in effect, the City) as a result of the architect's design errors or omissions, and addressed it in the contract terms. Likewise, during discovery, the total amount of damages was detailed by DASNY, with no distinction between the "additional expenses" incurred based on one claim or the other.

The cases relied upon by the dissent—*Santulli v Englert, Reilly & McHugh* (78 NY2d 700 [1992]), *Sears, Roebuck & Co. v Enco Assoc.* (43 NY2d 389 [1977]) and *Robins v Finestone* (308 NY 543 [1955])—are inapposite. Each of those cases was focused on what statute of limitations applied to a given claim. In none of them did the defendant argue, as Perkins does here, that the tort claim should be dismissed on summary judgment because it was wholly duplicative of the contract claim in both its allegations and the specific damages sought.

There is nothing in *Sears* to suggest that a completely duplicative professional malpractice claim (identical in nearly every respect to the owner's contract claim) should be permitted to proceed against an architect simply because the defendant is an architect. *Brushton-Moira Cent. School Dist. v Thomas Assoc.* (91 NY2d 256 [1998]) makes that clear. In *Brushton-Moira*, we reiterated the holding in *Sears* that "when the rights and obligations of an owner and architect arise out of their contractual relationship, the owner may sue in contract or tort and the scope of evidence admissible on the issue of liability under either theory is the same" (91 NY2d at 260-261 [emphasis added]). Indeed, in *Brushton-Moira*, the Supreme Court held, and the Appellate Division affirmed, that the "plaintiff failed to state a malpractice cause of action [against the architect] because plaintiff sought only economic damages which are recoverable under the breach of contract cause of action" (91 NY2d at 260).

Clearly, there are circumstances where a professional architect may be subject to a tort claim for failure to exercise due care in the performance of contractual obligations. In seeking to “disentangl[e] tort and contract claims,” we focused in *Sommer* both on potential catastrophic consequences of a failure to exercise due care and on the nature of the injury, the manner in which it occurred, and the resulting harm (79 NY2d at 552). We distinguished between the situation where the harm was an “abrupt, cataclysmic occurrence” not contemplated by the contracting parties and one where the plaintiff was essentially seeking enforcement of contract rights (79 NY2d at 552). Here, the C&D building settled during the course of several months, damaging adjacent structures. However, even if any “abrupt” or “catastrophic” consequences either could have or did result from Perkins’ alleged negligence, the fact remains that the only damages alleged appear to have been within the contemplation of the parties under the contract—and, indeed, as set forth above, are identical for both claims. Put another way, there was no injury alleged here that a separate negligence claim would include that is not already encompassed in DASNY’s contract claim. In these circumstances, DASNY “is essentially seeking enforcement of the bargain, [and] the action should proceed under a contract theory” (*Sommer*, 79 NY2d at 552). Thus, we hold that the negligence claim is duplicative of the breach of contract cause of action and Perkins’ motion for summary judgment to dismiss that cause of action should have been granted.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendant Perkins’ motion insofar as it sought summary judgment dismissing the fifth cause of action for breach of contract and dismissing the sixth cause of action for negligence should be granted, and the certified question should be answered in the negative.

WILSON, J. (dissenting in part). I agree with the majority that the City of New York may not sue Perkins Eastman Architects, P.C. for breach of the Dormitory Authority of the State of New York (DASNY)-Perkins contract on the theory that the City is an intended third-party beneficiary of that contract, to which it is not a party.¹ However, I disagree with the determination that DASNY cannot maintain its sixth cause

1. Here, the City and DASNY are highly sophisticated parties. As described in its brief, DASNY’s *raison d’être* is “to help finance and construct

(n. cont’d)

of action. The claim is one for professional malpractice, not ordinary negligence. We have held that professionals have an independent duty to perform within professional standards of care, regardless of any contractual duties, and that injured plaintiffs may maintain both professional malpractice and breach of contract claims against them. Of course, DASNY cannot double-recover for its losses, but it is entitled to pursue both its claims for breach of contract and professional negligence.

New York recognizes a distinct claim for professional malpractice and allows parties to pursue simultaneously a professional malpractice claim and a breach of contract claim (see *Santulli v Englert, Reilly & McHugh*, 78 NY2d 700 [1992]; *Sears, Roebuck & Co. v Enco Assoc.*, 43 NY2d 389 [1977]; see also *Robins v Finestone*, 308 NY 543 [1955]). That is because, as the majority recognizes, a tort claim may be maintained in addition to a contract claim where there is a “breach of a legal duty independent of the contract” (see *Sommer v Federal Signal Corp.*, 79 NY2d 540, 551 [1992]). Such an independent legal duty “may be imposed by law as an incident to the parties’ relationship. Professionals, common carriers and bailees, for example, may be subject to tort liability for failure to exercise reasonable care, irrespective of their contractual duties” (*id.*). Under the clear language of *Sommer*, architects, *by their status as professionals*, have the requisite independent legal duty. Of course, a contract might incorporate that duty and the professional standards of care, and might or might not include other requirements. Whether the contract includes terms beyond the duty of care owed by a professional in the field, a plaintiff can elect to bring a claim for professional malpractice, breach of contract, or both.

In *Santulli*, we reversed the Appellate Division’s grant of summary judgment on plaintiff’s breach-of-contract claim, allowing him to proceed at trial on both a legal malpractice and a breach-of-contract claim arising from the same alleged misfeasance, rejecting defendant’s argument that a breach-of-

public projects for New York’s higher education, health care, and public institutions.” In the contract between DASNY and the general contractor, Samson, DASNY and the City specifically provided that the City could sue for breach, but in the DASNY contract with Perkins, DASNY and the City omitted any such right. Those facts weigh very heavily here; I do not take our decision to suggest that, absent the sophistication of the parties or the clear difference in the City’s right to sue under contracts concerning a single project, dismissal would nevertheless have been proper.

contract action may lie against a professional only where “there is either a specific promise by the attorney to perform and there is a complete failure of any performance or where the attorney has undertaken a specific task and has failed to perform that task” (78 NY2d at 706). In *Sears, Roebuck*, although the case came to us on a motion to dismiss, not a motion for summary judgment, we held that

“inasmuch as the relationship between Sears, Roebuck as property owner and Enco Associates as architects had its genesis in the contract between them . . . the owner may recover contract damages against the architects either on the theory of breach of a particular contract provision or on the theory of failure to exercise due care in the performance of the contract services” (43 NY2d at 392-393).

Contrary to the majority’s contention, *Brushton-Moira Cent. School Dist. v Thomas Assoc.* (91 NY2d 256 [1998]) has nothing to do with a plaintiff’s ability to bring both claims simultaneously. The sole issue in that case was whether damages should be measured at the time of breach or the time of trial. Moreover, the majority mischaracterizes the Appellate Division’s decision in that case. The Appellate Division did not hold—or even suggest—that a party may not simultaneously pursue both a malpractice claim and a contract claim through the conclusion of trial. Instead, the plaintiff in *Brushton-Moira* had pursued both such claims through trial. Supreme Court denied recovery to the plaintiff on both theories. The Appellate Division reversed and awarded judgment to the plaintiff on its contract claim, and held that, because the proof and damages on the malpractice claim were identical, the plaintiff *was not aggrieved* by Supreme Court’s dismissal of the malpractice claim, because recovery on the contract claim fully compensated the plaintiff (195 AD2d 801, 801-802 [3d Dept 1993]; see *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539, 544 [1983] [“Generally, the party who has successfully obtained a judgment or order in his favor is not aggrieved by it, and, consequently, has no need and, in fact, no right to appeal”]). Thus, *Brushton-Moira* supports DASNY’s ability to pursue both theories through the completion of trial, and certainly contains no implication that a pretrial dismissal on the ground of duplication is appropriate. Today’s decision cannot be squared with our prior precedents.

The majority also misapplies *Sommer* by confusing the test that applies when a plaintiff seeks to maintain a claim for

ordinary negligence—not professional negligence—alongside a claim for breach of contract. Because no professional, and hence no special standard of care, is involved, we have refused to let a plaintiff proceed simultaneously with both when the gravamen is essentially for breach of contract, relegating the plaintiff to its contract claim alone, unless the alleged breach affects a significant public interest and failure to perform the service carefully could have catastrophic consequences (*see Sommer* at 552-553). The “public interest” and “catastrophic consequences” analyses apply only to ordinary negligence claims that duplicate contract claims, not to professional malpractice claims.² In professional malpractice cases, the independent legal duty is established by law; there is no need to search further for one, and it exists independent of any contract. So long as that duty is asserted by the plaintiff, he or she can maintain both contract and professional malpractice causes of action. Here, DASNY asserts that Perkins failed to comply with professional standards of care. Because of its status as an architect, Perkins has an independent legal duty to comply with those professional standards, contract or no, and without any application of the public interest/catastrophic consequences test. DASNY’s alleged damages on each claim are the same \$37 million. It cannot recover \$74 million even if successful on both the contract and malpractice claims, but under our prior case law, it is free to pursue both theories to judgment. Accordingly, I dissent from the dismissal of DASNY’s malpractice claim against Perkins.

RIVERA, J. (dissenting). Defendant Perkins Eastman Architects, P.C. is not entitled to summary judgment. Material issues of fact, which should go to the jury, exist as to whether plaintiff City of New York is a third-party beneficiary of defendant’s contract with plaintiff Dormitory Authority of the State of New York (DASNY), and with respect to DASNY’s tort claim for professional malpractice. The Appellate Division thus correctly determined that summary judgment was unwarranted, and we should answer the certified question in the affirmative.

2. *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.* (70 NY2d 382, 389 [1987]), does not support the majority’s position. In that case, we held that the plaintiff could not maintain its negligence claims against the Long Island Rail Road Company because “plaintiff has not alleged the violation of a legal duty independent of the contract” (*id.* at 390). The defendant in *Clark-Fitzpatrick* was not a professional, and therefore only a claim of ordinary negligence, not professional malpractice, was at issue.

The drastic remedy of summary judgment may only be granted where, viewing the facts in the light most favorable to the non-movant, “the moving party has ‘tender[ed] sufficient evidence to demonstrate the absence of any material issues of fact,’ ” and the non-moving party has subsequently “fail[ed] ‘to establish the existence of material issues of fact which require a trial of the action’ ” (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012] [citations omitted]). When deciding such a motion, “the court’s role is limited to issue finding, not issue resolution” (*Kriz v Schum*, 75 NY2d 25, 33 [1989]). Summary judgment disposition is inappropriate where varying inferences may be drawn, because in those cases it is for the factfinder to weigh the evidence and resolve any issues necessary to a final conclusion (*see id.* at 33-34).

With respect to the City’s claim, the majority’s standard is perilously close to requiring that a contract expressly name a nonparty as a third-party beneficiary. Yet this is not the law. A nonparty that “is not a stranger to the contract,” and whose relationship with the defendant is the “functional equivalent of privity,” may assert a breach (*see Town of Oyster Bay v Lizza Indus., Inc.*, 22 NY3d 1024, 1030 [2013] [internal quotation marks omitted], quoting *City School Dist. of City of Newburgh v Stubbins & Assoc.*, 85 NY2d 535, 538-539 [1995]; *see also* Glen Banks, New York Contract Law § 8:11 [2d ed 28 West’s NY Prac Series 2017] [“Enforcement of the contract—Third-party beneficiary”]; 22 NY Jur 2d, Contracts § 303). Here, the Appellate Division properly concluded an issue of fact exists as to whether the City is an intended third-party beneficiary of the DASNY-Perkins contract, because “[t]he contract expressly states that a city agency will operate the DNA laboratory, and the City retained control over various aspects of the project, including participation in and approval of the design of the building, the budget for the project, the selection of contractors, including Perkins, and the construction of the building” (*Dormitory Auth. of the State of N.Y. v Samson Constr. Co.*, 137 AD3d 433, 434 [1st Dept 2016]). I would add that DASNY is a “public benefit corporation,” whose stated mission, helping finance and construct public projects, and established role, serving as project manager for government entities on projects similar to the City’s DNA lab, suggest Perkins understood the real beneficiary was DASNY’s named governmental client: the City. The contract also stipulated that the City was an insured on Perkins’ general liability insurance policy, and that in the

case of litigation Perkins would “indemnify and hold harmless [DASNY and] the Client . . . against all claims arising out of the negligent acts, alleged negligent acts, or failure to act, by [Perkins].” Given that these contractual provisions suggest Perkins knew the City was the project’s intended beneficiary, questions of fact foreclose the drastic remedy of summary judgment.

With respect to DASNY’s professional malpractice claim, the majority misreads our case law. In *Sommer v Federal Signal Corp.*, this Court stated that professionals “may be subject to tort liability for failure to exercise reasonable care, irrespective of their contractual duties” (79 NY2d 540, 551 [1992] [citations omitted]). Thus, for the reasons thoroughly discussed in Judge Wilson’s dissent, in which I join, summary judgment dismissing that cause of action should not have been granted.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge WILSON dissents in part in an opinion, in which Judge RIVERA concurs in part in a separate dissenting opinion.

Order reversed, with costs, and defendant Perkins Eastman Architects, P.C.’s motion, insofar as it sought summary judgment dismissing the fifth cause of action for breach of contract and dismissing the sixth cause of action for negligence, granted and certified question answered in the negative.

[94 NE3d 471, 70 NYS3d 909]

BARBARA CONNOLLY et al., Respondents, v LONG ISLAND POWER
AUTHORITY et al., Appellants, et al., Defendant.

WILLIAM BAUMANN et al., Respondents, v LONG ISLAND POWER
AUTHORITY et al., Appellants, et al., Defendant.

WILLIAM HEERAN, Individually and on Behalf of HARBOR LIGHT
ENTERPRISES CORP. and Another, et al., Respondents, v
LONG ISLAND POWER AUTHORITY (LIPA) et al., Appellants,
et al., Defendants.

Argued January 9, 2018; decided February 20, 2018

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 13, 2016. The Appellate Division affirmed an order of the Supreme Court, Queens County (Bernice D. Siegal, J.), which had denied the joint motion by defendants Long Island Power Authority, Long Island Lighting Company and National Grid Electric Services, LLC pursuant to CPLR 3211 (a) (7) to dismiss the amended complaint insofar as asserted against them. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated July 13, 2016, properly made?”

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 13, 2016. The Appellate Division affirmed an order of the Supreme Court, Queens County (Bernice D. Siegal, J.; op 45 Misc 3d 257 [2014]), which had denied the joint motion by defendants Long Island Power Authority, Long Island Lighting Company and National Grid Electric Services, LLC pursuant to CPLR 3211 (a) (7) to dismiss the amended complaint insofar as asserted against them. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated July 13, 2016, properly made?”

APPEAL, in the third above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 13, 2016. The Appellate Division affirmed an order of the Supreme Court, Queens County (Bernice D. Siegal, J.; op 2014

NY Slip Op 32205[U] [2014]), which had denied the joint motion by defendants Long Island Power Authority and National Grid Electric Services, LLC, incorrectly sued herein as Keyspan Electric Services, Inc., pursuant to CPLR 3211 (a) (7) to dismiss the amended complaint insofar as asserted against them. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated July 13, 2016, properly made?”

Connolly v Long Is. Power Auth., 141 AD3d 555, affirmed.

Baumann v Long Is. Power Auth., 141 AD3d 554, affirmed.

Heeran v Long Is. Power Auth. (LIPA), 141 AD3d 561, affirmed.

HEADNOTE

Public Authorities — Long Island Power Authority — Governmental Function Immunity

Defendants, the Long Island Power Authority (LIPA), a wholly-owned subsidiary of LIPA and an electrical energy provider that contracted with LIPA, were not entitled to dismissal of plaintiffs’ complaints on the ground that LIPA was immune from liability based on the doctrine of governmental function immunity, where defendants failed to establish that LIPA’s decision not to shut down power to plaintiffs’ service area before or during Hurricane Sandy, which allegedly caused the fires that ultimately destroyed plaintiffs’ property, was a governmental function. A government entity performs a purely proprietary role when its activities essentially substitute for or supplement traditionally private enterprises. In contrast, a government entity will be deemed to have been engaged in a governmental function when its acts are undertaken for the protection and safety of the public pursuant to the general police powers. Plaintiffs’ allegations concerned the provision of electrical power by defendants, a service that traditionally had been provided by private entities in the State of New York. Moreover, the magnitude of the disaster, without any reference to the circumstances and nature of the specific act or omission alleged, did not render the challenged conduct governmental as a matter of law.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Municipal, County, School, and State Tort Liability §§ 38, 40, 52.

NY JUR 2d Government Tort Liability §§ 15, 135; NY JUR 2d Public Authorities § 11.

ANNOTATION REFERENCE

See ALR Index under Governmental Immunity or Privilege.

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POINTS OF COUNSEL

Lazer, Aptheke, Rosella & Yedid, P.C., Melville (*David Lazer and Zachary Murdock* of counsel), and *Hammill, O'Brien, Crou-tier, Dempsey, Pender & Koehler, P.C.*, Syossett (*William J. Croutier, Jr.* and *Erin N. Mackin* of counsel), for appellants in the first, second and third above-entitled actions. I. Long Island Power Authority exercised a governmental function when it decided not to preemptively de-energize the Rockaway Peninsula in anticipation of Superstorm Sandy. (*Haddock v City of New York*, 75 NY2d 478; *Valdez v City of New York*, 18 NY3d 69; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Cuffy v City of New York*, 69 NY2d 255; *Moch Co. v Rensselaer Water Co.*, 247 NY 160; *Lauer v City of New York*, 95 NY2d 95; *Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Riss v City of New York*, 22 NY2d 579; *Miller v State of New York*, 62 NY2d 506; *Laratro v City of New York*, 8 NY3d 79.) II. The amended complaint fails to allege facts that, if proved, would establish an exception to the governmental function immunity doctrine. (*McLean v City of New York*, 12 NY3d 194; *Tango v Tulevech*, 61 NY2d 34; *Lauer v City of New York*, 95 NY2d 95.) III. National Grid Electric Services, LLC, as an entity in contract with Long Island Power Authority, performed a governmental function in preparing for and responding to Superstorm Sandy. (*Altro v Conrail*, 130 AD2d 612; *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Matter of Crown Communication N.Y., Inc. v Department of Transp. of State of N.Y.*, 4 NY3d 159; *Howard v Finnigans Warehouse Corp.*, 33 AD2d 1090; *Berger v 34th St. Garage*, 3 NY2d 701; *Mohammed v D.H. Farney Contrs.*, 881 F Supp 110; *Isbrandtsen Co. v Lenaghan*, 128 F Supp 662; *Bates v Holbrook*, 171 NY 460; *Ramme v Long Is. R.R. Co.*, 226 NY 327.)

Sullivan Papain Block McGrath & Cannavo P.C., New York City (*Brian J. Shoot* and *Eric K. Schwarz* of counsel), for respondents in the first and second above-entitled actions. I. Liability is imposed under ordinary tort standards where the conduct that caused the alleged injuries was “proprietary” in nature. (*Sebastian v State of New York*, 93 NY2d 790; *Miller v State of New York*, 62 NY2d 506; *Riss v City of New York*, 22 NY2d 579; *Valdez v City of New York*, 18 NY3d 69; *Turturro v*

City of New York, 28 NY3d 469; *Price v New York City Hous. Auth.*, 92 NY2d 553; *Wittorf v City of New York*, 23 NY3d 473; *Schrempp v State of New York*, 66 NY2d 289; *Weiss v Fote*, 7 NY2d 579; *Alexander v Eldred*, 63 NY2d 460.) II. The conduct in issue was plainly “proprietary” and thus governed by the same tort standards as would apply to any other utility. (*Haddock v City of New York*, 75 NY2d 478; *Turturro v City of New York*, 28 NY3d 469; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Miller v State of New York*, 62 NY2d 506; *Wittorf v City of New York*, 23 NY3d 473; *Sebastian v State of New York*, 93 NY2d 790; *Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Kovit v Estate of Hallums*, 4 NY3d 499; *Balsam v Delma Eng’g Corp.*, 90 NY2d 966; *Friedman v State of New York*, 67 NY2d 271.) III. Appellants’ argument that the conduct in issue was akin to a “governmental” failure to protect the public from “criminals,” “third persons,” or “natural disasters” is fundamentally flawed inasmuch as the “outside force” from which plaintiffs herein required protection was the appellants’ own electrical lines. (*Garricks v City of New York*, 1 NY3d 22; *Cockburn v City of New York*, 129 AD3d 895; *Estate of Gail Radvin v City of New York*, 119 AD3d 730; *Freeman v City of New York*, 111 AD3d 780; *In re Signal Intl., LLC*, 579 F3d 478.) IV. Long Island Power Authority’s argument for immunity is also inconsistent with the Public Service Law, the State-approved tariff that directly governs its tort liability, and the Long Island Power Authority Act itself. (*Newman v Consolidated Edison Co.*, 79 Misc 2d 153; *Bowen v Niagara Mohawk Power Corp.*, 183 AD2d 293; *Zoller v Niagara Mohawk Power Corp.*, 137 AD2d 947; *Flex-O-Vit USA v Niagara Mohawk Power Corp.*, 292 AD2d 764; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252; *City of New York v Long Is. Power Auth.*, 14 AD3d 642.) V. Long Island Power Authority’s claim that its theorized governmental immunity should extend to its investor-owned contractor fails for the additional reason that New York has consistently rejected any form of government contractor tort immunity. (*Bates v Holbrook*, 171 NY 460; *Turner v Degnon-McLean Contr. Co.*, 99 App Div 135; *Royal Ins. Co. of Am. v RU-VAL Elec. Corp.*, 918 F Supp 647; *Steinberg v New York City Tr. Auth.*, 88 AD3d 582; *Clark v City of New York*, 130 AD3d 964; *Howard v Finnigans Warehouse Corp.*, 33 AD2d 1090; *Berger v 34th St. Garage*, 3 NY2d 701; *Sue/Perior Concrete & Paving, Inc. v Lewiston Golf Course Corp.*, 24 NY3d 538; *Matter of Crown Communication N.Y., Inc. v Department*

of *Transp. of State of N.Y.*, 4 NY3d 159; *Filarsky v Delia*, 566 US 377.) VI. Appellants' appeals to "public policy" turn on demonstrably false assertions. (*Trawally v City of New York*, 137 AD3d 492; *Arriola v City of New York*, 128 AD3d 747; *Brunero v City of N.Y. Dept. of Parks & Recreation*, 121 AD3d 624; *Lee v Consolidated Edison Co. of N.Y.*, 98 Misc 2d 304; *Weld v Postal Telegraph-Cable Co.*, 199 NY 88.)

Pollack, Pollack, Isaac & DeCicco, LLP, New York City (Brian J. Isaac of counsel), and *Godosky & Gentile, P.C.* (Anthony P. Gentile of counsel), for respondents in the third above-entitled action. I. Long Island Power Authority (LIPA) is not entitled to immunity because the provision of electricity was traditionally a proprietary function; there is no evidence of any actual decision or discretion, as LIPA delegated the running of its power grid to National Grid; statutes and regulations impose a duty of reasonable care upon LIPA, as does its own tariff, which provides that it will be liable for ordinary negligence; accordingly, the denial of the motion to dismiss was appropriate. (*Miglino v Bally Total Fitness of Greater N.Y., Inc.*, 20 NY3d 342; *Rovello v Orofino Realty Co., Inc.*, 40 NY2d 633; *Leon v Martinez*, 84 NY2d 83; *Wittorf v City of New York*, 23 NY3d 473; *Miller v State of New York*, 62 NY2d 506; *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175; *Bass v City of New York*, 32 NY2d 894; *DiLauro v Consolidated Edison Co. of N.Y.*, 200 AD2d 485; *Miner v Long Is. Light. Co.*, 40 NY2d 372.) II. De-energization of an electrical power line is standard utility practice performed on a regular basis by utilities throughout the country; it does not involve extraordinary discretionary action as described by defense counsel in its brief. (*Tallarico v Long Is. Light Co.*, 45 AD2d 845; *Austro v Niagara Mohawk Power Corp.*, 103 AD2d 903; *Ward v Atlantic & Pac. Tel. Co.*, 71 NY 81; *Braun v Buffalo Gen. Elec. Co.*, 200 NY 484; *Huscher v New York & Queens Elec. Light & Power Co.*, 223 NY 615; *Russell v New York State Elec. & Gas Corp.*, 276 App Div 44.) III. National Grid may not "borrow" Long Island Power Authority's alleged immunity. (*Bates v Holbrook*, 171 NY 460; *Mairs v Manhattan Real Estate Assn.*, 89 NY 498; *Clark v City of New York*, 130 AD3d 964; *Steinberg v New York City Tr. Auth.*, 88 AD3d 582; *Berger v 34th St. Garage*, 3 NY2d 701; *Sue/Perior Concrete & Paving, Inc. v Lewiston Golf Course Corp.*, 24 NY3d 538; *Matter of Crown Communication N.Y., Inc. v Department of Transp. of State of N.Y.*, 4 NY3d 159; *Filarsky v Delia*, 566 US 377; *Altro v Conrail*, 130 AD2d 612; *Matter of County of Monroe [City of Rochester]*, 72 NY2d 338.) IV. The arguments

and citations in defendants' brief do not support the recognition of immunity sufficient to grant their motion to dismiss. (*Ernest v Red Creek Cent. School Dist.*, 93 NY2d 664; *Alexander v Eldred*, 63 NY2d 460; *Havas v Victory Paper Stock Co., Inc.*, 49 NY2d 381; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Kovit v Estate of Hallums*, 4 NY3d 499; *Friedman v State of New York*, 67 NY2d 271; *Cockburn v City of New York*, 129 AD3d 895; *Estate of Gail Radvin v City of New York*, 119 AD3d 730; *Freeman v City of New York*, 111 AD3d 780; *Garricks v City of New York*, 1 NY3d 22.)

OPINION OF THE COURT

STEIN, J.

The narrow issue before us on these appeals is whether defendants Long Island Power Authority (LIPA), Long Island Lighting Company (LILCO), and National Grid Electric Services, LLC (National Grid, and collectively with LIPA and LILCO, defendants) are entitled to dismissal of plaintiffs' amended complaints on the rationale that the actions challenged were governmental and discretionary as a matter of law, and, even assuming the actions were not discretionary, that plaintiffs' failure to allege a special duty is a fatal defect. Because defendants have not met their threshold burden of demonstrating that the action was governmental in the context of these pre-answer, pre-discovery CPLR 3211 (a) (7) motions, we cannot say that the complaints fail to state causes of action as a matter of law. We therefore affirm.

I.

LIPA is a public authority that was created by the legislature in 1986 to provide a "safer, more efficient, reliable and economical supply of electric energy" in the service area of LILCO, which includes the Rockaway Peninsula in Queens County (*see* Public Authorities Law § 1020-a). Due to rising costs of electricity and a lack of confidence in the ability of LILCO—an "investor owned utility" at the time—the legislature determined that "[s]uch matters of state concern best can be dealt with by replacing [LILCO] with a publicly owned power authority" (*id.*). To effectuate these purposes, the legislature created LIPA as a "corporate municipal instrumentality of the state . . . which shall be a body corporate and politic and a political subdivision of the state, exercising essential governmental and public powers," and authorized it to operate in LILCO's service area (Public Authorities Law § 1020-c [1], [2]).

At the direction of the legislature, LIPA acquired LILCO including, among other things, its electric transmission and distribution facilities (T&D System) (see Public Authorities Law § 1020-h [1] [b]; *Matter of Suffolk County v Long Is. Power Auth.*, 258 AD2d 226, 228 [2d Dept 1999], *lv denied* 94 NY2d 759 [2000]). The T&D System consists of the equipment necessary to bring power onto Long Island from high-load power lines, towers, and substations, and to deliver power to individual customers. As a result of the acquisition, LILCO became a wholly-owned subsidiary of LIPA, entitled by statute to “all the privileges [and] immunities . . . of [LIPA]” (Public Authorities Law § 1020-i [2]). Meanwhile, in preparation for the acquisition, LIPA entered into a Management Services Agreement (MSA) with LILCO, which was eventually assigned to the entity now known as National Grid. The MSA governed all aspects of the relationship between LIPA and National Grid at the relevant time, including National Grid’s main function of operating and maintaining the T&D System.

In each of the actions presently before us, plaintiffs allege that their real and personal property was destroyed by fire as a result of defendants’ negligent failure to preemptively de-energize the Rockaway Peninsula prior to or after Hurricane Sandy made landfall in October 2012.¹ As alleged in plaintiffs’ complaints, the Governor declared a state of emergency in all counties across New York State in preparation for the potential impact of the storm, and the National Hurricane Center warned of a “life-threatening storm surge” that could cause “repeated and extended periods of coastal and bayside flooding.” Further, the Mayor of the City of New York issued Executive Order [Bloomberg] No. 163 ordering the evacuation of Zone A, which included the Rockaway Peninsula. Nevertheless, LIPA did not shut down power to the area, even though Consolidated Edison—the utility supplying most of the electricity to the five boroughs of New York City—preemptively did so in its service area in order to avoid salt water from the surge coming into contact with its electrical systems. According to plaintiffs, when the Rockaway Peninsula flooded due to storm surges from Hurricane Sandy, flood water came into contact with components of the T&D System, causing short circuits, fires and, ultimately, the destruction of plaintiffs’ property.

1. LILCO was not named as a defendant in one of the actions (see *Heeran v Long Is. Power Auth. [LIPA]*, 141 AD3d 561 [2d Dept 2016]).

Plaintiffs also alleged in their amended complaints that LIPA persisted in failing to shut down power despite having received actual notice of downed, live power lines.

Defendants moved to dismiss the amended complaints pursuant to CPLR 3211 (a) (7) insofar as asserted against them on the ground that LIPA was immune from liability based on the doctrine of governmental function immunity, and that LILCO and National Grid were entitled to the same defense. Specifically, LIPA argued, among other things, that the actions challenged were taken in the exercise of its governmental capacity and were discretionary, and, even if they were not discretionary, plaintiffs' failure to allege a special duty in the complaints amounted to a failure to state viable claims. Plaintiffs opposed the motions on the ground that defendants' actions were proprietary, not governmental, and that special duty rules did not apply. Supreme Court denied the motions to dismiss in three substantially similar orders.

On defendants' appeals, the Appellate Division, Second Department, with one Justice dissenting, affirmed each order denying defendants' motions to dismiss (141 AD3d 555 [2d Dept 2016]; 141 AD3d 554 [2d Dept 2016]; 141 AD3d 561 [2d Dept 2016]). The Court held that LIPA was not entitled to governmental immunity because the provision of electricity is properly categorized as a proprietary function and, in the Court's view, the functions of both providing electricity in the ordinary course and in responding to a hurricane are part of the proprietary core functions of electric utilities. The Court also rejected National Grid's claim of immunity on the basis that it presupposed that LIPA was entitled to governmental immunity. The dissenting Justice agreed that defendants were engaged in a generally proprietary activity as providers of electricity, but would have held that the specific acts or omissions alleged in the complaints were related, not to defendants' general operations but, instead, to the governmental function of preparing for, and responding to, a natural disaster (141 AD3d at 571-573 [Miller, J., dissenting]).

The Appellate Division granted defendants leave to appeal to this Court, in each case, certifying the question of whether its order was properly made.

II.

It is well settled that, "[d]espite the sovereign's own statutory surrender of common-law tort immunity for the misfea-

sance of its employees, governmental entities somewhat incongruously claim—and unquestionably continue to enjoy—a significant measure of immunity fashioned for their protection by the courts” (*Haddock v City of New York*, 75 NY2d 478, 484 [1990]). The doctrine of governmental function immunity “reflects separation of powers principles and is intended to ensure that public servants are free to exercise their decision-making authority without interference from the courts” (*Valdez v City of New York*, 18 NY3d 69, 76 [2011]). Additionally,

“this immunity reflects a value judgment that—despite injury to a member of the public—the broader interest in having government officers and employees free to exercise judgment and discretion in their official functions, unhampered by fear of second-guessing and retaliatory lawsuits, outweighs the benefits to be had from imposing liability for that injury” (*Haddock*, 75 NY2d at 484).

Because the issue in this CPLR 3211 (a) (7) motion is whether plaintiffs’ complaints have stated a viable claim, the first issue that we must consider “is whether the . . . entity was engaged in a proprietary function or acted in a governmental capacity at the time the claim arose” (*Applewhite v Accuhealth, Inc.*, 21 NY3d 420, 425 [2013]). This is so because, if the action challenged in the litigation is governmental, the existence of a special duty is an element of the plaintiff’s negligence cause of action (see *Lauer v City of New York*, 95 NY2d 95 [2000]). As this Court recently explained:

“A government entity performs a purely proprietary role when its activities essentially substitute for or supplement traditionally private enterprises. In contrast, a [government entity] will be deemed to have been engaged in a governmental function when its acts are undertaken for the protection and safety of the public pursuant to the general police powers” (*Turturro v City of New York*, 28 NY3d 469, 477-478 [2016] [internal quotation marks and citations omitted]; see *Sebastian v State of New York*, 93 NY2d 790, 793 [1999]).

This Court has observed that “[a] governmental entity’s conduct may fall along a continuum of responsibility to individuals and society deriving from its governmental and proprietary functions” (*Miller v State of New York*, 62 NY2d

506, 511-512 [1984]), and that “the determination . . . may present a close question for the courts to decide” (*Applewhite*, 21 NY3d at 425). Consequently, “[w]hen the liability of a governmental entity is at issue, it is the specific act or omission out of which the injury is claimed to have arisen and the capacity in which that act or failure to act occurred which governs liability” (*Miller*, 62 NY2d at 513 [internal quotation marks, brackets and citation omitted]). Put differently, “the determination of the primary capacity under which a governmental agency was acting turns solely on the acts or omissions claimed to have caused the injury” (*Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428, 447 [2011], *cert denied sub nom. Ruiz v Port Auth. of N.Y. & N.J.*, 568 US 817 [2012]).

Assuming the government entity was acting in a governmental capacity, the plaintiff may nevertheless state a viable claim by alleging the existence of a special duty to the plaintiff (*see Turturro*, 28 NY3d at 478). If the plaintiff establishes the elements of the cause of action, including special duty, the government entity can avoid liability under the governmental function immunity defense by proving the challenged actions were discretionary in nature and that discretion was, in fact, exercised (*see id.*; *Valdez*, 18 NY3d at 75-76). However, because the governmental immunity defense protects government entities from liability only for discretionary actions taken during the performance of governmental functions, “[t]he . . . defense has no applicability where the [entity] has acted in a proprietary capacity, even if the acts of the [entity] may be characterized as discretionary” (*Turturro*, 28 NY3d at 479; *see Matter of World Trade Ctr.*, 17 NY3d at 432).

III.

In assessing defendants’ motions to dismiss under CPLR 3211 (a) (7), we must accept plaintiffs’ allegations as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether plaintiffs have a cause of action (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). At the same time, defendants bear the burden of establishing that the complaint fails to state a viable cause of action. Thus, the threshold inquiry distills to whether defendants have established that the challenged action, or failure to act, was governmental, as a matter of law, based solely on plaintiffs’ amplified pleadings (*see id.* at 88).

As noted above, plaintiffs averred that defendants were negligent in failing to preemptively de-energize or otherwise

suspend the provision of electricity to the Rockaway Peninsula. Specifically, plaintiffs alleged that defendants failed to take action despite repeated warnings that Hurricane Sandy would create a massive surge, inundating the locality with salt water that was likely to come into contact with components of defendants' T&D System, which defendants knew created a risk of fire and which, in fact, caused such fires. Plaintiffs further alleged that, notwithstanding defendants' actual knowledge of downed live electrical lines, they persisted in their failure to de-energize the area.

Viewing these allegations in the light most favorable to plaintiffs, as we must given the procedural posture, plaintiffs' allegations concern the provision of electrical power by defendants, a service that traditionally has been provided by private entities in the State of New York. In fact, LIPA itself was created to replace LILCO which, at the time, was an "investor owned utility" (Public Authorities Law § 1020-a). This takeover was anomalous and, when the legislation creating LIPA was enacted, the New York State Public Service Commission—the agency charged with ensuring safe and reliable utility service throughout the State—observed that, "[i]n New York State we have generally adopted a system of private ownership subject to close regulation" (NY St Dept of Pub Serv Mem at 1, Bill Jacket, L 1986, ch 517 at 21). In that vein, during a debate concerning the bill, the Senate acknowledged that passage of the bill marked an "extraordinary event in the history of New York State" (NY Senate Debate on L 1986, ch 517 at 7060-7061). Moreover, the record demonstrates that LILCO itself observed that "[t]he draft bill breaks new . . . ground on several scores[;] . . . there is no precedent whatsoever for a utility takeover of this magnitude by any means anywhere in this country" (LILCO Mem, July 2, 1986 at 3).

Indeed, LIPA does not dispute that the provision of electricity traditionally has been a private enterprise which, in the normal course of operations, would be a proprietary function. However, LIPA argues that its alleged decision to refrain from shutting down electrical power to, or failure to de-energize, the Rockaway Peninsula—the specific act or omission alleged in the amended complaints—was a governmental function under the circumstances here because it related more broadly to the protection of the public from a natural disaster.

Given the procedural posture, we cannot say, as a matter of law based only on the allegations in the amended complaints,

as amplified, that LIPA was acting in a governmental, rather than a proprietary, capacity when engaged in the conduct claimed to have caused plaintiffs' injuries. We reject defendants' claim that the magnitude of the disaster, without any reference to the circumstances and nature of the specific act or omission alleged—i.e., the failure to de-energize—renders LIPA's conduct governmental as a matter of law.² Inasmuch as defendants have failed to meet their burden to establish that plaintiffs' amended complaints failed to state viable claims, we hold that the courts below properly denied LIPA's motions to dismiss.³

Accordingly, in each appeal, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

RIVERA, J. (concurring). Defendants are electrical power suppliers for customers in Suffolk and Nassau Counties and parts of Queens County, New York. Defendant Long Island Power Authority (LIPA) is a publicly-owned power authority created in 1986 to replace the existing investor-owned utility, defendant Long Island Lighting Company (LILCO), for the purpose of "assuring the provision of an adequate supply of electricity in a reliable, efficient and economic manner" to LILCO's customers (*see* Public Authorities Law § 1020-a). As the majority acknowl-

2. Indeed, in cases in which it is difficult to determine whether the municipal entity has acted in a proprietary or governmental capacity, that inquiry has not been resolved at the threshold stage of the litigation based on the plaintiffs' allegations alone. Rather, such determinations have been made after discovery on summary judgment or after trial (*see e.g. Matter of World Trade Ctr.*, 17 NY3d at 448 [reasoning that the acts or omissions for which plaintiffs sought to hold the defendant liable involved the "strategic allocation of police resources" and reflected a "considered legislative-executive decision as to how those resources may be deployed"])). Nevertheless, while we conclude that, in this particular case, the procedural posture in which it is presented to us does not enable us to determine the nature of LIPA's acts, we note that we have recognized circumstances in which that determination could be made in the context of a CPLR 3211 (a) (7) motion (*see e.g. Lauer v City of New York*, 95 NY2d 95, 102-103 [2000]). We do not foreclose the possibility that this threshold issue concerning the governmental function immunity defense may be capable of resolution at the pre-answer, motion to dismiss stage in other appropriate cases.

3. LILCO, as LIPA's subsidiary, likewise was not entitled to dismissal of the amended complaints. Further, inasmuch as defendants' assertion that National Grid should be afforded governmental immunity by virtue of its contractual obligation to operate LIPA's T&D System presupposes that LIPA, itself, is entitled to immunity, defendants have not shown that plaintiffs' amended complaints should be dismissed insofar as asserted against National Grid.

edges “[t]his takeover was anomalous,” both in scope and concept, as historically, New York’s electrical needs have been met by the private sector through a market-driven proprietary model of services (majority op at 729; see *Braun v Buffalo Gen. Elec. Co.*, 200 NY 484 [1911]; *Miner v Long Is. Light. Co.*, 40 NY2d 372 [1976]). Plaintiffs sued defendants for property damage allegedly caused by defendants’ failure to de-energize part of its customer service area during Superstorm Sandy. Defendants moved to dismiss on the ground that LIPA, and as a consequence the codefendants, are immune from suit for acting in LIPA’s governmental, as opposed to proprietary, capacity.

I agree with the majority that defendants failed to carry their burden on the motion because the amended complaints state cognizable claims for relief based on defendants’ alleged negligence (majority op at 728-730). However, I disagree with the majority’s suggestion that defendants may be able to establish an affirmative defense of immunity at some later stage in this litigation (majority op at 730 n 2). The majority essentially invites the parties to engage in further motion practice on defendants’ purported entitlement to immunity. In doing so, it encourages the parties to incur unwarranted litigation costs and needlessly expend judicial resources on an argument that has no possibility of success. A governmental entity that replaced a private entity to supply a service that historically has been provided by private entities, in a manner indistinguishable from those private entities, simply cannot be said to be acting in a governmental capacity. LIPA’s decision not to de-energize is decidedly proprietary because its “activities essentially substitute for or supplement ‘traditionally private enterprises’” (*Sebastian v State of New York*, 93 NY2d 790, 793 [1999], citing *Riss v City of New York*, 22 NY2d 579, 581 [1968, Breitel, J.]). Regardless of how LIPA characterizes its actions, they were not undertaken “pursuant to the general police powers” and did not involve a governmental function (*Balsam v Delma Eng’g Corp.*, 90 NY2d 966, 968 [1997]). Therefore, as a matter of law, defendants are not entitled to an affirmative defense of immunity from suit under the theory that they acted in a governmental capacity.

New York’s doctrine of governmental immunity furthers important societal interests.

“This limitation on liability reflects separation of powers principles and is intended to ensure that public servants are free to exercise their decision-

making authority without interference from the courts. It further reflects a value judgment that—despite injury to a member of the public—the broader interest in having government officers and employees free to exercise judgment and discretion in their official functions, unhampered by fear of second-guessing and retaliatory lawsuits, outweighs the benefits to be had from imposing liability for that injury” (*Valdez v City of New York*, 18 NY3d 69, 76 [2011] [internal quotation marks omitted]).

Our law is well-settled that a governmental entity may be subject to liability under ordinary principles of tort law for “activities which have displaced or supplemented traditionally private enterprises . . . [and] activities of government which provide services and facilities for the use of the public” because these actions are performed in the entity’s proprietary capacity (*Riss*, 22 NY2d at 581). In contrast, absent a special duty to the injured party, a governmental entity may assert a defense of immunity to a negligence suit for actions taken in performance of its governmental function (*Sebastian v State of New York*, 93 NY2d 790, 793 [1999]).

The application of the doctrine requires careful review to determine whether the entity’s actions have proprietary characteristics.

“This Court has recognized that a ‘governmental entity’s conduct may fall along a continuum of responsibility to individuals and society deriving from its governmental and proprietary functions.’ At one end of the continuum lie purely governmental functions ‘undertaken for the protection and safety of the public pursuant to the general police powers.’ . . .

“On the opposite periphery lie proprietary functions in which governmental activities essentially substitute for or supplement ‘traditionally private enterprises’” (*id.* at 793 [citations omitted]).

To determine whether a function is proprietary or governmental, the courts must examine

“the specific act or omission out of which the injury is claimed to have arisen and the capacity in which that act or failure to act occurred . . . , not whether

the agency involved is engaged generally in proprietary activity or is in control of the location in which the injury occurred” (*Miller v State of New York*, 62 NY2d 506, 513 [1984]).

The critical factor in determining whether the governmental entity is acting pursuant to a governmental function is determining if it exercised its police powers for the protection and safety of the public in carrying out the action challenged by a plaintiff (*Applewhite v Accuhealth, Inc.*, 21 NY3d 420, 425 [2013]). If not, the entity is understood to be acting as its private sector counterpart, without the need for immunity to ensure the proper deployment of limited governmental resources. Examples of governmental functions attributed to the general police powers include police and fire protections, oversight of juvenile delinquents, issuance of building permits or certificates of occupancy, certifying compliance with fire safety codes, teacher supervision of a public school playground, boat inspections, garbage collection, and traffic regulations (*see id.* at 425-426). Each of these examples manifest policy choices based on social norms and political considerations that at their core require balancing society’s interests in protecting the public welfare, health, and safety against the interests of the individual.

LIPA’s challenged action here does not involve the exercise of the police power. Its decision not to de-energize is no different than those historically made by private actors. In fact, its private sector counterpart, Con Edison, faced this very same decision in the days and hours before the storm. We need only compare this decision with a true exercise of the police power under the circumstances of a storm emergency to understand why LIPA’s actions were proprietary. As the storm approached, the deployment of law enforcement personnel, fire fighters, emergency medical providers, and other first responders, was a clear governmental act (*id.* at 425, 428 [“Police and fire protection are examples of long-recognized, quintessential governmental functions,” and EMT and other first responders fulfill a government function]). Similarly, the decision to evacuate parts of New York City could only be accomplished by means of the government exercising its police powers in the course of an emergency. In contrast, LIPA’s actions did not involve decisions about these limited governmental resources, which are at the core of those governmental actions.

I agree with the majority that the fact that LIPA was responding to a severe storm does not itself mean that its

behavior constituted governmental action (majority op at 730). Nor would the fact that LIPA took into consideration the choices of other governmental actors, such as various entities' decisions about evacuating particular areas and deploying first responders, make its decision "governmental." Con Edison did the same. Additionally, to the extent that LIPA's actions were taken at the behest of some governmental command, this may bear upon LIPA's eventual liability under traditional negligence principles, not whether LIPA acted in a governmental capacity. Again, a private utility would respond to governmental directives in the same way.

It is not disputed that the provision of electricity has traditionally been a proprietary enterprise undertaken by private entities (*see* Prosser & Keeton, Torts § 131 at 1053 [5th ed 1984] ["(I)f the city operates a local electric or water company for which fees are charged, this looks very much like private enterprise and is usually considered proprietary"]).¹ LIPA replaced a private entity—LILCO—and as such its "activities essentially substitute for or supplement traditionally private enterprises" (*Sebastian*, 93 NY2d at 793 [internal quotation marks omitted]). Our courts have frequently held private utility companies subject to liability under ordinary rules of negligence, including LILCO (*see e.g. Miner*, 40 NY2d at 375). Indeed, defendants concede that LIPA's "core function—the routine operation and maintenance of its electric utility equipment on a 'blue sky day'—is proprietary."

This case is distinguishable from *Matter of World Trade Ctr. Bombing Litig.*, in which the Court found that the Port Authority had security concerns of a drastically different quantitative and qualitative register than most landowners and that the administration and deployment of security at the World Trade Center (WTC) involved discretionary decision-making about allocating security and police resources (17 NY3d 428, 449 [2011]). First, nothing suggests that LIPA faces different public safety concerns than the private companies in the region, including those providing power to customers directly across

1. LIPA stresses that the legislature specified that LIPA would be performing an "essential governmental function" (Public Authorities Law § 1020-p [1]), but as the Appellate Division majority points out, similar language is in the laws creating other public authorities that definitely carry out proprietary activities, such as the White Plains Parking Authority or the Upper Mohawk Valley Memorial Auditorium Authority (*see Heeran v Long Is. Power Auth. [LIPA]*, 141 AD3d 561, 566 [2016], citing Public Authorities Law §§ 1427 [2]; 1942 [5]).

Jamaica Bay, as well as different parts of New York City (*see Heeran*, 141 AD3d at 565-566). While, as the Moreland Commission on Utility Storm Preparation and Response observed, the purpose of the de-energization process, broadly speaking, “is to protect the public from fire and electrical hazards posed by wiring and circuits that may have come into contact with flood water,” LIPA was required to protect its customers from the commodity it supplies, in the same way, and with the same considerations, as a private utility company.²

Second, there is nothing to suggest that the decision not to de-energize implicated the general police powers of the state. In *Matter of World Trade Ctr.*, the Port Authority was tasked with administering security measures to counter criminal and terrorist activity for its tenants and everyone who used the WTC facility, which required determining how best to allocate its finite resources (17 NY3d at 449). As the Court noted there, “[p]olice protection . . . is a quintessential example of a governmental function as it involves ‘the provision of a governmental service to protect the public generally from external hazards and particularly to control the activities of criminal wrongdoers’” (*id.* at 448, quoting *Riss*, 22 NY2d at 581). What distinguishes police protection from other decisions made by governmental entities is that it is “limited by the resources of the community and by a considered legislative-executive decision as to how those resources may be deployed” (*Matter of World Trade Ctr.*, 17 NY3d at 448, quoting *Riss*, 22 NY2d at 581-582). Indeed, crime prevention is “a classic example of a governmental function” and that this function “has traditionally been assumed by police rather than by private actors is a tell-tale sign that the conduct is not proprietary in nature” (*Balsam*, 90 NY2d at 968). While we have acknowledged that government entities’ conduct may fall on a continuum between purely proprietary and purely governmental functions, and that a governmental entity may have a “dual role” in performing both (*see Miller*, 62 NY2d at 511), unlike WTC, nothing moves LIPA’s actions off the proprietary end of the continuum. Its sole role is proprietary in nature: the efficient delivery of electrical services to its customers.

2. The Moreland Commission was established by Governor Andrew M. Cuomo in November 2012 to investigate the response, preparation, and management of the state’s power utility companies with respect to major storms afflicting the state (The Moreland Commission on Utility Storm Preparation and Response, <https://utilitystormmanagement.moreland.ny.gov/> [last accessed Jan. 20, 2018]).

LIPA and codefendant National Grid were aware that a major storm capable of flooding the Rockaway Peninsula was about to hit the region, and that this could create a fire hazard if certain areas vulnerable to flooding were not de-energized. They were also aware that de-energizing could potentially bring its own risks, as it could affect those unable to evacuate and those responding to the storm. Had LIPA never taken over from LILCO, however, a private utility company would have been faced with this precise dilemma, as were other private utility providers in the region on that day. The magnitude of the storm did not in any way generate a situation in which defendants' activities did more than substitute for or supplement a traditional private enterprise. Utility companies provide power not only when the sky is blue, but also during intense blizzards, thunderstorms, hurricanes, and other treacherous weather events. Superstorm Sandy may have been one of the more severe storms to hit New York, but preparing for it and reacting to it was a proprietary function.

The fact that electrical services have traditionally been delivered through private enterprises and that the legislature supplanted privately-owned LILCO with publicly-owned LIPA for the sole purpose of ensuring the efficient delivery of electricity to LILCO's customer base leads to the conclusion that LIPA's decision not to withhold delivery of that commodity was unquestionably a proprietary act. The majority's suggestion that some as-yet-unknown fact may come to light at some future point in this litigation that might illuminate defendants' conduct, and transform LIPA's decision not to de-energize into a governmental action, has no grounding in law or the reality of public utility services. LIPA's decision to keep the lights on was not an exercise of the police power.

In *Connolly v Long Is. Power Auth.*, *Baumann v Long Is. Power Auth.* and *Heeran v Long Is. Power Auth. (LIPA)*: Order affirmed, with costs, and certified question answered in the affirmative.

Opinion by Judge STEIN. Chief Judge DiFIORE and Judges WILSON and FEINMAN concur. Judge RIVERA concurs in result in an opinion, in which Judge FAHEY concurs. Judge GARCIA taking no part.

[94 NE3d 882, 71 NYS3d 394]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUDE
FRANCIS, Appellant.

Argued January 2, 2018; decided February 13, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 27, 2016. The Appellate Division affirmed an order of the Supreme Court, Kings County (Michael A. Gary, J.), which had, after a hearing, designated defendant a level three sexually violent sex offender pursuant to Correction Law article 6-C.

People v Francis, 137 AD3d 91, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Consideration of Youthful Offender Adjudication in Determining Risk Level

The Board of Examiners of Sex Offenders' interpretation of the Sex Offender Registration Act (Correction Law art 6-C [SORA]) as permitting it access to youthful offender (YO) records for the limited purpose of determining an offender's risk of reoffense and recommending a risk level designation to the SORA court does not conflict with the youthful offender provisions of Criminal Procedure Law article 720. Accordingly, the Board properly considered defendant's prior YO adjudication in determining his risk level designation under SORA. SORA's directives both provide the statutory requirement or permission to release the YO records under one provision of the YO statute, and describe the duties specifically authorized by law to allow for their release under another. In providing a non-exhaustive list of factors and conditions—and not solely "offenses"—that shall serve as a basis for the Board's risk level assessment, the legislature demonstrated intent to allow the Board to consider the full spectrum of an offender's prior unlawful conduct. Defendant's sex crime conviction, rather than the unlawful acts that led to his YO adjudication or the YO status itself, triggered SORA's registration requirements. Moreover, YO records are not made public in the SORA registry, and, upon application of the sex offender or the district attorney, the court must "seal any portion of the [B]oard's file pertaining to the sex offender that contains" confidential material (Correction Law § 168-m). Therefore, the Board's consideration of a YO adjudication does not violate the primary intent of CPL article 720 to protect young people from the long-term, societal consequences of their early, misdirected actions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mentally Impaired Persons § 151.

McKINNEY'S, Correction Law art 6-C; § 168-m; CPL art 720.

NY JUR 2d Penal and Correctional Institutions §§ 416, 417, 421.

ANNOTATION REFERENCE

See ALR Index under Juvenile Courts and Delinquent and Dependent Children; Sex Offender Registration and Notification.

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POINTS OF COUNSEL

Appellate Advocates, New York City (*Jenin Younes* and *Lynn W.L. Fahey* of counsel), for appellant. The Board of Examiners of Sex Offenders exceeded its authority by issuing guidelines automatically assessing points for a "prior crime" based on a youthful offender adjudication, in appellant's case, for possessing stolen property, when the legislature has decreed that youthful offender adjudications are not criminal convictions, this Court has recognized the purpose of youthful offender treatment is to spare young offenders from the lifetime stigma of a criminal conviction, and an increasingly pervasive body of scientific data and Supreme Court precedents confirms the wisdom of treating the young differently than adult offenders. (*People v Windham*, 10 NY3d 801; *People v Gillotti*, 23 NY3d 841; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *People v Campbell*, 98 AD3d 5; *People v Updyke*, 133 AD3d 1063; *People v Shaffer*, 129 AD3d 54; *People v Mingo*, 12 NY3d 563; *Roper v Simmons*, 543 US 551; *People v Rudolph*, 21 NY3d 497; *People v Cook*, 37 NY2d 591.)

Eric Gonzalez, District Attorney, Brooklyn (*Anthea H. Bruffee* and *Leonard Joblove* of counsel), for respondent. The hearing court properly considered defendant's prior youthful offender adjudication in determining his risk level designation for purposes of the Sex Offender Registration Act. (*People v Gillotti*, 23 NY3d 841; *People v Gravino*, 14 NY3d 546; *Doe v Pataki*, 120 F3d 1263; *People v Kennedy*, 7 NY3d 87; *People v Golo*, 26 NY3d 358; *People v Williams*, 19 NY3d 100; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Compton*, 38 AD2d 788;

People v Vite-Acosta, 184 Misc 2d 206; *People v Frey*, 125 AD3d 424.)

Michael C. Pope, Youth Represent, New York City (*Saskia Valencia* and *Eric Eingold* of counsel), and *Judy M. Whiting, General Counsel, Community Service Society*, New York City, for Youth Represent and another, amici curiae. I. The Appellate Division's decision in *People v Francis* (137 AD3d 91 [2016]) jeopardizes the protections afforded by Criminal Procedure Law article 720 and should be reversed by the Court of Appeals. (*People v Cook*, 37 NY2d 591; *United States v Nesbeth*, 188 F Supp 3d 179; *People v Drayton*, 39 NY2d 580; *People v Campbell*, 98 AD3d 5.) II. Growing political, scientific and legal consensus affirms that youth are fundamentally different from adults. (*Roper v Simmons*, 543 US 551; *Graham v Florida*, 560 US 48; *J. D. B. v North Carolina*, 564 US 261; *Miller v Alabama*, 567 US 460.) III. Reliance on youthful offender adjudications is not necessary to determine appropriate levels of supervision under the Sex Offender Registration Act.

Eric T. Schneiderman, Attorney General, New York City (*Eric Del Pozo, Barbara D. Underwood* and *Steven C. Wu* of counsel), for New York State Board of Examiners of Sex Offenders, amicus curiae. The Board of Examiners of Sex Offenders permissibly considers prior youthful offender adjudications in determining sex offenders' presumptive risk levels under the Sex Offender Registration Act. (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Matter of Robert J.*, 2 NY3d 339; *Weiss v City of New York*, 95 NY2d 1; *Matter of State of New York v John S.*, 23 NY3d 326; *People v Mingo*, 12 NY3d 563; *Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227; *People v Calderon*, 79 NY2d 61; *People v Frey*, 125 AD3d 424; *People v Stacconi*, 81 AD3d 1046.)

OPINION OF THE COURT

RIVERA, J.

On this appeal, defendant challenges his designation as a level three sex offender pursuant to New York's Sex Offender Registration Act (SORA), claiming that the State Board of Examiners of Sex Offenders (Board) may not consider his youthful offender (YO) adjudication when assessing his risk to reoffend. Defendant maintains that the Board's interpretation of its authority under SORA conflicts with the Criminal Proce-

dure Law's youthful offender provisions. We disagree. The statutes do not prohibit the Board's consideration of YO adjudications for the limited public safety purpose of accurately assessing an offender's risk level. Nor does the Board's interpretation undermine the legislative policy of avoiding stigmatizing a young person with a criminal record. As the Board's consideration of a YO adjudication does not conflict with the CPL, its risk level recommendation could be relied upon by the SORA court. We therefore affirm the Appellate Division's order.

I. Relevant Statutory Frameworks

This appeal implicates the question of whether the Board acted *ultra vires* in issuing guidelines for determining sex offender risk of reoffense that automatically treat a YO adjudication as part of the offender's criminal history factors, notwithstanding that a YO adjudication is not a conviction. "As our well-established rules of statutory construction direct, we begin our analysis with the language of the statute" (*Beck Chevrolet Co., Inc. v General Motors LLC*, 27 NY3d 379, 389-390 [2016]; see also *People v Andujar*, 30 NY3d 160, 163 [2017]; *People v Ocasio*, 28 NY3d 178, 181 [2016]), because our primary consideration is to ascertain the legislature's intent, of which "the text itself is generally the best evidence" (*People v Ballman*, 15 NY3d 68, 72 [2010]; see also *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488 [2017]).

A. New York's Youthful Offender Statute: Criminal Procedure Law Article 720

The legislature has provided an alternative to adult sentencing for certain young people who commit crimes between the ages of 16 and 19 years old. Pursuant to Criminal Procedure Law article 720, when an "eligible youth" is convicted of a crime, the court determines whether the youth should be designated a "youthful offender."¹ Where such designation is not mandated by CPL 720.20 (1) (b), the court may, in its discretion, decide whether "the interest of justice would be served by

1. CPL 720.10 (2) provides that youths who have been convicted of a class A-I or A-II felony, have "previously been convicted and sentenced for a felony," or have "previously been adjudicated a youthful offender following conviction of a felony or . . . a juvenile delinquent who committed a designated felony act as defined in the family court act" are ineligible for youthful offender treatment (CPL 720.10 [2] [a]-[c]). In addition, youths convicted of an armed felony or an enumerated sex offense are not eligible youths, except if one or more mitigating factors are found, in which case they are eligible and entitled

(n. cont'd)

relieving the eligible youth from the onus of a criminal record” (CPL 720.20 [1] [a]). Once a young person is designated a youthful offender, the court “must direct that the conviction be deemed vacated and replaced by a youthful offender finding” and then “sentence the defendant pursuant to section 60.02 of the penal law” (CPL 720.20 [3]).

As stated in the CPL, a YO adjudication is “not a judgment of conviction for a crime or any other offense” (CPL 720.35 [1]). The statute thus codifies the “legislative desire not to stigmatize [these] youths . . . with criminal records triggered by hasty or thoughtless acts” (*People v Drayton*, 39 NY2d 580, 584 [1976]). As we have recognized, a YO adjudication is nothing short of “the opportunity for a fresh start, without a criminal record”; an opportunity that a “judge would conclude . . . is likely to turn the young offender into a law-abiding, productive member of society” (*People v Rudolph*, 21 NY3d 497, 501 [2013]).

To maximize protection against public opprobrium and the stigma of a criminal record, all YO-related “official records and papers . . . are confidential and may not be made available to any person or public or private agency” (CPL 720.35 [2]). However, access is available where “specifically required or permitted by statute or upon specific authorization of the court” (CPL 720.35 [2]), as well as for those purposes and to those individuals and entities identified in the YO statute.² Department of Corrections and Community Supervision (DOCCS)

to a youthful offender determination (*People v Middlebrooks*, 25 NY3d 516, 526 [2015]; CPL 720.10 [2] [a] [ii], [iii]; [3]).

2. CPL 720.35 (2) provides:

“Except where specifically required or permitted by statute or upon specific authorization of the court, all official records and papers, whether on file with the court, a police agency or the division of criminal justice services, relating to a case involving a youth who has been adjudicated a youthful offender, are confidential and may not be made available to any person or public or private agency, other than the designated educational official of the public or private elementary or secondary school in which the youth is enrolled as a student provided that such local educational official shall only have made available a notice of such adjudication and shall not have access to any other official records and papers, such youth or such youth’s designated agent (but only where the official records and papers sought are on file with a court and request therefor is made to that court or to a clerk thereof), an institution to which such youth has been committed, the department of corrections and community supervision and a probation department of this state that requires such official records and papers for the purpose of car-

(n. cont’d)

personnel—of which the Board is composed—are expressly listed as having access to YO records “for the purpose of carrying out duties specifically authorized by law” (CPL 720.35 [2]).

B. New York’s Sex Offender Registration Act

Persons who commit certain sex offenses must comply with New York SORA’s mandate to register with the State Division of Criminal Justice Services, which maintains the publicly-available Sex Offender Registry (Correction Law art 6-C). As the legislative history establishes, the “primary government interest” underlying SORA is the protection of the public from sex offenders (*see* L 1995, ch 192, § 1 [“Legislative purpose or findings”]; *People v Mingo*, 12 NY3d 563 [2009]). More specifically, the statutory structure is intended to address “the danger of recidivism posed by sex offenders” and the investigatory and prosecutorial challenges faced by law enforcement agencies (L 1995, ch 192, § 1 [“Legislative purpose or findings”]; Correction Law § 168 *et seq.*).³ To that end, a sex offender’s risk of reoff-

rying out duties specifically authorized by law; provided, however, that information regarding an order of protection or temporary order of protection issued pursuant to section 530.12 of this chapter or a warrant issued in connection therewith may be maintained on the statewide automated order of protection and warrant registry established pursuant to section two hundred twenty-one-a of the executive law during the period that such order of protection or temporary order of protection is in full force and effect or during which such warrant may be executed. Such confidential information may be made available pursuant to law only for purposes of adjudicating or enforcing such order of protection or temporary order of protection and, where provided to a designated educational official, as defined in section 380.90 of this chapter, for purposes related to the execution of the student’s educational plan, where applicable, successful school adjustment and reentry into the community. Such notification shall be kept separate and apart from such student’s school records and shall be accessible only by the designated educational official. Such notification shall not be part of such student’s permanent school record and shall not be appended to or included in any documentation regarding such student and shall be destroyed at such time as such student is no longer enrolled in the school district. At no time shall such notification be used for any purpose other than those specified in this subdivision.”

3. The introductory “[l]egislative purpose or findings” of the act state: “The legislature finds that the danger of recidivism posed by sex offenders, especially those sexually violent offenders who commit predatory acts characterized by repetitive and compulsive

(n. cont’d)

ense is assessed, and that information is provided to law enforcement and the public.

The legislature charged the Board with recommending to the SORA court one of three statutorily-prescribed levels of notification—levels one, two, and three in ascending order of risk—based on an offender’s calculated risk to reoffend (Correction Law § 168-l [6]).⁴ SORA mandates that the Board, comprised of five DOCCS employees who are “experts in the field of the behavior and treatment of sex offenders” (*id.* § 168-l [1]), “shall develop guidelines and procedures to assess [a sex offender’s] risk of a repeat offense” (*id.* § 168-l [5]).⁵ While SORA contemplates the Board would exercise discretion in developing this assessment tool, SORA requires that the Guidelines be based, in part, on a non-exhaustive list of conditions related to the potential risk of reoffense, including “criminal history factors” such as “the number, date and nature of

behavior, and that the protection of the public from these offenders is of paramount concern or interest to government. The legislature further finds that law enforcement agencies’ efforts to protect their communities, conduct investigations and quickly apprehend sex offenders are impaired by the lack of information about sex offenders who live within their jurisdiction and that the lack of information shared with the public may result in the failure of the criminal justice system to identify, investigate, apprehend and prosecute sex offenders” (L 1995, ch 192, § 1 [“Legislative purpose or findings”]; Correction Law § 168 *et seq.*).

4. Each risk level imposes registration requirements, increasing in severity and duration. “The duration of registration and verification for a sex offender who . . . is designated a sexual predator, or a sexually violent offender, or a predicate sex offender, or who is classified as a level two or level three risk, shall be annually for life” (Correction Law § 168-h [2]), while “[a]ny sex offender who is classified as a level two risk, and who has not been designated a sexual predator, or a sexually violent offender, or a predicate sex offender . . . who has been registered for a minimum period of thirty years may be relieved of any further duty to register . . . by the sentencing court” (*id.* § 168-o [1]). Sex offenders who have been given a level three designation must “personally appear at the law enforcement agency having jurisdiction . . . every year . . . for the purpose of providing a current photograph” (*id.* § 168-f [2] [b-2]), while those with level one or level two designation must do the same every three years (*id.* § 168-f [2] [b-3]). “[S]ex offender[s] having been designated a level three risk or a sexual predator shall also personally verify [their] address every ninety calendar days” (*id.* § 168-h [3]), while offenders designated a level one or two risk need only register changes of address (*id.* § 168-f [4]).

5. In 2011, the Division of Parole, from which three of the Board’s members were drawn previously, and the Department of Correctional Services, from which the remaining two Board members were drawn, were merged into a single agency, DOCCS (*see* Correction Law § 168-l [1] [eff until Mar. 31, 2011], amended by L 2011, ch 62, § 1, part C, subpart B, § 19).

prior offenses” (*id.* § 168-l [1]-[5], [5] [b] [iii]). In 2006, the Board issued the current Sex Offender Registration Act: Risk Assessment Guidelines and Commentary (the Guidelines), which, in tandem with the Board’s risk assessment instrument (RAI), reflects the Board’s choice “to create an objective assessment instrument that would provide a risk level combining risk of reoffense and danger posed by a sex offender” (Guidelines at 3). The Board adopted a point scale, “assign[ing] numerical values to each risk factor . . . [and t]he presumptive risk level is then calculated by adding the points that the offender scores in each category” (*id.*). For each person subject to SORA registration, the Board provides the SORA court—which has the ultimate responsibility of designating the offender’s risk level—with an RAI and a case summary along with the Board’s recommended risk level.

At the SORA hearing to determine the offender’s risk level classification, the offender and the People may each present evidence to the SORA court in support of their positions as to the point assessment and risk level determination, and both parties, as well as the Board, may request a departure from the presumptive risk level indicated by the offender’s total score (*id.* § 168-n). The SORA court may consider a broad range of evidence to determine an offender’s proper risk level designation. As this Court explained in *Mingo*, admissible evidence includes case summaries and the Board’s RAI, because such documents “certainly meet the ‘reliable hearsay’ standard for admissibility at SORA proceedings” (12 NY3d at 573). The SORA court must apply the Guidelines, and either accepts the Board’s recommendation or departs from it and assigns a different risk level classification (Correction Law § 168-n [2]; *see also People v Gillotti*, 23 NY3d 841, 861 [2014]). Thus, “the Board’s duty is to ‘make a recommendation to the [SORA] court’ . . . and the court, applying a clear and convincing evidence standard, is to make its determination after considering that recommendation, and any other materials properly before it” (*People v Johnson*, 11 NY3d 416, 421 [2008]).

II. Factual and Procedural History of Defendant’s SORA Risk Designation

Defendant Jude Francis was convicted in 2005 of first-degree rape, which he committed at the age of 19. He thereby became subject to SORA’s sex offender registration requirements (*see* Correction Law § 168-f). Pursuant to the Guidelines, the

Board's RAI gave defendant a score of 115 points, including 25 points for defendant's "criminal history" factors, based solely on his YO adjudication for third-degree criminal possession of stolen property, committed when he was 17 years old.⁶ The Board's case summary stated that defendant's criminal history "commenced in February of 2001 when he was adjudicated a [YO] after pleading guilty to Criminal Possession of Stolen Property in the Third Degree." Based on the total risk factor score, the Board assessed defendant "a Level III (High) risk to reoffend" and did not recommend a departure from this risk assessment. Without the additional 25 points derived from his YO adjudication, however, defendant's score would have placed him in the "Level II" category.

Defense counsel challenged the 25 points, arguing that because a YO adjudication is not a conviction, it may not be considered as part of defendant's criminal history for the purposes of SORA. The SORA court rejected this objection and designated defendant a level three sexually violent sex offender.⁷ The Appellate Division affirmed the level three designation, with one Justice dissenting (*People v Francis*, 137 AD3d 91 [2d Dept 2016]). We granted leave to appeal (*People v Francis*, 27 NY3d 908 [2016]).

III. Judicial Review of the Defendant's Risk Level Assessment

"Our analysis begins with the language of the statute" (*Andujar*, 30 NY3d at 163; *see also Ocasio*, 28 NY3d at 181; *Ballman*, 15 NY3d at 72 ["the text itself is generally the best evidence of legislative intent"]; McKinney's Cons Laws of NY, Book 1, Statutes § 92, Comment ["in the construction of statutes, the intention of the Legislature is first to be sought from a literal reading of the act itself . . . and if language thereof is unambiguous and the words plain and clear, there is no occasion to resort to other means of interpretation"]). The

6. The Board assessed 15 points pursuant to Guidelines risk factor 9 for the crime underlying the YO adjudication, a nonviolent felony, and 10 points pursuant to risk factor 10 because the predicate felony had occurred fewer than three years before the sex offense (*see* Guidelines, risk factors 9, 10).

7. In these proceedings, defendant challenges only his assignment as a risk level three, which impacts the nature and burden of his registration requirements. Defendant does not challenge his designation as a sexually violent offender, which subjects him to lifetime SORA registration and forecloses the opportunity those assigned risk level two otherwise have to petition for relief from registration requirements after 30 years (Correction Law § 168-h [2]).

Board, as amicus, maintains that “[g]iven [its] ‘special expertise’ in this field and its delegated responsibility to assess a sex offender’s risk of recidivism in light of [their] full criminal history, [its] conclusion that youthful offender adjudications are relevant to [SORA] determinations is entitled to deference” (brief for amicus curiae State Board of Examiners of Sex Offenders at 25). Of course, the same cannot be argued with respect to the CPL, a statute with which the Board has no special relationship nor in which it has special expertise. Any questions as to the meaning of the CPL are for the courts to resolve. As for SORA, indeed, where a statute’s interpretation involves special “knowledge and understanding” (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]), we defer to “[t]he construction given statutes and regulations by the agency responsible for their administration, if not irrational or unreasonable” (*Samiento v World Yacht Inc.*, 10 NY3d 70, 79 [2008] [internal quotation marks omitted]). Nevertheless, where “the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent,” we need not rely upon “any special competence or expertise of the administrative agency,” and, of course, if an agency’s interpretation “runs counter to the clear wording of a statutory provision, it should not be accorded any weight” (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 285-286 [2009], quoting *Kurcsics*, 49 NY2d at 459).

In fulfilling its mandate to draft Guidelines that take into account a sex offender’s criminal history factors when assessing risk level, including “the number, date and nature of prior offenses” (*id.* § 168-1 [5] [a]-[i], [b] [iii]), the Board interpreted SORA as authorizing consideration of a YO adjudication as part of those criminal history factors. Specifically, the Guidelines provide that “[a]lthough an adjudication as a youthful offender is not a conviction,” it is a “reliable indicator[] of wrongdoing and, therefore, should be considered in assessing an offender’s likelihood of reoffense and danger to public safety” (Guidelines at 6-7 and n 6). The Guidelines further state that “the [statutory] term ‘crime’ includes criminal convictions [and] youthful offender adjudications” (Guidelines at 6). YO adjudications are therefore included as part of the “offender’s prior crimes” (*id.*).

SORA expressly requires that the Board assess an offender’s risk of reoffense, which in turn forms the basis for the Board’s recommendation to the SORA court of the offender’s proper

risk level designation (Correction Law §§ 168-h, 168-o). To facilitate the Board's proper assessment, the Board has access to an offender's full criminal background: SORA requires that "[n]otwithstanding any other provision of law to the contrary" state and local entities, including the district attorney and correctional facility, "shall forward relevant information pertaining to a sex offender to be discharged, paroled, released to post-release supervision or released to the board for review Information may include, but may not be limited to all or a portion of the arrest file, prosecutor's file, . . . court file, commitment file . . . pertaining to such person" (*id.* § 168-m). SORA thereby grants the Board access to the documents, which are available under the CPL if "specifically required or permitted by statute" (CPL 720.35 [2]). Moreover, members of the Board, as DOCCS employees, have access to YO-related records "for the purpose of carrying out duties specifically authorized by law" (*see* CPL 720.35 [2]). Thus, SORA's directives both provide the statutory "require[ment] or permi[ssion]" to release the YO records under one provision of the YO statute, and describe the "duties specifically authorized by law" to allow for their release under another. In fulfillment of those duties, the Board presents its recommendation to the SORA court, which also has access to the records (*see* Correction Law § 168-m ["in any subsequent proceedings in which the sex offender who is the subject of the sealed record is a party and which requires the board to provide a recommendation to the court pursuant to this article, such sealed record shall be available to the . . . court"]).

The Board's inclusion of defendant's YO adjudications in assessing the risk of reoffense was based on the Board's expertise and experience, which is entitled to judicial deference. The Board "is charged with producing accurate case summaries as an integral part of its functions and it has expertise culling through records to produce a concise statement of the factual information relevant to [the] defendant's risk of reoffense" (*Mingo*, 12 NY3d at 572-573). Indeed, "an accurate determination of the risk a sex offender poses to the public is the paramount concern" (*id.* at 574). The Board has not unreasonably construed SORA as permitting it access to YO records for the limited purpose of assessing an offender's risk of reoffense and recommending a risk level designation to the SORA court; nor has the Board violated the CPL.

Defendant challenges the Board's automatic assessment of points based on his YO adjudication on several grounds. First,

defendant posits that the Board may not count a YO adjudication as part of an offender's criminal history because the CPL decrees that a YO adjudication "is not a judgment of conviction for a crime or any other offense" (CPL 720.35 [1]). Defendant is correct that CPL 720.35 (1) prohibits treating a YO adjudication as a conviction. Nevertheless, he goes one step further and interprets the statute as saying a youthful offender has not committed an offense. We are unpersuaded by this reading of the statutory language, as defendant fails to account for the fact that a YO adjudication is premised on a youth's commission of a crime. A YO adjudication replaces the *conviction*, not the offense itself, as is clear from the reference in Penal Law § 60.02 (3) to "offense of conviction for which the youthful offender finding was substituted."

As we have explained, the YO framework "shift[s] the determination of youthful offender status from the prepleading stage to the postconviction stage" (*Drayton*, 39 NY2d at 584). In other words, an eligible youth determination follows a conviction, which is replaced with the court's YO finding. This in turn subjects the young person to a unique, legislatively-created status under the Penal Law. A YO adjudication changes the eligible youth's status so that the young person avoids "be[ing] sentenced like any other criminal" (*Rudolph*, 21 NY3d at 501), and the "practical consequences which accompany a criminal conviction" (*People v Cook*, 37 NY2d 591, 595 [1975]). This relieves the youthful offender of the stigma of a public criminal record that would otherwise follow the young person into adulthood and limit future opportunities. In the CPL, the legislature provided the opportunity for a fresh start (*Rudolph*, 21 NY3d 497).

The Board acknowledges that YO adjudications are not criminal convictions, referring to them only as "reliable indicators of wrongdoing" that "should be considered in assessing an offender's likelihood of reoffense and danger to public safety" (Guidelines at 6-7). In providing a non-exhaustive list of factors and conditions—and not solely "offenses"—that shall serve as a basis for the Board's risk level assessment, the legislature demonstrated intent to allow the Board to consider the full spectrum of an offender's prior unlawful conduct (*see Matter of Theroux v Reilly*, 1 NY3d 232, 240 [2003] [if the legislature had intended to restrict applicability of statute, "it easily could have and surely would have written the statute to say so"; a court "may not create a limitation that the Legislature did not enact"]).

Defendant also asserts that because the CPL requires YO-related records be treated as confidential, the Board may not rely on the information contained in such records. This argument is undermined by defendant's concession that the Board may consider a YO adjudication as a reliable indicator of a risk of reoffense in some, albeit rare, cases. Defendant takes the position that the CPL prohibits the use of YO adjudications for the automatic assessment of points, but permits their use in individual cases as a basis to recommend an upward departure. There is nothing in the statute, however, that makes this distinction. Either the CPL permits consideration of YO adjudications or prohibits it.

In any event, as we have discussed, CPL 720.35 (2) provides the Board with access to YO-related documents. Defendant's argument that access alone does not authorize use ignores that the CPL does not permit access for its own sake, but in furtherance of a statutory purpose. Here, that purpose is found in SORA, which requires the Board to establish guidelines and make risk level determinations based, in part, on an offender's past actions (Correction Law § 168-l [5]).

Defendant's other argument, that automatic assessment of points violates the purpose of CPL article 720—to spare youths the lifetime stigma of a criminal conviction—draws heavily from the legislative policy that animates the youthful offender statutory framework. Certainly, “[t]he primary advantage of such treatment is the avoidance of the stigma and practical consequences which accompany a criminal conviction” (*Cook*, 37 NY2d at 595), and any action by the Board or SORA court constraining this opportunity would run afoul of the legislature's intent. Yet, the legislature intended to prevent those who commit youthful transgressions from carrying the stigma accompanying a conviction, not against the consequences that flow from any subsequent acts committed as adults. Here, defendant's sex crime conviction, rather than the unlawful acts that led to his YO adjudication or the YO status itself, triggered SORA's registration requirements. Moreover, YO records are not made public in the SORA registry. SORA requires that the Board's recommendation to the SORA court remain “confidential and shall not be available for public inspection” (Correction Law § 168-l [6]), and that, upon application of the sex offender or the district attorney, the SORA court “seal any portion of the [B]oard's file pertaining to the sex offender that contains material that is confidential under any state or federal

law” (*id.* § 168-m). Therefore, the Board’s consideration of a YO adjudication does not violate the primary intent of article 720: to protect young people from the long-term, societal consequences of their early, misdirected actions.

Defendant also controverts the Board’s conclusion that a YO adjudication is a reliable indicator of recidivism. He points to copious scientific data supporting the argument that young people who commit crimes are unlikely to reoffend. His policy arguments are based on sociological research as well as judicial recognition of the psychological difference between children and adults. As the United States Supreme Court has recognized, a young person’s “‘lack of maturity and an underdeveloped sense of responsibility’ . . . lead[s] to recklessness, impulsivity, and heedless risk-taking . . . And . . . [because] a child’s character is not as ‘well formed’ as an adult’s[,] [the child’s] traits are ‘less fixed’” (*Miller v Alabama*, 567 US 460, 471 [2012], quoting *Roper v Simmons*, 543 US 551, 569-570 [2005]). We too have held that

“sociological studies establish that young people often possess ‘an underdeveloped sense of responsibility,’ which can ‘result in impetuous and ill-considered actions and decisions’ . . . [This] underscore[s] the need for judicial procedures that are solicitous of the interests of vulnerable youth, especially under New York’s current youthful offender process in which guilt is determined in the context of a criminal justice system designed for adults” (*Rudolph*, 21 NY3d at 506, quoting *Johnson v Texas*, 509 US 350, 367 [1993]; see also *Middlebrooks*, 25 NY3d 516; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662 [1988]; *Drayton*, 39 NY2d 580).

Certainly, the youthful offender statute reflects the legislature’s recognition of the difference between a youth and an adult, and the legislature clearly made a policy choice to give a class of young people a distinct benefit. Nevertheless, in concluding that an earlier YO adjudication may be used in assessing points against defendant, the Board has not acted in violation of the CPL.⁸ For those reasons, defendant’s arguments are for the legislature and the Board to consider, and

8. To the extent defendant argues that the science in fact disproves the Board’s conclusion that youthful acts are indicative of a risk to reoffend, and,

(n. cont’d)

not within the scope of this Court's authority. "The constitutional principle of separation of powers . . . requires that the Legislature make the critical policy decisions" (*Bourquin v Cuomo*, 85 NY2d 781, 784 [1995]). "[F]undamental policy choices . . . epitomize 'legislative power,' " as "balancing of differing interests [is] a task the multimember, representative Legislature is entrusted to perform under our constitutional structure" (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 823 [2003]).

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge DiFIORE and Judges STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order affirmed, without costs.

as a matter of law, the Guidelines violate SORA, he failed to develop a record reviewable by the SORA court with an opportunity for the Board to respond. Thus, the claim is not properly before us.

[94 NE3d 892, 71 NYS3d 404]

DARLENE M. LOHNAS, Respondent, v FRANK A. LUZI, JR., M.D.
et al., Appellants.

Argued January 3, 2018; decided February 15, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 17, 2016. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, Erie County (Patrick H. NeMoyer, J.), to the extent it denied defendants' motion for partial summary judgment dismissing the complaint on statute of limitations grounds. The following question was certified by the Appellate Division: "Was the order of this Court entered June 17, 2016, properly made?"

Lohnas v Luzi, 140 AD3d 1717, affirmed.

HEADNOTES

Limitation of Actions — Continuous Treatment Doctrine — Summary Judgment

1. In a medical malpractice action brought nine years after defendant physician first operated on plaintiff's shoulder in which plaintiff alleged that defendant negligently performed that surgery and subsequently failed to diagnose the flawed surgery, leading to continued problems with her shoulder and a second surgery, defendant's motion for partial summary judgment was properly denied by the trial court, as there were triable issues of fact concerning whether the continuous treatment doctrine tolled the 2½-year statute of limitations on plaintiff's claims (*see* CPLR 214-a). Plaintiff saw defendant over the course of four years, underwent two surgeries at his hand, and saw no other doctor for her shoulder during that time. She returned to him more than 30 months later, discussed yet a third surgery with him, and accepted his referral to his partner only because defendant was no longer performing such surgeries. Plaintiff's testimony regarding feeling discouraged with defendant's treatment did not demonstrate as a matter of law that she never intended to return to his care; in fact, her testimony revealed that she considered defendant her only doctor during this time. Nor did the fact that defendant repeatedly told plaintiff she should return "as needed" foreclose a finding that the parties anticipated further treatment. Notably, plaintiff's injury was a chronic, long-term condition which both plaintiff and defendant understood to require continued care. Each of plaintiff's visits to defendant over the course of seven years were for the same or related illnesses or injuries, continuing after the alleged acts of malpractice. Moreover, although there was a gap in treatment longer than the statute of limitations, such a gap was not per se dispositive of defendant's claim that the statute had run.

Limitation of Actions — Continuous Treatment Doctrine — Gap in Treatment Longer than Statute of Limitations

2. For purposes of determining whether the continuous treatment doctrine tolls the 2½-year statute of limitations on a medical malpractice claim (*see*

CPLR 214-a), a gap in treatment longer than the statute of limitations is not per se dispositive of a defendant's claim that the statute has run. To the extent that lower courts have held to the contrary (see e.g. *Marmol v Green*, 7 AD3d 682 [2d Dept 2004]; *Matter of Bulger v Nassau County Med. Ctr.*, 266 AD2d 212 [2d Dept 1999]), those cases should not be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Physicians, Surgeons, and Other Healers
 §§ 298–304, 308, 312, 335.
 CARMODY-WAIT 2d Limitation of Actions §§ 13:319–13:326,
 13:329, 13:530.
 DOBBS LAW OF TORTS §§ 242, 245, 313.
 NY JUR 2d Limitations and Laches § 237; NY JUR 2d Mal-
 practice §§ 254–256, 259–260, 383–384, 395.
 NEW YORK LAW OF TORTS §§ 13:26, 19:23, 19:29, 19:51.
 SIEGEL, NY PRAC § 42.

ANNOTATION REFERENCE

When statute of limitations commences to run against malpractice action against physician, surgeon, dentist, or similar practitioner. 80 ALR2d 368.

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POINTS OF COUNSEL

The Tarantino Law Firm, LLP, Buffalo (*Tamsin J. Hager* of counsel), for appellants. I. Allegations based on conduct before March 30, 2006, are time-barred. (*McDermott v Torre*, 56 NY2d 399; *Merriman v Sherwood*, 204 AD2d 998.) II. There was no continuous treatment as of the September 5, 2003 office visit, which was for a different complaint. (*Gomez v Katz*, 61 AD3d 108; *Marlowe v DuPont deNemours & Co.*, 112 AD2d 769.) III. The continuous treatment doctrine does not apply since as of September 5, 2003, there was no explicitly anticipated appointment or treatment. (*Richardson v Orentreich*, 64 NY2d 896; *Aulita v Chang*, 44 AD3d 1206.) IV. The continuous treatment doctrine does not apply since plaintiff lacked continuing trust in Frank A. Luzi, Jr., M.D. during her long hiatus from his care. (*McDermott v Torre*, 56 NY2d 399; *Allende v New York*

City Health & Hosps. Corp., 90 NY2d 333; *Rizk v Cohen*, 73 NY2d 98; *Barrella v Richmond Mem. Hosp.*, 88 AD2d 379; *Richardson v Orentreich*, 64 NY2d 896; *Massie v Crawford*, 78 NY2d 516, 79 NY2d 978.) V. The continuous treatment doctrine does not apply since plaintiff did not initiate a timely return visit. (*Renda v Frazer*, 75 AD2d 490; *Bennin v Ramapo Gen. Hosp.*, 72 AD2d 736; *Curcio v Ippolito*, 97 AD2d 497, 63 NY2d 967; *Sherry v Queens Kidney Ctr.*, 117 AD2d 663; *Eagleston v Mt. Sinai Med. Ctr.*, 144 AD2d 427.) VI. Defendants are entitled to partial summary judgment. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Dougherty v Kinard*, 215 AD2d 521.)

Fitzgerald & Roller, P.C., Buffalo (Brian P. Fitzgerald of counsel), for respondent. I. Questions of fact preclude the statute of limitations defense based on claims of no continuous treatment as of June 15, 1999, April 2, 2002, or September 5, 2003, and this issue is beyond the scope of review. (*Allende v New York City Health & Hosps. Corp.*, 90 NY2d 333; *Borgia v City of New York*, 12 NY2d 151; *Davis v City of New York*, 38 NY2d 257; *McDermott v Torre*, 56 NY2d 399; *Ugarriza v Schmieder*, 46 NY2d 471; *Curcio v Ippolito*, 63 NY2d 967; *Richardson v Orentreich*, 64 NY2d 896; *Meath v Mishrick*, 68 NY2d 992; *Rizk v Cohen*, 73 NY2d 98; *Nykorchuck v Henriques*, 78 NY2d 255.) II. There are questions of fact as to whether equitable estoppel applies to estop Frank A. Luzi, Jr., M.D. from asserting the statute of limitations defense. (*Simcuski v Saeli*, 44 NY2d 442; *Renda v Frazer*, 75 AD2d 490; *Ross v Community Gen. Hosp. of Sullivan County*, 150 AD2d 838; *Edmonds v Getchonis*, 150 AD2d 879.)

OPINION OF THE COURT

GARCIA, J.

Summary judgment was properly denied, as there are triable issues of fact concerning whether the continuous treatment doctrine tolls the statute of limitations on plaintiff's claims.

Plaintiff was treated by defendant for chronic shoulder problems beginning in 1998. Defendant performed surgery on plaintiff in 1999 and five postoperative visits followed over the course of the next year. After a scheduled one-year post-surgery appointment, plaintiff did not see defendant until 19 months later, when she returned after experiencing increased pain in her shoulder. Defendant recommended injections and a second surgery, which was performed in January 2002. Plaintiff

returned to defendant for a postoperative visit in April 2002. In September 2003, she saw defendant after her shoulder injury was aggravated.

After this appointment, there was a gap in treatment of more than 30 months. Plaintiff testified that she “had gotten discouraged with [defendant]” but ultimately returned to him because defendant “was all [she] had.” She returned in April 2006 because of continued pain, at which point defendant ordered X rays and referred plaintiff to his partner for a third surgery because defendant was no longer performing shoulder surgeries. She consulted defendant’s partner but ultimately began seeing a new orthopedic surgeon in July 2006.

Plaintiff brought this action against defendant in September 2008, alleging that defendant negligently performed her original 1999 surgery and subsequently failed to diagnose the flawed surgery, leading to continued problems with her shoulder and a second surgery. Following discovery, defendant moved for partial summary judgment dismissing the suit to the extent it alleged malpractice based on conduct before March 2006. Supreme Court denied the motion, finding that plaintiff raised triable issues of fact concerning the possible tolling of the statute of limitations based on continuous treatment.

The Appellate Division affirmed, holding that plaintiff had raised “issues of fact whether plaintiff and defendant ‘reasonably intended plaintiff’s uninterrupted reliance upon defendant’s observation, directions, concern, and responsibility for overseeing plaintiff’s progress’ ” (140 AD3d 1717, 1718 [4th Dept 2016] [brackets omitted], quoting *Shumway v DeLaus*, 152 AD2d 951 [4th Dept 1989]). One Justice dissented and would have found that the continuous treatment doctrine did not apply because the parties only intended treatment after September 2003 on an as-needed basis. The Appellate Division granted defendant’s application for leave to appeal to this Court.

We affirm. CPLR 214-a provides that a medical malpractice action must be commenced within 2½ years of the relevant act or the “last treatment where there is continuous treatment for the same illness, injury or condition which gave rise to the [challenged] act, omission or failure.” The operative accrual date for the purposes of determining a claim’s statute of limitations is at the end of treatment “when the course of treatment which includes the wrongful acts or omissions has run continu-

ously and is related to the same original condition or complaint” (*Borgia v City of New York*, 12 NY2d 151, 155 [1962]). The continuous treatment doctrine “seeks to maintain the physician-patient relationship” in order for the patient to receive the “most efficacious medical care[;] . . . [i]mplicit in the policy is the recognition that the doctor not only is in a position to identify and correct [the] malpractice, but is best placed to do so” (*McDermott v Torre*, 56 NY2d 399, 408 [1982]).

[1, 2] Defendant raises various arguments aimed at the gaps between plaintiff’s visits and the “as needed” basis for scheduling some of those appointments. However, plaintiff raised issues of fact as to whether she and defendant intended a continuous course of treatment. Plaintiff saw defendant over the course of four years, underwent two surgeries at his hand, and saw no other doctor for her shoulder during this time. She returned to him after the gap of more than 30 months, discussed yet a third surgery with him, and accepted his referral to his partner only because defendant was no longer performing such surgeries. Plaintiff’s testimony regarding feeling discouraged with defendant’s treatment does not demonstrate as a matter of law that she never intended to return to his care; in fact, her testimony reveals that she considered defendant her only doctor during this time. Nor does the fact that defendant repeatedly told plaintiff she should return “as needed” foreclose a finding that the parties anticipated further treatment. Notably, plaintiff’s injury was a chronic, long-term condition which both plaintiff and defendant understood to require continued care. Each of plaintiff’s visits to defendant over the course of seven years were “for the same or related illnesses or injuries, continuing after the alleged acts of malpractice” (*Borgia*, 12 NY2d at 157). As to the more than 30-month period between visits, we have previously held that a gap in treatment longer than the statute of limitations “is not per se dispositive of defendant’s claim that the statute has run” (*Massie v Crawford*, 78 NY2d 516, 519 [1991]). To the extent that lower courts have held to the contrary (*see e.g. Marmol v Green*, 7 AD3d 682 [2d Dept 2004]; *Matter of Bulger v Nassau County Med. Ctr.*, 266 AD2d 212 [2d Dept 1999]), those cases should not be followed.

The test we apply today is not whether it would be “absurd” for the plaintiff to commence suit (dissenting op at 760); instead we apply the established summary judgment standard to the question of whether there is “ongoing treatment of a medical

condition” (*Massie*, 78 NY2d at 519). The rhetoric of the dissent, warning of the dire consequences of our decision, is unwarranted. Of course, no “ghastly” written notice from a doctor banishing a patient is now required (dissenting op at 761). The dissent would institute a rule requiring plaintiffs to get second opinions; yet such a rule would disadvantage plaintiffs without access to such resources. Likewise, by accusing plaintiff—based on the testimony of her expert that her condition worsened during the time she was treated by defendant—of “aggravat[ing] the effects” of the alleged malpractice by “choosing not to switch physicians” (dissenting op at 761), the dissent would place an affirmative burden on the plaintiff to change doctors by a certain time or risk being blamed, as a matter of law, for the extent of her injury. In charging the plaintiff with “seeking no medical care for her shoulder from 2003 to 2006” (dissenting op at 761), the dissent seems to be taking issue with our lack of a per se rule governing gaps in treatment, rather than with any act or omission by the plaintiff. Reasonable minds may indeed differ on whether plaintiff ultimately makes her case—somewhat the point in denying summary judgment—but here we hold only that issues of fact exist that are for a jury to decide.

This record therefore raises triable issues of fact concerning whether the continuous treatment rule applies here. Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

WILSON, J. (dissenting). The majority has confused “continuous treatment” with a chronic condition, effectively reading “continuous” out of the statute of limitations without regard for the plain meaning of the word or the legislature’s intent. Accordingly, I dissent.

In *Borgia v City of New York* (12 NY2d 151 [1962]), we announced the original “continuous treatment” doctrine in medical malpractice cases. The plaintiff in *Borgia*, a child admittedly brain damaged by the negligence of a New York City hospital, was hospitalized continuously for more than 16 months, from October 10, 1956, until February 14, 1958. The negligent acts occurred on four separate dates spanning more than a year within his hospitalization, the first and most serious occurring on the day after his admission. Because the hospital was municipally owned, the malpractice claim was

subject to the 90-day notice requirement of General Municipal Law § 50-e. His father filed the notice of claim 63 days after the child was discharged, but more than 90 days from the last date of malpractice alleged. We held that a malpractice claim did not accrue until the end of continuous treatment to avoid the expiration of the 90 days “while [the plaintiff] was still a patient receiving care and treatment related to the conditions produced by the earlier wrongful acts and omissions of defendant’s employees” (12 NY2d at 156). We noted that “[i]t would be absurd to require a wronged patient to interrupt corrective efforts by serving a summons on the physician or hospital superintendent or by filing a notice of claim in the case of a city hospital” (*id.*).

As pertains to this case, CPLR 214-a requires that an action for medical malpractice must be commenced “within two years and six months of the act, omission or failure complained of or last treatment where there is continuous treatment for the same illness, injury or condition which gave rise to the said act, omission or failure.” In 1975, the legislature, motivated by “the critical threat to the health and welfare of the State by way of diminished delivery of health care services as a result of the lack of adequate medical malpractice insurance coverage at reasonable rates,” enacted CPLR 214-a as part of “comprehensive[]” legislation “in relation to medical malpractice” (Governor’s Program Bill Mem at 1, Bill Jacket, L 1975, ch 109). The legislature shortened the statute of limitations for medical malpractice and grudgingly codified *Borgia*’s “continuous treatment” rule, “clearly limit[ing] it to prevent abuse” (*id.* at 3). In particular, the legislature noted, “[w]hatever the essential merit of this theory . . . it certainly should not be subject to further extension by way of unilateral manipulation by a plaintiff” (*id.*).

As we have explained, the purpose of the doctrine is

“to ameliorate the harshness of a rule which ties accrual of a malpractice action to the date of the offending act, thereby creating a dilemma for the patient, who must choose between silently accepting continued corrective treatment from the offending physician, with the risk that his claim will be time-barred or promptly instituting an action, with the risk that the physician-patient relationship will be destroyed” (*Rizk v Cohen*, 73 NY2d 98, 104 [1989] [citation omitted]).

The doctrine reflects sound policy: “a patient should not be required to interrupt corrective medical treatment by a physician and undermine the continuing trust in the physician-patient relationship in order to ensure the timeliness of a medical malpractice action or notice of claim” (*Young v New York City Health & Hosps. Corp.*, 91 NY2d 291, 296 [1998] [citations omitted]).

Conversely, we have held that “[a] patient is not entitled to the benefit of the toll in the absence of continuing efforts by a doctor to treat a particular condition because the policy reasons underlying the continuous treatment doctrine do not justify the patient’s delay in bringing suit in such circumstances” (*Massie v Crawford*, 78 NY2d 516, 519 [1991]). In *Massie*, a physician placed an IUD at the plaintiff’s request, advising her that although it “could remain in place indefinitely . . . [she] should return to [him] periodically for routine gynecologic examinations” (*id.* at 518). Plaintiff returned exactly as instructed; 15 years later, plaintiff, suffering from abdominal pain and fever, saw the doctor, who determined she had developed pelvic inflammatory disease requiring a hysterectomy. Despite the plaintiff’s allegations that her injury was caused by the doctor’s medical malpractice, we affirmed the dismissal of her complaint, holding that her claim did not fall within the toll of the continuous treatment doctrine as a matter of law. We expressly stated that even though her doctor, after inserting the IUD, had instructed her to return for periodic examinations, “these visits may not serve as a basis for applying the continuous treatment exception *because plaintiff could have interrupted the services and switched physicians at any time without jeopardizing her health*” (*id.* at 520 [emphasis added]).

The undisputed facts in Ms. Lohnas’ case are not meaningfully distinguishable from those in *Massie*. Neither plaintiff was undergoing treatment that could properly be described as “continuous,” and neither case in any way implicates the policy concerns underlying the continuous treatment doctrine. According to Ms. Lohnas’ complaint, Dr. Luzi’s grossly improper installation of the humeral head in January 1999 eventually caused the destruction of her rotator cuff and glenoid. After the surgery, Ms. Lohnas saw Dr. Luzi for several postoperative appointments through January 2000. In August 2001, Ms. Lohnas returned to Dr. Luzi, complaining of severe shoulder pain. Dr. Luzi performed a different treatment, rotator cuff surgery,

in January 2002, and Ms. Lohnas had several postoperative appointments throughout that year. In September 2003, Ms. Lohnas saw Dr. Luzi to “check on” her condition after she was pushed into a wall and experiencing significant pain. Dr. Luzi diagnosed a strain and contusion, recommended exercises on her own, and indicated he would see her on an “as needed basis.” Even though she alleges her pain was “terrible” in the following years, she chose not to see Dr. Luzi until April 2006.

Viewed in the light most favorable to Ms. Lohnas, the facts make clear that Dr. Luzi was not performing continuous treatment. Like Ms. Massie’s doctor, who instructed her to return periodically, Dr. Luzi told Ms. Lohnas to return “as needed.” During the gap of more than 30 months between her 2003 and 2006 appointments, Ms. Lohnas did not seek out corrective treatment from Dr. Luzi by way of a “timely” return visit (*see Curcio v Ippolito*, 63 NY2d 967, 969 [1984]), and even her 2003 visit stemmed from an incident where her affected shoulder was injured by a new forcible trauma. Her case does not implicate the policy concerns underlying the doctrine. Ms. Lohnas’ chronic shoulder condition did not impinge on her ability to consult another doctor, which she eventually did. There were neither “corrective efforts” nor any “course of treatment” being administered by Dr. Luzi between 2003 and 2006. Thus, it would not be “absurd” to have required her to commence her suit between 2003 and 2006 (*see Borgia* at 156). Ms. Lohnas would have “jeopardize[d] nothing by instituting suit . . . if she believed defendant guilty of malpractice” (*see Massie* at 520).

Public policy animated our creation of the continuous treatment doctrine: a doctor engaged in continuous treatment of a patient should not have her efforts chilled by the filing of a lawsuit, nor should the patient undergoing such treatment be required to suffer the burden of suing the physician while still in her care. Where, as here, the treatment is not continuous, no such policy concerns warrant an exception to the limitations period. Indeed, when continuous treatment is absent, public policy, as embodied in the legislature’s selection of a limitations period, cuts the other way: a plaintiff whose surgery and follow-up appointments have been completed, who has been discharged from the hospital, returns to normal life activities, and still suffers “terrible” pain, is on notice that something may be wrong, and is required to take steps to determine whether she has a claim—including by consulting a different doctor if necessary—and file it within the prescribed period.

The majority's interpretation of continuous treatment undermines our prior decisions and the purpose of the doctrine. Continuous treatment cannot mean simply a continuing diagnosis (*see McDermott v Torre*, 56 NY2d 399, 406 [1982] ["(T)he continuing nature of a diagnosis does not itself amount to continuous treatment"]) nor a continuing physician-patient relationship (*see Borgia* at 157; *see also McDermott* at 405 ["The concern, of course, is whether there has been continuous treatment, and not merely a continuing relation between physician and patient"]), yet the majority opinion means just that. The majority relies on the facts that Ms. Lohnas had a "chronic, long-term condition," Dr. Luzi and Ms. Lohnas understood that Ms. Lohnas would likely need additional treatment at some undefined point in the future, and Ms. Lohnas considered Dr. Luzi her only doctor during this time. But those facts are irrelevant to whether, during the 32-month gap, Ms. Lohnas' filing a lawsuit would have interfered with her treatment. It would not have, because there was none. Ignoring the policy behind the doctrine and the common meaning of "continuous," the majority's opinion risks expanding the statute of limitations indefinitely, so long as a plaintiff can establish that she suffers from the same condition or injury and believed she had no other option than to continue to see the same physician. The decision also vitiates the doctrine's timeliness requirement, which bars the toll as a matter of law where, as here, a gap in treatment exceeds any reasonable interpretation of timely (*see Curcio*, 63 NY2d at 969 [granting summary judgment on the ground that three years passed between doctor visits]). I suppose the majority's decision leaves open the possibility that, following the conclusion of treatment, physicians could inform patients in writing never to return, thus commencing the statute of limitations, but the public policy ramifications of that option seem ghastly.

Ms. Lohnas "could have interrupted the services and switched physicians at any time without jeopardizing her health" (*Massie* at 520). Instead, she likely aggravated the effects of Dr. Luzi's alleged malpractice by seeking no medical care for her shoulder from 2003 to 2006, choosing not to switch physicians or even consult another doctor.* The result here is particularly incongruous when contrasted to plaintiffs who are

* Ms. Lohnas' own expert—Dr. Paterson, the surgeon who detected Dr. Luzi's alleged improper positioning of the implant—testified that, in his professional opinion, the humeral implant placed by Dr. Luzi was retro-

(n. cont'd)

injured by malpractice that cannot be discovered until the statute of limitations has run, and whose claims are therefore barred (*see Goldsmith v Howmedica, Inc.*, 67 NY2d 120 [1986] [statute of limitations barred claim where hip replacement did not break until eight years later]; *Helgans v Plurad*, 255 AD2d 554 [2d Dept 1998] [claim barred where malignant melanoma was misdiagnosed as a harmless beauty mark eight years earlier]). Even though Ms. Lohnas had every reason to believe that something was wrong, including her admission that, after 2003, she had lost faith in Dr. Luzi because nothing he had done had worked, her claim survives. I have no doubt the result here falls within what the legislature intended to prohibit as a “further extension by way of unilateral manipulation by a plaintiff.” Accordingly, I dissent.

Judges RIVERA, FAHEY and FEINMAN concur; Judge WILSON dissents in an opinion, in which Chief Judge DiFIORE and Judge STEIN concur.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

[Next page is 901.]

verted—mispositioned by 80 to 110 degrees. That “excessive retroversion . . . and the larger size of the humeral head . . . combined to create unnatural forces on the rotator cuff.” Over time, the retroversion wore down the glenoid and led to “premature chronic rupture of the rotator cuff and failure of the implant and the prosthesis.” During the years following Dr. Luzi’s malpractice, Ms. Lohnas experienced pain, a torn rotator cuff, and shoulder dislocation because “over time, as a result of having no rotator cuff to keep [the shoulder] where it belonged, it slowly started to head out of the joint.”